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PREFACE

CivicCentre IAS proudly presents the Andhra Pradesh Group – I Mains Previous Year Questions (PYQs) with Model Answers Book — a highly useful resource for aspirants of APPSC and other competitive examinations. This meticulously prepared compilation provides comprehensive coverage of the entire syllabus, encompassing both static content and recent developments.

Since its inception, CivicCentre IAS has remained committed to delivering quality, precise and reliable material that enables students to excel in their preparation. The consistent efforts of Team CivicCentre IAS have ensured that our resources remain precise, relevant and comprehensive.

This Mains PYQs Book with Detailed Model Answers is a strategic tool to decode question patterns, understand examiner expectations, and master answer structure. Through well-framed model answers, aspirants learn effective Introduction–Body–Conclusion presentation, multi-dimensional analysis, and value addition. It strengthens analytical clarity, improves articulation, and builds confidence for the APPSC Group-1 Mains Examination while ensuring focused, trend-aligned preparation.

This achievement has been made possible through the collective hard work and dedication of our team. We also extend our heartfelt gratitude to the various sources and references that have enriched this work. In particular, this compilation has benefited immensely from the websites and publications of the Government of India which have provided authentic and valuable insights.

This book has been meticulously compiled to aid aspirants in mastering the key concepts for competitive examinations. We value student feedback, which drives our continuous improvement. Please share suggestions at response@civiccentre.in to help us enhance future compilations.

We would also like to express our gratitude and our sincere thanks to the Director of CivicCentre IAS, Mr. Venkat Chola for his unwavering support and guidance throughout this endeavor.

We, the CivicCentre Team, wish you all the best in your continuous efforts to support students on their journey to success.

Thank You.
Team CivicCentre

Thematic Areas	Mains PYQs | Paper-IV	Marks	Year
Economy and Development of India and Andhra Pradesh			
1. Major Challenges of Indian Economy – Inconsistent growth rate, Low growth rates of agriculture and manufacturing sectors, inflation and oil prices, current account deficit and unfavourable balance of payments, falling rupee value, growing NPAs and capital infusion - money laundering and black money - Insufficient financial resources and deficiency of capital, Lack of Inclusive growth and Sustainable development - Nature, causes, consequences and solutions of these problems			
(i) Indian Economy	1. Discuss the nature of sectoral contribution of income to national income of India since independence. Also examine whether the changes in sectoral contribution to national income of India followed Kuznets-Clark hypothesis.	10	APPSC 2017
	2. What is structural transformation and explain the nature of structural transformation in Indian economy?	10	TGPSC 2016
	3. Discuss briefly the major changes involved in the recent revision in the base year and method of national income accounting.	10	APPSC 2016
	4. Explain the various concepts of national income. What are the limitations of GDP in representing of welfare of people?	10	TGPSC 2016
	5. Describe the factors responsible for the low level of Human Development index of India during the last two decades.	10	APPSC 2012
	6. Describe the changes in the composition and growth of service sector of Andhra Pradesh in the post-reforms period.	10	APPSC 2012
	7. Explain the important sectoral changes in post-independence Indian economy with respect to income and work-force.	10	APPSC 2011
	8. Do you consider Human Development Index as an alternative to National Income? Justify your answer.	10	APPSC 2011
	9. Explain various approaches to measure national income.	10	APPSC 2008
	10. Explain the problems in measuring national income.	10	APPSC 2008
(ii) Inconsistent Growth Rates	11. Discuss the difficulties faced in measuring the developmental level of economy and justify whether the current method of measurement in India overcomes the difficulties.	10	APPSC 2016
	12. Critically appraise the objectives and major achievements in Indian economy during the Planning era during 1950-91.	10	TGPSC 2016
(iii) Low growth rates of agriculture and manufacturing sectors	13. Critically examine the performance of public sector in Indian economy.	10	APPSC 2020
	14. Declining share of agriculture sector in national income facilitated a rise in the rate of economic growth in India. — Justify your answer.	10	APPSC 2012
(iv) Inflation and oil prices	15. Explain the effects of prevailing low global growth and high global inflation on present Indian 'domestic growth and inflation. Discuss the methods to control inflation with a special mention of inflation targeting.	10	APPSC 2023

(v) Unfavourable balance of payments	16. Analyse the factors contributing to India's Current Account Deficit (CAD) and unfavourable Balance of Payments (BoP) and discuss their implications for the Indian economy.	10	APPSC 2025
(vi) Falling rupee value	17. What changes have been introduced in money supply measures as per the recommendations of the Working Group on Money Supply, 1998 chaired by Dr. Y.V. Reddy?	10	TGPSC 2024
	18. Is the exchange rate of the Indian Rupee fully determined by the market? Explain the effects of Rupee Depreciation on the Indian Economy. Discuss the role of the RBI in defending the falling rupee.	10	APPSC 2023
(vii) Lack of Inclusive growth and Sustainable development	19. Critically evaluate the role of education and healthcare in achieving inclusive and sustainable development in India. Highlight the current challenges and government interventions.	10	APPSC 2025
	20. What is human development? Discuss the importance and measurement of Gross National Happiness Index.	10	APPSC 2020
	21. Explain the important features of the proposed strategy of Andhra Pradesh to achieve sustainable development goals by 2030.	10	APPSC 2017
2. Resource Mobilization in Indian Economy: Sources of financial resources for public and private sectors - budgetary resources – tax revenue and non-tax revenue – public debt : market borrowings, loans and grants etc., external debt from multilateral agencies – foreign institutional investment and foreign direct investment – desirability and consequences of utilizing different sources – Monetary and fiscal policies - financial markets and institutions of developmental finance – investment in industries and infrastructure projects - Physical resources – Energy resources			
(i) Budgetary resources – tax revenue and non-tax revenue	22. What are the factors responsible for the narrow tax base in India? Explain in brief.	10	APPSC 2020
	23. What are the changes effected in tax policy in India after the implementation of the recommendation of Tax Reforms Committed in 1994?	10	TGPSC 2016
	24. Examine the relative shares of direct and indirect tax revenues of Indian Government in the post-reforms period.	10	APPSC 2012
	25. Describe the analysis of tax devolution from Central Government to Andhra Pradesh Government in the last decade	10	APPSC 2012
	26. Bring out the relative importance of plan and non-plan expenditures of Andhra Pradesh Government during the reform period.	10	APPSC 2012
	27. What are the important tax reforms in India since 1991?	10	APPSC 2011
(ii) Public Debt	28. Differentiate between internal and external public debt. Explain their relative advantages and risks for a developing country like India.	10	APPSC 2025
	29. "Rising fiscal deficit during the 21st century has been, by and large, responsible for the surge in public debt for the Centre-States in India." Examine.	10	TGPSC 2024
	30. Explain the reasons leading to higher Public Debt in India. Discuss the scope of public debt sustainability in India.	10	APPSC 2023

	31. Define public debt and give its components with reference to Indian government? Explain trends in public debt since 2010 onwards.	10	APPSC 2020
	32. Critically analyse the causes and consequences of India's public debt relating to the period from 1991 till date.	10	APPSC 2017
	33. Justify the view that public debt is essential for the development of Indian economy endowed with natural resources.	10	APPSC 2012
(iii) Foreign institutional investment and Foreign Direct Investment	34. What are the factors that spur foreign investment in India? Explain the major features of India's Consolidated Foreign Direct Investment (FDI) Policy. Briefly discuss the present situation of the FDI equity inflows in India.	10	APPSC 2023
(iv) Monetary and Fiscal Policies	35. Discuss the key instruments of Monetary Policy (RBI) and Fiscal Policy in India and evaluate their role in resource mobilisation and inflation management.	10	APPSC 2025
	36. Analyse briefly how Liquidity Adjustment Facility (LAF) in India emerged as an effective monetary policy instrument to control market fluctuations in the short run.	10	TGPSC 2024
	37. What is meant by Monetary Policy Transmission? Explain the issues experienced during the process of Monetary Policy and suggest steps to overcome these issues.	10	APPSC 2023
	38. What are the different fiscal policy tools used in India? Can Customs and Excise Duties be used as flexible fiscal policy tools in order to increase revenue and control inflation?	10	APPSC 2023
	39. What are the objectives of the demonetization policy announced by the Central Government on 8th November, 2016? Discuss its impact on various sectors and various categories of people in the society. Analyse its scope for cashless economy in the near future.	10	APPSC 2017
	40. Discuss briefly the recommendations of the expert committee constituted "To revise and strengthen the monetary policy framework".	10	APPSC 2016
	41. Comment on the controversy between the Reserve Bank of India and the Ministry of Finance over administration of interest rate.	10	TGPSC 2016
	42. The Central Bank autonomy is important for conducting a consistent monetary policy. Comment	10	TGPSC 2016
	43. Analyse the strategy adopted by Reserve Bank of India to control the rising prices in the last two years.	10	APPSC 2012
	44. State the measures initiated by Reserve Bank of India to regulate credit disbursed by Non-Banking Financial Institutions.	10	APPSC 2012
	45. Critically examine the role of RBI in credit control.	10	APPSC 2011
	46. Explain the objectives of monetary policy.	10	APPSC 2008
(v) Financial markets and institutions of	47. Describe the scope of 'Differentiated Banking Policy' with respect to financial inclusion in India. Analyse the potential of Digital Banking in improving financial inclusion in India'.	10	APPSC 2023

developmental finance	48. Explain the need for emergence of Regional rural banks, and discuss the problems faced by them and the corresponding revisions made.	10	APPSC 2016
	49. Explain the structure of Indian Banking.	10	APPSC 2011
	50. Explain the impact of economic reforms in the Banking sector.	10	APPSC 2008
(vi) Investment in industries and infrastructure projects	51. Discuss the growth and structure of small and tiny sector establishments in Andhra Pradesh on the basis of data of the 6th Economic Census.	10	APPSC 2017
3. Resource mobilization in Andhra Pradesh – Budgetary resources and constraints - Fulfilment of the conditions of A.P Bifurcation Act – central assistance and issues of conflict - public debt and projects of external assistance - Physical resources - Mineral and forest resources – Water disputes with neighbouring states			
(i) Budgetary Resources and constraints	52. Explain the major sources of budgetary resources for Andhra Pradesh. What are the key challenges the state faces in mobilising adequate financial resources?	10	APPSC 2025
	53. Discuss the structural composition of Andhra Pradesh's economy in terms of Gross Value Added (GVA) at current and constant basic prices (2011 – 12 base) from 2014 – 15 to 2016 – 17.	10	APPSC 2017
	54. The proportion of revenue receipts and total budgetary receipts as percentage of GSDP increased during the period 2002-2007 and declined during 2008-14. Explain the factors contributed for such trend.	10	APPSC 2016
	55. What are the important sources of revenue of the Government of Andhra Pradesh?	10	APPSC 2011
	56. How is Andhra Pradesh economy popularly classified? What are the relative shares of the three regions in the GSDP of Andhra Pradesh in the recent years?	10	APPSC 2008
(ii) Fulfilment of the conditions of A.P Bifurcation Act – central assistance and issues of conflict	57. Briefly discuss the impact of bifurcation on the economy of Andhra Pradesh with respect to sectoral changes and resource gap. Provide a brief note on the steps taken by the Government of Andhra Pradesh to mobilize resources.	10	APPSC 2023
	58. Discuss the sources and trends in revenue of the Andhra Pradesh Government before and after reorganization for the period 2011 – 12 to 2016 – 17.	10	APPSC 2017
(iii) Public debt and projects of external assistance	59. Critically examine the role of World Bank Loans in the development of Andhra Pradesh economy.	10	APPSC 2011
	60. Explain the pattern of resource mobilisation for the public sector in the 5-Year Plans of Andhra Pradesh in the recent decade.	10	APPSC 2008
(iv) Physical resources - Mineral and forest resources	61. Give an account of the mineral and forest resources of Andhra Pradesh?	10	APPSC 2020
	62. The main aim of Andhra Pradesh State Mineral Policy is to serve as a guiding force to translate the State's mineral potential into reality with eco-friendly and sustainable mining." Discuss.	10	APPSC 2017

	63. State and discuss the important features of the Handri-Neeva Sujala Sravanthi project and explain its role in meeting the water needs of the Rayalaseema Region.	10	APPSC 2017
4. Government Budgeting: Structure of Government budget and its components –Budgeting process and recent changes - of - Types of budget – types of deficits, their impact and management – Highlights of current year's union budget and its analysis -GST and related issues – Central assistance to states - Issues of federal finance in India – Recommendations of the latest finance commission			
(i) Structure of Government Budget and its components	64. What do you understand by Government Budget? Briefly explain the types of public expenditure and how these expenditures are classified in the government budget.	10	APPSC 2025
	65. Describe the highlights of Fiscal Reforms and Budget Management Act 2003.	10	APPSC 2016
	66. Explain the principles of public expenditure.	10	APPSC 2008
(ii) Types of Deficits	67. Define the term 'deficit' in government finance. Explain the various types of deficits and their economic implications.	10	APPSC 2025
	68. Differentiate between revenue deficit, fiscal deficit and primary deficit? How does deficit financing impact the economy.	10	APPSC 2020
	69. Discuss the concept of revenue deficit and effective revenue deficit and justify the reasons for introducing effective revenue deficit. Give the details of the expected revenue deficit & the effective revenue deficit by the fiscal 2016-17, as per the Union Budget 2013-14.	10	APPSC 2016
(iii) GST and related issues	70. What is meant by the Goods and Services Tax, (GST)? Explain the steps taken by the Indian Government to facilitate trade and 'ease of doing 'business' under the GST regime.	10	APPSC 2023
	71. What are the objectives of Goods and Services Act and what would be its impact on economic growth?	10	TGPSC 2016
(iv) Federal Finance in India	72. Replacement of the Planning Commission by NITI Aayog has changed the approach to development planning in India." Explain.	10	TGPSC 2024
	73. List out the monitorable targets of the 11th Five Year Plan of Andhra Pradesh State. Also explain the pattern of resource allocation in the 10th and 11th Five Year Plans of Andhra Pradesh.	10	APPSC 2017
	74. Eleventh five- year plan identified the weaknesses on the employment front during the period of reforms. Describe them.	10	APPSC 2016
	75. List all the flagship programmes of Central Government implemented by the State during the 11th plan period and state the objective of the programs in one sentence.	10	APPSC 2016
	76. Discuss briefly the guiding principles in setting up the NITI Aayog.	10	APPSC 2016
	77. Briefly discuss the main objectives and strategies outlined in the XII Five Year Plan of India.	10	APPSC 2012
	78. Discuss the sectoral performance of Eleventh Five Year Plan of Andhra Pradesh	10	APPSC 2012

	79. Explain the important features of XII Five Year Plan of Andhra Pradesh.	10	APPSC 2012
	80. Critically examine the performance of X Five Year Plan.	10	APPSC 2011
	81. Do you consider that public sector in getting adequate financial support from the government of Andhra Pradesh in XI five-year plan?	10	APPSC 2011
	82. Critically examine the allocation pattern of resources in X and XI five-year plans of Andhra Pradesh.	10	APPSC 2011
	83. Explain the important objectives of the 10th Five Year Plan.	10	APPSC 2008
(v) Finance Commission	84. Discuss the significance of the recommendations of the latest Finance Commission for the fiscal relations between the Union Government and the States in India, with specific reference to resource allocation and revenue sharing.	10	APPSC 2025
	85. Discuss the key recommendations of the Fifteenth Finance Commission of India. How do these recommendations influence government budgeting at the centre and state levels?	10	APPSC 2025
	86. Evaluate the innovativeness of the Fifteenth Finance Commission on Centre-State relations regarding the sharing of tax revenues.	10	TGPSC 2024
	87. Mention the recommendations of the 15th Finance Commission with respect to Fiscal Consolidation. Discuss the progress and present situation of 'Fiscal Consolidation' in India.	10	APPSC 2023
	88. What are the recommendations of the Fourteenth Finance Commission with respect to the grant to local governments, fiscal deficit and FRBM Act?	10	APPSC 2020
	89. Explain the role of Finance Commission in a federal country like India.	10	APPSC 2011
5. Government budgeting in Andhra Pradesh – Budget constraints – Central assistance and issues of conflict after bifurcation of the state – management of deficits - Highlights and Analysis of the current year budget – State finance commission and local finance in Andhra Pradesh			
(i) Government Budgeting in Andhra Pradesh	90. Explain the importance of budgetary policy in reallocation of resources. Briefly discuss the allocation of budgetary resources in the social services sector with respect to the AP Budget.	10	APPSC 2023
	91. What is meant by 'Gender Budgeting' and 'Child Budgeting'? Does Andhra Pradesh follow gender budgeting and child budgeting? Evaluate.	10	APPSC 2023
	92. Examine some of the major features of Andhra Pradesh budget for the FY 2020-21 with special reference to fiscal deficit situation of the state.	10	APPSC 2020
	93. Explain the distinct aspect of Annual Budget for 2016-17 of Andhra Pradesh. Discuss the reasons for revenue deficit and fiscal deficit in residuary AP.	10	APPSC 2016
	94. How did the State of Andhra Pradesh managed to eliminate the revenue deficit during 1997-2005?	10	APPSC 2016

	95. What are the direct and indirect taxes levied by the government of Andhra Pradesh.	10	APPSC 2011
(ii) Central Assistance and issues of conflict after bifurcation of the State	96. Highlight the areas of central assistance to Andhra Pradesh under the provision of Andhra Pradesh Reorganization Act and Fourteenth Finance Commission?	10	APPSC 2020
	97. In the context of the financial situation of Andhra Pradesh after reorganization, discuss the nature and extent of Central assistance provided to Andhra Pradesh.	10	APPSC 2017
	98. Explain the need for the Andhra Pradesh Capital Region Development Authority Bill 2014 and describe its salient features.	10	APPSC 2016
	99. Write notes on: (i) Debt composition of Andhra Pradesh government (ii) Tax revenue and other resource inflows into Andhra Pradesh government from the Central government.	10	APPSC 2008
(iii) Management of Deficits	100. Briefly give an account of revenue and fiscal deficits and the debt positions of Andhra Pradesh for the last five years (since 2014-15).	10	APPSC 2020
(iv) State Finance Commission	101. Discuss the role of the State Finance Commission in Andhra Pradesh and analyse its significance in strengthening local finances and promoting fiscal decentralisation within the state.	10	APPSC 2025
6. Inclusive Growth: Meaning of inclusion - Causes of exclusion in India – Strategies for and instruments of inclusion: Poverty alleviation and employment, Health and Education, women empowerment, social welfare schemes – Food Security and Public Distribution System – sustainable agriculture - Integrated Rural development -regional diversification - Public and partnership for inclusive growth – Financial inclusion All Andhra Pradesh government's current schemes for inclusive growth and financial inclusion - Public Distribution system and DWCRA			
(i) Inclusive Growth	102. Elaborate on the meaning of Inclusive Growth in the context of the Indian economy. Discuss the key strategies and instruments that can be employed to foster greater inclusion and ensure that the benefits of economic growth reach all sections of society.	10	APPSC 2025
	103. Discuss the significance of Social Welfare Schemes in promoting inclusive growth in India. Analyse the key objectives and features of some major social welfare schemes and evaluate their effectiveness in reaching vulnerable populations and reducing inequalities.	10	APPSC 2025
	104. Examine the concept of 'Financial Inclusion' and its critical role in fostering inclusive growth in India. Discuss the key initiatives undertaken to promote financial inclusion and evaluate their impact on bringing the unbanked and underbanked populations into the formal financial system.	10	APPSC 2025
	105. Detail the key four pillars, the project components, beneficiaries and key result indicators of Andhra Pradesh rural inclusive growth project.	10	APPSC 2016
	106. Discuss the trends in the literacy rates in Andhra Pradesh.	10	APPSC 2016
	107. Explain the salient features of inclusive growth strategy of Twelfth Five Year Plan.	10	TGPSC 2016

	108. Suggest suitable steps to utilise demographic dividend for the rapid economic development of Andhra Pradesh.	10	APPSC 2012
	109. Discuss the demographic features of Andhra Pradesh and changes therein.	10	APPSC 2011
(ii) Health and Education	110. Explain the details of the "Arogya Raksha" scheme started by the Government of Andhra Pradesh. Also compare the scheme with other health insurance schemes of Andhra Pradesh.	10	APPSC 2017
	111. Evaluate the trends in the expenditure of Andhra Pradesh Government on health and education in the last decade.	10	APPSC 2012
	112. Discuss the measures taken by the Government to improve education and health status in Andhra Pradesh.	10	APPSC 2011
(iii) Poverty Alleviation	113. Critically examine the major poverty alleviation and employment generation programmes in India. How effective have they been in addressing rural and urban poverty?	10	APPSC 2025
	114. "Human Poverty Index and capability approach are two ways to understand and measure poverty and well-being of people." Explain in brief.	10	TGPSC 2024
	115. "Poverty reduction in different states of India has not been uniform during the post-economic reform period." Examine	10	TGPSC 2024
	116. Analyse trends in rural-urban poverty in Andhra Pradesh. What are the factors responsible for its existence?	10	APPSC 2020
	117. SERP has been playing an important role in reducing rural poverty in Andhra Pradesh." Discuss.	10	APPSC 2017
	118. According to the Economic Survey 2016 – 17, Universal Basic Income (UBI) aims at achieving Mahatma Gandhi's objective of "wiping every tear from every eye". In this backdrop, explain the concept of UBI and discuss how it is expected to achieve the stated objective.	10	APPSC 2017
	119. What is relative poverty? What are the reasons for its presence in India? Explain the Gini-coefficient and Lorenz curve methods of measuring relative poverty.	10	APPSC 2017
	120. Explain the possible limitations in the strategy for poverty alleviation adopted by the Government of India.	10	APPSC 2016
	121. What are the effective strategies for the removal of poverty? What is the experience of different anti-poverty programs in India?	10	TGPSC 2016
	122. Comment on the recent controversies relating to the estimates of rural-urban poverty in India.	10	APPSC 2012
	123. Comment on the inadequacy of institutional credit in rural areas of Andhra Pradesh State.	10	APPSC 2012
	124. Discuss the important anti-poverty programmes implemented by Government of India.	10	APPSC 2011
	125. Highlight the important trends in incidence of poverty in Andhra Pradesh.	10	APPSC 2011
	126. Explain the methods of measuring poverty in India.	10	APPSC 2008
(iv) Employment	127. Give an account of the objectives of Prime Minister Employment Generation Programme (PMEGP) and the benefits received under this scheme.	10	TGPSC 2024

	128. Critically evaluate the nature of occupational structure in Andhra Pradesh.	10	APPSC 2017
	129. Discuss the possible consequences of rural unemployment on the society and suggest two effective remedial measures.	10	APPSC 2016
	130. "Employment opportunities through Jawahar Knowledge Centres"- Explain how the Andhra Pradesh Government expects to meet its objective through this program.	10	APPSC 2016
	131. Make a comparative assessment of superiority of Mahatma Gandhi National Rural Employment Act 2006 over the previously followed government employment programs.	10	TGPSC 2016
	132. Assess the impact of MGNREGS in reducing the intensity of unemployment in rural areas of our country.	10	APPSC 2012
	133. What are important concepts of employment/unemployment used by National Sample survey Organisation (NSSO)?	10	APPSC 2011
	134. Explain the methods of measuring unemployment in India.	10	APPSC 2008
	135. Examine the structure of occupations pursued by Andhra Pradesh people and the proportion of SC-ST population in the total population of Andhra Pradesh.	10	APPSC 2008
(v) Women Empowerment	136. What are the challenges faced by women in India? Throw some light on the recent programmes initiated by the government for women empowerment.	10	APPSC 2025
	137. Explain the challenges faced by women entrepreneurs in India. Discuss the schemes and initiatives taken by the Indian Government with respect to facilitating women entrepreneurship in India.	10	APPSC 2023
	138. The focus of the government has shifted from women development to women led development'- Examine this statement in the context of Education, Skilling and Microfinance.	10	APPSC 2023
	139. Examine the present state of microfinance in Andhra Pradesh in the backdrop of its earlier crisis.	10	APPSC 2017
	140. Evaluate the programmes/schemes initiated by the Andhra Pradesh Government to achieve women empowerment.	10	APPSC 2017
	141. Critically examine the socio-economic issues regarding the pace of women empowerment in Andhra Pradesh.	10	APPSC 2012
	142. What are the measures taken by the Government of Andhra Pradesh to empower women? Elaborate.	10	APPSC 2011
	143. Examine the role of SHGs in Andhra Pradesh in meeting the credit requirements of rural people.	10	APPSC 2008
	144. Write notes on: (i) Measures taken by the Andhra Pradesh government to empower women. (ii) Infant Mortality and Death rates in Andhra Pradesh in the recent decade.	10	APPSC 2008
	145. Examine major issues concerning public distribution system in Andhra Pradesh.	10	APPSC 2020

(vi) Public Distribution System	146. Discuss the nature of functioning of Aadhaar enabled e-public distribution system (AePDS) in Andhra Pradesh in terms of purchase, transportation, storage, allotment and delivery of food grains.	10	APPSC 2017
	147. "Fair Price Shop Automation and portability within a District "– discuss the possible advantages of these changes in public distribution system.	10	APPSC 2016
	148. Examine the view that Public Distribution System in India shall be made the responsibility of State Governments.	10	APPSC 2012
	149. Highlight the important features of public distribution system in Andhra Pradesh.	10	APPSC 2011
	150. Explain the basic features of Targeted Public Distribution System (TPDS) and its performance in the state.	10	APPSC 2008
(vii) Integrated Rural Development	151. Write notes on: (i) Kisan Credit Card Scheme (ii) Providing Urban Facilities in Rural Areas (PURA).	10	APPSC 2008
7. Agricultural Development: Role of agriculture in economic development – Contribution of to GDP– Issues of finance, production, marketing – green revolution and changing focus to dryland farming, organic farming and sustainable agriculture – minimum support prices – agriculture policy – Swaminathan commission – Rainbow revolution			
(i) Role of Agriculture in Economic Development	152. Examine the significance of agriculture finance, production, and marketing in the context of India's agricultural development. Discuss the challenges and opportunities associated with financing agricultural activities, improving production, and developing efficient marketing systems to support sustainable growth in the agricultural sector.	10	APPSC 2025
	153. How far has India achieved the policy target of doubling the farmers' income by 2022? Examine.	10	TGPSC 2024
	154. "The land reforms in Telangana were aimed at redistributing the land from large farmers to agricultural labourers and landless poor." Critically evaluate.	10	TGPSC 2024
	155. Discuss about some of the major initiatives highlighted in Vision 2020 for the development of agriculture sector in India.	10	APPSC 2020
	156. Analyse the possible reasons for placing ceilings on agricultural holdings. Give two possible disadvantages to the economy due to such ceilings.	10	APPSC 2016
	157. Describe the changing structure of landholdings in Andhra Pradesh in the past two decades.	10	APPSC 2012
	158. Discuss the problems associated with the issue of land distribution in Andhra Pradesh State.	10	APPSC 2012
	159. Analyse the recent changes in the composition and structure of agricultural output in Andhra Pradesh.	10	APPSC 2012
(ii) Sustainable Agriculture	160. Explain the concept of sustainable agriculture. What are its key objectives and common practices in India?	10	APPSC 2025
	161. What is meant by sustainable agriculture? Discuss the sustainable agriculture practices and systems in India. Provide suggestions to improve agricultural incomes from sustainable agriculture.	10	APPSC 2023

(iii) Agriculture Policy	162. Explain the role of the Agricultural Produce Market Committee (APMC) Act in Agricultural Price Policy in regulating the agricultural market in India. What are the issues that have been observed by policy makers regarding the functioning of the APMC Act?	10	APPSC 2025
	163. Discuss the performance of agriculture sector during the 11th plan period and reasons for such performance.	10	APPSC 2016
(iv) Issues of finance, production, marketing	164. "Timely and adequate availability of institutional agricultural credit to a large extent determines the production and productivity of crops." Comment.	10	TGPSC 2024
	165. Discuss the types and sources of agricultural credit in India. Explain the initiatives taken by the Indian Government in order to improve access to agricultural credit.	10	APPSC 2023
	166. Explain the regulation of agricultural markets in India. Discuss the scope of farmer-market linkages with a special mention of the e-National Agriculture Market in India.	10	APPSC 2023
	167. What is e-NAM? State the challenges in its implementation.	10	APPSC 2020
	168. Highlight some of the major factors leading to low agricultural productivity in India.	10	APPSC 2020
	169. "An Indian peasant is born in debt, lives in debt and dies in debt". In this context, explain the problems faced by the rural population in getting the loans from institutional and non-institutional sources in AP and how they get into debt trap and poverty.	10	APPSC 2016
	170. Minimum Support Prices are not covering cost of production for several crops. What are the alternative strategies to address the viability s farming?	10	TGPSC 2016
	171. Institutional credit to agricultural sector has become iniquitous in the State. Describe the nature of the inequality.	10	TGPSC 2016
	172. Critically examine the decline of cooperative sector in agricultural credit in the State.	10	TGPSC 2016
	173. Elucidate the problems of cooperatives in providing adequate agricultural credit to farmers in Andhra Pradesh.	10	APPSC 2012
(v) Rainbow Revolution	174. Explain the impact of rainbow revolution in India. Discuss the scope for Industrial transformation in Indian agriculture.	10	APPSC 2023
	175. What do you mean by rainbow revolution? What are its objectives? Discuss	10	APPSC 2020
8. Agriculture Development in Andhra Pradesh: Contribution to SGDP-Regional disparities in irrigation and agricultural development -changing cropping pattern - focus on horticulture and fisheries and dairying – Government schemes to promote agriculture in Andhra Pradesh			
(i) Agriculture Development in Andhra Pradesh- Contribution to SGDP	176. Discuss the role of agriculture in the economic development of Andhra Pradesh. How has agriculture contributed to the State Gross Domestic Product (SGDP) in recent years? Identify the key drivers influencing its performance.	10	APPSC 2025
	177. How has the growth in Andhra Pradesh's agriculture and allied sectors impacted the income levels of the farmers?	10	APPSC 2020
	178. Explain the Marginal Cost Pricing Rule for Public Utilities. What are the problems associated with this rule?	10	APPSC 2020

	179. Discuss the evolution of tenancy reforms in Andhra Pradesh and also explain the main features of the Andhra Pradesh (Andhra Area) Tenancy Act, 1956 including the amendments to the Act.	10	APPSC 2017
	180. Explain the reasons for constituting a land committee under the chairmanship of Sri Koneru Ranga Rao in the year 2004 and bring out its recommendations related to land reforms in Andhra Pradesh.	10	APPSC 2017
	181. How can one justify state acquiring land from its citizens? Critically appraise the changes in the policy of compensation.	10	TGPSC 2016
	182. Explain the socio-economic basis for land reform policy. Appraise the implementation of land reforms in the State of Andhra Pradesh.	10	TGPSC 2016
	183. Explain the need to enact the Andhra Pradesh Land Licensed Cultivators Act, 2011 and discuss the problems faced in meeting the objective of enacting the Act.	10	APPSC 2016
	184. How far does the present use of agricultural inputs and technical knowledge facilitate the achievement of evergreen revolution in Andhra Pradesh?	10	APPSC 2012
	185. Do you consider that land reforms in Andhra Pradesh have provided sufficient protection to tenants?	10	APPSC 2011
	186. Discuss the land tenancy system prevailing in Telangana region on the eve of Independence.	10	APPSC 2011
	187. Do you consider that Andhra Pradesh economy in still dominated by agricultural sector? Justify your answer.	10	APPSC 2011
	188. Why are Land Reforms implemented? What are the main laws pertaining to Land Reforms in Andhra Pradesh?	10	APPSC 2008
	189. Explain the scope of Land Reforms in Andhra Pradesh and assess success in computerisation of Land Records.	10	APPSC 2008
	190. What is Green Revolution? What is its impact on the agricultural economy of Andhra Pradesh?	10	APPSC 2008
	191. What are the total outlays of Andhra Pradesh's X and XI 5-Year Plans? What proportion of the outlay is allocated to agriculture including irrigation?	10	APPSC 2008
(ii) **(iii) Regional Disparities**	192. "Imbalances in irrigation development in the Andhra Pradesh has led to serious regional inequality." Examine the statement.	10	TGPSC 2016
	193. Explain the existing inter-regional differences in the levels of poverty in Andhra Pradesh economy.	10	APPSC 2012
	194. Write a brief note on the regional disparities in irrigation facilities in Andhra Pradesh	10	APPSC 2012
	195. What are the causes for inter-regional and inter-district disparities in Andhra Pradesh?	10	APPSC 2011
	196. Examine the causes for regional disparities in Andhra Pradesh and measures initiated by the government to reduce the same.	10	APPSC 2008
	197. Explain the causes for backwardness of certain regions in united A.P and suggest measures for development.	10	APPSC 2008

(iv) Irrigation	198. Describe the salient features of Polavaram irrigation project and explain its benefits.	10	APPSC 2016
	199. Analyse the differences between sources of irrigation between Coastal Andhra, Rayala Seema and Telangana in the united Andhra Pradesh and their consequences.	10	TGPSC 2016
(v) Cropping Pattern	200. Evaluate the trends in output and productivity of food and non-food crops in Andhra Pradesh (in the present 13 districts) since the year 2000 – 01. Also bring out the reasons for regional variations in productivity levels.	10	APPSC 2017
(vi) Fisheries	201. What are the key drivers for the growth of the fisheries sector? What are the schemes undertaken by the fisheries department for the growth of this sector?	10	APPSC 2025
	202. Explain the extent of marine fishery resources in Andhra Pradesh. Discuss the steps taken by the Andhra Pradesh Government in order to promote the welfare and development of fishermen in Andhra Pradesh.	10	APPSC 2023
(vii) Government Schemes to promote Agriculture in Andhra Pradesh	203. What are externally aided projects? Discuss the principles, funding and objectives of Andhra Pradesh Irrigation and Agriculture Transformation Project (APILATP). provide a brief note on the scope of beneficiaries with respect to the APILATP.	10	APPSC 2023
	204. Explain the scope and benefits of farm mechanization. Discuss the implementation of farm mechanization schemes in Andhra Pradesh with special reference to Community Hiring Centres (CHCs).	10	APPSC 2023
	205. Give an account of the different schemes implemented by the Andhra Pradesh government to promote agriculture in the state?	10	APPSC 2020
	206. Describe some of the key initiatives taken and incentives provided by the government of Andhra Pradesh to promote agro and food processing industry.	10	APPSC 2020
	207. Describe the strategies being adopted by Andhra Pradesh to achieve the mission on agriculture extension program.	10	APPSC 2020
	208. Discuss the highlights of farmers' debt redemption scheme implemented in Andhra Pradesh and its benefits.	10	APPSC 2016
	209. Critically examine the procurement price policy of the Government of India and Andhra Pradesh.	10	APPSC 2011
	210. Discuss the composition of institutional and non-institutional credit in rural Andhra Pradesh.	10	APPSC 2011
	211. Explain the significance of micro-finance institutions in meeting rural credit needs in Andhra Pradesh.	10	APPSC 2011
	212. Briefly explain the need for administering agricultural commodity prices and mention the administering machinery.	10	APPSC 2008

9. Industrial Development and Policy : Role of industrial sector in economic development – Evolution of industrial policy since independence - Industrial Policy, 1991 and its impact on Indian economy – Contribution of Public Sector to industrial development in India – impact of liberalization and privatization and globalization on industrial development - Disinvestment and privatization - – Problems of core industries -Micro, small and medium enterprises, their problems and policy – industrial sickness and support mechanism – Manufacturing policy – Make-in India – Start up programme – NIMZs- SEZs, industrial corridors

(i) Industrial Development and Policy	213. Examine the role of the industrial sector in India's economic development. How does industrialisation contribute to income generation, employment, and modernisation of the economy? Support your answer with relevant examples and policy references.	10	APPSC 2025
	214. Examine the role of the Start-up India programme in promoting entrepreneurial development in India. What are the major features of the programme, and how has it contributed to the industrial and economic growth of the country?	10	APPSC 2025
	215. Discuss the role of the industrial sector in the economic development of India. Discuss the role of the Department of Industrial Policy & Promotion (DIPP).	10	APPSC 2025
	216. Discuss the impact of 'New Age' reforms on the Indian Economy in the last eight years. Examine the scope of growth potential for India in this decade (2023 - 30)	10	APPSC 2023
	217. What is meant by 'Industrial Revolution 4.0? Assess the likely impact of the fourth industrial revolution on India's manufacturing sector. Provide a brief note on the 'Production-Linked Incentive' (PLI) schemes in India.	10	APPSC 2023
	218. State some of the notable initiatives taken by the government recently to boost the growth of manufacturing sector in India.	10	APPSC 2020
	219. Contrast the Industrial Policy of 1980 with that of 1991 with respect to small enterprises in India.	10	APPSC 2020
	220. Describe the salient features of National Manufacturing Policy and also the critical role of manufacturing sector in employment generation.	10	APPSC 2017
	221. State the policy measures recently implemented by the Government of Andhra Pradesh to promote the growth of industries.	10	APPSC 2012
	222. Suggest appropriate measures to overcome the institutional problems of small scale industries in Andhra Pradesh.	10	APPSC 2012
(ii) Disinvestment and Privatization	223. What is meant by 'strategic Disinvestment? Explain the different methods of Disinvestment adopted since the re-christening of Department of Disinvestment (DOD) as Department of Investment and Public Asset Management (DIPAM). Briefly discuss the achievements and outcomes of these disinvestments.	10	APPSC 2023
	224. What are the critical issues that must be addressed before implementing disinvestment policy?	10	APPSC 2020
(iii) Impact of liberalization, Privatization & Globalization	225. In the light of the problems faced by public-private partnerships in India, give recommendations on the future plan of action.	10	APPSC 2020
	226. "The aim of economic reforms in India is to improve the competitiveness and efficiency of domestic industry and pave the way for achieving high rate of economic growth." Discuss.	10	APPSC 2017

	227. Discuss the nature and importance of Public-Private Partnership (PPP) in health care and basic education in India.	10	APPSC 2017
	228. Explain the salient features and benefits of the PPP model of health services provided under Dr NTR Vaidya Seva programme.	10	APPSC 2016
	229. Critically Appraise privatization of education in the State of Andhra Pradesh.	10	TGPSC 2016
	230. Explain the specific problems encountered by Indian economy with increasing share of private sector in the context of globalisation.	10	APPSC 2012
	231. Critically evaluate the effects of private participation in the tourism sector of Andhra Pradesh.	10	APPSC 2012
	232. What is the scope for public-private partnership in post-economic reform period in India? Elaborate.	10	APPSC 2011
	233. Explain the role of private sector after economic reforms.	10	APPSC 2008
	234. Explain the pattern of revenue collection after economic reforms in India.	10	APPSC 2008
10. Industrial Policy of the AP Government – Incentives to industries – Industrial corridors in and SEZs in Andhra Pradesh - Bottlenecks for industrial development – Power projects			
(i) Industrial Policy	235. Critically examine the industrial policy of the Andhra Pradesh government. What are the major initiatives, support measures and bottlenecks to industrial development in the state?	10	APPSC 2025
	236. Discuss the Industrial Policy statement 2015-20 of Andhra Pradesh.	10	APPSC 2020
	237. Discuss salient features of Andhra Pradesh Industrial Investment Promotion Policy - 2015-20.	10	APPSC 2016
(ii) Industrial Corridors	238. Explain the development programme of Visakhapatnam Chennai Industrial Corridor Development program (VCICDP). Write a short note on the socio-economic impact of the VCICDP.	10	APPSC 2023
	239. Discuss the objectives, complementary components and the importance of node-centric development of Phase-I of the East Coast Economic Corridor.	10	APPSC 2017
(iii) Industrial Development	240. With respect to the Micro, Small and Medium Enterprises (MSMEs) in Andhra Pradesh, discuss the following: (i) Importance of MSMEs in Andhra Pradesh economy (ii) Scope and implementation of Dr. YSR Navodayam and ReSTART programmes in Andhra Pradesh.	10	APPSC 2023
	241. Explain the 'PUSH' strategy of the Government of Andhra Pradesh with respect to Export Promotion Policy (2022 - 27). Discuss the challenges of export sector and the support extended by the AP Government towards export promotion in Andhra Pradesh.	10	APPSC 2023
	242. What are the challenges faced by the industrial sector of Andhra Pradesh? Throw light on the strategies created to face these challenges.	10	APPSC 2020

	243. Even though the industrial growth was concentrated in Telangana region, according to the popular perception, it did not help the people of the region under united Andhra Pradesh. Appraise the statement.	10	TGPSC 2016
	244. Evaluate the performance of Industrial Sector in Andhra Pradesh.	10	APPSC 2011
	245. Discuss the measures taken by the Government of Andhra Pradesh to promote small scale industries. Have they yielded expected results?	10	APPSC 2011
	246. Examine the growth and structure of industries in Andhra Pradesh.	10	APPSC 2011
	247. Explain the significance of SSI in the development of Andhra Pradesh and mention the incentives extended by the government to this sector.	10	APPSC 2008
11. Infrastructure in India: Transport infrastructure : Ports, Roads, Airports, Railways – Major projects of transport infrastructure in India - Communication infrastructure - Information Technology –e-governance - Digital India – Energy and Power – Urban infrastructure – smart cities – urban environment - solid waste management - Weather forecast and disaster management – Issues of finance, ownership, operation and maintenance of all kinds of infrastructure – Public-private partnership and related issues – Pricing of public utilities and government policy – environmental impacts of infrastructure projects			
(i) Transport Infrastructure	248. Discuss the current state of transport infrastructure in India and its contribution to economic development. Highlight key challenges and suggest policy measures for improving its efficiency and reach.	10	APPSC 2025
	249. Discuss how infrastructure bottlenecks hinder the growth of the Indian Manufacturing sector. What steps can be taken to address them?	10	APPSC 2025
	250. Describe the importance of public transport and communications for equitable growth.	10	TGPSC 2016
(ii) Digital India – Energy, Power, Urban Infrastructure & Smart cities	251. Discuss the significance of solar energy in India's renewable energy strategy. Highlight the major initiatives, achievements and challenges in the promotion of solar power.	10	APPSC 2025
	252. Critically evaluate the role of the Smart Cities Mission in transforming urban infrastructure in India. Mention its objectives, implementation progress, key achievements and the major challenges faced.	10	APPSC 2025
	253. Explain the impact of Digital Public Infrastructure on the socio-economic development in India. Discuss the steps taken by the Indian Government to accelerate digital infrastructure and to reduce digital divide in India.	10	APPSC 2023
	254. What are the features of a 'Smart City'? Explain the role of smart cities in economic development. Discuss the challenges faced in financing the smart cities under the Smart City Mission, and the solutions to overcome these challenges.	10	APPSC 2023

	255. Discuss the initiatives taken by the Government of India to build smart cities, and highlight the challenges in doing so.	10	APPSC 2020
(iii) Public-Private Partnership in Infrastructure	256. What are the flaws in the existing Public Private Partnership (PPP) model of infrastructure development? What are the key points to focus on while restructuring the PPP model?	10	APPSC 2025
12. Infrastructure Development in Andhra Pradesh – Transport, Energy and ICT infrastructure – Bottlenecks – Government policy – Ongoing projects			
(i) Infrastructure	257. Critically explain the development of Transport, Energy and ICT infrastructure in Andhra Pradesh. How do these sectors contribute to the state's economic growth and connectivity?	10	APPSC 2025
	258. Describe the long-term agenda of the Andhra Pradesh government with respect to development of infrastructure in the state.	10	APPSC 2020
	259. State the important features of the Infrastructure Mission of Andhra Pradesh and discuss its role in Vision 2029.	10	APPSC 2017
	260. State the importance of service sector in the development of Andhra Pradesh.	10	APPSC 2008
(ii) Transport	261. Explain the policy framework for development of Civil Aviation in Andhra Pradesh. Discuss the development of Greenfield Airport projects in Andhra Pradesh.	10	APPSC 2023
	262. Bring out the importance of transport and communication in the development of Andhra Pradesh.	10	APPSC 2011
	263. Examine the importance and development of transport and communication in the state of Andhra Pradesh.	10	APPSC 2008
(iii) Energy and ICT	264. What are the challenges faced by energy sector in Andhra Pradesh? Briefly give the vision targets for energy sector set by the AP Government.	10	APPSC 2020
	265. Explain briefly the four pillars for developing a strong IT in Andhra Pradesh.	10	APPSC 2020
	266. "An efficient power sector is essential for growth and poverty reduction." In light of the above statement, discuss the impact of reorganization of the State on its power sector and the steps initiated by the A.P. State Government to address the issues of the power sector.	10	APPSC 2017
	267. "Smart village - Smart ward towards Smart Andhra Pradesh".	10	APPSC 2016
	268. Explain how information and communication technologies have enhanced modes of governance in the State of Andhra Pradesh during.	10	TGPSC 2016
	269. Write about the growth of IT industry in Andhra Pradesh.	10	APPSC 2011
(iv) Government Policy	270. Explain the e-Pragati initiative of Andhra Pradesh and its benefits.	10	APPSC 2016

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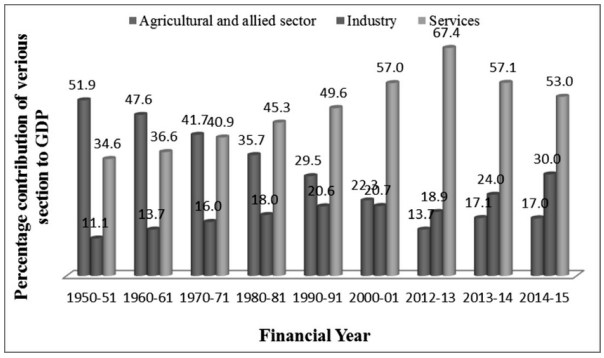
Mains PYQs | Paper-IV | Model Answers

Economy and Development of India and Andhra Pradesh

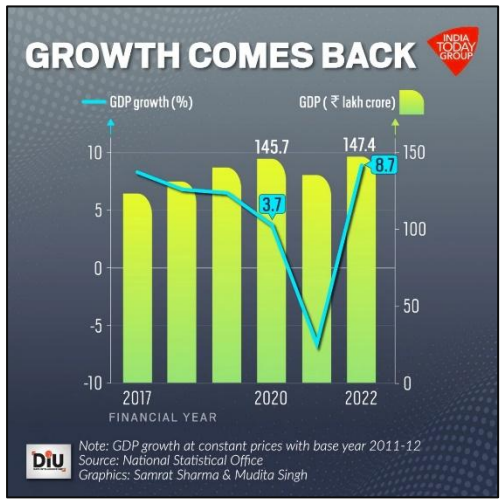
1. Major Challenges of Indian Economy – Inconsistent growth rate, Low growth rates of agriculture and manufacturing sectors, inflation and oil prices, current account deficit and unfavourable balance of payments, falling rupee value, growing NPAs and capital infusion - money laundering and black money - Insufficient financial resources and deficiency of capital, Lack of Inclusive growth and Sustainable development - Nature, causes, consequences and solutions of these problems

1. Discuss the nature of sectoral contribution of income to national income of India since independence. Also examine whether the changes in sectoral contribution to national income of India followed Kuznets-Clark hypothesis. (APPSC, 2017)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Discuss, Examine
Approach	• Begin with India's structural transformation in national income since independence. • Explain the nature of contribution of agriculture, industry, and services with trends, productivity, and employment aspects; then examine whether this shift aligns with the Kuznets–Clark hypothesis. • Sum up that India broadly follows the theory in direction but diverges in sequence, resulting in a services-led, imbalanced transformation.
Introduction	Since independence, India's national income has undergone structural transformation, with the contribution of agriculture, industry, and services changing dramatically. The nature of this contribution reflects both economic policies and developmental shifts.
Body & Infographic Representation	**Trends in sectoral contribution to national income of India since independence:** • **Agricultural Contribution** ✓ In 1950–51, agriculture contributed over 54% of GDP, making it the backbone of the economy. By 2025, its share declined to around 15%, though it still engages nearly 40% of the workforce. ✓ This shows a low productivity and structural imbalance, where agriculture sustains livelihoods but contributes little to national income. • **Industrial Contribution** ✓ Industry grew with planned industrialization and the Green Revolution, reaching approx. 27% of GDP by the 1980s. However, post-1991 liberalization, its share stagnated near 25%. ✓ This reflects premature deindustrialization where the sector failed to expand as a strong "engine of growth." Consequently, industry's contribution to income and employment remains below expectations.  • **Services Contribution** ✓ The services sector rose from 30% in 1950–51 to more than 55% of GVA in 2024–25. IT, finance, communication, and business services have powered this expansion. ✓ The nature of services contribution is marked by high productivity and export orientation, but also by jobless growth, since employment generation lags behind its rising income share.

	Nature of contribution: productivity and employment gap • While agriculture's share in GDP has fallen sharply, a large portion of the workforce remains in farming indicating low productivity in the primary sector and an incomplete transfer of labour to higher-productivity sectors. • Industry's contribution rose but not enough to absorb surplus agricultural labour significantly; hence India exhibits "service-led" income growth with limited manufacturing-led structural transformation. This creates concerns about jobless growth and underemployment. **India's Growth and the Kuznets-Clark Hypothesis:** • The Kuznets-Clark hypothesis, based on observations of developed countries, posits a sequential shift in the sectoral composition of an economy. It suggests that as a country develops, labor and output move from the primary (agriculture) sector to the secondary (industrial) sector, and finally to the tertiary (services) sector. • **Did India follow the Kuznets–Clark pattern?** ✓ India shows a partial match as agriculture's share fell and services expanded, but it diverged because industry never became the dominant engine of employment-absorbing, high-productivity growth that Kuznets–Clark would predict. ✓ Instead India experienced a direct leap to a large services sector especially IT and modern services, with manufacturing failing to create comparable employment at scale. ✓ Thus India only partially conforms to the hypothesis the sequence (agriculture decline → rise of non-agriculture) occurred, but the path (manufacturing-led intermediate stage) was weaker than Kuznets–Clark envisaged reflecting "premature tertiarization."
Conclusion	The sectoral contribution to India's national income reveals an "imbalanced transformation" - agriculture remains employment-heavy, services dominate income, and industry stagnates. While India broadly follows the Kuznets–Clark framework, its distinct services-led growth underlines the need for renewed focus on industrial expansion and balanced development.
Model Question	"Unlike the East Asian economies, India leapfrogged directly from an agrarian economy to a service-dominated one. What factors explain this divergence, and what are its implications for employment and inclusive growth?"
Value Addition	Premature Tertiarisation refers to a structural shift where the services sector becomes dominant in GDP before industry matures as the growth engine. In India, services surged beyond 50% of GDP while manufacturing stagnated around 25%, leading to jobless growth, weak industrial base, and limited employment absorption.
2. What is structural transformation and explain the nature of structural transformation in Indian economy? (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	What, Explain
Approach	• Introduce by defining structural transformation and mention its importance in economic development. • Trace India's sectoral shifts in output and employment since Independence, emphasising the services-led but manufacturing-light nature. • Conclude by pointing out the imbalances and suggest the need for balanced, job-rich growth through manufacturing, skilling, and formalisation.
Introduction	Structural transformation means a long-term reallocation of labour and output from low-productivity sectors like agriculture to higher-productivity sectors such as industry and modern services. It is central to economic development because it raises average productivity, incomes and living standards.

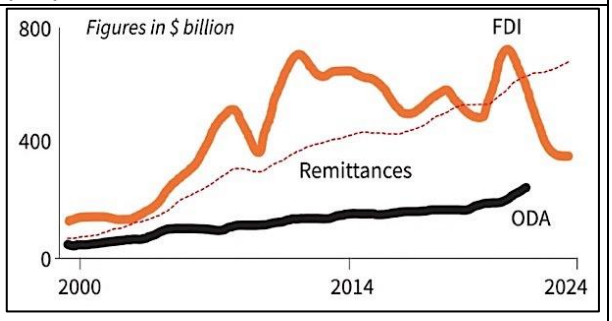
Body & Infographic Representation	**Nature of Structural Transformation in India:** • **Shift in Output Structure** ✓ Since Independence, India's GDP composition has changed significantly. ✓ Agriculture declined from 55% of GDP in 1950-51 to 18.2% in 2022-23 (MoSPI, National Accounts). ✓ Industry increased initially, contributing about 25% of GDP but has stagnated in recent decades. ✓ Services sector has grown rapidly, now accounting for over 50% of GDP (Economic Survey 2023). • **Shift in Employment Structure** ✓ The workforce shift has been slower than output change. ✓ Agriculture still employs 46% of workers (PLFS 2022-23), despite its low GDP share. ✓ Services employ 30% and industry 24%, showing a productivity gap between sectors (NITI Aayog). • **Services-led, Manufacturing-light Path** ✓ Unlike East Asia's manufacturing-driven growth, India's path is services-led. ✓ Manufacturing has remained at 15–17% of GDP since the 1990s, despite policy efforts. ✓ This reflects "premature tertiarisation", where services expand before industrialization matures. • **Job Absorption and Informality** ✓ Non-farm jobs are concentrated in construction and low-end services, not in high-productivity manufacturing. ✓ Informality dominates—over 80% of workers remain in informal employment as per ILO, PLFS data.
Conclusion	India's structural transformation is real but incomplete. The economy has successfully diversified into services but faces challenges of agricultural labour stickiness, stagnant manufacturing, and high informality. Balanced transformation requires boosting manufacturing competitiveness, skilling, infrastructure, and formalisation to ensure growth translates into broad-based jobs and inclusive development.
Model Question	Examine the nature of structural transformation in the Indian economy since Independence. How far does India's trajectory of services-led growth deviate from the Kuznets–Clark hypothesis?
Value Addition	India's services sector grew at 8.3% from FY24 to FY25, employing approximately 30% of the workforce, and continues to contribute majorly to GDP. Services now account for more than 20% of domestic value added (DVA) in most manufacturing sectors, especially textiles, rubber, paper, leather and electrical equipment. The phenomenon of "servicification" shows that services are increasingly integrated into manufacturing, providing new channels for employment and productivity enhancement.
3. Discuss briefly the major changes involved in the recent revision in the base year and method of national income accounting (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Discuss
Approach	• Brief introduction about the significance of base year in the national income accounting. • Explain the importance of revising the base year for realistic estimates. • Mention shifts from 2004–05 to 2011–12 base year, use of MCA21 database, GVA at basic prices, improved coverage of corporate and service sector. • Conclude that enhances accuracy, but issues of comparability remain.

Introduction	National income accounting provides a systematic estimate of the value of goods and services produced in an economy. Periodic revision of the base year ensures that GDP estimates reflect structural changes in the economy. India's revision in 2015, shifting the base year to 2011–12 (with another update under process to 2022–23), introduced several methodological and data improvements.
Body & Infographic Representation	**Rationale for base year revision of the National Income Accounting Method:** • Economic structure changes with time due to new sectors, technology, and consumption patterns. • Updating the base year makes estimates more realistic and globally comparable. • Example: Services like IT, renewable energy, and digital platforms were not captured adequately in the earlier 2004–05 base year series. **Major changes involved in the recent revision in the base year and the method of national income accounting:** • **Shift from GDP at Factor Cost to GDP at Market Prices:** ✓ GDP at Market Prices aligns with the UN System of National Accounts. ✓ It helps in international comparability. ✓ **Example:** India's GDP growth rate in 2013–14 was 6.9% at market prices, compared to 4.7% at factor cost, showing a more accurate picture.  • **Use of MCA21 Database:** ✓ The Corporate sector data obtained from the Ministry of Corporate Affairs' MCA21 portal. ✓ This improved the coverage of private companies, especially in manufacturing and services. ✓ It also improved the Coverage of the Financial Sector. ✓ The non-banking financial companies (NBFCs), mutual funds, pension funds, and stock exchanges are included in the estimates. • **Better Price Indices:** ✓ Use of Consumer Price Index (CPI) and Wholesale Price Index (WPI) with updated baskets. ✓ It enhanced accuracy in deflating nominal to real GDP. • **Inclusion of New Sectors:** ✓ Sectors like communication, renewable energy, R&D, and health services got greater weightage. ✓ Digital economy transactions are increasingly reflected. • **Supply-Use Tables (SUTs)**: It was introduced to reconcile data across production, income, and expenditure approaches. **Impact of changes in the recent revision in the base year and the method of national income accounting:** • It led to upward revision of growth rates. ✓ Example: 2013–14 GDP growth revised from 4.7% (old series) to 6.9% (new series). • It enhanced the credibility of India's statistics globally. • However, some economists argue it creates perception gaps between official data and ground realities (Example: employment stagnation despite high GDP growth).

Conclusion	The revision of the base year and adoption of new methodologies significantly improved the accuracy, coverage, and global comparability of India's national income statistics. While the new series better captures the evolving structure of the economy, challenges of informal sector measurement and employment data gaps persist. A more frequent revision with integration of big data sources will further strengthen national accounts.
Model Question	Explain the significance of the revision of the base year in national income estimation. Discuss the major methodological changes introduced in the recent revision of India's national income accounting and their implications on growth measurement.
Value Addition	**National Income Components:** • **Consumption (C):** Consumption refers to the total spending by households on goods and services for their personal use. • **Investment (I):** Investment refers to capital formation — the creation of new assets that contribute to future production. It includes business expenditure on machinery, tools, buildings, inventory accumulation, and residential construction. • **Government Spending (G):** ✓ This includes all expenditure by central, state, and local governments on: public goods and services, salaries of government employees, welfare programs, and subsidies. ✓ It does not include transfer payments (like pensions or unemployment benefits), as these do not correspond to the production of goods or services. • **Net Exports (X-M):** This is the difference between a country's exports and imports. A positive net export (trade surplus) adds to national income, while a negative net export (trade deficit) reduces it. • **Factor Income:** Additionally, factor incomes (wages, rent, interest, profits) contribute to National Income at Factor Cost, adjusted for taxes and subsidies.

4. Explain the various concepts of national income. What are the limitations of GDP in representing of welfare of people? (TGPSC, 2016)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Explain, What
Approach	• Brief introduction about the concept of national income and the concept of GDP. • List concepts like GDP, GNP, NNP, NDP, personal income, and disposable income. • Mention GDP ignores inequality, informal economy, non-market services, and environmental degradation. • Conclude that welfare requires indicators like HDI, not GDP alone.
Introduction	National income is a comprehensive measure of the economic activity of a country, reflecting the total value of goods and services produced within a given period. Economists use different concepts of national income to capture output, income distribution, and expenditure. However, GDP, as the most popular indicator, has significant limitations in representing people's welfare.
Body & Infographic Representation	**Various Concepts of National Income:** • **Gross Domestic Product (GDP):** ✓ Market value of all final goods and services produced within a country in a year. ✓ Example: According to the IMF, India's GDP for 2025 is expected to be around $4.19 trillion to $4.3 trillion, placing it as the 4th largest economy in the world.



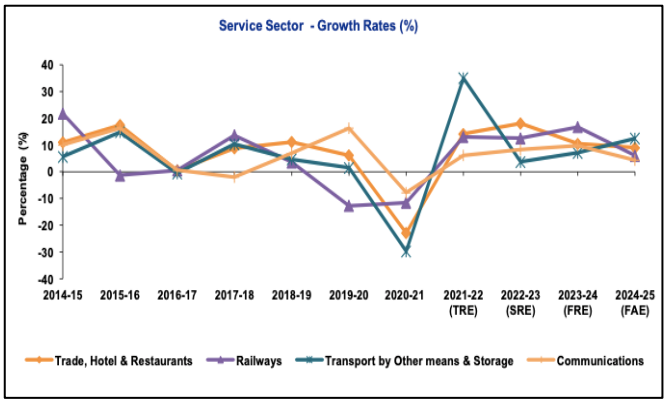
	• **Net Domestic Product (NDP):** ✓ It is GDP minus depreciation of capital assets. ✓ It shows the sustainable level of production. • **Gross National Product (GNP):** ✓ It is the value of GDP plus income from abroad (net factor income from the rest of the world). ✓ Example: In 2024, the World Bank reported that India received a record $129.1 billion in remittances, accounting for its highest-ever global share of 14.3%. • **Net National Product (NNP):** ✓ It is calculated by deducting depreciation from GNP. ✓ It is considered a better measure of economic health. • **National Income (at factor cost):** ✓ It is NNP adjusted for indirect taxes and subsidies. ✓ It reflects actual income earned by factors of production. • **Per Capita Income (PCI):** ✓ It is valued at the National income divided by population. ✓ Example: India's projected per capita income for 2025 is approximately $2,880 (nominal, current prices), according to the International Monetary Fund (IMF). • **Personal and Disposable Income:** It measures the individual/household income available for consumption and savings. **Limitations of GDP in Representing the Welfare of People:** • **Ignores Inequality:** ✓ Rising GDP does not mean equitable growth. ✓ Example**:** Oxfam (2023) reported that the top 1% of Indians hold 40% of wealth, while the bottom 50% own only 3%. • **Excludes Non-market Activities:** Household services, informal care, and unpaid work are not included. • **Environmental Degradation:** ✓ GDP rises even if achieved at the cost of pollution or resource depletion. ✓ Example: India's energy-related CO2 emissions rose by 5.3% in 2024, the highest rate among major economies, driven by rapid economic growth, infrastructure development, and surging energy demand. • **Neglects Human Development:** ✓ Health, education, and nutrition are not reflected in GDP. ✓ Example: India's HDI rank in 2025 was 130/193 (UNDP) despite being a fast-growing economy. • **Short-term Fluctuations:** GDP measures the flow of goods/services but not long-term well-being or happiness.
Conclusion	Different concepts of national income provide useful economic insights, but GDP alone cannot capture welfare comprehensively. True development must consider equity, sustainability, and human well-being. Hence, indices like HDI, MPI, and Green GDP should complement GDP to measure real progress.
Model Question	Define and explain the different concepts of national income. Critically analyse the limitations of Gross Domestic Product (GDP) as an indicator of the welfare of people.
Value Addition	**GDP:** • Gross Domestic Product (GDP) represents the final value of goods and services produced within a country's borders in a specific period, typically a year. • The GDP growth rate is a crucial indicator of economic performance, reflecting health, growth, and development. **Types of Gross Domestic Product (GDP):**

	• **Nominal GDP:** Represents the current prices of goods and services at their monetary value, without adjusting for inflation. • **Real GDP:** It is adjusted for inflation using the GDP price deflator, reflecting the quantity of goods and services produced. It enables comparison across years by holding prices constant to isolate real growth and reduces discrepancies caused by inflation or deflation in nominal GDP. • **GDP Per Capita:** Per capita GDP measures the average economic output or income per person in a country. It indicates the average living standards and productivity. It can be calculated using purchasing power parity (PPP), real terms, or nominal terms. • **GDP Growth Rate:** The GDP growth rate measures the pace of economic growth by comparing quarterly or annual changes in GDP. Expressed as a percentage, it is closely linked to inflation and unemployment policies. • **GDP Purchasing Power Parity (PPP):** Cross-country comparisons become possible by adjusting GDP to account for variations in local prices and living expenses. This adjustment helps evaluate real output, income, and living standards internationally by eliminating the impact of currency exchange rate fluctuations.
5. Describe the factors responsible for the low level of the Human Development Index of India during the last two decades. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Describe
Approach	• Define HDI and India's global ranking trend (UNDP reports). • Discuss factors like poverty, education gap, health disparities, gender inequality, and regional imbalance with empirical data. • Conclude on the need for human capital investment for sustainable development.
Introduction	The Human Development Index (HDI), introduced by the UNDP, measures a nation's progress through health, education, and standard of living indicators. Despite being one of the fastest-growing economies, India continues to exhibit a relatively low ranking in HDI, with 130th out of 193 countries in 2025. This paradox highlights that economic growth has not equally translated into human development.
Body & Infographic Representation	**Factors responsible for the low level of the Human Development Index:** • **Inadequate Health Infrastructure** ✓ Health outcomes remain a major constraint on India's HDI performance. ✓ The life expectancy at birth is 67.7 years, below the global average of 72. ✓ Public health expenditure remains around 2.1% of GDP (Economic Survey 2023–24)—one of the lowest among major economies. ✓ Persistent issues such as malnutrition, high maternal mortality, and child underweight rates continue to drag down the health dimension. • **Educational Inequalities and Learning Deficits** ✓ While literacy rates have improved in recent decades, educational quality remains uneven. ✓ Dropout rates are high, especially among rural girls and marginalised communities. ✓ ASER 2022 report reveals that nearly 50% of Grade 5 students cannot read Grade 2 texts, indicating learning poverty. ✓ Limited access to digital infrastructure further widened educational inequality during and after the COVID-19 pandemic. • **Income Inequality and Poverty Persistence** ✓ Economic growth has not been inclusive. ✓ The top 10% of earners account for nearly 57% of national income (World Inequality Report).

	✓ Informal employment (over 80% of the workforce) and regional disparities, particularly in BIMARU states, keep per capita incomes low. • **Gender and Regional Disparities** ✓ India's Global Gender Gap Index rank (131/148) reflects persistent issues such as low female labour force participation and limited political representation. ✓ Southern and Western states perform better on HDI than Northern and Eastern states, highlighting uneven regional development.
Conclusion	India's low HDI level over the past two decades stems from deficits in health, education, and income equality rather than economic stagnation. To enhance human development, India must prioritise social sector spending, gender equality, and regional balance. Sustainable growth is meaningful only when it uplifts the quality of life for all citizens.
Model Question	Analyse the reasons behind India's persistent low ranking in the Human Development Index despite sustained economic growth.
Value Addition	**Artificial Intelligence Contribution to Human Development** • AI is expected to significantly boost productivity, with 70% of global respondents optimistic about its impact. • By automating routine tasks, AI allows focus on innovation in sectors like manufacturing, services, and agriculture. • A Google report estimates AI could add Rs 33.8 lakh crore to India's economy by 2030, playing a key role in reaching the USD 1 trillion digital economy target by 2028 and contributing 20% to GDP.

6. Describe the changes in the composition and growth of service sector of Andhra Pradesh in the post-reforms period. (APPSC, 2012)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Describe
Approach	• Begin by introducing the service sector as a key driver of Andhra Pradesh's economy after the 1991 reforms, highlighting its increasing share in GSDP. • Explain the changes in composition from traditional services like trade and transport to modern ones like IT, banking, and communication with supporting growth data. • Discuss the growth trends and impact on income and employment using recent figures. • Conclude by emphasizing its role in sustaining inclusive and balanced economic growth.
Introduction	After the 1991 economic reforms, Andhra Pradesh's economy witnessed a structural transformation from agriculture to services. The service sector emerged as the leading contributor to the state's Gross Value Added (GVA), driven by information technology, communications, trade, transport, banking, and public administration.
Body & Infographic Representation	**Changing Composition of the Service Sector:** • In the post-reform period, the service sector diversified significantly. Earlier dominated by traditional services like trade and transport, it now includes modern sectors such as IT, telecommunications, finance, real estate, and tourism. • Hyderabad's IT growth initially influenced the sector's dynamism, and after bifurcation in 2014, the residuary Andhra Pradesh focused on port-based logistics, banking, education, and health services. • Communications have grown rapidly at 15.28% (2024–25 estimates), driven by digital connectivity expansion and mobile penetration. • Banking and Insurance services grew by 14.61%, reflecting improved financial inclusion through schemes like Jan Dhan Yojana and state cooperative banks. • Trade, Hotels, and Restaurants continue to expand due to rising tourism and hospitality initiatives in Visakhapatnam, Tirupati, and Amaravati.

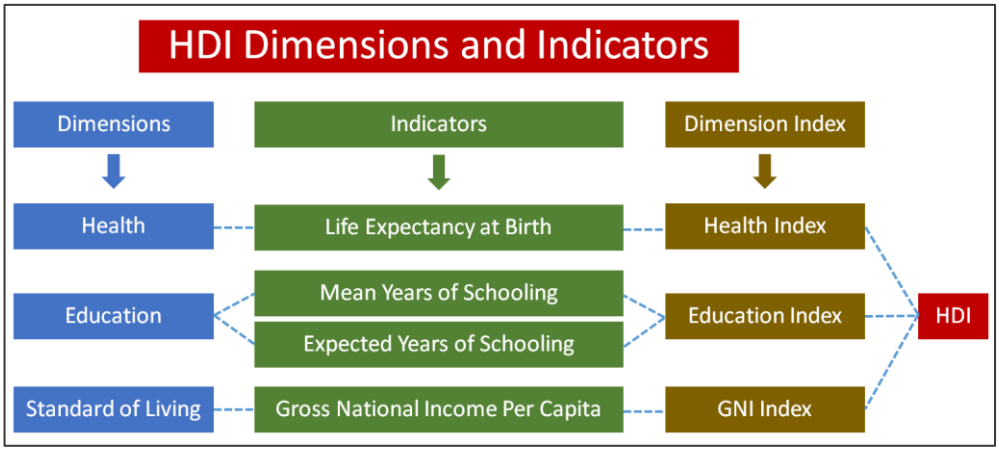
	• Public Administration and Defence Services also show growth with digital governance initiatives such as e-Pragati and village secretariats improving service delivery. **Contribution and Growth Trends:** • The service sector remains the largest contributor to Andhra Pradesh's GVA at Rs.6.11 lakh crore in 2024–25, growing at 11.70%, higher than agriculture (15.86%) and industry (6.71%). • It accounts for over 50% of GSDP, highlighting a shift towards a service-oriented economy. • The sector rebounded strongly post-pandemic, with overall service GVA growing 8.53% as per First Advance Estimates (2024–25). Continuous investments in infrastructure, ports, fintech, and tourism have sustained its growth momentum.  **Impact on Employment and Income:** • The expansion of the service sector has raised the per capita income to Rs.2,68,653 (2024-25), exceeding the national average. • It has also created urban employment, especially in transport, banking, and education sectors, though rural service employment remains limited.
Conclusion	The service sector of Andhra Pradesh has undergone remarkable transformation in the post-reforms period diversifying, modernizing, and becoming the growth engine of the state economy. Strengthening digital infrastructure, skill development, and inclusive service delivery will further consolidate its role in sustainable and balanced economic growth.
Model Question	"The service sector has emerged as the key engine of growth in Andhra Pradesh's economy in recent years. Examine the factors responsible for its rapid expansion and discuss its impact on the overall economic development of the state."
Value Addition	AP SOCIO ECONOMIC SURVEY 2024-25 • The service sector, a crucial component of the economy, encompasses a wide range of activities including Trade, Hotels, Restaurants, Transport by Other Means & Storage, and Supra Regional sectors such as Railways, Communications, and Banking & Insurance. • From 2014-15 to 2024-25, the sector has shown consistent growth, with notable increases in GVA across various sub-sectors. For instance, Trade, Hotels & Restaurants grew from Rs. 36,789 crores in 2014-15 to an estimated Rs. 69,836 crores in 2024-25. • Similarly, the Banking & Insurance sector saw a rise from Rs. 18,063 crores to Rs. 47,038 crores over the same period. • This growth reflects the sector's resilience and its pivotal role in driving economic development.

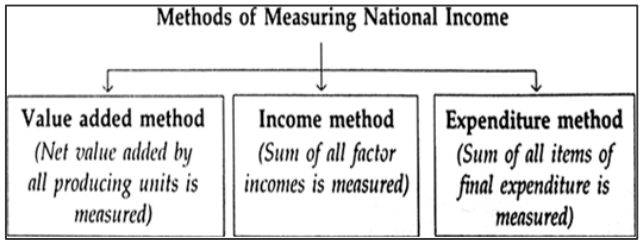
7. Explain the important sectoral changes in post-independence Indian economy with respect to income and work-force (APPSC, 2011)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Explain

Approach	• Briefly define structural transformation and highlight the income–workforce divergence in India since independence. • Explain sectoral shifts in income (agriculture → industry → services) and work-force (persistent agriculture dominance, slow manufacturing absorption, rise of construction & services) with data and policy references. • Conclude by **e**mphasising incomplete transformation.
Introduction	The Indian economy has undergone significant structural transformation since 1947. While the composition of national income shifted from agriculture towards industry and services, the work-force distribution has lagged, remaining concentrated in low-productivity agriculture. This divergence defines the peculiar nature of India's development.
Body & Infographic Representation	**Sectoral Changes in Income:** • Agriculture Dominance in Early Years ✓ In 1950-51, agriculture contributed nearly 54% of GDP, while industry stood at 16% and services at 30% (CSO data, Economic Survey). • Industrialization through Planning (1951–1990) ✓ The Industries (Development & Regulation) Act, 1951 and Five-Year Plans emphasized public sector industries and infrastructure, but the share of industry rose only modestly. • Post-1991 Liberalization ✓ The New Industrial Policy, 1991 dismantled licensing, promoted private investment and opened services such as IT, telecom, and finance. • Current Scenario ✓ By 2024-25, the services sector accounts for approx. 55% of GVA, agriculture 18%, and industry 27% (Economic Survey 2024-25; NITI Aayog). India's path is termed "services-led transformation", unlike the manufacturing-led model of East Asia. **Sectoral Changes in Work-Force:** • Persistent Agriculture Dependence ✓ Despite falling income share, ~46% of the workforce remains in agriculture (PLFS 2022-23, MoSPI). • Slow Industrial Absorption ✓ Manufacturing and modern industry have not generated sufficient employment, leading to concerns of jobless growth. • Construction as Absorber ✓ Share of construction workers has grown to nearly 13%, reflecting rural underemployment shifting to low-skill work. • Services Employment ✓ Sectors like trade, transport, hospitality, and IT employ a growing share, though still less than their contribution to income. • Gender Dimension ✓ Recent PLFS data shows rising female labour force participation, but mostly in self-employment and low-productivity farm activities. **Challenges and Implications:** • **Income–employment disconnect:** ✓ Services drive GDP but do not absorb mass low-skilled labour at the same scale as agriculture did, producing structural unemployment and underemployment. • **Low productivity in agriculture and informal sectors:** ✓ Productivity gaps persist between sectors, and within sectors between formal and informal firms. Policy focus remains on mechanisation, skill development, rural non-farm employment and formalisation.

	• **Data improvements:** ✓ Enhanced surveys (PLFS) and more frequent labour data now allow better tracking of sectoral employment trends — informing targeted policy.
Conclusion	Post-independence India has seen a decisive shift of income from agriculture to services but labour remains trapped in agriculture. The future demands job-rich manufacturing, modern services, and skill development to complete structural transformation and achieve inclusive growth.
Model Question	"Discuss the sectoral changes in the Indian economy since Independence with respect to income and workforce composition. Examine whether these changes indicate a complete structural transformation."
Value Addition	**As of 2025:** • India became the 4th largest global economy in 2025, driven by domestic reforms and global positioning under the vision of Aatmanirbhar Bharat. • India is the world's fastest-growing major economy, with real GDP growing at 6.5% and nominal GDP tripling from ₹106.57 lakh crore (2014–15) to ₹331.03 lakh crore (2024–25). • India is projected to be world's fastest growing major economy (6.3% to 6.8% in 2025-26). • Total exports increased by 76% over the last decade, reaching US$ 825 billion in 2024–25, led by engineering goods, electronics, and pharmaceuticals. • Services exports more than doubled, growing from US$ 158 billion in 2013–14 to US$ 387 billion in 2024–25. • Cumulative FDI inflows reached US$ 1.05 trillion, with a record 27% increase in equity inflows in the first 9 months of FY25 alone. • Digital transactions surged 9x in volume (FY18–FY24), with UPI processing 172 billion transactions in 2024 alone. • Inflation was reduced from an average of 8.2% (2004–14) to around 5% (2015–25) through targeted fiscal and monetary policies. • Retail inflation fell to 4.6% in 2024–25, the lowest since 2018–19.
8. Do you consider the Human Development Index as an alternative to National Income? Justify your answer. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Do you consider, Justify
Approach	• Brief introduction about the concept of Human Development Index and National Income estimation in India. • Describe the HDI (income, education, life expectancy). • Highlight that national income is one-dimensional, HDI is multidimensional. • Conclude that HDI is a better measure of human welfare, but not a full substitute.
Introduction	National Income, measured through GDP or per capita income, reflects the economic output of a nation but fails to account for social and human well-being. To address these gaps, the United Nations Development Programme (UNDP) introduced the Human Development Index (HDI) in 1990. HDI broadens the concept of development by incorporating health, education, and income, offering a people-centric alternative.
Body & Infographic Representation	**Why National Income alone is insufficient?** • **Economic Growth ≠ Human Welfare:** ✓ High GDP does not guarantee equitable distribution or improved living standards. ✓ Example: According to the NITI Aayog report, India's GDP growth averaged 6–7% over the last decade, yet 134 million people were multidimensionally poor in 2023.

	• **Neglect of non-economic aspects:** GDP ignores health, education, gender equality, and the environment. • **Inequality concern:** Oxfam 2023 shows the top 1% of Indians own 40% of wealth, indicating GDP's poor reflection of equity. **Human Development Index (HDI) as an alternative to National Income:** • **Components of HDI:** ✓ Life Expectancy at Birth (Health). ✓ Mean Years & Expected Years of Schooling (Education). ✓ GNI per capita (Income, PPP adjusted).  • **Advantages of HDI:** ✓ It captures multi-dimensional progress rather than just economic. ✓ It enables cross-country comparisons and tracking over time. ✓ It shifts policy focus from income-centric growth to human development policies. ✓ Example: Kerala's HDI far exceeds the national average, reflecting strong education and health outcomes despite modest per capita income. • **Limitations of HDI:** ✓ Over-simplification of complex realities which ignores inequality, gender gaps, and environmental sustainability. ✓ Supplementary indices like IHDI (Inequality-adjusted HDI), Gender Development Index, and SDG Index are required for a holistic picture. • HDI is not a perfect substitute but a complementary alternative to National Income. • It ensures that policy frameworks consider quality of life and equity in addition to economic growth.
Conclusion	While National Income reflects economic strength, HDI better represents human welfare and development. It should not replace but rather complement GDP to provide a balanced measure of progress. A multidimensional approach integrating HDI, IHDI, and SDGs is vital for assessing true development in India.
Model Question	Do you agree that the Human Development Index (HDI) is a better alternative than National Income in measuring the development of a country? Justify your answer with suitable examples.
Value Addition	**India-Specific Insights Human Development Report 2025:** • India's 2023 HDI Rank is 130 out of 193 (up from 133 in 2022) • HDI Value (2023) is 0.685 (up from 0.676 in 2022) • India is still under Medium Human Development, nearing the High Development threshold (0.700) India has the Same HDI value as Bangladesh, but with differing indicators; India ahead of Pakistan (168th, 0.544) and Nepal (145th, 0.622).

9. Explain various approaches to measure national income. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Explain
Approach	• Define how the National Income measures the value of goods and services produced. • Mention three methods—Production, Income, and Expenditure approach. • Conclude that India uses a combination of comprehensive estimates.
Introduction	National income is the total value of goods and services produced within a country in a given year. It serves as a key indicator of economic growth, structural transformation, and policy planning. Economists use three main approaches like Production, Income, and Expenditure methods to measure national income, each offering a different perspective.
Body & Infographic Representation	**Various approaches to measure National Income:** • **Production (or Output) Approach:** ✓ It measures the value of final goods and services produced in different sectors like agriculture, industry, and services, within the domestic territory. ✓ It avoids double-counting by excluding intermediate goods, using the concept of value added. ✓ Formula: National Income = ∑ (Value of Output – Intermediate Consumption). ✓ Example: According to the PIB, in India, the services sector has become India's largest economic contributor, with recent figures indicating a contribution of over 55% to Gross Value Added (GVA) during the 2023–24 fiscal year. ✓ Limitation: Informal sector activities are often underreported, making estimates less reliable. • **Income Approach:** ✓ It measures national income as the sum of all factor incomes earned in production: wages, rent, interest, and profits. ✓ Formula: NI = Wages + Rent + Interest + Profits + Mixed Incomes of self-employed. ✓ Example: In India, wages and salaries form over 50% of Gross Value Added, reflecting labour's dominant share. ✓ Limitation: Difficulties arise in accurately measuring self-employed incomes, common in India's informal sector (over 90% of the workforce, ILO report). • **Expenditure Approach:** ✓ It measures national income through total spending on final goods and services. ✓ Formula: GDP = C + I + G + (X – M) ▪ C: Private consumption ▪ I: Investment ▪ G: Government expenditure ▪ X – M: Net exports  ✓ Example: India's GDP in 2022–23 was driven by private consumption (around 58.1% of GDP at constant prices). ✓ Limitation: It requires accurate consumption and investment data, which is often difficult in rural India. • **Reconciling approaches:** ✓ In theory, all three approaches should yield the same GDP figure.

	✓ To ensure accuracy, India uses Supply-Use Tables (SUTs) and national accounts under MoSPI, aligned with the UN System of National Accounts (SNA 2008).
Conclusion	National income can be measured through production, income, or expenditure approaches, each offering unique insights. While India has adopted international standards to improve accuracy, issues of the informal sector and data reliability remain. Strengthening statistical systems and using technology-driven surveys can ensure more precise estimates.
Model Question	Discuss the various approaches to measuring national income. Explain the merits and limitations of each approach in the context of India.
Value Addition	**The Paradox of Higher Spending:** • If households decide to spend more than their current income level, firms will produce more to meet the demand. • The additional factor payments made by firms to support higher production will eventually lead to a rise in household income. • This illustrates how an economy's income can adjust to higher aggregate spending.
10. Explain the problems in measuring national income. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Indian Economy
Keyword	Explain
Approach	• Brief introduction by stating the significance of accurate national income data. • Mention problems like the informal economy, non-monetary production, lack of reliable data, and regional variations. • Conclude that despite improvements, challenges remain in coverage and accuracy.
Introduction	National income estimation is essential for policy-making, development planning, and international comparison. However, measuring national income is complex, particularly in developing economies like India. Issues of data accuracy, informal activities, and socio-economic diversity create significant challenges.
Body & Infographic Representation	**Problems in measuring national income:** • **Predominance of the Informal Sector:** ✓ Almost 90% of India's workforce is employed in the informal sector (ILO report). ✓ Incomes from street vendors, home-based workers, and small enterprises are difficult to record. ✓ Example: Women's unpaid domestic work, though economically valuable, is excluded from GDP. • **Non-Monetized Economy:** ✓ In rural areas, barter transactions and subsistence farming are still common. ✓ Example: Agricultural households consume a large share of their own produce, making it difficult to value output in monetary terms. • **Lack of Reliable Data:** ✓ Inadequate statistical machinery in developing regions results in delays and inaccuracies. ✓ Example: Household surveys like NSSO (now NSS) are conducted periodically, but coverage gaps exist in fast-changing sectors like the gig economy and digital platforms. • **Valuation Problems:** ✓ Difficulty in valuing public goods (education, health, defense). ✓ Services provided by the government at subsidized or zero cost are included at input cost rather than actual market value, underestimating contributions. • **Illegal and unreported activities:** Smuggling, black money, and informal lending remain outside the official GDP.

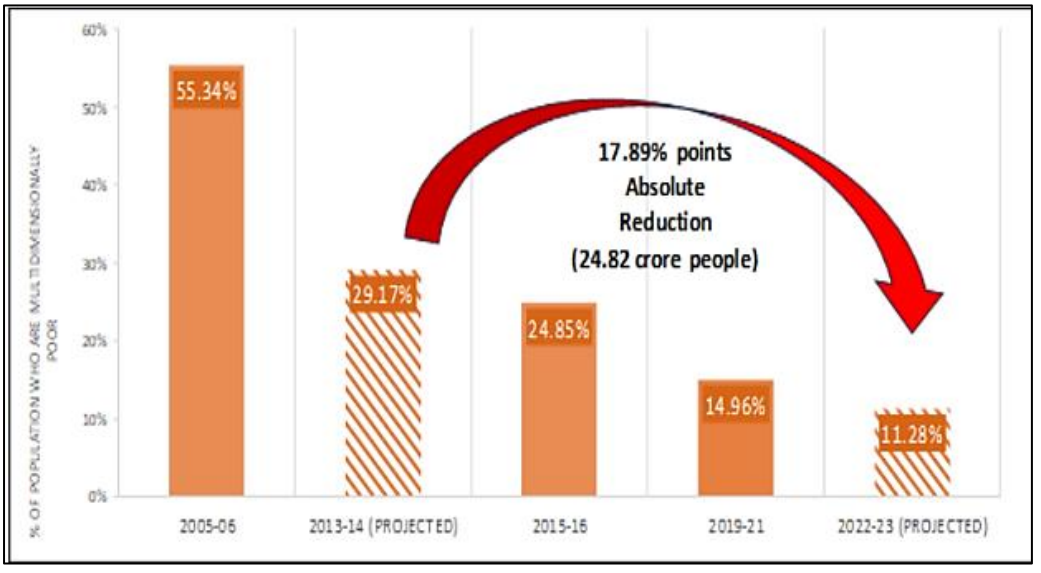
	• **Regional and sectoral disparities:** ✓ India's economy is highly diverse, with advanced sectors like IT coexisting with subsistence agriculture. ✓ It is difficult to capture both with uniform methods. • **Price changes and inflation:** ✓ Differentiating between nominal and real values requires accurate deflators. ✓ Example: The revision of GDP deflator to include CPI and WPI baskets was done to improve accuracy in India.
Conclusion	Measuring national income in India is hindered by informal activities, data limitations, and valuation challenges. Despite improvements through base-year revisions and use of MCA21 corporate data, gaps remain. Strengthening statistical systems and integrating digital records can make national income estimates more reliable and reflective of ground realities.
Model Question	Explain the major problems encountered in measuring national income in developing countries like India. Suggest measures to overcome these problems.
Value Addition	• National Income denotes the total worth of all final goods and services generated within a country during a specific time frame, typically over the course of one financial year. • From a macroeconomic perspective, national income plays a central role in measuring the economic performance and prosperity of a nation. • It is utilised in evaluating per capita income, understanding inequality, and comparing growth across countries. It also forms the basis for fiscal policy formulation, taxation, and welfare schemes. • Globally, institutions like the World Bank, the IMF, and the United Nations rely on national income statistics to assess global economic trends and design development frameworks. • In India, agencies such as the National Statistical Office (NSO) under the Ministry of Statistics and Programme Implementation (MoSPI) handle national income estimation.
11. Discuss the difficulties faced in measuring the developmental level of an economy and justify whether the current method of measurement in India overcomes the difficulties. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Inconsistent Growth Rates
Keyword	Discuss, Justify
Approach	• Brief introduction about the measurement of the developmental level of an economy. • Define economic development beyond GDP. • Mention difficulties like the informal sector, non-monetary transactions, inequality, and regional disparities. • Conclude that Current Indian methods (base year revision, CSO measures) reduce gaps but still do not fully capture welfare.
Introduction	Measuring the developmental level of an economy goes beyond income and production. It must capture social well-being, equity, and sustainability. While India has improved its national income estimation with new methodologies, significant challenges remain in reflecting the true developmental status. As Nobel Laureate Amartya Sen emphasized, development is about expanding people's capabilities and freedoms, not merely income growth.
Body & Infographic Representation	**Economic Development Beyond GDP:** • While GDP measures the total value of goods and services produced within a country, it often fails to capture the multidimensional nature of development.

- ✓ Thus, broader indicators like Human Development Index (HDI), Multidimensional Poverty Index (MPI), and Gross National Happiness (GNH) have been developed to assess social, environmental, and human well-being alongside economic growth.

- In India, the Central Statistics Office (CSO, now NSO) primarily uses GDP, GNI (Gross National Income), and Per Capita Income to measure development, supplemented by indicators on employment, health, and education from NITI Aayog and other agencies.

The difficulties faced in measuring the developmental level of an economy:

- **Over-dependence on GDP/GNP:**
  - ✓ GDP focuses only on economic output, ignoring income distribution, poverty, health, and education.
  - ✓ **Example:** According to the NITI Aayog report, India's GDP growth averaged 6–7% in the last decade, yet 11.28% of the population still lived under multidimensional poverty in 2023.
- **Informal Sector Dominance:** According to the International Labour Organisation (ILO) report, almost 90% of workers remain engaged in informal work, while the share of regular work, which steadily increased after 2000, declined after 2018.
- **Regional Disparities:**
  - ✓ States like Maharashtra, Tamil Nadu, and Gujarat contribute disproportionately to GDP, while Bihar and UP lag in GDP contribution.
  - ✓ This creates difficulty in presenting a uniform developmental picture.
- **Non-economic Indicators Ignored:**
  - ✓ Development includes health, literacy, gender equality, and the environment.
  - ✓ **Example:** India's Global Hunger Index 2024 rank is 105/127, which GDP alone does not capture.
- **Data Collection Challenges**: Outdated surveys, underreporting in agriculture, and weak institutional capacity hinder accuracy.

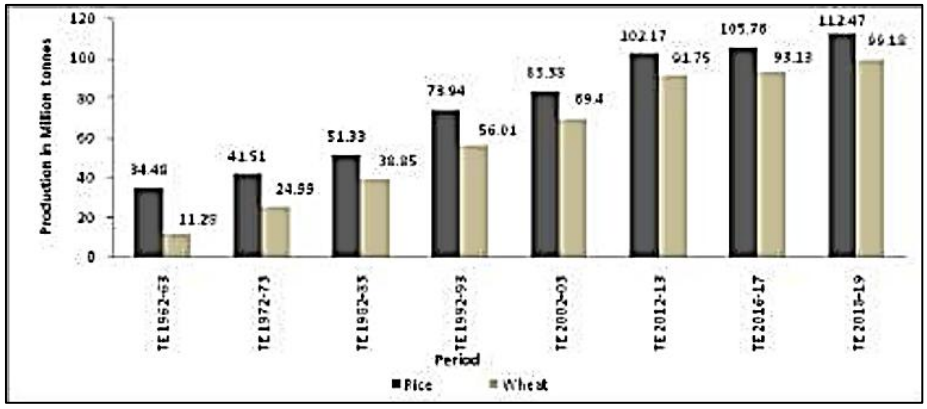
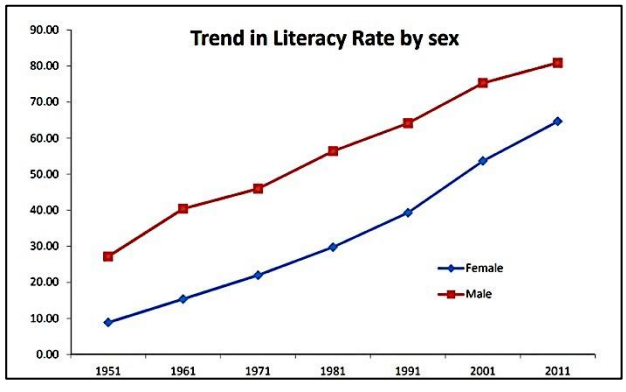


Advantages of current methods of measurement of economy in India:

Shift to GDP at Market Prices (2015 revision):

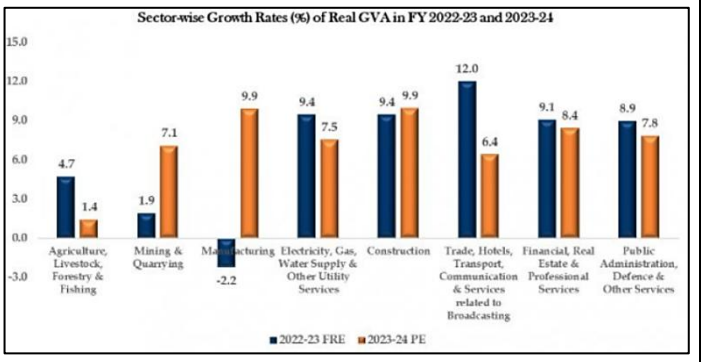
- ✓ It replaced GDP at factor cost, aligning with the UN System of National Accounts.
- ✓ This method improved sectoral coverage (e.g., corporate filings, MCA21 database).

	• **Base Year Revision (to 2011–12, proposed to change to 2022-2023):** This ensures better reflection of structural changes such as the digital economy, renewable energy, and services growth. • **Use of Complementary Indices:** ✓ In the Human Development Index (UNDP 2023), India ranked 134/193, reflecting education and health. ✓ Multidimensional Poverty Index (NITI Aayog 2023) highlights progress in housing, sanitation, and nutrition. ✓ Green GDP and SDG India Index (NITI Aayog) provide sustainability dimensions. • While the revised methods improve accuracy, reliance on GDP alone fails to capture inequality, informal sector dynamics, and environmental degradation. Complementary indicators like HDI, MPI, and SDG Index are essential for a holistic assessment.
Conclusion	Thus, measuring development requires going beyond income-based indicators. India's revised GDP methodology has enhanced precision but cannot fully overcome inherent challenges. A multi-dimensional approach integrating HDI, MPI, and sustainability indices is necessary to reflect true development.
Model Question	Measuring the developmental level of an economy is a complex task due to structural, social, and data-related constraints. Discuss the difficulties faced in this process and evaluate whether the present method of measurement in India adequately addresses these challenges.
Value Addition	**GDP at Factor Cost:** • The factor cost does not include taxes paid to the government, as these are not directly involved in the production process and, therefore, are not part of the direct production cost. • However, subsidies received are included in the factor cost as subsidies are direct inputs into production. • Factor Cost = Cost of Production + Subsidies – Taxes • GDP at Factor Cost = Sum of all Gross Value Added (GVA) at factor cost **GDP at Market Price:** • GDP at market price is the price at which goods and services are sold or offered in the marketplace after all levels of value addition have been accounted for. • Conventionally, the market price is the sum of the cost of production and indirect taxes. • Market Price (MP) = Cost of Production or factor cost + Net Indirect Taxes • Net Indirect Taxes = Indirect Taxes – Subsidy
12. Critically appraise the objectives and major achievements in the Indian economy during the Planning era during 1950-91. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Inconsistent Growth Rates
Keyword	Critically appraise
Approach	• Start with the objectives of planning (growth, equity, industrialisation, self-reliance). • Evaluate achievements: growth in national income, Green Revolution, industrial base, poverty reduction—but also highlight failures (low per-capita income, unemployment, License Raj). • Conclude with a balanced appraisal of achievements vs shortcomings.
Introduction	Independent India adopted a planned development approach in 1950 to overcome the colonial legacy of poverty and underdevelopment. The Planning Commission was set up to frame Five-Year Plans with objectives of growth, equity, self-reliance, and modernisation. The period 1950–91 marked the era of planning before the onset of liberalisation.

Body & Infographic Representation	**Objectives and major achievements in the Indian economy during the Planning era during 1950-91:** • **Objectives of Planning (1950–91):** ✓ **Rapid Economic Growth**: To increase national income and improve living standards. ✓ **Self-reliance:** Reduce dependence on imports, particularly in food grains and capital goods. ✓ **Industrialisation:** Develop a strong base in heavy industries and infrastructure. ✓ **Equity and Social Justice**: Address poverty, unemployment, and regional disparities. ✓ **Agricultural Development:** Ensure food security through land reforms and the Green Revolution. • **Major Achievements in the Indian economy during 1950-91**: ✓ **Agriculture**: Food grain production rose from 50.8 million tonnes (1950–51) to 176 million tonnes (1990–91), making India largely self-sufficient. The Green Revolution in the 1960s–70s transformed Punjab, Haryana, and Western UP into food surplus regions.  ✓ **Industrialisation**: Establishment of public sector enterprises (BHEL, SAIL, ONGC) and heavy industries strengthened the industrial base. Industrial growth averaged 6–7% in the 1980s. ✓ **Infrastructure**: Expansion of railways, roads, irrigation, and dams like Bhakra-Nangal provided a foundation for growth. ✓ **Human Development:** Literacy improved from 18.3% in 1951 to 52% in 1991; life expectancy rose from 32 years (1951) to 59 years (1991).  ✓ **Economic Growth**: Average GDP growth was around 3.5% per annum (termed the "Hindu rate of growth"), but this was a significant improvement from the stagnation of the colonial era. • **Limitations during the planning era:** ✓ Poverty remained high (45% in 1983). ✓ High unemployment despite plans focused on job creation. ✓ Public sector inefficiency and "License Raj" curbed productivity.

	✓ Regional imbalances persisted despite targeted measures.
Conclusion	The planning era built the foundations of a modern mixed economy, achieving food security, industrialisation, and social development. However, persistent poverty, unemployment, and inefficiencies limited progress. These shortcomings led to the economic reforms of 1991 for a more market-oriented approach.
Model Question	Assess the core objectives of India's planned economic development (1950–91). How far were the goals of growth, equity, and self-reliance achieved during this period?
Value Addition	**History of Planning in India:** Economic planning in India started after independence in 1950 when it was deemed necessary for the economic growth and development of the nation with socio-economic objectives. To address above above-mentioned issues, various Plans published before and after independence such as: • **Visvesvaraya Plan (1934):** Proposed by M. Visvesvaraya, this plan focused on shifting workers from agriculture to industrial sectors. • **FICCI Proposal (1934):** The Federation of Indian Chambers of Commerce and Industry (FICCI) stressed the need for planning and the role of the state in the economy. • **Congress Plan (1938):** The National Planning Committee was formed by Subhash Chandra Bose under the chairmanship of Jawaharlal Nehru. • **Bombay Plan (1944):** Proposed by industrialists like Tata and Birla, this plan focused on industrial growth, state intervention in strategic sectors, and support for MSMEs, full employment, and reducing income inequality and regional disparities. • **Gandhian Plan (1944):** Authored by Sriman Narayan Agarwal, focusing on small-scale production and agriculture in line with Gandhian economic principles. • **The People's Plan (1945**): Drafted by M.N. Roy, this plan aimed to meet the immediate basic needs of the Indian people within a 10-year timeframe.
13. Critically examine the performance of public sector in Indian economy. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Low growth rates of agriculture and manufacturing sectors
Keyword	Critically Examine
Approach	• Begin with how the public sector became central to India's mixed economy model post-Independence. • Then discuss its positive contributions such as promoting industrialization, generating employment, and social objectives. Next, critically examine limitations like inefficiency, financial loss, political interference, and crowding out of private sector. • Finally, highlight recent reforms including disinvestment and the new Public Sector Policy, and conclude with a balanced perspective on its future role.
Introduction	The Public Sector in India has historically played a central role in economic development. After Independence, India adopted a mixed economy model, where the State assumed responsibility for establishing key industries, infrastructure, and social services. Public Sector Undertakings (PSUs) were expected to generate employment, ensure equitable distribution of resources, and reduce regional imbalances.
Body & Infographic Representation	**Positive Contributions of the Public Sector:** • **Industrial Base Development:** ✓ Public sector enterprises spearheaded industrialization by investing in core sectors such as steel (e.g., SAIL), power (NTPC), petroleum (ONGC, Indian Oil Corp.) and heavy machinery (BHEL). ✓ These were sectors requiring large capital and long gestation periods that private players were unwilling or unable to undertake initially.

	• **Employment Generation:** ✓ PSUs have been important sources of formal employment. They provided stable jobs with social security benefits to millions, especially in engineering, administration, and skilled labour sectors. • **Infrastructure and Public Goods:** ✓ The public sector invested heavily in railways, energy, roads, aviation (Airports Authority of India), and communications. ✓ These investments were crucial for integrating markets and promoting balanced regional development. • **Strategic and Social Objectives:** ✓ PSUs played a meaningful role in maintaining strategic sovereignty in sectors like defence, atomic energy, and space (ISRO, DRDO). ✓ They also implemented welfare-oriented pricing in essential goods such as fertilizers and fuel, helping support agriculture and low-income groups. **Limitations and Issues in the Public Sector:** • **Low Efficiency and Productivity:** ✓ Many PSUs suffer from bureaucratic control, political interference, and lack of operational autonomy. For example, frequent policy interventions in Air India contributed to its persistent financial losses before privatization. • **Financial Burden on Government**: ✓ Loss-making PSUs have often required budgetary support, increasing the fiscal burden. According to recent government reports, over 30% of Central PSUs are loss-making, particularly in state electricity boards and transportation undertakings. • **Overstaffing and Human Resource Challenges:** ✓ PSUs often face overstaffing, rigid labour policies, and low innovation. The absence of performance-linked incentives has resulted in low productivity and slow decision-making. • **Crowding Out Private Sector:** ✓ In some sectors, excessive government presence discouraged private enterprise investment, especially before economic liberalization (1991). This reduced competitiveness and slowed technological advancement. **Reforms and Current Trends:** • Since 1991, the government has pursued liberalization, disinvestment, and privatization to improve efficiency. • Strategic disinvestments (e.g., Air India to Tata Group in 2021) aim to reduce fiscal burden while focusing the public sector on core strategic areas. • The Public Sector Policy, 2021 identifies four key strategic sectors for continued public presence while allowing private competition.
Conclusion	The public sector has been vital in laying the foundation of India's industrial and infrastructural development and ensuring social welfare. However, inefficiencies, fiscal strain, and limited innovation reduced its competitiveness over time. The current approach of strategic public sector presence with selective privatization seeks to balance national interests with efficiency. A reformed and professionally managed public sector can continue to contribute significantly to India's economic progress.
Model Question	Evaluate the changing role of Public Sector Undertakings (PSUs) in the post-liberalization era.
Value Addition	• According to the PIB, several key statistics illustrating the remarkable performance of India's Public Sector Enterprises. The net worth of Central Public Sector Enterprises (CPSEs) has increased by 82%, from Rs 9.5 trillion in FY14 to Rs 17.33 trillion in FY23.

	• The contribution of CPSEs to the national exchequer—through excise duties, taxes, and dividends—has more than doubled, rising from Rs 2.20 lakh crore in FY14 to Rs 4.58 lakh crore in FY23. • It also highlighted that the net profit of profit-making CPSEs grew by 87%, from Rs 1.29 lakh crore in FY14 to Rs 2.41 lakh crore in FY23. • Furthermore, the total market capitalization of all 81 listed PSEs has grown by 225% under the leadership of the Prime Minister Shri Narendra Modi, outpacing both the PSE index and the BSE Sensex over the past decade.
14. Declining share of the agriculture sector in national income facilitated a rise in the rate of economic growth in India. — Justify your answer. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Low growth rates of agriculture and manufacturing sectors
Keyword	Justify
Approach	• Begin with structural transformation and sectoral shift in national income composition. • Justify how the movement of labour and capital to industry and services boosted productivity, citing data from CSO/NITI Aayog. • Conclude that agricultural decline was compensated by service-led growth, but emphasise inclusive rural development.
Introduction	The Indian economy has undergone a major structural transformation since Independence, with agriculture's share in national income declining from over 50% in 1950–51 to around 17% in 2023–24 (CSO data). This shift reflects the transition from a primary sector-dominated economy to an industrial and service-oriented one. The declining share of agriculture has, paradoxically, facilitated higher economic growth through productivity gains and diversification.
Body & Infographic Representation	**Structural Transformation of the Indian Economy** • As economies develop, they naturally experience a sectoral shift from agriculture to industry and services, an observation consistent with Kuznets' and Clark's theories of economic transformation. In India, this pattern emerged prominently after the 1991 liberalisation reforms, which boosted non-agricultural sectors. • The agriculture sector's share in GDP fell from 29.5% in 1991–92 to 16% in 2023–24. • Simultaneously, the services sector contribution rose to 55.3% of India's Gross Value Added (GVA), making it the main driver of GDP growth in 2025.  **Productivity Differentials and Resource Reallocation** • The decline in agriculture's share has allowed labour and capital to move toward higher-productivity sectors such as manufacturing and IT services. • Agriculture contributes 17% of GDP but employs about 42% of the workforce (NSSO 2023), reflecting low productivity. • Movement of surplus labour to other sectors raised overall productivity, increasing per capita income and economic efficiency. **Linkages and Multiplier Effects**

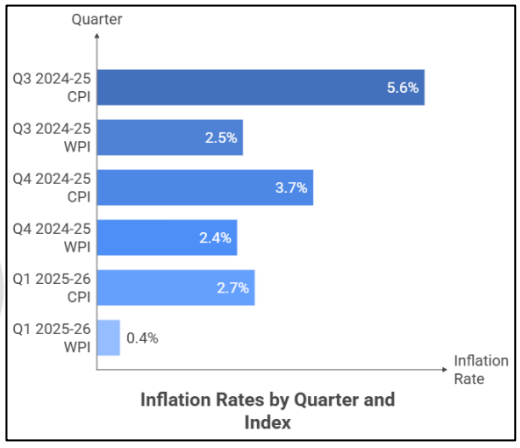
	• Growth in industry and services generated backwards and forward linkages, creating demand for agricultural inputs, logistics, and rural services. • The Green Revolution improved productivity in agriculture, providing raw materials for agro-industries and food processing. • Rural incomes increased, spurring demand for manufactured goods, sustaining overall growth. • According to the Economic Survey 2023–24, India's average GDP growth rate rose from 3.5% during 1950–80 to over 7% after 2000, coinciding with the relative decline in agriculture's income share.
Conclusion	The declining share of agriculture in national income is not a sign of weakness but a hallmark of structural progress. It has facilitated India's transition toward a higher-growth trajectory driven by industrial and service expansion. However, balanced growth demands continued investment in rural infrastructure and agricultural productivity to ensure inclusive development.
Model Question	Assess how structural transformation in India's economy, marked by a reduced agricultural share, has contributed to higher GDP growth.
Value Addition	National income is the total monetary value of all final goods and services produced by a country's residents in a specific period, typically a year, and is a key indicator of a nation's economic health. It is calculated by summing the incomes earned from economic activity, including wages, profits, rent, and interest. Different measures like Gross Domestic Product (GDP) and Gross National Product (GNP) are used to estimate national income.
15. Explain the effects of prevailing low global growth and high global inflation on present Indian 'domestic growth and inflation. Discuss the methods to control inflation with a special mention of inflation targeting. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Inflation and oil prices
Keyword	Explain, Discuss
Approach	• Highlight the twin challenge of low global growth and high global inflation spilling over into India's growth and price stability. • Examine the domestic impact on exports, capital flows, CAD, and inflation, and then outline policy responses like monetary policy, inflation targeting, fiscal and supply-side measures. • Conclude by stressing a balanced approach, anchoring inflation expectations via inflation-targeting while sustaining growth through coordinated monetary-fiscal measures.
Introduction	The global economy faces the dual challenge of sluggish growth and elevated inflation, shaping India's macroeconomic landscape through trade, capital flows, and imported price pressures. For India, sustaining growth while containing inflation requires a nuanced mix of monetary, fiscal, and supply-side strategies, guided by the RBI's inflation-targeting framework and prudent policymaking.
Body & Infographic Representation	**Effects low global growth and high global inflation on Indian Domestic Growth:** • **Weaker external demand - export drag:** ✓ Economic Survey 2024-25 notes India's exports are "high-beta" to global exports; merchandise exports grew modestly in FY25 while global demand slowed. ✓ **Example**: India's merchandise exports grew only modestly (around 3–4% in FY25), below the double-digit growth seen in FY22–23 during the post-pandemic trade rebound.

- ✓ India projects real GDP growth of 6.4% in FY2024-25 (first advance estimates) and nominal GDP growth of 10.1% for FY2025-26 in the Budget, showing reliance on robust domestic demand when external demand weakens.

- **Commodity costs & capex impact:**
  - ✓ High global inflation (notably energy/food) raises input costs.
  - ✓ Union Budget flagged the need for calibrated policy to support growth while managing inflation and capex was set at **₹11.21 lakh crore (3.1% of GDP)** for FY26 to sustain investment demand.
- **Financing pressures from capital flows:**
  - ✓ Global tightening raises borrowing costs and may trigger portfolio outflows, straining financing, RBI and the Budget documents highlight external-financing risks to growth.
  - ✓ **Example:** India's external debt increased by 10%, reaching US $736.3 billion at end-March 2025, up from US $668.8 billion a year earlier.
  - ✓ The debt-to-GDP ratio edged up to 19.1% (from 18.5%).

Effects on Indian Inflation:

- **Imported inflation channel:**
  - ✓ The government noted imported inflation surged from 1.3% (June 2024) to 31.1% (Feb 2025), driven by oils, fats and precious metals, clear evidence that global price rises pass into domestic inflation,



- **Oil dependence amplifies pass-through:**
  - ✓ India's crude import dependence rose to about 88.2% in early FY25, making India vulnerable to global oil price shocks which expand the import bill and lift domestic inflation.
- **Exchange-rate pass-through:**
  - ✓ Global tightening and capital outflows have in episodes caused rupee depreciation, which magnifies import price inflation.

Methods to Control Inflation (special mention: Inflation Targeting):

- **Monetary policy:**
  - ✓ RBI uses repo rate, liquidity ops and guidance.
  - ✓ CPI inflation averaged 4.6% in 2024-25 (down from 5.4% in 2023-24), reflecting monetary policy efficacy while underlining the need to balance growth and price stability.
- **Inflation-targeting framework:**
  - ✓ India operates a flexible inflation-targeting regime with target 4% ±2%, central to RBI's policy decisions and credibility.
- **Supply-side and fiscal measures:**
  - ✓ The Union Budget 2025-26 allocates Capex of ₹11.21 lakh crore (3.1% of GDP) and targets a fiscal deficit of 4.4% of GDP, focusing on logistics, food buffers and supply chain upgrades to relieve supply bottlenecks that cause price spikes.
  - ✓ Imported inflation rose sharply (from 1.3% in June 2024 to 31.1% in Feb 2025), highlighting the urgency for fiscal/supply measures (food buffers, buffers for edible oils, fertilisers) to blunt pass-through.

	• **Macro-prudential and FX tools:** ✓ RBI's FX interventions and reserve buffers are used to limit exchange-rate volatility and imported inflation during shocks. ✓ RBI uses foreign exchange operations to smooth sharp rupee moves and limit imported inflation; India's reserves stood around US $690.72 billion (22 August 2025), providing a substantial buffer for such interventions.
Conclusion	Low global growth weakens export demand, while high global inflation raises import costs and inflation pass-through. India's response—flexible inflation targeting, calibrated monetary policy, targeted fiscal/supply interventions and FX/reserve management, aims to stabilize prices while supporting sustained domestic growth.
Model Question	"Discuss how external shocks like global inflation, energy prices, and tightening capital markets influence India's growth-inflation dynamics. What policy measures can ensure macroeconomic stability?"
Value Addition	Government of India has undertaken a series of administrative measures, including fiscal and trade policy, to control inflation and mitigate its impact on the common citizen. These include, inter alia: • The augmentation of buffer stocks for essential food items • Strategic sales of procured grains in the open market • Facilitation of imports and export curbs during periods of short supply • Implementation of stock limits to push more supplies of select commodities into the market • Retail sales of select food items under the Bharat brand at subsidized rates, and above all, distribution of food grains free of cost to around 81 crore beneficiaries under the National Food Security Act, and • Increasing the disposable income of individuals by exempting annual incomes up to Rs.12 lakh (and Rs.2.75 lakh for salaried individuals with standard deduction) from income tax.
16. Analyse the factors contributing to India's Current Account Deficit (CAD) and unfavourable Balance of Payments (BoP) and discuss their implications for the Indian economy. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Unfavourable balance of payments
Keyword	Analyse, Discuss
Approach	• Define CAD/BoP and state their recent relevance with recent trends. • Analyse factors such as merchandise trade deficit, services & remittances, commodity price shocks, capital flow volatility then discuss implications on currency, inflation, external vulnerability, policy. • Suggest balanced measures for long-term stability through export diversification, energy security, etc.
Introduction	The Current Account Deficit (CAD) and the Balance of Payments (BoP) are crucial indicators of India's external sector health. CAD arises when the value of imports of goods, services, and transfers exceeds exports. India's current account deficit (CAD) has narrowed in the first quarter of 2025–26, with major trends for 2024–25 showing improved external stability supported by strong services exports and remittances, despite elevated merchandise trade gaps and ongoing global volatility.
Body & Infographic Representation	**Factors contributing to CAD and unfavourable BoP:** • **Merchandise Trade Deficit** ✓ India's large import bill of crude oil, gold, and intermediate goods continues to drive the merchandise trade deficit. ✓ In August 2024, gold imports surged to USD 10 billion, widening the trade deficit to a ten-month high of USD 29.65 billion.

	• **Services Exports and Private Transfers** ✓ Strong growth in software, travel, and business services exports cushioned the CAD. ✓ India received a record USD 135.46 billion in remittances during FY 2024–25, marking a 14% increase over the previous year and maintaining its position as the largest global recipient of remittances. • **Commodity Price Volatility** ✓ Rising global crude oil and fertilizer prices in 2024–25 significantly raised the import bill. ✓ India's heavy dependence on imported crude (≈88%) adds structural vulnerability. • **Capital Flow Volatility** ✓ While FDI inflows remained moderate, portfolio outflows during Q3 FY 24–25 led to a BoP deficit of USD 37.7 billion (RBI). ✓ Exchange rate pressures were aggravated as the rupee hovered near record lows, despite RBI interventions. **Implications for the Indian Economy:** • **Pressure on the Indian Rupee:** ✓ A large CAD requires more foreign currency (typically USD) to be sold to finance imports, increasing demand for foreign currency and depreciating the Indian Rupee. This further exacerbates inflation (especially imported inflation) and increases the cost of external debt servicing. • **Depletion of Foreign Exchange Reserves:** ✓ If capital inflows are insufficient to finance the CAD, the RBI has to draw down its foreign exchange reserves to maintain currency stability and meet external obligations. Sustained depletion can reduce the country's ability to absorb external shocks. • **Reduced Investor Confidence:** ✓ A deteriorating external balance can signal economic instability to foreign investors, potentially leading to capital flight and making it harder for India to attract the necessary FDI and Foreign Portfolio Investment (FPI) to finance its growth. • **Higher Borrowing Costs:** ✓ As investor confidence wanes, lenders may demand higher interest rates on loans to India (both sovereign and corporate), increasing the overall cost of borrowing and impacting investment and growth.
Conclusion	India's CAD and BoP trends in 2023–24 reveal a persistent tension between structural merchandise deficits and resilient services inflows. The way forward lies in export diversification, energy import substitution, stable capital inflows, and reserve adequacy, thereby ensuring long-term external sector stability.
Model Question	"Rupee depreciation is both a cause and consequence of India's CAD problem." Discuss with reference to RBI's policy challenges.
Value Addition	As per 2025 data: ✓ Real GDP: 6.4%, Nominal GDP: 9.7% (FY25); Nominal: 10.1% (FY26). ✓ Inflation: within 4±2% band; RBI projects 4.6% (Q1), 4.0% (Q2 FY26). ✓ Fiscal deficit: 4.8% FY25, below 4.5% FY26; Capex: ₹11.21 lakh crore (3.1% GDP). ✓ Exports: merchandise 1.6%, services 11.6% (Apr–Dec 2024). ✓ CAD: 1.2% GDP (Q2 FY25). ✓ Revenue deficit & debt ratio declining. ✓ FDI revived to $48.6 billion; forex reserves $640.3 billion (~90% external debt cover).

17. What changes have been introduced in money supply measures as per the recommendations of the Working Group on Money Supply, 1998 chaired by Dr. Y.V. Reddy? (TGPSC, 2024)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Falling rupee value
Keyword	What
Approach	• Introduce with the importance of money supply measurement in monetary policy. • Explain the key changes in money supply measures (M0, M1, M2, M3, M4) as recommended by the Y.V. Reddy Committee (1998). • Conclude with the significance of these measures for improving monetary policy formulation and financial stability.
V Introduction	In response to evolving financial architecture and limited coverage of traditional monetary aggregates, the Working Group on Money Supply (1998) chaired by Dr Y.V. Reddy recommended a revamped framework. Its aim was to refine India's measurement of money and liquidity, improve analytical clarity, and align with global norms.
Body & Infographic Representation	**Key Recommendations and Changes introduced in money supply measures:** • **Adoption of "New Monetary Aggregates" (NM0–NM3):** ✓ The Group proposed four monetary aggregates, M0 (monetary base), M1 (narrow money), M2, and M3 (broad money), based on progressive liquidity hierarchy. This replaced earlier definitions of M1–M4.

Money Type	Includes	Narrow/Broad	Rank (Liquidity)
M1	Currency with public (coins, currency notes), Net demand deposits held by the public with commercial banks & other deposits with RBI	Narrow Money	1 (Most Liquid)
M2	M1 + savings deposits with post office	Narrow Money	2
M3	M1 + time deposits with the banking system (such as fixed deposits)	Broad Money	3
M4	M3 + all deposits with post office savings organizations, excluding National Savings Certificates	Broad Money	4 (Least Liquid)

✓ M0 includes currency in circulation, bankers' deposits with RBI, and other RBI deposits.
✓ NM2 (intermediate aggregate) groups currency plus residents' deposits up to 1-year maturity, bridging narrow and broad definitions.
✓ NM3 (new broad money) includes NM2 plus long-term deposits and call/term borrowings from non-banks, and crucially excludes FCNR (B) deposits, non-resident foreign currency fixed deposits, as external liabilities.

• **Exclusion of Postal Deposits & Residency Basis:**
✓ The Working Group recommended removing post office savings deposits from money supply aggregates, as postal services are outside the banking sector.
✓ It also introduced a residency-based criterion, excluding certain non-resident deposits (like FCNR (B)) to better reflect domestic liquidity dynamics.

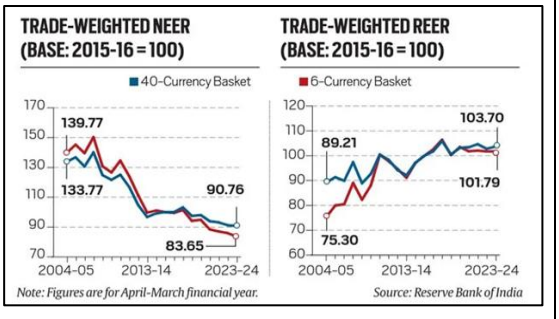
• **Introduction of Liquidity Aggregates (L1–L3):** Acknowledging broader financial system roles, the Group proposed three liquidity aggregates:
✓ L1 = M3 + post office savings deposits,
✓ L2 = L1 + term deposits with financial institutions + refinancing + certificates of deposit,
✓ L3 = L2 + public deposits of NBFCs.
• These aggregates capture the wider financial ecosystem beyond just bank deposits.

• **Strengthening Data Infrastructure:**
✓ Recommended enhanced data collection from banks and non-banking financial institutions, with representative sampling of co-operatives and financial corporations to improve the accuracy and frequency (weekly/fortnightly) of monetary data.

	• **Global Alignment & Analytical Framework:** ✓ The recommendations brought India in line with international monetary statistics, improving analytical rigour of monetary conditions. ✓ They also underpinned RBI's shift to using M3 and broader aggregates as core monetary policy anchors.
Conclusion	The 1998 Working Group under Dr Y.V. Reddy fundamentally transformed India's monetary data architecture, introducing NM0–NM3, liquidity aggregates (L1–L3), removing legacy items (postal deposits), and refining residency criteria. These changes enhanced accuracy, policy relevance, and international consonance of money supply metrics. Today, these aggregates remain central to RBI's monetary policy framework.
Model Question	"How do the revised measures of money supply (M0, M1, M2, M3, M4) improve the RBI's capacity to manage liquidity and monetary policy compared to the earlier system?"
Value Addition	**Monetary Policy rates As on 30th August 2025:** • Policy Repo Rate: 5.50% • Standing Deposit Facility Rate: 5.25% • Marginal Standing Facility Rate: 5.75% • Bank Rate: 5.75% • Fixed Reverse Repo Rate: 3.35% **Reserve Ratios:** • CRR : 4.00% • SLR: 18.00%

18. Is the exchange rate of the Indian Rupee fully determined by the market? Explain the effects of Rupee Depreciation on the Indian Economy. Discuss the role of the RBI in defending the falling rupee. (APPSC, 2023)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Falling rupee value
Keyword	Is, Explain and Discuss
Approach	• Introduce by stating that India follows a market-determined but managed float exchange rate, with the RBI intervening only to curb volatility. • Explain the impacts of rupee depreciation, boosting exports but raising import costs, inflation, CAD pressures, and affecting capital flows, while citing recent data and reports. • Conclude by highlighting that while the rupee is largely market-driven, the RBI plays a stabilizing role through reserves, monetary tools to safeguard financial stability.
Introduction	India's exchange rate regime is market-determined under a managed float system, where demand and supply in forex markets set the rupee's value, with limited RBI intervention to curb volatility. Understanding the rupee's movement is crucial, as depreciation influences trade balance, inflation, capital flows, and overall financial stability in the Indian economy.
Body & Infographic Representation	• **Exchange-Rate Determination: Market-Driven, Not Fully Free-Floating:** ✓ India follows a market-determined, or managed float, exchange-rate regime. ✓ Since 1993, the rupee's value is determined largely by demand and supply in global forex markets, there is no fixed target or band.



- ✓ The IMF confirms that day-to-day exchange-rate movements are market-determined and published daily by the RBI.
- ✓ The RBI intervenes only occasionally, mainly to maintain orderly market conditions and curb excessive volatility, not to set the rate.

Effects of Rupee Depreciation on the Indian Economy:

- **Export Competitiveness and Current Account**:
  - ✓ A weaker rupee makes Indian goods cheaper abroad, helping exporters regain competitiveness, especially vital amid rising U.S. tariffs and global volatility.
  - ✓ The Economic Survey reports rupee depreciated just 2.9% in the first nine months of FY 2024-25, outperforming other EM currencies.
- **Inflation and Import Costs**:
  - ✓ Depreciation raises the cost of imports, particularly crude oil and capital goods, fueling import-led inflation and widening the current-account deficit (CAD)
  - ✓ Example: According to the SBI's Ecowrap (IBC/PIB), imported inflation surged dramatically from 1.3% in June 2024 to 31.1% in February 2025, driven by rising prices of oils, fats, and precious metals.
  - ✓ Example**:** India's reliance on imported crude oil reached a record 88.2% in FY 2024–25, up from 87.8%, highlighting the economy's sensitivity to global oil price swing.
- **Capital Flows and Financial Stability**:
  - ✓ Outflows of foreign portfolios, especially during periods of global tightening, can depreciate the rupee and hurt reserves.
  - ✓ In extreme cases, volatile depreciation can destabilize markets and investor confidence.
  - ✓ Example: As of late August 2025, cumulative FPI outflows exceeded ₹1.17 lakh crore (~US $14 billion), with nearly ₹95,642 crore sold in equities during the first seven months of the year.
  - ✓ Example: Around August 4, 2025, the rupee weakened by 48 paise to ₹87.66, largely attributed to ongoing FII outflows, global trade anxiety, and stronger dollar demand.
- **Economic Growth**:
  - ✓ Modest depreciation can aid growth via export demand.
  - ✓ Estimates suggest each 1% rupee drop could offset 2–3 basis points of GDP drag from tariffs.
  - ✓ However, if inflation spikes, it may strain households and undermine consumption.

Role of the RBI in Defending the Falling Rupee:

- **Forex Market Intervention**:
  - ✓ The RBI intervenes to smooth volatility, not to set the level.
  - ✓ For instance, between June and December 2024, it sold over US $36 billion to stabilize the rupee.
  - ✓ More recently, in May 2025, RBI net purchased $1.7 billion in spot forex to curb rupee appreciation and support exporters
- **Monetary Policy Stance**:
  - ✓ In April 2025, facing slowing growth and tariff-induced pressures, the RBI cut the repo rate by 25 basis points to 6%, shifting to an accommodative stance, aiming to cushion the economy and manage currency volatility.
- **Reserve Management**:
  - ✓ The RBI maintains substantial foreign exchange reserves, which act as a buffer in turbulent times.

	✓ Example: As on August 22, 2025, India's foreign exchange reserves are at US $690.72 billion, which covers 95% of India's external debt and providing an import cover of over 11 months.
Conclusion	Though not fully free-floating, the rupee is largely market-determined, with the RBI acting as a stabilizer. Modest depreciation aids exports but risks import inflation and CAD pressures. The RBI uses forex interventions, monetary policy, and reserves to curb volatility, safeguard stability, and sustain growth, as highlighted in official economic reports.
Model Question	"The Reserve Bank of India acts more as a stabiliser than as a controller of the exchange rate. Discuss with reference to recent episodes of rupee volatility."
Value Addition	**Effective exchange rates (EERs):** • EERs serve as a gauge for assessing the fair value of a currency, the external competitiveness of an economy and even serve as guideposts for setting monetary and financial conditions. • An EER is a summary indicator of movements of the home currency against a basket of currencies of trading partners. ✓ **The nominal effective exchange rate (NEER)** is an index of the weighted average of bilateral exchange rates of home currency vis-à-vis currencies of trading partners, with weights derived from their shares in the trade basket of the home currency. ✓ **A real effective exchange rate (REER)** is the NEER adjusted by relative prices or costs, typically captured in inflation differentials between the home economy and trading partners.
19. "Critically evaluate the role of education and healthcare in achieving inclusive and sustainable development in India. Highlight the current challenges and government interventions. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Lack of Inclusive growth and Sustainable development
Keyword	Critically Evaluate, Highlight
Approach	• Begin with a context-setting introduction highlighting the importance of education and healthcare as foundations of human capital and inclusive growth. • Then, explain their roles in reducing inequalities and promoting sustainable development, supported with examples. Next, critically discuss current challenges and highlight key government interventions and reforms addressing these gaps. • Conclude with suggestions and a forward-looking statement on integrating both sectors for holistic development.
Introduction	Education and healthcare are twin pillars of inclusive, sustainable development: education builds capabilities and social mobility; healthcare secures human capital and protects livelihoods. Together they reduce poverty, enable productive employment, and make growth equitable.
Body & Infographic Representation	**The role of education:** • Education is a powerful tool for social and economic mobility, fostering human capital, and driving innovation. • **For inclusive development:** ✓ Education can help to bridge socio-economic gaps and reduce inequalities. By empowering marginalized groups, particularly women and girls, education can reduce fertility rates, lower maternal and child mortality, and improve overall community development. • **For sustainable development:**

- ✓ Quality education promotes environmental awareness, fosters critical thinking, and encourages innovative solutions to complex global problems like climate change. It equips individuals with the skills needed to create a more resilient and sustainable society.

The role of healthcare:

- A healthy population is a productive population. Affordable and accessible healthcare is essential for human capital development and economic growth.
- **For inclusive development:**
  - ✓ Accessible and affordable healthcare promotes social inclusion and equity by ensuring vulnerable populations, such as women, the elderly, and those with disabilities, have equal access to services. This is crucial for improving health outcomes in underserved communities and preventing families from being pushed into poverty due to medical costs.
- **For sustainable development:**
  - ✓ A strong healthcare system enhances human capital and reduces the economic burden of disease, freeing up resources for other development priorities. It also enables citizens to participate more fully in society and the economy.

Current challenges:

- **Educational challenges:**
  - ✓ **Quality and access:** Although school enrollment is high, quality remains uneven, with many students lacking basic skills. Remote and impoverished areas often suffer from poor infrastructure and a shortage of qualified teachers.
  - ✓ **Equity:** Dropout rates are high, especially for girls and children from marginalized communities, due to poverty and social barriers.
  - ✓ **Outdated curriculum:** The traditional education system often lacks integration with sustainability concepts and does not adequately prepare students for evolving job markets.
- **Healthcare challenges:**
  - ✓ **Funding and infrastructure:** Public health expenditure remains low, and infrastructure is often inadequate, particularly in rural areas. There is also a shortage of trained medical professionals.
  - ✓ **Disparities:** Significant health disparities persist between urban and rural areas, and among different socio-economic groups.
  - ✓ **Preventive vs. reactive:** The healthcare system is largely reactive rather than preventive, and health literacy is often low, especially in disadvantaged communities.

Government interventions:

- **In education:**
  - ✓ **Samagra Shiksha Abhiyan:** Integrates three previous schemes to ensure inclusive and equitable education from preschool to senior secondary.
  - ✓ **National Education Policy (NEP) 2020:** Aims to overhaul the education system with a focus on holistic development, sustainability, and vocational skills.
  - ✓ **Beti Bachao Beti Padhao:** Promotes the education of the girl child.
- **In healthcare:**
  - ✓ **Ayushman Bharat:** The world's largest health insurance scheme, providing health coverage to millions of vulnerable families.
  - ✓ **National Health Mission (NHM):** Focuses on strengthening health systems, especially in rural and urban areas, to ensure universal access to care.
  - ✓ **PM-Ayushman Bharat Health Infrastructure Mission (PM-ABHIM):** Aims to develop capacities of health systems to respond to current and future pandemics.

Conclusion	While India has made considerable progress in extending education and healthcare access. Government initiatives are vital, but their effectiveness is hindered by implementation issues and systemic weaknesses. A truly inclusive and sustainable future for India hinges on concerted, integrated efforts to strengthen both education and healthcare, ensuring that development is not just about economic growth but about enriching the lives and potential of all citizens
Model Question	Evaluate the effectiveness of the Right to Education Act (2009) in achieving universal and equitable schooling in India. What challenges persist?
Value Addition	**Key provisions of the RTE Act:** • The Right to Education (RTE) Act, 2009, is an Indian law that makes free and compulsory education a fundamental right for all children between the ages of 6 and 14. • Enacted on August 4, 2009, and enforced from April 1, 2010, it mandates that the government provide free elementary education and prohibits the collection of capitation fees or entrance exams. • The act also requires private schools to reserve 25% of their seats for disadvantaged children and sets minimum standards for schools, including pupil-teacher ratios and infrastructure.
20. What is human development? Discuss the importance and measurement of Gross National Happiness Index. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Lack of Inclusive growth and Sustainable development
Keyword	What, Discuss
Approach	• Introduce by defining human development as a process of enlarging people's choices in health, education, and standard of living, going beyond mere economic growth. • Explain the concept, dimensions, and indicators of human development as outlined by UNDP. • Discuss the Gross National Happiness (GNH) Index and its components, importance, and method of measurement. • Conclude by emphasizing the need for a balanced approach combining economic and social indicators for holistic development.
Introduction	Human development refers to the process of expanding people's choices and enabling them to live long, healthy, and meaningful lives. It goes beyond economic growth, emphasizing human well-being and dignity. The Gross National Happiness Index (GNH), introduced by Bhutan, complements this idea by measuring progress beyond GDP.
Body & Infographic Representation	**Defining Human Development:** • Human development emphasizes the expansion of human capabilities rather than mere income growth. It is measured through three dimensions: ✓ Long and healthy life: measured by life expectancy at birth. ✓ Knowledge: measured by mean and expected years of schooling. ✓ Decent standard of living: measured by Gross National Income per capita. • These dimensions together form the Human Development Index (HDI), which provides a broader picture of human well-being and social progress rather than focusing only on economic productivity. **Gross National Happiness (GNH) Index:** • The Gross National Happiness Index, introduced by King Jigme Singye Wangchuck of Bhutan in the 1970s, is based on the belief that the true purpose of development is happiness and well-being of citizens, not just wealth creation.

	• It integrates moral, spiritual, and ecological aspects of life, ensuring balanced growth between material progress and mental peace. • Measurement of the GNH Index: The GNH Index is calculated using the Alkire–Foster methodology based on nine domains and 33 indicators: ✓ Psychological well-being, Health, Education, Time use, Cultural diversity and resilience, Good governance, Community vitality, Ecological diversity and resilience, Living standards ✓ A person is considered "happy" when they achieve sufficiency in at least six of the nine domains. Bhutan's GNH surveys collect both qualitative and quantitative data to assess these aspects. **Importance of the GNH Index:** • **Holistic Development:** It measures both economic and non-economic aspects such as mental health, community strength, and environmental quality. • **Policy Guidance:** It helps governments design policies that focus on citizen well-being and sustainability. • **Alternative to GDP:** While GDP measures production, GNH focuses on happiness as the ultimate goal of governance. • **Sustainability:** Encourages harmony between people and nature, aligning with global goals like sustainable development. ✓ For example, Bhutan uses GNH to evaluate public policies ensuring that they enhance citizens' happiness and environmental balance. **Limitations of GNH:** • Subjectivity: Happiness is a personal feeling and can vary widely. • Data collection difficulties: Measuring mental and emotional aspects is complex. • Comparability issues: Different countries may interpret indicators differently, making cross-country comparison difficult.
Conclusion	Human development and Gross National Happiness both aim to enhance human well-being. While human development focuses on expanding choices, GNH emphasizes emotional and spiritual fulfillment. Together, they offer a balanced framework for sustainable, inclusive, and happiness-centered development, ensuring progress with purpose and dignity.
Model Question	"How does the Gross National Happiness Index provide a more comprehensive measure of development than conventional economic indicators? Explain with suitable examples."
Value Addition	**World Happiness Index 2025:** • The World Happiness Report is an annual publication released by the Wellbeing Research Centre, University of Oxford, in partnership with Gallup and the UN Sustainable Development Solutions Network (UN-SDSN). • It is based on people's self-assessed life evaluations and their subjective well-being. • Key Parameters of Measurement: ✓ The report uses 6 major explanatory variables to evaluate happiness are Social support, GDP per capita, Healthy life expectancy, Freedom to make life choices, Generosity, Perception of corruption. • World Happiness Index 2025 top 4 countries. Are Finland (Rank 1 for the 8th consecutive year, Denmark, Iceland, Sweden. • India rank 118 / 147 countries. • Neighbouring countries of India: Nepal (92), Pakistan (109), Sri Lanka(133), Bangladesh(134)
21. Explain the important features of the proposed strategy of Andhra Pradesh to achieve Sustainable Development Goals by 2030. (APPSC, 2017)	

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Lack of Inclusive growth and Sustainable development
Keyword	Explain
Approach	• Introduce by explaining Andhra Pradesh's commitment to achieving the UN Sustainable Development Goals (SDGs) by 2030 through inclusive, environment-friendly, and growth-oriented strategies. • Explain key features like poverty reduction, sustainable agriculture, human capital development, urban sustainability, and climate resilience with supporting examples like Navaratnalu and DBT initiatives. • Conclude by stressing effective implementation, monitoring, and participatory governance to ensure inclusive and sustainable progress.
Introduction	Andhra Pradesh has aligned its developmental policies with the global Sustainable Development Goals (SDGs) 2030 to ensure inclusive and equitable growth. The state's strategy focuses on poverty eradication, human development, environmental protection, and good governance, combining welfare programmes with long-term economic empowerment.
Body & Infographic Representation	**Andhra Pradesh strategies to achieve Sustainable Development Goals by 2030:** • **Focus on Poverty Eradication and Inclusive Growth:** ✓ The state government aims to achieve zero poverty by 2030, integrating SDGs with India's Viksit Bharat 2047 vision. ✓ Flagship welfare schemes under "Navaratnalu" and Direct Benefit Transfers (DBT) ensure social protection, financial inclusion, and timely support to vulnerable households. • **Human Capital Development:** ✓ The strategy prioritizes education, healthcare, and social welfare. Efforts are being made to enhance school attendance, maternal health, nutrition, sanitation, and digital learning. ✓ The state promotes skill-based education and vocational training to integrate youth into AI, MSME, and service-sector jobs. Health interventions target reducing child mortality, malnutrition, and improving access to hospitals in rural areas. • **Sustainable Agriculture and Rural Development:** ✓ With agriculture as the backbone of the economy, the state promotes organic farming, micro-irrigation, and climate-resilient crops. ✓ Rural infrastructure, market linkages, and women's Self-Help Groups (SHGs) are strengthened to ensure sustainable livelihoods. • **Urban and Environmental Sustainability:** ✓ Urban initiatives focus on green energy, solid waste management, renewable energy, and eco-friendly transport systems. ✓ The government emphasizes forest conservation, biodiversity protection, and mitigating climate change effects to ensure sustainable development. **Challenges to Andhra Pradesh's SDG:** • **Strategy Regional disparities:** Backward districts like Kurnool and Anantapur still face high poverty and poor infrastructure. • **Rural poverty and unemployment:** Dependence on agriculture and seasonal jobs limits income stability. • **Skill and education gaps:** Low years of schooling and limited vocational training hinder human capital growth. • **Health and nutrition issues:** Persistent child mortality, malnutrition, and inadequate healthcare access.

	• **Implementation bottlenecks:** Coordination, data gaps, and fund utilization issues slow progress.
Conclusion	Andhra Pradesh's SDG strategy reflects a balanced approach combining welfare with economic empowerment. By promoting inclusive growth, human development, and environmental resilience, the state moves steadily toward the 2030 vision. Effective implementation, participatory governance, and continuous monitoring will be vital for achieving zero poverty and sustainable prosperity.
Model Question	"Discuss the role of state-level initiatives in accelerating progress towards Sustainable Development Goals (SDGs) in India, with special reference to Andhra Pradesh's developmental strategies."
Value Addition	**SDG India Index (2023–24):** • The SDG India Index, developed by NITI Aayog, measures and monitors India's progress toward the UN Sustainable Development Goals (SDGs). It promotes SDG localization by helping states align their policies with national and global development goals. • Key Highlights (2023–24): ✓ India's overall score: Improved to 71 (from 66 in 2020–21 and 57 in 2018). ✓ Top Performers: Kerala and Uttarakhand (79 points each). ✓ Lowest Performers: Bihar (57) and Jharkhand (62). ✓ Front-Runner States: 32 states/UTs, with 10 new entrants including Arunachal Pradesh, Assam, Chhattisgarh, and Uttar Pradesh. ✓ Drivers of progress: Strong performance in poverty reduction, economic growth, and climate action.

2. Resource Mobilization in Indian Economy: Sources of financial resources for public and privatesectors - budgetary resources – tax revenue and non-tax revenue – public debt : market borrowings, loans and grants etc., external debt from multilateral agencies – foreign institutional investment and foreign direct investment – desirability and consequences of utilizing different sources – Monetary and fiscal policies - financial markets and institutions of developmental finance – investment in industries and infrastructure projects - Physical resources – Energy resources

22. What are the factors responsible for the narrow tax base in India? Explain in brief. (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary resources – tax revenue and non-tax revenue
Keyword	What, Explain
Approach	• Introduce by defining the concept of a tax base and highlighting India's narrow tax base problem with relevant data. • Explain the structural, administrative, and policy factors responsible for the narrow base, validating with examples and reports. • Conclude by stressing the need for reforms to widen the tax base for sustainable fiscal capacity and inclusive growth.
Introduction	A tax base is the segment of the economy or population subject to taxation. Despite being the world's fifth-largest economy, India has a narrow base, only about 6.6 crore individuals filed income tax returns in AY 2023–24, with less than 2% paying tax. GST collections also depend on a limited pool, reducing fiscal capacity.
Body & Infographic Representation	**Factors Responsible for India's Narrow Tax Base:** • **Large Informal Economy:** ✓ Over **80–85% of India's workforce** is in the informal sector, with low documentation and poor tax compliance. ✓ Cash transactions dominate, leading to under-reporting of income. • **Low Income Levels and Exemptions:** ✓ A majority of Indians earn below the basic exemption threshold of ₹2.5–3 lakh.

	✓ The bottom 50% of earners contribute less than 5% of direct taxes (Economic Survey 2024–25). • **High Agricultural Dependence:** ✓ Agriculture, contributing ~18% of GDP, is largely exempt from income tax under constitutional provisions. ✓ Wealthier farmers and agri-businesses exploit this exemption to avoid taxation. • **Tax Evasion and Avoidance:** ✓ Practices such as under-reporting of income, use of shell companies, and black money generation erode the tax base. ✓ PWC 2024 report estimates India's "tax gap" at 3–4% of GDP, mainly due to evasion and compliance loopholes. • **Narrow Corporate Tax Coverage:** ✓ Only a small fraction of registered companies file returns; many show nil or minimal taxable income. ✓ High compliance costs deter MSMEs from entering the formal tax net. • **Reliance on Indirect Taxes:** ✓ GST, though a unifying reform, still depends on a narrow taxpayer base of ~1.4 crore registrants (GSTN data). ✓ Many small traders remain outside GST due to thresholds and exemptions. • **Administrative and Structural Challenges:** ✓ Weak enforcement mechanisms, delays in dispute resolution, and limited digital penetration in rural areas restrict compliance. ✓ Fragmented data sharing between agencies weakens tax intelligence. ✓ Example: The GST dispute backlog doubled from ~10,000 cases (₹22,000 crore) in 2021–22 to ~22,000 cases (₹1.14 lakh crore) in 2023–24, blocking ₹7.4 lakh crore in working capital and straining MSME liquidity. **Present Scenario and Policy Efforts:** • **GST and digitization** (e-invoicing, Aadhaar–PAN linking, faceless assessments) have widened compliance. • **Union Budget 2025–26** prioritized widening the tax base by rationalizing exemptions and enhancing digital reporting. ✓ The Budget doubled the threshold for TDS on rent (from ₹2.4 lakh to ₹6 lakh) and interest income for seniors (from ₹50,000 to ₹1 lakh) • **15th Finance Commission** recommended strengthening GST administration by minimizing exemptions, merging the 12% and 18% slabs, targeting a GST-to-GDP ratio of 7%, and enhancing state-level institutional capacity for better compliance and revenue mobilization. • Despite these, India's tax-to-GDP ratio is around 11.7% (2024–25 BE), below the emerging economy average of 15–18%.
Conclusion	India's narrow tax base stems from informality, exemptions, and compliance gaps. Reforms like GST, faceless assessment, and digitalization improved compliance, but deeper measures like formalizing sectors, rationalizing exemptions, and strengthening administration are needed. Broadening the tax base is vital for fiscal capacity, sustainable consolidation, and inclusive development.

Country	Tax-GDP ratio (%)	Per capita income ($)	No of income taxpayers (million)	% of population that pays income tax
US	24	62,794	141	43
UK	33	43,000	31	46
Japan	31.5	39,290	50	40
China	21	9,770	145	10
Brazil	34	8,920	28	13
India	17.5	2,020	85	5.80

Model Question	Despite being one of the fastest-growing economies, India continues to have one of the lowest direct tax-to-GDP ratios among major economies. Examine the reasons and suggest measures to widen the tax base.
Value Addition	**The tax-to-GDP ratio:** • The Tax-to-GDP ratio shows how much tax a country collects compared to the size of its economy (GDP). It reflects what share of national income comes from taxes and gives an idea of how a government raises revenue. This ratio is useful for comparing how different countries collect and depend on taxes. • India's direct tax-to-GDP ratio for 2023-24 shows that it increased to 6.6%, up from 6.1% in 2022-23. This is the highest ratio in the past fifteen years and is expected to be around 6.7% for the following year. • **Indirect tax to GDP ratio of India in 2023-24:** ✓ 2023-24, India's indirect tax-to-GDP ratio stood at 6.86%. Based on the latest GST collections data, this figure indicates a slight increase from the previous year's ratio of 6.72%.
23. What are the changes effected in tax policy in India after the implementation of the recommendation of Tax Reforms Committed in 1994? (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary resources – tax revenue and non-tax revenue
Keyword	What
Approach	• Define the committee and its objective • Present reforms under clear subheadings → Direct tax (rate cuts, base broadening), Indirect tax (service tax, VAT path, tariff cuts).etc • Summarise the impact
Introduction	The Tax Reforms Committee (TRC) under Prof. Raja J. Chelliah (1991–93) laid the foundation for India's modern tax policy. Its recommendations were implemented from 1994 onwards through successive Finance Acts, administrative reforms, and state–centre coordination. The objective was to create a simple, fair, and growth-oriented tax system by lowering rates, broadening the base, and improving compliance.
Body & Infographic Representation	**Major Changes after Implementation of Tax Reforms Committee Recommendations:** • **Direct Tax Reforms** ✓ **Rate rationalization**: Personal income tax compressed into three slabs (10%, 20%, 30%) by 1997–98; corporate tax rates reduced. ✓ **Base Broadening**: Removal/reduction of exemptions and deductions; rationalization of wealth tax and capital gains tax. ✓ **Equity and Compliance**: Ensured moderate rates with a wider base to reduce evasion. • **Indirect Tax Reforms** ✓ **Service Tax Introduction (1994)**: Brought in by Chapter V of the Finance Act, initially on 3 services at 5%; gradually expanded to become a major revenue source. ✓ **Value Added Tax (VAT) Pathway**: States adopted VAT in early 2000s, reducing cascading effect, paving the way for **GST (2017)**. ✓ **Customs and Excise rationalization**: Lowering and unifying rates to promote trade liberalization and competitiveness. • **Administrative and Procedural Reforms** ✓ **Modernization of Tax Administration**: Use of IT in assessments, PAN introduction, and simplification of filing procedures. ✓ **Presumptive Taxation**: Schemes for small traders and professionals to ease compliance.

	✓ **Compliance Measures**: Introduction of Minimum Alternate Tax (MAT) in late 1990s to bring zero-tax companies into the net.
Conclusion	The post-1994 reforms, rooted in the Chelliah Committee's vision fundamentally reshaped India's tax system. They shifted the tax base from narrow and distortionary levies to broader, more efficient direct and indirect taxes, improved compliance, and prepared the ground for structural milestones like service taxation, VAT, and finally GST. These reforms contributed to higher buoyancy of revenues and better alignment of taxation with India's liberalisation trajectory.
Model Question	"Rationalisation of tax rates and broadening of tax base have been the twin pillars of India's tax reforms since 1991. Critically analyse."
Value Addition	The Income-tax Bill, 2025 was tabled in Parliament today, marking a significant step toward simplifying the language and structure of the Income-tax Act, 1961. The simplification exercise was guided by three core principles: ✓ **Textual and structural simplification** for improved clarity and coherence. ✓ **No major tax policy changes** to ensure continuity and certainty. ✓ **No modifications of tax rates**, preserving predictability for taxpayers.
24. Examine the relative shares of direct and indirect tax revenues of Indian Government in the post-reforms period. (APPSC,2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary resources – tax revenue and non-tax revenue
Keyword	Examine
Approach	• Introduce by outlining the evolution of India's tax structure post-1991 reforms—highlighting the gradual shift from indirect to direct tax dominance. • Examine key data trends, policy reforms (like GST and direct tax rationalization), and fiscal statistics to explain the changing relative shares and underlying drivers. • Conclude by assessing how this shift enhances fiscal balance and equity, reflecting a more income-responsive and tech-driven tax system.
Introduction	The post-1991 economic reform era marked a structural transformation in India's tax system. From a regime heavily dependent on indirect taxes, the country gradually transitioned toward a more balanced and increasingly direct-tax-led fiscal structure. This evolution reflects sustained policy reforms, enhanced tax administration, and growing formalization of the economy.
Body & Infographic Representation	**Relative shares of direct and indirect tax revenues of Indian Government in the post-reforms period:** • **Shift in Tax Revenue Composition:** ✓ In 1991-92, direct taxes accounted for around 23% of total gross tax revenue, while indirect taxes contributed nearly 77%. ✓ By 2008-09, the share of direct taxes rose to 55%, marking a historic turnaround. ✓ As per Budget 2025-26, direct taxes are projected to contribute nearly 59% of total revenue, with indirect taxes at about 41%. ✓ According to the Ministry of Finance, the share of direct taxes in total tax revenue reached 56.72% in FY 2023-24, the highest in 14 years, underscoring India's move toward an income-based taxation framework. • **Key Drivers of the Shift:** ✓ **Policy Reforms:** Recommendations from the Raja Chelliah Committee (1991) and Kelkar Task Force (2002) led to rationalization of rates, simplification of tax laws, and broadening of the base. ✓ **Administrative Modernization:** Digitization of filing, e-assessment, and improved monitoring (Eg: faceless assessments, TIN) boosted compliance. ✓ **Economic Growth and Formalization:** Expanding services, digital payments, and corporate profitability enhanced the direct tax base.

	✓ **Indirect Tax Rationalization:** The introduction of GST in 2017 unified multiple taxes, improving efficiency but reducing dependence on older levies like excise and customs. **Recent Data and Fiscal Context:** • **Direct Taxes:** ✓ Gross collections in FY 2023-24 reached ₹23.37 lakh crore, with net collections of ₹19.58 lakh crore, a 17.7% YoY rise. ✓ Personal income tax collections stood at ₹10.44 lakh crore, surpassing corporate tax for the second consecutive year. ✓ The direct-tax-to-GDP ratio hit 6.64%, a 24-year high. • **Indirect Taxes:** ✓ In 2024–25, GST recorded its highest-ever gross collection of ₹22.08 lakh crore, reflecting a year-on-year growth of 9.4 percent. The average monthly collection stood at ₹1.84 lakh crore. ✓ April 2025 recorded an all-time monthly high of ₹2.37 lakh crore in GST receipts, showing sustained buoyancy. ✓ Budget 2025-26 estimates that out of every rupee collected, 39 paise will come from direct taxes and 18 paise from GST, reaffirming their dominant roles. ✓ The recently launched GST 2.0 framework aims to further streamline the indirect tax ecosystem. • **Implications and Structural Balance:** ✓ The growing share of direct taxes indicates a shift toward a more income-responsive and progressive tax system. ✓ Direct taxes enhance equity, while indirect taxes remain vital for stability and consumption-based policy levers. ✓ The current mix (~59% direct, ~41% indirect) provides a fiscally balanced structure, strengthening revenue buoyancy and enabling higher capital expenditure.
Conclusion	India's post-reform fiscal trajectory reveals a decisive shift from indirect-tax dominance to a direct-tax-driven revenue model. With record-high collections, digital compliance, and strong tax buoyancy, the country's tax structure reflects not only economic maturity but also growing fiscal resilience. Yet, sustaining this balance, ensuring progressivity without undermining growth, remains central to future tax policy design.
Model Question	Discuss how the recent GST Reforms 2025 (GST 2.0) aim to provide relief to the common man while promoting ease of doing business and improving tax efficiency in India's indirect tax framework.
Value Addition	**Recent GST Reforms:** • GST simplified to a two-slab structure (5% & 18%) • GST reforms cut taxes on household essentials (soaps, toothpaste, Indian breads) to 5% or Nil boosting affordability. • Life-saving drugs, medicines reduced from 12% to Nil or 5% making healthcare affordable. • Two-wheelers, small cars, TVs, ACs, cement cut from 28% to 18% bringing relief to middle-class. • Farm machinery, irrigation equipment cut from 12% to 5%, reducing farming costs. • Tobacco, pan masala, aerated drinks, and luxury goods taxed at 40%.
25. Describe the analysis of tax devolution from Central Government to Andhra Pradesh Government in the last decade. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary resources – tax revenue and non-tax revenue

Keyword	Describe
Approach	• Introduce by defining tax devolution as the transfer of a share of Central taxes to State Governments based on Finance Commission recommendations, ensuring fiscal balance and cooperative federalism. • Explain the trends in Andhra Pradesh's tax devolution over the last decade-impact of bifurcation, 14th and 15th Finance Commission changes, decline from 42% to 41%, data trends, and key challenges. • Conclude by stressing the need for timely transfers, fiscal autonomy, and stronger state revenue efforts to ensure balanced regional development.
Introduction	Tax devolution refers to the transfer of a share of central taxes to state governments as recommended by the Finance Commissions. In the last decade, Andhra Pradesh has witnessed significant changes in devolution patterns due to the 14th and 15th Finance Commission recommendations and the bifurcation of the state in 2014.
Body & Infographic Representation	**Framework of Tax Devolution:** • Tax devolution is governed by Article 270 of the Constitution, based on Finance Commission recommendations. It ensures fiscal federalism and enables states to fund their development priorities. **Tends in Tax Devolution to Andhra Pradesh (2014–2024):** • **Post-Bifurcation Impact (2014–15):** ✓ After the bifurcation of Telangana, Andhra Pradesh's share was recalculated based on population, income distance, and fiscal capacity. • **14th Finance Commission (2015–2020):** ✓ Increased states' share in divisible pool from 32% to 42%, benefitting Andhra Pradesh through enhanced untied funds. However, the state's per capita devolution remained below the national average due to its smaller tax base and lower fiscal capacity. • **15th Finance Commission (2021–2026):** ✓ Reduced states' overall share to 41% to provide for the newly formed Union Territories. Andhra Pradesh's share slightly declined due to factors like better fiscal performance and higher grants to poorer states. • **Fiscal Devolution Data:** ✓ Between 2015–16 and 2023–24, Andhra Pradesh's share in Central taxes averaged 1.6%–1.7% of total devolution, amounting to approximately Rs.35,000-Rs.40,000 crore annually in recent years. **Challenges and Observations:** • Delay in fund transfers and declining grants-in-aid have stressed state finances. • Andhra Pradesh's dependence on central transfers remains high due to limited internal revenue generation capacity. • The state demands special category status for enhanced fiscal support and balanced regional development.
Conclusion	Over the last decade, tax devolution has been a vital fiscal lifeline for Andhra Pradesh. While devolution has improved the state's resource base post-bifurcation, fiscal autonomy and efficient utilization of devolved funds remain crucial for sustainable economic growth and balanced regional development.
Model Question	"Evaluate the impact of the 14th and 15th Finance Commission recommendations on the fiscal position and developmental priorities of Andhra Pradesh."
Value Addition	• Central Transfers Resource flow from the Centre was Rs.84,251 Crores in the FY 2023-24 and was Rs.89,157 Crores in FY 2024-25 (RE). • Finance Commission allocation constituted a major portion of this Central Transfers, which was Rs.55352 Crores in the FY 2023-24 and Rs.57,002 Crores in FY 2024-25 (RE).

26. Bring out the relative importance of plan and non-plan expenditures of Andhra Pradesh Government during the reform period. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary resources – tax revenue and non-tax revenue
Keyword	Bring out
Approach	• Start with defining plan and non-plan expenditures and their objectives. • Explain how economic reforms (post-1991) changed the composition and priorities of state expenditure in Andhra Pradesh, emphasising development vs. maintenance spending. • Conclude with implications for fiscal sustainability and inclusive growth.
Introduction	Public expenditure in Andhra Pradesh is broadly classified into Plan and Non-Plan categories, reflecting developmental and maintenance functions of the government. During the economic reform period (post-1991), the composition of these expenditures witnessed significant structural shifts due to fiscal consolidation and decentralisation. Understanding their relative importance helps evaluate how state spending aligns with growth and welfare objectives.
Body & Infographic Representation	**Importance of plan and non-plan expenditures of Andhra Pradesh Government during the reform period:** • **Concept and Purpose of Plan and Non-Plan Expenditure** ✓ Plan expenditure refers to outlays under Five-Year and Annual Plans, directed toward developmental activities like irrigation, industry, health, and education. ✓ Non-plan expenditure covers committed liabilities such as salaries, pensions, interest payments, and subsidies. ✓ Together, they reflect both productive investments and administrative sustainability of governance. • **Shift in Expenditure Composition During Reforms** ✓ Post-1991 reforms emphasised fiscal discipline, efficiency, and privatisation of certain sectors. ✓ Revenue expenditure expanded under social schemes like Aarogyasri, fee reimbursement, and housing programs, highlighting a welfare-driven fiscal model. • **Sectoral Trends and Priorities** ✓ **Agriculture and irrigation**: Major plan outlays under Jalayagnam projects aimed at inclusive rural development. ✓ **Social services**: Increased spending on health, education, and women's welfare aligned with Millennium Development Goals. ✓ **Economic services:** Industrial and infrastructure allocations rose with the Vision 2020 framework, promoting private investment. • **Fiscal Implications** ✓ Rising non-plan expenditure increased revenue deficits, prompting fiscal reforms like the AP Fiscal Responsibility and Budget Management Act (2005). ✓ Despite constraints, the government maintained a developmental focus by leveraging centrally sponsored schemes (CSS) and public-private partnerships (PPP).
Conclusion	Thus, during the reform period, non-plan expenditure gained prominence due to social and administrative obligations, while plan spending retained developmental relevance through targeted schemes. The balance between these expenditures determined the fiscal health and growth trajectory of Andhra Pradesh. Going forward, integration of plan and non-plan components under outcome-based budgeting remains vital for sustainable development.

Model Question	Evaluate the changing trends in plan and non-plan expenditure patterns of the Andhra Pradesh Government since the onset of economic reforms.
Value Addition	Aarogyasri is a government-funded health insurance scheme primarily for families below the poverty line in the Indian states of Andhra Pradesh and Telangana. It provides financial protection for major medical treatments and surgeries that require hospitalization.
27. What are the important tax reforms in India since 1991? (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary resources – tax revenue and non-tax revenue
Keyword	What
Approach	• Begin with the significance of tax reforms since 1991 in promoting liberalisation, simplification, and transparency. • Present reforms chronologically and thematically • End by highlighting how these reforms have transformed India's tax system
Introduction	Tax reforms in India since 1991 have been central to economic liberalisation. The objective was to simplify tax structures, widen the base, reduce evasion, and align India's taxation with global standards. Reforms have spanned both direct and indirect taxes, transforming revenue mobilization and taxpayer services.
Body & Infographic Representation	**Major Tax Reforms** • **Rationalisation of Direct Taxes (1991 onwards)** ✓ Reduction of peak income tax and corporate tax rates in the 1990s. ✓ Broadening of tax base by reducing exemptions and deductions. ✓ Alignment with global practices through transfer pricing regulations (2001) and GAAR provisions. • **State-level VAT (2003–2005)** ✓ Replacement of multiple sales taxes with Value Added Tax (VAT) by states. ✓ Ensured uniform tax structure across states, avoided "tax on tax." ✓ Strengthened by an Empowered Committee of State Finance Ministers and backed by a White Paper on VAT (2005). • **Goods and Services Tax (GST), 2017** ✓ Enacted through the 101st Constitutional Amendment Act, 2016. ✓ Subsumed multiple central (excise, service tax) and state (VAT, octroi) levies. ✓ Introduced a destination-based, input credit mechanism, improving ease of doing business and interstate trade. ✓ GST Council institutionalized cooperative federalism in taxation. • **Measures against Black Money and Tax Avoidance** ✓ Benami Transactions (Prohibition) Amendment Act, 2016 to curb Benami holdings. ✓ Black Money (Undisclosed Foreign Income and Assets) Act, 2015 targeting offshore tax evasion. ✓ Strengthening of transfer pricing norms and implementation of GAAR (2017). • **Digitalization and Administrative Reforms** ✓ Introduction of PAN and TAN (1990s); TIN (2003) for better information tracking. ✓ E-filing of returns and online tax payment systems. ✓ Faceless Assessment and Appeals (2019 onwards) to reduce human interface and increase transparency. ✓ Recent upgrades: PAN 2.0, TIN 2.0, and integrated taxpayer grievance redressal systems.

Conclusion	Since 1991, India's tax landscape has shifted from a complex, exemption-heavy regime to a simpler, transparent, and technology-driven system. Landmark reforms like GST, digitalisation, and anti-black money legislation have improved compliance and buoyancy. While challenges remain in revenue mobilisation and litigation reduction, these reforms laid the foundation for a modern tax system aligned with India's growth trajectory.
Model Question	"Examine the role of digitalisation and administrative reforms such as PAN, TIN, and Faceless Assessment in improving tax compliance and transparency since 1991."
Value Addition	Union Budget 2025–26 proposes major direct tax reforms: income up to ₹12 lakh (₹12.75 lakh for salaried) exempt under new regime, higher TDS/TCS thresholds on interest, rent, and remittances to ease compliance, decriminalization of TCS delays benefiting middle class, seniors, and small taxpayers.

28. Differentiate between internal and external public debt. Explain their relative advantages and risks for a developing country like India. (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Debt
Keyword	Differentiate, Explain
Approach	• Define public debt and classify it into internal (domestic borrowings) & external (foreign loans). • Compare advantages: internal = self-reliance, no forex risk; external = technology inflow, concessional loans. Risks: crowding-out vs currency vulnerability. • Conclude with a balanced mix policy for India's growth.
Introduction	Public debt refers to borrowings by the government to meet the gap between expenditure and revenue. It can be broadly classified into internal debt (from domestic sources) and external debt (from foreign sources). For a developing country like India, balancing both is vital for fiscal sustainability.
Body & Infographic Representation	**Difference between Internal and External Public Debt:**

Aspect	Internal Public Debt	External Public Debt
Source of Borrowing	Raised within the country by individuals, commercial banks, insurance companies, financial institutions, and the RBI.	Raised outside the country by foreign governments, international institutions (IMF, World Bank, ADB), or global capital markets.
Currency of Debt	Denominated in domestic currency (Indian Rupee).	Denominated in foreign currencies (USD, Yen, Euro, etc.).
Instruments	Government securities, treasury bills, bonds, National Savings Schemes.	Multilateral/ bilateral loans, external commercial borrowings (ECBs), sovereign bonds.
Repayment	Interest and principal are paid in domestic currency, recycling of funds within the economy.	Interest and principal are paid in foreign currency, creating a forex outflow.
Economic Dependence	No dependence on external sources; maintains domestic financial sovereignty.	Creates dependence on international lenders; subject to global financial conditions.
Risk Factor	Risk of crowding out private investment and inflation due to higher domestic borrowings.	Risk of currency volatility, balance of payments crisis, and external vulnerability.

	Current Share in India	In Union Budget 2025–26, India's total public debt is estimated to be ₹196.79 lakh crore, with internal debt comprising approximately 96.59% of this amount, a significant increase from ₹181.74 lakh crore in the previous year.	India's total external debt stood at USD 736.3 billion at the end of March 2025, representing a 10.1% increase from the previous year

Relative Advantages and Risks of internal and external public debt:

- **Internal Public Debt:**
  - ✓ **Advantages:**
    - It raises resources without external dependence.
    - Interest and repayment remain within the domestic economy, generating income circulation.
    - No foreign exchange risk.
    - Example: India's internal liabilities form over 90% of total public debt (Union Budget 2024–25).
  - ✓ **Risks:**
    - It may crowd out private investment by absorbing domestic savings.
    - It leads to higher inflationary pressures if financed by monetisation of the deficit.
- **External Public Debt:**
  - ✓ **Advantages:**
    - It provides access to foreign capital, technology, and infrastructure financing.
    - It is useful when domestic savings are insufficient for growth.
    - **Example:** External assistance for metro rail projects from JICA (Japan International Cooperation Agency).
  - ✓ **Risks:**
    - It exposes the economy to currency volatility and balance of payments crises.
    - It increases dependence on global interest rates and foreign conditions.
    - Example: The 1991 Balance of Payments crisis was partly due to unsustainable external debt.

Conclusion	For India, internal debt provides safer financing but risks inflation and crowding out, while external debt brings resources but raises forex vulnerability. A prudent mix, with focus on productive use of borrowings, is essential for sustaining growth. Effective debt management policies ensure fiscal stability in the long run.
Model Question	Distinguish between internal and external borrowings of the government. Examine their comparative benefits and challenges in the Indian context.
Value Addition	**Biannual Financial Stability Report (FSR) 2025** • **India is still the driver of Global Growth.** ✓ **Resilience of Indian Economy**: India's real GDP is projected to grow at 6.5% in 2025–26, driven by strong domestic demand and an uptick in investment activity. ✓ **Strong Financial Institutions**: E.g., gross non-performing asset ratio (GNPA) ratio and Net NPA (NNPA) of Scheduled Commercial Banks (SCBs) declined to multi-decadal lows of 2.3% and 0.5% respectively. ✓ **Strong corporate sector performance**: Large borrower cohort's GNPA ratio declined from 3.8% in September 2023 to 1.9% in March 2025

29. "Rising fiscal deficit during the 21st century has been, by and large, responsible for the surge in public debt for the Centre-States in India." Examine. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Debt
Keyword	Examine
Approach	• Introduce the fiscal deficit–public debt relationship in India since the 2000s. • Analyse empirical data: Centre/State borrowings, UDAY bonds, pandemic-related debt; reasons for rising fiscal deficit. • Conclude with sustainability concerns and fiscal discipline through GST, FRBM review, and fiscal consolidation path.
Introduction	Fiscal deficit represents the gap between total expenditure and non-borrowed receipts of the government. Since the early 2000s, India has consistently recorded high fiscal deficits, both at the Centre and State levels. This has translated into a significant surge in public debt, raising concerns about fiscal sustainability.
Body & Infographic Representation	**Link between Fiscal Deficit and Public Debt:** • A higher fiscal deficit implies increased borrowing to finance expenditure. • Over time, sustained fiscal deficits lead to the accumulation of debt and rising interest liabilities, especially in developing economies with limited non-tax revenue. **Trends in Fiscal Deficit:** • Centre's fiscal deficit averaged 5.5% of GDP during the 2000s, compared to the FRBM target of 3%. • Fiscal deficit for 2024-25 in Telangana is targeted at Rs 49,255 crore. • In 2023-24, as per the revised estimates, the fiscal deficit is expected to be Rs 49,373 crore, 29% higher than the budgeted deficit of 2023-24. • In 2020–21, the Centre's fiscal deficit shot up to 9.2% of GDP, while States' deficit widened to 4.1% of GSDP due to COVID-19 stimulus. **Surge in Public Debt:** • General government (Centre + States) debt-to-GDP ratio rose from 68% in 2005 to nearly 81% in 2023 (IMF). • Centre's internal debt forms over 90% of its total liabilities, showing heavy reliance on domestic borrowings. • States face increasing debt through market borrowings and UDAY bonds (2015–17) for power sector bailouts. **Economic Implications of rising fiscal deficit during the 21st century:** • **Rising Interest Burden:** The centre's interest payments were closer to 37% of revenue receipts in the 2024-25 and 2025-26 budgets • **Crowding-Out Effect:** Excessive government borrowing reduces private investment opportunities. • **Inter-generational Debt Transfer:** Future taxpayers bear the repayment burden. • **Macro Stability Risks:** High debt weakens credit ratings and investor confidence. **Counter-View of rising fiscal deficit during the 21st century**: • Some deficits are growth-inducing when used for capital expenditure. • For instance, the Centre's capital spending at 3.4% of GDP (2024–25 BE) supported infrastructure and job creation.
Conclusion	Rising fiscal deficits have undeniably contributed to the surge in public debt for both Centre and the States during the 21st century. While necessary during crises, persistent high deficits erode fiscal space and increase debt servicing costs. Balanced fiscal consolidation with emphasis on productive capital expenditure is essential for sustainability.
Model Question	Critically analyse the link between fiscal deficit and rising public debt in India since 2000. Do you think the present levels are sustainable?

Value Addition	• India's fiscal deficit for the first four months of this fiscal year (2025-26) through April-July stood at Rs.4.68 lakh crore, or 29.9% of annual estimates, according to the government data. • The fiscal deficit widened from 17.2% reported in the comparable year-earlier period. • Total receipts stood at Rs.10.95 lakh crore rupees, while overall expenditure in April to July was at Rs.15.63 lakh crore rupees. They were 31.3% and 30.9% of this fiscal year's budget target. • Total receipts in the year-earlier period were at 31.9% of the estimate, while expenditure widened from 27.0% a year earlier. • Revenue receipts stood at Rs.10.65 lakh crore, of which tax revenue was Rs.6.61 lakh crore and non-tax revenue was Rs.4.03 lakh crore.
30. Explain the reasons leading to higher Public Debt in India. Discuss the scope of public debt sustainability in India. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Debt
Keyword	Explain, Discuss
Approach	• Introduce the rising debt-GDP ratio in India. • Discuss reasons: high fiscal deficit, welfare subsidies, infrastructure push, COVID borrowing. Assess sustainability using the debt-to-GDP ratio, as per the RBI/IMF view. • Conclude with the need for fiscal consolidation & expenditure rationalisation.
Introduction	Public debt refers to borrowings by the Union and State governments to bridge the fiscal deficit. India's public debt has grown significantly in the 21st century due to welfare commitments, infrastructure needs, and crisis-driven spending. The key concern today is not just its rise but its long-term sustainability.
Body & Infographic Representation	**Reasons Leading to Higher Public Debt in India:** • **Persistent Fiscal Deficits:** ✓ Fiscal deficit remains high; ✓ Centre's deficit was 4.8% of GDP in 2023–24 (RE), above FRBM targets. ✓ Rising deficits push borrowing requirements. • **Subsidy and Welfare Burden:** ✓ According to the Union Budget 2025-26, Rs.203420 crore has been earmarked for food subsidy. ✓ Populist welfare schemes by the Centre and States increase non-productive expenditure. • **Crisis-Induced Borrowings:** The 2008 Global Financial Crisis, COVID-19 pandemic (deficit at 9.2% of GDP in 2020–21) led to debt-financed stimulus packages. • **Low Tax Buoyancy:** ✓ India's tax-to-GDP ratio remains around 11–12%, lower than OECD average (34%). ✓ Weak revenue mobilisation forces reliance on borrowings. • **Infrastructure Investment Needs:** Capital expenditure reached ₹11.1 lakh crore in the Union Budget 2024–25, financed partly by borrowings. **Scope of Public Debt Sustainability in India:** • **Debt-to-GDP Ratio:** At 81% in 2023 (IMF), above FRBM recommended 60%, but manageable compared to advanced economies (US >120%). • **Favourable Structure**: Over 90% of India's debt is internal, reducing external vulnerability. • **Growth Prospects**: With GDP projected to grow at 6.5–7% annually, debt servicing capacity improves.

	• **Institutional Safeguards**: FRBM Act, RBI's debt management, and fiscal consolidation paths ensure discipline. • **Risks:** High State borrowings (debt-GSDP ratio >30% in Punjab, Rajasthan) and rising guarantees pose concerns.
Conclusion	India's rising public debt stems from fiscal deficits, welfare spending, and crisis borrowing. While current debt levels remain sustainable due to internal structure and growth prospects, unchecked fiscal slippages may strain long-term stability. A balanced fiscal strategy focusing on revenue mobilisation and productive expenditure is crucial.
Model Question	Analyse the factors contributing to India's rising public debt. Evaluate whether India's debt burden is sustainable in the medium to long term.
Value Addition	**Legal framework for management of public debt in India** • **Fiscal Responsibility and Budget Management (FRBM) Act, 2003:** ✓ It provides a legislative framework for the reduction of the deficit and thereby the debt of the Central Government to a sustainable level over the medium term. ✓ It sets a target of containing Central Government Debt to 40% and General Government debt to 60% of GDP by 2024-25. • **RBI Act, 1934:** Under Section 20 of the act, RBI was obliged to manage the Central Government's public debt. • **Government Securities Act, 2006:** It amends the law relating to Government securities and their management by RBI with the Public Debt Act, 1944, ceasing to apply to the government securities.
31. Define public debt and give its components with reference to the Indian government. Explain trends in public debt since 2010 onwards. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Debt
Keyword	Define, Explain
Approach	• Define public debt and classify (internal, external, small savings, securities). • Show trends: FRBM-led moderation (2010–14), rise post-2016 demonetisation slowdown, pandemic borrowing spike. • Conclude with current trajectory and need for debt sustainability measures.
Introduction	Public debt refers to the total liabilities incurred by the Union and State governments to finance their fiscal deficits. It is a vital instrument for meeting development and welfare needs in a resource-constrained economy. In India, public debt has expanded significantly since 2010, influenced by growth cycles and crises.
Body & Infographic Representation	**Definition:** Public debt is the sum of all borrowings by the government from internal and external sources, excluding short-term liabilities like contingent obligations. **Components of Public Debt in India: (as per Union Budget classification)** • **Internal Debt:** Borrowings within the country through government securities, treasury bills, bonds, market loans, and RBI financing. • **External Debt:** Loans from foreign governments, multilateral institutions (World Bank, IMF, ADB), and global markets, mostly in foreign currency. • **Other Liabilities:** Small savings schemes, provident funds, and special deposits. • (Internal + External = Public Debt; including Other Liabilities = Total Liabilities) **Trends in public debt since 2010:**

	• **2010–2014:** Debt-to-GDP ratio remained around 66–68%, aided by FRBM targets and high GDP growth. • **2014–2019:** Despite increased capital expenditure, debt levels stabilised near 70% of GDP, as revenue buoyancy improved after GST rollout. • **2020 Pandemic Shock:** Fiscal deficit shot up to 9.2% of GDP (Centre); public debt rose to ~89% of GDP in 2020–21 (IMF). • **Post-Pandemic Recovery:** Debt-to-GDP ratio moderated to 81% in 2023 (IMF) due to strong nominal GDP growth. • **Current Scenario:** Internal debt dominates with over 90% share; external public debt remains low at 19.4% of external liabilities, reducing currency risk. • **State Trends:** State debt-to-GSDP ratio averaged 27% in 2022–23, with stress in states like Punjab and Kerala.
Conclusion	India's public debt has risen since 2010, peaking during the pandemic but stabilising with growth recovery. Its composition is favourable as it is largely internal, limiting external vulnerabilities. Sustainable debt management requires fiscal consolidation, higher tax revenues, and productive expenditure.
Model Question	What is public debt? Discuss its major components in India and bring out the key trends in debt accumulation since the 2010s.
Value Addition	**Reasons for High Public Debt in India** • **Persistent Fiscal Deficits:** Central Government gross fiscal deficit stood at ₹15.77 lakh crore for FY 2024-25, against revised estimates of ₹ 15.69 lakh crore (Controller General of Accounts) • **High Revenue Expenditure:** ✓ Total expenditure stood at ₹46.56 lakh crore, with revenue expenditure recorded at ₹36.04 lakh crore. ✓ Large outgo on subsidies (food, fertiliser, fuel), Salary and pension obligations etc. • **External Debt Growth:** India's external debt rose 10% to $736.3 billion at the end of March 2025 from $668.8 billion a year earlier. (RBI) • **Pandemic-Era Spending:** Central government debt rose, driven by Covid-related healthcare and welfare spending.
32. Critically analyse the causes and consequences of India's public debt relating to the period from 1991 till date. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Debt
Keyword	Critically analyse
Approach	• Introduce debt dynamics post-1991 reforms. • Analyse causes: fiscal profligacy, subsidies, crises (1991 BoP, 2008 GFC, and COVID). Consequences: crowding-out, debt servicing, inflationary pressure. • Conclude with reforms (FRBM, GST, disinvestment) and call for fiscal discipline.
Introduction	Public debt in India refers to borrowings undertaken by the Union and State governments to meet fiscal needs. Since the 1991 balance of payments crisis, debt dynamics have been shaped by structural reforms, fiscal imbalances, and global shocks. Critically analysing this period highlights both growth-supportive and risk-inducing effects of debt.
Body & Infographic Representation	**Causes of Rising Public Debt (1991–date) in India:** • **1991 Crisis and Reforms:** Balance of payments crisis forced India to borrow externally (IMF loan of $2.2 billion). Fiscal deficits above 7% of GDP led to debt accumulation. • **Persistent Fiscal Deficits:** Centre + states consistently ran high deficits; Centre's fiscal deficit averaged 6.2% of GDP in the 1990s.

	• **Welfare & Subsidy Burden:** Food, fertiliser, and fuel subsidies created structural deficits. • **Global Shocks:** The 2008 Global Financial Crisis and the 2020 COVID-19 pandemic compelled higher borrowings. • **Low Tax-to-GDP Ratio:** India's tax revenue remained around 11–12% of GDP, restricting fiscal space. • **Rising State Liabilities:** State debt-to-GSDP ratio increased to 28.8% in 2025. **Consequences of Public Debt:** • **Positive Effects:** ✓ Public debt funded infrastructure, social schemes (MGNREGA, PMAY), and pandemic relief. ✓ India avoided external debt crises due to the predominance of internal debt. • **Negative Effects:** ✓ **Debt Servicing Burden**: approximately ₹10.80 lakh crore or 30.8% of the total revenue expenditure in 2023-24. ✓ **Crowding Out**: High borrowings raise domestic interest rates, limiting private investment. ✓ **Fiscal Stress for States**: States like Punjab and Kerala struggle with debt repayment. ✓ **Intergenerational Equity Issue**: Future taxpayers bear the repayment load. • IMF (2023) estimates India's debt-to-GDP ratio at 81%, higher than FRBM target of 60%. • While debt has enabled welfare and crisis management, the lack of fiscal consolidation has made debt growth unsustainable. • Heavy reliance on revenue expenditure weakens productive capacity, while poor tax mobilisation hampers repayment ability.
Conclusion	India's public debt since 1991 reflects a dual trend—supporting growth and stability but creating fiscal vulnerability. Sustainable management needs fiscal consolidation, rationalisation of subsidies, and boosting tax revenues. Stronger adherence to FRBM targets will ensure long-term debt sustainability.
Model Question	Trace the trajectory of India's public debt since the 1991 reforms. Critically assess the economic consequences of rising debt levels during this period.
Value Addition	**Ways to manage and reduce Public Debt in India** • **Shift towards "debt-GDP ratio" as the fiscal anchor**: Beginning the 2026-27 financial year, the central government has targeted a declining debt-GDP ratio to 50±1 % by March 31, 2031. • **Active Debt Management via Bond Switching:** ✓ A bond switch is a mechanism through which the government replaces existing shorter-duration sovereign bonds with long-duration papers. ✓ The weighted average maturity of outstanding stock of central government market borrowings has risen from 10.4 years in 2018-19 to 13.2 years in 2024-25. • **Subsidy Rationalisation & Tax Reforms:** E.g., Over 4 Crore duplicate LPG Connections deactivated to Curb Misuse under PAHAL scheme; GST compliance drives (e-invoicing, AI-based analytics, etc.), etc. • **Establish Public Debt Management Authority:** It would enable RBI to focus on its core function of monetary policy (flexible inflation-targeting) and regulating banks.
33. Justify the view that public debt is essential for the development of Indian economy endowed with natural resources. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Debt

Keyword	Justify
Approach	• Introduce by defining public debt as government borrowing used to finance developmental and welfare needs. • Justify how productive debt supports infrastructure, social spending, and natural resource development through public investment. • Mention examples like green energy, irrigation, and rural infrastructure projects funded by borrowings. • Conclude by stressing that sustainable and well-managed debt promotes inclusive economic growth.
Introduction	Public debt refers to the borrowing by the government from internal or external sources to meet expenditure when revenues fall short. In a developing country like India, rich in natural resources but constrained by capital, public borrowing becomes crucial for mobilizing funds to promote economic growth and infrastructure creation.
Body & Infographic Representation	**Public Debt in Economic Development:** • **Leveraging natural resources:** ✓ India is endowed with minerals, agriculture potential, and demographic dividend. However, extracting value from these requires large upfront investments in infrastructure, logistics, and human capital. Public debt helps bridge the financing gap in the short term for such long-gestation projects. • **Financing infrastructure & capital formation:** ✓ Massive infrastructure initiatives roads, ports, power, digital networks are capital intensive. Debt allows the government to invest now and capitalise on future returns. ▪ For instance, the government's infrastructure pipeline relies on borrowings and long-term debt to build capacity ahead of growth. • **Counter-cyclical fiscal policy:** ✓ During downturns or shocks, public debt allows the government to maintain growth momentum by sustaining spending or investment when revenues fall. This is especially relevant for emerging economies like India. • **Encouraging private investment (crowding-in):** ✓ When debt finances public goods and reduces bottlenecks (transport, energy, connectivity), private sector productivity improves and private investment is encouraged. • **Supporting social development:** ✓ Debt enables pro-poor expenditure (education, health, sanitation) that might not be immediately self-financing but builds human capital, which is key for long-term growth in a resource-endowed economy. **Challenges in Managing Public Debt in India:** • **Debt Sustainability Concerns:** If the rate of interest on debt exceeds the growth rate of the economy, debt servicing costs rise disproportionately. This can crowd out development expenditure and private investment. • **Limited Private Investment ("Crowding Out" Effect):** Heavy government borrowing can absorb available domestic savings, raising interest rates and reducing credit availability for private players, especially MSMEs. • **Inflationary Pressure:** Excessive borrowing, especially from the central bank, can lead to higher money supply, thereby fuelling inflation—undermining price stability and real returns on savings. • **External Vulnerability:** While India's external debt is relatively low (about 20% of total debt), exchange-rate depreciation or global shocks can raise repayment burdens and macroeconomic instability.

Conclusion	Public debt is a justified and potent instrument for India's development especially given its resource endowments provided borrowing is disciplined, investment is strategic and governance strong. With the right focus on productive expenditure, debt can fuel growth, rather than being a fiscal burden.
Model Question	"While excessive public debt can burden future generations, prudent borrowing can serve as a catalyst for economic transformation." Discuss this statement in the context of India's development experience.
Value Addition	• Reserve Bank of India (RBI) in its Biannual Financial Stability Report (FSR) 2025 found rising public debt in the Indian economy. • Rising Public debt: India's Public Debt as a percentage of GDP in 2024 have remained relatively on higher side (More than 80%) compared to peer Emerging Market Economies (EMEs). • Internal debt is 96.59% and external debt is 3.41% of total public debt of 18,174,284 crore (Union Budget 2025-2026).
34. What are the factors that spur foreign investment in India? Explain the major features of India's Consolidated Foreign Direct Investment (FDI) Policy. Briefly discuss the present situation of the FDI equity inflows in India. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Foreign institutional investment and Foreign Direct Investment
Keyword	What, Explain, Briefly Discuss
Approach	• Introduce FDI as a driver of growth in liberalised India. • Explain pull factors: market size, reforms, infrastructure, digital economy; features of FDI policy (automatic vs approval routes, sectoral caps, and liberalisation). • Conclude with current FDI inflow trends (sectors, countries) and challenges ahead.
Introduction	Foreign Direct Investment (FDI) is a critical driver of India's economic growth, technology transfer, and employment generation. India, since the 1991 reforms, has progressively liberalised its FDI regime to attract global investors. India ranked 15th globally in overall FDI inflows in 2024 and 4th in greenfield project announcements (UNCTAD's World Investment Report 2025).
Body & Infographic Representation	**Factors Spurring FDI in India:** • **Large Domestic Market:** India has a population of 1.4 billion, offering huge demand potential. • **Demographic Dividend**: Over 65% of the population is below 35 years, ensuring a skilled workforce. • **Policy Liberalisation:** 100% FDI allowed in most sectors under the automatic route; initiatives like Make in India and PLI schemes. • **Digital Ecosystem**: India is the second-largest internet market with 850+ million users. • **Cost Advantage:** Competitive labour costs compared to developed economies. • **Strategic Location**: Access to South Asia and Indo-Pacific markets. **Major Features of Consolidated FDI Policy (DPIIT, 2020 – current):** • **Automatic vs Approval Route**: 100% FDI under the automatic route in sectors like services, e-commerce marketplace, and manufacturing. Sensitive sectors (defence, telecom, media) require approval. • **Sectoral Caps:** Example – 74% in defence (automatic), 100% in coal mining, 51% in multi-brand retail. • **Prohibition**: FDI is not permitted in lottery, betting, chit funds, and atomic energy. • **Neighbouring Country Clause (2020):** Investments from countries sharing a land border with India need prior approval (primarily to monitor Chinese investments).

	• **Ease of Business**: Integration with Single Window System, e-Biz portal, and digital approvals. **Present Situation of FDI Equity Inflows in India:** • India received USD 81.04 billion in total FDI inflows in the financial year 2024–25. • India's FDI equity inflows for the full financial year 2024-25 reached USD 81.04 billion, a significant 14% increase from the previous year, and despite a dip in the final quarter, annual inflows hit a three-year high, according to official government data. • **Top sectors (2025):** Services, computer software & hardware, trading, telecom, and automobiles. • **Top investors (2025**): Singapore (30%), USA (11%), and Mauritius (17%). • Despite global FDI contraction, India remains resilient due to strong domestic fundamentals.
Conclusion	India's FDI growth is driven by market size, reforms, and a liberal policy framework. The Consolidated FDI Policy ensures transparency, sectoral clarity, and ease of approvals. Sustaining momentum requires continued policy stability, infrastructure improvement, and global investor confidence.
Model Question	Discuss the determinants of FDI inflows into India. Highlight the key provisions of the Consolidated FDI Policy and assess recent trends in sector-wise inflows.
Value Addition	**Performance Highlights of LEADS 2024:** • **Coastal Group** ✓ Achievers: Gujarat, Karnataka, Maharashtra, Odisha, Tamil Nadu ✓ Fast Movers: Andhra Pradesh, Goa ✓ Aspirers: Kerala, West Bengal • **Landlocked Group** ✓ Achievers: Haryana, Telangana, Uttar Pradesh, Uttarakhand ✓ Fast Movers: Bihar, Himachal Pradesh, Madhya Pradesh, Punjab, Rajasthan ✓ Aspirers: Chhattisgarh, Jharkhand • **North-Eastern Group** ✓ Achievers: Assam, Arunachal Pradesh ✓ Fast Movers: Meghalaya, Mizoram, Nagaland, Sikkim, Tripura ✓ Aspirers: Manipur • **Union Territories** ✓ Achievers: Chandigarh, Delhi ✓ Fast Movers: Dadra and Nagar Haveli and Daman and Diu, Jammu and Kashmir, Lakshadweep, Puducherry ✓ Aspirers: Andaman and Nicobar Islands, Ladakh
35. Discuss the key instruments of Monetary Policy (RBI) and Fiscal Policy in India and evaluate their role in resource mobilisation and inflation management. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Discuss, Evaluate
Approach	• Introduce monetary & fiscal policy as complementary macro tools. • Discuss instruments: monetary (repo, CRR, OMOs) and fiscal (taxation, borrowing, subsidies, expenditure). Evaluate role in growth vs inflation balancing. • Conclude with need for policy coordination in India's developmental path.
Introduction	Monetary and fiscal policies are the two core tools of macroeconomic management in India. While monetary policy, framed by the RBI, focuses on credit control and inflation, fiscal policy, framed by the government, emphasizes taxation and expenditure for growth and stability. Together, they aim at resource mobilisation and inflation management.

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Instruments of Monetary Policy (RBI):

Quantitative instruments:

✓ Repo rate (currently 5.50%, RBI 2025) influences borrowing costs.
✓ Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) regulate liquidity with banks.
✓ Open Market Operations (OMO) control the money supply by buying/selling government securities.

Qualitative instruments: Credit rationing, margin requirements, and selective credit controls direct credit flow to priority sectors like agriculture and MSMEs.

✓ Role in Resource Mobilisation and Inflation Management:

By controlling interest rates, the RBI ensures productive channelization of savings into investment.
For example, repo hikes in 2022–23 curbed excessive demand, helping reduce CPI inflation from 7.4% in September 2022 to around 2.66% year-on-year inflation in July 2025 (MOSPI).
Open Market Operation (OMO) and Cash Reserve Ratio (CRR) adjustments mobilise resources towards developmental sectors while controlling excess liquidity.

Instruments of Fiscal Policy (Government of India):

Taxation policy: Progressive direct taxes and broad-based GST mobilise resources effectively.
Public expenditure: Targeted capital expenditure (₹11.1 lakh crore in 2024–25 Budget, 3.4% of GDP) promotes infrastructure, boosting investment and growth.
Deficit financing & borrowing: Used to mobilise resources but kept in check to avoid inflationary pressures.

Role of Monetary Policy (RBI) and Fiscal Policy in Resource Mobilisation and Inflation Management:

Fiscal consolidation under the Fiscal Responsibility and Budget Management (FRBM) Act limits deficits, thereby containing inflationary financing.
Subsidy reforms (like DBT for LPG, food, and fertiliser) ensure efficient resource use without fuelling inflation.
Counter-cyclical fiscal measures—higher spending during slowdown (COVID-19 relief packages, PM-GKY) and fiscal tightening during boom periods—stabilise inflation.

</td></tr>
<tr><td>Conclusion</td><td>Monetary policy ensures short-term price stability while fiscal policy ensures long-term resource mobilisation for inclusive growth. Their coordinated use has enabled India to manage inflation and maintain economic growth at 7% in FY 2024-25 (IMF). Balanced synergy between the two is crucial for sustainable development.</td></tr>
<tr><td>Model Question</td><td>Explain the major tools of fiscal and monetary policy in India. Assess how they complement each other in managing inflation and mobilising resources.</td></tr>
<tr><td>Value Addition</td><td>Difference between monetary and fiscal policy:
<table>
<tr><th>Aspect</th><th>Monetary Policy (RBI)</th><th>Fiscal Policy (Government of India)</th></tr>
<tr><td>Definition</td><td>Policy framed by the Reserve Bank of India (RBI) to regulate money supply, credit, and interest rates in the economy.</td><td>Policy framed by the Government to manage revenue (taxation) and expenditure for economic stability and growth.</td></tr>
</table>
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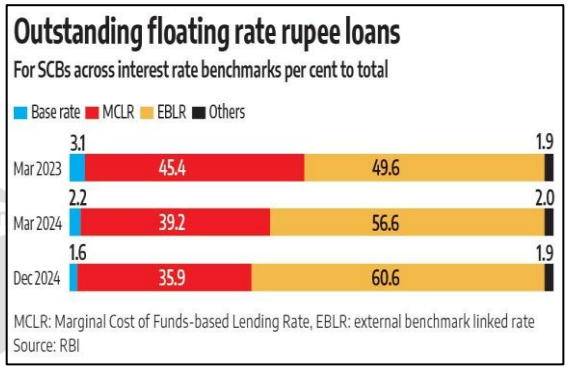
Objective	Price stability, control of inflation, ensuring liquidity, and maintaining financial stability.	Resource mobilisation, redistribution of income, employment generation, economic growth, and controlling inflation.
Instruments	Repo rate, Reverse repo, CRR, SLR, Open Market Operations, credit rationing, margin requirements.	Taxation (Direct & Indirect), Public Expenditure, Public Borrowing, Deficit Financing, Subsidy reforms.
Authority Responsible	Managed by the Reserve Bank of India (RBI), an autonomous central bank.	Managed by the Ministry of Finance and approved by Parliament through the Union Budget.
Time Horizon & Impact	Short-term tool; impact is quicker on inflation and liquidity, but limited in stimulating long-term growth.	Long-term tool; impact is broader on investment, employment, and development, but slower in controlling inflation.

36. Analyse briefly how Liquidity Adjustment Facility (LAF) in India emerged as an effective monetary policy instrument to control market fluctuations in the short run. (TGPSC, 2024)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Analyse
Approach	• Introduce by briefly explaining the origin and purpose of the Liquidity Adjustment Facility (LAF) as a short-run monetary policy tool. • Analyse its evolution, mechanism (repo, reverse repo, VRRR, SDF), and effectiveness in managing short-term liquidity fluctuations with validation from RBI reports/data. • Conclude by highlighting LAF's significance as RBI's principal short-run liquidity instrument while noting its adaptability to emerging financial conditions.
Introduction	The Liquidity Adjustment Facility (LAF), comprising repo, reverse repo, Standing Deposit Facility (SDF), and Marginal Standing Facility (MSF), has become the Reserve Bank of India's principal tool for managing short-term liquidity fluctuations. It's evolving instruments and corridor-based architecture anchor market rates and support monetary policy transmission.
Body & Infographic Representation	**Evolution and Framework:** • **Structural Evolution**: ✓ **1998:** Narasimham Committee recommended a market-based liquidity tool, the LAF- using repo and reverse repo to improve monetary transmission. ✓ **1999–2000:** Interim LAF introduced in April 1999; a full-fledged facility operationalized in June 2000 with daily repo/reverse repo operations. ✓ **Post-2016:** RBI refined LAF with durable and frictional liquidity tools, aiming to maintain near-neutral system liquidity. **Mechanism and Structure:** • **Repo / Reverse Repo:** ✓ Repo: Banks borrow from RBI by selling government securities and agreeing to repurchase later—injecting liquidity. ✓ Reverse repo: RBI borrows from banks, absorbing excess liquidity. • **Corridor and Signaling:** ✓ Between 2004 and 2011, the RBI gradually narrowed the interest-rate corridor between repo and reverse repo, enabling tighter control of overnight rates.

	✓ By May 2011, the reverse repo rate was linked directly to the repo, typically 100 basis points lower. ✓ **Standing Deposit Facility (SDF)** introduced in 2022 added a non-collateralized tool at the corridor's floor, enhancing operational efficiency. ✓ Example: As of June 2024, the RBI maintained the policy repo rate under LAF at 6.50%, with SDF at 6.25% and MSF at 6.75%, thus keeping the corridor symmetrical and narrow. • **Newest Adjustments**: ✓ On April 9, 2025, RBI cut the policy repo rate to 6.00% and adjusted the SDF to 5.75%, with MSF and Bank Rate at 6.25%. ✓ By June 6, 2025, the repo rate had further dropped to 5.50% following a significant CRR cut that injected ₹2.5 lakh crore into the system. **Effectiveness in Managing Short-Run Volatility:** • **Transition of Liquidity Conditions**: ✓ The Monetary Policy Report (April 2025) notes that system liquidity transitioned from a surplus in the first half of 2024–25 to a deficit in the second half. ✓ The RBI's interventions included cash balance adjustments, CRR reduction, and liquidity-augmenting operations to manage this shift. ✓ Specifically, average daily net injection was ₹0.36 lakh crore in H2, compared to average daily net absorption of ₹0.39 lakh crore in H1. • **Operational Target Maintenance**: ✓ The repo rate is the single policy rate, and the weighted average call rate (WACR) remains the operative target, tightly guided by LAF operations. • **Enhanced Instruments Amid Surplus**: ✓ In August 2025, the RBI efficiently managed a liquidity surplus of roughly ₹4 trillion using variable-rate reverse repo (VRRR) instruments to align WACR with the policy rate. • **Adaptive Framework Under Review**: ✓ An internal RBI working group reviewing the Liquidity Management Framework recommended retaining WACR as the operating target and using variable-rate repo/reverse repo auctions of different tenors to keep it aligned with the policy rate. ✓ It also suggested shifting from 14-day to 7-day operations to improve flexibility in managing liquidity swings from forex flows and government spending.
Conclusion	The LAF has matured into an agile, finely tuned monetary instrument. Its evolving toolkit anchored by a narrow corridor (repo in center, SDF floor, MSF ceiling), enables effective liquidity fine-tuning. RBI's responsive rate adjustments, operational measures, and data-driven interventions have allowed it to manage liquidity swings, maintain interest rate stability, and ensure seamless transmission of monetary policy.
Model Question	Compare and contrast the effectiveness of LAF with Open Market Operations (OMOs) in managing liquidity in the Indian economy.
Value Addition	**Some of the Monetary Policy Tools:** • **Repo Rate:** The Repo Rate is the interest rate at which the Reserve Bank of India (RBI) loans money to commercial banks. More specifically, it is the interest rate at which the Reserve Bank provides liquidity under the liquidity adjustment facility (LAF) to all LAF participants against the collateral of government and other approved securities. • **Standing Deposit Facility (SDF) Rate:** The rate at which the Reserve Bank accepts uncollateralized deposits, on an overnight basis, from all LAF participants. The SDF is also a financial stability tool in addition to its role in liquidity management. The SDF rate is placed at 25 basis points below the policy repo rate. With introduction of SDF in April 2022, the SDF rate replaced the fixed reverse repo rate as the floor of the LAF corridor.

37. What is meant by Monetary Policy Transmission? Explain the issues experienced during the process of Monetary Policy and suggest steps to overcome these issues. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	What, Explain, Suggest
Approach	• Introduce by briefly defining monetary policy transmission and its importance in ensuring policy effectiveness for growth and inflation management. • Explain the constraints (lags, loan pricing mix, sticky deposits, liquidity swings, and risk premia) with validation and also suggest steps to overcome these issues. • Conclude by suggesting measures to strengthen transmission, ensuring monetary policy remains a credible and effective tool for macroeconomic stability.
Introduction	Monetary Policy Transmission refers to how RBI's repo rate and liquidity stance impact short-term rates like WACR and G-sec yields, influencing banks' deposit and lending rates, credit, asset prices, and eventually output and inflation. Anchored by WACR as the operating target, the LAF corridor (SDF-Repo-MSF) guides this transmission across the economy.
Body & Infographic Representation	**Channels of Monetary Policy Transmission:** • **Interest rate channel**: repo → WACR/G-secs → bank MCLR/EBLR → EMIs/investment. • **Credit channel:** bank balance-sheet/borrower net worth influence pricing/volumes. • **Expectations & asset price channels:** policy signals affect yields, equity, FX. • Economic Survey notes lending/deposit rates rose in FY24 reflecting lagged pass-through of earlier hikes, underscoring that transmission is neither instantaneous nor uniform.  **Where Transmission Falters (Issues/Constraints):** • **Lags and incompleteness:** ✓ RBI highlights "long and variable lags"; changes in repo don't instantly translate into bank rates or demand. • **Loan pricing regime mix:** ✓ Even as EBLR has expanded, a sizable stock remains on MCLR, more sluggish in adjusting, leading to uneven pass-through (61% of floating loans were EBLR-linked by Dec 2024; higher in private banks than PSBs). • **Bank funding structure:** ✓ Banks derive over 80% of funding from public deposits; sluggish decline in deposit rates limits their ability to reduce lending rates promptly. Industry commentary emphasizes how sticky deposit rates hinder transmission • **Liquidity swings:** ✓ G-sec cash balances, FX operations and festival/GST flows can push the system into transient surplus/deficit, making short-rate alignment and pass-through harder without frequent fine-tuning. • **Market segmentation & risk premia:** ✓ Elevated risk spreads and balance-sheet weaknesses in parts of the system (legacy NPAs, capital constraints) dull rate sensitivity, flagged in RBI market/liquidity chapters.

	Evidence of Recent Progress: • RBI restored a 50 bps corridor and introduced SDF (2022) as the floor, measures that sharpened money-market signaling. • This architecture aids transmission, while acknowledging lags. • Economic Survey FY24 documents continued pass-through to lending/deposit rates with lag. **Steps to Strengthen Transmission:** • **Complete the shift to EBLR:** ✓ Accelerate migration of legacy MCLR books to EBLR where feasible; disclose pass-through by product cohorts to spur competition. ✓ Example: As of Dec-2024 about 61% of floating-rate loans were linked to external benchmarks (EBLR) while MCLR's share fell to ~36% • **Stabilize short-term liquidity:** ✓ Continue frequent VRR/VRRR across tenors to keep WACR near repo; publish granular liquidity calendars. ✓ Example: RBI has used variable-rate repo (VRR) and variable-rate reverse repo (VRRR) operations across tenors in 2025 to absorb/inject large amounts of liquidity. • **Align small-savings rates to market formula transparently:** ✓ Reduces deposit rate rigidity and improves pass-through to lending rates. • **Deepen bond & term-money markets:** ✓ Encourage term repos, broaden market-making in corporate bonds to compress risk spreads and improve pricing of bank credit off the curve. • **Strengthen bank balance sheets & competition:** ✓ Sustained capital/asset-quality gains and contestability (including fintech-enabled distribution) hasten re-pricing.
Conclusion	India's framework, repo-centered corridor with WACR as the operative target has improved transmission, but frictions from loan-pricing mixes, liquidity variability, and funding rigidities persist. Continued LAF fine-tuning, wider EBLR adoption, market deepening, and calibrated small-savings alignment can make transmission faster and more complete.
Model Question	Evaluate the role of bank balance sheets, NPAs, and capital adequacy in influencing the effectiveness of monetary policy transmission.
Value Addition	• **Marginal Standing Facility (MSF) Rate:** The penal rate at which banks can borrow, on an overnight basis, from the Reserve Bank by dipping into their Statutory Liquidity Ratio (SLR) portfolio up to a predefined limit (2 per cent). This provides a safety valve against unanticipated liquidity shocks to the banking system. The MSF rate is placed at 25 basis points above the policy repo rate. • **Liquidity Adjustment Facility (LAF):** The LAF refers to the Reserve Bank's operations through which it injects/absorbs liquidity into/from the banking system. It consists of overnight as well as term repo/reverse repos (fixed as well as variable rates), SDF and MSF. • **LAF Corridor:** The LAF corridor has the marginal standing facility (MSF) rate as its upper bound (ceiling) and the standing deposit facility (SDF) rate as the lower bound (floor), with the policy repo rate in the middle of the corridor.
38. What are the different fiscal policy tools used in India? Can Customs and Excise Duties be used as flexible fiscal policy tools in order to increase revenue and control inflation? (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	What, Can

Approach	• Introduce by defining fiscal policy tools and briefly situating customs and excise duties within India's tax framework post-GST. • Explain the role of these duties in revenue generation, inflation management, and trade policy, while analyzing their constraints with relevant data/reports. • Conclude by suggesting reforms and calibrated use of these duties as flexible fiscal tools balancing growth, stability, and fiscal prudence.
Introduction	Fiscal policy is the government's primary tool to manage economic growth, stability, and redistribution through taxation and expenditure. In India, fiscal policy gains significance as it complements monetary policy in tackling inflation, promoting investment, and ensuring inclusive development. Instruments such as direct/indirect taxes, subsidies, public borrowing, and duties play a vital role in shaping fiscal outcomes.
Body & Infographic Representation	**Fiscal Policy Tools in India:** • **Taxation Instruments:** ✓ **Direct Taxes**: Income tax, corporate tax, capital gains tax – aimed at progressive redistribution. ✓ **Indirect Taxes**: GST, customs, excise duties – affect consumption and trade. ✓ Example: Union Budget 2025–26: Gross tax revenue estimated at ~₹43.5 lakh crore (BE), of which indirect taxes constitute ~34%. • **Public Expenditure:** ✓ Capital expenditure on infrastructure (₹11.1 lakh crore in Union Budget 2025–26) boosts growth multipliers. ✓ Revenue expenditure on subsidies, social welfare, and transfers sustains demand.

Fiscal Indicators - Rolling Targets as a Percentage of GDP

	Revised Estimates	Budget Estimates
	2024-25	2025-26
1. Fiscal Deficit	4.8	4.4
2. Revenue Deficit	1.9	1.5
3. Primary Deficit	1.3	0.8
4. Tax Revenue (Gross)	11.9	12.0
5. Non-Tax Revenue	1.6	1.6
6. Central Government Debt	57.1	56.1

• **Borrowing and Debt Management:** ✓ Market borrowings, issuance of government securities (G-Secs), and external debt. ✓ FRBM review highlights fiscal deficit target of 5.1% of GDP for FY 2025–26. • **Stabilization and Counter-Cyclical Measures:** ✓ Fiscal stimulus packages (COVID-19, PM-GatiShakti) and fiscal consolidation strategies. ✓ Example: India deployed a significant, targeted fiscal stimulus in response to COVID-19, amounting to around ₹20 lakh crore (Approx. 10% of GDP) under the Atmanirbhar Bharat Abhiyan packages to support specific sectors and vulnerable populations. **Customs and Excise Duties as Flexible Fiscal Tools:** • **Revenue Augmentation:** ✓ Customs and excise duties form a significant part of indirect tax revenue. ✓ Example: Reduced Custom duty on Crude Edible oils from 20% to 10% in June 2025, to lower food inflation. ✓ Economic Survey 2024–25 notes that excise duty collections from petroleum products remain a critical non-GST revenue stream, supporting fiscal consolidation. • **Inflation Management** ✓ **Excise Cuts**: In 2022 and again in FY 2025, excise duty on petrol and diesel was cut to ease inflationary pressures and provide consumer relief.

	✓ **Customs Duties**: Reductions on edible oils, pulses, and inputs (as in 2023–24) helped soften food inflation, while hikes on luxury imports discouraged non-essential consumption. • **Trade and Industrial Policy Alignment** ✓ Custom duty tweaks are used to protect domestic industries (e.g., electronics and textiles) and promote "Atmanirbhar Bharat." ✓ Excise duty adjustments on sin goods (tobacco, alcohol) serve both revenue and health objectives. **Issues and Constraints:** • **Revenue Dependence**: ✓ High reliance on petroleum excise (over 15% of Union excise collections) exposes fiscal space to crude oil volatility. ✓ Example: In FY 2024–25, the Union Excise Duty collections were estimated at ₹3,05,000 crore, while Customs Duties stood at ₹2,35,000 crore. • **Inflation Trade-offs**: ✓ While cuts in excise reduce inflation, they can widen fiscal deficit if not offset by higher buoyancy. • **GST Regime Limitations**: ✓ Since most indirect taxes fall under GST, the flexibility of excise/customs duties is now restricted mainly to petroleum, tobacco, and imports. **Steps to Strengthen Use of Duties as Fiscal Tools:** • Broaden excise/customs base beyond petroleum to reduce fiscal vulnerability. ✓ RoDTEP reinstated June 2025 to support sectoral exporters. • Transparent and predictable duty structures to balance industry needs with inflation control. ✓ UK–India trade deal simplifies and clarifies customs processes. • Integrate customs policy with trade policy for export competitiveness. • Use targeted excise reductions during inflationary spikes while ensuring fiscal prudence.
Conclusion	Customs and excise duties remain crucial flexible fiscal policy tools in India, even in the GST era. They not only augment revenue but also act as quick stabilizers against inflationary shocks and trade imbalances. However, their effectiveness requires careful calibration with fiscal deficit targets and long-term structural reforms to ensure sustainable growth and stability.
Model Question	Fiscal policy in India often faces the dilemma of revenue maximization versus inflation control. Evaluate this statement with reference to excise duty adjustments on petroleum products.
Value Addition	**FRBM ACT 2003:** • The FRBM framework mandates the Central Government to limit the Fiscal Deficit up to three per cent of Gross Domestic Product by 31st March, 2021. • It further provides that the Central Government shall endeavour to limit the General Government Debt to 60 per cent of GDP and the Central Government Debt to 40 per cent of GDP, by 31st March, 2025. • As on date, the Fiscal Deficit is the only operational target for fiscal consolidation. • In RE 2024-25, the Government has revised its Fiscal Deficit target to 4.8 per cent of GDP. • Further, in line with the commitment made in the Budget Speech for FY 2021-22, the fiscal deficit to GDP in the FY 2025-26 is projected at 4.4 per cent.

39. What are the objectives of the demonetization policy announced by the Central Government on 8th November, 2016? Discuss its impact on various sectors and various categories of people in the society. Analyse its scope for cashless economy in the near future. (APPSC, 2017)

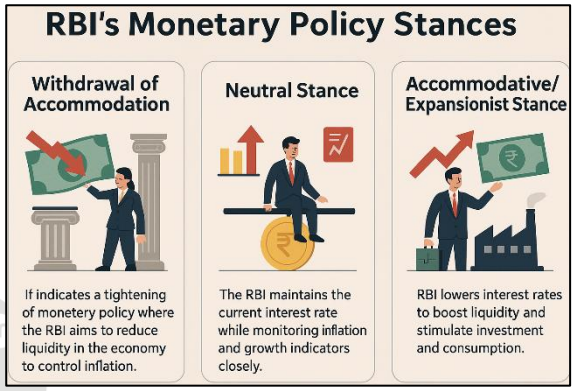
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	What, Discuss, Analyse
Approach	• Briefly define demonetisation of 2016 and state its intended objectives. • Write in structured subheadings (i) Objectives, (ii) Impact on sectors (iii) Impact on different social categories, (iv) Scope for cashless economy. • End with a balanced assessment.
Introduction	On 8th November 2016, the Government of India announced the withdrawal of ₹500 and ₹1000 notes from circulation. The move aimed at addressing black money, counterfeit currency, and promoting a digital economy.
Body & Infographic Representation	**Objectives of Demonetization:** ✓ **Curb Black Money**: Target unaccounted wealth held in high-denomination notes. ✓ **Counterfeit Currency Control**: Neutralize fake notes used in terror financing and illegal trade. ✓ **Enhance Tax Compliance**: Encourage disclosure of income and widen the tax base. ✓ **Promote Digital Transactions**: Push society towards formal and cashless modes of exchange. ✓ **Legal Finality**: Settle liabilities of old notes through legislation (2017 Specified Bank Notes Act). **Impact on Various Sectors:** • **Formal Sector** ✓ Rise in digital payments, PoS usage, and UPI adoption. ✓ Short-term slowdown in manufacturing and services due to demand contraction. • **Informal/Unorganized Sector** ✓ Severe liquidity crunch affecting daily-wage workers, small traders, and MSMEs. ✓ Agriculture faced cash shortage during sowing season. • **Banking Sector** ✓ Surge in deposits and workload on banks. ✓ Increased financial inclusion through new accounts. • **Tax & Administration** ✓ Detection of undisclosed income and rise in tax return filings in following years. ✓ Strengthening of enforcement agencies against money laundering. **Impact on Society** ✓ **Positive:** Boost to digital literacy, formalization of economy, enhanced transparency. ✓ **Negative:** Hardship for poor, rural households and elderly dependent on cash. ✓ **Middle Class:** Shift towards digital platforms and increased use of banking channels. **Scope for Cashless Economy:** • **Opportunities:** ✓ Growth of UPI, e-wallets, Aadhaar-enabled payment systems. ✓ Government push under Digital India mission. • **Challenges:** ✓ Digital divide in rural areas, infrastructure gaps, cyber security concerns. ✓ Continued social preference for cash in daily transactions. • **Way Forward:** ✓ Strengthen digital infrastructure, reduce transaction costs, and improve awareness.

	✓ Incentivize digital adoption while ensuring consumer protection.
Conclusion	Demonetisation was a bold structural reform with mixed outcomes. While it achieved limited success in curbing black money, it created long-term momentum for a **digital and cashless economy.** Its true effectiveness lies in complementary reforms like GST, digital inclusion and robust financial governance.
Model Question	"The success of demonetisation lies not in immediate outcomes but in the behavioural shift towards digitalisation." Comment.
Value Addition	**Unified Payments Interface (UPI)** is a system that powers multiple bank accounts into a single mobile application (of any participating bank), merging several banking features, seamless fund routing & merchant payments into one hood. It has not only made financial transactions **fast, secure, and effortless,** but also empowered individuals, small businesses, and merchants, driving the country's shift toward a cashless economy.
40. Discuss briefly the recommendations of the expert committee constituted "To revise and strengthen the monetary policy framework". (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Discuss briefly
Approach	• Introduce by briefly introducing the context of monetary policy challenges in India and why an expert committee was constituted in 2013–14. • Discuss the committee's key recommendations, subsequent implementation (like inflation targeting, MPC, RBI Act 2016), and analyze their impact with relevant data, while also noting limitations. • Conclude by highlighting the committee's long-term significance in shaping India's monetary policy framework, while stressing the need for balancing inflation, growth, and financial stability.
Introduction	In the backdrop of persistent inflation, growth volatility, and concerns over fiscal dominance, the Government of India and the RBI constituted the Expert Committee (2013–14) under Dr. Urjit Patel to revise and strengthen the monetary policy framework. The Committee sought to enhance credibility, transparency, and effectiveness of monetary policy through a modernized, rule-based framework.
Body & Infographic Representation	**Background:** • Faced with persistent inflation and an evolving global environment, the RBI in 2013–14 constituted an Expert Committee (chair: Dr. Urjit R. Patel) to review India's monetary policy framework and propose reforms to make policy more transparent, predictable and effective. • The Committee submitted its report (Jan 2014) with 45 recommendations that laid the foundation for India's move to a formal inflation-anchored framework. **Major Recommendations of the Expert Committee:** • **Make inflation the nominal anchor (Flexible Inflation Targeting)**: ✓ Recommendation: Headline CPI inflation as the nominal anchor with a 4% target ±2% band. ✓ The RBI Act (Amendment), 2016 institutionalized FIT. ✓ In 2016, the Government set CPI-based inflation target at 4% ±2% (valid till 2021, extended to March 2026 by notification). ✓ Example: Inflation fell from 8.6% (2013–14) to an average of ~4.1% (2016–2020). • **Institutionalize decision-making via a Monetary Policy Committee (MPC)**: ✓ Recommendation: Create a Monetary Policy Committee (MPC) with transparent voting.

- ✓ MPC was created under the RBI Act (2016).
- ✓ 3 members from RBI (Governor as Chair, Deputy Governor, and one official).
- ✓ 3 external members appointed by Government.
- ✓ Decisions taken by majority vote, with Governor holding a casting vote.
- ✓ Since 2016, the MPC has met bi-monthly, releasing statements and minutes.

- **Transparency, communication and accountability**:
  - ✓ Recommendation: Publish meeting minutes, explain deviations (escape clauses).

  RBI now publishes:
  - ✓ MPC resolutions and minutes with voting patterns.
  - ✓ Bi-annual Monetary Policy Report.
  - ✓ Letter to Government when inflation breaches the 2–6% band (invoked in 2022 after 3 consecutive quarters above 6%).
- **Liquidity management and operational framework**:
  - ✓ Recommendation: Refine Liquidity Adjustment Facility (LAF), introduce variable term repos, and strengthen transmission.
  - ✓ RBI operationalized 14-day variable rate reverse repos (VRRRs) as the main tool (post-2020).
  - ✓ Development of Government Securities Acquisition Programme (GSAP, 2021) for bond market stability.
  - ✓ Transmission improved: Pass-through of repo rate to 1-year median deposit rate increased to 50%+ (2023), vs <30% pre-2015.



- **Data, forecasting and research capacity**:
  - ✓ Recommendation: Strengthen forecasting and statistical systems.
  - ✓ RBI upgraded its Inflation Expectation Surveys (IES), Nowcasting models, and econometric forecasting.
  - ✓ Creation of Research and Statistics Department dashboards; adoption of AI/ML-based models for inflation forecasting.
  - ✓ Forecast accuracy improved—error margin for 1-year-ahead inflation projections fell to ~0.3 percentage points (2023) from over 1 percentage point earlier.
- **Safeguards against fiscal dominance**:
  - ✓ Recommendation: Fiscal prudence & better coordination to avoid pressure on monetary policy.
  - ✓ FRBM Review Committee (2017, NK Singh) reinforced fiscal rules, limiting deficit bias.
  - ✓ RBI refused direct deficit financing, relying on secondary market OMO/GSAP.

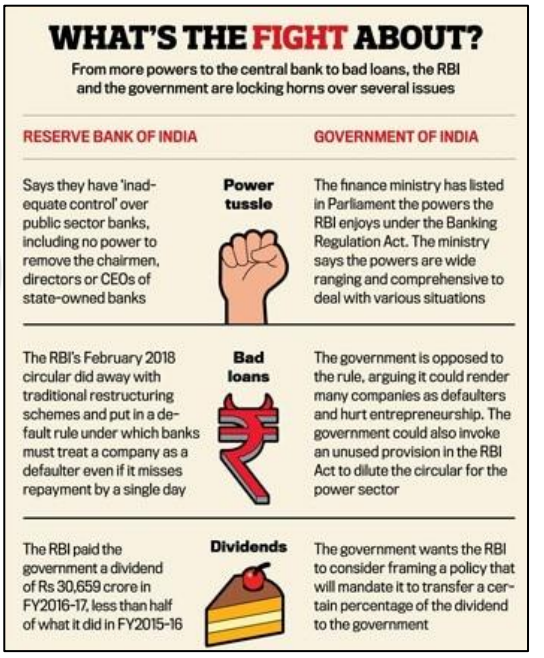
Limitations of the Expert Committee (2014):

- **Inflation-Centric Approach**: Gave primacy to CPI inflation, sidelining growth and financial stability (Example: slowdown of 2019–20).
- **Weak against Supply Shocks**: Could not address food and fuel-driven inflation, evident in spikes during 2022–23.
- **Fiscal Dominance**: Repeated fiscal slippages (e.g., 9.2% deficit in FY21) limited RBI's independence despite committee's safeguards.

	• **Neglect of Financial Stability**: Asset bubbles, NBFC crisis (2018–19) and banking stress received less attention. • **Forecasting Gaps**: Inflation forecasting remains imprecise; RBI's 2022 breach of 6% target highlighted this challenge.
Conclusion	The Urjit Patel Committee provided a comprehensive roadmap—anchoring policy on CPI inflation, institutionalizing the MPC, strengthening operational tools, and enhancing transparency. Its recommendations reshaped India's monetary architecture, improving clarity and credibility of policy while highlighting the continuing need for robust data, market development and fiscal–monetary coordination.
Model Question	Discuss the limitations of the inflation-targeting framework in India, especially in the context of supply-side shocks such as food and fuel inflation.
Value Addition	• **Reverse Repo Rate:** The interest rate at which the Reserve Bank absorbs liquidity from banks against the collateral of eligible government securities under the LAF. Following the introduction of SDF, the fixed rate reverse repo operations will be at the discretion of the RBI for purposes specified from time to time. • **Bank Rate:** The rate at which the Reserve Bank is ready to buy or rediscount bills of exchange or other commercial papers. The Bank Rate acts as the penal rate charged on banks for shortfalls in meeting their reserve requirements (cash reserve ratio and statutory liquidity ratio). • **Cash Reserve Ratio (CRR):** The average daily balance that a bank is required to maintain with the Reserve Bank as a per cent of its net demand and time liabilities (NDTL) as on the last Friday of the second preceding fortnight that the Reserve Bank may notify from time to time in the Official Gazette.
41. Comment on the controversy between the Reserve Bank of India and the Ministry of Finance over administration of interest rate. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Comment
Approach	• Introduce by outlining the institutional roles of the RBI and the Ministry of Finance in setting and influencing interest rates. • Discuss the sources of contention, RBI's inflation-targeting mandate versus the Finance Ministry's growth-oriented stance, with reference to small savings schemes and monetary policy transmission. • Conclude by suggesting balanced coordination that safeguards RBI's autonomy while accommodating fiscal considerations.
Introduction	The administration of interest rates in India has sparked contention between the RBI and the Ministry of Finance. While the RBI's MPC sets benchmark rates to control inflation and ensure stability, the Finance Ministry often favors lower rates to boost growth, leading to debates over balancing inflation management with economic expansion.
Body & Infographic Representation	**RBI vs. Finance Ministry on Administering Interest Rates:** • **Context:** ✓ Since the 2015 Monetary Policy Framework Agreement and the 2016 RBI Act amendment, setting the policy repo rate is the statutory remit of a six-member Monetary Policy Committee (MPC) tasked with flexible inflation targeting (4% CPI ±2%). The inflation target itself is notified by the Union Government. • **Where the Friction Arises:** ✓ The recurring point of tension is administered interest rates on small savings schemes (SSS)—PPF, NSC, Sukanya, etc., which are set by the Ministry of Finance (MoF).

- ✓ Since 2016, MoF's formula links SSS rates to comparable G-sec yields and is to be revised quarterly; however, in practice, discretion is sometimes exercised to retain higher rates.
- ✓ This weakens monetary-policy transmission from the repo to bank deposit and lending rates.

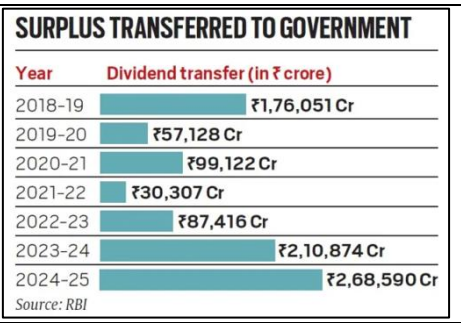
- **Evidence & Episodes of Friction:**
  - ✓ RBI's own statements have flagged that, after the 2016 formula, SSS rates were often 65–100 bps above where the formula implied, impeding full pass-through to bank lending rates.
  - ✓ **Policy reversals accentuate the controversy:** on March 31–April 1, 2021, a steep MoF cut in SSS rates was rolled back within hours, underscoring political sensitivity and MoF discretion.
  - ✓ **Recent practice:** Even when market rates softened, MoF has sometimes kept SSS rates unchanged, sustaining relatively high administered returns and slowing deposit-rate realignment in banks.
- **Macro Transmission Lens:**
  - ✓ Economic Survey note that transmission from policy moves to banks' funding costs and lending rates is gradual and asymmetric, with administered rates among the frictions.
  - ✓ The 2024-25 Survey documents faster pass-through to lending vs. deposits and a squeeze in NIMs as transmission proceeds, consistent with RBI's long-standing view that better alignment of administered rates with market yields would aid transmission.



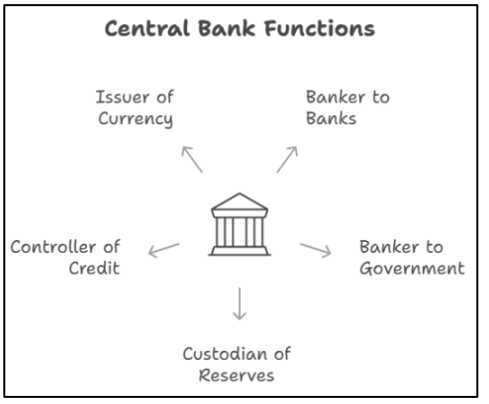
- **What Each Side Wants?**
  - ✓ **RBI's preference:** Market-consistent SSS rates, strictly formula-based quarterly resets, and minimal discretionary deviations, so that the repo transmits cleanly to deposit and loan rates.
  - ✓ **MoF's constraints:** Protect small savers from abrupt cuts, manage household financial incomes, and balance fiscal financing via the National Small Savings Fund, objectives that sometimes justify holding SSS rates above formula.

Way Forward:

- **Rule-based adherence:**
  - ✓ Commit publicly to the 2016 formula without ad hoc deviations, with transparent spread policy (if any) tied to saver protection metrics.
- **Smoother resets:**
  - ✓ Use moving-average G-sec benchmarks and caps on quarter-over-quarter changes to reduce volatility while preserving market linkage.
- **Broader saver toolkit:**
  - ✓ Expand market-linked retail products (Eg: floating-rate savings bonds) to reduce reliance on rigid administered rates.

Conclusion	There is no dispute over who sets the policy rate, that's the MPC. The controversy lies in MoF-administered small savings rates, which, when held above market-implied levels, dilute monetary-policy transmission. A steadier, rules-first SSS regime, faithful to the 2016 formula which would better align fiscal, saver, and monetary objectives while preserving RBI's operational independence.
Model Question	"Effective monetary policy requires independence from fiscal compulsions." In the Indian context, critically discuss this statement with reference to the RBI–Finance Ministry relationship.
Value Addition	**RBI Surplus Transferred to Government:** • 2018–19: ₹1,76,051 crore • 2019–20: ₹57,128 crore • 2020–21: ₹99,122 crore • 2021–22: ₹30,307 crore • 2022–23: ₹87,416 crore • 2023–24: ₹2,10,874 crore • 2024–25: ₹2,68,590 crore 

42. The Central Bank autonomy is important for conducting a consistent monetary policy. Comment. (TGPSC, 2016)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Comment
Approach	• Introduce by explaining the concept of central-bank autonomy and its significance for monetary policy. • Discuss the benefits of autonomy in ensuring price stability, credible inflation targeting, and effective transmission, while also addressing the need for accountability and coordination with fiscal policy. • Conclude by emphasizing that balanced autonomy with oversight is essential for consistent and sustainable macroeconomic stability.
Introduction	Central-bank autonomy refers to the freedom of a monetary authority to formulate and implement monetary policy without short-term political interference, while remaining accountable to the legislature and public. In India this autonomy is operationalised through the Monetary Policy Framework Agreement and the statutory Monetary Policy Committee (MPC), which assigns the Reserve Bank of India (RBI) the primary task of inflation targeting.
Body & Infographic Representation	**Why Central Bank autonomy matters?** • An independent central bank can priorities price stability and act counter-cyclically even when political pressures favor short-term stimulus. • This reduces the inflationary bias that can arise from fiscal or political impulses to finance deficits through cheap credit, thereby preserving the economy's macroeconomic credibility and anchoring inflation expectations, a precondition for stable long-run growth and efficient investment decisions.  • Empirical evidence links greater central-bank independence to lower inflation without systematically worse growth outcomes.

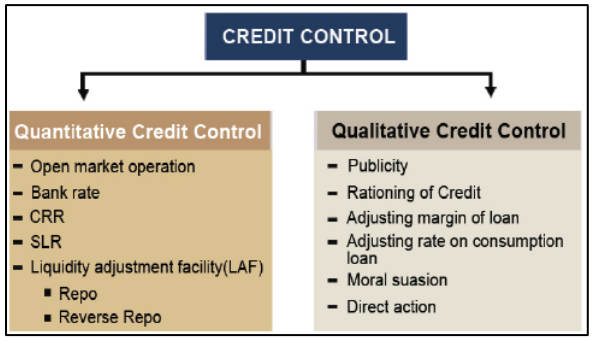
	• A recent study using data from 1982–83 to 2021–22 confirms that RBI's independence has increased over time and, importantly, greater central-bank autonomy correlates with lower inflation over the long-run. **Benefits for consistent monetary policy:** • **Autonomy helps ensure**: ✓ Rules-based policy (e.g., adherence to an inflation target) ✓ Transparent communication (regular minutes, reports and policy statements that shape expectations) ✓ Effective transmission (policy-rate changes pass through to market rates). ✓ These structural features reduce uncertainty, lower risk premia, and improve the functioning of financial markets, enabling consistent policy that is credible across economic cycles. ✓ In India, autonomy has translated to structured and transparent frameworks—regular MPC minutes, press releases, and Monetary Policy Reports bolster accountability. **Constraints and the need for accountability:** • Autonomy is not absolute, it must coexist with democratic oversight and macro-fiscal coordination. • Mechanisms such as the Monetary Policy Framework Agreement, mandated reporting, publication of minutes and biannual Monetary Policy Reports ensure accountability. • Overreach or opacity risks democratic backlash, while excessive political interference (Eg: directional instructions under statutory provisions) can erode credibility. • India's experience shows both the value of operational independence and the importance of institutional checks. **Contemporary Evidence from India: RBI's Dual Mandate** • The Economic Survey 2024-25 highlights that India's economic performance, robust GDP growth (~6.4% in FY25), declining inflation (~4.9% Apr–Dec) and financial-sector resilience, has been supported by consistent policy anchored in price stability. • RBI Governor Sanjay Malhotra (Aug 2025) reaffirmed the bank's autonomy: "the central bank remains focused on price stability while supporting economic growth," signaling that independence and growth support are complementary. **Risks of Politicization:** • Global examples—Turkey's repeated governor firings, Argentina's monetary financing of deficits, illustrate the perils of politicizing central banking (currency collapses, inflation surges). • India has witnessed episodes of pressure, for example, around the 2018–19 tenure of former RBI Governor Urjit Patel.
Conclusion	In India, central-bank autonomy has anchored inflation expectations, ensured policy credibility, and supported growth coordination. Evidence and reforms show that autonomy, with transparency and accountability, fosters consistent monetary policy. Preserving independence while maintaining democratic oversight remains crucial for sustaining future macroeconomic stability.
Model Question	"Excessive political interference in monetary policy leads to time-inconsistency problems." Discuss with reference to India and global examples.
Value Addition	**What is RBI's role with regard to conduct of Government's banking transaction?** • In terms of Section 20 of the RBI Act 1934, RBI has the obligation to undertake the receipts and payments of the Central Government and to carry out the exchange,

	remittance and other banking operations, including the management of the public debt of the Union. • Further, as per Section 21 of the said Act, RBI has the right to transact Government business of the Union in India. • State Government transactions are carried out by RBI in terms of the agreement entered into with the State Governments in terms of section 21 A of the Act. • As of now, such agreements exist between RBI and all the State Governments except Government of Sikkim. • Thus, the legal provisions vest Reserve Bank of India with both the right and obligation to function as banker to the government.
43. Analyse the strategy adopted by Reserve Bank of India to control the rising prices in the last two years. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Analyse
Approach	• Introduce with the RBI's mandate of maintaining monetary stability and liquidity balance to control inflation and support growth. • Analyze key liquidity management tools such as VRRR, SDF, CRR, and OMOs reports to show how they absorbed surplus liquidity and aligned market rates with policy goals. • Conclude by evaluating the effectiveness of these tools in ensuring price stability while maintaining adequate liquidity for sustainable economic recovery.
Introduction	Over the past two years (2023–2025), the Reserve Bank of India (RBI) has employed a calibrated mix of monetary tightening and easing under its Flexible Inflation Targeting (FIT) framework, which seeks to maintain Consumer Price Index (CPI) inflation at 4% ± 2%. The RBI's strategy has evolved from aggressive rate hikes to a neutral, growth-supportive stance as inflation moderated.
Body & Infographic Representation	**Strategy adopted by the Reserve Bank of India (RBI) to control the rising prices in the last two years:** • **Inflation Context:** ✓ As per RBI Annual Report 2023–24, CPI inflation rose sharply during 2022–23 due to global supply disruptions, energy price volatility, and food price shocks. ✓ Headline inflation peaked above 7% in mid-2022, well above the RBI's tolerance band. ✓ With inflationary pressures persisting, the Monetary Policy Committee (MPC) prioritized price stability over growth through a sequence of calibrated interventions. **Interest Rate Strategy:** • **Initial Rate Hikes (May 2022 – Feb 2023):** ✓ The MPC raised the repo rate by 250 basis points, from 4% to 6.5%, marking the sharpest tightening cycle in a decade. ✓ The move aimed to curb credit growth, reduce excess demand, and anchor inflation expectations. • **Rate Stabilization (Feb 2023 – Feb 2025):** ✓ The RBI maintained the repo rate at 6.5% for 11 consecutive meetings, ensuring that inflation cooled while economic activity remained resilient. ✓ The policy stance during this period was one of "withdrawal of accommodation", emphasizing inflation control over short-term growth. • **Monetary Easing (2025 Onwards):**

	✓ As inflation softened to around 4.5% by early 2025 (Economic Survey 2024–25), the RBI gradually reduced the repo rate to 5.5% by June 2025, shifting to a neutral stance to support investment and consumption recovery. • **Liquidity Management Tools** ✓ **Variable Rate Reverse Repo (VRRR) Auctions:** Used to absorb surplus liquidity during high-inflation phases. ✓ Eg: On 4 July 2025, RBI drained ₹1,00,010 crore from the banking system through a 7-day VRRR auction. ✓ **Standing Deposit Facility (SDF):** Enabled the RBI to mop up excess liquidity without offering collateral. ✓ Eg: On 27 May 2025, RBI absorbed ₹2.23 lakh crore (₹2.23 trillion) through SDF and other liquidity operations. ✓ **Cash Reserve Ratio (CRR):** Temporarily adjusted to calibrate system liquidity. ✓ **Open Market Operations (OMOs):** Conducted to manage yield levels and maintain liquidity alignment with monetary policy goals. • These measures ensured tight liquidity conditions during inflationary peaks and gradual normalization as prices stabilized. • **External Sector Management:** ✓ The RBI intervened in the foreign exchange market to contain excessive volatility in the rupee, helping stabilize import costs, especially for crude oil and edible oils. ✓ Robust foreign exchange reserves (around USD 645 billion in mid-2025) also provided a buffer against imported inflation. • **Coordination with Fiscal Measures:** ✓ The RBI's anti-inflation stance was complemented by government interventions, such as food stock releases, export curbs on rice, and duty cuts on fuel and edible oils to address supply-side pressures. ✓ This monetary-fiscal coordination helped align inflation expectations with growth stability. ✓ Eg: This co-ordination, helped align inflation expectations and supported growth stability, as seen in CPI inflation easing from 6.7% in FY 2022–23 to around 4.8% by mid-2025.
Conclusion	The RBI's inflation-control strategy during 2023–2025 demonstrated a balanced, data-driven approach, tightening policy when inflation was high and easing as conditions improved. Through rate management, liquidity calibration, and exchange market interventions, it effectively moderated inflation within the 4% ± 2% target band. Sustaining this balance remains crucial for achieving long-term price stability and inclusive growth.
Model Question	Critically examine the coordination challenges between monetary and fiscal policies in maintaining macroeconomic stability in India.
Value Addition	**RBI Monetary Policy Report (October 2025):** • RBI kept the repo rate unchanged at 5.50 per cent with a neutral stance. • RBI revised India's GDP growth forecast for FY 2025-26 upwards to 6.8% from earlier estimate of 6.5% • RBI has lowered its CPI inflation forecast for FY 2025–26 to 2.6%, down from 3.1% • India's current account deficit narrowed to 0.2% of GDP in Q1 FY 2025-26 from 0.9% a year ago • During April-September of FY 2025-26 so far (up to September 26), Indian equity markets remained on an upward trajectory.

44. State the measures initiated by Reserve Bank of India to regulate credit disbursed by Non-Banking Financial Institutions. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	State
Approach	• Introduce with the growing role of NBFCs in India's credit system and the RBI's need to regulate them to ensure financial stability. • Assess RBI's key measures such as scale-based regulation, digital lending norms, project finance reforms, and strengthened capital adequacy by validating with RBI circulars and reports. • Conclude by evaluating how these reforms enhance transparency, reduce systemic risks, and align NBFC oversight with the broader financial stability framework.
Introduction	The Reserve Bank of India (RBI) regulates Non-Banking Financial Companies (NBFCs), vital intermediaries in India's credit ecosystem, especially for underserved sectors. However, rapid expansion and crises like IL&FS (2018) and DHFL (2019) exposed systemic risks, prompting the RBI to tighten oversight through measures aimed at strengthening governance, risk management, and responsible credit regulation.
Body & Infographic Representation	**Measures Initiated by the Reserve Bank of India to Regulate Credit Disbursed by Non-Banking Financial Institutions:** • **Scale-Based Regulatory Framework (SBR):** ✓ Introduced in October 2023, this framework classifies NBFCs into four layers such as Base, Middle, Upper, and Top, based on their size, activity, and systemic importance. ✓ Regulatory intensity increases with each layer. For instance, the Upper Layer (NBFC-UL), comprising the top 50 systemically important NBFCs, is subject to norms similar to those for commercial banks, including stricter capital adequacy, governance, and disclosure standards. ✓ This approach ensures proportionate regulation, aligning risk with regulatory oversight. • **Strengthened Capital and Risk Management** ✓ The RBI has raised the minimum capital adequacy ratio for NBFCs and mandated the appointment of a Chief Risk Officer (CRO) for entities with assets exceeding ₹5,000 crore. ✓ Enhanced prudential norms aim to improve asset quality and reduce systemic risk, especially in high-exposure segments such as infrastructure and real estate financing. • **Digital Lending Guidelines:** ✓ Issued to curb rising concerns over predatory lending, data misuse, and opaque pricing in fintech operations. ✓ NBFCs must now ensure loan disbursements only to borrowers' bank accounts, consent-based data usage, and transparent disclosure of loan terms. ✓ The RBI also warned against perpetual credit lines and loan evergreening, safeguarding borrower interests. • **Revised Project Finance Norms** ✓ Effective October 2025, the RBI's revised framework for project finance, covering both banks and NBFCs, introduces relaxed provisioning norms for under-construction infrastructure projects while retaining prudential safeguards. ✓ It emphasizes early risk assessment, capital discipline, and post-completion monitoring to prevent asset-liability mismatches.

	• **Harmonized Non-Fund-Based Credit and Bank Exposure Norms** ✓ The Non-Fund Based Credit Facilities Directions, 2025, standardized practices for instruments such as guarantees and letters of credit, ensuring uniform credit risk treatment across entities. ✓ Simultaneously, the RBI's April 2025 Master Circular imposed prudential exposure limits on bank lending to NBFCs, restricting financing of speculative or unsecured group activities. • **Fair Practices and Supervisory Oversight:** ✓ All NBFCs must adhere to a Fair Practices Code, ensuring ethical loan recovery, transparency, and grievance redressal. ✓ The RBI conducts regular inspections and utilizes off-site monitoring systems to ensure compliance, focusing particularly on high-risk or large NBFCs.
Conclusion	Through its calibrated regulatory approach, anchored in the scale-based framework, digital lending supervision, and harmonized prudential norms, the RBI aims to strike a balance between credit expansion and financial stability. By enhancing transparency, governance, and risk management in NBFCs, the central bank has significantly strengthened the sector's resilience, ensuring that credit growth remains sustainable and aligned with macroeconomic stability.
Model Question	Assess the role of Small Finance Banks (SFBs) in promoting financial inclusion and credit access for underserved sectors in India. What challenges do they face in maintaining financial stability and growth?
Value Addition	**Difference between banks and NBFCs:** • Banks and NBFCs are different entities subject to different statutory and regulatory requirements. However, NBFCs lend and make investments and hence these activities are akin to that of banks. The major differences between banks and NBFCs are given below: ✓ NBFCs cannot accept demand deposits; ✓ NBFCs do not form part of the payment and settlement system and cannot issue cheques drawn on itself ✓ Deposit insurance facility of Deposit Insurance and Credit Guarantee Corporation (DICGC) is not available to depositors of deposit taking NBFCs.
45. Critically examine the role of RBI in credit control. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Critically examine
Approach	• Introduce by explaining the RBI's mandate in regulating credit to ensure monetary stability and economic growth. • Examine qualitative and quantitative credit control measures, citing their effectiveness, limitations, and recent RBI interventions with supporting data/reports. • Conclude by assessing how RBI's credit control must balance inflation, growth, and financial stability in a dynamic economic environment.
Introduction	The Reserve Bank of India (RBI) regulates the flow, cost, and direction of credit to ensure price stability, financial stability, and inclusive growth. Using monetary policy tools, it balances inflation control with credit expansion. However, its efficacy is influenced by fiscal pressures, incomplete transmission, and structural rigidities.
Body & Infographic Representation	**Role of RBI in credit control:** • **Instruments and operational strengths:** ✓ **Repo rate (6.50% as of Aug 2025)** is the key benchmark; RBI has maintained a pause since Feb 2023 to anchor inflation while supporting growth. ✓ **CRR at 4.5% and SLR at 18%** ensure liquidity discipline.

	✓ **Open Market Operations (OMO)** were used in FY 2024–25 to absorb surplus liquidity from government capital expenditure. ✓ **Targeted LTROs (2020–21)** and **Standing Deposit Facility (2022)** show RBI's evolving toolkit for systemic liquidity management. **Crisis management and developmental role:** • During COVID-19, the RBI infused ₹17.2 lakh crore liquidity (8.7% of GDP) • ECLGS (Emergency Credit Line Guarantee Scheme) supported MSMEs, with over ₹3.6 lakh crore sanctioned loans by March 2023  • Bank credit growth recovered to 16% YoY in FY 2022–23, before moderating to 9.9% by July 2025 • Gross NPAs fell to 3.0% in March 2025, the lowest in over a decade, reflecting improved resilience. **Key limitations and transmission challenges:** • **Incomplete transmission**: ✓ A repo cut of 250 bps (Feb 2019–May 2020) translated into only 150 bps decline in weighted average lending rates (WALR) on fresh loans. • **Sticky deposit rates**: ✓ Small savings schemes offered 7.4–8.2% returns (Q1 FY 2025–26), often higher than bank FDs, restricting banks' ability to reduce deposit rates. • **Crowding-out risk**: ✓ General government borrowings touched ₹28.4 lakh crore in FY 2024–25, raising concerns of private credit crowding. • **Credit moderation**: ✓ Non-food bank credit growth slowed to 9.9% in July 2025 from 15% in FY 2022–23, due to weak corporate demand and tighter risk pricing. **Structural challenges and sectoral allocation:** • Directed lending (Eg: 40% PSL mandate) ensures inclusion but can distort balance sheets if credit appraisal is weak. • Heterogeneity among lenders (banks vs NBFCs) further dilutes effectiveness. • Fiscal instruments such as Credit Guarantee Fund for MSMEs (CGTMSE) are more effective in ensuring sectoral allocation than continuous monetary directives.
Conclusion	RBI's role in credit control is vital for macroeconomic stability, as evidenced by improved NPAs, inflation anchoring, and systemic liquidity management. Yet, imperfect transmission, sticky savings rates, and fiscal borrowing pressures dilute effectiveness. Future reforms must focus on strengthening market-based transmission, better fiscal-monetary coordination, and targeted credit guarantees to complement RBI's broad-based credit control framework.
Model Question	"Credit control is the backbone of monetary policy." Evaluate this statement in the Indian context.
Value Addition	**Priority Sector Lending Targets (PSL) for Agriculture:** • **Domestic Commercial Banks (excl. RRBs & SFBs) & Foreign Banks with 20 branches and above:** 18 per cent of ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for Non-Corporate Farmers (NCFs), out of which a target of 10 percent is prescribed for SMFs.

	• **Foreign Banks with less than 20 branches** : Not applicable • **Regional Rural Banks:** 18 per cent ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for NCFs, out of which a target of 10 percent is prescribed for SMFs. • **Small Finance Banks:** 18 per cent of ANBC or CEOBSE, whichever is higher. Within this target, 14 percent is prescribed for NCFs, out of which a target of 10 percent is prescribed for SMFs. • **ANBC:** Adjusted net bank credit. • **CEOBSE:** Credit Equivalent of Off-Balance Sheet Exposure.
46. Explain the objectives of monetary policy. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Monetary and Fiscal Policies
Keyword	Explain
Approach	• Define monetary policy, its legal basis, and RBI's role. • Explain expansionary vs. contractionary policy, then outline key objectives (price stability, growth, financial stability) with examples. • Summarize with emphasis on price stability as the primary goal, but highlight its complementarity with growth and financial stability.
Introduction	Monetary policy is a macroeconomic policy laid down by the central bank of an economy. In India, the Reserve Bank of India (RBI) is entrusted with this responsibility under the Reserve Bank of India Act, 1934. The policy involves the use of monetary instruments to regulate interest rates, money supply, and the availability of credit with the aim of achieving certain economic objectives such as price stability, economic growth, and financial stability.
Body & Infographic Representation	**Types of Monetary Policy** • **Expansionary Monetary Policy:** Also called loose policy, it increases money and credit supply to boost growth and investment. By reducing interest rates, borrowing becomes cheaper, encouraging spending and employment generation. • **Contractionary Monetary Policy:** Also called tight policy, it is used during inflationary periods. It raises interest rates, reduces credit supply, and discourages excessive borrowing and investment, thereby cooling an overheated economy. **Objectives of Monetary Policy** • **Price Stability** ✓ The primary objective is to maintain price stability while keeping growth in view. Stable prices protect purchasing power, reduce uncertainty, and provide a foundation for sustainable development. The RBI (Amendment) Act, 2016 provided a statutory basis for Flexible Inflation Targeting (FIT), reinforcing this goal. • **Economic Growth** ✓ By ensuring stable prices and adequate liquidity, monetary policy facilitates rapid economic growth. Steady prices promote investment and long-term prosperity, making monetary policy an important tool for development. • **Financial Stability** ✓ Financial stability refers to the smooth functioning of financial institutions and markets without banking or currency crises. The RBI contributes by regulating banks, supervising markets, and maintaining efficient payment systems, thereby building public confidence and mitigating risks of instability.
Conclusion	Monetary policy in India balances inflation control, growth, and financial stability. The 2016 RBI Act amendment made price stability the primary objective, with growth in view. By anchoring inflation expectations and ensuring financial resilience, it acts as a cornerstone of sustainable and inclusive development.

Model Question	"Evaluate the effectiveness of inflation targeting in India. What are its limitations in ensuring growth, liquidity, and employment?"
Value Addition	The Monetary Policy Committee (MPC), established under the RBI Act, 1934 (amended 2016), sets India's policy interest rate to achieve the government-notified inflation target. It has six members (RBI Governor, Deputy Governor, RBI nominee, three government appointees). Decisions are majority-based, binding on RBI with the Governor holding the casting vote.
47. Describe the scope of Differentiated Banking Policy with respect to financial inclusion in India. Analyse the potential of Digital Banking in improving financial inclusion in India'. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Financial markets and institutions of developmental finance
Keyword	Describe, Analyse
Approach	• Define Differentiated Banking Policy as a niche regulatory approach for financial inclusion. • Explain its scope through SFBs/Payments Banks and analyse how digital banking expands access, reduces costs, and fosters innovation, while noting challenges. • Conclude that DBP combined with digital banking provides a strong pathway for deepening financial inclusion.
Introduction	The Differentiated Banking Policy (DBP) introduced by RBI aims to create specialized banks such as Small Finance Banks (SFBs) and Payments Banks to cater to niche segments. It is a crucial step in deepening financial inclusion, especially after the Nachiket Mor Committee recommendations.
Body & Infographic Representation	**Scope of Differentiated Banking Policy:** • **Target-Oriented Mandate** ✓ SFBs are required to focus on small business units, marginal farmers, MSMEs, and the unorganized sector. ✓ Payments Banks are designed to offer transactional services, deposits, and remittances at the last mile. • **Regulatory Flexibility** ✓ DBP allows lighter operating models and adjusted capital norms while ensuring compliance with the Banking Regulation Act, 1949. ✓ Priority Sector Lending (PSL) obligations further align these banks with the inclusion agenda. • **Growth Pathway** ✓ SFBs may graduate into universal banks after meeting RBI criteria. ✓ This enables them to serve inclusion needs initially, while offering wider services in the future. **Potential of Digital Banking for Financial Inclusion:** • **Expanding Access through India Stack** ✓ Platforms like Aadhaar, UPI, and e-KYC drastically reduce transaction costs. ✓ They facilitate remote account opening, micro-savings, and small-ticket loans for rural and urban poor. • **Innovative Products** ✓ Digital platforms enable micro-loans based on transaction data, interoperable wallets, and low-cost remittance services. ✓ This strengthens the reach of SFBs and Payments Banks in underserved regions. • **Last-Mile Connectivity** ✓ Digital Banking Units (DBUs), Bank Mitras, and feature-phone solutions bridge rural access gaps.

	✓ Combined with physical agent networks, they ensure cash-in/cash-out feasibility. **Challenges** ✓ Digital Literacy & Awareness Gaps limit effective use of services. ✓ Cybersecurity and Data Privacy Risks threaten consumer confidence. ✓ Preference for Informal Credit continues in many communities.
Conclusion	The DBP framework provides specialized institutional mechanisms to deliver inclusion, while digital banking serves as a scalable accelerator. To convert access into actual usage, India must strengthen digital literacy, agent infrastructure, and consumer safeguards, ensuring that financial inclusion becomes both sustainable and inclusive.
Model Question	Critically analyse whether India Stack (Aadhaar, UPI, e-KYC) has transformed the accessibility of formal financial services for marginalized groups.
Value Addition	The 2030 Agenda for Sustainable Development Goals adopted by United Nation members identified Financial Inclusion as a key enabler for 7 out of 17 goals. World Bank also recognised financial inclusion as a crucial part of development and publishes Global Findex Database, to track the use of financial services by the adults across the world.
48. Explain the need for emergence of Regional rural banks, and discuss the problems faced by them and the corresponding revisions made. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Financial markets and institutions of developmental finance
Keyword	Explain, Discuss
Approach	• Highlight the emergence of RRBs in 1976 to bridge rural credit gaps and promote financial inclusion. • Discuss the problems faced—low capital base, NPAs, governance issues, and fragmentation—followed by revisions like the 2015 Amendment Act, consolidation, recapitalisation, and digital initiatives. • End by stressing that RRBs remain crucial for rural inclusion.
Introduction	Regional Rural Banks (RRBs) were established under the RRBs Act, 1976 to bridge the rural credit gap, ensure financial inclusion, and support small farmers, artisans, and weaker sections. They combine the local orientation of cooperatives with the professionalism of commercial banks.
Body & Infographic Representation	**Need for Emergence of RRBs:** • **Credit exclusion in rural India:** ✓ Commercial banks were urban-centric, while cooperatives were financially weak and rural poor lacked institutional credit. • **Targeted financial inclusion:** ✓ RRBs were mandated to serve rural/semi-urban areas with a 75% priority sector lending (PSL) target, higher than other banks. • **Socio-economic rationale:** ✓ To provide affordable credit to small & marginal farmers, rural artisans, agricultural labourers and promote development. • **Supporting government schemes:** ✓ RRBs were instrumental in implementing government-sponsored development programmes, such as pension payments and Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) wage disbursements. **Problems Faced by RRBs:** • **Financial viability issues:** ✓ Many RRBs struggled with low profitability due to high operating costs, a focus on low-interest lending to priority sectors, and a high proportion of non-performing assets (NPAs).

	• **Limited area of operation:** ✓ Initially, RRBs had a narrow operational scope, which restricted their business flexibility and ability to diversify their loan portfolio. • **Technological lag:** ✓ For many years, RRBs lagged behind commercial and private banks in technology adoption. This resulted in slow service delivery and an inability to compete in a rapidly digitising financial landscape. • **Human resource challenges:** ✓ RRBs often struggled to attract and retain skilled professionals in rural areas. There were also issues related to training and staff competence. • **Weak governance:** ✓ Multi-agency control, with joint ownership by the Central Government (50%), State Government (15%), and Sponsor Bank (35%), sometimes led to inefficiencies, political interference, and conflicts of interest. **Reforms and Revisions:** • **Amalgamation and consolidation:** ✓ Beginning in 2005, a multi-phase consolidation process was initiated to merge RRBs within the same state. This drastically reduced their number from 196 to just 28 by May 2025, with a "One State, One RRB" policy being a key driver. Consolidation aimed to improve operational efficiency, achieve economies of scale, and strengthen financial resilience. • **Recapitalisation:** ✓ The government infused capital into financially weak RRBs to help them meet regulatory capital adequacy norms (CRAR). Significant capital infusions were made in fiscal years 2022 and 2023. • **Enhanced technology:** ✓ A strong push for technological upgrades has been underway, including the implementation of Core Banking Solutions (CBS), internet banking, mobile banking, and participation in the Unified Payments Interface (UPI). • **Regulatory flexibility:** ✓ RRBs were given more flexibility in their operations, including broadening their investment avenues and being allowed to raise capital from sources beyond the government and sponsor banks. The priority sector lending target was also enhanced to 75%.
Conclusion	RRBs emerged as a policy instrument to fill rural credit gaps. Though they faced challenges of capital weakness, NPAs, and fragmentation, reforms through legal amendments, consolidation, recapitalization, and digital adoption are steering them towards sustainable, technology-driven, and inclusion-oriented rural banking.
Model Question	"Critically analyse the performance of Regional Rural Banks in achieving priority sector lending targets. How far have consolidation and recapitalisation measures improved their viability?
Value Addition	The first 5 RRBs were set up on 2 October 1975 after promulgation of an ordinance, which was later replaced by the Regional Rural Banks Act, 1976. They are jointly owned by Government of India (GoI), State Governments and Sponsoring commercial banks with equity contribution in the ratio 50:15:35 (GoI: State Government: Sponsor Banks). RRBs are regulated by RBI and supervised by NABARD.
49. Explain the structure of Indian Banking. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Financial markets and institutions of developmental finance
Keyword	Explain

Approach	• Define Indian banking as a multi-tier system regulated by RBI. • Describe its structure—RBI, commercial banks, cooperative banks, RRBs, DFIs, and NBFCs under legal-policy framework. • End with its role in balancing financial stability and inclusion.
Introduction	The Indian banking system is a multi-layered financial architecture with the Reserve Bank of India (RBI) as the apex regulator, governed by the Banking Regulation Act, 1949, and comprising commercial, cooperative, rural and specialised institutions to ensure financial stability and inclusion.
Body & Infographic Representation	• **Reserve Bank of India – Apex Authority** ✓ The RBI, established under the RBI Act, 1934 is the central bank of India. ✓ It performs functions of monetary policy, currency issuance, regulation, supervision, and financial stability. ✓ It acts as the lender of last resort and regulator of all banking institutions. • **Commercial Banking System** ✓ **Scheduled Banks**: Listed under the Second Schedule of RBI Act, eligible for RBI refinance. ✓ **Public Sector Banks (PSBs):** Majority government-owned, holding largest market share in deposits and credit. ✓ **Private Sector Banks:** Owned by private entities; known for technology-driven services. ✓ **Foreign Banks:** Operate through branches/subsidiaries in India. ✓ **Niche Banks:** • Small Finance Banks (SFBs) target small borrowers, MSMEs, and unorganized sector. • Payments Banks offer deposits and remittance but cannot lend. • **Cooperative Banks and Regional Rural Banks (RRBs)** ✓ **Cooperative Banks:** Operate on principles of cooperation; classified into Urban Cooperative Banks (UCBs) and Rural Cooperative Banks. They cater to agriculture, rural industries, and small borrowers. ✓ **Regional Rural Banks (RRBs):** Established under the RRB Act, 1976, with ownership shared by Centre, State, and Sponsor Banks. Their mandate is to serve rural credit and financial inclusion goals. • **Development Institutions and NBFCs** ✓ **Development Financial Institutions (DFIs):** NABARD (agriculture credit), SIDBI (MSME finance), EXIM Bank (trade finance). ✓ **Non-Banking Financial Companies (NBFCs):** Provide credit, leasing, and infrastructure finance. They complement banks and are regulated by RBI for prudential norms. • **Legal and Policy Framework** ✓ **Banking Regulation Act, 1949**: primary law for banking operations. ✓ **RBI Directions** – cover licensing, capital adequacy, priority sector lending. ✓ **Policy Initiatives** – Jan Dhan Yojana, UPI and Digital Banking Units aimed at financial inclusion and modernization.
Conclusion	The structure of Indian banking is a regulated and diversified system consisting of the RBI, commercial banks, cooperative institutions, rural banks, DFIs and NBFCs. This layered framework ensures a balance between financial stability, credit delivery, and inclusion in line with India's developmental priorities.
Model Question	Critically Analyse the role of Development Financial Institutions (DFIs) and NBFCs in complementing the Indian banking system.

Value Addition	India's banking structure has evolved to support savings mobilization, growth, and financial inclusion. Post-1991 reforms boosted strength, yet dynamic needs call for flexibility. Key issues include: ✓ small vs. large banks, ✓ universal/niche banking, ✓ continuous authorization, ✓ UCB conversion, consolidation, ✓ foreign bank presence, ✓ overseas expansion, ✓ optimal government ownership, and ✓ stronger deposit insurance
50. Explain the impact of economic reforms in the Banking sector. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Financial markets and institutions of developmental finance
Keyword	Explain
Approach	• Mention 1991 reforms, Narasimham Committee, IBC, and digital initiatives as drivers of banking transformation. • Discuss impacts point-wise — capital, asset quality, stressed asset resolution, competition, technology, and challenges. • Conclude with achievements (resilience, efficiency, inclusion) and need for governance and regulatory strengthening.
Introduction	The economic reforms of 1991 and subsequent policy measures fundamentally transformed the Indian banking sector, improving efficiency, stability, and financial inclusion. The reforms were guided by Narasimham Committee reports, RBI initiatives, and government recapitalisation and digitisation drives.
Body & Infographic Representation	**Positive Impacts:** • **Strengthening of Balance Sheets** ✓ Banks improved their capital adequacy ratios through market borrowings and recapitalization schemes. ✓ This enhanced resilience and lending capacity. • **Better Asset Quality and Profitability** ✓ Gross NPAs reduced significantly, especially after the adoption of prudential norms and IBC framework. ✓ Profitability of PSBs has improved due to cleaner balance sheets and credit growth. • **Resolution Framework and Risk Management** ✓ Reforms like Insolvency and Bankruptcy Code (2016), Asset Quality Review, and recapitalization addressed stressed assets. ✓ Helped in faster resolution and reduced systemic risk. • **Competition and Market Orientation** ✓ Entry of new private sector banks and selective foreign investment enhanced competition. ✓ Led to innovation in financial products and improved efficiency. • **Financial Innovation and Inclusion** ✓ Launch of UPI, digital banking, T+1 settlements, regulatory sandboxes boosted innovation. ✓ Increased access to credit and payments, furthering financial inclusion. **Negative impacts and challenges:** • **Higher Competition for PSBs:**

	✓ While competition improved efficiency, it initially eroded the market share of Public Sector Banks (PSBs). It also posed challenges for smaller and less technologically advanced banks to keep up. • **Mounting Non-Performing Assets (NPAs):** ✓ Despite improvements in credit allocation, the banking sector has faced consistently high levels of NPAs, particularly in public sector banks. This has been attributed to poor governance, inefficient loan recovery mechanisms, and political interference in lending decisions. • **Digital Disruption and Cybersecurity Risks:** ✓ The shift towards digital banking has introduced new vulnerabilities, including cybersecurity threats, fraud, and data breaches, requiring banks to invest heavily in security measures. • **Human Resource Challenges:** ✓ The fast pace of technological and structural changes has created skill gaps among bank employees. For PSBs, mergers have also posed challenges related to cultural incompatibility and staff morale. • **Remaining Financial Inclusion Gaps:** ✓ Despite significant progress, challenges remain in reaching certain populations due to low financial literacy, inadequate infrastructure in remote areas, and the cost of maintaining accounts.
Conclusion	Economic reforms have made Indian banking more resilient, competitive, and technologically advanced, while also highlighting the need for robust regulation and governance. To sustain progress, balanced supervision, digital infrastructure, and inclusive credit access must remain central to policy.
Model Question	"Discuss the legal and institutional reforms in the banking sector post-1991 and their implications on governance."
Value Addition	**Narasimham Committee I (1991):** • Headed by M. Narasimham, former RBI Governor, this committee suggested measures to strengthen the banking system. • The recommendations included reducing government interference, increasing the role of the RBI in supervising banks, and enhancing transparency. • The committee also proposed reducing the statutory liquidity ratio (SLR) and cash reserve ratio (CRR) to improve banks' liquidity. • It emphasized the need for the recapitalization of weak banks, strengthening bank management, and introducing prudential norms.
51. Discuss the growth and structure of small and tiny sector establishments in Andhra Pradesh on the basis of data of the 6th Economic Census. (APPSC 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Investment in industries and infrastructure projects
Keyword	Discuss
Approach	• Introduce by mentioning that the 6th Economic Census provides a detailed picture of small and tiny sector establishments that form the backbone of Andhra Pradesh's economy. • Discuss their growth trend, highlighting the state's share in total establishments and increase in own-account and non-agricultural units. • Explain the structure—ownership, employment size, sectoral composition, and dominance of micro units. • Conclude by stressing their role in livelihood generation and need for policy support for formalisation and growth.

Introduction	The 6th Economic Census (2013-14) provides comprehensive data on all establishments in India including small and tiny units. In Andhra Pradesh, these micro-enterprises form the backbone of rural and urban livelihood, thereby illuminating their growth, structure and role in employment and enterprise development.
Body & Infographic Representation	**Growth of Small & Tiny Sector Establishments:** • The 6th Economic Census shows that nationally the number of establishments increased from 41.25 million (2005) to 58.5 million (2013), a growth of 41.79%. • While state-level detailed breakdown for Andhra Pradesh is not fully cited here, Andhra accounted for around 7.25% of all establishments in India. • This suggests the small and tiny sector in Andhra has seen significant increase in numbers, particularly as "own account establishments" (units without hired workers) grew at 56.02% nationally. Many of these growth units are in rural areas, dominated by tiny units. **Structure of Small & Tiny Units:** • **Own Account vs with Hired Workers:** About 71.74% of establishments nationally were own-account; the remaining 28.26% had hired workers. Tiny units thus dominate the sector. • **Size class of employment:** Around 95.50% of all establishments nationally employed 1–5 workers, about 3.13% employed 6–9 workers, and only 1.37% employed 10 or more. In Andhra, this implies the vast majority are micro/tiny units. • **Sectoral distribution:** The non-agricultural sector dominated, with retail trade (35.41%) and manufacturing (22.77%) leading. Handloom/handicraft units also figure in Andhra Pradesh, with the state holding about 7.54% of such establishments. • **Ownership & geography:** Around 96.4% of establishments nationally were under private ownership; about 36.19% were home-based. In Andhra, this means many small units are household-based, especially in rural districts. • **State-wise share:** Andhra Pradesh being among the top five states region-wise shows the importance of micro units in its economy. **Implications for Andhra Pradesh:** • The dominance of small and tiny establishments implies that employment creation and livelihood are driven by micro/unorganised enterprise. • The structure also suggests low average employment per unit (national average 2.24 persons per establishment) • In Andhra similar low-employment units means many are self-employed or family-based. For policy, this means tailored support for micro enterprises, access to credit, skill training and formalisation are crucial.
Conclusion	In Andhra Pradesh, small and tiny sector establishments form the bedrock of enterprise and employment. Their growth and structure dominated by micro units, home-based operations, and retail/manufacturing activities require policy focus on credit, market access and formalisation so that the sector can drive inclusive growth and rural livelihood.
Model Question	"Examine the contribution of micro, small, and tiny enterprises to employment generation and regional economic development in Andhra Pradesh as reflected in the findings of the 6th Economic Census."
Value Addition	**HIGHLIGHTS OF THE SIXTH ECONOMIC CENSUS:** • **Women Entrepreneurs:** ✓ Total number of establishments owned by women entrepreneurs was 8.05 million (13.76%). These establishments provided employment to 13.45 million persons (10.24%), out of which 83.19% were without hired workers.

	✓ About 88.8% of the workers were employed in the establishments hiring less than 10 workers. ✓ Total number of Self Help Groups (SHGs) were 0.19 million out of which all women Own Account Establishments were 89%. ✓ Among the states, the largest share in number of establishments under women entrepreneurship was held by Tamil Nadu (13.51%) followed by Kerala (11.35%), Andhra Pradesh (10.56%), West Bengal (10.33%) and Maharashtra (8.25%).
3. Resource mobilization in Andhra Pradesh – Budgetary resources and constraints - Fulfilment of the conditions of A.P Bifurcation Act – central assistance and issues of conflict - public debt and projects of external assistance - Physical resources - Mineral and forest resources – Water disputes with neighbouring states	
52. Explain the major sources of budgetary resources for Andhra Pradesh. What are the key challenges the state faces in mobilising adequate financial resources? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary Resources and constraints
Keyword	Explain, What
Approach	• Introduce by defining budgetary resources as the total financial receipts available to Andhra Pradesh from its own taxes, non-tax revenue, central transfers, and borrowings to meet developmental and welfare needs. • Explain the structure major sources like State GST, excise, central taxes, grants, and borrowings with data from the 2024–25 budget. • Discuss challenges such as limited tax base, declining central grants, rising liabilities, and fiscal deficit. • Conclude by stressing fiscal discipline, revenue diversification, and sustainable financial management for balanced growth.
Introduction	Andhra Pradesh's budgetary resources form the foundation for financing its development programmes, welfare schemes, and infrastructure projects. These resources are mobilised from the state's own revenues, central transfers, and borrowings. The 2024–25 Budget reflects efforts to enhance fiscal capacity while managing growing developmental and social expenditure needs.
Body & Infographic Representation	**Major Sources of Budgetary Resources:** • **State's Own Tax Revenue:** This is the largest contributor to the state's receipts. In 2024–25, it is estimated at Rs.1,09,789 crore, forming about 6.7% of GSDP. Major components include: ✓ State GST (Rs.37,489 crore): The biggest revenue source reflecting the growth of the services and industrial sector. ✓ Sales Tax/VAT (₹24,500 crore): Mainly from petroleum products and liquor. ✓ State Excise (₹25,597 crore): A significant source, especially from the sale of alcohol. ✓ Stamps and Registration Fees (Rs.13,500 crore) and Motor Vehicle Tax (₹5,203 crore) also add to revenue. • **State's Own Non-Tax Revenue:** Expected at Rs.10,576 crore, this includes fees, user charges, mining royalties, and dividends from state public sector undertakings. • **Share in Central Taxes:** The state receives ₹50,475 crore as its share in central taxes in 2024–25, constituting around 25% of revenue receipts. • **Grants-in-Aid from Centre:** Central grants under schemes like PMAY, PM-KISAN, and Samagra Shiksha total around ₹30,334 crore, though showing a 13% fall compared to 2023–24. • **Borrowings and Liabilities:** Net borrowings of ₹66,944 crore are projected to bridge the fiscal gap. Fiscal deficit is targeted at 4.2% of GSDP, and outstanding liabilities are estimated at 34.1% of GSDP, reflecting rising debt pressure.

	Key Challenges in Mobilising Adequate Financial Resources: • **Limited Tax Base:** Despite good growth, the state's own tax-to-GSDP ratio remains below potential due to dependence on indirect taxes and limited industrial diversification. • **Declining Central Grants:** Reduction in central transfers and changing formulae of Finance Commissions reduce flexibility in funding social and infrastructure projects. • **High Committed Expenditure:** Around 25% of revenue receipts are spent on pensions and interest payments, leaving limited fiscal space for capital expenditure. • **Off-Budget Borrowings:** With liabilities of over Rs.1.18 lakh crore, these borrowings increase hidden debt and reduce transparency in fiscal management. • **Uneven Sectoral Growth:** Agriculture's slow growth (2%) and fluctuating revenue from manufacturing and services limit steady tax inflows. • **Delay in GST Compensation:** Periodic delays and shortfalls in GST compensation affect state liquidity and budget planning.
Conclusion	Andhra Pradesh's fiscal situation shows steady improvement, but challenges remain in broadening the tax base and managing rising liabilities. A focus on enhancing revenue efficiency, strengthening fiscal discipline, promoting industrial diversification, and improving transparency in borrowings is essential for sustainable financial management and inclusive growth.
Model Question	"Examine the major sources of revenue for Andhra Pradesh and analyse how fiscal constraints affect the state's developmental and welfare expenditure."
Value Addition	**Andhra Pradesh Budget (2024-25)** • The Gross State Domestic Product (GSDP) of Andhra Pradesh for 2024-25 (at current prices) is estimated at Rs 16.41 lakh crore, amounting to growth of 12.5% over 2023-24. • Expenditure (excluding debt repayment) in 2024-25 is estimated to be Rs 2,69,928 crore, an increase of 14% over the revised estimates of 2023-24. In addition, debt of Rs 24,499 crore will be repaid by the state. • Receipts (excluding borrowings) for 2024-25 are estimated to be Rs 2,01,186 crore, an increase of 16% as compared to the revised estimates of 2023-24. • Revenue deficit in 2024-25 is estimated to be 2.1% of GSDP (Rs 34,743 crore), lower than the revised estimates for 2023-24 (2.7% of GSDP). • Fiscal deficit for 2024-25 is targeted at 4.2% of GSDP (Rs 68,743 crore). In 2023-24, as per the revised estimates, fiscal deficit is expected to be 4.3% of GSDP, higher than the budget estimate for 2023-24.
53. Discuss the structural composition of Andhra Pradesh's economy in terms of Gross Value Added (GVA) at current and constant basic prices (2011 – 12 base) from 2014 – 15 to 2016 – 17. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary Resources and constraints
Keyword	Discuss
Approach	• Introduce by defining Gross Value Added (GVA) as the total value created by different sectors of the economy and mention its role in assessing Andhra Pradesh's economic structure post-bifurcation. • Explain sectoral composition of the state's economy primary, secondary, and tertiary—highlighting growth trends at current and constant prices (2011–12 base) between 2014–15 and 2016–17. • Conclude by emphasizing structural transition toward a service-driven economy with continued focus on agriculture and inclusive growth.

Introduction	The Gross Value Added (GVA) represents the contribution of each sector—primary, secondary, and tertiary—to the overall economy. In Andhra Pradesh, between 2014–15 and 2016–17, the state's economic structure underwent significant shifts as it adapted to post-bifurcation challenges, focusing on balanced growth across sectors.
Body & Infographic Representation	**Understanding GVA and Economic Structure:** • GVA is a key measure that reflects the real value addition by different sectors of the economy. It helps in identifying structural transformation trends by assessing contributions at current and constant prices (2011–12 base). • Current prices include the effect of inflation, while Constant prices show real growth by removing inflationary effects. This dual measurement allows for a clear understanding of both nominal and real growth across sectors. **Sectoral Composition of Andhra Pradesh's GVA:** • **Primary Sector (Agriculture and Allied Activities):** ✓ The primary sector continued to play a crucial role in Andhra Pradesh's economy during 2014-15 to 2016-17. ✓ At current prices, its share in GVA was around 35% in 2014-15, declining slightly to 33% by 2016–17, reflecting gradual diversification. ✓ At constant prices, real growth was seen in livestock, fisheries, and horticulture, while crop agriculture showed variability due to monsoon dependence. ✓ The sector recorded an average annual growth rate of around 8-9%, supported by government initiatives like Polam Pilustondi and Neeru-Chettu for irrigation and soil health. • **Secondary Sector (Industry and Manufacturing):** ✓ The industrial sector showed modest but steady growth during this period. Its contribution to GVA remained around 20–22%, driven mainly by construction, electricity, and manufacturing. ✓ At constant prices, the manufacturing and construction sub-sectors expanded due to the industrial corridor projects and infrastructure investments initiated after the bifurcation. ✓ Micro, small, and medium enterprises (MSMEs) contributed significantly to employment and regional development. • **Tertiary Sector (Services):** ✓ The tertiary sector emerged as the largest contributor to the state's GVA. Its share rose from 43% in 2014–15 to about 45% in 2016–17 at current prices. ✓ Major sub-sectors like trade, transport, banking, and information technology services expanded rapidly. ✓ The financial and real estate sectors also grew due to increased urbanization and government's focus on digital governance and tourism promotion. **Trends at Constant Prices (2011–12 base):** • At constant prices, the state's overall GVA growth rate averaged 10.6% per annum between 2014–15 and 2016–17. • The primary sector showed fluctuations due to climate variations. The secondary sector remained stable with industrial diversification. • The services sector consistently outperformed, making Andhra Pradesh one of the fastest-growing economies in India during that period. • The structural composition of the economy indicated a gradual transition from an agrarian to a service-driven economy.

	• The rise of the services sector reflected urbanization, investment inflows, and policy reforms. ✓ However, continued dependence on agriculture highlighted the need for technological modernization and irrigation reforms to ensure inclusive growth.
Conclusion	Between 2014–15 and 2016-17, Andhra Pradesh's GVA structure showed balanced progress across all sectors, with services leading growth and agriculture retaining its social importance. The period marked a foundation for economic resilience, setting the stage for industrial and service-based expansion in the post-bifurcation era.
Model Question	Examine the changing sectoral composition of Andhra Pradesh's Gross State Domestic Product (GSDP) from 2014–15 to 2018–19 and discuss its implications for the state's inclusive and sustainable economic growth.
Value Addition	**SIGNIFICANT CONTRIBUTIONS** • Contribution of agriculture to GVA has been steadily declining over the years, from 8.31% in 2014-15 to 3.73% in 2023-24 • Contribution of horticulture to GVA has been relatively stable, with some fluctuations. It increased from 7.87% in 2014-15 to a peak of 10.4% in 2021-22, before declining slightly to 9.94% in 2023-24 • Contribution of livestock to GVA has been steadily increasing, from 8.84% in 2014-15 to 12.17% in 2023-24 • Contribution of fishing and aquaculture to GVA has been steadily increasing, from 4.66% in 2014-15 to 7.59% in 2023-24 • Overall contribution of the primary sector to GVA has been relatively stable, with some fluctuations. It increased from 30.39% in 2014-15 to a peak of 37.69% in 2020-21, before declining to 34.15% in 2023-24 • Industry sector's contribution has also seen fluctuations. It began at 25.48% in 2014-15, reached a low of 22.04% in 2019-20, and then rebounded to 25.69% in 2023-24 • Service sector has consistently been the dominant contributor to GVA throughout the period. It started at 44.13% in 2014-15, reached a peak of 44.74% in 2015-16, and then experienced a slight decline to 40.16% in 2023-24 **Primary sector contribution to GVA at current prices (in terms of %)**

Sector	2014-2015	2015-2016	2016-2017	2017-2018	2018-2019	2019-2020	2020-2021	2021-2022	2022-2023	2023-2024
Agriculture	8.31	7.08	6.12	5.82	4.67	5.57	4.94	4.23	4.15	3.73
Horticulture	7.87	8.03	9.34	10.05	8.97	9.37	10.34	10.4	10.15	9.94
Livestock	8.84	9.61	10.64	10.91	11.48	11.70	12.72	12.36	11.95	12.17
Forestry and logging	0.71	0.64	0.92	0.82	0.99	0.96	0.90	0.81	0.74	0.72
Fishing and aquaculture	4.66	5.77	6.76	8.10	8.50	8.39	8.79	8.70	7.99	7.59
Primary sector (agri & allied)	30.39	31.12	33.77	35.70	34.62	35.99	37.69	36.49	34.97	34.15

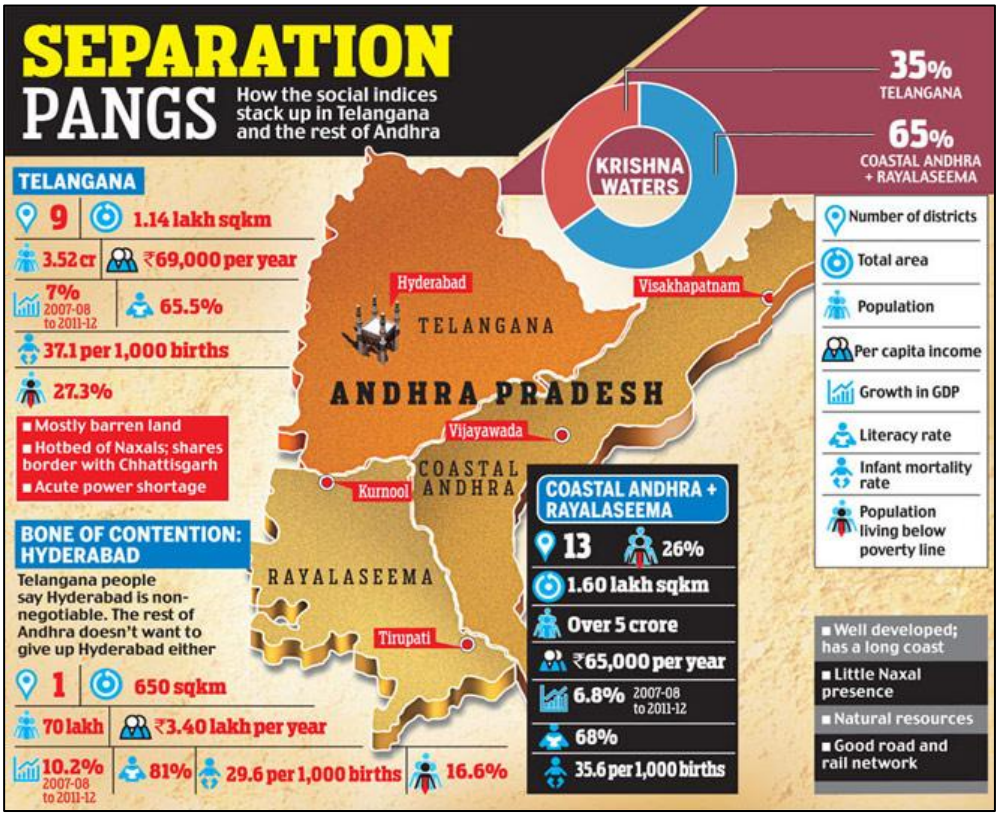
54. The proportion of revenue receipts and total budgetary receipts as percentage of GSDP increased during the period 2002-2007 and declined during 2008-14. Explain the factors contributed for such trend. (APPSC, 2016)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary Resources and constraints
Keyword	Explain
Approach	• Introduce by explaining that the ratio of revenue receipts and total budgetary receipts to GSDP reflects the fiscal strength and revenue-generating capacity of a state. • Explain the rise during 2002-2007 due to strong economic growth, tax reforms, and fiscal consolidation. • Explain the decline during 2008–2014 due to the global financial crisis, welfare spending, and reduced tax buoyancy. • Conclude by stressing the need for fiscal discipline and diversified revenue sources.
Introduction	The proportion of revenue receipts and total budgetary receipts to GSDP reflects the fiscal strength and revenue-generating capacity of a state. Between 2002-2007, economic expansion and fiscal reforms led to growth in receipts, whereas the decline during 2008-14 was influenced by global and domestic slowdowns and higher fiscal pressures.

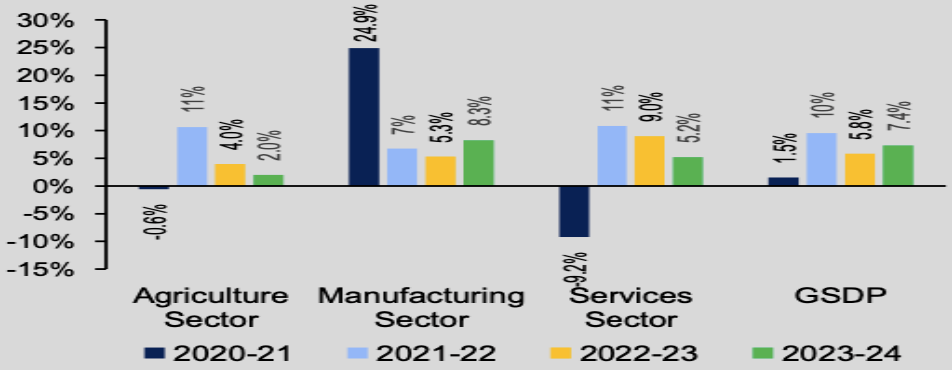
Body & Infographic Representation	**FACTORS CONTRIBUTING TO SUCH A TRENDS:** **Period of Increase (2002–2007)-Fiscal Strength and Economic Growth:** • During 2002-2007, India, including Andhra Pradesh, experienced robust economic growth averaging above 8% annually. ✓ **Strong revenue buoyancy:** Rapid industrial and service sector expansion increased tax and non-tax revenue. ✓ **Fiscal consolidation efforts:** Implementation of the Fiscal Responsibility and Budget Management (FRBM) Act, 2003 encouraged discipline and better revenue management. ✓ Tax reforms: Introduction of Value Added Tax (VAT) in 2005 enhanced efficiency and broadened the tax base. ✓ **Increased central transfers:** Higher devolution from the Centre under Finance Commission awards strengthened revenue receipts. ✓ **Public sector performance:** Improved returns from public enterprises and disinvestment proceeds contributed to higher non-tax revenue. **Period of Decline (2008-2014)-Fiscal Strain and Slowdown:** • Between 2008-14, several factors led to a decline in the ratio of revenue receipts and total budgetary receipts to GSDP. ✓ **Global financial crisis (2008):** The economic slowdown led to reduced tax collections due to contraction in trade, manufacturing, and investment. ✓ **Increased subsidies and welfare spending:** Expansion of welfare programs like MGNREGA, food and fertilizer subsidies, and social sector schemes strained fiscal space. ✓ **Decline in non-tax revenue:** Reduced profits from PSUs and falling returns on government investments weakened non-tax receipts. ✓ **Tax exemptions and policy changes:** Frequent tax waivers, slower GST transition preparations, and administrative inefficiencies affected revenue buoyancy. ✓ **Inflation and fiscal deficit pressures:** Rising inflation increased expenditure commitments while limiting real revenue growth. ✓ **State bifurcation (2014):** Fiscal uncertainty and restructuring in states like Andhra Pradesh further disturbed revenue patterns toward the end of the period.
Conclusion	Thus, the increase during 2002–2007 reflected a phase of fiscal reform and high economic growth, while the decline during 2008–14 stemmed from economic slowdown, welfare-driven expenditure, and reduced tax buoyancy. Strengthening tax administration, diversifying revenue sources, and ensuring fiscal prudence are key to improving this ratio sustainably.
Model Question	"Analyse the impact of changing fiscal deficit trends on the Gross State Domestic Product (GSDP) growth of Andhra Pradesh between 2010–11 and 2016–17."
Value Addition	**Andhra Pradesh Budget Analysis 2025-26:** • The Gross State Domestic Product (GSDP) of Andhra Pradesh for 2025-26 (at current prices) is projected to be Rs 18.3 lakh crore, amounting to a growth of 14% over the revised estimates of 2024-25. • Expenditure (excluding debt repayment) in 2025-26 is estimated to be Rs 2,97,929 crore, an increase of 19% from the revised estimates of 2024-25. In addition, debt of Rs 24,430 crore will be repaid by the state in 2025-26. • Receipts (excluding borrowings) for 2025-26 are estimated to be Rs 2,18,002 crore, an increase of 24% as compared to the revised estimate of 2024-25. • Revenue deficit in 2025-26 is estimated to be 1.8% of GSDP (Rs 33,186 crore), lower than the revenue deficit in 2024-25 as per revised estimates (3% of GSDP) . In 2024-

	25, revenue deficit is estimated to be higher than the initial budget estimate (2.1% of GSDP). • Fiscal deficit for 2025-26 is targeted at 4.4% of GSDP (Rs 79,927 crore). In 2024-25, as per the revised estimates, fiscal deficit is expected to be 4.6% of GSDP, higher than the budget estimate (4.2% of GSDP).
55. What are the important sources of revenue of the Government of Andhra Pradesh? (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary Resources and constraints
Keyword	What
Approach	• Introduce by defining revenue receipts as income received by the state government through tax, non-tax, and central transfers without creating any liability. • Explain major components - state's own tax revenue (like SGST, excise, VAT), non-tax revenue (fees, dividends), and central transfers (tax devolution, grants-in-aid) with data and examples. • Conclude by emphasizing fiscal prudence, strengthening tax administration, and improving non-tax collections for sustainable growth.
Introduction	The revenue sources of the Government of Andhra Pradesh consist of tax and non-tax receipts, which enable the state to fund welfare schemes, infrastructure, and administrative functions. These revenues are crucial for ensuring fiscal sustainability, reducing deficits, and promoting balanced regional development.
Body & Infographic Representation	**Major Components of Revenue Receipts:** • Revenue receipts of Andhra Pradesh are broadly classified into (a) State's Own Revenues and (b) Central Transfers. • For 2024–25, the total revenue receipts are estimated at ₹2,01,174 crore, marking a 16% increase over the previous year. **State's Own Tax Revenue (Internal Sources):** • The state mobilizes its own tax resources through various taxes, contributing about ₹1,09,789 crore (55%) of total revenue in 2024–25. • Key taxes include: ✓ State Goods and Services Tax (SGST): The largest source, expected to generate ₹37,489 crore, reflecting Andhra Pradesh's growing trade and industrial base. ✓ Sales Tax/VAT: Estimated at ₹24,500 crore, primarily from petroleum products and liquor sales. ✓ State Excise: Contributing about ₹25,597 crore, derived mainly from liquor and related products. ✓ Stamps and Registration Fees: Yielding ₹13,500 crore, linked to real estate transactions and property registrations. ✓ Motor Vehicle Tax: Projected at ₹5,203 crore, showing the rise in vehicle ownership. ✓ Land Revenue and Electricity Duty: Smaller sources contributing around ₹2,706 crore combined. **State's Own Non-Tax Revenue:** • Non-tax revenue is estimated at ₹10,576 crore for 2024–25. It includes: ✓ Fees and user charges from public services, transport, and irrigation. ✓ Dividends and profits from State Public Sector Undertakings. ✓ Interest receipts from loans given by the state. ✓ These receipts, though smaller than tax revenue, are vital for maintaining liquidity in non-plan expenditures. **Central Transfers (Devolution and Grants-in-Aid):**

	• The central government's contribution forms around 40% of Andhra Pradesh's revenue through: ✓ Share in Central Taxes: Estimated at ₹50,475 crore, representing the state's constitutional share in national taxes as recommended by the Finance Commission. ✓ Grants-in-Aid: Estimated at ₹30,334 crore, supporting flagship schemes such as PMAY (Housing), PM Fasal Bima Yojana, and Rural Employment programs. ✓ These transfers play a vital role in bridging fiscal gaps and supporting welfare initiatives like Annadata Sukhibhava and NTR Bharosa Pension Scheme. **Fiscal Management and Implications:** • Efficient revenue generation helps the state manage its revenue deficit (2.1% of GSDP) and fiscal deficit (4.2% of GSDP) within permissible limits under the Fiscal Responsibility and Budget Management (FRBM) Act. • The Sustained growth in own revenues strengthens fiscal autonomy and reduces overdependence on central transfers.
Conclusion	The Government of Andhra Pradesh primarily relies on state taxes, non-tax revenues, and central transfers to fund its expenditure. Strengthening tax compliance, improving non-tax returns, and prudent fiscal management are essential for sustaining growth, welfare, and infrastructure development across the state.
Model Question	"Analyse the impact of economic reforms and fiscal decentralization on the composition and growth of revenue receipts in Andhra Pradesh during the post-2014 period."
Value Addition	**Andhra Pradesh's Economy:** • **GDP:** In 2023-24, Andhra Pradesh's GDP (at constant prices) is estimated to grow by 7.4% over the previous year. In comparison, India's GDP is estimated to grow by 9.2% in 2023-24. In 2023-24, agriculture is estimated to grow at 2%. Manufacturing and services sectors are estimated to grow at 8.3% and 5.2%, respectively. • **Sectors:** In 2023-24, agriculture, manufacturing, 5% and services sectors are estimated to contribute 37%, 0% 23%, and 40% of Andhra Pradesh's economy, -5% respectively (at current prices). • **Per capita GDP:** In 2023-24, Andhra Pradesh's per capita GDP (at current prices) is estimated to be Rs 2,70,295, an increase of 10% over 2022-23. In comparison, India's per capita GDP in 2023-24 is estimated to be Rs 2,15,935, an increase of 11% over the previous year.
56. How is Andhra Pradesh's economy popularly classified? What are the relative shares of the three regions in the GSDP of Andhra Pradesh in recent years? (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Budgetary Resources and constraints
Keyword	How, What
Approach	• Mention the popular classification of Andhra Pradesh's economy into Coastal Andhra, Rayalaseema, and Telangana. • Provide sectoral contributions and relative shares in GSDP with latest data of united A.P. (agriculture dominance in Coastal Andhra, services in Telangana, etc.). • Conclude by pointing to unequal growth and the need for regional development policies.
Introduction	The economy of united Andhra Pradesh was popularly classified into three broad regions—Coastal Andhra, Rayalaseema, and Telangana. This classification reflected not only geography but also variations in irrigation, cropping patterns, industrialization, and socio-economic development. The contribution of these regions to the state's Gross State Domestic Product (GSDP) revealed deep inter-regional disparities.

Body & Infographic Representation	**Classification of the Andhra Pradesh Economy** • **Coastal Andhra**: Fertile deltaic plains with abundant canal irrigation (Krishna and Godavari). Agriculture dominated with paddy, sugarcane, and aquaculture; industrial hubs like Visakhapatnam and Vijayawada boosted growth. • **Rayalaseema:** Semi-arid region, dependent on groundwater; agriculture is less productive (groundnut, millets). Limited industries except cement and power plants. • **Telangana:** Deccan plateau region with uneven rainfall; tank irrigation is declining, leading to bore well dependence. Hyderabad emerged as a services and IT hub, driving the tertiary sector.  **Regional Shares in GSDP in recent years** • According to the Planning Department, A.P. Statistical Abstract 2012: ✓ Coastal Andhra contributed 43–45% of GSDP, mainly from agriculture and ports (Kakinada, Visakhapatnam). ✓ Telangana contributed 40–42%, largely driven by Hyderabad's IT, pharma, and real estate sectors. ✓ Rayalaseema contributed only 15–17%, reflecting its economic backwardness. **Implications of GSDP Trends** • Coastal Andhra's agricultural prosperity created rural affluence, while Telangana's Hyderabad-centric growth spurred urban prosperity. • Rayalaseema lagged, leading to high out-migration and demands for special packages. • The unequal shares in GSDP fuelled political demands for equitable distribution of irrigation projects and budgetary allocations.
Conclusion	Thus, Andhra Pradesh's economy was classified regionally into Coastal Andhra, Rayalaseema, and Telangana, each with distinct economic features. The relative GSDP shares showed Coastal Andhra and Telangana as growth engines, while Rayalaseema lagged. Addressing such imbalances through targeted development policies remains crucial for balanced regional growth.

Model Question	Explain the regional classification of the economy of united Andhra Pradesh and evaluate the contribution of Coastal Andhra, Rayalaseema, and Telangana to the state's GSDP.
Value Addition	• Gross State Domestic Product (GSDP) is a measure in monetary terms, the sum total volume of all finished goods and services produced during a given period of time, usually a year, within the geographical boundaries of the State, accounted without duplication. • Gross State Domestic Product (GSDP) or State Income is the most important indicator for measuring the economic growth of a State. • These estimates of the economy, over a period of time, reveal the extent and direction of the changes in the levels of economic development. • The State Domestic Product is classified under three broad sectors, such as Primary sector, Secondary sector, and Tertiary sector, and is compiled economically activity-wise as per the methodology prescribed by the National Accounts Division, National Statistical Office, Ministry of Statistics & Programme Implementation, Govt. of India. • In 2015, NSO introduced the new series of national accounts statistics with base year 2011-12, replacing the previous series with base year 2004-05.
57. Briefly discuss the impact of bifurcation on the economy of Andhra Pradesh with respect to sectoral changes and resource gap. Provide a brief note on the steps taken by the Government of Andhra Pradesh to mobilize resources. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Fulfilment of the conditions of A.P Bifurcation Act – central assistance and issues of conflict
Keyword	Briefly discuss, Provide a breif note on
Approach	• Introduce by explaining that the 2014 bifurcation of Andhra Pradesh caused major economic disruptions due to the loss of Hyderabad—the key revenue and service hub. • Discuss the sectoral changes such as decline in services, challenges to industry and agriculture, and emerging diversification. • Explain the resource gap and government steps like PPPs, FDI, taxation, and borrowing to mobilize funds. • Conclude by stressing sustainable fiscal management and balanced sectoral growth.
Introduction	The bifurcation of Andhra Pradesh in 2014, which created the new state of Telangana, deeply affected the economic structure of residual Andhra Pradesh. The loss of Hyderabad its industrial and service hub caused major disruptions in revenue generation, sectoral balance, and overall economic stability, creating a significant resource gap.
Body & Infographic Representation	**Sectoral Changes after Bifurcation:** • The post-bifurcation economy of Andhra Pradesh witnessed considerable sectoral reorientation: • **Agriculture Sector:** Agriculture remained the backbone of the new state, but water scarcity due to the loss of irrigation projects like Nagarjuna Sagar and Srisailam created challenges. Efforts have since focused on micro-irrigation and diversification towards horticulture and aquaculture. • **Industrial Sector:** The industrial base weakened as Hyderabad hosted most major industries and IT hubs. To counter this, new industrial corridors such as Visakhapatnam–Chennai and Chennai–Bengaluru were promoted under national programs to attract manufacturing units. • **Service Sector:** The services sector declined due to Hyderabad's separation. However, new service clusters emerged in Visakhapatnam, Vijayawada, and Tirupati, focusing on IT, education, and logistics.

	• **Infrastructure Development:** The need to build new administrative and economic infrastructure especially the Amaravati Capital Region temporarily boosted construction and employment, though progress has slowed in recent years. **Resource Gap and Fiscal Challenges:** • The bifurcation led to a loss of around one-third of state revenues, as Hyderabad contributed nearly 60% of the undivided state's total income. • The division of assets and liabilities between the two states created fiscal stress, with disputes over power dues and institutional funds. • The revenue deficit was estimated at nearly ₹16,000 crore initially, impacting welfare schemes and development programs. • The state also faced reduced central devolution and dependence on borrowings to fund infrastructure and social programs. **Government Measures to Mobilize Resources:** • To manage fiscal stress and ensure balanced growth, the Andhra Pradesh government adopted several initiatives: • **Tax and Revenue Reforms:** Expansion of the tax base, rationalization of property tax, and better GST compliance. • **Public-Private Partnerships (PPPs):** Projects in ports, roads, and energy sectors were promoted through PPP models. • **Foreign and Domestic Investment:** Initiatives like the AP Industrial Development Policy 2020-23 aimed to attract FDI, especially in electronics and renewable energy. • **Central Assistance:** The state sought Special Category Status and additional grants for infrastructure and backward districts under central schemes. • **Debt Financing and Bonds:** The state issued bonds for capital projects, focusing on long-term revenue-generating infrastructure.
Conclusion	The bifurcation of Andhra Pradesh posed major fiscal and structural challenges, but it also opened new opportunities for balanced regional development. Through fiscal prudence, infrastructure expansion, and investment promotion, the state continues to rebuild its economic base, striving toward sustainable, inclusive, and diversified growth.
Model Question	"Examine how the bifurcation of Andhra Pradesh in 2014 influenced the fiscal stability and developmental priorities of the residual state. Discuss the measures adopted by the state government to rebuild its economic base and promote balanced regional growth."
Value Addition	**Figure 1: Growth in GSDP and sectors in Andhra Pradesh at constant prices (2011-12)**  Note: Agriculture includes mining and quarrying; Manufacturing includes construction and electricity. These numbers are as per constant prices (2011-12) which implies that the growth rate is adjusted for inflation. Sources: Andhra Pradesh Economic Review 2023-24; PRS.

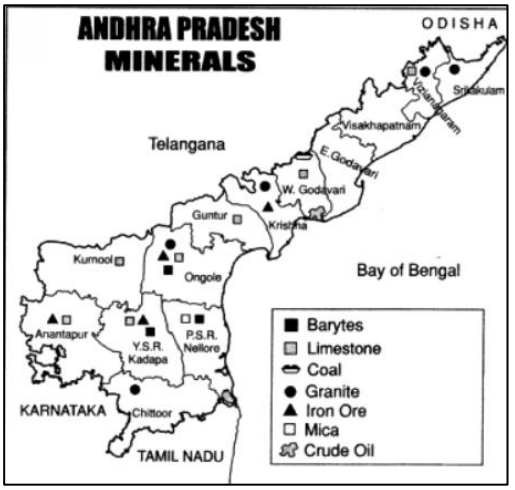
58. Discuss the sources and trends in revenue of the Andhra Pradesh Government before and after reorganisation for the period 2011 – 12 to 2016 – 17. (APPSC, 2017)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Fulfilment of the conditions of A.P Bifurcation Act – central assistance and issues of conflict
Keyword	Discuss
Approach	• Begin with a brief statement of context: pre-bifurcation (2011–14) and post-bifurcation (2014–17), noting the AP Reorganisation Act and its fiscal implications. • Break down revenue into own taxes (VAT/sales, stamps, state GST precursor), non-tax receipts, central transfers (tax devolution, grants), and capital receipts; show trends (growth/decline) and shifts in shares across years. • Analyse causes (loss of Hyderabad, one-time transfers, change in devolution, expenditure responsibilities), assess fiscal indicators (revenue buoyancy, deficit, dependence on transfers) and conclude on fiscal sustainability and policy implications.
Introduction	Andhra Pradesh's revenue structure (2011–12 to 2016–17) shifted materially after the State Reorganisation Act (2 June 2014). Before bifurcation, the undivided State relied largely on its own tax base and centrally-shared taxes; after reorganisation, the residuary State faced a smaller tax base, one-time apportionment issues and greater dependence on central transfers. The answer outlines the main revenue sources and the major trends with supporting figures.
Body & Infographic Representation	**Sources of Revenue of Andhra Pradesh** • **Own-tax revenue**: state GST/State excise, VAT (pre-GST), stamp duty, motor vehicle tax - the largest single source of own receipts. • **Non-tax revenue:** fees, user charges, interest and administrative receipts, a small but steady share. • **Central transfers (tax devolution + grants):** share in central taxes and grants from Centre - became relatively more important after reorganisation. • **Capital/other receipts and borrowings:** They are used to finance deficits and one-time transitional liabilities (including unapportioned debt after bifurcation). **Trends: 2011–12 to 2013–14 (pre-reorganisation)** • Revenue receipts of the undivided Andhra Pradesh showed normal growth driven by a broad tax base (VAT, state excise, stamps). • Own-tax ratios were relatively high; central transfers formed the remainder. • Fiscal management followed pre-bifurcation patterns in the Finance Accounts. **Trends: 2014–15 to 2016–17 (post-reorganisation)** • The 2014 bifurcation produced an immediate fall in the tax base and created apportionment issues (unapportioned amounts and transition grants). • Government records show resource gaps and a revenue deficit for 2014–15 attributable to the split and to new expenditure commitments for the residuary State. • In 2015–16, the Centre increased tax devolution and provided special assistance, which, together with a modest rise in the State's own taxes, helped revenue receipts recover partially. • By 2016–17, the Budget documents and FRBM/Budget-at-a-glance projected further recovery - total revenue receipts were budgeted higher, though CAG/Accounts reported somewhat lower outturns, indicating reliance on transfers and continuing fiscal stress.
Conclusion	Reorganisation (2014) interrupted Andhra Pradesh's revenue trajectory by shrinking its tax base and creating transitional liabilities; this produced a short-term revenue shortfall in 2014–15. Recovery over 2015–17 was led largely by higher central devolution and modest growth in own taxes, but the residuary State remained more dependent on transfers and borrowings than the pre-reorganisation undivided State. Continued strengthening of own-tax buoyancy and expenditure rationalisation were therefore essential for fiscal consolidation.

Model Question	Analyse the composition and trajectory of the revenue structure of Andhra Pradesh during the pre- and post-bifurcation phases (2011–12 to 2016–17), highlighting key shifts and determinants.
Value Addition	For the first half of the 2024–25 fiscal year, Andhra Pradesh received total revenue receipts of ₹1,37,319.53 crore, which includes ₹63,052.19 crore from borrowings and other liabilities. This figure represents 46% of the full-year budget estimate of ₹2,97,929.16 crore. State revenue is significantly impacted by borrowing, with a revenue deficit reaching ₹36,741 crore in the first four months of the fiscal year, which exceeded the annual budget estimate.
59. Critically examine the role of World Bank Loans in the development of Andhra Pradesh economy. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Public debt and projects of external assistance
Keyword	Critically Examine
Approach	• Begin with a brief statement of context: pre-bifurcation (2011–14) and post-bifurcation (2014–17), noting the AP Reorganisation Act and its fiscal implications. • Break down revenue into own taxes (VAT/sales, stamps, state GST precursor), non-tax receipts, central transfers (tax devolution, grants), and capital receipts; show trends (growth/decline) and shifts in shares across years. • Analyse causes (loss of Hyderabad, one-time transfers, change in devolution, expenditure responsibilities), assess fiscal indicators (revenue buoyancy, deficit, dependence on transfers) and conclude on fiscal sustainability and policy implications.
Introduction	The World Bank has played a significant role in financing Andhra Pradesh's development since the 1980s, particularly in sectors like irrigation, power, roads, rural development, and governance reforms. The loans were aimed at catalysing economic growth and institutional strengthening. However, their developmental impact has been both beneficial and contentious due to fiscal, social, and environmental implications.
Body & Infographic Representation	**Nature and Scope of World Bank Assistance** • World Bank assistance to Andhra Pradesh has largely taken the form of long-term loans and technical assistance under various projects. • Between 1997 and 2011, the State received significant aid through projects such as the Andhra Pradesh Economic Restructuring Project (APERP), Irrigation Sector Restructuring Project, Road Sector Project, and Urban Reforms Project. The emphasis was on fiscal discipline, infrastructure modernisation, and governance reforms. **Positive Impacts on Development** • **Infrastructure Development:** The Roads and Buildings Department Project (2003–09) upgraded over 2,000 km of state highways, improving market connectivity and logistics efficiency. • **Power Sector Reforms**: The AP Power Sector Restructuring Project (1999–2004) supported unbundling of APSEB into generation, transmission, and distribution companies, enhancing efficiency and reducing transmission losses. • **Rural Development**: The Indira Kranthi Patham and Society for Elimination of Rural Poverty (SERP), supported by the Bank, empowered 11 lakh self-help groups (SHGs) covering over 1 crore women, boosting microfinance and rural entrepreneurship. • **Governance and Institutional Strengthening:** The Public Management and Fiscal Services Project promoted computerisation of treasury operations and e-governance in local bodies. **Criticisms and Limitations**

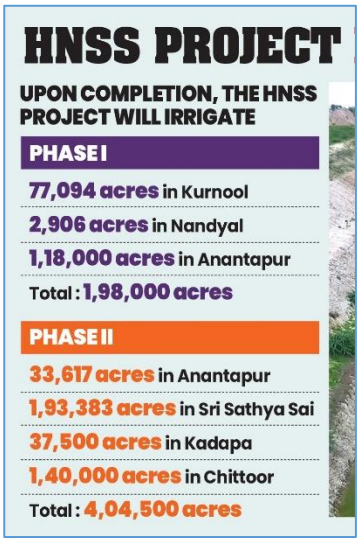
	• Despite visible outcomes, World Bank loans have drawn criticism for promoting a neo-liberal reform agenda. Conditionalities under APERP, like downsizing of public employment, privatisation of utilities, and reduction in subsidies, were seen as socially regressive. • The fiscal burden also rose, with debt servicing forming nearly 20% of revenue receipts by 2010–11. Environmental and displacement concerns were noted in irrigation projects like the Srisailam Left Bank Canal Project.
Conclusion	World Bank loans significantly modernised Andhra Pradesh's infrastructure, rural institutions, and governance systems. Yet, their market-oriented conditions and debt implications call for a balanced approach that aligns external aid with inclusive, region-specific development goals. The State's experience underscores the need to combine fiscal prudence with social equity in future loan utilisation.
Model Question	Evaluate the developmental impact of World Bank-assisted projects in Andhra Pradesh, assessing both the benefits and limitations of external financial intervention.
Value Addition	The World Bank, established in 1944, is a vital global financial institution that provides long-term loans, grants, and technical assistance to developing countries for poverty reduction and sustainable development. It comprises the IBRD and IDA, focusing on infrastructure, education, health, and governance reforms. The Bank promotes economic reforms, institutional strengthening, and inclusive growth through project-based and policy-based lending. However, it is often criticised for imposing neo-liberal conditionalities and prioritising economic efficiency over social equity. In the Indian context, the World Bank has played a significant role in supporting economic liberalisation and state-level development projects, including in Andhra Pradesh.
60. Explain the pattern of resource mobilisation for the public sector in the 5-Year Plans of Andhra Pradesh in the recent decade. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Public debt and projects of external assistance
Keyword	Explain
Approach	• Outline the primary resource channels: state budgetary allocations, state PSUs' retained earnings and borrowings, multilateral/bilateral assistance, and private participation (PPP). • Describe the pattern over the decade: emphasis on plan grants and loans, rising market borrowings for capital projects, shifts toward PPP for infrastructure, and the changing role of central plan transfers. • Assess adequacy and sustainability: crowding-in vs crowding-out, fiscal constraints, efficiency of resource use in PSUs, and policy suggestions to mobilise long-term funds.
Introduction	Resource mobilisation for the public sector in Andhra Pradesh's Five-Year Plans reflects the State's evolving fiscal capacity and developmental priorities. During the 10th (2002–07) and 11th Plans (2007–12), the State adopted a diversified strategy comprising budgetary resources, institutional borrowings, and central assistance. The focus was on sustaining high growth while maintaining fiscal discipline under the FRBM framework.
Body & Infographic Representation	**Composition of Resource Mobilisation:** Public sector plan resources in Andhra Pradesh were mainly mobilised through: • **State's Own Resources (SOR):** Comprising own-tax and non-tax revenue surplus, small savings, and provident funds. • **Central Assistance:** Including normal central assistance, centrally sponsored schemes (CSS), and special plan assistance. • **Borrowings and Institutional Finance**: From sources such as NABARD, LIC, HUDCO, and market borrowings.

	• **Public Enterprises' Internal Resources:** Generated by major corporations like APTRANSCO, APSRTC, and APIIC. **Trends in Resource Mobilisation** • **Market Borrowings:** They became a dominant source due to fiscal consolidation and greater autonomy; by 2011–12, they accounted for nearly 15500 crores of financing the fiscal deficit. • **Central Assistance**: Though important, its share declined relatively due to the growing emphasis on centrally sponsored schemes. • Institutional Finance: NABARD's Rural Infrastructure Development Fund (RIDF) loans financed key irrigation and road projects like Jalayagnam and Rural Roads Project. • **Public Enterprises**: Their contribution remained modest, due to financial constraints and limited profitability. • **Fiscal Management and Constraints** ✓ The FRBM Act (2005) limited the fiscal deficit to 3% of GSDP, enforcing prudence in borrowings. ✓ While the State achieved commendable plan size expansion, high-interest obligations and delayed central releases often constrained effective fund utilisation.
Conclusion	The resource mobilisation pattern in Andhra Pradesh's recent Five-Year Plans highlights a shift from dependence on central aid to self-reliant and market-based financing. Though this strengthened fiscal autonomy, it also increased debt exposure, necessitating innovative resource generation and efficient expenditure management for sustainable development.
Model Question	Discuss the strategies and trends in public sector financing in Andhra Pradesh during the recent Five-Year Plans, with emphasis on institutional and budgetary mechanisms.
Value Addition	The Fiscal Responsibility and Budget Management (FRBM) Act, 2005, was enacted to institutionalise fiscal discipline, ensure macroeconomic stability, and promote transparency in public finances in Andhra Pradesh. It mandated the State to reduce its fiscal deficit to 3% of GSDP and eliminate revenue deficit over time. The Act required regular medium-term fiscal policy statements and annual targets for prudent budgeting. It restricted unproductive borrowings and encouraged outcome-oriented expenditure. Overall, the FRBM framework aimed to achieve sustainable growth through responsible fiscal management while maintaining flexibility for developmental spending.
61. Give an account of the mineral and forest resources of Andhra Pradesh. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Physical resources - Mineral and forest resources
Keyword	Give an Account
Approach	• Open with an inventory: major minerals (bauxite, limestone, barites, coal pockets, mica, dolomite, etc.) and forest types/cover, geographical distribution across agro-ecological zones. • Discuss economic significance: contribution to state revenue, employment, allied industries (cement, aluminium), and ecological/tribal dependencies on forests. • Examine sustainability issues: mining impacts, forest degradation, regulatory framework, conservation measures, and policy balance between extraction and ecological protection.
Introduction	Andhra Pradesh is one of India's most resource-rich States, endowed with a wide variety of minerals and forest wealth, which contribute significantly to its economy. The State's unique geological formations make it a major hub for mineral-based industries, while its forests sustain biodiversity and tribal livelihoods. Together, they form the backbone of the State's industrial and ecological development.

Body & Infographic Representation	**Mineral Resources** • Andhra Pradesh accounts for nearly 7% of India's mineral value production (as of 2019–20) and ranks among the top five mineral-producing states. • The Directorate of Mines & Geology (GoAP) oversees mineral exploration and revenue mobilisation. **Major Minerals**: • **Bauxite**: Found in the Eastern Ghats of Visakhapatnam and East Godavari districts; estimated reserves exceed 600 million tonnes. • **Limestone:** Abundant in Kadapa, Kurnool, and Guntur districts; supplies to major cement plants (e.g., India Cements, Ultratech). • **Manganese and Laterite**: Found in Vizianagaram and Srikakulam districts. • **Barites:** Mangampet (Kadapa) hosts one of the largest barite deposits in the world, accounting for nearly 95% of India's production. • **Iron Ore and Silica Sand:** Notable reserves in Anantapur, Nellore, and Prakasam districts.  **Economic Contribution:** • In 2019–20, the total value of mineral production in the State exceeded ₹12,000 crore, generating significant royalty revenues and employment in mining clusters such as Kadapa and Kurnool. **Forest Resources** • Forests cover approximately 37,258 sq km, constituting 22.86% of the State's geographical area (India State of Forest Report 2021). • Major forest belts occur in the Eastern Ghats and Nallamala ranges across Chittoor, Prakasam, and Visakhapatnam districts. **Types and Produce:** • Tropical Dry and Moist Deciduous Forests dominate, with valuable species like teak, rosewood, and bamboo. • Non-Timber Forest Products (NTFPs) such as tamarind, honey, and medicinal plants support tribal economies in the agency areas. • Conservation Efforts: The State has 13 wildlife sanctuaries and 3 national parks (e.g., Papikonda, Sri Venkateswara), promoting biodiversity conservation and eco-tourism.
Conclusion	Mineral and forest resources form vital pillars of Andhra Pradesh's economy, supporting both industrial growth and ecological balance. Sustainable management, community participation, and value addition are essential to ensure that these resources contribute to inclusive and long-term development.
Model Question	Provide an overview of the distribution and economic significance of mineral and forest resources in Andhra Pradesh, along with associated utilization patterns.
Value Addition	The Andhra Pradesh Minor Mineral Policy 2025 focuses on rejuvenating the mining sector through streamlined processes, a transparent auction system for leases, and a commitment to sustainable development. The policy aims to boost economic growth and employment, promote environmental conservation, and support community welfare while contributing to the state's long-term development goals. It also addresses the growth of related sectors like MSMEs.

62. The main aim of Andhra Pradesh State Mineral Policy is to serve as a guiding force to translate the State's mineral potential into reality with eco-friendly and sustainable mining." Discuss. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Physical resources - Mineral and forest resources
Keyword	Discuss
Approach	• Define policy aims and components: resource mapping, investment promotion, fiscal regime, local benefits, environmental safeguards, and rehabilitation provisions. • Critically evaluate implementation: investor interest, revenue mobilisation, enforcement of environmental norms, community participation and benefit-sharing, and monitoring mechanisms. • Conclude by assessing whether the policy reconciles growth with sustainability; suggest reforms to strengthen transparency, rehabilitation, technology adoption, and stronger environmental governance.
Introduction	The Andhra Pradesh State Mineral Policy (2015) aims to harness the State's vast mineral potential while ensuring environmental sustainability and social responsibility. Recognising the State's rich reserves of barytes, limestone, bauxite, and other minerals, the policy seeks to balance industrial growth with ecological and community welfare. Its focus is on transparent, scientific, and inclusive mining practices.
Body & Infographic Representation	**Objectives of the Policy** • The core aim of the Mineral Policy is to translate mineral potential into economic reality by promoting responsible exploration, sustainable extraction, and value addition. • It aligns with the National Mineral Policy (2008 & 2019) and the Mines and Minerals (Development and Regulation) Act, 1957, ensuring conformity with national frameworks. • Key objectives include: ✓ Promoting scientific and eco-friendly mining through advanced technology. ✓ Encouraging investment and industrial linkage in mineral-based industries. ✓ Enhancing revenue mobilisation through transparent e-auctioning of leases. ✓ Ensuring tribal welfare and environmental protection in mineral-rich areas. **Strategies for Sustainable Mining** • **Transparent Allocation:** Adoption of the e-auction system for mineral blocks to curb illegal mining and enhance state revenues. • **Environmental Safeguards:** Mandatory Environmental Impact Assessments (EIA) and reclamation plans for mined areas, especially in sensitive regions like Eastern Ghats (bauxite zones). • **Value Addition:** Promotion of beneficiation and processing industries (e.g., cement, ceramics) to increase local employment and reduce raw export. • **Community Participation**: Implementation of District Mineral Foundation (DMF) and State Mineral Exploration and Research Bureau (SMERB) to reinvest mining revenues into local development. • **Institutional Reforms**: Strengthening of the Directorate of Mines & Geology (DMG) with GIS-based surveillance to monitor illegal extraction. **Outcomes and Challenges of the Mineral Policy** • The policy has improved royalty revenues. • It also attracted FDI in limestone and barytes processing units. • However, challenges persist in curbing illegal mining, ensuring mine closure compliance, and balancing economic gains with biodiversity conservation in forested belts like Nallamala and Araku.

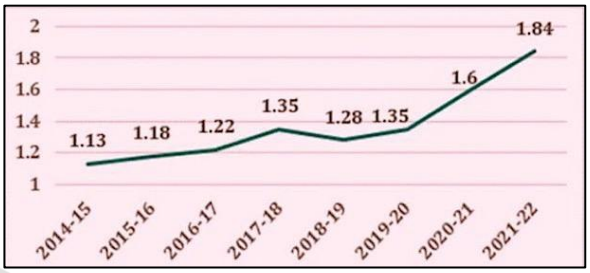
Conclusion	The Andhra Pradesh State Mineral Policy serves as a roadmap for eco-friendly and inclusive mineral development, blending economic growth with environmental stewardship. Its success lies in effective implementation, technology-driven monitoring, and equitable benefit-sharing among local communities to ensure truly sustainable mining.
Model Question	Critically assess how the Andhra Pradesh State Mineral Policy seeks to balance mineral-based industrial development with environmental sustainability and community welfare.
Value Addition	The National Mineral Policy (2008) aimed to promote scientific, transparent, and sustainable mining while ensuring equitable distribution of benefits from mineral resources. It emphasised private sector participation and foreign direct investment (FDI) in exploration and mining with regulatory safeguards. The policy stressed environmental protection, mine closure plans, and rehabilitation of affected communities, particularly in tribal and forest regions. It called for the establishment of a Mining Tenement Registry and National Mineral Inventory for greater data transparency. The policy laid the foundation for a balanced approach between growth and sustainability, later refined under the National Mineral Policy, 2019, to align with sustainable development goals (SDGs).
63. State and discuss the important features of the Handri Neeva Sujala Sravanthi project and explain its role in meeting the water needs of the Rayalaseema Region. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Physical resources - Mineral and forest resources
Keyword	State, Discuss, Explain
Approach	• Begin with a contextual introduction highlighting Rayalaseema's drought vulnerability and the purpose of the HNSS project. • In the body, systematically explain its engineering features, canal network, lift stages, reservoirs, and river interlinking. Use clear subheadings for irrigation, drinking water, and drought mitigation benefits. Support with district-wise coverage examples. • Conclude by emphasizing its strategic importance and the need for efficient completion and operation.
Introduction	The Handri Neeva Sujala Sravanthi (HNSS) project is a large-scale lift irrigation scheme designed to serve as a lifeline for the drought-prone Rayalaseema region of Andhra Pradesh. It aims to protect the area from drought and reverse desertification by utilizing surplus flood waters from the Krishna River.
Body & Infographic Representation	**Important Features of the HNSS Project:** • **Source and Utilisation of Water:** The project draws an allocated 40 TMC (thousand million cubic feet) of flood water from the foreshore of the Srisailam Reservoir during the 120 flood days, typically from August to November. • **Extensive Canal Network:** The scheme involves a main canal running for approximately 565 km, making it the longest water canal project in the region. This canal is crucial for transporting water across the rugged, elevated terrain of the Rayalaseema districts. • **Multi-Stage Pumping System:** To lift water across the high and undulating terrain, the project employs a multi-stage lift system. Water is lifted in a total of 12 to 13 stages (8 in Phase-I and 4-5 in Phase-II) to a cumulative height of over 369 meters. This complex system involves numerous pump houses and pumping units, a key engineering marvel. • **Balancing Reservoirs and Tunnels:** The infrastructure includes the formation of eight balancing reservoirs (e.g., Krishnagiri, Jeedipalle, Gollapalli, Marala) to store water and regulate supply, along with the excavation of five tunnels with a total length of over 13 km to navigate hilly regions.

	• **Interlinking River Systems:** The main canal links several local rivers and streams in the region, including the Handri, Penna, Chitravathi, Papagni, and Neeva rivers, helping to recharge groundwater levels and enhance overall water security. • **Mutchumarri Lift Irrigation Scheme:** A supplementary lift scheme at Mutchumarri allows water to be drawn from the Srisailam reservoir's backwaters during lean periods when the main pump house's minimum draw-down level is not met.  **Role in Meeting Water Needs of the Rayalaseema Region:** • **Irrigation:** The primary objective is to provide irrigation facilities to approximately 6.025 lakh acres of land that previously relied on unreliable rain and scarce local water sources. For example, Phase-I covers areas in Kurnool and Anantapur, while Phase-II extends coverage to Kadapa and Chittoor districts through various branch canals like the Madakasira and Punganur canals. • **Drinking Water Supply:** The project is designed to provide safe and reliable drinking water to nearly 33 lakh people (around 3.3 million) in 81 drought-hit mandals. • **Groundwater Recharge and Tank Filling:** The canal system feeds numerous medium and minor irrigation tanks and reservoirs (e.g., Bhairivani Tippa reservoir) which in turn help to increase the groundwater table across the region, crucial for sustainable water management in this arid zone. • **Drought Mitigation:** By drawing surplus water during the monsoon flood season, the project provides an alternate and more reliable water source, making the region less vulnerable to the vagaries of rainfall and the severe famine conditions that have historically plagued it.
Conclusion	HNSS is a strategically important, large-scale lifeline for Rayalaseema — combining lift engineering, long-distance conveyance and reservoir interconnections to transform a chronically water-scarce region. Its full potential depends on completing remaining branches, efficient operation (lining and reduced losses), and integrated tank/command management to convert water availability into sustained agrarian and socio-economic gains.
Model Question	Examine the role of the Srisailam Right Main Canal (SRMC) in stabilizing irrigation in Kurnool and Nandyal districts. Highlight the challenges encountered in its operational efficiency.
Value Addition	**Gundlakamma Reservoir:** • The Gundla Kamma project was built on the Gundlalam river at 80 feet high at Mallavaram with a storage capacity of 12.845 tmns. • The project aims to provide 62,368 acres in Kharif and 80.060 acres in Rabi with Rs. The project was constructed with 592 crores. • The water was released from the project through the hands of late Chief Minister Dr. YS Rajasekhar Reddy in November 2008. Apart from irrigated, this project provides 250,000 drinking water in Ongole. **Poola Subbaiah Veligonda Project:** • Poola Subbaiah Veligonda Project (PSVP) consists of Nallamala Sagar Reservoir which is formed by closing Three Gaps in Nallamala Hill Ranges namely Sunkesula, Gottipadia and Kakarla to draw 43.50 TMC of Flood water from Kollam Vagu

	(Upstream of Srisailam Reservoir) through twin Tunnels by gravity and thereafter, to impound in Nallamala Sagar Reservoir through a Feeder Canal. • Three Canals namely Teegaleru, Gottipadia and Eastern Main Canal take off water from Nallamala Sagar Reservoir to cater to the Irrigation and Drinking Water needs.
4. Government Budgeting: Structure of Government budget and its components –Budgeting process and recent changes - of - Types of budget – types of deficits, their impact and management – Highlights of current year's union budget and its analysis -GST and related issues – Central assistance to states - Issues of federal finance in India – Recommendations of the latest finance commission	
64. What do you understand by Government Budget? Briefly explain the types of public expenditure and how these expenditures are classified in the government budget. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Structure of Government Budget and its components
Keyword	What, Briefly explain, How
Approach	• Define budget (Art.112) as a fiscal and policy instrument. • Explain types of budgets → types of expenditure (revenue/capital with 2025–26 examples) → classification (economic, functional, and accounting). • Budget as a roadmap for growth and welfare, with classification ensuring transparency and accountability.
Introduction	A government budget is an annual financial statement of estimated receipts and expenditures of the government for a financial year. As mandated under Article 112 of the Indian Constitution, the Union Government presents it before Parliament. Beyond its accounting role, the budget acts as an instrument of fiscal policy, resource allocation, and socio-economic transformation.
Body & Infographic Representation	**Types of Government Budget** • **Balanced Budget** – Revenue equals expenditure. Rare in practice; more theoretical. • **Surplus Budget** – Revenue exceeds expenditure. Used in inflationary situations; e.g., not adopted in India recently due to developmental needs. • **Deficit Budget** – Expenditure exceeds revenue. Common in India; Union Budget 2025–26 estimated a fiscal deficit of 5.1% of GDP, showing reliance on borrowing for growth. **Types of Public Expenditure** • **Revenue Expenditure** – ✓ Covers recurring expenses like salaries, pensions, subsidies, and interest. ✓ Example: In 2025–26, interest payments alone constituted ~23% of total expenditure, and large allocations went to subsidies like food and fertilizer. • **Capital Expenditure** – ✓ Involves creation of productive assets and infrastructure. ✓ Example: Union Budget 2025–26 allocated ₹11.11 lakh crore for capital expenditure, with emphasis on railways, roads, and green energy, signaling a push for long-term growth. • **Functional Classification** – ✓ **General Services** – Defence (₹6.2 lakh crore), administration, debt servicing. ✓ **Social Services** – Education (₹1.48 lakh crore), Health (₹1.09 lakh crore), housing and social welfare. ✓ **Economic Services** – Agriculture and allied activities (₹1.47 lakh crore), rural development (₹2.3 lakh crore), infrastructure investment. ✓ **Grants-in-Aid** – Transfers to states and UTs for centrally sponsored schemes like PMAY and Jal Jeevan Mission. **Classification of Expenditure in Government Budget**

	• **Economic Classification** – Divides expenditure into Revenue and Capital, capturing the nature of government activity. ✓ Example: 2025–26 revenue expenditure forms ~84% of total, capital ~16%. • **Functional Classification** – Groups expenditure by objectives: economic, social, or general services. ✓ Example: Shift towards capital spending on infrastructure shows government's growth strategy. • **Accounting Classification** – Uses Major Head codes (e.g., 2/3 for revenue, 4/5 for capital). • **Budgetary Documentation** – Instruments like Annual Financial Statement, Demands for Grants, Appropriation Bill provide detailed expenditure classification and ensure legislative oversight.
Conclusion	The government budget is not a mere statement of accounts but a policy document that reflects national priorities. The Union Budget 2025–26 illustrates how public expenditure is strategically classified to balance welfare needs with infrastructure-driven growth. Such classification into revenue, capital, functional, and economic categories enhances fiscal transparency, accountability, and efficiency, making the budget a vital tool for governance and inclusive development.
Model Question	"Critically evaluate the role of capital expenditure in promoting long-term economic growth. Comment with reference to the Union Budget 2025–26."
Value Addition	Union Budget Highlights: • Major tax relief up to ₹12.75 lakh income • focus on 4 growth engines—Agriculture, MSMEs, Investment, Exports • schemes for pulses, KCC, urban hubs, AI in education • support for gig workers, housing, connectivity, push for Make in India, R&D, nuclear energy, customs rationalisation, fiscal deficit target 4.4% (FY26).
65. Describe the highlights of the Fiscal Reforms and Budget Management Act, 2003. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Structure of Government Budget and its components
Keyword	Describe
Approach	• Introduce the FRBM Act as fiscal discipline legislation. • List highlights: fiscal deficit targets, revenue deficit elimination, borrowing limits, transparency norms, and escape clause. • Conclude with an evaluation of effectiveness and need for updating targets post-COVID.
Introduction	The Fiscal Responsibility and Budget Management (FRBM) Act, 2003, was enacted to institutionalize financial discipline, reduce fiscal deficit, and improve macroeconomic stability in India. It sets legal targets for government borrowing, debt, and fiscal transparency. Over the years, it has been amended to balance growth needs with fiscal prudence.
Body & Infographic Representation	**The primary highlights of the FRBM Act, 2003 are:** • **Targets for Fiscal Consolidation:** ✓ Reduction of fiscal deficit to 3% of GDP by March 2009. ✓ Elimination of revenue deficit by March 2009. ✓ Prohibition on borrowing by the government from the Reserve Bank of India, except under exceptional circumstances. • **Transparency in Fiscal Operations:** ✓ The government must present Medium-Term Fiscal Policy (MTFP) Statement, Fiscal Policy Strategy (FPS) Statement, and Macroeconomic Framework (MMF) Statement to Parliament with the budget.

	✓ This ensures accountability and predictability in fiscal policy. • **Escape Clause:** Flexibility was provided in case of national security, natural calamity, or other exceptional grounds, allowing temporary deviation from targets. • **Institutional Reforms:** ✓ Introduction of rolling targets for fiscal indicators. ✓ The Act laid the foundation for fiscal consolidation across states through State FRBM legislations, incentivized by the 12th Finance Commission. • **Amendments and Updates:** ✓ The FRBM (Amendment) Act, 2012 introduced the concept of Effective Revenue Deficit and revised timelines. ✓ The N.K. Singh Committee (2017) recommended a Debt-to-GDP ratio target of 40% for the Centre and 60% combined (Centre + States) by 2023. ✓ As per the Union Budget 2025–26, India's fiscal deficit is estimated at 4.4% of GDP, showing gradual progress towards fiscal consolidation. ✓ The Act helped India maintain fiscal discipline in the pre-2008 phase, with fiscal deficit reducing to 2.5% of GDP in 2007–08. ✓ However, global financial crisis (2008) and COVID-19 pandemic led to deviations, invoking escape clauses.
Conclusion	The FRBM Act, 2003, remains a cornerstone of India's fiscal policy, aiming at sustainable debt and deficit management. While its targets faced challenges during crises, it has ensured greater transparency and accountability in budgeting. Ongoing reforms are crucial for achieving a balance between growth and fiscal prudence.
Model Question	Write short notes on the Fiscal Responsibility and Budget Management (FRBM) Act, 2003. Discuss its significance in achieving fiscal consolidation in India.
Value Addition	**Features of the FRBM Act, 2003** • The FRBM Act sets limits on fiscal deficit and revenue deficit, expressed as a percentage of GDP. Initially, the Act aimed to reduce the fiscal deficit to 3% of GDP by 2008. These targets are periodically updated based on economic needs and government priorities. • Under the FRBM Act, the central government is mandated to present three critical fiscal documents every financial year: the Medium-Term Fiscal Policy Statement, the Fiscal Policy Strategy Statement, and the Macroeconomic Framework Statement. • Each year, the government outlines specific fiscal goals and performance determiners in line with FRBM principles. • The FRBM Act is not static; it includes a built-in review mechanism. This means fiscal targets can be reassessed and modified based on changing economic conditions.
66. Explain the principles of public expenditure. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Structure of Government Budget and its components
Keyword	Explain
Approach	• Define public expenditure as govt. spending for welfare & growth. • Explain principles: economy, efficiency, equity, productivity, sanction, flexibility, benefit principle. • Conclude with emphasis on the welfare state & accountability in democratic India.
Introduction	Public expenditure refers to the spending incurred by the government for fulfilling welfare, developmental, and administrative needs. In a welfare state like India, the efficient use of resources is crucial for fiscal stability. Economists like Adam Smith and Dalton have laid down guiding principles for effective public expenditure.

Body & Infographic Representation	**Key Principles of Public Expenditure:** • **Principle of Economy:** ✓ Public expenditure should avoid waste and ensure value for money. ✓ Example: Rationalisation of subsidies through Direct Benefit Transfer (DBT) has reduced leakage in LPG subsidies (₹1.41 lakh crore savings since 2014 – MoF). • **Principle of Sanction:** ✓ No expenditure should be incurred without proper legal and parliamentary approval. ✓ Example: All government spending in India requires authorisation through Appropriation Acts. • **Principle of Maximum Social Advantage (Dalton's Principle):** ✓ Expenditure should maximise welfare by balancing marginal social benefit (MSB) with marginal social sacrifice (MSS). ✓ Example**:** Investment in healthcare (Ayushman Bharat) increases productivity and reduces poverty. • **Principle of Elasticity:** ✓ Expenditure policy should be flexible to adjust to emergencies like wars, pandemics, or natural disasters. ✓ Example: The share of Government Health Expenditure (GHE) in the GDP increased from 1.13% in 2014-15 to 1.84% in 2021-22 due to COVID-19.  • **Principle of Productivity:** ✓ Spending should enhance national income and create assets. ✓ Example: In the Union Budget 2025-26, capital investment outlay for infrastructure has been increased to Rs. 11.21 lakh crore (US$128.64 billion), which would be 3.1% of GDP. • **Principle of Equity:** ✓ Expenditure must reduce inequalities and promote social justice. ✓ Example: Schemes like PM-KISAN and MGNREGA ensure rural income support and employment. • **Principle of Accountability:** ✓ Expenditure must be transparent and audited to prevent misuse. ✓ Example: CAG audits and Parliamentary Committees monitor public expenditure in India.
Conclusion	The principles of public expenditure ensure that limited government resources are used effectively for welfare and development. Adhering to economy, productivity, and equity promotes inclusive growth. In India's context, transparency and accountability are essential for strengthening fiscal governance.
Model Question	What are the guiding principles of public expenditure? Explain how these principles ensure efficiency and accountability in a welfare state like India.
Value Addition	**Key Findings of Quality of Public Expenditure Index:** • **1991–1997:** Early liberalisation saw a slight improvement in the Centre's expenditure quality, but states struggled amid fiscal pressures and declining public investment. • **1997–2003:** Expenditure quality declined due to salary hikes (Fifth Pay Commission), rising interest payments, and revenue-heavy spending.

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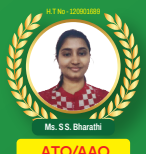

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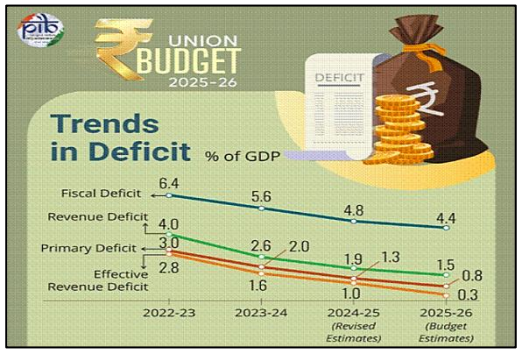
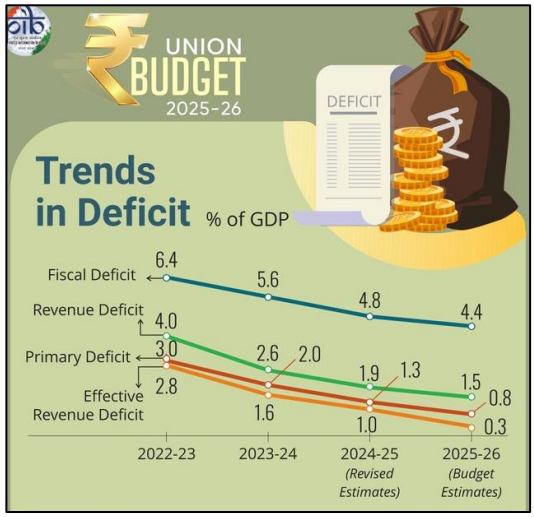
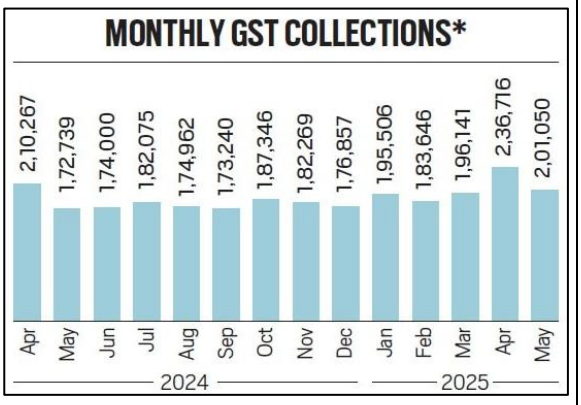
	• **2003–2008:** ✓ Fiscal Responsibility and Budget Management (FRBM) Act, 2003, enforced in 2004, improved fiscal discipline. ✓ States benefited from higher tax devolution, but the 2008 Global Financial Crisis (GFC) halted progress. • **2008–2013:** The Centre's stimulus spending initially improved quality but later caused fiscal imbalances. • **2013–2019:** States improved with higher development spending and 14th Finance Commission funds, while the Centre faced challenges as Goods and Services Tax (GST) revenue sharing initially benefited states more. • **2019–2025:** ✓ Fiscal stimulus measures during COVID-19 led to a temporary decline in expenditure quality. ✓ Post-pandemic recovery, driven by higher capital expenditure, helped improve spending efficiency. ✓ In 2024-25, India's QPE is at its highest level since the 1991 economic liberalisation, reflecting improved fiscal management and spending efficiency.
67. Define the term 'deficit' in government finance. Explain the various types of deficits and their economic implications. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Types of Deficits
Keyword	Define, Explain
Approach	• Start with the definition of deficit as the excess of expenditure over revenue in the government finance. • Explain types: revenue deficit, fiscal deficit, primary deficit, budgetary deficit; link to macro-implications (inflation, borrowing needs, and growth constraints). • Conclude with the need for fiscal prudence, FRBM targets, and long-term sustainability.
Introduction	In government finance, a deficit refers to the excess of expenditure over revenue in a fiscal year. It reflects the gap between the resources mobilized and the state's spending commitments. They have macroeconomic implications for growth, inflation, and the sustainability of public debt.
Body & Infographic Representation	**Definition of Deficit:** • A deficit arises when the government's total expenditure exceeds its total receipts (excluding borrowings). • It is a key indicator of fiscal health and is monitored through different types of deficits. **Types of Deficits:** • **Revenue Deficit:** ✓ It refers to the excess of revenue expenditure over revenue receipts. ✓ It indicates that the government is using borrowings to finance consumption rather than investing in assets. ✓ Example: India's Revenue Deficit for fiscal year 2024-25 was projected to be 1.8% of GDP, as stated in the Union Budget, with a budgeted figure of ₹5.80 lakh crore. • **Fiscal Deficit:** ✓ The gap between total expenditure and total receipts (excluding borrowings). ✓ This shows the government's borrowing needs. ✓ India's fiscal deficit for 2024–25 was 4.8% of GDP, above the FRBM target of 3%. • **Primary Deficit:**

	✓ It is obtained by subtracting interest payments from the fiscal deficit. ✓ It indicates the government's current fiscal stance without considering past debt burdens. ✓ Example: The Budget Estimates for 2025-26 are estimated to result in a 4.4 percent fiscal deficit of GDP. • **Budgetary Deficit:** ✓ It is the difference between total receipts and total expenditure, including borrowings. ✓ It is no longer in official use, but conceptually important.  **Economic Implications of Deficit:** • Moderate deficits can stimulate demand and investment in infrastructure. • Persistent deficits may fuel money supply growth. • Rising fiscal deficits add to debt servicing burdens. • Higher borrowing burdens future taxpayers. • Excessive borrowing leads to higher public debt, inflationary pressure, and crowding out of private investment.
Conclusion	Deficits are inevitable in a developing economy like India due to welfare and infrastructure needs. However, sustainable deficit management is essential to avoid inflationary pressures and rising debt burdens. Strict adherence to FRBM targets and rationalised expenditure can ensure fiscal stability.
Model Question	What do you understand by fiscal deficit? Discuss the different types of budgetary deficits and their impact on the Indian economy.
Value Addition	**Important Objectives of the Fiscal Responsibility and Budget Management Act, 2003:** • **Transparency**: Promotes the inclusion of realistic and accountable fiscal conditions, ensuring clarity in government financial management. • **Debt Smoothing:** Refers to the gradual and equitable distribution of debt over time, reducing financial strain. • **Flexibility to RBI**: Provides the Reserve Bank of India the flexibility to manage inflation effectively within the framework of fiscal policy.
68. Differentiate between revenue deficit, fiscal deficit and primary deficit? How does deficit financing impact the economy? (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Types of Deficits
Keyword	Differentiate, How
Approach	• Introduce by defining revenue, fiscal, and primary deficits with their distinctions in the Indian fiscal framework. • Explain the impact of deficit financing on growth, inflation, private investment, and debt sustainability, substantiating with Union Budget 2025–26 and Economic Survey data. • Conclude by stressing the need for prudent deficit management that balances counter-cyclical growth support with long-term fiscal stability.
Introduction	Deficits represent the imbalance between government revenues and expenditures and serve as key indicators of fiscal health. Revenue, fiscal, and primary deficits differ in scope, reflecting structural and cyclical challenges in India's public finances. Understanding their distinctions and implications is crucial, especially as deficit financing remains a central tool in India's growth strategy.

Body & Infographic Representation	**Differentiation of Deficits:** • **Revenue Deficit**: ✓ Occurs when revenue expenditure (such as salaries, subsidies, interest payments) exceeds revenue receipts (tax and non-tax revenues). It reflects the gap that must be met through borrowings even to meet routine expenditure. ✓ **Revenue Deficit =** Revenue Expenditure – Revenue Receipts ✓ **Revenue deficit =** Total Revenue expenditure – (Tax Revenue + Non Tax Revenue) • **Fiscal Deficit**: ✓ Represents the total borrowing requirement of the government—when total expenditure (revenue + capital) exceeds total receipts excluding borrowings. **Formula:** ✓ **Fiscal Deficit** = Total Expenditure – (Revenue Receipts + Capital Receipts excluding borrowings). ✓ Fiscal deficit = Total borrowing requirement of the government. ✓ India's Fiscal Deficit fell from 6.4% of GDP in 2022–23 to 5.6% in 2023–24, and is expected to decline further to 4.5% or lower by 2025–26.  • **Primary Deficit**: ✓ Measures the fiscal deficit excluding interest payments, highlighting whether current borrowing is being used for new spending (other than debt servicing). ✓ Gross Primary Deficit = Fiscal Deficit – Interest Payments. ✓ Net Primary deficit = Fiscal deficit + Interest received – Interest payments **Deficit Financing:** • Deficit financing is the practice where a government's total expenditure exceeds its total revenue. To cover this gap, the government can create new money through borrowing or by printing new currency. • There are three ways by which the central government finances deficit. These are: ✓ Borrowing from Public and Foreign Governments ✓ Withdrawing Cash Balances held with the R.B.I. ✓ Borrowing from R.B.I. **Impact of Deficit Financing in India:** • **Stimulating Growth through Counter-Cyclicality:** ✓ Deficit financing through infrastructure and social schemes has historically supported growth during downturns. ✓ Higher capital outlay in fiscal deficits indicates better fund utilization for productive purposes. ✓ FY 2025–26: Capex of ₹11.21 lakh crore (3.1% of GDP) to catalyze growth. • **Inflationary Pressures and Monetary Risks**: ✓ If financed through monetization (i.e., the RBI printing money), deficit financing can stoke inflation and undermine monetary stability, an internal risk flagged by economic management frameworks. • **Crowding Out Private Investment**:

	✓ Persistent borrowing can absorb available financial resources, pushing up interest rates and crowding out private sector credit, a constraint noted in Indian macroeconomic assessments. • **Debt Sustainability and Credibility**: ✓ India's fiscal position has improved: the fiscal deficit fell from 5.6% in FY 2023–24 to 4.8% in FY 2024–25, with a further target of 4.4% in FY 2025–26. ✓ However, public debt remains elevated, estimated at around 80% of GDP by end-2025, raising long-term sustainability concerns. • **Productivity-Linked Benefits**: ✓ Empirical studies indicate that when deficit financing funds productive capital expenditure, it can enhance growth and gradually improve debt ratios. However, indiscriminate use risks adverse outcomes.
Conclusion	Deficit financing, while essential for counter-cyclical growth and development spending, carries risks of inflation, crowding out, and fiscal stress if unchecked. India's fiscal policy must therefore balance short-term developmental needs with long-term stability through targeted capital expenditure, prudent borrowing, and credible consolidation. Sustainable deficit management remains vital for inclusive and resilient economic growth.
Model Question	The Union Budget 2025–26 has prioritized capital expenditure while targeting fiscal consolidation. Critically evaluate this strategy in managing deficit financing
Value Addition	**Capital Expenditure and Revenue Expenditure:** • Capital Expenditure and Revenue Expenditure When government incurs expenditure to create assets such as school and hospital buildings, roads bridges, canals, railway lines etc., or reduce its liability such as repayment of loan etc., such expenditure is known as capital expenditure. • But when government incurs expenditure that neither creates any asset nor reduces any liability, such expenditure is known as revenue expenditure. • **For Example,** payment of salaries to government employees, maintenance of public property, providing free education and health services to people, etc constitute revenue expenditure. These do not create any public asset.
69. Discuss the concept of revenue deficit and effective revenue deficit and justify the reasons for introducing effective revenue deficit. Give the details of the expected revenue deficit & the effective revenue deficit by the fiscal 2016-17, as per the Union Budget 2013-14. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Types of Deficits
Keyword	Discuss, Justify, Give the details
Approach	• Define revenue deficit and effective revenue deficit with legal/FRBM context. • Explain formula, significance of ERD, and justify its introduction (asset creation, fiscal consolidation, transparency, capital spending). • Highlight Effective revenue deficit (ERD) as a reform that balances fiscal discipline with growth-oriented expenditure.
Introduction	Revenue deficit (RD) and effective revenue deficit (ERD) are important fiscal indicators under the Fiscal Responsibility and Budget Management (FRBM) framework. While Revenue deficit highlights the excess of revenue expenditure over revenue receipts, ERD refines this measure by excluding grants-in-aid that lead to capital asset creation. The distinction was introduced in Budget 2011–12 and given statutory recognition through the Finance Act, 2012.
Body & Infographic Representation	• **Revenue Deficit (RD)** ✓ Revenue deficit is defined as the gap between revenue expenditure and revenue receipts. A high RD implies that the government is borrowing not for investment but for consumption, which is fiscally unsustainable. It reflects the imbalance in day-to-day fiscal management and can crowd out capital expenditure.

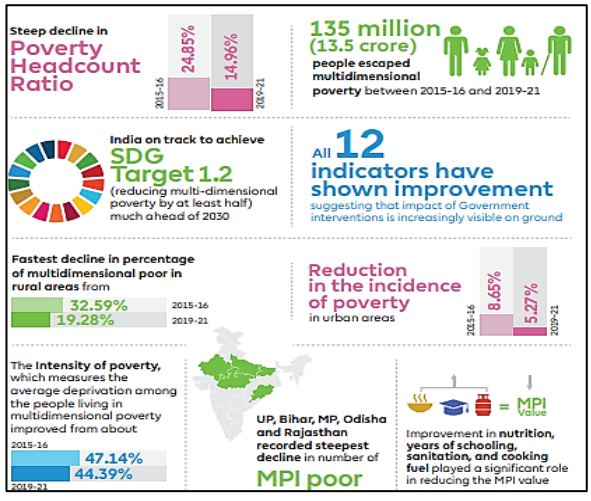
	• **Effective Revenue Deficit (ERD)** ✓ Effective revenue deficit is calculated as: ERD = RD – Grants-in-Aid for Creation of Capital Assets (GiACA). ✓ Although these grants are classified as revenue expenditure in the Union accounts, they ultimately create tangible capital assets at the state and local body level. Hence, ERD provides a clearer picture of the government's purely consumptive expenditure. **Rationale for Introducing ERD** • **Recognition of asset-building expenditure:** ERD separates capital-forming grants from consumption, improving assessment of expenditure quality. • **Support to fiscal consolidation:** The FRBM (Amendment) Act, 2012 incorporated ERD as a target, ensuring consolidation does not reduce productive capital outlays. • **Policy transparency:** By netting out GiACA, policymakers, auditors, and legislatures can better judge fiscal prudence. • **Encouraging capital formation:** As highlighted in Budget 2012, ERD allows greater space for capital spending, which fosters growth and inter-generational equity. **Fiscal consolidation targets in Union Budget:** • "Since the data from 2016–17 is outdated, it is more appropriate, from an examination perspective, to consider the targets for the fiscal year 2025–26." • **Revenue Deficit:** The government's target is 1.5% of GDP. • **Effective Revenue Deficit:** The government's target is 0.3% of GDP. • **Fiscal Deficit:** The government has targeted a fiscal deficit of 4.4% of GDP for 2025-26, as part of a multi-year fiscal consolidation plan. • **Fiscal consolidation roadmap:** ✓ This target is part of a broader strategy to lower the country's fiscal deficit to below 4.5% of GDP by fiscal year 2026. The government has shown a consistent trend of reducing deficits in recent years, with the fiscal deficit having decreased steadily from a peak of 9.2% during the pandemic.
Conclusion	The introduction of effective revenue deficit was a significant fiscal reform. While revenue deficit shows the immediate imbalance in current account spending, effective revenue deficit focuses on the true consumption gap. By excluding capital-creating grants, ERD encourages governments to prioritize productive expenditure without compromising fiscal consolidation, thereby striking a balance between fiscal discipline and economic growth.
Model Question	"Effective Revenue Deficit provides a more realistic picture of government finances than Revenue Deficit." Discuss in the context of the FRBM Act amendments.
Value Addition	• The Rangarajan Committee on Public Expenditure (2010) recommended the idea of "effective revenue deficit" to distinguish productive expenditure. • Budget 2012–13 made ERD a fiscal target, with a phased reduction roadmap (to 0% by 2014–15, though later dropped).
70. What is meant by the, Goods and Services Tax, (GST)? Explain the steps taken by the Indian Government to facilitate trade and 'ease of doing businesses under the GST regime. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: GST and related issues
Keyword	What, Explain
Approach	• Introduce by defining GST as a unified indirect tax reform and its significance in India's economic landscape. • Explain key government initiatives, digital mechanisms, Council decisions, and reforms that eased trade and doing business. • Conclude by highlighting recent reforms and PM's announcements, underscoring GST's evolving role in simplifying India's tax regime.

Introduction	The Goods and Services Tax (GST) is a destination-based, multi-stage indirect tax subsuming nearly all central and state indirect levies into a single structure—achieving the principle of "one nation, one tax, one market." Implemented via the Constitution (101st Amendment) Act, 2016, GST began on 1 July 2017 to enhance transparency, rationalize rates, and simplify business operations by dismantling tax cascades.
Body & Infographic Representation	**Goods and Services Tax (GST):** GST replaces a slew of indirect taxes—excise duty, service tax, VAT, entry tax, and others with four primary levies: • CGST (Central GST) and SGST (State GST) for intra-state supplies • IGST (Integrated GST) for inter-state transactions This dual structure ensures equitable revenue sharing and reduces transaction costs across states.  ***Figure: Monthly GST Collections in Crores*** **Steps to Facilitate Trade & Ease of Doing Business under GST:** • **Simplified Tax Structure & Rate Rationalization:** ✓ The GST Council has progressively reduced the number of high-rate items—from 226 in the 28% slab down to just 37—easing inventory and pricing pressures for businesses. ✓ Furthermore, recent policy overhauls ("GST 2.0") introduce structural reforms and rate rationalization to improve working capital and manufacturing competitiveness. ✓ Example: Reports suggest these reforms could stimulate consumption by around ₹5.31 lakh crore (about 1.6% of GDP), partially cushioning against external shocks. ✓ Example: The Bank of Baroda report estimates that 11.4% of consumption expenditure would benefit, potentially boosting demand and lowering inflation. • **Technological Integration through GSTN & Automation:** ✓ To streamline compliance and reduce errors, GST has integrated e-invoicing, e-way bills, auto-population of returns, and dynamic QR codes on invoices. ✓ These digital tools reduce manual data entry and speed up filing processes. ✓ Example: GST collections for FY 2024–25 hit a record ₹22.08 lakh crore, growing 9.4% year-on-year, with an average monthly mop-up of ₹1.84 lakh crore, indicating wider compliance and formalisation of the economy. • **Rapid Refunds & Liquidity Support:** ✓ GST-enabled electronic refund mechanisms have become faster and more transparent, significantly improving liquidity for exporters and domestic input-intensive sectors. • **Guidance & Dispute Reduction Mechanisms:** ✓ To clarify complex classifications and minimize litigation, the GST Council has produced sector-specific guidance notes (Eg: for textiles, MSMEs, e-commerce) in local languages, ensuring clarity for taxpayers. • **State-Level Legislative Alignment & Procedural Simplification:** ✓ States like Delhi have passed GST Amendment Bills to simplify procedures, enhance transparency, and streamline input tax credit mechanisms.

	✓ This has yielded measurable gains, Delhi collected ₹15,535 crore in the first four months of FY 2025-26 post-reform. • **Next-gen GST Reforms to Reduce Consumer Prices:** ✓ The Group of Ministers (GoM) on GST rate rationalization has approved the proposal to scrap the 12% and 28% slabs, recommending the two-slab system (5% and 18%) to the GST Council for implementation. It is expected to lower prices on essentials and drive consumption. ✓ An estimated 99% of items currently taxed at 12% would shift to the lower 5% slab, providing widespread relief across essential and consumption categories. ✓ Around 90% of items in the 28% bracket including electronics, cement, ACs, and household appliances are proposed to move to the 18% rate.
Conclusion	GST has transformed India's indirect tax system by unifying levies, digitizing compliance, and easing trade. Ongoing reforms like GST 2.0 enhance business-friendliness. In his 2025 Independence Day speech, PM Modi announced next-generation GST reforms, a "Diwali gift" by reducing taxes on essentials, supporting MSMEs, and reinforcing the government's commitment to inclusive ease of doing business.
Model Question	Discuss the impact of GST on cooperative federalism in India with special reference to the role of the GST Council.
Value Addition	**The GST Council:** • In order to implement GST, Constitutional (122nd Amendment) Bill (CAB in short) was introduced in the Parliament which was passed by Rajya Sabha on 3rd August, 2016 and Lok Sabha on 8th August, 2016 respectively. The CAB was passed by more than 15 States which received Hon'ble President's assent on 8th of September, 2016. • On 16th September, 2016, Government of India issued notifications bringing into effect all the sections of CAB setting firmly into motion the rolling out of GST. This notification set out an outer limit of time of one year, that is till 15th September, 2017 for bringing into effect GST.
71. What are the objectives of Goods and Services Act and what would be its impact on economic growth? (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: GST and related issues
Keyword	What
Approach	• Define GST as a landmark indirect tax reform (101st Amendment) aimed at unifying the Indian market. • State Objectives (One Nation–One Tax, eliminate cascading, transparency, widen base, cooperative federalism) and Impacts (GDP growth, trade boost, logistics efficiency, formalisation, consumption stimulus, sectoral gains). • Conclude by calling GST a transformative reform that enhances fiscal federalism, transparency, and competitiveness.
Introduction	The Goods and Services Tax (GST), rolled out on 1st July 2017 through the 101st Constitutional Amendment Act, 2016, is India's most transformative indirect tax reform. By subsuming multiple central and state taxes, GST created a destination-based, value-added, dual tax system shared by the Centre and States. Provisions such as Article 246A (power to legislate GST) and Article 269A (levy and collection of inter-state supply of goods/services) provide its constitutional foundation.
Body & Infographic Representation	**Objectives of GST:** • **One Nation, One Tax:** ✓ To replace a multitude of indirect taxes previously levied by the central and state governments (such as excise duty, VAT, and service tax) with a single, unified tax, thereby creating a common national market for goods and services.

	• **Eliminating Cascading Tax Effect:** ✓ A core objective was to abolish the "tax-on-tax" system. Under the previous regime, taxes were levied at multiple stages, leading to an increase in the final cost of products for the consumer. GST, with its seamless input tax credit mechanism, ensures tax is paid only on the value added at each stage. • **Boosting Tax Compliance and Formalisation:** ✓ The GST framework, driven by technology through the GST Network (GSTN), aims to increase the number of businesses in the formal economy. Online procedures for registration, returns, and payments have made compliance simpler, transparent, and more difficult to evade. • **Improving Logistics and Supply Chain Efficiency:** ✓ By subsuming inter-state taxes and abolishing check-posts, GST facilitates the free movement of goods across the country. This reduces transit times, lowers logistics costs, and improves supply chain efficiency for businesses. • **Regulating the Unorganised Sector:** ✓ With provisions for online compliance and the tracking of transactions, GST has brought many previously unregulated sectors, such as textiles and construction, into the formal tax system. • **Promoting Cooperative Federalism** ✓ GST Council (Article 279A) ensures consensus-based decision-making between Union and States. ✓ Harmonizes taxation while protecting state revenues. **Impact on Economic Growth:** • **Trade and GDP Growth** ✓ A notable effect of GST is the lowering of internal tax barriers, which encourages inter-state trade. A study by the U.S. Federal Reserve estimated that GST could raise real GDP by about 4.2%, driven by a 29 % increase in internal trade and 32 % growth in external trade. • **Boost to Manufacturing and Logistics** ✓ Manufacturing output projected to rise by 14%. ✓ Elimination of check-posts has reduced logistics costs and delivery times. • **Formalization and Compliance** ✓ Improved transparency and digital compliance. ✓ Brought more small and medium enterprises (SMEs) into the tax net. • **Stimulus to Consumption and Demand** ✓ Rationalization of GST slabs (proposals to move to 5% & 18%) may lower prices, improve ease of doing business, and boost demand. • **Sectoral Gains** ✓ Positive effects on automobiles, FMCG, cement, and retail sectors. ✓ Simplified structure has improved investor confidence.
Conclusion	The GST framework, backed by constitutional provisions (Articles 246A, 269A, and 279A), has created a unified Indian market, curbed cascading taxes, and enhanced transparency. Though challenges remain such as compliance complexities and slab rationalisation. GST is a landmark reform that is strengthening fiscal federalism, formalisation, and economic growth. In the long term, GST is poised to make India's economy more competitive, consumption-driven, and globally integrated.
Model Question	"Evaluate the success of GST in achieving the principle of 'One Nation, One Tax'. What challenges remain in ensuring compliance, revenue buoyancy, and equity among states?"

Value Addition	• The GST Council is the key decision-making body responsible for shaping and guiding the implementation of the Goods and Services Tax in India. It was constituted as per Article 279A of the Constitution following the passage of the 122nd Constitutional Amendment Bill by Parliament and its ratification by more than 15 states. The Amendment received Presidential assent on 8 September 2016, and the Council was formally set up shortly thereafter. • The GST Council consists of the following members: ✓ The Union Finance Minister (Chairperson) ✓ The Union Minister of State in charge of Revenue or Finance ✓ The Minister in charge of Finance or Taxation, or any other Minister nominated by each State Government ✓ Any person nominated by the Governor of the State where there is a proclamation of emergency under Article 356 of the Constitution
72. Replacement of the Planning Commission by NITI Aayog has changed the approach to development planning in India." Explain. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Explain
Approach	• Explain shift: from centralized command planning to cooperative federalism. • Show differences: policy think tank, bottom-up approach, focus on states, outcome-based monitoring. • Conclude: new approach promotes flexibility and innovation in development.
Introduction	The Planning Commission, established in 1950, guided India's economic development through centralized Five-Year Plans until 2014. In 2015, it was replaced by the NITI Aayog to align with globalization, market liberalization, and cooperative federalism. This transition represents a paradigm shift from resource allocation to strategic policy think-tank functions.
Body & Infographic Representation	• **Shift in Institutional Role** ✓ The Planning Commission functioned as a central authority for resource allocation and plan formulation. ✓ NITI Aayog acts as a policy think-tank, providing directional and strategic inputs without financial powers. • **Cooperative Federalism** ✓ Unlike the Planning Commission's top-down approach, NITI Aayog emphasizes bottom-up planning. ✓ The Governing Council, comprising Chief Ministers and Lt. Governors, ensures state participation in decision-making. ✓ **Example**: Aspirational Districts Programme covering 112 backward districts focuses on locally driven growth. • **Flexibility and Innovation** ✓ Five-Year Plans, rigid in nature, are replaced by long-term visions, medium-term strategies, and action agendas.



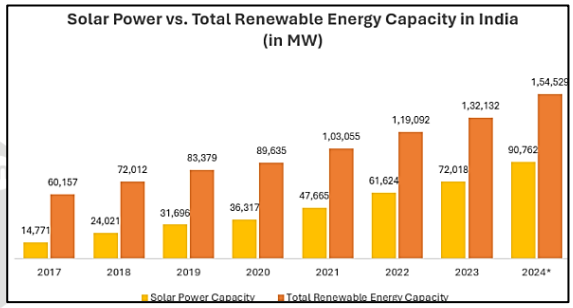
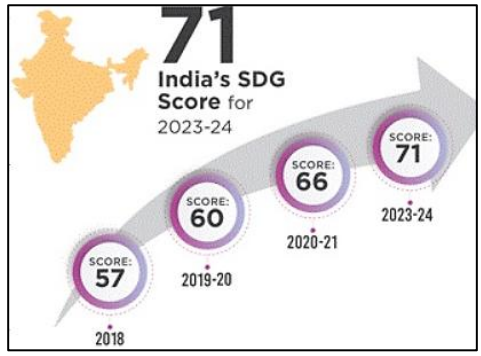
	✓ NITI Aayog uses real-time data and performance monitoring (e.g., SDG India Index, Health Index) to track progress. • **Private Sector and Global Integration** ✓ Earlier plans stressed the public sector; NITI Aayog encourages PPP models, start-ups, and innovation ecosystems. ✓ Example: Atal Innovation Mission promotes entrepreneurship and incubation centres. • **Empirical Evidence and Impact** ✓ According to NITI Aayog (2023), India lifted over 135 million people out of multidimensional poverty between 2015-21, supported by targeted policies like Ujjwala Yojana, Jal Jeevan Mission, and Ayushman Bharat. ✓ SDG India Index shows improved scores in health, renewable energy, and digital governance under cooperative models.
Conclusion	The replacement of the Planning Commission by NITI Aayog reflects a shift from centralized planning to participatory governance. By promoting cooperative federalism, innovation, and data-driven policymaking, NITI Aayog has transformed India's developmental approach. However, its effectiveness depends on balancing flexibility with strong implementation mechanisms.
Model Question	Examine how the replacement of the Planning Commission with NITI Aayog signifies a paradigm shift from centralized planning to cooperative federalism in India's developmental framework.
Value Addition	**Aspirational Districts Programme Performance Indicators** • Health & Nutrition (30%) • Education (30%) • Agriculture & Water Resources (20%) • Financial Inclusion & Skill Development (10%) • Basic Infrastructure (10%)
73. List out the monitorable targets of the 11th Five Year Plan of Andhra Pradesh State. Also explain the pattern of resource allocation in the 10th and 11th Five Year Plans of Andhra Pradesh. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	List out, Explain
Approach	• Begin with a brief introduction on how the 11th Five Year Plan focused on "Faster and More Inclusive Growth." • Then, under clear subheadings, list the monitorable targets for AP across income, education, health, women & children, and infrastructure. Next, compare the resource allocation patterns between the 10th and 11th Plans, highlighting increased social sector and infrastructure spending. • Conclude by emphasizing AP's shift toward inclusive development.
Introduction	The monitorable targets for the 11th Five Year Plan were established at the national level by the Planning Commission and disaggregated into State-specific targets for Andhra Pradesh across six key categories: Income and Poverty, Education, Health, Women and Children, Infrastructure, and Environment.
Body & Infographic Representation	**Monitorable Targets of the 11th Five Year Plan (2007-2012):** • The 11th Plan aimed for "Faster and More Inclusive Growth". The specific monitorable targets for Andhra Pradesh, derived from the national goals, were: • **Income and Poverty** ✓ Achieve a specific GSDP (Gross State Domestic Product) growth rate (target varied by state, but generally aimed for high, sustained growth).

	✓ Achieve an agricultural growth rate of 4% per year on average. ✓ Reduce the headcount ratio of consumption poverty by 10 percentage points. • **Education** ✓ Education targets included Net enrolment ratio (primary), retention / completion rates, reduction in dropout rates, adult and female literacy improvement. • **Health** ✓ Health targets aimed to reduce IMR, MMR, and TFR by 2011-12. Other health goals included providing clean drinking water, and reducing child malnutrition and anaemia among women and girls. • **Women and Children** ✓ Targets in this category included raising the sex ratio for the 0-6 age group and ensuring a minimum percentage of beneficiaries of government schemes were women and girl children. • **Infrastructure** ✓ Infrastructure goals included providing electricity connections, all-weather roads, telephone, and broadband connectivity, Irrigation coverage, command area development, watershed targets, and rural road connectivity. **Pattern of resource allocation: 10th vs 11th Five-Year Plans** • **10th Plan (2002–07):** ✓ Emphasis on stabilizing growth after reforms, poverty reduction and core social sector investments; plan outlays were comparatively modest and a larger share of development activity relied on state/local schemes and existing central schemes. The 10th Plan saw focus on agricultural revival, primary education and basic infrastructure. • **11th Plan (2007–12):** ✓ Marked increase in total plan outlays and an explicit re-orientation toward faster and more inclusive growth — with larger allocations for social sectors (health, education, nutrition) and physical infrastructure (irrigation, power, roads, urban services). Nationally the health outlay under the 11th Plan increased several fold (largely because of NRHM); states including AP matched this by raising state and implementation spending in health and sanitation. • **State-level pattern in Andhra Pradesh** ✓ **Higher share to infrastructure & power reforms:** AP invested significantly in power sector reforms and distribution modernization (APDRP) and irrigation projects — reflecting state priorities to boost agricultural productivity and industrial investment. ✓ **Greater central–state program interaction:** Many resources in the 11th Plan period flowed through centrally sponsored flagship programmes (e.g., NRHM, SSA, MGNREGA medium-term rollouts) — this increased the quantum of funds for social programmes but also changed how state budgetary resources were allocated (matching grants, programme implementation costs).
Conclusion	The transition from the 10th to the 11th Plan in Andhra Pradesh was characterised by larger overall plan size, greater emphasis on social inclusion and basic services, and accelerated investment in infrastructure (irrigation, power, rural roads). This pattern reflected both national priorities of the Eleventh Plan and Andhra Pradesh's own development strategy to combine growth with service delivery and infrastructure expansion.
Model Question	What is meant by monitorable targets in the context of Five-Year Plans? Explain with reference to Andhra Pradesh.
Value Addition	**Economic and fiscal targets of AP:**

	• Per capita income: Increase to ₹5.42 lakh by the end of 2029. • Gross Value Added (GVA): Increase in key sectors such as mining, agriculture, horticulture, and aqua. • Overall economy: Grow the state's economy to $2.4 trillion by 2047. **Education targets of AP:** • Literacy: Increase the literacy rate to 75% within a specified plan period. • Enrollment: Eliminate gender and social gaps in school enrollment. • Gender parity: Improve the Gender Parity Index (GPI) in primary education. **Health targets of AP:** • Infant Mortality Rate (IMR): Reduce the IMR to 25 per 1,000 live births. • Maternal Mortality Ratio (MMR): Reduce the MMR to 1 per 1,000 live births. • Child Sex Ratio: Improve the child sex ratio (0-6 years) to 950. • Total Fertility Rate: Reduce the Total Fertility Rate to 2.1.
74. Eleventh five- year plan identified the weaknesses on the employment front during the period of reforms. Describe them. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Describe
Approach	• Highlight the paradox of high GDP growth with weak employment generation during the Eleventh Plan. • Present key weaknesses—jobless growth, Informalization, skill gaps, gender/social inequalities, and regional imbalances. • Conclude with the Plan's strategy of inclusive, labour-intensive, skill-driven, and socially protective employment policies.
Introduction	The Eleventh Five-Year Plan (2007–12) recognised that despite India's robust GDP growth of around 8–9% during 2004–08, employment generation lagged significantly. According to NSSO data (61st and 66th Rounds), overall employment growth fell from 2.93% per annum in 1999–2000 to 2004–05 to just 0.28% between 2004–05 and 2009–10. The Planning Commission termed this trend a major weakness in the reform period.
Body & Infographic Representation	**Weaknesses Identified in the Employment Front** • **Jobless or Low-Quality Growth** ✓ While GDP grew rapidly, employment elasticity of growth declined from 0.44 in the 1990s to 0.01 in the 2000s. ✓ The manufacturing sector, expected to absorb surplus labour, showed stagnation in job creation. ✓ Services growth was largely concentrated in IT, finance, and communication sectors that employed only a small fraction of the workforce. • **Informalization and Precarious Work** ✓ NSSO (2009–10) reported that over 92% of the workforce remained in the informal sector. Even within the organized sector, nearly one-third of workers were on contract or casual basis, reflecting growing precariousness. This meant growth was not translating into secure and decent work opportunities. • **Skills Mismatch and Human Capital Gaps** ✓ Unemployment among educated youth rose sharply. NSSO data showed educated unemployment at 17.8% for graduates and above in 2009–10. At the same time, industries reported shortages of skilled manpower. ✓ The Eleventh Plan, therefore, proposed the National Skill Development Mission with a target of training 150 million workers by 2022. • **Gender and Social Inequalities**

	✓ Female labour force participation fell from 29.0% in 2004–05 to 23.3% in 2009–10 (NSSO). Educated women faced higher unemployment than men. ✓ Marginalized communities such as SCs and STs were concentrated in low-paying casual jobs, highlighting persistent social inequalities in employment outcomes. • **Regional Imbalances and Migrant Vulnerabilities** ✓ Employment opportunities remained concentrated in urban and industrially advanced states like Maharashtra, Gujarat, and Tamil Nadu. ✓ Migrant workers from poorer states such as Bihar and Odisha were engaged in low-wage, insecure jobs with no access to social security. ✓ This created a dual labour market and reinforced regional disparities.
Conclusion	The Eleventh Five-Year Plan acknowledged that growth alone could not guarantee equitable employment generation. It recommended a multi-pronged strategy: promotion of labour-intensive manufacturing, strengthening of skill development, gender-sensitive employment policies, and extension of social protection to informal workers. These measures were aimed at making growth more inclusive and addressing the weaknesses in the employment front exposed during the reforms.
Model Question	Explain the decline in employment elasticity of growth in India since the 1990s. How did this affect different sectors of the economy?
Value Addition	**Six key principles of Viksit Bharat (Union Budget 2025–26):** • Zero poverty • Quality education for all • Affordable, high-quality healthcare • Skilled workforce with meaningful employment • 70% women participation in economic activities • Farmers making India the 'food basket of the world'
75. List all the flagship programmes of Central Government implemented by the State during the 11th plan period and state the objective of the programs in one sentence. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	List, State
Approach	• Link the Eleventh Plan's theme of "Faster and More Inclusive Growth" with the launch of centrally sponsored flagship programmes. • Organize schemes sector-wise — Livelihood (MGNREGA), Health (NRHM), Education & Nutrition (SSA, MDM), etc. • Highlight their role in last-mile delivery, inclusive growth, and advancing constitutional goals of social justice.
Introduction	The Eleventh Five-Year Plan (2007–12) emphasized "Faster and More Inclusive Growth". To realize this vision, the Government of India identified a set of flagship programmes to be implemented by States with central assistance. These programmes addressed critical sectors such as rural livelihoods, health, education, nutrition, infrastructure, and social security.
Body & Infographic Representation	**Major Flagship Programmes and their Objectives:** • **Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)** ✓ The Programme aimed to provide 100 days of guaranteed wage employment to rural households while creating durable community assets. • **National Rural Health Mission (NRHM)** ✓ The mission sought to strengthen primary healthcare delivery, reduce infant and maternal mortality, and ensure accessible health services in rural areas. • **Sarva Shiksha Abhiyan (SSA)**

	✓ The scheme targeted universal elementary education by improving access, retention, and quality of schooling for all children in the 6–14 age group. • **Mid-Day Meal Scheme (MDM)** ✓ The Programme intended to enhance enrolment, attendance, and nutritional outcomes of school-going children by providing cooked mid-day meals. • **Integrated Child Development Services (ICDS)** ✓ The scheme was designed to deliver a holistic package of nutrition, health, and early childhood education to children under six and expectant mothers. • **Jawaharlal Nehru National Urban Renewal Mission (JNNURM)** ✓ The mission focused on modernizing urban infrastructure, improving basic services, and strengthening pro-poor governance in selected cities. • **Bharat Nirman including Pradhan Mantri Gram Sadak Yojana (PMGSY)** ✓ The initiative aimed at rural infrastructure development through roads, electrification, housing, irrigation, and safe drinking water. • **National Social Assistance Programme (NSAP) and Antyodaya Anna Yojana (AAY)** ✓ These schemes provided minimum social security pensions and subsidized food grains to the poorest households.
Conclusion	The flagship programmes during the Eleventh Plan formed the backbone of India's inclusive growth strategy. They were centrally funded but state-implemented, ensuring last-mile delivery. Collectively, they addressed livelihood security, human development, and infrastructure needs, thereby operationalising the constitutional mandate of social justice and welfare.
Model Question	"Critically evaluate the effectiveness of Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) and Bharat Nirman in addressing rural poverty and infrastructure gaps during the Eleventh Plan."
Value Addition	• The Eleventh Plan (2007–12) was the last full Five-Year Plan before India shifted away from the Planning Commission to NITI Aayog (2015). • Flagship schemes became the primary tool of Centre–State development cooperation. • These programmes advanced Directive Principles of State Policy (DPSPs) — e.g., right to work (Article 41), health & nutrition (Article 47), and free education (Article 45). • The flagship model continues today with schemes like Ayushman Bharat (health), PM Poshan (nutrition), Jal Jeevan Mission (water), PM Awas Yojana (housing), and Digital India (technology inclusion).
76. Discuss briefly the guiding principles in setting up the NITI Aayog. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Discuss
Approach	• Mention rationale: participatory planning in changing economic scenario. • Principles: cooperative federalism, inclusive growth, knowledge-based policy, flexibility, accountability. • Conclude with emphasis on states as equal partners.
Introduction	The NITI Aayog (National Institution for Transforming India) was established in 2015, replacing the Planning Commission, to address India's evolving socio-economic needs. It serves as a policy think-tank that emphasizes cooperative federalism, flexibility, and innovation. The guiding principles of NITI Aayog mark a significant departure from rigid central planning.
Body & Infographic Representation	**Cooperative and Competitive Federalism** • NITI Aayog fosters cooperation between the Centre and States and healthy competition among them.

	• Example: SDG India Index and Health Index rank states, pushing them to improve governance and service delivery. **Bottom-up Planning** • Unlike the Planning Commission's top-down approach, NITI Aayog promotes grassroots-driven policies. • Example: Aspirational Districts Programme (2018), covering 112 underdeveloped districts, focuses on local priorities and performance. **Long-term Vision with Flexibility** • It prepares a 15-year Vision Document, 7-year Strategy Papers, and 3-year Action Agendas. • This replaces rigid Five-Year Plans with dynamic, real-time policy adaptation. **Inclusive and Sustainable Development** • Special focus is given to marginalized sections and sustainability. • Example: Atal Innovation Mission (AIM) fosters entrepreneurship, while schemes like Jal Jeevan Mission ensure water access. • As per NITI Aayog's 2023 report, 135 million people exited multidimensional poverty between 2015–21. **Evidence-based Policy and Innovation** • NITI Aayog emphasizes data-driven monitoring, evaluation, and policy design. • Example: Digital tools like the India Innovation Index (2022) and Energy Transition Index guide reforms.  **Global and Private Sector Engagement** • Encourages collaboration with the private sector, NGOs, and global agencies to accelerate development. • Example: Partnerships in renewable energy helped India become the 4th largest renewable energy producer (IRENA, 2023).
Conclusion	The guiding principles of NITI Aayog underline a shift towards participatory, flexible, and evidence-based planning. By blending cooperative federalism, innovation, and inclusivity, NITI Aayog has redefined development strategy in India. However, its success lies in ensuring strong state capacity and effective implementation.
Model Question	What guiding principles shaped the institutional design of NITI Aayog? Discuss how these principles differ from the planning philosophy of the earlier Planning Commission.
Value Addition	**Key Highlights of the SDG India Index for 2023-24** • **Overall Progress:** India's overall SDG score improved to 71 in 2023-24 from 66 in 2020-21 and 57 in 2018. All states have shown improvement in overall scores. Progress has been largely driven by targeted government interventions in poverty reduction, economic growth, and climate action.  • **Top Performers:** Kerala and Uttarakhand emerged as the best-performing states, each scoring 79 points.

	• **Lowest Performer:** Bihar lagged behind with a score of 57 points, followed by Jharkhand at 62 points. • **Front-Runner States:** 32 states and union territories (UTs) are in the front-runner category, with 10 new entrants including Arunachal Pradesh, Assam, Chhattisgarh, and Uttar Pradesh.
77. Briefly discuss the main objectives and strategies outlined in the XII Five-Year Plan of India. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Discuss
Approach	• Mention plan period (2012–17) and its theme "Faster, Sustainable and More Inclusive Growth." • Outline major objectives (poverty reduction, education, infrastructure) and strategies (governance reform, public investment, PPPs). • End with how the Plan laid a foundation for NITI Aayog's outcome-based policy framework.
Introduction	The Twelfth Five-Year Plan (2012–2017) was the last plan under the Planning Commission before the shift to NITI Aayog. Its overarching vision was "Faster, Sustainable and More Inclusive Growth", aligning economic expansion with social equity and environmental sustainability. It aimed to strengthen governance, human capital, and infrastructure to achieve holistic development.
Body & Infographic Representation	**Main Objectives of the XII Five-Year Plan** The Twelfth Plan aimed for an average GDP growth rate of 8% while promoting inclusive and sustainable development outcomes. Its key objectives included: • **Inclusive Growth and Poverty Reduction:** ✓ It aimed to reduce the headcount poverty ratio by 10 percentage points by 2017. ✓ It focused on rural development, job creation, and social inclusion through MNREGA and National Rural Livelihood Mission (NRLM). ✓ During the plan period, poverty fell from 21.9% (2011–12) to 17% (2017) • **Human Development – Health and Education:** ✓ It planned to raise public health expenditure to 2.5% of GDP and reduce the Infant Mortality Rate to 25 per 1,000 live births. ✓ It strengthened Sarva Shiksha Abhiyan, Rashtriya Madhyamik Shiksha Abhiyan, and National Skill Development Mission to enhance literacy and employability. • **Sustainable Development:** Integrated environmental sustainability into economic policy through renewable energy promotion and water management under the National Action Plan on Climate Change (NAPCC). • **Infrastructure Development:** Targeted investment of ₹65 lakh crore in infrastructure sectors such as transport, power, and communication, with 47% from private participation (PPP model). • **Governance and Institutional Reform**: It emphasised e-governance, decentralisation, and performance-based budgeting to enhance transparency and accountability. **Key Strategies Adopted during the 12th Five-year plan** • Encouraging public–private partnerships (PPP) in infrastructure and social sectors. • Prioritizing skill development for the youth through the National Skill Development Policy (2013). • Promoting gender equity and empowerment through targeted schemes like Beti Bachao Beti Padhao. • Strengthening federal cooperation via institutional mechanisms involving states in planning and implementation.

Conclusion	The Twelfth Five-Year Plan marked a crucial phase of India's developmental transition, emphasizing inclusive and sustainable growth. Though external shocks limited its 8% growth target, it laid the foundation for reforms in social sectors and infrastructure. Its outcomes guided the NITI Aayog's strategy for New India@75, blending planning with performance-based governance.
Model Question	Critically evaluate the key goals and policy priorities of India's Twelfth Five-Year Plan with reference to inclusive and sustainable growth.
Value Addition	The National Policy on Skill Development aims to align India's skill ecosystem with market demands by creating skilled workers and entrepreneurs to drive economic growth. Key objectives include enhancing the quality and relevance of training, integrating it with education, promoting industry linkages, and ensuring inclusive access for all sections of society. The policy provides a framework for all skilling activities, which are coordinated by the Ministry of Skill Development and Entrepreneurship and a range of government schemes and initiatives, such as Pradhan Mantri Kaushal Vikas Yojana (PMKVY) and PM-NAPS.
78. Discuss the sectoral performance of the Eleventh Five-Year Plan of Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Discuss
Approach	• Begin with the goals and growth targets of the 11th Plan (2007–12) for Andhra Pradesh. • Analyse the performance of primary, secondary, and tertiary sectors with statistical data and key achievements or shortfalls. • End with an evaluation of the overall growth pattern and lessons for plans.
Introduction	The Eleventh Five-Year Plan (2007–2012) aimed at achieving "Faster and More Inclusive Growth" by enhancing producstivity and reducing regional disparities. Andhra Pradesh aligned its development strategy with the national framework, emphasising agriculture revival, industrial expansion, and human development. An assessment of sectoral performance reveals both progress and challenges in realising inclusive and sustainable growth.
Body & Infographic Representation	**Sectoral performance of the Eleventh Five-Year Plan of Andhra Pradesh:** • **Overview of Plan Objectives and Targets** ✓ The Eleventh Plan set a GSDP growth target of 9.5%, with specific goals for primary, secondary, and tertiary sectors. ✓ The state aimed to strengthen agriculture, promote manufacturing, and expand service sector contributions while ensuring social equity and poverty reduction. • **Performance of the Primary Sector** ✓ The agriculture and allied sector recorded an average growth rate of around 6%, supported by irrigation projects under Jalayagnam and improved rural credit access. ✓ Crop diversification toward horticulture and fisheries contributed to rising rural incomes, though erratic monsoons and declining groundwater limited sustainability. ✓ Agricultural subsidies, input support, and Rythu Mitra Groups helped stabilise farm output. ✓ However, productivity gaps persisted across regions like Rayalaseema and Telangana due to infrastructural constraints. • **Performance of the Secondary Sector** ✓ The industrial sector grew at an average of 9.8%, driven by IT, pharmaceuticals, cement, and automobile industries.

	✓ Development of industrial corridors (Hyderabad–Vijayawada) and APIIC initiatives improved the private investment climate. ✓ However, traditional manufacturing and small industries lagged due to power shortages and credit bottlenecks. • **Performance of the Tertiary Sector** ✓ The services sector emerged as the main growth driver, contributing over 56% of GSDP. ✓ IT exports from Hyderabad grew exponentially, alongside real estate, banking, and transport sectors. ✓ Employment generation in IT and service industries partly offset agrarian distress, but growth remained urban-biased. • **Social and Human Development:** Schemes like Indiramma Housing, Aarogyasri, and fee reimbursement enhanced social welfare outcomes, reflecting inclusive intent.
Conclusion	The Eleventh Plan period marked steady economic growth with diversification toward services and industry while maintaining agricultural support. Despite notable achievements, regional imbalances and infrastructure deficits constrained inclusive outcomes. The experience laid the foundation for strategic realignment in the subsequent Twelfth Plan, focusing on balanced and sustainable development.
Model Question	Assess the achievements and challenges of various sectors during the implementation of the Eleventh Five-Year Plan in Andhra Pradesh.
Value Addition	"Rythu Mitra Groups" are farmer collectives established by the Department of Agriculture in the state of Andhra Pradesh, initially in 2003, to improve the reach and effectiveness of agricultural extension services. The groups were formed to empower farmers, especially those with small and marginal landholdings, by increasing their access to agricultural resources and knowledge
79. Explain the important features of the XII Five-Year Plan of Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Explain
Approach	• Start by stating the Plan's main theme and objectives in the post-bifurcation context. • Highlight major policy thrusts like agriculture, industry, infrastructure, social inclusion, and sustainable growth. • Conclude with its focus on regional balance, skill development, and public-private partnerships.
Introduction	The Twelfth Five-Year Plan (2012–2017) was launched with the central theme of "Faster, Sustainable, and More Inclusive Growth." For Andhra Pradesh, this plan coincided with a critical phase of bifurcation and fiscal restructuring, demanding innovative approaches to sustain economic growth. Its features emphasised regional balance, social justice, infrastructure expansion, and employment-oriented development.
Body & Infographic Representation	**Important features of the XII Five-Year Plan of Andhra Pradesh:** • **Objectives and Strategic Focus** ✓ The plan aimed to achieve an annual GSDP growth rate of 10%, focusing on accelerating economic diversification and improving human development indices. ✓ Key goals included poverty reduction, skill enhancement, environmental sustainability, and good governance. ✓ The approach moved beyond growth figures to outcomes in health, education, and rural livelihoods. • **Inclusive and Balanced Regional Development**

	✓ The plan prioritised bridging disparities between Coastal Andhra, Rayalaseema, and Telangana regions. ✓ Special Area Development Programs were introduced for backward districts like Anantapur and Vizianagaram. ✓ Strengthening Panchayati Raj Institutions (PRIs) was a key feature to deepen decentralised planning. • **Agricultural and Rural Sector Emphasis** ✓ The Primary Sector Mission focused on crop diversification, irrigation efficiency, and livestock development. ✓ **Targets**: Achieve 6% agricultural growth through programs like Rashtriya Krishi Vikas Yojana (RKVY) and National Food Security Mission (NFSM). ✓ Micro-irrigation and watershed management received high priority to address drought-prone areas. • **Industrial and Infrastructure Development** ✓ Industrial growth was promoted through the Industrial Investment Promotion Policy (IIPP) 2010–15, APIIC initiatives, and PPP projects. ✓ **Focus areas:** Pharma City, ITIR (Information Technology Investment Region), and port-led development (Krishnapatnam, Kakinada). ✓ Power sector reforms and renewable energy initiatives like wind and solar parks are aimed at energy security. • **Social Sector and Human Resource Development** ✓ Education reforms under Rashtriya Madhyamik Shiksha Abhiyan and health schemes like Aarogyasri expanded coverage. ✓ Skill Development Missions were introduced to address youth unemployment. ✓ The HDI improved due to enhanced literacy and healthcare accessibility. • **Fiscal and Governance Reforms** ✓ The plan stressed results-based monitoring, e-governance, and adherence to Fiscal Responsibility and Budget Management (FRBM) targets. ✓ Focus on public service delivery, transparency, and citizen participation through Mee-Seva centres.
Conclusion	The Twelfth Plan of Andhra Pradesh represented a forward-looking framework combining economic efficiency with social inclusion. It aimed to ensure regionally balanced growth, improved infrastructure, and stronger human capital. Though disrupted by bifurcation, its priorities set the tone for post-2014 development planning and outcome-based governance.
Model Question	Critically examine the strategic priorities and developmental focus of the Twelfth Five Year Plan of Andhra Pradesh.
Value Addition	The Rashtriya Madhyamik Shiksha Abhiyan (RMSA) was a flagship Indian government scheme launched in March 2009 with the goal of improving access to and quality of secondary education throughout the country. Its major focus was on enhancing the quality of secondary education by ensuring that all secondary schools adhered to prescribed norms and standards. This included improving physical infrastructure, teacher training, and curriculum.
80. Critically examine the performance of X Five-Year Plan. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Critically examine
Approach	• Briefly state objectives: poverty eradication, employment, human development, growth. • Analyse performance with data: GDP growth (5.7% vs target 6.5%), poverty reduction, agricultural stagnation, and social development gaps.

<table>
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- Conclude with a critical note: partial success but missed inclusive growth.

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<tr><td>Introduction</td><td>The Tenth Five Year Plan (2002–07) was framed in the backdrop of post-liberalisation reforms to accelerate growth and improve human development. It aimed at achieving 8% GDP growth while ensuring poverty reduction, employment generation, and regional balance. Its performance needs critical examination with respect to set targets and outcomes.</td></tr>
<tr><td>Body & Infographic Representation</td><td>

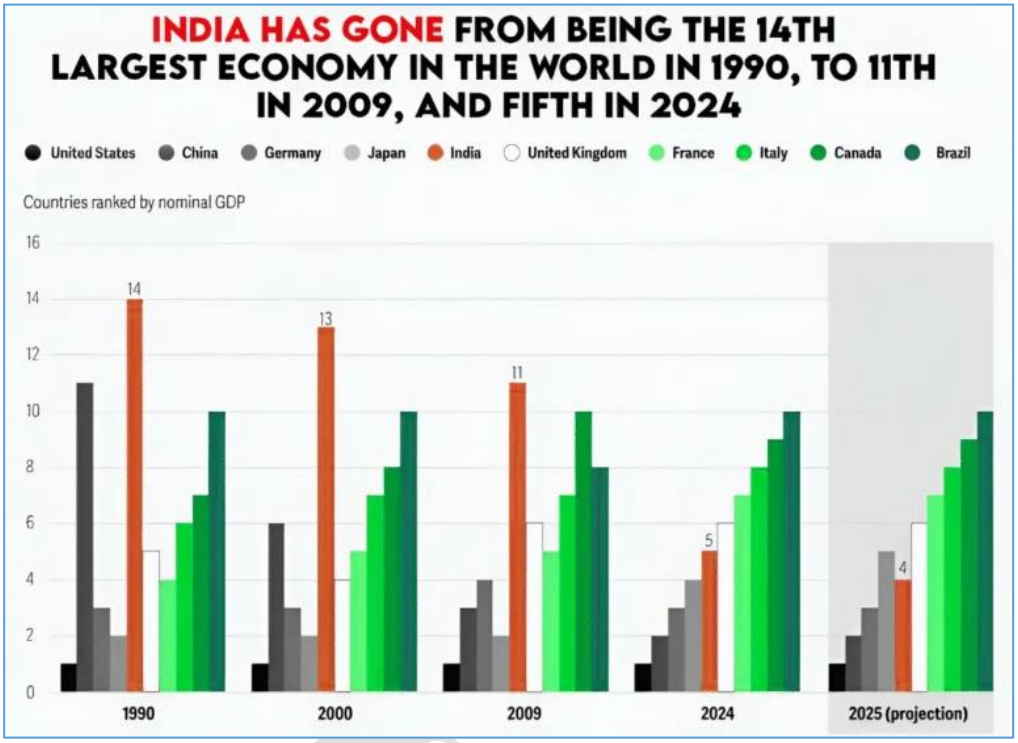
- **Objectives of the X Plan (2002–07):**
  - ✓ Achieve 8% annual GDP growth.
  - ✓ Double the per capita income in 10 years.
  - ✓ Reduce poverty ratio by 5 percentage points by 2007 and 15 percentage points by 2012.
  - ✓ Generate 50 million employment opportunities.
  - ✓ Universal access to education and health services.
  - ✓ Reduce regional and gender disparities.
- **Performance of the X plan – Achievements:**
  - ✓ **Growth:** The economy recorded an average growth of above 9% in the year 2004.
  - ✓ **Agriculture**: the agriculture sector experienced a significant initial downturn due to a severe drought in 2002-03, resulting in a negative growth of 7.2%. However, it recovered with an average annual growth rate of approximately 4.95% in the subsequent years, surpassing the target of 4% and demonstrating resilience, though overall economic growth in other sectors was much higher.
  - ✓ **Poverty Reduction**: The poverty ratio declined from 26.1% (1999–2000) to 21.8% (2004–05, Planning Commission estimates).
  - ✓ **Employment**: Around 47 million work opportunities were created, mainly through the National Rural Employment Guarantee Act (2005) and service-sector expansion.
  - ✓ **Infrastructure:** Substantial investment in telecom, roads (NHDP), and rural electrification (Rajiv Gandhi Grameen Vidyutikaran Yojana) supported growth momentum.

Sl. No.	Category	1993-94	2004-05
	By Uniform Recall Period (URP) Method		
1	Rural	37.3	28.3
2.	Urban	32.4	25.7
3.	All-India	36.0	27.5
	By Mixed Recall Period (MRP) Method	1999-2000	2004-05
4	Rural	27.1	21.8
5	Urban	23.6	21.7
6	All-India	26.1	21.8

- **Limitations of the X plan:**
  - ✓ Agriculture lagged, raising concerns for food security.
  - ✓ Regional imbalances persisted, with poorer states lagging.
  - ✓ Social sector outcomes (education, health, gender equity) fell short of expectations.
  - ✓ Rising inequalities and the urban-rural divide became evident.

</td></tr>
<tr><td>Conclusion</td><td>The Tenth Plan marked a period of high economic growth and moderate poverty reduction but fell short in agriculture, employment quality, and social development. While it consolidated post-reform growth, its uneven outcomes underscored the need for more inclusive strategies in subsequent plans.</td></tr>
<tr><td>Model Question</td><td>Evaluate the achievements and shortcomings of the Tenth Five-Year Plan with reference to its growth targets, poverty alleviation, and employment generation goals.</td></tr>
</table>

Value Addition	**Ninth Five-Year plan (1197-2002):** • The plan was formulated with a focus on four crucial dimensions: enhancing the quality of life, generating productive employment, achieving regional balance, and promoting self-reliance. • Special emphasis was placed on agriculture and rural development. • The financial sector became an integral part of the plan.
81. Do you consider that public sector in getting adequate financial support from the government of Andhra Pradesh in XI five-year plan? (APPSC, 2011)	
Syllabus	**Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India**
Keyword	**Do you consider**
Approach	• Begin with a brief introduction linking the 11th Five-Year Plan's goal of inclusive growth to increased public sector spending. • In the body, explain how Andhra Pradesh prioritized irrigation, power, transport, and PSUs, giving examples like Jalayagnam and DISCOM subsidies. Then highlight challenges such as debt dependence, subsidy burden, and PPP shifts. • Conclude by assessing that support improved service delivery but did not ensure long-term sustainability.
Introduction	The 11th Five-Year Plan at the national and state level was characterized by an ambitious push for "Faster and More Inclusive Growth," necessitating a massive increase in investment in infrastructure and social sectors. The overall public sector outlay in the national 11th Plan was estimated to be 120% higher than the 10th Plan realization (at constant prices). Andhra Pradesh followed a similar pattern of increased outlays.
Body & Infographic Representation	**Public Sector Priorities in the XI Plan:** • The Government of Andhra Pradesh aligned its development priorities with the national XI Plan goals, focusing on: ✓ Inclusive and sustainable growth ✓ Strengthening irrigation and agriculture ✓ Improving infrastructure like roads, power, and ports ✓ Enhancing human development indicators **Financial Support Extended:** • **Irrigation and Agriculture** ✓ Major irrigation programs like Jalayagnam received considerable budgetary allocation. ✓ The state focused on expanding cultivable land and stabilizing rural livelihoods. ✓ Yet, the funds largely went to project expansion rather than improving efficiency or PSU capacity. • **Power Sector** ✓ Public utilities like APTRANSCO and DISCOMs received substantial subsidies to maintain low agricultural tariffs. ✓ Financial assistance was extended to reduce power shortages and improve transmission. ✓ However, increasing subsidy burden led to rising financial stress. • **Transport and Infrastructure** ✓ APSRTC, although a major public service provider, faced operational losses. ✓ Funds were provided but not sufficient to modernize fleets or reduce accumulated debts. • **Industrial Public Sector Undertakings** ✓ Many state PSUs such as APSco, Nizam Sugars, and spinning mills were financially weak.

	✓ Support focused on disinvestment and restructuring rather than capacity revival. ✓ Investment in new public enterprises during the XI Plan was limited.  **Challenges and Potential Inadequacies:** • **Reliance on Borrowings:** ✓ A significant portion of public sector plan resources nationally during the 10th Plan (73.9%) and potentially the 11th Plan came from market borrowings. ✓ This indicates a reliance on debt rather than strong current revenues, which could lead to fiscal strain. • **Negative Balance from Current Revenues:** ✓ Critically, the balance from current revenues (both Centre and States) was negative to the tune of 9.6% of total plan resources during the 10th Plan. • **Pressure from Subsidies and Pay Commissions:** ✓ The national plan documents noted concerns that upward pressure from subsidies (fertilizer, petroleum) and the recommendations of the Sixth Pay Commission could upset optimistic calculations and force planners to cut the plan size or increase borrowing. ✓ These factors likely affected the Andhra Pradesh state budget, potentially reducing the flexibility to fully fund all public sector initiatives. • **Shift Towards Private Sector Participation (PPP):** ✓ The 11th Plan period also saw an explicit focus on encouraging Public Private Partnerships (PPP), especially in sectors like urban water supply and health insurance. ✓ While a strategic choice, this indicates that the public sector was not expected to bear the entire financial burden alone, and funding was contingent on private investment.
Conclusion	While the Government of Andhra Pradesh provided significant financial support to public sector services, this support was often insufficient for long-term sustainability and modernization. The financial assistance largely addressed immediate welfare and

	service delivery needs but did not adequately resolve structural inefficiencies or revive loss-making public enterprises. Hence, it can be concluded that although public sector financing increased, it was not adequate to ensure economic viability and modernization of the public sector in the state.
Model Question	Critically examine the impact of fiscal reforms in Andhra Pradesh on public sector financing during the XII Five-Year Plan period.
Value Addition	• Andhra Pradesh's Gross State Domestic Product (GSDP) for 2025-26 is projected to be ₹18.3 lakh crore. This figure represents a 14% increase over the previous year's revised estimates. For the financial year 2024-25, the GSDP was reported as ₹15.89 lakh crore. ✓ Projected GSDP for 2025-26: ₹18.3 lakh crore. ✓ Previous fiscal year (2024-25) GSDP: ₹15.89 lakh crore.
82. Critically examine the allocation pattern of resources in X and XI five-year plans of Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India
Keyword	Critically examine
Approach	• Begin with a brief introduction highlighting the planning shift between the 10th and 11th Five-Year Plans. • Present the 10th Plan focus on growth, energy, and agriculture. Then explain how the 11th Plan shifted toward inclusive growth with higher social sector and infrastructure spending. Critically discuss gaps between allocation and actual expenditure. • Conclude by emphasizing the need for effective implementation and fiscal discipline.
Introduction	The 10th (2002-2007) and 11th (2007-2012) Five-Year Plans of Andhra Pradesh exhibited distinct allocation patterns, reflecting evolving national priorities and the state's specific developmental goals. A critical examination reveals a significant shift in focus from broad growth objectives in the 10th Plan to a more targeted, inclusive, and infrastructure-intensive strategy in the 11th Plan, though both faced similar fiscal challenges.
Body & Infographic Representation	**The 10th Plan (2002-2007): Growth-Focused with Social Overtones** • The 10th Plan's primary objective was to achieve an ambitious 8% average GDP growth rate for the nation, with a key focus on reducing poverty and generating employment. The allocation pattern in Andhra Pradesh reflected these priorities: • **Dominance of the Energy Sector:** Nationally, energy was a major recipient of funds, accounting for approximately 26.48% of the total plan outlay. This focus was necessary to power the projected industrial and agricultural growth. • **Moderate Social Sector Focus:** Allocation to the social sector was around 22.77% of the total plan outlay. While significant, the primary driver remained economic growth, expected to have a "trickle-down" effect on social indicators. • **Pragmatic Approach:** The plan emphasized agricultural development as a core element for poverty reduction and employment generation, with sector-specific interventions considered essential. **The 11th Plan (2007-2012): The Thrust on "Inclusive Growth"** • The 11th Plan marked a paradigm shift with its theme of "Faster and More Inclusive Growth." This change in philosophy was supported by a massive increase in public sector outlay and a recalibration of resource allocation: • **Massive Increase in Total Outlay:** The total public sector outlay (Centre and States) in the 11th Plan was estimated to be 120% higher than the 10th Plan realization. This demonstrated a strong commitment to increased public spending.

	• **Elevated Social Sector Funding:** The most notable shift was the substantial increase in the social sector allocation. Nationally, the plan intended to spend more than double on education and health as a proportion of total budgetary support compared to the 10th Plan. This addressed concerns that the growth of the 10th Plan had not been inclusive enough. • **Sustained Infrastructure Investment:** Infrastructure remained a priority, with the 11th Plan aiming to double the investment in the sector to drive growth and connectivity, essential for bridging regional disparities. **Critical Examination of the Allocation Patterns:** • **From Growth to Inclusion:** The move from the 10th to the 11th Plan shows a recognition that high GSDP growth alone was insufficient for equitable development. The increased focus and funds directed towards health, education, and social welfare schemes in the 11th Plan were a strategic and necessary adjustment to ensure benefits reached the wider population. • **Fiscal Challenges and Execution Gaps:** A major critique of both plan periods relates to the gap between planned allocation and actual expenditure. In the 10th Plan, while 26.48% was allocated to energy, the actual expenditure was a lower 16.58%. This points to implementation bottlenecks or potential fiscal constraints. Furthermore, both plans relied heavily on market borrowings to finance these massive outlays, leading to concerns about fiscal sustainability. The negative balance from current revenues was a significant issue in the 10th Plan, a challenge that likely persisted. • **Sectoral Prioritization:** The 11th Plan's emphasis on raising agricultural growth to 4% (from 2.13% realized in the 10th Plan) was a crucial and targeted allocation, acknowledging the sector's vast potential for employment and poverty reduction.
Conclusion	The resource allocation pattern in Andhra Pradesh's 10th and 11th Five-Year Plans demonstrates an evolving, more sophisticated approach to development planning, moving towards a balanced emphasis on social equity alongside economic growth. However, the success of these allocations was largely dependent on effective implementation and sound fiscal management.
Model Question	Discuss how plan financing in Andhra Pradesh shifted after the abolition of Planning Commission. What challenges emerged in resource mobilization?
Value Addition	**Andhra Pradesh Budget 2025-26 Highlights:** • **The Gross State Domestic Product (GSDP)** of Andhra Pradesh for 2025-26 (at current prices) is projected to be Rs 18.3 lakh crore, amounting to a growth of 14% over the revised estimates of 2024-25. • **Expenditure (excluding debt repayment)** in 2025-26 is estimated to be Rs 2,97,929 crore, an increase of 19% from the revised estimates of 2024-25. In addition, debt of Rs 24,430 crore will be repaid by the state in 2025-26. • **Receipts (excluding borrowings)** for 2025-26 are estimated to be Rs 2,18,002 crore, an increase of 24% as compared to the revised estimate of 2024-25. • **Revenue deficit** in 2025-26 is estimated to be 1.8% of GSDP (Rs 33,186 crore), lower than the revenue deficit in 2024-25 as per revised estimates (3% of GSDP) . In 2024-25, revenue deficit is estimated to be higher than the initial budget estimate (2.1% of GSDP). • **Fiscal deficit** for 2025-26 is targeted at 4.4% of GSDP (Rs 79,927 crore). In 2024-25, as per the revised estimates, fiscal deficit is expected to be 4.6% of GSDP, higher than the budget estimate (4.2% of GSDP).
83. Explain the important objectives of the 10th Five-Year Plan. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Federal Finance in India

Keyword	Explain
Approach	• Mention context: post-liberalisation challenges. • List objectives: 8% GDP growth, doubling per-capita income in 10 years, poverty reduction, employment generation, literacy, and health improvement. • End with emphasis on inclusiveness and human development.
Introduction	The Tenth Five-Year Plan (2002–07) was launched in the context of a globalising economy and the need to sustain post-reform growth. It aimed at achieving faster growth while addressing poverty, employment, and social sector challenges. Its objectives reflected the shift towards inclusive and sustainable development.
Body & Infographic Representation	**Important Objectives of the 10th Plan:** • **High Growth Target:** ✓ The aim of achieve 8% GDP growth per annum. ✓ Focus on sustaining growth momentum from reforms of the 1990s. ✓ Actual growth achieved: 7.7%, one of the highest until then. • **Doubling Per Capita Income:** ✓ Objective to double per capita income in 10 years, implying annual growth of ~7%. ✓ Per capita income rose from ₹24,143 (2002) to ₹38,005 (2007) at current prices. • **Poverty Reduction:** ✓ Reduce the poverty ratio by 5 percentage points by 2007 and 15 percentage points by 2012. ✓ Poverty declined to 21.8% by 2004–05 (Planning Commission), though unevenly across states. • **Employment Generation:** ✓ Create 50 million jobs during the plan. ✓ Implementation of NREGA 2005 and service sector expansion created about 47 million work opportunities, though mostly informal. • **Human Development:** ✓ Targets of universal primary education by 2007 and literacy of 75%. ✓ Literacy improved to 64.8% (2001 Census), but universal education was unmet. • **Regional and Social Equity:** ✓ Special focus on backward states, SC/ST welfare, and gender equality. ✓ Flagship schemes like Sarva Shiksha Abhiyan, Mid-Day Meal, and rural health missions supported equity.
Conclusion	The Tenth Plan objectives combined high growth with poverty reduction and human development. While growth and partial poverty reduction were achieved, gaps in agriculture, employment quality, and social indicators highlighted the challenge of inclusive development. These learnings shaped the Eleventh Plan's inclusive growth approach.
Model Question	Discuss the vision and priority areas outlined in the Tenth Five Year Plan. How did these objectives reflect the post-liberalisation challenges of the Indian economy?
Value Addition	**11th Five-Year Plan (2007-12)** • The overarching theme of the plan is "Towards Faster and More Inclusive Growth." **12th Five-Year Plan (2012-17)** • The theme was "Faster, More Inclusive, and Sustainable Growth."
84. Discuss the significance of the recommendations of the latest Finance Commission for the fiscal relations between the Union Government and the States in India, with specific reference to resource allocation and revenue sharing. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Finance Commission

Keyword	Discuss
Approach	• Introduce by outlining the constitutional role of the Finance Commission in shaping Union- State fiscal relations. • Discuss key XVFC recommendations on resource devolution, grants, and conditionalities, along with emerging tensions and implications for federal balance. • Conclude by reflecting on the evolving debates for the XVI FC and the need for balancing equity, efficiency, and fiscal autonomy in future devolution.
Introduction	The Fifteenth Finance Commission (XV FC, 2021–26) re-shaped intergovernmental transfers by fixing tax devolution, sizable grants and performance-linked transfers to states and local bodies. Its recommendations determine how centrally collected resources are shared and thus directly influence budgetary space, priorities and fiscal coordination between the Union and states.
Body & Infographic Representation	**What the Commission recommended?** • **Vertical devolution:** ✓ States' share in the divisible pool set at 41%, implying ~₹42.2 lakh crore in tax devolution over 2021–26. • **Grants:** ✓ Total grants of ~₹10.33 lakh crore (including revenue-deficit grants ≈₹2.9 lakh crore and sectoral grants ≈₹1.3 lakh crore) • **Local bodies:** ✓ ₹4.36 lakh crore was earmarked for panchayats and municipalities (rural ₹2.4 lakh crore; urban ₹1.2 lakh crores; health via local bodies ≈₹70,051 crore). • **Performance & reform incentives:** ✓ Horizontal formula includes a tax-effort criterion and several performance-linked grants (agricultural reforms, education outcomes, etc.). **Significance for resource allocation and revenue sharing:** • **Predictability and fiscal planning for states:** ✓ Large, multi-year devolution and grant allocations provide states with predictable non-plan resources, enabling medium-term budgeting, capital outlays and program continuity (infrastructure and social spending). ✓ The guaranteed flow (~₹42.2 lakh crore + grants) strengthens states' capacity to plan beyond annual cycles. • **Rebalancing of fiscal space between Centre and states:** ✓ Aggregate XVFC transfers (devolution + grants) constituted about 50.9% of the divisible pool and nearly 34% of Union gross revenue receipts. ✓ This reduced the Centre's uncommitted fiscal headroom, nudging it to focus on national functions, while states gained greater resources for sub-national priorities. • **Policy steering through conditionality:** ✓ Sectoral and performance-linked grants (≈₹1.3 lakh crore) target health, education, local capacity, and farm reforms. ✓ States must align reforms and budgetary priorities to access funds, reshaping both expenditure levels and quality. • **Strengthening decentralization:** ✓ Local body grants of ₹4.36 lakh crore shift fiscal planning and service delivery responsibilities downward. ✓ States are compelled to strengthen devolution frameworks and enhance capacity of panchayats/municipalities. • **Incentivizing revenue mobilization and fiscal discipline:**

	✓ Tax-effort criteria and reform-linked borrowing space incentivize stronger own-tax mobilization. ✓ Subsidy rationalization and fiscal consolidation are nudged, shaping states' medium-term fiscal strategies. **Emerging Tensions & Caveats in 15th FC Recommendations:** • **Reduced Flexibility due to Conditional Grants:** Performance-linked and sector-specific grants restrict states' autonomy, limiting fiscal space for region-specific priorities. • **Vertical Devolution Debate:** States' share fixed at 41% (down from 42% under XIVFC for J&K, Ladakh), with demands for a higher post-2026 share citing rising responsibilities and unfunded mandates. • **Shrinking Union Fiscal Space:** Transfers (~34% of Union gross revenue) narrow Union's fiscal room, raising concerns of crowding out funds for security, climate action, and infrastructure. • **Post-2026 Federal Bargaining:** Debates ahead of the XVI FC on revisiting the 41% share are intensifying, with southern states raising concerns over skewed vertical and horizontal allocations.
Conclusion	The XV FC materially strengthened state finances through larger, predictable devolution and targeted grants, while using conditionality and incentives to shape policy priorities and fiscal behavior. Its design advances decentralization and performance orientation but also reconfigures Union–State fiscal space, requiring sustained coordination to manage trade-offs between autonomy, accountability and national priorities.
Model Question	"The effectiveness of the 73rd and 74th Constitutional Amendments depends on the functioning of the State Finance Commissions." Discuss with suitable examples.
Value Addition	**The State Finance Commission (SFC)**: • SFC was set up through the 73rd and 74th Constitutional Amendments to make fiscal relations between states and local bodies (panchayats and municipalities) more organized and fair. • Under Article 243 I, the Governor of each state must set up a Finance Commission every five years. • As per Article 243Y, the SFC also reviews the financial position of municipalities and gives recommendations to the Governor on how funds should be shared.
85. Discuss the key recommendations of the Fifteenth Finance Commission of India. How do these recommendations influence government budgeting at the centre and state levels? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Finance Commission
Keyword	Discuss, How
Approach	• Introduce by briefly explaining the role and mandate of the Fifteenth Finance Commission in shaping fiscal federalism. • Discuss its key recommendations: criteria for devolution, grants-in-aid, fiscal rules, and their implications for Centre–State budgeting, with supporting data and reports. • Conclude by assessing how these recommendations balance equity, efficiency, and fiscal discipline while strengthening cooperative federalism.
Introduction	The Fifteenth Finance Commission (XV FC, 2021–26) framed the vertical and horizontal sharing of central taxes and a large package of grants to states and local bodies to strengthen fiscal federalism while encouraging reforms and service delivery. Its recommendations shaped transfers, conditional grants and incentives that directly influence budgetary choices at both Centre and state levels.
Body & Infographic Representation	**Key recommendations of 15th FC:** • **Vertical devolution (share of states):** ✓ The Commission fixed the states' share in the divisible pool at 41% for 2021–26 (a 1 percentage point adjustment from the 14th FC to account for newly created Union Territories of J&k, Ladakh).

- ✓ This implies tax devolution to states of about ₹42.2 lakh crore over 2021–26.

- **Grants-in-aid (size and purpose):**
  - ✓ XV FC recommended ~₹10.33 lakh crore in grants (revenue-deficit ~₹2.9 lakh cr, sectoral ~₹1.3 lakh cr, state-specific ~₹49,600 cr), with aggregate transfers (Devolution + Grants) estimated at ~50.9% of the divisible pool.
- **Local governments & service delivery:**
  - ✓ Grants to local bodies were set at ~₹4.36 lakh crore (rural: ₹2.4 lakh crore; urban: ₹1.2 lakh crore; health through local bodies: ≈₹70,051 crore) to deepen decentralized delivery.
- **Performance-linked incentives & conditionality:**
  - ✓ The XV FC reintroduced tax/fiscal effort (2.5% weight) in horizontal devolution and created performance-linked incentives, notably ₹45,000 crore for state agricultural reforms and ₹4,800 crore (₹1,200 crore per year) to incentivize improved educational outcomes.

Criteria	14th Finance Commission Weightage (2015-20)	15th Finance Commission Weightage (2021-26)
Income Distance	50.0	45.0
Population - 1971	17.5	-----
Population - 2011	10.0	15.0
Area	15.0	15.0
Forest Cover	7.5	-----
Forest & Ecology	-----	10.0
Demographic Performance	-----	12.5
Tax Effort	-----	2.5
Total	100.00	100.00

Influence on Centre and State Budgeting:

- **Budgetary resources and fiscal space:**
  - ✓ By committing ₹42.2 lakh crore in devolution and ₹10.33 lakh crore in grants (2021–26), the XV FC expanded predictable non-plan resource flows to states, enabling multi-year planning while reducing the Centre's fiscal headroom.
  - ✓ Transfers are estimated at 34% of Union gross revenue receipts, constraining the Centre's spending priorities.
- **Conditionality steers priorities:**
  - ✓ Sectoral and performance-linked grants (~₹1.3 lakh cr across health, education, agriculture, roads, judiciary, statistics & aspirational areas) steer states to align budgets and institutions, shifting expenditure towards social and local development.
- **Fiscal discipline and reform incentives:**
  - ✓ Emphasis on tax effort and performance rewards incentivizes states to enhance own-tax mobilization and governance, shaping tax policy, subsidy targeting, and fiscal consolidation.
- **Local governments & decentralization:**
  - ✓ ₹4.36 lakh crore in local body grants (₹2.4 lakh cr rural, ₹1.2 lakh cr urban, ₹70,051 cr health) push states to strengthen devolution and local capacity, shifting budgetary planning to sub-state levels.

Criticism of 15th FC:

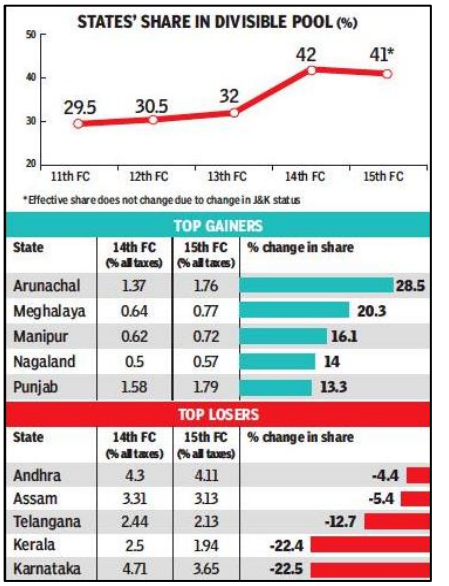
- **Reduced Vertical Devolution Flexibility:** While maintaining 41% share for states, rising cess/surcharge collections outside the divisible pool limited the effective fiscal space for states.
- **Performance-Linked Conditionalities:** Tying grants to reforms in power, agriculture, and urban governance risked undermining state autonomy and one-size-fits-all policymaking.
- **Population Weightage (2011 Census):** States with better demographic management (Southern states) felt penalized as higher weight was given to 2011 population data.

	• **High Dependency on Borrowing:** Recommendations on extra borrowing space tied to reforms added fiscal pressure on already debt-stressed states. • **Unrealistic Assumptions:** Projections of tax buoyancy, GST revenues, and deficit targets were criticized as optimistic, creating implementation risks.
Conclusion	The 15th FC combined a stable vertical share with sizable, targeted grants and performance incentives, thus balancing equity, efficiency and reform. Its recommendations have tangible budgetary implications: they reallocate fiscal space between Centre and states, condition state spending priorities, and encourage revenue mobilization and decentralized service delivery, reshaping both the composition and conduct of public finance across levels of government.
Model Question	Performance incentives in the 15th Finance Commission recommendations aim to promote reforms in states. Evaluate their effectiveness.
Value Addition	**Finance Commission** • Article 280 of the Indian Constitution mandates the President to establish a Finance Commission every five years, or earlier if considered necessary. • It shall be the duty of the Commission to make recommendations to the President as to; ✓ The distribution between the Union and the States of the net proceeds of taxes which are to be, or may be, divided between them under this Chapter and the allocation between the States of the respective shares of such proceeds; ✓ The principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India; ▪ The measures needed to augment the Consolidated Fund of a State to supplement the resources of the Panchayats in the State on the basis of the recommendations made by the Finance Commission of the State. ▪ The measures needed to augment the Consolidated Fund of a State to supplement the resources of the Municipalities in the State on the basis of the recommendations made by the Finance Commission of the State. ▪ Any other matter referred to the Commission by the President in the interests of sound finance.

86. Evaluate the innovativeness of the Fifteenth Finance Commission on Centre-State relations regarding the sharing of tax revenues. (TGPSC, 2024)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Finance Commission
Keyword	Evaluate
Approach	• Introduce by contextualizing the XV Finance Commission's mandate and its significance for Centre–State fiscal relations. • Evaluate innovations in vertical/horizontal devolution, performance-linked grants, local body empowerment, and Defence funding, along with criticisms. • Conclude with a balanced assessment of its pragmatic innovations while noting unresolved structural concerns.
Introduction	The Fifteenth Finance Commission (XV FC), covering 2021–26, worked in a period marked by the COVID-19 shock and fiscal stress. Within constitutional limits, it sought to balance stability and reform. Its recommendations introduced innovations in tax devolution, performance-linked grants, and institutional mechanisms, thereby reshaping Centre–State fiscal relations.
Body & Infographic Representation	**Innovativeness of the Fifteenth Finance Commission:** • **Context & continuity:** ✓ The XV FC operated through an unprecedented shock (COVID-19) yet preserved predictability by keeping the vertical devolution at 41% of the divisible pool for 2021-26 (the same level as 2020-21 after a 1-pp adjustment for the creation of the UTs of J&K and Ladakh).

- ✓ It projected ₹42.2 lakh crore as tax devolution and, counting grants, aggregate transfers of ~50.9% of the divisible pool, balancing States' liquidity with Union fiscal space.



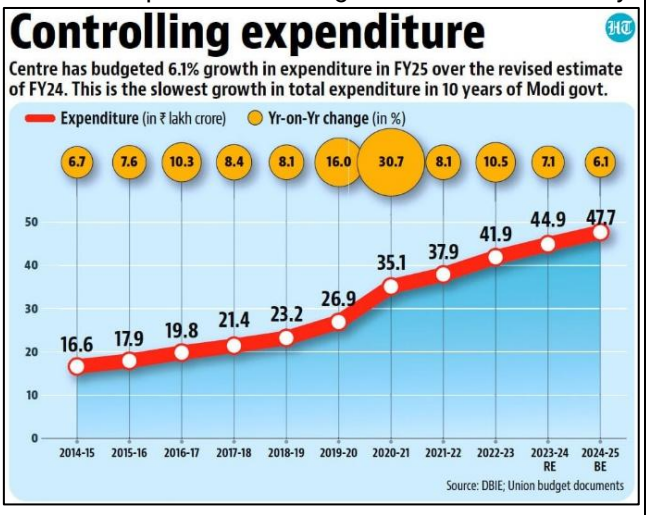
- **Recalibrated horizontal devolution:**
  - ✓ The XV FC's horizontal formula combined need and performance: income distance (45%), population-2011 (15%), area (15%), forest & ecology (10%), demographic performance (12.5%), and tax effort (2.5%).
  - ✓ Using 2011 population but rewarding demographic outcomes and fiscal effort balanced equity with prudence.
- **Outcome-linked grants and third-tier empowerment**
  - ✓ The Commission mainstreamed performance incentives across sectors: education (₹4,800 cr), online learning (₹6,143 cr), and a ₹45,000-crore reform-linked window in agriculture. This marks a shift from input-based to outcome-based federal transfers.
  - ✓ The XV FC recommended ₹4.36 lakh crore for local bodies (₹2.37 lakh cr rural, ₹1.21 lakh cr urban, and ₹70,051 cr health) and introduced the Million-Plus Cities Challenge Fund, linking all grants to performance and strengthening third-tier fiscal federalism.
- **Stabilizers amid stress:**
  - ✓ The XV FC recommended ₹2.95 lakh crore in revenue-deficit grants to 17 States, cushioning pandemic shocks without altering devolution.
  - ✓ It also pushed for debt-management cells and FRBM alignment, strengthening cooperative fiscal discipline through practical institutional reforms.
- **A unique innovation outside the divisible pool:**
  - ✓ The Commission proposed a non-lapsable Modernisation Fund for Defence and Internal Security (MFDIS) of ~₹2.4 lakh crore (2021–26), funded through the Consolidated Fund and asset monetisation, ring-fencing national-priority capex without affecting formula-based devolution.

Critique of 15th Finance Commission:

- **Erosion of State share:**
  - ✓ Since cess/surcharges are excluded from the divisible pool, States' effective share is much lower than the notional 41%.
  - ✓ For example, in 2022–23, cess and surcharges formed nearly 18% of gross tax revenue.
- **Fiscal centralization:**
  - ✓ This trend gives the Union flexibility but undermines the principle of cooperative federalism, as States lose predictable resources.
- **Central steerage in State domains:**
  - ✓ The XV FC earmarked ₹4.36 lakh crore for local bodies and ₹45,000 crore for agriculture reforms, but tying these to land, market, and service reforms risks aligning States with Union priorities over their own.
- **Compliance and administrative burden:**
  - ✓ Performance-based grants like the ₹38,196 crore Million-Plus Cities Challenge Fund demand extensive monitoring.

	✓ Smaller or fiscally weaker States and cities with limited capacity may struggle to comply. • **One-size-fits-all risk:** ✓ Health grants of ₹70,051 crore, tied to Union schemes like block-level and urban health centres, may not fit States with unique demographic challenges.
Conclusion	On balance, the XV FC innovated within constitutional limits by preserving vertical stability, modernising horizontal criteria, empowering local bodies through performance-linked grants, and creating a defence fund. While conditionality and cess/surcharge asymmetry remain concerns, it represents pragmatic innovation that enhances predictability and incentives in Centre–State fiscal relations, leaving structural issues for future commissions.
Model Question	Discuss the significance of the horizontal devolution formula recommended by the XV FC. How does it address the concerns of equity, efficiency, and demographic transition?
Value Addition	**15th FC recommendations on Horizontal devolution to Local Governments:** • The total size of the grant to local governments should be Rs. 4,36,361 crore for the period 2021-26. • Of these total grants, Rs. 8,000 crore is performance-based grants for incubation of new cities and Rs. 450 crore is for shared municipal services. • A sum of Rs. 2,36,805 crore is earmarked for rural local bodies, Rs.1,21,055 crore for urban local bodies and Rs. 70,051 crore for health grants through local governments. • Urban local bodies have been categorized into two groups, based on population, and different norms have been used for flow of grants to each, based on their specific needs and aspirations. • Basic grants are proposed only for cities/towns having a population of less than a million. • For Million-Plus cities, 100 per cent of the grants are performance-linked through the Million-Plus Cities Challenge Fund (MCF).
87. Mention the recommendations of the 15th Finance Commission with respect to Fiscal Consolidation. Discuss the progress and present situation of 'Fiscal Consolidation' in India. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Finance Commission
Keyword	Mention, Discuss
Approach	• Introduce by defining fiscal consolidation and its significance in India's macroeconomic stability. • Discuss 15th Finance Commission recommendations with supporting data, and evaluate India's progress and challenges in recent years. • Conclude with a balanced view on sustaining consolidation while ensuring growth and welfare.
Introduction	Fiscal consolidation denotes a credible, gradual reduction in fiscal deficits and public debt to ensure macro-stability while allowing adequate public investment. The Fifteenth Finance Commission (XV FC, 2021–26) laid out explicit glide-paths and institutional prescriptions to anchor consolidation at both Centre and State levels.
Body & Infographic Representation	**XV FC - Key recommendations on fiscal consolidation:** • **Centre's glide-path:** ✓ The Commission recommended that the Union aim to reduce its fiscal deficit to 4.0% of GDP by 2025–26, providing a predictable medium-term path for consolidation. • **State-level ceilings:** ✓ It advised a graduated fiscal deficit limit for States: 4.0% of GSDP in 2021–22, 3.5% in 2022–23, and 3.0% during 2023–26, with flexibility to carry forward unutilized borrowing limits within the award period.

- **Revenue-deficit & capital grants:**
  - ✓ The Commission used targeted revenue-deficit grants and tied capital grants to incentivize productive investment while recommending a stronger focus on capital expenditure that raises growth potential.
- **Institutional measures:**
  - ✓ It urged improved debt-management cells, better public investment management, and stricter FRBM compliance to strengthen debt sustainability and transparency.

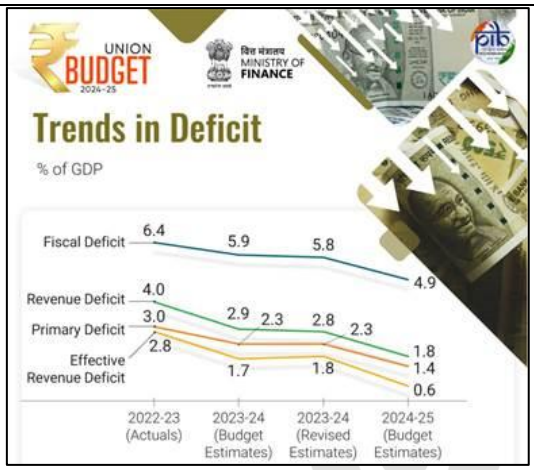


Progress - achievements to date:

- **Central consolidation partly on track:**
  - ✓ The Union Budget 2025–26 set the fiscal deficit target at 4.4% of GDP (BE), down from the Revised Estimate (RE) of 4.8% in 2024–25, signaling continued adherence to consolidation intent.
  - ✓ Budget documents emphasize sustained capital expenditure to support growth alongside consolidation.
- **Macro indicators and external validation:**
  - ✓ IMF's 2024–25 report notes that fiscal consolidation continued while growth and external balances remained resilient, an endorsement of India's macro strategy.
- **Capex and revenue momentum:**
  - ✓ Early FY26 data show elevated capital spending and healthy tax mop-ups (Eg: recent GST and tax collections), indicating that consolidation has been pursued without sharply curtailing public investment.
  - ✓ Example: Capital expenditure rose 54% YoY to ₹2.21 lakh crore, while revenue receipts grew 24%, aided by a ₹2.69 lakh crore RBI dividend, keeping the fiscal deficit at 0.8% of BE, showing consolidation without curbing investment.

Present situation - risks and challenges:

- **Early-year slippage and revenue uncertainty:**
  - ✓ CGA/CGA-reported data for Apr–Jul 2025 show the fiscal deficit at ~29.9% of the full-year target, pointing to front-loaded spending and potential slippage if revenues underperform. This raises short-term pressure on consolidation.
- **State fiscal strain & debt:**
  - ✓ Several States continue to rely heavily on market borrowings.
  - ✓ RBI and analysts urge State-level glide paths and better control of contingent liabilities to ensure sustainability.
  - ✓ Example: In FY 2024–25, State governments raised ₹10.73 lakh crore through market borrowings, nearly the entire sanctioned limit of ₹11.72 lakh crore, highlighting continued fiscal dependence on debt markets.
- **Trade-offs:**
  - ✓ Political and cyclical pressures (weak consumption, geopolitical shocks) could force temporary fiscal loosening.

	✓ Balancing consolidation with growth and social priorities remains delicate. ✓ Example: India's private consumption, contributing ~63% of GDP, slowed to 6.4% in Q1 2025 (down from 8.5–12% earlier), driven by flat household spending, wage stagnation, and trade pressures, fueling calls for tax relief and fiscal support.
Conclusion	The XV FC provided a clear, achievable consolidation roadmap and institutional prescriptions. The Centre has largely adhered to a medium-term path, emphasizing capex, but early FY26 outturns and State debt vulnerabilities pose risks. Strengthening FRBM credibility, enhancing tax buoyancy (broadening base, GST reforms), and improving public investment management remain essential to secure durable consolidation without compromising growth.
Model Question	"Fiscal consolidation at the state level is as important as at the Union level." Justify with examples.
Value Addition	

88. What are the recommendations of the Fourteenth Finance Commission with respect to the grant to local governments, fiscal deficit and FRBM Act? (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Finance Commission
Keyword	What
Approach	• Introduce with how The Fourteenth Finance Commission aimed to strengthen fiscal federalism by empowering local governments and ensuring fiscal discipline. • Mention recommendations of 14th Finance Commission like enhanced grants to local bodies, progressive reduction of fiscal deficit, and reforms in the FRBM Act for greater transparency and accountability. • Conclude by emphasizing how these measures collectively promoted empowered local governance, fiscal stability, and accountable financial management.
Introduction	The Fourteenth Finance Commission (FFC), chaired by Dr. Y.V. Reddy, submitted its report for the period 2015–20. Its recommendations marked a watershed in India's fiscal federalism — by enhancing states' fiscal autonomy, empowering local governments, and suggesting reforms to fiscal responsibility laws for sustainable public finance.
Body & Infographic Representation	**Recommendations of the Fourteenth Finance Commission with respect to the Grants to Local Governments:** • **Enhanced allocations:** The FFC recommended that local governments receive 3% of the divisible pool, compared to 2.5% under the 13th FC. ✓ This 3% is amounting to about ₹2,87,436 crore for 2015–20. Of this, the majority were basic untied grants (90% for panchayats, 80% for municipalities), ensuring predictable flows. • **Distribution criteria:** Allocation across states was based on 2011 population (90%) and area (10%).

- **Nature of grants:** Both basic (untied) and performance grants were proposed, with a ratio of 90:10 for panchayats and 80:20 for municipalities.
- **Reduced conditionality:** Performance conditions were simplified compared to earlier commissions, enabling broader access and smoother fund flow.
  - ✓ The overall share of performance grants was reduced, only 10% for panchayats and 20% for municipalities, making 90% and 80% of transfers, respectively, untied basic grants.
- **Significance:** By boosting predictable and untied resources, the Commission strengthened fiscal autonomy at the grassroots and reduced dependence on centrally sponsored schemes (CSS).
  - ✓ The Union Government reduced CSS outlays by ~₹75,000 crore in 2015–16, with several schemes delinked from central support, thereby increasing States' fiscal space and autonomy.

HORIZONTAL DEVOLUTION FORMULA IN THE 13TH AND 14TH FINANCE COMMISSIONS

Variable	Weights accorded 13th	14th
Population (1971)	25.0	17.5
Population (2011)	0.0	10.0
Fiscal capacity/Income distance	47.5	50.0
Area	10.0	15.0
Forest cover	0.0	7.5
Fiscal discipline	17.5	0.0
Total	100	100

Source: Reports of 13th and 14th Finance Commission

Recommendations on Fiscal Deficit and Centre–State Resource Sharing:

- **Higher state share in taxes:** The FFC raised states' share in the divisible pool of central taxes from 32% to 42%, the largest-ever increase.
- **Rationalization of transfers:** It recommended reducing discretionary plan transfers and restructuring CSS to offset the Centre's reduced fiscal headroom.
  - ✓ The 14th FC noted a ₹75,000 crore cut in Central assistance for key programs in 2015–16, but higher tax devolution (42%) gave States an extra ₹1.85 lakh crore, ensuring a net annual gain of ~₹1 lakh crore.
- **State-level flexibility:** States were encouraged to design expenditure priorities, using greater untied transfers to tailor spending to local needs.
- **Implication:** While empowering states, the FFC also urged careful fiscal management to prevent slippages, particularly in the context of expanded sub-national spending responsibilities.

Recommendations on the FRBM Act:

- **Elimination of effective revenue deficit:** The FFC suggested removing this concept from the FRBM framework from **April 2015**, arguing it diluted transparency.
- **Independent fiscal council:** It recommended creating a **Fiscal Council** to provide ex-ante evaluation of budget proposals and ensure adherence to fiscal rules.
- **Ex-post evaluation:** Operationalizing Section 7A of the FRBM Act was urged for regular, independent assessment of fiscal outcomes.
  - ✓ The Comptroller and Auditor General (CAG) has been entrusted with the periodical review of compliance with the provisions of the FRBM Act, as per the amendments made in 2012.
- **State-level reforms:** States were advised to amend their FRBM Acts to include statutory fiscal limits with calibrated flexibility, balancing discipline with responsiveness.
- **Outcome:** These measures aimed to enhance credibility, transparency, and sustainability in fiscal consolidation across both Centre and States.

Conclusion

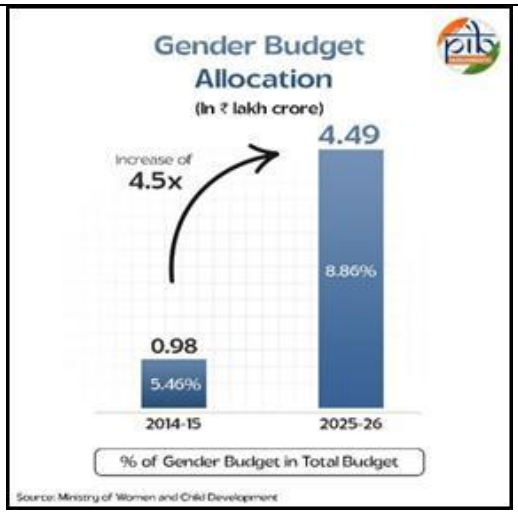
The Fourteenth Finance Commission's recommendations redefined India's fiscal landscape by strengthening local governments, boosting states' share of taxes, and

	institutionalizing fiscal responsibility. While enhancing sub-national autonomy, it balanced the framework with mechanisms like CSS restructuring, FRBM amendments, and a proposed fiscal council, laying the foundation for cooperative and disciplined federalism.
Model Question	"Discuss the mandate and objectives of the 16th Finance Commission of India. How do its Terms of Reference aim to address contemporary fiscal challenges?"
Value Addition	**Divisible Pool**: • The divisible pool is that portion of gross tax revenue which is distributed between the Centre and the States. • The divisible pool consists of all taxes, except surcharges and cess levied for specific purpose, net of collection charges. • The eightieth amendment of the Constitution altered the pattern of sharing of Union taxes in a fundamental way. • Under this amendment, article 272 was dropped and article 270 was substantially changed. • The new article 270 provides for sharing of all the taxes and duties referred to in the Union list, except the taxes and duties referred to in articles 268 and 269, respectively, and surcharges on taxes and duties referred to in article 271 and any cess levied for specific purposes.
89. Explain the role of Finance Commission in a federal country like India. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Finance Commission
Keyword	Explain
Approach	• Define Finance Commission as a constitutional body ensuring fiscal balance in federal India. • Discuss mandate, functions (tax devolution, grants, fiscal balance, and disaster funds), role in cooperative federalism, and limitations. • Conclude as the linchpin of fiscal federalism ensuring equity and unity despite advisory limits.
Introduction	The Finance Commission (FC), established under Article 280 of the Indian Constitution, is a constitutional body that recommends the distribution of financial resources between the Union and the States. In a federal system like India, where expenditure responsibilities of States often outweigh their revenue capacities, the FC ensures fiscal balance, equity, and cooperative federalism.
Body & Infographic Representation	**Constitutional Mandate** • The Finance Commission is constituted by the President every five years. It consists of a Chairperson and four members with expertise in public finance, law, economics, and administration. Its recommendations are advisory in nature but are laid before Parliament along with an action-taken report, which provides transparency and accountability in Centre-State financial relations. **Core Functions of finance commission:** • **Tax Devolution** ✓ The FC recommends the proportion of Union taxes to be shared with States (vertical devolution). ✓ It also decides the formula for distribution among individual States (horizontal devolution) based on factors like population, income distance, area, forest cover, and demographic performance. • **Grants-in-Aid** ✓ The FC recommends revenue deficit grants, sector-specific grants, and state-specific grants.

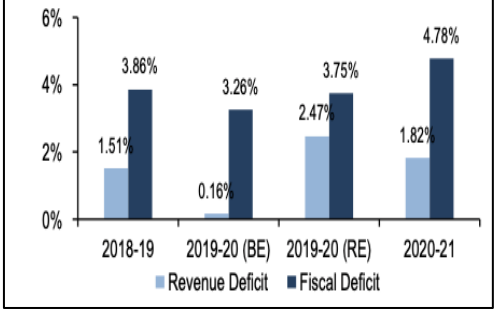
	✓ It also allocates grants to local bodies such as Panchayats and Municipalities, thereby strengthening grassroots governance. • **Correction of Fiscal Imbalances** ✓ It addresses vertical imbalance (Union collects more revenue, States bear more expenditure). ✓ It mitigates horizontal imbalance by compensating weaker States and promoting balanced regional development. • **Other Responsibilities** ✓ The FC recommends frameworks for financing disaster management. ✓ It suggests measures for fiscal consolidation and sustainable public finance. • **Role in Federalism** ✓ The Finance Commission upholds financial justice by ensuring equitable sharing of resources. It strengthens cooperative federalism by creating a consultative framework between Union and States. It also enhances the financial autonomy of States while preserving the unity of the nation. • **Limitations** ✓ Despite its importance, the FC faces limitations. Its recommendations are only advisory, and the Union government may deviate from them. Disputes over devolution criteria and State grievances regarding allocations remain persistent. Moreover, political considerations sometimes overshadow equity principles.
Conclusion	The Finance Commission serves as the constitutional linchpin of fiscal federalism in India. By ensuring fair tax devolution, addressing fiscal imbalances, and strengthening local bodies, it promotes both equity and unity in India's federal structure. Although its recommendations are advisory, their acceptance by successive governments highlights the Commission's credibility and indispensable role in India's cooperative federalism.
Model Question	Evaluate the limitations of the Finance Commission in India's federal framework despite its pivotal role in fiscal federalism.
Value Addition	The 16th Finance Commission, set to commence from April 1, 2026, under the chairmanship of Dr. Arvind Panagariya, has been entrusted with key responsibilities including ensuring equitable distribution of resources, recommending principles for grants-in-aid, and enhancing the financial strength of local governance institutions.
5. Government budgeting in Andhra Pradesh – Budget constraints – Central assistance and issues of conflict after bifurcation of the state – management of deficits - Highlights and Analysis of the current year budget – State finance commission and local finance in Andhra Pradesh	
90. Explain the importance of budgetary policy in reallocation of resources. Briefly discuss the allocation of budgetary resources in the social services sector with respect to the AP Budget. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Budgeting in Andhra Pradesh
Keyword	Explain, Briefly discuss
Approach	• Begin with a brief introduction explaining the role of budgetary policy in guiding resource allocation. • Then discuss why reallocation is needed in a mixed economy to correct market failures. Explain the mechanisms like taxation, subsidies, and public expenditure. Move to Andhra Pradesh's budget, highlighting key allocations in education, health, and welfare sectors. • Conclude by linking resource allocation to social equity and inclusive growth.
Introduction	Budgetary policy is a key tool through which the government influences the pattern of resource allocation in an economy. In a developing state like Andhra Pradesh, where significant disparities exist across regions and sectors, budgetary decisions help in guiding investment priorities towards welfare, human capital development, and inclusive growth.

Body & Infographic Representation	**Importance of Budgetary Policy in Reallocation of Resources:** • Budgetary policy is a vital instrument for any government to effectively manage and guide an economy. One of its most crucial functions is the reallocation of resources. • In a mixed economy, private enterprises are primarily driven by the motive of profit maximisation, often neglecting sectors or goods that are socially desirable but less profitable (public goods and services, for example). • The government uses its budgetary policy to correct this market failure and direct resources towards achieving a balance between economic goals and social welfare objectives. **The government influences this reallocation through several mechanisms:** • **Taxation Policy:** The government imposes heavy taxes on the production and consumption of socially harmful goods (e.g., alcohol, tobacco). This discourages their production, freeing up resources that can be diverted to other sectors. • **Subsidies and Tax Concessions:** To encourage the production of socially beneficial goods or to promote investment in backward regions, the government provides subsidies, tax holidays, and other financial incentives. For example, providing subsidies for 'Khadi products' or renewable energy encourages investment in these areas. • **Direct Production of Goods and Services:** Where the private sector is unwilling to operate or where public welfare is the primary goal (e.g., national defense, basic education, healthcare, infrastructure like roads and railways), the government directly allocates resources and undertakes production. **Allocation of Budgetary Resources in the Social Services Sector with Respect to the Andhra Pradesh Budget:** • The Government of Andhra Pradesh demonstrates a significant commitment to the social services sector through its budgetary allocations, reflecting a focus on human development, welfare, and inclusive growth. Social services typically encompass education, health, and welfare for disadvantaged groups (SC, ST, OBC, minorities, women, and children). • **Recent Andhra Pradesh budgets highlight a consistently high allocation to this sector:** ✓ **Significant Proportions:** The social services sector generally commands a large share of the state's total expenditure. For instance, the budgeted expenditure on social services often accounts for over two-thirds (around 68%) of the state's total expenditure on all sectors in recent years, highlighting its priority status. ✓ **Key Sectoral Allocations:** Specific examples from the Andhra Pradesh budget (e.g., 2023-24 estimates) illustrate this focus: ▪ **Education, Sports, Arts, and Culture:** A substantial amount is allocated to this sector, with provisions for grants to local bodies and schemes like 'Naadu-Nedu' for the upgradation of educational infrastructure. ▪ **Health and Family Welfare:** Funds are allocated to primary health centers, the 'YSR Aarogyasri' health insurance scheme, and the National Health Mission, indicating a focus on both primary and tertiary healthcare access. ▪ **Welfare of Disadvantaged Groups:** Significant allocations are made for the welfare of Scheduled Castes, Scheduled Tribes, Other Backward Classes, and Minorities through various corporations and specific welfare schemes. ▪ **Nutrition and Social Welfare:** Schemes like 'YSR Sampoorna Poshana' and Integrated Child Development Services (ICDS) receive considerable funding to address malnutrition and child welfare.

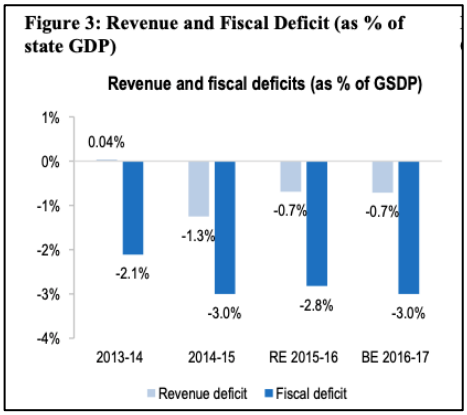
Conclusion	The allocation pattern in the AP budget indicates a clear use of fiscal policy to achieve social equity and improve the standard of living for its citizens. While year-on-year revisions sometimes show underspending in certain areas, the consistent budgetary estimates underscore the government's intention to channel resources into the social services sector to maximize public welfare.
Model Question	"Explain the concept of fiscal deficit. Evaluate the fiscal consolidation measures undertaken by the Government of Andhra Pradesh."
Value Addition	**Andhra Pradesh's Economy:** • GSDP: In 2023-24, Andhra Pradesh's GSDP (at constant prices) is estimated to grow by 7.4% over the previous year. In comparison, India's GDP is estimated to grow by 9.2% in 2023-24. In 2023-24, agriculture is estimated to grow at 2%. Manufacturing and services sectors are estimated to grow at 8.3% and 5.2%, respectively. • Sectors: In 2023-24, agriculture, manufacturing, and services sectors are estimated to contribute 37%, 23%, and 40% of Andhra Pradesh's economy, respectively (at current prices). • Per capita GSDP: In 2023-24, Andhra Pradesh's per capita GSDP (at current prices) is estimated to be Rs 2,70,295, an increase of 10% over 2022-23. In comparison, India's per capita GDP in 2023-24 is estimated to be Rs 2,15,935, an increase of 11% over the previous year.
91. What is meant by 'Gender Budgeting' and 'Child Budgeting'? Does Andhra Pradesh follow gender budgeting and child budgeting? Evaluate. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Budgeting in Andhra Pradesh
Keyword	What, Does, Evaluate
Approach	• Introduce by defining Gender Budgeting and Child Budgeting as tools that integrate gender and child perspectives into public financial management to promote equality and welfare. • Explain objectives, framework, and significance of gender and child budgeting with examples of programs and their impact on women and children. • Evaluate Andhra Pradesh's efforts, highlighting achievements like gender budget statements, women-centric schemes, and suggest improvements for better inclusiveness and monitoring. • Conclude by stressing the need for transparent, data-driven budgeting to achieve equality and sustainable development.
Introduction	Gender and child budgeting are important public finance tools aimed at ensuring equitable development. They help governments allocate resources based on the specific needs of women and children, addressing gender and age-based disparities while ensuring that budgetary decisions translate into inclusive growth outcomes.
Body & Infographic Representation	**Gender Budgeting:** • Gender Budgeting refers to integrating a gender perspective at all stages of budget formulation, allocation, and evaluation. It does not mean creating a separate budget for women but analyzing how policies and expenditures impact men and women differently. • It includes gender-sensitive policy formulation, resource allocation, and impact evaluation to address inequalities. • For instance, increased funding for maternal health, women's self-help groups, and skill training represents gender-responsive planning. • It aims to promote women's empowerment, ensure equal access to development benefits, and strengthen accountability for gender equality.

	Child Budgeting: • Child Budgeting focuses on assessing how public expenditure affects children's welfare, ensuring adequate investment in their health, education, nutrition, and protection. • It identifies child-specific schemes within the budget to track and monitor spending on child welfare. • Programs like mid-day meals, immunization drives, and scholarships represent the practical application of child budgeting. • The main goal is to ensure that children's rights and development priorities are not neglected in fiscal planning. **Andhra Pradesh's Initiatives in Gender and Child Budgeting:** • Andhra Pradesh has recently institutionalized Gender Responsive Budgeting (GRB) and has taken notable steps toward child-focused spending. • The state formally adopted Gender Budgeting from FY 2021–22, with an outlay of over Rs.47,000 crore, later expanded to Rs.55,015 crore in 2022–23. • A five-year State Action Plan on GRB (2021–25) was launched, and Gender Budget Cells were established across departments for monitoring. • Schemes like Jagananna Ammavodi, YSR Cheyutha, YSR Aasara, YSR Sunna Vaddi, and YSR Sampoorna Poshana target women's welfare, while programs like ICDS, mid-day meals, and Vidya Kanuka focus on children. • The state's Gender Budget Statement (GBS) divides allocations into: ✓ Part A: 100% allocations for women and girls (Rs.27,697 crore in 2022–23). ✓ Part B: 30–99% allocations for composite schemes (Rs.27,317 crore). • According to the NITI Aayog SDG Index (2020–21), Andhra Pradesh ranked 4th nationally and improved its performance on SDG-5 (Gender Equality) by 21 points.
Conclusion	Andhra Pradesh has made remarkable progress in gender budgeting through structured mechanisms and women-focused welfare programs. However, the child budgeting framework requires formalization. Strengthening institutional capacity, data systems, and participatory monitoring can make budgeting truly inclusive and transformative for women and children alike.
Model Question	"How does gender-responsive and child-centered budgeting contribute to inclusive and sustainable development? Discuss with reference to initiatives taken by Andhra Pradesh."
Value Addition	**Gender Budgeting in India:** • From 2014-15 to 2025-26, there has been a significant jump in the allocation for Gender Budgeting in India. The outlay has increased from Rs.0.98 lakh crore in 2014-15 to Rs.4.49 lakh crore in 2025-26, with the percentage share for Gender Budgeting in the Union Budget surging to a robust 8.86% in FY 2025-26, up from 5.46% in 2014-15. • This reflects the government's sustained commitment to advancing gender equity through public spending 

92. Examine some of the major features of Andhra Pradesh budget for the FY 2020-21 with special reference to fiscal deficit situation of the state. (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Budgeting in Andhra Pradesh
Keyword	Examine
Approach	• Introduce by explaining that the Andhra Pradesh Budget 2020–21 was presented amid fiscal stress and aimed to promote inclusive welfare and growth. • Discuss the major features like expenditure priorities, welfare schemes, and capital investment focus. • Explain the fiscal deficit situation, highlighting borrowing dependence, deficit ratios, and FRBM relaxations. • Conclude by stressing the need for fiscal discipline, diversified revenue sources, and sustainable economic management.
Introduction	The Andhra Pradesh Budget for 2020–21 was presented in the backdrop of a slowing economy and the initial impact of the COVID-19 pandemic. The budget aimed to strengthen social welfare, agricultural growth, and infrastructure, while facing significant challenges related to fiscal and revenue deficits.
Body & Infographic Representation	**Major Features of the Budget:** • **Overall Size and Growth:** ✓ The total expenditure for 2020–21 was estimated at ₹2.24 lakh crore, marking a 28.6% increase over the previous year's revised estimates. The state's GSDP was projected at ₹9.72 lakh crore, growing at 12.7% over 2018–19 levels. • **Social Welfare Focus:** ✓ The budget prioritized welfare schemes, particularly targeting women, farmers, and weaker sections. ✓ YSR Cheyutha: Financial assistance of Rs.18,750 per year to women from SC, ST, BC, and minority communities. ✓ Jagananna Thodu: Rs.10,000 support for street hawkers and vendors. ✓ Establishment of multi-speciality hospitals and Agri Testing Labs to strengthen health and agriculture sectors. • **Expenditure Composition:** ✓ Revenue expenditure stood at ₹1.80 lakh crore (31% increase over 2019–20 RE), while capital expenditure was ₹44,397 crore (19% rise), aimed at infrastructure and public assets. **Fiscal Deficit Situation:** • **High Fiscal and Revenue Deficits:** ✓ The fiscal deficit was projected at ₹48,296 crore (4.78% of GSDP), exceeding the FRBM limit of 3%. ✓ The revenue deficit stood at ₹18,434 crore (1.82% of GSDP), reflecting expenditure pressures on non-asset-creating activities. **Figure 2: Revenue and Fiscal Deficit (as % of GSDP)**  • **Borrowing Dependency:** ✓ The government relied heavily on borrowings amounting to ₹60,258 crore, forming a major part of fiscal management. ✓ The outstanding liabilities were estimated to rise to 34.6% of GSDP, significantly above the national average (24.6%). • **Relaxation under FRBM:** ✓ Considering the pandemic's impact, the Centre allowed states to extend fiscal deficit limits up to 5% of GSDP, conditional on reforms in power, urban local bodies, and ease of doing business.

Conclusion	The 2020-21 Andhra Pradesh Budget reflected a welfare-oriented approach but also revealed fiscal stress and rising debt. While welfare initiatives supported inclusive growth, sustained efforts toward fiscal consolidation, rational expenditure, and diversified revenue generation remain essential for ensuring long-term economic stability and development of the state.
Model Question	"Examine the fiscal challenges faced by Andhra Pradesh in the post-bifurcation period and evaluate the measures adopted by the state government to ensure fiscal sustainability and balanced development."
Value Addition	**Andhra Pradesh Budget Analysis 2020-21 and Highlights:** • The Gross State Domestic Product of Andhra Pradesh for 2019-20 (at current prices) is projected to be Rs 9,72,782 crore.1 This is 12.7% higher than the GSDP estimate for 2018-19 (Rs 8,62,957 crore). • Total expenditure for 2020-21 is estimated to be Rs 2,24,789 crore, a 28.6% increase over the revised estimates of 2019-20. In 2019-20, as per the revised estimate, total expenditure is estimated to decrease by 23.3% (Rs 53,218 crore) from the budget estimate. • Total receipts (excluding borrowings) for 2020-21 are estimated to be Rs 1,62,558 crore, an increase of 41.1% as compared to the revised estimate of 2019-20. In 2019-20, total receipts (excluding borrowings) are estimated to fall short of the budgeted estimate by Rs 64,071 crore (by 35.7% of the budgeted estimate). • Revenue deficit for 2020-21 is targeted at Rs 18,434 crore or 1.82% of the Gross State Domestic Product (GSDP). Fiscal deficit is targeted at Rs 48,296 crore (4.78% of GSDP). In 2019-20, Andhra Pradesh is estimated to observe a revenue deficit of 2.47% of GSDP against a budget target of 0.16% of GSDP. Fiscal deficit is estimated to increase from the budgeted 3.26% of GSDP to 3.75% of GSDP in 2019-20.
93. Explain the distinct aspect of Annual Budget for 2016-17 of Andhra Pradesh. Discuss the reasons for revenue deficit and fiscal deficit in residuary AP. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Budgeting in Andhra Pradesh
Keyword	Explain, Discuss
Approach	• Introduce by highlighting that the Andhra Pradesh Budget 2016–17 was one of the first after state bifurcation, aiming to rebuild the economy and ensure fiscal stability. • Explain the distinct aspects—development-focused expenditure, priority to irrigation, infrastructure, and social sectors, with fiscal and revenue deficit figures. • Discuss reasons for deficits—loss of Hyderabad's revenue base, increased administrative expenditure, heavy borrowings, and delayed central aid. • Conclude by emphasizing fiscal prudence and balanced development for sustainable growth.
Introduction	The Andhra Pradesh Budget for 2016-17 was presented by Finance Minister Yanamala Ramakrishnudu, marking one of the early budgets after the state's bifurcation. It aimed to rebuild the economy of the residuary state, focusing on infrastructure, welfare, and fiscal consolidation amidst severe revenue constraints.
Body & Infographic Representation	**Distinct Aspects of the 2016–17 Andhra Pradesh Budget:** • **Development-Oriented Expenditure:** The total expenditure was projected at ₹1.35 lakh crore, a 20.9% increase over the previous year, reflecting the government's commitment to development despite financial stress. • **Infrastructure and Capital Projects:** Priority was given to irrigation projects like Polavaram, new road connectivity, and power sector strengthening, to boost long-term productivity and attract investment.

	• **Social Sector Focus:** Departments such as school education, rural development, and health received increased allocations to strengthen human capital and welfare outcomes. • **Fiscal Responsibility:** The fiscal deficit was pegged at 3% of GSDP (₹20,497 crore) — within the limit of the Fiscal Responsibility and Budget Management (FRBM) Act — while the revenue deficit stood at ₹4,868 crore (0.7% of GSDP), indicating limited resource availability. • **Economic Growth Outlook:** The GSDP for 2016–17 was estimated at ₹6.83 lakh crore, showing a 13.2% growth over the previous year, driven by steady recovery in agriculture and services sectors. **Reasons for Revenue Deficit in Residuary Andhra Pradesh:** • **Loss of Revenue Sources:** After separation, Andhra Pradesh lost Hyderabad the former capital which accounted for a major share of tax and non-tax revenue. • **Rising Revenue Expenditure:** The establishment of a new capital, Amaravati, administrative infrastructure, and welfare schemes increased committed expenditures like salaries and subsidies. **Figure 3: Revenue and Fiscal Deficit (as % of state GDP)**  • **Dependence on Central Transfers:** The state relied heavily on central grants and devolution, but delays and shortfalls in transfers widened the deficit. • **Weak Tax Base:** Limited industrial activity and weak tax collection mechanisms in the initial years also constrained revenue generation. **Reasons for Fiscal Deficit in Residuary Andhra Pradesh:** • **High Capital Expenditure:** Large investments in irrigation, infrastructure, and urban development projects increased capital outlays. • **Borrowing-Driven Financing:** With limited internal revenue, the government depended on borrowings, increasing outstanding liabilities to 27.9% of GSDP. C • **Slow Realization of Central Assistance:** Delay in receiving promised support for the Polavaram project and Amaravati development added to the fiscal stress. • **Post-Bifurcation Commitments:** The need to balance development between coastal and backward regions also increased financial burden.
Conclusion	The 2016-17 Andhra Pradesh Budget reflected the transitional challenges of a newly formed state striving for economic balance. Persistent revenue and fiscal deficits arose from structural weaknesses, but the government's focus on capital creation and welfare laid the groundwork for long-term fiscal recovery and inclusive growth.
Model Question	"Analyze the major priorities and fiscal management strategies adopted in the Andhra Pradesh Budget for 2017–18. How did the government attempt to balance developmental needs with fiscal discipline in the post-bifurcation period?"
Value Addition	**Andhra Pradesh Budget Analysis 2016-17:** • The Gross State Domestic Product of Andhra Pradesh for 2016-17 is estimated to be Rs 6,83,233 crore. This is 13.2% higher than the estimates for 2015-16. • Total expenditure for 2016-17 is estimated to be Rs 1,35,689 crore, a 20.9% increase over the revised estimate of 2015-16. In 2015-16, there was a decrease of Rs 833 crore (0.8%) in the revised estimate over the budget estimate.

	• Total receipts (excluding borrowings) for 2016-17 are estimated to be Rs 1,10,578 crore, an increase of 22.4% over the revised estimates of 2015-16. In 2015-16, total receipts fell short of the budgeted target by Rs 745 crore. • Revenue deficit for the next financial year is targeted at Rs 4,868 crore, or 0.7% of the Gross State Domestic Product (GSDP). Fiscal deficit is targeted at Rs 20,497 crore (3% of GSDP). Primary deficit is targeted at Rs 8,239 crore (1.2% of GSDP).
94. How did the State of Andhra Pradesh managed to eliminate the revenue deficit during 1997-2005? (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Budgeting in Andhra Pradesh
Keyword	How
Approach	• Introduce by explaining that Andhra Pradesh achieved fiscal consolidation between 1997-2005 by eliminating its revenue deficit through major economic and governance reforms. • Explain key measures like fiscal discipline through FRBM Act, tax reforms like VAT, expenditure control, power sector restructuring, and improved financial administration. • Conclude by highlighting that prudent fiscal management and effective governance helped achieve long-term financial stability and sustainable growth.
Introduction	During the period 1997–2005, Andhra Pradesh witnessed a remarkable turnaround in its fiscal situation, successfully eliminating its revenue deficit. This achievement was the result of comprehensive fiscal reforms, expenditure control, improved tax administration, and the effective implementation of economic restructuring policies aimed at enhancing revenue mobilization.
Body & Infographic Representation	**Andhra Pradesh managed to eliminate the revenue deficit during 1997-2005:** • **Fiscal Reforms and Financial Discipline:** ✓ The state implemented the Andhra Pradesh Fiscal Reforms Programme (APFRP) with assistance from multilateral institutions. This program emphasized reducing revenue expenditure, rationalizing subsidies, and improving the efficiency of public spending. ✓ The enactment of the Fiscal Responsibility and Budget Management (FRBM) Act, 2005 institutionalized fiscal discipline and promoted transparency in budget management. • **Revenue Mobilization Measures:** ✓ The state government undertook tax reforms to widen the tax base and enhance compliance. The introduction of Value Added Tax (VAT) and modernization of the Commercial Taxes Department improved revenue collection. ✓ It increased excise and stamp duty collections also contributed significantly to higher revenue receipts. • **Expenditure Rationalization and Public Sector Reforms:** ✓ The government reduced non-productive expenditure by controlling the wage bill and restricting unplanned recruitment. It introduced power sector reforms through the unbundling of the Andhra Pradesh State Electricity Board, reducing financial losses in the sector. ✓ Public enterprises with chronic losses were either restructured or privatized, easing the fiscal burden. • **Administrative and Governance Reforms:** ✓ E-governance initiatives such as CARD (Computer-Aided Registration of Documents) and e-Seva improved efficiency, transparency, and reduced leakages.

	✓ Better financial management and targeted social expenditure ensured effective utilization of resources.
Conclusion	Through consistent fiscal reforms, better revenue mobilization, and prudent expenditure management, Andhra Pradesh successfully eliminated its revenue deficit by 2005. This achievement demonstrated the state's commitment to fiscal responsibility, efficient governance, and sustainable economic management laying the foundation for future growth and development.
Model Question	"Discuss the measures adopted by the State of Andhra Pradesh to achieve fiscal consolidation and maintain revenue surplus during the early 2000s."
Value Addition	• The latest reports on Andhra Pradesh's finances indicate that the state's revenue deficit continues to be a concern, exceeding budget estimates for fiscal year 2024-25. • Revenue Deficit in fiscal year 2024-25: • In the first six months (April-September) of the 2024-25 financial year, Andhra Pradesh's revenue deficit reached ₹46,652.41 crore, which is more than 140% of the originally budgeted ₹33,186 crore for the entire year. • The Andhra Pradesh budget for 2024-25, presented in November 2024, revised the estimated revenue deficit for the year to ₹34,743 crore, or 2.12% of the GSDP. • Historical context and trends: • FY 2023-24: The CAG report noted that Andhra Pradesh had a revenue deficit of ₹38,683 crore for this fiscal year. • FY 2022-23: According to a NITI Aayog report, the state was in a revenue deficit for this year as well, continuing a trend of deficits over the past five years.
95. What are the direct and indirect taxes levied by the government of Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Budgeting in Andhra Pradesh
Keyword	What
Approach	• Introduce by explaining that Andhra Pradesh generates its revenue mainly through taxation, which includes both direct and indirect taxes to fund welfare and development programmes. • Explain direct taxes like land revenue, professional tax, stamp duty, and registration fees, followed by indirect taxes such as SGST, excise duty, motor vehicle tax, and electricity duty with examples. • Conclude by emphasizing that an efficient tax system ensures fiscal stability and supports inclusive development.
Introduction	The Government of Andhra Pradesh mobilizes its major revenue through a combination of direct and indirect taxes to fund developmental and welfare programmes. These taxes play a vital role in strengthening the state's fiscal position, ensuring financial autonomy, and supporting inclusive socio-economic growth.
Body & Infographic Representation	**Direct Taxes in Andhra Pradesh:** • Direct taxes are those levied directly on individuals or entities based on income, wealth, or property ownership. The main direct taxes include: ✓ **Land Revenue:** Collected from agricultural landowners, it remains a traditional yet minor source of revenue. ✓ **Property Tax:** Levied by municipal bodies on the annual rental value of residential and non-residential buildings within their jurisdiction. ✓ **Professional Tax:** Levied on individuals engaged in professions, trades, and employment, with local bodies collecting it under the Andhra Pradesh Tax on Professions, Trades, Callings, and Employments Act, 1987.

	✓ **Stamp Duty and Registration Fees:** Charged on property transactions and legal documents, this forms a significant share of the state's tax revenue. ✓ **Entertainment Tax (residual):** Post-GST, it continues in limited forms for local-level cultural or entertainment events. **Indirect Taxes in Andhra Pradesh:** • Indirect taxes are imposed on goods and services, where the burden is transferred to consumers. The major indirect taxes are: ✓ **State Goods and Services Tax (SGST):** This is the primary indirect tax revenue source, levied on the intra-state supply of goods and services. It subsumed many older indirect taxes like Sales Tax and Service Tax. ✓ **Value Added Tax (VAT):** Although most goods are covered under GST, VAT is still applicable on certain products not covered by the GST regime, most notably petroleum products and alcoholic liquors for human consumption. ✓ **State Excise Duty:** Levied on the manufacture and sale of alcoholic beverages and some other goods within the state. ✓ **Taxes and Duties on Electricity:** Collected by the state's power distribution companies (DISCOMs) as part of monthly electricity bills. ✓ **Motor Vehicle Tax:** Levied on vehicles registered within the state, under the State Motor Vehicle Taxation Act. ✓ **Stamps and Registration Fees:** Fees and duties collected on the registration of documents, property transactions, etc., by the Registration & Stamps Department.
Conclusion	Both direct and indirect taxes are crucial pillars of Andhra Pradesh's revenue system. While direct taxes ensure equity and accountability, indirect taxes provide substantial inflows for development. Efficient tax administration and compliance reforms remain essential for sustainable state finances and inclusive growth.
Model Question	Discuss the role of the taxation system in strengthening the fiscal capacity and economic development of Andhra Pradesh. How does the state balance between direct and indirect tax revenue sources?
Value Addition	**Andhra Pradesh State's own tax revenue:** • Andhra Pradesh's total own tax revenue is estimated to be Rs 1,09,789 crore in 2024-25, an increase of 28% over the revised estimate of 2023-24. Own tax revenue as a percentage of GSDP is estimated at 6.7% in 2024-25, higher than the revised estimates for 2023-24 (5.9%). • As per the actual figures for 2022-23, the state's own tax revenue as a percentage of GSDP was 5.9%.

Table 8: Key Components of State's Own Tax Revenue

Tax Source/Head	2022-23 BE	2022-23 Actuals	% change from BE to Actuals
Taxes and Duties on Electricity	1,011	4,243	320%
Land Revenue	48	110	129%
Taxes on Vehicles	6,000	4,320	-28%
State GST	29,025	27,981	-4%
Sales Tax/ VAT	28,481	18,004	-37%
Stamps Duty and Registration Fees	9,500	8,022	-16%

96. Highlight the areas of central assistance to Andhra Pradesh under the provision of Andhra Pradesh Reorganization Act and Fourteenth Finance Commission? (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Central Assistance and issues of conflict after bifurcation of the State
Keyword	Highlight
Approach	• Mention the bifurcation of AP (2014) and resultant financial imbalance. • Explain provisions under the AP Reorganisation Act (e.g., revenue deficit grants, capital city support, backward area development) and 14th FC recommendations.

	• Evaluate the adequacy and implementation of assistance vis-à-vis development challenges.
Introduction	The bifurcation of Andhra Pradesh in 2014 led to significant fiscal and developmental imbalances, as most revenue-generating regions and institutions went to Telangana. To address these disparities, the Andhra Pradesh Reorganization Act, 2014 and the Fourteenth Finance Commission (14th FC) recommended specific measures and financial assistance to support the state's reconstruction and fiscal stability.
Body & Infographic Representation	**Assistance under the Andhra Pradesh Reorganisation Act, 2014** • The Act recognised Andhra Pradesh as a revenue-deficient state and provided a framework for financial support from the Centre to promote balanced development. • Major provisions include: ✓ **Revenue Deficit Grant:** ▪ The Centre was mandated to bridge the revenue deficit for a period of 5 years, estimated at ₹22,113 crore by the 14th FC, but only about ₹.3,980 crore was released till 2019–20 (CAG Report, 2020). ✓ **Development of New Capital (Amaravati):** ▪ Financial aid was assured for establishing a greenfield capital, including ₹1,500 crore released for essential infrastructure under Section 94(3) of the Act. ✓ **Special Development Package for Backward Districts:** ▪ Seven backward districts (four in Rayalaseema and three in North Coastal Andhra) were provided ₹50 crore per district per year for six years, aimed at improving connectivity and social infrastructure. ✓ **Establishment of Institutions of National Importance:** ▪ The Act facilitated the creation of AIIMS at Mangalagiri, IIT Tirupati, IIM Visakhapatnam, NIT Tadepalligudem, IIIT Kurnool, and Central University at Anantapur, ensuring long-term human capital development. **Recommendations of the Fourteenth Finance Commission (2015–20)** • The 14th FC increased the states' share in central taxes from 32% to 42%, enhancing AP's fiscal space. • For rural local bodies in Andhra Pradesh, the 14th Finance Commission recommended a total of ₹8,654.09 crore in basic grants for the entire period from 2015-16 to 2019-20. • It also recommended post-devolution revenue deficit grants, recognising AP's structural fiscal imbalance post-bifurcation.
Conclusion	In sum, both the Reorganisation Act and 14th FC sought to stabilise Andhra Pradesh's fragile fiscal situation. However, delays and partial implementation of promised assistance hindered rapid economic recovery. A consistent and timely flow of central support remains vital for equitable regional development and fiscal sustainability.
Model Question	Evaluate the effectiveness of Central support mechanisms extended to Andhra Pradesh under the Andhra Pradesh Reorganisation Act, 2014 and the recommendations of the Fourteenth Finance Commission.
Value Addition	The 14th Finance Commission (FFC), chaired by Y.V. Reddy, was a constitutional body that operated from 2015–2020. Its key recommendations included an increased share of central taxes for states and grants for local bodies to improve basic services like water, sanitation, and waste management. The commission's work aimed to strengthen fiscal federalism in India and was implemented starting April 1, 2015.
97. In the context of the financial situation of Andhra Pradesh after reorganization, discuss the nature and extent of Central assistance provided to Andhra Pradesh. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Central Assistance and issues of conflict after bifurcation of the State

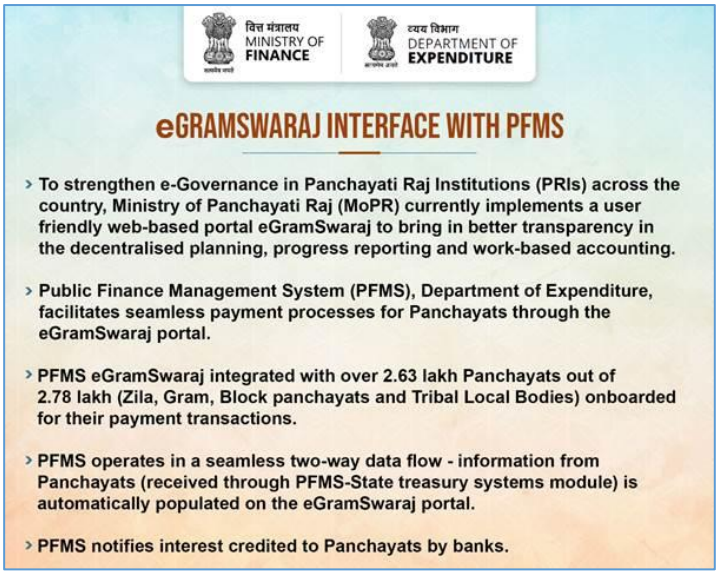
Keyword	Discuss
Approach	• Highlight fiscal distress post-bifurcation due to revenue loss and legacy deficit. • Discuss types of central assistance like revenue deficit grants, externally aided projects, special assistance, and central schemes. • Assess whether assistance addressed fiscal imbalance and supported equitable growth.
Introduction	The bifurcation of Andhra Pradesh in 2014 created acute fiscal stress as most revenue sources such as Hyderabad-based industries and service sectors went to Telangana. To restore fiscal balance and ensure equitable development, the Central Government extended various forms of financial and institutional assistance to the reorganized Andhra Pradesh under statutory and discretionary provisions.
Body & Infographic Representation	**Financial Situation after AP State Reorganisation** • According to the Comptroller and Auditor General (CAG) Report on State Finances for the year ended March 2015, Andhra Pradesh registered a revenue deficit of ₹24,194 crore during 2014-15. • The debt-GSDP ratio rose from 23.3% in 2014–15 to around 32.10% by 2019–20, indicating fiscal stress. **Nature of Central Assistance provided to Andhra Pradesh** • **Revenue Deficit Grant:** ✓ Under Section 46(2) of the AP Reorganisation Act, 2014, the Union Government agreed to provide special assistance to address resource shortfalls in the state. ✓ The 14th Finance Commission estimated it at ₹22,113 crore for 2015–20. ✓ The total funds released to Andhra Pradesh from the Centre between 2014-15 and 2020-21 were approximately ₹83,000 crore. • **Special Development Package:** ✓ The Centre announced a special package of ₹350 crore for six backward districts (Rayalaseema and North Coastal Andhra) to improve roads, healthcare, and educational infrastructure. • **Capital City Development (Amaravati):** ✓ The Centre has approved a total of ₹2,787 crore for key infrastructure projects in the capital region • **Institutional Support:** Establishment of IIT, IIM, AIIMS, NIT, IISER, and Petroleum University was sanctioned to promote long-term growth and employment. • **Polavaram Irrigation Project:** It was declared a national project under Section 90, with 100% central funding; till 2020, ₹8,614.16 crore was released for its execution. **Extent and Challenges of Central Assistance Provided to Andhra Pradesh** • While several assistance measures were sanctioned, actual fund flow lagged behind commitments, causing fiscal imbalance. • Delayed release of grants and the non-materialisation of "special category status" further strained the financial recovery.
Conclusion	Central assistance to Andhra Pradesh post-bifurcation addressed immediate revenue shocks and infrastructure needs. However, partial implementation and delayed disbursals limited its full impact. Sustained fiscal transfers and timely institutional support are essential for bridging regional disparities and achieving balanced development.
Model Question	Critically assess how post-bifurcation fiscal imbalances in Andhra Pradesh were addressed through various forms of Central aid and financial transfers.
Value Addition	Andhra Pradesh (AP) is demanding special category status (SCS) due to the economic impact of the 2014 state bifurcation, which caused a loss of its capital and revenues. While the central government has not granted SCS, it has provided a special assistance

	package as compensation for five years, primarily through externally-aided projects. This special assistance includes a higher central share for Centrally Sponsored Schemes, and concessions for the state, although it is seen as temporary compared to the permanence of SCS.
98. Explain the need for the Andhra Pradesh Capital Region Development Authority Bill 2014 and describe its salient features. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Central Assistance and issues of conflict after bifurcation of the State
Keyword	Explain, Describe
Approach	• Explain the need for a new capital post-bifurcation and the rationale for planned urban development. • Describe salient features such as planning jurisdiction, Amaravati development model, land pooling scheme, and institutional structure. • Mention its role in coordinated urban growth and later governance implications.
Introduction	After the bifurcation of Andhra Pradesh in 2014, the residual state was left without a capital city, as Hyderabad was allocated to Telangana. To ensure planned urban development and integrated regional growth, the Andhra Pradesh Capital Region Development Authority (CRDA) Bill, 2014, was enacted to establish a statutory body for the development of the new capital, Amaravati.
Body & Infographic Representation	**Need for the CRDA Bill, 2014** • **Absence of Administrative Capital:** Post-bifurcation, Andhra Pradesh urgently required a functional capital to house government institutions and facilitate administrative decentralisation. • **Planned and Sustainable Urbanisation:** To avoid unplanned sprawl and environmental degradation, there was a need for scientific urban planning following global standards, inspired by cities like Singapore and Putrajaya. • **Economic and Regional Equity:** The capital was envisioned as a growth pole promoting equitable development across the state, particularly benefiting Krishna and Guntur districts. • **Legal and Institutional Framework:** The CRDA Bill aimed to provide a statutory mechanism for land pooling, infrastructure development, and governance coordination among local bodies and state departments. **Salient Features of the CRDA Bill, 2014** • **Establishment of CRDA:** ✓ Constituted under Section 4, headquartered at Amaravati, to plan, coordinate, execute, and supervise the development of the Amaravati Capital Region. • **Capital City Area:** ✓ A 217.23 sq. km core capital area within the larger capital region designated for administrative and urban functions. • **Land Pooling Scheme (LPS):** ✓ A pioneering voluntary land pooling model, wherein farmers voluntarily surrendered land for urban development in return for developed plots and annuity payments. ✓ By 2016, about 33,000 acres were pooled from over 24,000 farmers. • **Master Plan and Development Control:** ✓ CRDA was empowered to prepare Perspective, Master, and Infrastructure Plans, integrating land use, transport, housing, and environment. • **Transparency and Public Participation:** ✓ The Act mandated citizen consultations and the use of GIS-based monitoring for planning and implementation transparency.

	• **Financial Autonomy:** ✓ CRDA could raise funds through bonds, PPPs, user charges, and central/state grants for capital development projects.
Conclusion	The CRDA Bill, 2014 provided the institutional and legal backbone for constructing a world-class, sustainable capital for Andhra Pradesh. By combining innovative land policies and participatory planning, it represented a crucial step toward balanced regional development and modern urban governance.
Model Question	Discuss the objectives behind the establishment of the Andhra Pradesh Capital Region Development Authority and analyse its key provisions for planned urban growth.
Value Addition	The Greenfield Capital City of Andhra Pradesh, Amaravati, was conceived after the 2014 bifurcation to provide the residuary state with a planned administrative, economic, and cultural center. Envisioned as a world-class, sustainable, and inclusive city, it aimed to embody features of smart urban infrastructure, efficient governance, and environmental balance. Developed along the Krishna River in Guntur and Krishna districts, Amaravati was planned over 217 sq. km within an 8,603 sq. km Capital Region under the CRDA Act, 2014. The project followed the land pooling model, where nearly 33,000 acres were voluntarily contributed by farmers, representing one of India's largest participatory urban initiatives. Despite implementation challenges and funding delays, Amaravati remains a symbol of planned urbanization and post-bifurcation regional aspiration for Andhra Pradesh.
99. Write notes on: (i) Debt composition of Andhra Pradesh government (ii) Tax revenue and other resource inflows into Andhra Pradesh government from the Central government. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Central Assistance and issues of conflict after bifurcation of the State
Keyword	Write notes on
Approach	• Define public debt and revenue sources for AP. • (i) Classify debt: internal, loans from GOI, and public account; (ii) Explain central inflows: tax devolution, grants-in-aid, centrally sponsored schemes. • Link both to fiscal stability and resource mobilisation efficiency.
Introduction	Public debt and intergovernmental fiscal transfers are key determinants of a state's financial health. In the case of Andhra Pradesh, both debt composition and Central resource inflows significantly shape fiscal sustainability, especially after bifurcation in 2014, when the state faced structural revenue deficits and high developmental needs.
Body & Infographic Representation	**Debt Composition of Andhra Pradesh Government** • **Structure of Public Debt:** ✓ The total debt of Andhra Pradesh comprises internal debt, loans from the Central government, and public account liabilities. ✓ Internal debt includes market borrowings, special securities, and loans from financial institutions like NABARD and NSSF. • **Fiscal Indicators:** ✓ The Debt–GSDP ratio rose from 22.3% in 2014–15 to 32.4% in 2019–20, breaching the FRBM target of 25%, showing a growing reliance on borrowings for capital expenditure and welfare schemes. • **Composition Trends:** ✓ The share of market loans has been rising, reflecting increasing dependence on open-market borrowings due to declining central loans and high fiscal pressures. **Tax Revenue and Other Resource Inflows from the Central Government** • **Share in Central Taxes:** ✓ Based on the 14th Finance Commission recommendations, the states' share in central taxes was increased from 32% to 42%, enhancing AP's fiscal space.

	✓ AP received ₹1,69,969 crore in tax devolution between 2015–20. • **Grants-in-Aid and Centrally Sponsored Schemes (CSS):** The state received grants for rural development, health, education, and infrastructure. • **Other Central Inflows:** ✓ Special assistance for revenue deficit compensation, backward districts, and Amaravati capital development was sanctioned under the Andhra Pradesh Reorganisation Act, 2014, further supplementing fiscal resources.
Conclusion	The debt profile of Andhra Pradesh reveals a growing reliance on market borrowings, reflecting fiscal stress, while central tax devolution and grants remain vital to bridge resource gaps. Strengthening internal revenue mobilization and ensuring judicious debt management are crucial for long-term fiscal stability and sustainable growth.
Model Question	Examine the structure of public debt in Andhra Pradesh and outline the major fiscal transfers received from the Central government through tax devolution and grants.
Value Addition	Grants-in-Aid are financial transfers from the Union Government to the States aimed at addressing fiscal imbalances and promoting equitable development. Recommended by the Finance Commission under Article 275 of the Constitution, these grants help states meet revenue deficits, support centrally sponsored schemes, and fund specific-purpose projects like health, education, and infrastructure. These transfers ensure vertical and horizontal equity in federal finance, enabling states with lower revenue-raising capacity to maintain essential public services. Hence, grants-in-aid serve as a vital instrument of cooperative fiscal federalism and balanced regional growth in India.
100. Briefly give an account of revenue and fiscal deficits and the debt positions of Andhra Pradesh for the last five years (since 2014-15). (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Management of Deficits
Keyword	Briefly give an account
Approach	• Define revenue and fiscal deficits; mention FRBM targets for context. • Present trends in revenue/fiscal deficit, debt-GSDP ratio, and borrowing patterns with data. • Comment on fiscal consolidation measures and the sustainability of debt position.
Introduction	After the bifurcation of Andhra Pradesh in 2014, the residuary state inherited limited revenue sources but large committed expenditures, leading to persistent fiscal imbalances. The trends in revenue deficit, fiscal deficit, and debt position since 2014–15 reveal the state's struggle to achieve fiscal stability while pursuing developmental priorities.
Body & Infographic Representation	**Revenue Deficit Trends (2014–15 to 2019–20)** • **Definition:** Revenue deficit indicates the excess of revenue expenditure over revenue receipts. ✓ In 2014–15, Andhra Pradesh reported a revenue deficit of ₹24,194 crore as per CAG (2015), mainly due to the loss of Hyderabad's tax base. ✓ The average revenue deficit remained above 2% of GSDP, reflecting a structural imbalance between income and expenditure. **Fiscal Deficit Trends (2014–15 to 2019–20)** • **Definition:** Fiscal deficit represents the total borrowing requirement of the government. • The fiscal deficit as a percentage of GSDP increased from 4.39% in 2014–15 to 3.8% in 2019–20, breaching the FRBM limit of 3%. • Rising capital outlays on welfare schemes, Polavaram project, and infrastructure contributed to higher deficits.

	• In absolute terms, the fiscal deficit grew from ₹23,500 crore in 2014–15 to around ₹47,000 crore in 2019–20 (Budget Estimates, GoAP). **Debt Position of Andhra Pradesh** • The outstanding debt of the state increased significantly from ₹1.68 lakh crore in 2014–15 to ₹39,684 crore in 2019–20. • The Debt–GSDP ratio rose from 22.3% (2014–15) to 32.4% (2019–20), exceeding the FRBM ceiling. • Internal debt constituted around 73% of total liabilities, with market borrowings emerging as the dominant component.
Conclusion	Over the past five years, Andhra Pradesh has witnessed persistent revenue and fiscal deficits alongside a steep rise in debt burden, driven by post-bifurcation constraints and developmental expenditure. Fiscal consolidation, enhanced tax effort, and prudent debt management are essential to ensure long-term financial sustainability.
Model Question	Analyse the trends in revenue and fiscal deficits along with the evolving debt profile of Andhra Pradesh during the post-bifurcation period (2014–2020).
Value Addition	The revenue deficit reflects the shortfall when a government's revenue expenditure exceeds its revenue receipts, indicating the need to borrow even for meeting routine expenses. In contrast, the fiscal deficit represents the overall resource gap between total expenditure (both revenue and capital) and total non-borrowed receipts, showing the government's total borrowing requirement. While revenue deficit signals dissaving and structural weakness in public finance, fiscal deficit reflects the extent of fiscal imbalance and capital formation needs. A persistent revenue deficit is more concerning as it implies borrowing for consumption rather than investment. Hence, maintaining a low fiscal deficit with a zero-revenue deficit is essential for achieving fiscal prudence and macroeconomic stability.
101. Discuss the role of the State Finance Commission in Andhra Pradesh and analyse its significance in strengthening local finances and promoting fiscal decentralisation within the state. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: State Finance Commission
Keyword	Discuss, Analyse
Approach	• Begin with the constitutional basis and purpose of the State Finance Commission in promoting fiscal decentralisation. • Explain its key functions: revenue distribution, grants-in-aid, OSR strengthening, and accountability. Highlight its significance in empowering local bodies. Then discuss implementation challenges • Conclude by stressing timely SFC reports and capacity-building for effective grassroots governance.
Introduction	The State Finance Commission (SFC) in Andhra Pradesh plays a pivotal role in operationalizing fiscal federalism by ensuring a structured and equitable flow of funds to local self-government institutions (Panchayati Raj Institutions and Urban Local Bodies). Mandated by the Constitution of India, the SFC is a crucial mechanism for strengthening local finances and promoting effective decentralised governance within the state.
Body & Infographic Representation	**The Role of the State Finance Commission in Andhra Pradesh:** • **Vertical and Horizontal Resource Distribution:** Recommending the fair and equitable distribution of the net proceeds of state taxes, duties, tolls, and fees state and local bodies and among various tiers of local governments. (e.g., Gram Panchayats, Mandal Parishads, Zila Parishads, and Municipalities). • **Determining Grants-in-Aid:** Recommending the principles for providing grants-in-aid to local bodies from the Consolidated Fund of the State. These grants are crucial for bridging the revenue gap of local bodies.

	• **Enhancing Own Source Revenue (OSR):** Suggesting measures to improve the financial position and revenue-generating capacities of local bodies. This includes recommendations on property tax collection, local levies, and user charges. • **Fiscal Management and Accountability:** Guiding local bodies in budgetary planning, fiscal discipline, and promoting transparency and accountability through proper auditing and financial reporting mechanisms. • **Reviewing Financial Position:** Regularly evaluating the financial health, performance, and functioning of local bodies to identify areas for improvement and suggest necessary reforms.  **Significance in Strengthening Local Finances and Promoting Fiscal Decentralisation:** • **Strengthening Local Finances:** ✓ **Bridging the Resource Gap:** By projecting the revenue and expenditure of local bodies on a normative basis, the SFC identifies their resource gaps and recommends measures to fill them. ✓ **Incentivising Performance:** The SFC's recommendations often include performance-based grants, encouraging local bodies to improve service delivery and fiscal management. **Promoting Fiscal Decentralisation:** • **Constitutional Mandate Fulfilment:** It ensures compliance with the 73rd and 74th Constitutional Amendments, which aim to devolve functions, finances, and functionaries to local levels of government. • **Reducing Dependence:** By recommending strategies for OSR generation, the SFC helps local bodies become more self-sufficient and less dependent on ad-hoc state government grants, thereby increasing their autonomy. • **Addressing Local Needs:** Financially empowered local governments can better address community-specific requirements, such as basic infrastructure (roads, sanitation, water supply) and public health, which are crucial for local development. **Challenges in Implementation:** • Delay in constitution and report implementation, leading to gaps in fiscal flow. • Weak tax administration capacity at the local level limits revenue mobilisation. • Influence of state-level political priorities sometimes overrides SFC recommendations.
Conclusion	The State Finance Commission in Andhra Pradesh is a vital instrument for deepening fiscal decentralisation and strengthening grassroots governance. To realise its full potential, the state must ensure timely constitution, adopt transparent implementation of recommendations, and promote capacity-building of local bodies to manage funds effectively. Strengthened local finances ultimately pave the way for inclusive and participatory development across the state.

Model Question	Analyse the major sources of revenue for Urban Local Bodies (ULBs) in Andhra Pradesh and discuss measures required to enhance their financial sustainability.
Value Addition	**Recent activities of The AP State Finance Commission:** • **Resource gap:** ✓ The 5th State Finance Commission noted that Andhra Pradesh faced financial challenges, with salaries, pensions, and interest payments exceeding the State's own revenues by 111% in 2023–24. ✓ It projected a resource gap of ₹7,033 crore for the Panchayati Raj institutions and ₹2,016 crore for the Urban Local Bodies between 2025–26 and 2029–30. It also flagged a large gap between property tax demand and actual collections. • **Central government grants:** ✓ The central government has released funds to the state under the 15th Finance Commission grants. For example, ₹410.76 crore has been released to rural bodies for local governance, sanitation, and water management. ✓ These funds will benefit all 13 District Panchayats (Zilla Praja Parishads), 650 eligible Block Panchayats (Mandal Praja Parishads) and 13,092 eligible Gram Panchayats (GPs) out of 13,327 GPs in the State.

6. Inclusive Growth: Meaning of inclusion - Causes of exclusion in India – Strategies for and instruments of inclusion: Poverty alleviation and employment, Health and Education, women empowerment, social welfare schemes – Food Security and Public Distribution System – sustainable agriculture - Integrated Rural development -regional diversification - Public and partnership for inclusive growth – Financial inclusion All Andhra Pradesh government's current schemes for inclusive growth and financial inclusion - Public Distribution system and DWCRA

102. Elaborate on the meaning of Inclusive Growth in the context of the Indian economy. Discuss the key strategies and instruments that can be employed to foster greater inclusion and ensure that the benefits of economic growth reach all sections of society. (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Inclusive Growth
Keyword	Elaborate, Discuss
Approach	• Define inclusive growth: growth with equity, ensuring benefits to all sections. • Discuss strategies: social sector investment, skill development, financial inclusion, infrastructure, MSME support, targeted subsidies. • Conclude with the need for sustainable and equitable policies.
Introduction	Inclusive growth refers to economic growth that creates opportunities for all sections of society and ensures equitable distribution of its benefits. In the Indian context, it means bridging regional, social, and gender disparities while sustaining high growth. It has become central to planning and policy, especially after rising inequalities post-liberalisation.
Body & Infographic Representation	**Meaning of Inclusive Growth:** • Growth that is broad-based across regions, sectors, and communities. • It ensures equity, employment, and empowerment along with efficiency. • Example: Despite India's GDP estimated real growth averaging of 8.2% in 2023–24, inequality persists—top 10% hold 77% of national wealth (Oxfam 2023)—highlighting the need for inclusive strategies. **Key Strategies and Instruments for Inclusive Growth:** • **Agricultural and Rural Development:** ✓ Investment in irrigation, rural infrastructure, and crop diversification. ✓ Schemes like PM-KISAN and PMGSY boost rural incomes and connectivity. • **Employment and Skill Development:** ✓ Focus on labour-intensive sectors (MSMEs, textiles, construction). ✓ Skill India Mission and MUDRA loans enhance employability and entrepreneurship.

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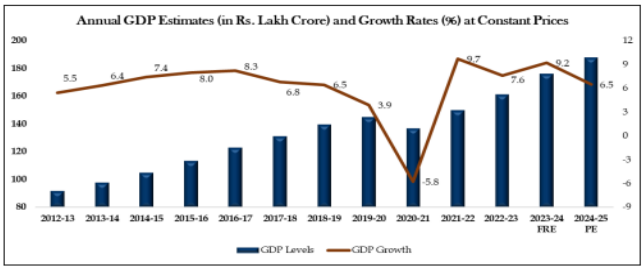
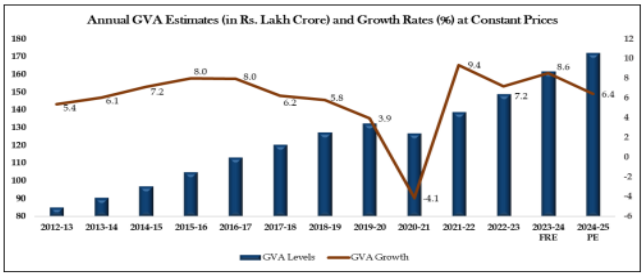
- **Social Sector Investment:**
  - ✓ **Education**: Samagra Shiksha Abhiyan, NEP 2020, focuses on quality.
  - ✓ **Health:** Ayushman Bharat covering 50 crore people ensures affordable healthcare.





- **Financial Inclusion:**
  - ✓ PM Jan Dhan Yojana opened 56.16 crore bank accounts by august 2025, expanding credit and savings.
  - ✓ Digital inclusion through UPI fosters access to financial services.
- **Targeted Welfare and Social Protection:**
  - ✓ Direct Benefit Transfers (DBT) reduce leakages.
  - ✓ Food security via NFSA 2013 benefits 80.67 crore people in 2024.
- **Regional Balance and Infrastructure:**
  - ✓ Investment in aspirational districts, the North-East, and backward states.
  - ✓ Public-private partnerships in infrastructure expand access to roads, power, and the internet.

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<tr><td>Conclusion</td><td>Inclusive growth is essential for translating macroeconomic gains into improved human well-being. India's policies must integrate growth with equity through social investment, rural empowerment, and financial inclusion. Only then can sustainable development reach the marginalised and ensure social justice.</td></tr>
<tr><td>Model Question</td><td>Define the concept of Inclusive Growth. Critically analyse the policy instruments and institutional mechanisms required to ensure that the benefits of economic growth percolate to the marginalised sections.</td></tr>
<tr><td>Value Addition</td><td>

Features of PM-KISAN

- Under PM-KISAN, eligible farmer families receive income support of Rs.6000 annually, distributed in three equal instalments of Rs.2000 each.
- The scheme ensures that funds are directly transferred to beneficiaries' bank accounts to promote transparency and reduce delays.
- All landholding farmers' families who have cultivable land holdings in their names are eligible to get benefits under the scheme.
- For this scheme, a farmer "family" consists of the husband, wife, and any minor children.
- The responsibility to identify eligible farmer families rests with State Governments and Union Territory (UT) administrations, following the scheme's guidelines.
- The Department of Agriculture and Farmers Welfare (DA&FW) of the Ministry of Agriculture and Farmers Welfare is the implementing agency.
- The DA&FW works with the Department of Agriculture of all the states and union territories to implement the scheme.
- The government linked the Kisan Credit Card with PM-KISAN to streamline farmers' access to formal credit, reduce documentation, and make loan processing faster using existing beneficiary data.

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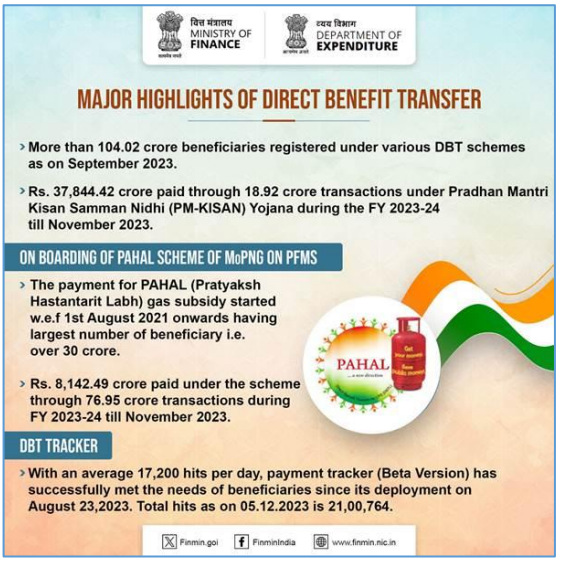
103. Discuss the significance of Social Welfare Schemes in promoting inclusive growth in India. Analyse the key objectives and features of some major social welfare schemes and evaluate their effectiveness in reaching vulnerable populations and reducing inequalities. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Inclusive Growth
Keyword	Discuss, Analyse, Evaluate
Approach	• Begin with the idea of inclusive growth and why welfare schemes are essential in India. • Discuss how these schemes reduce poverty, support livelihoods, and build human capital. Use key schemes (MGNREGS, PMJDY, NFSA) as examples. Evaluate their effectiveness and challenges. • Conclude by emphasizing continuous reform for equitable development.
Introduction	Social welfare schemes in India are critical instruments for achieving inclusive growth, a development strategy aimed at ensuring that the benefits of economic progress reach all segments of society, especially the poor and marginalised. These schemes are designed to address historical inequalities, provide a social security net, and enhance the capabilities of vulnerable populations.
Body & Infographic Representation	**Significance of social welfare schemes in promoting inclusive growth:** • **Poverty reduction and consumption security:** Schemes such as the Public Distribution System under the National Food Security Act (NFSA) and subsidised cooking gas lower basic consumption insecurity for millions. • **Employment and livelihood support:** Programmes like MGNREGA provide guaranteed wage work and act as a rural safety net that stabilises incomes during agricultural lean seasons. • **Human capital development:** Schemes for health (Ayushman Bharat), nutrition and early childhood (ICDS), and education (Samagra Shiksha) invest in long-term productivity and intergenerational mobility. • **Financial inclusion and access to services:** Initiatives such as Pradhan Mantri Jan Dhan Yojana (PMJDY) and DBT (Direct Benefit Transfer) reduce transaction costs and leakages, bringing the poor into formal systems. • **Reducing inequality:** Targeted transfers and affirmative benefits (scholarships, pensions, housing support) compress inequality by shifting resources to disadvantaged groups. **Key Objectives and Features of Major Schemes:** • **Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS):** ✓ **Objective:** To provide a legal guarantee of 100 days of wage employment in a financial year to adult members of any rural household willing to do public manual work. ✓ **Features:** Demand-driven, legally backed employment guarantee, focus on creation of durable assets (e.g., water conservation structures, rural roads), and a minimum wage provision. ✓ Example: During the COVID-19 pandemic, MGNREGS acted as a crucial safety net, providing income support to millions of migrant workers who returned to their villages. • **Pradhan Mantri Jan Dhan Yojana (PMJDY):** ✓ **Objective:** To ensure access to financial services, namely basic savings & deposit accounts, remittance, credit, insurance, and pension in an affordable manner. ✓ **Features:** Zero balance accounts (Basic Savings Bank Deposit Accounts), RuPay Debit card with in-built accident insurance cover, and an overdraft facility. ✓ Example: This scheme has been instrumental in the direct benefit transfer (DBT) of subsidies and welfare payments, reducing leakages and ensuring money reaches beneficiaries directly.

	• **National Food Security Act (NFSA), 2013:** ✓ **Objective:** To provide food and nutritional security by ensuring access to an adequate quantity of quality food at affordable prices. ✓ **Features:** Legal entitlement to subsidised food grains (rice, wheat, coarse grains) for up to 75% of the rural population and 50% of the urban population. ✓ Example: The Pradhan Mantri Garib Kalyan Anna Yojana (PMGKAY) provided free food grains to NFSA beneficiaries during the pandemic, a significant measure to prevent hunger.  **Evaluation of Effectiveness in Reaching Vulnerable Populations and Reducing Inequalities:** • **Reach:** Schemes like NFSA and MGNREGS have a vast reach, covering hundreds of millions of people. PMJDY has facilitated the opening of over 500 million bank accounts, significantly enhancing financial inclusion. • **Reducing Inequalities:** These schemes have a progressive impact, disproportionately benefiting the poor and reducing consumption inequality. They enhance the bargaining power of the poor, especially women, and improve nutritional outcomes. • **Challenges:** Despite progress, challenges remain, including implementation bottlenecks, corruption, leakage, identification errors (exclusion of genuine beneficiaries), and a lack of awareness. The quality of assets created under MGNREGS is also a point of concern.
Conclusion	Social welfare schemes are indispensable for India's inclusive growth agenda. While challenges in their execution need continuous attention and reform, their role in creating a fairer society, protecting the vulnerable, and building human capital is undeniable
Model Question	Discuss the role of targeted social protection programmes in reducing multi-dimensional poverty in India.
Value Addition	**Key objectives & features of selected major schemes:** • **Ayushman Bharat – Pradhan Mantri Jan Arogya Yojana (PM-JAY)** ✓ Objective: Provide health insurance cover to poor and vulnerable families for secondary/tertiary care. ✓ Features: Cashless treatment at empanelled hospitals, defined benefit cover per family per year. • **Pradhan Mantri Awas Yojana (PMAY-U & G)** ✓ Objective: "Housing for All" through subsidies, beneficiary-led construction and slum redevelopment. ✓ Features: Interest subsidy, beneficiary identification, convergence with sanitation and electrification. • **ICDS (Integrated Child Development Services)** ✓ Objective: Improve nutrition and early childhood development. ✓ Features: Anganwadi centers providing supplementary nutrition, preschool education and referral services.

104. Examine the concept of 'Financial Inclusion' and its critical role in fostering inclusive growth in India. Discuss the key initiatives undertaken to promote financial inclusion and evaluate their impact on bringing the unbanked and underbanked populations into the formal financial system. (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Inclusive Growth
Keyword	Examine, Discuss, Evaluate
Approach	• Begin with a clear definition of financial inclusion and link it to inclusive growth. • In the body, explain its significance in poverty reduction, productivity, DBT efficiency, and women's empowerment. Then describe key initiatives like PMJDY, JAM, MUDRA, BC model, and digital payments. Evaluate achievements and limitations such as dormant accounts and credit gaps. • Conclude by stressing the shift from mere access to meaningful usage.
Introduction	Financial Inclusion is defined as the process of ensuring access to appropriate financial products and services, including basic savings or current accounts, timely and adequate credit, remittances, insurance, and pensions, at an affordable cost to all segments of society, particularly the vulnerable groups and low-income populations. It is not merely about opening bank accounts, but about the effective and sustained usage of a range of financial services.
Body & Infographic Representation	**Why financial inclusion matters for inclusive growth:** • **Poverty reduction & consumption smoothing:** Access to savings and credit helps households cope with shocks (medical, crop failure) without catastrophic asset sales. • **Productive investment:** Micro-credit and small loans finance entrepreneurship and farm inputs, raising productivity and incomes. • **Efficient transfers & reduced leakages:** Formal accounts enable Direct Benefit Transfer (DBT), lowering leakages in subsidies and welfare. • **Women's empowerment:** Financial access strengthens women's control over resources and decision-making. **Key initiatives to promote financial inclusion:** • **Pradhan Mantri Jan Dhan Yojana (PMJDY, 2014):** Universal no-frills bank accounts with RuPay debit cards, accidental insurance and overdraft facilities. ✓ Example: Over the first five years millions of zero-balance accounts were opened, providing entry points to formal finance. • **Aadhaar & JAM (Jan Dhan–Aadhaar–Mobile):** Biometric identity plus bank accounts and mobile numbers enabled targeted DBT and KYC simplification. ✓ Example: LPG subsidy transfers to beneficiaries' bank accounts reduced ghost beneficiaries. • **Micro Units Development & Refinance Agency (MUDRA) and priority sector lending:** Loans to micro/small enterprises via banks and NBFCs (Shishu, Kishore, Tarun categories). • **Business Correspondents (BCs) and fintech:** Doorstep banking through BCs, and mobile wallets/UPI expanding digital payments in rural areas. • **Small Finance Banks & Payments Banks:** Designed to reach underserved areas with tailored products. • **Financial literacy and insurance schemes:** Atal Pension Yojana, Pradhan Mantri Suraksha Bima Yojana, and financial literacy drives. **Evaluation of impact:** • **Positive outcomes:** ✓ Account penetration: Massive increase in formal accounts — PMJDY dramatically raised account ownership, creating a banking touchpoint for many previously unbanked.

	✓ Improved subsidy delivery: JAM reduced intermediaries and leakages; DBT improved timeliness of transfers. ✓ Digital payments & convenience: UPI and mobile banking have lowered transaction costs and expanded merchant acceptance even in small towns. • **Limitations & challenges:** ✓ Dormant accounts & low usage: Many newly opened accounts remain inactive or hold small balances; ownership ≠ meaningful access. ✓ Credit gap continues: Formal credit for micro-enterprises remains limited; MUDRA helped but non-performing assets and collateral needs constrain scaling. ✓ Infrastructure & last-mile: BC network, internet connectivity and cash logistics remain weak in remote areas. ✓ Financial literacy & trust: Lack of awareness leads to under-utilisation and vulnerability to fraud; gender and regional gaps persist.
Conclusion	India's focused efforts have made significant strides in banking the unbanked. The journey from account access to genuine financial empowerment is ongoing, but financial inclusion is undeniably accelerating the pace of inclusive growth and economic development in the country.
Model Question	Discuss the significance of digital financial services in advancing financial inclusion in India. Evaluate the challenges faced in ensuring secure and equitable access to digital finance across rural and urban regions.
Value Addition	**UNION BUDGET 2024-25: BOOST TO INCLUSIVE DEVELOPMENT & SOCIAL JUSTICE** • **Purvodaya:** Industrial node in Gaya and worth ₹21,400 crore power projects for development of Eastern India • Special support of ₹15,000 crore for Andhra Pradesh, new industrial nodes in Kopparthy and Orvakal • Over ₹3 lakh crore allocated for women-centric schemes • Pradhan Mantri Janjatiya Unnat Gram Abhiyan to benefit 5 crore tribal people across 63,000 villages • 100 new India Post Payment Bank branches to boost financial inclusion in North East.

105. Detail the key four pillars, the project components, beneficiaries and key result indicators of Andhra Pradesh rural inclusive growth project. (APPSC, 2016)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Inclusive Growth
Keyword	Detail
Approach	• Begin with a brief introduction explaining APRIGP's purpose and link to rural poverty reduction. • Then, structure the body around the four core pillars: value chain development, human development, access to entitlements, and technical assistance/ICT,

	explaining each with examples. Highlight the beneficiary groups and key measurable outcomes. • Conclude by emphasizing the project's integrated approach combining livelihoods, services, and social protection for inclusive rural growth.
Introduction	The Andhra Pradesh Rural Inclusive Growth Project (APRIGP), a World Bank-supported initiative, aimed to reduce rural poverty by enabling poor households to enhance their incomes and increase access to essential human development services and social entitlements. The project was structured around four core pillars, which were implemented through distinct components
Body & Infographic Representation	**The Four Key Pillars / Project Components:** • **Value Chain Development (Livelihood Development) :** ✓ This pillar focused on enhancing agricultural incomes for small and marginal farmers. ✓ The key activities included strengthening rural value chains, improving productivity through better agricultural practices (e.g., selecting suitable varieties, water efficient techniques), enhancing market access, and strengthening producer organizations (POs) like Farmer Producer Organizations (FPOs). • **Human Development:** ✓ This component focused on improving the health, nutrition, and sanitation behaviours and outcomes of the target population. ✓ Activities included community monitoring, strengthening the training architecture for frontline health and nutrition workers, and integrating Management Information Systems (MIS) at the village level to monitor health and nutrition indicators. • **Access to Entitlements (Social Protection):** ✓ This pillar aimed to improve access to social safety net programs and government entitlements for poor households. ✓ This involved streamlining the delivery of benefits such as wages from the National Rural Employment Guarantee Scheme (MGNREGS), pensions, and insurance benefits. ✓ It often involved the establishment of "One-Stop Shops" (OSS) to facilitate access to these services.

Table 1 Selected Indicators of Human Development across Southern States of India

States	PCI(2004-05)	MPCE (Rural)	Poverty (2004-05)	L E B (2012)	IMR – Rural(2011)	Rural Literacy (2011)	Schooling (2009-10)
India	38005	953.05	27.5	62.3	48	67.8	89.1
AP	42710	1090.28	15.8	64.4	47	60.4	94.7
Kerala	53427	1765.14	15.0	74.0	13	93.0	98.8
Karnataka	41545	887.86	25.0	65.3	39	68.7	95.6
Tamilnadu	56461	1017.07	22.5	66.2	24	73.5	98.9

Note: 1. PCI – Per Capita Income (in Rs.) in constant prices. MPCE- Monthly Per Capita Expenditure (in Rs.) NSS 68th Round; Poverty – percentage of poor persons below poverty line; L E B – Life Expectancy at birth (in years); IMR – Infant Mortality Rate (per 1000 live births); 2. Literacy is percentage of 7+ population being literates; Schooling – percentage of 5-14 age group children attending school; Poverty – Planning Commission of India; LEB – Sample Registration System (SRS) 2012; IMR – SRS (2012); MPCE and Poverty – NSS 66th round, Literacy (Census 2011), Schooling – NSS 66th round EUS (2009-10)

	• **Technical Assistance, ICT, and Partnerships:** ✓ This component provided essential technical, informational, and logistical support across all other pillars. ✓ It included developing integrated/convergent MIS at the village level, facilitating partnerships with line departments and private sector entities, and providing necessary capacity building and implementation support.

	Beneficiaries: • The primary beneficiaries of the APRIGP were selected poor households in the rural areas of the 13 districts of Andhra Pradesh. This specifically targeted: ✓ **Primary:** 250,000 targeted poor rural households (including a large share of SC/ST and the poorest quintiles) who receive PO support, livelihood grants, or health/nutrition services. ✓ **Secondary:** Producer organizations, panchayats (one-stop shops), state implementing agencies, local service providers and technical partner agencies. **Key Result Indicators:** • Increased agricultural incomes for targeted poor and SC/ST households (e.g., target of 30% incremental income increase). • Percentage of producers benefiting who are from SC/ST or are small/marginal farmer households. • Number of beneficiaries accessing services through the established "One-Stop Shops" (OSS). • Improved health and nutrition outcomes as measured by relevant indicators in the targeted areas.
Conclusion	By combining value-chain support with human-development services and strong systems, APRIGP sought to ensure that growth translated into measurable welfare gains for the poorest rural households not just higher yields but better incomes, health and access to entitlements. The World Bank project documents and ISRs record these targets and provide detailed indicator baselines and progress.
Model Question	Explain the key objectives, institutional framework, major components and outcomes of the Andhra Pradesh Community Managed Natural Farming (APCNF) programme.
Value Addition	**Andhra Pradesh Community Managed Natural Farming (APCNF) programme:** • The Andhra Pradesh Community Managed Natural Farming (APCNF) programme is a large-scale, government-led initiative in the Indian state of Andhra Pradesh that was launched in 2016 and was originally known as Andhra Pradesh Zero Budget Natural Farming (APZBNF). • The name was changed to APCNF in 2020 to emphasize community ownership and management, and to move away from some politically sensitive discussions around the "Zero Budget" branding. • The programme is implemented by the Rythu Sadhikara Samstha (RySS), a not-for-profit organization under the Department of Agriculture.
106. Discuss the trends in the literacy rates in Andhra Pradesh. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Inclusive Growth
Keyword	Discuss
Approach	• Start with a brief introduction highlighting the continuous improvement in literacy rates and Andhra Pradesh's position relative to the national average. • Present historical data to show the upward trend. Use recent PLFS statistics to explain the current status. Then discuss key disparities such as gender and rural–urban divide. • Conclude by suggesting the need to shift focus toward quality education and targeted interventions.
Introduction	Andhra Pradesh has demonstrated an increasing trend in its literacy rates over the decades. However, despite consistent improvement, its overall literacy rate has historically remained below the national average and is currently among the lowest in India.
Body & Infographic Representation	**Historical Context and Upward Trajectory:** • Literacy in Andhra Pradesh has seen a steady upward trend since independence. ✓ In 1961, the literacy rate was a mere 21.19%.

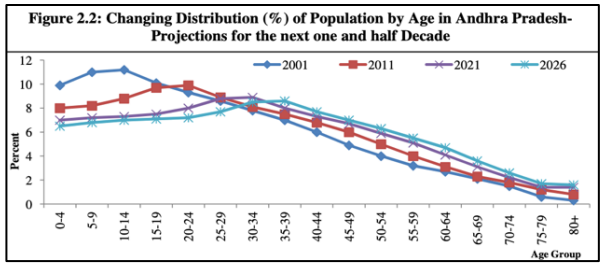
	✓ By the 2001 Census, it had increased significantly to 60.47%. ✓ The 2011 Census recorded a further increase to 67.02% (or 67.35% in the post-bifurcation state). • The sharpest improvements were observed during the 1980s and 1990s, with decadal increases of around 14 and 17 percentage points, respectively. The growth slowed down in the decade between 2001 and 2011 to about 6.6 percentage points. **Current Status and State Ranking:** • Despite the progress, the state faces challenges in keeping pace with the national average. ✓ As per the latest available data from the Periodic Labour Force Survey (PLFS) report (2024), the literacy rate in Andhra Pradesh stands at 72.6%, which is lower than the national average of 80.9%. ✓ A 2017-18 National Statistical Office (NSO) survey placed Andhra Pradesh at the bottom of the list among all Indian states with a literacy rate of 66.4%, below Bihar's 70.9% at the time. ✓ In terms of ranking among states and Union Territories, Andhra Pradesh has consistently been one of the lower-performing states. **Significant Disparities: Gender and Geography** • A prominent feature of the literacy trends in Andhra Pradesh is the presence of significant disparities: ✓ **Gender Gap:** There is a persistent gap between male and female literacy rates, although it has been narrowing over time. In 2011, male literacy was 74.88%, while female literacy was 59.15%. The latest PLFS report (2024) shows male literacy at 78.8% and female literacy at 66.8%. This gap highlights the need for continued focus on girls' education. ✓ **Rural-Urban Divide:** Urban areas consistently report much higher literacy rates than rural areas. In 2011, urban literacy was 80.09%, while rural literacy was only 60.45%. The difference between urban male literacy (85.79%) and rural female literacy (51.54%) was even more stark.
Conclusion	Andhra Pradesh's literacy story is one of clear long-run gains but incomplete transformation. While state literacy rose from under 30% in 1981 to about 67% in 2011 and an estimated 72.6% by PLFS 2023–24, substantial gender and district-level gaps persist. Policy focus should shift from mere enrolment to improving learning outcomes and adult functional literacy, with targeted district-level programmes, stronger school quality measures, and sustained efforts to raise female and rural literacy.

KERALA REMAINS AT THE TOP

Literacy rates for those aged 7 or more (%)

State/UT	Male	Female	Person	Gender Gap (% pts)
Kerala	97.4	95.2	96.2	2.2
Delhi	93.7	82.4	88.7	11.3
Uttarakhand	94.3	80.7	87.6	13.6
Himachal	92.9	80.5	86.6	12.4
Assam	90.1	81.2	85.9	8.9
Maharashtra	90.7	78.4	84.8	12.3
Punjab	88.5	78.5	83.7	10
Tamil Nadu	87.9	77.9	82.9	10
Gujarat	89.5	74.8	82.4	14.7
West Bengal	84.8	76.1	80.5	8.7
Haryana	88	71.3	80.4	16.7
Chhattisgarh	85.4	68.7	77.3	16.7
J&K	85.7	68	77.3	17.7
Odisha	84	70.3	77.3	13.7
Karnataka	83.4	70.5	77.2	12.9
Jharkhand	83	64.7	74.3	18.3
MP	81.2	65.5	73.7	15.7
Uttar Pradesh	81.8	63.4	73	18.4
Telangana	80.5	65.1	72.8	15.4
Bihar	79.7	60.5	70.9	19.2
Rajasthan	80.8	57.6	69.7	23.2
Andhra	73.4	59.5	66.4	13.9
India	**84.7**	**70.3**	**77.7**	**14.4**

Model Question	Critically evaluate the effectiveness of the 'Nadu-Nedu' scheme in transforming school infrastructure in Andhra Pradesh.
Value Addition	**Key trends in Andhra Pradesh's Gross Enrolment Ratio (GER):** • **Overall GER:** The overall GER for government schools has grown significantly, reaching 100.8% in 2023, a notable increase from the 84.48% in 2018-19. This figure is slightly above the national average of 100.13%. • **Female enrollment:** The GER for girls has seen a significant increase, reaching 11.03% in 2019-2020, surpassing the national average. • **Scheduled Castes (SC) enrollment:** The GER for SC students has also risen, reaching 7.5% in 2019-2020, which is higher than the national average. • **Secondary education:** For senior secondary education, the GER was 52.03% in 2011, which was an all-time high at that point, showing an increase from 47.53% in 2010.
107. Explain the salient features of the inclusive growth strategy of the Twelfth Five-Year Plan (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Inclusive Growth
Keyword	Explain
Approach	• Begin with a focus on "Faster, More Inclusive, and Sustainable Growth". • Outline features: poverty reduction, health & education, skill development, regional balance, women empowerment, sustainable environment. • Conclude with its role in preparing the ground for SDGs.
Introduction	The Twelfth Five-Year Plan (2012–17) was the last plan under the Planning Commission and focused on "Faster, More Inclusive and Sustainable Growth." It recognised that despite high GDP growth in the 2000s, inequality, regional imbalance, and poverty persisted. Its inclusive growth strategy sought to align economic expansion with social justice and sustainability.
Body & Infographic Representation	**Salient Features of Inclusive Growth Strategy in the 12th Plan:** • **Faster and More Inclusive Growth:** ✓ Targeted 8% GDP growth, emphasising inclusiveness in agriculture, industry, and services. ✓ Focus on backward regions and weaker social groups (SC/ST, minorities, and women). • **Poverty and Employment:** ✓ Aim to reduce poverty by 10 percentage points by 2017 through growth and targeted welfare. ✓ Expansion of Mahatma Gandhi NREGA to enhance rural livelihoods. ✓ Support for self-employment and skill development via the National Skill Development Mission. • **Social Sector Priorities:** ✓ Raise public expenditure on health to 2.5% of GDP and education to 6% of GDP. ✓ Initiatives like Rashtriya Madhyamik Shiksha Abhiyan, Sarva Shiksha Abhiyan, and National Health Mission. • **Infrastructure and Regional Balance:** ✓ Strengthen rural roads, power supply, irrigation, and urban infrastructure. ✓ Focus on Aspirational Districts, North-East, and backward states. • **Sustainability and Environment:** ✓ Inclusive growth is linked to sustainability—renewable energy, water conservation, and climate change mitigation. ✓ Emphasis on a low-carbon growth strategy. **Performance of the 12th Five-Year Plan:** ✓ GDP growth averaged between 6-6.5% (2012–17), below the 8% target.

	✓ Poverty declined, but inequalities persisted. ✓ Human development indicators improved—literacy at 74% (2011 Census), IMR fell to 37 per 1000 live births (2015)—yet goals of universal health and education were unmet.
Conclusion	The 12th Plan's inclusive growth strategy broadened the vision of development by integrating growth, equity, and sustainability. While partial success was achieved in poverty reduction and human development, gaps in health, education, and inequality remained. Its lessons shaped the later NITI Aayog's policy framework.
Model Question	Highlight the inclusive development agenda of the Twelfth Five Year Plan. How did it attempt to address regional disparities and social sector gaps in India?
Value Addition	**Components of National Health Mission** • Strengthening health systems through infrastructure, human resources, essential drugs and equipment, ambulances, mobile medical units (MMUs), and ASHAs under the National Rural Health Mission (NRHM) and National Urban Health Mission (NUHM). • Reproductive-Maternal-Neonatal-Child and Adolescent Health • Non-Communicable Diseases Control Programme interventions up to the District Hospital level • To support the salary of Auxiliary Nurse Midwife (ANM) and Lady Health Assistant (LHV).
108. Suggest suitable steps to utilise demographic dividend for the rapid economic development of Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Inclusive Growth
Keyword	Suggest
Approach	• Introduce by explaining the concept of demographic dividend as the economic benefit arising from a young and productive population in Andhra Pradesh. • Discuss how education, skill development, industrial growth, women empowerment, and digital transformation can help utilise this dividend effectively. • Conclude by emphasizing that inclusive development and employment generation are key to converting demographic potential into sustained economic growth.
Introduction	Demographic dividend refers to the economic growth potential resulting from a favorable age structure, where the working-age population is higher than dependents. Andhra Pradesh, with a young and skilled population, has the opportunity to convert this demographic advantage into sustained economic development through effective policies and human resource planning.
Body & Infographic Representation	**Present Demographic Situation in Andhra Pradesh:** • Andhra Pradesh's working-age population (15-59 years) forms about 65% of its total population. However, low female labour force participation, skill mismatch, and regional imbalances limit full utilization of this demographic potential.  Figure 2.2: Changing Distribution (%) of Population by Age in Andhra Pradesh- Projections for the next one and half Decade **Suitable steps to utilise demographic dividend for the rapid economic development of Andhra Pradesh:** • **Strengthening Education and Skill Development:** ✓ Improving the quality of primary and higher education is crucial to build a strong foundation.

	✓ Expanding skill training programs under schemes like APSSDC and aligning them with industry needs can bridge the skill mismatch. ✓ Promoting technical and vocational education in sectors such as manufacturing, logistics, and IT will enhance employability. • **Promoting Employment-Oriented Industrial Growth:** ✓ Encouraging labour-intensive sectors such as textiles, food processing, and tourism can generate large-scale employment. ✓ The creation of industrial corridors like Visakhapatnam-Chennai Industrial Corridor and promotion of MSMEs can absorb rural youth. • **Empowering Women and Marginalised Groups:** ✓ Expanding women's participation in the workforce through self-help groups, digital literacy, and entrepreneurship initiatives. ✓ Ensuring social inclusion of Scheduled Castes, Scheduled Tribes, and minorities through targeted livelihood programs enhances equitable growth. • **Leveraging Digital and Agricultural Transformation:** ✓ Promoting digital skilling and start-up ecosystems in emerging areas like AI, data analytics, and fintech. ✓ Encouraging agri-entrepreneurship and value addition in agriculture can create jobs in rural areas. • **Good Governance and Infrastructure:** ✓ Strengthening urban infrastructure, logistics, and connectivity can attract investment. ✓ Policy stability and ease of doing business will encourage youth-led entrepreneurship.
Conclusion	To effectively utilise its demographic dividend, Andhra Pradesh must focus on education, skill enhancement, industrial diversification, and inclusive policies. By transforming its youthful population into a skilled and productive workforce, the state can achieve sustainable and rapid economic development in the coming decades.
Model Question	"Examine the role of education, skill development, and entrepreneurship in transforming Andhra Pradesh's demographic potential into an engine of economic growth."
Value Addition	**India's Demographic Transition:** • India has shifted from a high fertility-high mortality to a low fertility-low mortality stage. • Working-age population (15–59 years): 48% (2011 Census); children under 14: 31%; elderly (60+): 9%. • Dependency ratio declined from 64% (2001) to 55% (2011), showing demographic dividend potential. • Economic Survey (2018–19): Dividend to peak around 2041, with working-age share reaching 59%. India's median age is 28 years, making it one of the youngest nations globally.
109. Discuss the demographic features of Andhra Pradesh and changes therein. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Inclusive Growth
Keyword	Discuss
Approach	• Introduce by explaining demography and its indicators like fertility, mortality, and sex ratio. • Discuss demographic trends population growth, literacy, fertility decline, urbanization, and gender ratio changes with supporting data. • Highlight emerging challenges such as aging and low fertility. • Conclude by stressing the need for balanced demographic policies for sustainable development.

Introduction	Demographic features reflect the composition, structure, and dynamics of a population through indicators such as fertility, mortality, sex ratio, literacy, and migration. Andhra Pradesh has witnessed remarkable demographic transformation declining fertility, improving literacy, and population stabilization—reflecting its transition from a high to a low population growth state.
Body & Infographic Representation	**DEMOGRAPHIC FEATURES OF ANDHRA PRADESH:** • **Population Growth and Density:** ✓ According to the 2011 Census, Andhra Pradesh's population stood at 84.6 million, marking a steady increase from 19 million in 1901. However, decadal growth declined from 24.2% in 1981-91 to 11.1% in 2001-2011, indicating demographic stabilization due to effective family planning and social awareness. • **Fertility and Mortality Trends:** ✓ The Total Fertility Rate (TFR) declined sharply to 1.5 (SRS 2020), below replacement level. Improved maternal healthcare, urbanization, and education contributed to this decline. Mortality rates also fell, leading to increased life expectancy and a growing elderly population. • **Sex Ratio and Child Sex Ratio:** ✓ The sex ratio improved to 993 females per 1000 males (2011), higher than the national average of 940, showing gradual improvement in gender balance. However, the child sex ratio dropped from 978 (1991) to 943 (2011), reflecting persistent gender bias and socio-cultural challenges. • **Literacy and Urbanization:** ✓ The literacy rate rose to 67% in 2011, with female literacy showing notable improvement. Urbanization has accelerated, especially around Visakhapatnam, Vijayawada, and Amaravati, reshaping population distribution and labour patterns. **Key Demographic Challenges of Andhra Pradesh:** • **Aging Population:** Rapid fall in fertility and rise in life expectancy are increasing the share of elderly, creating higher demand for healthcare and pensions. • **Declining Fertility:** Below-replacement fertility (TFR 1.5) may lead to future labor shortages and slow economic growth. • **Gender Imbalance:** The child sex ratio remains low (943 in 2011), showing continued gender bias and need for women's empowerment. • **Regional Disparities:** Coastal areas are more urbanized and developed, while Rayalaseema and tribal regions lag behind in literacy and healthcare. • **Youth Employment Issues:** Though youth population is still large, unemployment and skill mismatch affect productivity.
Conclusion	Andhra Pradesh's demographic transition signifies social progress and effective governance. However, falling fertility and aging trends demand forward-looking policies in healthcare, skill development, and gender equality. Turning this demographic shift into an opportunity can make Andhra Pradesh a model for balanced and sustainable population management.
Model Question	"Examine the implications of declining fertility and population aging on the socio-economic development of Andhra Pradesh."
Value Addition	• **Andhra Pradesh Sex Ratio 2025:** ✓ Sex Ratio in Andhra Pradesh is 993 i.e. for each 1000 male, which is below national average of 940 as per latest census. In 2001, the sex ratio of female was 978 per 1000 males in Andhra Pradesh. • **Andhra Pradesh Literacy Rate 2025:**

	✓ Literacy rate in Andhra Pradesh has seen upward trend and is 67.02 percent as per latest population census. Of that, male literacy stands at 74.88 percent while female literacy is at 59.15 percent. • **Andhra Pradesh 2025 Population:** ✓ The last census of Andhra Pradesh was done in 2011 and next census of 2021 has been postponed until 2025. But we do have projection of Andhra Pradesh 2025 Population on the basis likely Population Growth Rate. • **Andhra Pradesh Religion wise Population 2025:** ✓ Hinduism is majority religion in state of Andhra Pradesh with 88.46 % followers. Islam is second most popular religion in state of Andhra Pradesh with approximately 9.56 % following it. ✓ In Andhra Pradesh state, Christinity is followed by 1.34 %, Jainism by 0.06 %, Sikhism by 0.05 % and Buddhism by 0.05 %. Around 0.01 % stated 'Other Religion', approximately 0.48 % stated "No Particular Religion".
110. Explain the details of the "Arogya Raksha" scheme started by the Government of Andhra Pradesh. Also compare the scheme with other health insurance schemes of Andhra Pradesh. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Health and Education
Keyword	Explain, Compare
Approach	• Introduce by explaining Arogya Raksha as a universal health insurance scheme launched in 2017 for all families, including APL. • Explain its objectives, features, eligibility, and benefits like cashless treatment and affordable premiums. • Compare it with other schemes like Aarogyasri (for BPL) and EHS (for employees). • Conclude by highlighting its role in inclusive and affordable healthcare in Andhra Pradesh.
Introduction	The Arogya Raksha scheme, launched in 2017 by the Government of Andhra Pradesh, aims to provide universal health coverage to all families, including Above Poverty Line (APL) households. It offers affordable, cashless medical treatment, bridging the healthcare gap between rich and poor through an inclusive insurance mechanism.
Body & Infographic Representation	**About "Arogya Raksha" Scheme:** • Objectives and Vision: ✓ The main goal of Arogya Raksha is to extend quality healthcare to all citizens irrespective of income. It ensures financial protection from high medical costs and supports the state's goal of achieving universal health coverage. • Key Features and Benefits: ✓ Comprehensive Coverage: Covers hospitalization, surgeries, maternity, critical illnesses, and Ayurvedic treatments. ✓ Cashless Treatment: Available at both government and empanelled private hospitals. ✓ Affordable Premiums: Premiums range from ₹2,000 to ₹62,500 depending on plan type and coverage amount. ✓ Plans Offered: Plan A for young families (exit age 35 years). Plan B for middle-aged families (exit age 70 years). Plan C includes dependent parents and higher coverage. • Inclusions: Pre- and post-hospitalization expenses, ambulance charges, and daycare procedures. • Exclusions: Cosmetic surgeries, psychiatric disorders, and treatments for lifestyle-related conditions. • Eligibility and Enrolment Process:

<table>
<tr><td></td><td>
✓ All Andhra Pradesh residents both APL and BPL can enrol online through the Arogya Raksha portal or local kiosks using Aadhaar authentication. Beneficiaries receive a health card enabling access to cashless services across network hospitals.
Comparison with Other Health Insurance Schemes in Andhra Pradesh:
<table>
<tr><th>Feature</th><th>Arogya Raksha</th><th>Dr. NTR Vaidya Seva (Aarogyasri)</th><th>Employee Health Scheme (EHS)</th></tr>
<tr><td>Beneficiaries</td><td>APL families (Above Poverty Line)</td><td>BPL families (Below Poverty Line)</td><td>Government employees and pensioners</td></tr>
<tr><td>Coverage</td><td>Focus Universal and inclusive</td><td>Poor and vulnerable sections</td><td>State employees and dependents</td></tr>
<tr><td>Insurance</td><td>Type Voluntary paid health insurance</td><td>Free health coverage</td><td>Employer-funded</td></tr>
<tr><td>Coverage</td><td>Limit Rs.1 lakh – Rs.10 lakh</td><td>Up to Rs.5 lakh per family</td><td>As per treatment package</td></tr>
<tr><td>Mode of Service</td><td>Cashless treatment at network hospitals</td><td>Cashless for listed therapies</td><td>Cashless at government-approved hospitals</td></tr>
<tr><td>Implementation Model</td><td>State-run universal health plan</td><td>PPP model through Dr. NTR Vaidya Seva Trust</td><td>Managed by state health department</td></tr>
</table>
Impact and Challenges:
• Arogya Raksha helped extend healthcare to non-poor families who were earlier excluded from BPL-only schemes. However, challenges remain in premium affordability, awareness, and coordination with private hospitals for timely claim settlements.
</td></tr>
<tr><td>Conclusion</td><td>The Arogya Raksha scheme represents Andhra Pradesh's effort to move toward universal health coverage by including all income groups. While Aarogyasri and EHS cater to specific populations, Arogya Raksha bridges the remaining gap, promoting equitable access and financial security in healthcare delivery.</td></tr>
<tr><td>Model Question</td><td>Discuss the significance of the Dr. YSR Aarogyasri scheme in improving healthcare accessibility and financial protection for the poor in Andhra Pradesh. How does it contribute to achieving universal health coverage in the state?</td></tr>
<tr><td>Value Addition</td><td>
Ayushman Bharat-PM-JAY:
• Objective: To achieve Universal Health Coverage (UHC) and ensure "healthcare for all"—especially the poor and vulnerable.
• Components of Ayushman Bharat:
✓ Health and Wellness Centres (HWCs): Provide comprehensive primary healthcare (preventive, promotive, curative). Focus on NCD screening, maternal & child health, and basic drugs/diagnostics.
✓ Pradhan Mantri Jan Arogya Yojana (PM-JAY): Provides Rs.5 lakh per family per year for secondary and tertiary care hospitalization. World's largest health assurance scheme.
• Eligibility Criteria
✓ Rural: Families meeting ≥1 of these criteria — Kuccha house, no adult (16-59), female-headed households, disabled member, SC/ST, landless labourers, or automatic inclusion groups (destitute, manual scavengers, primitive tribes).
</td></tr>
</table>

	✓ **Urban:** 11 occupational categories such as ragpickers, domestic workers, street vendors, construction workers, drivers, sweepers, tailors, electricians, etc.
111. Evaluate the trends in the expenditure of Andhra Pradesh Government on health and education in the last decade. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Health and Education
Keyword	Evaluate
Approach	• Introduce by highlighting the significance of health and education in Andhra Pradesh's human development framework and fiscal policy priorities over the past decade. • Evaluate the decade-long expenditure trends using data and highlight growth patterns, sectoral shares, and flagship schemes in both health and education. • Conclude by assessing outcomes, challenges, and alignment with SDG 3 and SDG 4, suggesting strategies for efficiency, equity, and fiscal sustainability.
Introduction	Health and education are the twin pillars of human development and social justice. In Andhra Pradesh, post-bifurcation (2014), the government has progressively expanded social sector spending to strengthen welfare delivery. Evaluating a decade-long trend (2014–15 to 2024–25) reveals a consistent rise in nominal allocations but mixed progress in proportional and outcome-based terms.
Body & Infographic Representation	**Trends in the Expenditure of Andhra Pradesh Government on Health and Education in the Last Decade:** **Trends in Education Expenditure** • **Rise in Overall Outlays:** ✓ According to AP Budget 2024–25, total public expenditure on education has risen about 2.2 times since 2014–15. ✓ School education grew faster, about 2.6 times, from ₹12,004 crore in 2014–15 to around ₹31,464 crore in 2024–25, reflecting sustained focus on universal access and quality improvement. • **Current Allocations (2025–26):** ✓ ₹31,805 crore was allocated for school education and ₹2,506 crore for higher education, underlining the government's emphasis on foundational learning and vocationalisation. ✓ Flagship programmes like Amma Vodi/Talliki vandanam, Nadu-Nedu have modernized school infrastructure and incentivized enrolment. • **Share of Expenditure and GDP:** ✓ Education's share in total state expenditure stands at ~12.3% (2024–25) and ~12.1% (2025–26 BE), slightly below the average for Indian states, suggesting that while absolute allocations rose, their fiscal priority has relatively declined. **Trends in Health Expenditure:** • **Nominal Growth:** ✓ Health expenditure rose steadily from around ₹7,800 crore in 2014–15 to ₹18,421 crore (2024–25) and ₹19,264.93 crore (2025–26). ✓ This represents nearly a 2.5-fold increase in a decade. • **Share in Total Spending:** ✓ Health accounted for 6.7% of total state expenditure (2025–26 BE), slightly above the national average for states (~5.8%), indicating improved prioritization of public health. • **Focus Areas and Reforms:** ✓ Earlier Schemes like Dr. YSR Aarogyasri, Aarogya Aasara, Family Physician Programme, and new medical colleges have expanded healthcare access. ✓ In Budget 2025-26, Health sector receives Rs 19,264 crore, allocation increases by 4 per cent in Andhra Pradesh Budget.

	✓ **Universal health insurance scheme:** 2025-26 Budget mentions health coverage up to ₹ 25 lakh health insurance scheme for all residents, set to launch in the next financial year. ✓ The state also saw improved capital spending on hospital infrastructure, diagnostics, and telemedicine, aligning with NITI Aayog's *India@2047 health roadmap*. **Analytical Insights:** • **Education:** ✓ AP's expenditure surge is pro-poor, focusing on access and infrastructure. However, the learning outcome challenge persists, with the NAS 2021 showing learning gaps that call for outcome-linked financing and teacher quality investments. • **Health:** ✓ Despite rising allocations, per-capita public health spending (around ₹2,400 in 2024–25) remains modest compared to southern peers like Kerala and Tamil Nadu. • **Fiscal Sustainability:** ✓ While GSDP growth (12–13% annually) creates fiscal space, rising debt and revenue constraints could limit future social-sector expansion without efficiency reforms.
Conclusion	Over the last decade, Andhra Pradesh has substantially increased spending on health and education, aligning with SDG 3 (Good Health and Well-being) and SDG 4 (Quality Education). However, declining proportional shares, regional disparities, and modest per-capita spending call for data-driven, equity-oriented, and fiscally sustainable interventions to convert budgetary expansion into measurable human development outcomes.
Model Question	Evaluate the trends in the expenditure of the Telangana Government on health and education over the last decade.
Value Addition	**Health Sector @ Telangana:** • The Telangana government has allocated ₹12,393 crore for the Health, Medical and Family Welfare department in the 2025-26 budget, marking an increase of ₹925 crore (8% increase) from the previous year's allocation of ₹11,468 crore. • The allocation also surpasses the ₹12,161 crore budgeted by the BRS government in 2023-24. • As per Telangana socio-economic outlook, released by the Planning department highlighted that as of January 2025, a total of 2.92 lakh beneficiaries have availed medical benefits under the Rajiv Aarogyasri scheme since December 2023, when the government doubled the annual health insurance limit from ₹5 lakh to ₹10 lakh per family. • The report also noted that institutional deliveries in Telangana stand at 97%, contributing to safer childbirth and improved maternal and neonatal healthcare outcomes.
112. Discuss the measures taken by the Government to improve education and health status in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Health and Education
Keyword	Discuss
Approach	• Begin by introducing that Andhra Pradesh has prioritized human capital development through reforms in education and health sectors. • Discuss education measures such as Mana Badi Nadu-Nedu, Amma Vodi, Vidya Deevena, and digital learning initiatives to enhance access and quality.

	• Explain health measures like Dr. NTR Vaidya Seva, Health Nadu-Nedu, new medical colleges, and Sanjeevani project. • Conclude by highlighting that these initiatives promote inclusive and equitable social development.
Introduction	The Government of Andhra Pradesh has undertaken several initiatives to improve education and health outcomes, ensuring equitable access and quality service delivery. Through welfare-oriented schemes, infrastructure modernization, and digital transformation, the state aims to build a strong human capital base and enhance citizens' overall well-being.
Body & Infographic Representation	**Measures to Improve Education in:** • **Infrastructure Development:** The Mana Badi-Mana Bhavishavthu programme has revamped school infrastructure by providing toilets, drinking water, furniture, smart classrooms, and compound walls. • **Financial Support to Students:** Schemes like Thalliki Vandanam provide Rs.15,000 annually to mothers to ensure children's attendance. Vidya Deevena and Vasathi Deevena offer full fee reimbursement and hostel fee aid for higher education students. • **Curriculum and Quality Improvement:** The state has integrated digital classrooms and partnered with educational technology platforms to improve learning. Curriculum reforms under the NEP 2020 aim to promote vocational and skill-based learning. • **Monitoring and Accountability:** The One School, One App and school star-rating system enhance transparency and continuous performance tracking. **Measures to Improve Health:** • **Universal Health Coverage:** The Dr. NTR Vaidya Seva provides cashless treatment up to ₹25 lakh for poor families, covering over 1.43 crore households. • **Healthcare Infrastructure:** The Health Nadu-Nedu programme modernizes hospitals; 10 new medical colleges have been sanctioned under the PPP model to expand access to medical education and services. • **Preventive and Emergency Services:** Under the Sanjeevani project, rural health camps, ambulance services, and digitized medical records for six crore residents improve service delivery. • **Employee Health Scheme (EHS):** Offers cashless care and post-hospitalization benefits for government employees and pensioners.
Conclusion	Through integrated schemes in education and health, Andhra Pradesh is fostering inclusive human development. The combination of infrastructure investment, welfare measures, and digital governance reflects the state's commitment to achieving Sustainable Development Goals and building a more equitable and healthy society.
Model Question	"Evaluate the role of welfare and infrastructure initiatives in enhancing human development indicators in Andhra Pradesh, with special reference to education and healthcare sectors."
Value Addition	**Important Educational Schemes in Andhra Pradesh:** • Thalliki Vandanam • Sarvepalli Radhakrishnan Vida Mitra • Dokka Seethamma Madhvana Bad Bhojanam • Mana Badi - Mana Bhavishavthu • Abdul Kalam Prathibha Puraskaram

113. Critically examine the major poverty alleviation and employment generation programmes in India. How effective have they been in addressing rural and urban poverty? (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Critically Examine, How
Approach	• Briefly highlight poverty as a persistent developmental challenge and the rationale for targeted schemes in India. • Classify programmes into rural (MGNREGA, NRLM, PMAY-G) and urban (NULM, PM-SVANidhi, PMAY-U), assess their effectiveness with data, and critically examine limitations (wages, delays, skill mismatch, execution gaps). • Provide a balanced judgment—schemes have reduced poverty but structural reforms, convergence, and stronger implementation are essential for sustainable impact.
Introduction	Poverty alleviation has been at the core of India's development planning since Independence. Successive governments have introduced a range of self-employment, wage employment, skill development, and housing schemes to reduce rural and urban poverty. While these programmes have achieved significant results, their effectiveness remains uneven.
Body & Infographic Representation	**Major Rural Programmes:** • **Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA, 2005)** ✓ Provides a legal guarantee of 100 days of unskilled wage employment to rural households. ✓ Has created durable assets like roads, ponds, and check dams while enhancing rural consumption. ✓ However, delays in wage payments and low wage rates reduce its impact. • **Deendayal Antyodaya Yojana – National Rural Livelihood Mission (DAY-NRLM)** ✓ Focuses on organizing rural poor women into Self-Help Groups (SHGs) for credit, skill development, and enterprise promotion. ✓ Over 10 crore women across 90 lakh SHGs have been mobilized, improving financial inclusion and entrepreneurship. • **Pradhan Mantri Awas Yojana – Gramin (PMAY-G)** ✓ Aims to provide pucca houses with basic amenities to rural households. ✓ As of July 2025, more than 2.8 crore houses have been completed, reducing rural housing poverty. **Major Urban Programmes:** • **Deendayal Antyodaya Yojana – National Urban Livelihood Mission (DAY-NULM)** ✓ Provides skill training, employment through self-help groups, and shelters for the urban homeless. ✓ Implementation, however, remains inconsistent across states. • **Pradhan Mantri Street Vendor's AtmaNirbhar Nidhi (PM-SVANidhi)** ✓ Extends micro-credit loans to urban street vendors, enabling them to revive livelihoods post-COVID-19. ✓ Benefited around 68 lakh vendors with loans and working capital support, but coverage of informal workers is still limited. • **Pradhan Mantri Awas Yojana – Urban (PMAY-U)** ✓ Seeks to achieve "Housing for All" by providing affordable housing in cities. ✓ Extended till December 2025, but project delays and land availability constraints remain challenges. **Effectiveness and Impact** ✓ **Poverty Reduction:** According to NITI Aayog, around 25 crore people exited multidimensional poverty between 2013–14 and 2022–23, partly due to these interventions. ✓ **Rural Impact:** MGNREGA stabilized rural incomes during droughts and pandemics; NRLM empowered women through SHGs.

	✓ **Urban Impact:** PM-SVANidhi promoted financial inclusion of vendors; PMAY-U improved housing access but suffered execution delays. **Challenges** ✓ Inadequate wages and delays under MGNREGA reduce credibility. ✓ Skill–job mismatch limits the impact of livelihood missions. ✓ Urban poverty remains under-addressed due to fragmented implementation. ✓ Leakages, targeting errors, and monitoring gaps reduce overall effectiveness.
Conclusion	India's poverty alleviation and employment generation programmes have delivered notable gains in rural housing, livelihoods, and women's empowerment, yet their effectiveness is constrained by structural weaknesses in implementation. To sustain poverty reduction, there is a need for better wage indexation, convergence across rural and urban schemes, improved monitoring, and capacity-building of local institutions.
Model Question	Examine the role of poverty alleviation and employment generation schemes in achieving inclusive growth in India. What challenges remain in their implementation?
Value Addition	• In 2020, NITI Aayog was identified as the nodal agency for the Multidimensional Poverty Index (MPI), responsible for constructing an indigenized index to monitor the performance of States and Union Territories. • NITI Aayog constituted an inter-ministerial MPI Coordination Committee (MPICC) including Ministries and Departments pertaining to areas such as health, education, nutrition, rural development, drinking water, sanitation, electricity, and urban development, among others. • It also included experts from the Ministry of Statistics and Programme Implementation (MoSPI) and the technical partners – United Nations Development Programme (UNDP) and Oxford Poverty and Human Development Initiative (OPHI). • As a result, a comprehensive National Multidimensional Poverty Index (MPI) for India was developed.
114. "Human Poverty Index and capability approach are two ways to understand and measure the poverty and well-being of people." Explain in brief. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Explain
Approach	• Begin by defining poverty as a multidimensional concept beyond income, citing HPI and Capability Approach. • Explain how HPI measures human deprivations, highlight its limitations, then elaborate on Sen's Capability Approach focusing on freedoms and its influence on MPI and India's welfare policies. • Conclude by stressing that multidimensional and capability-based measures provide a more holistic, people-centric understanding of poverty.
Introduction	The Human Poverty Index (HPI) and the Capability Approach represent two distinct, yet related, frameworks for understanding and measuring poverty and human well-being. While the HPI was a statistical tool used by the United Nations Development Programme (UNDP), the Capability Approach is a more philosophical and conceptual framework pioneered by economist Amartya Sen.
Body & Infographic Representation	**Human Poverty Index (HPI)** • The HPI was developed by the United Nations to offer a more holistic measure of poverty than traditional income-based indicators, and it was used in the Human Development Report from 1997 until 2010, when it was replaced by the Multidimensional Poverty Index (MPI). ✓ For developing countries (HPI-1), it measured the probability of not surviving to age 40, adult illiteracy, and lack of access to safe water, health services, and child nutrition.

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✓ For developed countries (HPI-2), it assessed survival to age 60, functional illiteracy, long-term unemployment, and relative income poverty.

Through these indicators, the HPI showed that poverty is not merely the absence of income but a denial of essential human needs such as health, education, and basic living conditions.
However, the index was limited to country-level aggregation and could not capture who the poor are or the intensity of multiple deprivations.
Consequently, in 2010 it was replaced by the Multidimensional Poverty Index (MPI), which has since been adopted by NITI Aayog in India.

Capability Approach

In contrast, the Capability Approach developed by Amartya Sen conceptualizes poverty as capability deprivation, i.e., the lack of substantive freedoms to live a life one values. It shifts focus from resources or utility to people's ability to achieve valuable "functioning" such as being nourished, educated, and secure.
This approach has influenced major global indices like the HDI and MPI and shaped policy thinking in India. Rights-based legislations such as the Right to Education Act (2009) and the National Food Security Act (2013) reflect a capability-based orientation.
Moreover, the Supreme Court of India, through Article 21 jurisprudence (Olga Tellis v. Bombay Municipal Corporation, 1985), has expanded the meaning of the right to life to include livelihood and dignity, reinforcing capability-based well-being.

Comparative Summary and Insights:
<table>
<tr><th>Feature</th><th>Human Poverty Index (HPI)</th><th>Capability Approach</th></tr>
<tr><td>Core idea</td><td>Composite index summarizing deprivations in health, literacy, and living standards</td><td>Focus on what people can do and be — their real freedoms and choices</td></tr>
<tr><td>Measurement</td><td>Fixed dimensions, fixed weights, formulaic</td><td>Flexible; context-sensitive; requires deliberation and judgments</td></tr>
<tr><td>Focus</td><td>Material and non-material deprivations (health, education, services)</td><td>Emphasizes agency, freedom, conversion, choice as part of well-being</td></tr>
<tr><td>Strength</td><td>Comparability, simplicity, indicator-based, policy relevance</td><td>Rich conceptual depth; captures diversity of human lives; values freedom and dignity</td></tr>
<tr><td>Weakness</td><td>Rigid, limited dimensions, may mask heterogeneity</td><td>Hard to operationalize, debate over which capabilities matter, data constraints</td></tr>
<tr><td>Poverty definition</td><td>Outcomes of deprivation</td><td>Lack of capabilities</td></tr>
</table>
</td></tr>
<tr><td>Conclusion</td><td>The HPI quantified multidimensional deprivations, while the Capability Approach provided a conceptual framework that poverty is a denial of freedoms. Together, they shaped modern poverty measurement through MPI and influenced India's rights-based welfare policies, making poverty assessment more people-centric and multidimensional.</td></tr>
<tr><td>Model Question</td><td>"Amartya Sen argues that poverty is a denial of basic capabilities rather than merely low income. Elucidate this view and assess its relevance for India's welfare programmes."</td></tr>
<tr><td>Value Addition</td><td>

NITI Aayog (2023): Reports that 24.8 crore Indians exited multidimensional poverty between 2013–14 and 2022–23.
Economic Survey 2022–23: Emphasises that sustainable poverty reduction requires expanding human capabilities in health, education, and living standards.

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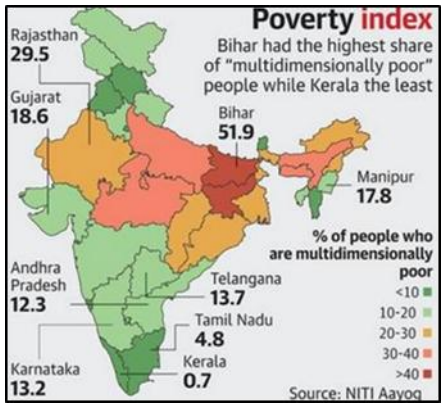
115. "Poverty reduction in different states of India has not been uniform during the post-economic reform period." Examine. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Examine
Approach	• Introduce by linking post-1991 economic reforms with overall poverty decline in India, while flagging state-level disparities. • Examine patterns of uneven reduction with data and analyze factors (growth, agriculture, policy delivery, infrastructure), and illustrate with state examples. • Conclude by highlighting partial convergence in recent years, yet stressing the need for state-specific strategies to equalize poverty reduction outcomes.
Introduction	Since 1991, poverty has fallen nationally, but the pace and pattern across states have been uneven, shaped by different growth trajectories, starting conditions, and policy delivery. Evidence from official and research sources shows both divergence in levels and recent convergence in reductions, meriting a balanced examination.
Body & Infographic Representation	**Reasons for Poverty reduction in different states of India has not been uniform during the post-economic reform period:** • **Evidence of uneven state trends (post-reform):** ✓ World Bank analysis of NSS data finds state-wise variation in both levels and speed of decline; urban poverty fell faster in better-off states, while several poorer states lagged through the 1990s–2000s (Eg: Bihar, Odisha, UP, MP), even as others (Kerala, AP, TN, West Bengal, Rajasthan) saw steeper rural declines.  • **Role of sectoral growth and urbanization:** ✓ Post-1991, urban growth became a stronger driver of poverty reduction (including spillovers to rural areas), shifting the earlier agriculture-led pattern; ✓ States with diversified non-farm growth and expanding towns reduced poverty faster. ✓ This helps explain stronger outcomes in southern/western states versus slower changes in parts of the Hindi heartland during the early reform decades. • **Consumption poverty milestones & state gaps (Tendulkar):** ✓ Official estimates show the all-India headcount ratio fell to 21.9% in 2011–12 (from 37.2% in 2004–05), but state disparities persisted, as seen in the Planning Commission's state tables. • **Recent MPI evidence—faster declines in poorer states, gaps remain:** ✓ NITI Aayog's MPI update estimates a fall in India's multidimensional poverty from 29.17% (2013–14) to 11.28% (2022–23), with Uttar Pradesh, Bihar, MP and Rajasthan recording the largest absolute reductions, indicating some narrowing of interstate disparities. ✓ Yet, states like Bihar and Meghalaya still have higher poverty shares than southern/western counterparts, underscoring non-uniform outcomes. • **Policy delivery and institutions:** ✓ Differences in PDS effectiveness, rural infrastructure, health/education, and social protection implementation (Eg: timing/coverage of sanitation, housing, electrification, bank accounts) contributed to varied state outcomes.

	✓ NSSO (68th Round, 2011–12) showed over 90% households in Tamil Nadu accessed subsidised grains, compared to less than 40% in Bihar. This directly shaped rural poverty outcomes. ✓ Central schemes improved deprivations nationally, but the extent and speed of gains depended on state capacity. • **Prices and agriculture:** ✓ Research also flags the importance of agricultural performance, infrastructure, and food-price shocks for rural poverty, factors that differed across states, reinforcing the uneven path in the 1990s–2000s. ✓ Between 2001–02 and 2011–12, Punjab and Haryana sustained 3–4% Agri growth, while Bihar and Odisha often grew below 2%.
Conclusion	Overall, post-reform poverty reduction has been real but not uniform across states: early divergence reflected sectoral and institutional asymmetries, while recent MPI trends show faster improvements in historically poorer states alongside persistent level gaps. A state-specific strategy, boosting labor-intensive non-farm growth, human capital, rural-urban linkages, and program delivery, remains central to equalizing outcomes.
Model Question	"Using recent Multidimensional Poverty Index (MPI) data, discuss how poverty reduction has varied across states and what this reveals about India's inclusive growth trajectory."
Value Addition	**India's Revised Poverty Profile (PIP 2025):** • India's latest Household Consumption Expenditure Survey (HCES) adopted the Modified Mixed Recall Period (MMRP) method, replacing the outdated Uniform Reference Period (URP). This shift: ✓ Used shorter recall periods for frequently purchased items ✓ Captured more realistic estimates of actual consumption • As a result, consumption recorded in national surveys rose, leading to a drop in poverty estimates: ✓ In 2011–12, applying MMRP reduced India's poverty rate from 22.9% to 16.22%, even under the older $2.15 poverty line. ✓ In 2022–23, poverty under the new $3.00 line stood at 5.25%, while under the older $2.15 line it dropped further to 2.35%.
116. Analyse trends in rural-urban poverty in Andhra Pradesh. What are the factors responsible for its existence? (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Analyse, What
Approach	• Introduce by mentioning the decline in poverty levels in Andhra Pradesh due to welfare and growth-oriented policies. • Analyse rural–urban trends with data showing narrowing gaps and reduced MPI values. • Explain factors like DBT, SHGs, and housing schemes aiding reduction, and persistence factors like inequality and low industrial jobs. • Conclude by emphasizing inclusive growth and sustainable poverty eradication.
Introduction	Poverty remains a key developmental challenge affecting both rural and urban populations in Andhra Pradesh. However, in recent years, the state has made notable progress in reducing poverty levels due to welfare-driven initiatives and inclusive growth policies aimed at ensuring equitable resource distribution and livelihood opportunities.
Body & Infographic Representation	**Trends in Rural-Urban Poverty in Andhra Pradesh:** • **Overall Decline:** Andhra Pradesh has shown a consistent decline in poverty, with the poverty rate reducing from 11.77% in 2015-16 to 6.06% in 2019–21, and further to 4.2% in 2023 as per NITI Aayog's Multidimensional Poverty Index (MPI). • **Rural Trends:** Rural poverty dropped sharply from 14.72% to 7.71% during 2015-21, indicating better income levels and improved rural livelihoods.

	• **Urban Trends:** Urban poverty declined from 4.63% to 2.2% in the same period due to better access to services, job opportunities, and housing programs. • **Narrowing Rural-Urban Gap:** The consumption gap between rural and urban households reduced from 53% in 2011–12 to about 35% in 2023–24, reflecting growing parity in living standards. **Factors Responsible for Poverty Reduction:** • **Welfare Schemes:** Direct Benefit Transfer (DBT) initiatives under Nava Ratnalu ensured timely cash support to marginalized households, reducing income shocks and leakages. • **Employment and Livelihood Programs:** Initiatives through Self Help Groups (SHGs), Mission for Elimination of Poverty in Municipal Areas (MEPMA), and District Rural Development Agencies (DRDA) boosted self-employment and women empowerment. • **Agriculture and Rural Infrastructure:** Enhanced investment in irrigation projects, input subsidies, and market linkages improved rural incomes and reduced agrarian distress. • **Education and Health Focus:** Programs like Mana Badi Nadu-Nedu, Amma Vodi, and Aarogyasri have improved access to social services, breaking the intergenerational cycle of poverty. • **Housing and Basic Amenities:** Schemes such as Pradhan Mantri Awaas Yojana and Pedalandariki Illu provided secure housing and sanitation, enhancing living standards. **Factors Responsible for the Persistence of Poverty:** • **Unequal Asset Distribution:** Landless laborers and small farmers remain economically vulnerable. • **Skill and Employment Mismatch:** Limited industrialization and inadequate skilling hinder formal job creation. • **Regional Disparities:** Backward districts in Rayalaseema and tribal belts lag in development indicators. • **Climate Dependence:** Drought-prone areas face agricultural instability, leading to income fluctuations.
Conclusion	Andhra Pradesh's success in reducing poverty reflects effective welfare schemes, inclusive governance, and rural development focus. Yet, challenges such as asset inequality, employment gaps, and climate vulnerability persist. Strengthening sustainable livelihoods and regional equity is vital to achieving a poverty-free Andhra Pradesh by 2030.
Model Question	"Examine the effectiveness of welfare schemes and Direct Benefit Transfer (DBT) initiatives in reducing multidimensional poverty in Andhra Pradesh."
Value Addition	**Andhra Pradesh Socio-Economic Survey 2024-25:** • The Multidimensional Poverty Index (MPI) Report 2023 recorded Andhra Pradesh's MPI score at 0.025 for 2019-21, a decline from 0.053 in 2015-16. The headcount poverty ratio in the state stood at 6.06% in 2023, compared to 14.96% nationally. In rural areas, the poverty ratio was 7.71%, while in urban areas, it was 2.20%. • Government programs such as Direct Benefit Transfers (DBT), Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS), Pradhan Mantri Garib Kalyan Yojana (PMGKY), and Self-Help Groups (SHGs) have been implemented to support poverty alleviation.
117. SERP has been playing an important role in reducing rural poverty in Andhra Pradesh." Discuss. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation

Keyword	Discuss
Approach	• Introduce by explaining that SERP (Society for Elimination of Rural Poverty) is a flagship initiative of Andhra Pradesh aimed at empowering rural communities and reducing poverty through women-led development. • Explain its role through SHG formation, skill training, livelihood promotion, financial inclusion, and social empowerment. • Conclude by noting that SERP's community-based approach has significantly reduced rural poverty and improved women's economic participation.
Introduction	The Society for Elimination of Rural Poverty (SERP) was established by the Government of Andhra Pradesh to empower rural communities through social mobilization and economic inclusion. By promoting self-help groups, livelihood programs, and financial access, SERP aims to eradicate rural poverty and ensure sustainable development.
Body & Infographic Representation	**SERP's Role in Reducing Rural Poverty:** • **Formation of Self-Help Groups (SHGs):** Over 7 lakh SHGs have been formed, mobilizing poor women for collective savings and microcredit. These SHGs have increased women's financial independence and reduced household poverty. • **Livelihood Promotion:** Through schemes like Community Managed Sustainable Agriculture (CMSA) and Non-Farm Livelihood Projects, rural families have diversified incomes beyond agriculture. • **Financial Inclusion:** SERP's bank linkage program and Direct Benefit Transfers (DBT) ensure easy access to low-interest loans and welfare benefits, reducing exploitation by moneylenders. • **Skill Development and Entrepreneurship:** SERP promotes training in tailoring, handicrafts, livestock management, and rural enterprises, improving employability and incomes. • **Social Empowerment:** Women's participation in village organizations has strengthened local governance and decision-making in rural areas. **Achievements:** • Rural poverty in Andhra Pradesh fell from 11.7% (2015-16) to around 4.2% (2023), with SERP programs contributing significantly. • Women's literacy, leadership, and asset ownership have significantly improved. • SERP-supported SHGs have improved nutrition, sanitation, and education outcomes in many rural households. **Challenges:** • **Inclusion Gap:** The Poorest of the Poor (POP), mainly SCs and STs, still require intensive support and monitoring. • **Sustainability Issues:** Many SHGs depend heavily on government funding and lack self-sufficiency. • **Market Access Constraints:** SHG products often face weak market linkages and inadequate branding or value addition. • **Capacity and Digital Gaps:** Limited managerial and digital skills among SHG members hinder competitiveness. • **Monitoring and Evaluation:** Need for stronger field-level tracking and impact assessment to ensure transparency and efficiency.
Conclusion	SERP has been a crucial driver in Andhra Pradesh's rural transformation by empowering women and promoting sustainable livelihoods. Yet, strengthening market linkages, inclusion of the poorest, and ensuring long-term sustainability are essential to make SERP's poverty reduction efforts more enduring and equitable.
Model Question	"Evaluate the role of community-based organizations in empowering rural women and alleviating poverty in Andhra Pradesh."

Value Addition	**Andhra Pradesh Poverty:** • The poverty rate in the state has come down 4.2% in 2023, declining from 11.77% in 2015-16, according to a Niti Aayog report. State government's welfare schemes played a big role. • The report criticizes traditional poverty measurement methods and highlights the importance of multidimensional poverty assessment.

118. According to the Economic Survey 2016 – 17, Universal Basic Income (UBI) aims at achieving Mahatma Gandhi's objective of "wiping every tear from every eye". In this backdrop, explain the concept of UBI and discuss how it is expected to achieve the stated objective. (APPSC, 2017)

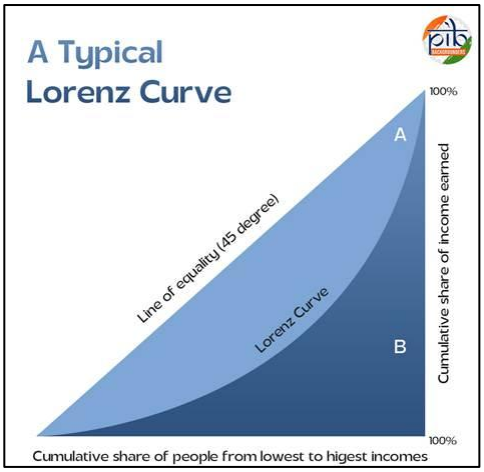
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Explain, Discuss

Approach	• Define UBI in one line as unconditional, periodic cash transfer ensuring minimum income.
	• Briefly cover –
	  • Principles (universality, unconditionality, choice)
	  • Benefits (poverty reduction, dignity, JAM-based efficiency, equity)
	  • Challenges (fiscal cost, targeting vs universality, risk of add-on)
	• Give a balanced way forward—phased pilots + subsidy rationalization can make UBI feasible for inclusive growth.

Introduction	The Economic Survey 2016–17 proposed Universal Basic Income (UBI) as a radical social security framework to achieve Mahatma Gandhi's vision of "wiping every tear from every eye". It emphasizes poverty reduction, dignity, and simplicity in welfare delivery.

Body & Infographic Representation	• **Concept of UBI**
	UBI is a periodic, unconditional cash transfer to every individual or targeted poor households, ensuring a basic minimum income.
	✓ **Core Principles:**
	  • **Universality** – covers all citizens without discrimination.
	  • **Unconditionality** – no preconditions like work requirement or means test.
	  • **Agency & Choice** – allows recipients to decide expenditure priorities.
	• **How UBI can achieve Gandhi's Objective**
	✓ **Direct Poverty Alleviation:** Provides a guaranteed income floor, reducing extreme deprivation.
	✓ **Administrative Simplicity:** By replacing multiple subsidies, it minimizes leakages and exclusion errors, especially through JAM trinity (Jan Dhan–Aadhaar–Mobile).
	✓ **Restoring Dignity:** Unlike targeted welfare, UBI empowers individuals with choice and autonomy, thereby upholding human dignity.
	✓ **Social Equity:** Helps to bridge rural-urban and gender divides by ensuring uniform access to income support.
	✓ **Economic Security:** Enables risk-taking in employment, small investments, and consumption smoothing.
	• **Preconditions for Effective Implementation**
	Robust JAM Infrastructure to ensure efficient and transparent cash transfer.
	✓ **Fiscal Space:** Careful costing and rationalization of subsidies to avoid over-burdening the exchequer.
	✓ **Phased Pilots:** Evidence-based scaling up to test feasibility and social acceptance.

	• **Challenges** ✓ **High Fiscal Cost:** A truly universal UBI could strain government finances. ✓ **Risk of Add-on:** Without restructuring existing subsidies, UBI may become an unsustainable extra burden. ✓ **Targeting vs. Universality Debate:** Need to balance inclusivity with fiscal realism.
Conclusion	UBI, if carefully designed and fiscally sustainable, has the potential to reduce poverty, enhance dignity, and empower citizens, thus aligning with Gandhi's ideal of "wiping every tear from every eye". It represents not just a welfare measure but a shift towards inclusive growth and social justice.
Model Question	"Analyze the role of JAM trinity (Jan Dhan–Aadhaar–Mobile) in making Universal Basic Income a reality in India."
Value Addition	The principles and prerequisites for successful implementation of UBI, the Economic Survey 2016-17 points out that the two prerequisites for a successful UBI are: (a) functional JAM (Jan Dhan, Aadhaar and Mobile) system as it ensures that the cash transfer goes directly into the account of a beneficiary and (b) Centre-State negotiations on cost sharing for the programme.
119. What is relative poverty? What are the reasons for its presence in India? Explain the Gini-coefficient and Lorenz curve methods of measuring relative poverty. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	What, Explain
Approach	• Define relative poverty in contrast to absolute poverty, highlighting its focus on inequality of income/consumption. • Explain reasons for relative poverty in India (Labour-market, regional, social, and urban–rural divides) and describe the Gini coefficient and Lorenz curve as key measurement tools with data examples. • Conclude by stressing that while absolute poverty is declining, relative poverty persists, requiring inclusive growth and inequality-sensitive policies.
Introduction	Relative poverty captures inequality, it counts people with income/consumption below a share of the national median (commonly 50%), unlike India's official absolute-poverty lines. India largely tracks absolute and multidimensional poverty, yet relative poverty remains policy-relevant as inequality affects welfare and inclusion.
Body & Infographic Representation	**What is relative poverty?** • A relative poverty line moves with living standards, typically 50% of median income/consumption. • It is used by international bodies (OECD/World Bank) to compare distribution-adjusted deprivation across time and countries. **Why does relative poverty persist in India?** • **Inequality in consumption:** ✓ MoSPI's latest consumption survey shows inequality eased but persists, the Gini coefficient fell from 0.266 to 0.237 (rural) and 0.314 to 0.284 (urban) between 2022–23 and 2023–24. ✓ Lower but positive Ginis imply continued relative shortfalls for the bottom. • **Labour-market structure:** ✓ India's labour market has rising participation yet large shares in low-productivity/self-employment. ✓ PLFS 2023–24 records a strong LFPR rise (male 77.5%, female 35.6%) but quality/formality gaps remain key drivers of inequality. • **Regional and social disparities:**

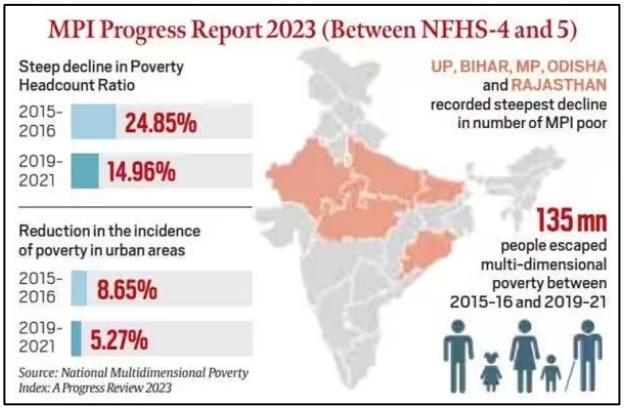
	✓ While multidimensional poverty fell sharply (headcount from 29.17% (2013–14) to 11.28% (2022–23)), reductions were uneven across states, and deprivation in education, housing and sanitation still differs, sustaining relative gaps in living standards. • **Urban–rural and skills divide:** ✓ New consumption data show higher urban MPCE and faster growth at the top, reflecting a skills/sector premium that can widen relative gaps without targeted skilling and social protection. **Measuring relative poverty: Gini coefficient & Lorenz curve** • Gini index measures the extent to which the distribution of income (or, in some cases, consumption expenditure) among individuals or households within an economy deviates from a perfectly equal distribution. • A Lorenz curve plots the cumulative percentages of total income received against the cumulative number of recipients, starting with the poorest individual or household. • The Gini index measures the area between the Lorenz curve and a hypothetical line of absolute equality, expressed as a percentage of the maximum area under the line.  • Thus a Gini index of 0 represents perfect equality, while an index of 100 implies perfect inequality. • **Lorenz curve (concept):** ✓ Plots cumulative population share (x-axis) against cumulative income/consumption share (y-axis); the 45° line is perfect equality. ✓ The farther the Lorenz curve bows below this line, the greater the inequality. • **Gini coefficient (summary statistic):** ✓ Computed from the Lorenz curve as the area between the equality line and the Lorenz curve divided by the total area under the equality line; ranges 0 (equality) to 1 (maximum inequality). ✓ Official consumption Ginis for India (HCES 2023–24): 0.237 rural, 0.284 urban. • **Policy use:** ✓ Falling Gini alongside poverty decline (MPI) signals progress, but non-zero Gini and state/urban–rural gaps highlight relative poverty pockets that require calibrated redistribution and inclusion.
Conclusion	India's official poverty has declined sharply, yet relative poverty persists through labour-market dualism, regional disparities and skills/infrastructure gaps. Using Lorenz-curve/Gini alongside absolute and multidimensional measures helps target earnings capacity (skills/formal jobs) and basic services so growth translates into broad-based gains across states and social groups.
Model Question	"India has significantly reduced absolute poverty, yet relative poverty remains a challenge. Critically evaluate this paradox in the light of recent NSSO and NITI Aayog reports."
Value Addition	**India's Global Standing in Equality:** • According to the latest World Bank data, India's Gini Index stands at 25.5. • This places India among the most equal countries in the world in relative terms.

	• India's score is much lower than China's 35.7 and far lower than the United States, which stands at 41.8. • It is also more equal than every G7 and G20 country, many of which are considered advanced economies. • India falls into the "moderately low" inequality category, which includes Gini scores between 25 and 30, and is only a fraction away from joining the "low inequality" group, which includes countries like the Slovak Republic with a score of 24.1, Slovenia at 24.3, and Belarus at 24.4.

120. Explain the possible limitations in the strategy for poverty alleviation adopted by the Government of India. (APPSC, 2016)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Explain
Approach	• Introduce by linking India's multi-pronged poverty alleviation strategy with notable achievements, while signaling persisting gaps. • Analyze limitations such as fragmented schemes, funding constraints, targeting/exclusion errors, urban safety-net gaps, informality, inflation risks, and data issues, substantiating with recent reports (Economic Survey 2024-25, PLFS, NITI Aayog MPI, Budget 2025-26). • Conclude by stressing that while progress is evident, sustained reforms, better delivery, and inclusive job creation are essential for durable poverty reduction.
Introduction	India's poverty strategy, spanning growth, rights-based entitlements (NFSA/MGNREGA), DBT, and social infrastructure, has reduced deprivations, yet limitations endure. Even as NITI Aayog's MPI shows a fall in multidimensional poverty to 11.28% (2022-23) and jobs indicators improved, uneven state capacity, price shocks, informality, and data gaps cloud sustained progress.
Body & Infographic Representation	**Possible limitations in India's poverty-alleviation strategy** • **Fragmented design; outcomes not always central.** ✓ Hundreds of schemes create overlap and coordination costs. ✓ The Outcome Budget 2025-26 tries to hard-wire outputs/outcomes, but follow-through and inter-ministerial convergence remain work-in-progress. • **Funding adequacy vs demand; payment frictions.** ✓ The 2025-26 Budget keeps MGNREGA at ₹86,000 crore; food subsidy ₹2.03 lakh crore and fertilizer ₹1.67 lakh crore are near-flat, limiting headroom in stress years. ✓ Parliamentary oversight also flags wage/material arrears and delayed payments under MGNREGA. • **Targeting/exclusion improve, but not eliminated** ✓ DBT/e-PoS sharply reduced PDS leakages, yet exclusion errors persist and estimates vary (≈10–20% leakage debated for 2023-24). ✓ Aadhaar-based payment frictions also exclude some workers in certain states. • **Urban poverty under-addressed.** ✓ India lacks a nationwide urban employment guarantee; state pilots (Eg: Rajasthan's urban guarantee) help but scale is limited.

	✓ Critiques argue for a calibrated urban safety net, particularly for women and migrants. • **Price/inflation vulnerability of the poor.** ✓ With food's weight near 46% in India's CPI, food spikes disproportionately erode poor households' real incomes; recent research also shows inflation inequality, the poor face higher effective inflation. ✓ Anti-inflation buffers and nutrition support remain crucial. • **Labour-market dualism and job quality.** ✓ PLFS shows rising LFPR and lower unemployment, but informality/self-employment remain high; quality non-farm jobs lag in several states, limiting durable exits from poverty. ✓ Example: The Labour Force Participation Rate (LFPR) in India climbed to 60.1% in 2023–24, up from 57.9% in 2022–23, meanwhile, the unemployment rate remained unchanged at 3.2%, indicating limited formal job creation to absorb rising labour supply. ✓ Example: Growth in female LFPR (to 31.7% in 2023–24) is noted, but only 15.9% of working women held salaried or contracted jobs. • **Data and measurement gaps:** ✓ India still has no official post-2011-12 consumption-poverty line; policy relies on MPI and international lines (World Bank), while the HCES 2022-23 revival is promising. ✓ Better, frequent poverty metrics are needed for targeting.



Conclusion	India's strategy achieved large gains (MPI decline, improved consumption distribution), yet constraints persist: fragmented schemes, flat real outlays in stress years, payment/targeting frictions, urban safety-net gaps, inflation risks, informality, and metrics lag. A next-gen strategy must tighten delivery and data, urbanize safety nets, and prioritize labor-intensive, productivity-raising jobs.
Model Question	"What reforms are needed in India's poverty alleviation strategy to align with the goals of inclusive growth and Viksit Bharat @2047?"
Value Addition	**Key Findings of Global MPI (2024, across 112 countries):** Released by The United Nations Development Programme (UNDP) and the Oxford Poverty and Human Development Initiative (OPHI). • 1.1 billion out of 6.3 billion people across 112 countries live in multidimensional poverty. • Nearly 40% of the 1.1 billion poor (455 million) live in countries exposed to violent conflict, hindering and even reversing hard-won progress to reduce poverty. • Over half of the 1.1 billion poor (584 million) people are children under the age of 18. • Of 86 countries with harmonized data, 76 significantly reduced poverty according to the MPI value in at least one time period.

121. What are the effective strategies for the removal of poverty? What is the experience of different anti-poverty programs in India? (TGPSC, 2016)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation

Keyword	What
Approach	• Introduce by linking poverty reduction with India's growth and welfare strategies, noting progress but persistent challenges. • Outline effective strategies (food security, public works, DBT, asset creation, capex-led growth) and then analyze experiences of key anti-poverty programs (MGNREGA, PMGKAY, PM-Kisan, MPI outcomes) with recent data. • Conclude by stressing that while schemes reduced absolute and multidimensional poverty, durable success needs job-rich growth, urban safety nets, and state-specific reforms.
Introduction	India's anti-poverty approach blends growth, human-capital investment, and rights-based safety nets (PDS/PMGKAY, MGNREGA, PM-Kisan, housing, DBT). Outcomes have improved, multidimensional poverty fell from 29.17% (2013-14) to 11.28% (2022-23), with ~24.82 crore people exiting MPI-poverty, but gaps remain in jobs quality, urban safety nets, and delivery.
Body & Infographic Representation	**Effective strategies for poverty removal:** • **Food & basic consumption security:** ✓ Universalized NFSA delivery via free food grains to ~81.35 crore beneficiaries for five years (from 1 Jan 2024) stabilizes real incomes at the bottom and cushions inflation shocks. • **Public works as shock-absorber:** ✓ MGNREGA guarantees rural wage employment and raises reservation wages; it is backed each year in the Union Budget and remains widely accessed. • **Income support to small farmers:** ✓ PM-Kisan transfers (₹6,000/year) smooth farm households' cash flows and complement crop income. • **Asset creation & basic services:** ✓ Rural housing, electrification, roads, water/sanitation and health insurance reduce multidimensional deprivations, reinforcing the MPI gains reported by NITI Aayog. • **Macro & public-investment push:** ✓ The Economic Survey 2024-25 and Budget 2025-26 emphasize high public capex (Budgeted ₹11.21 lakh crore; 3.1% of GDP) to crowd-in private investment and jobs, critical for durable exits from poverty. **Experience of India's anti-poverty programmes:** • **Scale and reach:** ✓ PMGKAY's multi-year extension anchors food security; coverage: 81.35 crore. ✓ MGNREGA remains a large safety net: ~290.6 crore person-days generated in FY 2024-25 with women's participation ~58%, indicating inclusion and counter-cyclical support. • **Targeting & leakages:** ✓ Digitization (DBT/e-PoS) improved delivery in the PDS and wage payments, reflected in sustained utilization and falling deprivations in MPI indicators. • **Budgetary continuity:** ✓ MGNREGA ₹86,000 crore and PM-Kisan ₹63,500 crore in Budget 2025-26 signal policy continuity. ✓ Housing outlay has been stepped up, strengthening asset creation effects on poverty. • **Inter-state variation:** ✓ NITI Aayog notes faster MPI reduction in historically poorer states (UP, Bihar, MP), yet level gaps persist, implying the need for state-specific complements (skills, local non-farm jobs, and urban safety nets).

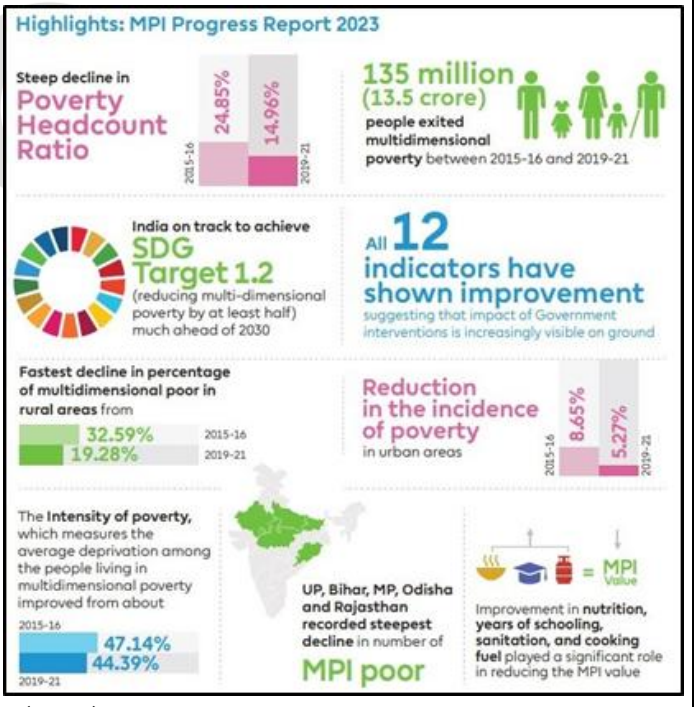
	Limitations (why poverty persists for some): • **Fragmentation of schemes:** ✓ Example: India has 500+ centrally sponsored and central sector schemes, many overlapping in objectives. ✓ The Outcome Budget 2025–26 highlights that multiple schemes still face convergence issues despite outcome-based monitoring. • **Urban poverty under-addressed (no nationwide urban jobs guarantee)** ✓ PLFS 2023–24 shows that urban informal employment remains over 70%, with migrants and women most vulnerable. • Uneven state capacity; and continued informality that limits wage growth and social-security coverage, these constrain durable poverty exits despite improved safety nets. ✓ As per NITI Aayog's MPI Report (2024), while Uttar Pradesh (5.94 crore) and Bihar (3.77 crore) recorded the largest reductions in multidimensional poverty, their poverty headcounts remain above 25%, compared to <5% in Kerala/Tamil Nadu.
Conclusion	India's anti-poverty toolkit has reduced deprivation at scale (MPI decline, massive food security, rural works, and farm income support). The next step is to pair this safety-net backbone with employment-intensive growth, manufacturing and MSME clusters, urban workfare pilots, skilling, and stronger last-mile delivery, within the Union Budget 2025-26 capex-led growth strategy.
Model Question	"Compare the approaches of rights-based entitlements (like NFSA, MGNREGA) and direct income transfers (like PM-Kisan) in India's poverty alleviation framework. Which has been more effective?"
Value Addition	**Some of the Urban Poverty Alleviation Schemes:** • Members of Parliament Local Area Development Scheme (MPLADS) • Deendayal Antyodaya Yojana (National Urban Livelihoods Mission) • Pradhan Mantri Awas Yojana (Housing for All - Urban) • Self-Employment Programme of urban poor • Jal Jeevan Mission Urban • Scheme to Augment City Buses & Urban Green Mobility • Light House Projects • Atal Mission for Rejuvenation and Urban Transformation (AMRUT) • Towns of Export Excellence
122. Comment on the recent controversies relating to the estimates of rural-urban poverty in India. (APPSC,2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Comment
Approach	• Introduce by defining poverty estimation and briefly note that recent controversies arise from differing methodologies, withheld surveys, and inconsistent post-2011–12 estimates. • Examine key issues, methodological divergence (Tendulkar, Rangarajan, MPI, World Bank), data gaps (2017–18 NSSO, 2022–23 HCES), and expert criticism of credibility and transparency. • Conclude by stressing transparent data, consistent methods, and integration of consumption and multidimensional measures for credible rural-urban poverty assessment.
Introduction	Poverty estimation in India traditionally relies on household consumption-expenditure surveys and defined poverty lines for rural and urban areas. However, in recent years the

	process has come under scrutiny due to methodological differences, withholding of the 2017-18 survey data, and inconsistent headline estimates emerging from disparate data sources post-2011–12, all contributing to controversy in rural-urban poverty trends.
Body & Infographic Representation	**Recent controversies relating to the estimates of rural-urban poverty in India:** • **Methodological divergence and recall periods:** ✓ India's official poverty estimates historically used the Uniform or Mixed Recall Period (URP/MRP) for NSS consumption surveys. ✓ The shift to Modified Mixed Recall Period (MMRP) in the 2022-23 National Statistical Office (NSO) Household Consumption Expenditure Survey (HCES) complicates comparisons with earlier rounds. ✓ Further, the global World Bank uses different poverty-lines (e.g., US $3/day PPP) and makes adjustments (Eg: excluding certain items, including free transfers) in its India estimates, leading to sharp declines (Eg: from ~27 % in 2011-12 to ~5.25 % in 2022-23) which many scholars find methodologically suspect. • **Data gaps and withholding of key survey rounds**: ✓ The NSO's 2017–18 consumption survey was officially not published due to "data quality" claims; various reports showed rural consumption falling, suggesting rising poverty. ✓ This hiatus creates a break in the time-series, making it difficult to confirm continuous poverty decline, especially in rural versus urban areas. • **Contradictory rural–urban poverty narratives:** ✓ The NSO fact sheet for HCES 2022-23 suggests rural poverty could have fallen to ~7.2 % and urban to ~4.6 % using older poverty lines. ✓ At the same time, NITI Aayog's National Multidimensional Poverty Index reports reduction from ~24.85 % (2015-16) to ~14.96 % (2019-21), but using multidimensional deprivations rather than expenditure. ✓ The disparity between consumption-poverty, MPI, rural-urban splits, and international estimates fuels uncertainty. • **Rural disadvantage amid welfare gains:** ✓ Despite schemes like Pradhan Mantri Awas Yojana (Gramin), MGNREGA and Pradhan Mantri Kisan Samman Nidhi, rural households still have lagging consumption and welfare indicators compared to urban households. ✓ The urban informal workforce and migration shocks further complicate urban poverty dynamics. ✓ Experts argue the pace of rural poverty reduction may be overstated given methodological changes. ✓ Example: According to NITI Aayog's National MPI 2024, 19.28% of rural Indians were multi-dimensionally poor in 2019–21 compared to 5.27% in urban areas, indicating a fourfold higher poverty ratio in villages despite welfare schemes. • **Institutional concerns and credibility:** ✓ Scholars highlight that the 2022-23 HCES data are not comparable with earlier rounds due to changes in sampling, recall, item coverage etc. ✓ Moreover, the World Bank's India estimates rely on non-comparable data and significant adjustments, raising doubts about credibility of the very low head-count figures being widely publicised.
Conclusion	Resolving controversies around rural–urban poverty estimates in India requires timely publication of unit-level data, clear explanations of methodological changes, consistent poverty-lines adapted to current cost of living, and integration of both consumption-based and multidimensional measures. Only then can policymakers and researchers have credible, comparable estimates to guide effective poverty reduction and regional equity strategies.

Model Question	Discuss the significance of the Multidimensional Poverty Index (MDP) in assessing poverty in India. How does it differ from traditional income-based measures?
Value Addition	**India's Revised Poverty Profile (PIP 2025):** • India's latest Household Consumption Expenditure Survey (HCES) adopted the Modified Mixed Recall Period (MMRP) method, replacing the outdated Uniform Reference Period (URP). This shift: ✓ Used shorter recall periods for frequently purchased items ✓ Captured more realistic estimates of actual consumption • As a result, consumption recorded in national surveys rose, leading to a drop in poverty estimates: ✓ In 2011–12, applying MMRP reduced India's poverty rate from 22.9% to 16.22%, even under the older $2.15 poverty line. ✓ In 2022–23, poverty under the new $3.00 line stood at 5.25%, while under the older $2.15 line it dropped further to 2.35%.
123. Comment on the inadequacy of institutional credit in rural areas of Andhra Pradesh State. (APPSC,2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Comment
Approach	• Introduce by highlighting the role of institutional credit in rural development and briefly indicate its inadequacy in Andhra Pradesh. • Examine how tenancy exclusion, limited institutional outreach, and short-term credit dominance collectively reflect the structural inadequacy of rural credit in Andhra Pradesh. • Conclude by suggesting reforms for tenant-inclusive, technology-enabled, and investment-oriented credit to ensure equitable rural growth.
Introduction	Institutional credit is vital for rural transformation, yet in Andhra Pradesh (AP), access remains unequal, tenancy-biased, and short-term oriented. According to the Andhra Pradesh Socio-Economic Survey 2024-25, agriculture employs over 55% of the state's workforce, but institutional finance fails to match the needs of smallholders and tenants who dominate the sector.
Body & Infographic Representation	**Reasons for the inadequacy of institutional credit in rural areas of Andhra Pradesh State:** • **High Dependence on Informal Credit:** ✓ The NABARD Study (2023): "Tenancy and Credit-Exploring Facts below the Crust" found 48.5% of total farm borrowings in rural AP came from institutional sources, while 51.5% came from moneylenders and traders. ✓ Tenant farmers relied nearly 60% on informal sources, reflecting institutional exclusion. • **Severe Tenant Farmer Exclusion:** ✓ The report "Tenancy and Credit Issues in Rural Andhra Pradesh" noted that 65–80% of paddy cultivators in coastal Andhra are tenants, yet only about 20% possess Crop Cultivator Rights Cards (CCRCs), essential for Kisan Credit Card (KCC) eligibility. ✓ Consequently, tenant farmers access only ~10–15% of institutional agricultural credit. • **Short-term Bias & Lack of Investment Credit:** ✓ The RBI Report on Agriculture Credit (2024) highlighted that over 74% of AP's total farm lending is short-term crop loans, while term-credit for mechanization and irrigation remains under 25%, impeding productivity.

	✓ NABARD's State Focus Paper 2024-25 estimated the credit potential for agriculture and allied activities at ₹3.4 lakh crore, yet long-term lending achieved only 63% of the target. • **Regional & Institutional Disparities:** ✓ AP State Level Bankers' Committee (SLBC) Report 2024 recorded that RRBs contribute only 9% of total rural credit due to weak capitalization and digital reach, while urban-centric PSBs dominate lending. ✓ Rural indebtedness levels remain high: 86% of owner-farmers and 90% of tenants in NABARD's Guntur sample were indebted, with tenant debt averaging ₹2.07 lakh vs. ₹76,000 for owners. • **Underlying Causes:** ✓ Lack of collateral/title (tenancy not legally recognized). ✓ Administrative bottlenecks in issuing CCRCs/KCCs. ✓ Over-emphasis on credit targets over inclusivity. ✓ Weak coordination between banks, PACS, and Self-Help Groups (SHGs). • **Policy Imperatives:** ✓ Expand CCRC & Tenant-inclusive KCC coverage; currently <25% of tenants possess valid CCRCs. ✓ Enhance long-term credit share via NABARD refinance; introduce investment-linked credit for irrigation, dairying, and processing. ✓ Digitize land/tenancy records and integrate with credit scoring to ease KYC barriers. ✓ Implement PRS recommendation to raise sub-target for small & marginal farmers to 10% of ANBC. ✓ Strengthen RRBs and promote SHG–bank linkages under YSR Cheyutha and NABARD EShakti initiatives.
Conclusion	The persistence of informal dependence and tenancy exclusion in Andhra Pradesh underscores deep structural inadequacies in institutional credit. Various reports highlights the urgent need for tenant recognition, expansion of term-credit, and digital outreach. With inclusive reforms, the state can transform its vast credit potential into sustainable rural prosperity.
Model Question	Critically examine the challenges of institutional credit delivery in rural Telangana.
Value Addition	**Agri Credit Since formation of Telangana:** • Since the formation of Telangana, farmers have borrowed an unprecedented Rs 4.51 lakh crore in crop loans, marking a transformative phase for the state's agriculture sector. • In 2024-25 alone, borrowing has already touched Rs 75,000 crore, propelled by the govt's loan waiver scheme and an aggressive push to widen credit access. • This monsoon season, banks have disbursed Rs 15,932.96 crore - 30% of the govt's Rs 52,290 crore target to 9,68,792 farmers. • The early flow of funds has enabled sowing in 1.02 crore acres, keeping cultivation on schedule despite variable weather conditions. • Within months of coming to power, the Congress govt implemented a one-time waiver of crop loans up to Rs 2 lakh, applicable to borrowings between Dec 11, 2018, and Dec 7, 2023.
124. Discuss the important anti-poverty programmes implemented by Government of India. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Discuss

Approach	• Introduce by stating the Government of India's commitment to alleviating it through targeted programmes since Independence. • Discuss major anti-poverty programmes (rural, urban, livelihood, food security), highlight achievements, and analyze their limitations with data/examples. • Conclude by emphasizing the need for integrated reforms, better targeting, and inclusive growth to make poverty alleviation sustainable.
Introduction	Poverty has remained one of India's foremost developmental challenges despite significant economic growth. According to the NITI Aayog's National Multidimensional Poverty Index (2023), India has lifted 13.5 crore people out of multidimensional poverty between 2015–16 and 2019–21, yet structural poverty persists. The Government of India has implemented a wide range of anti-poverty programmes targeting income, health, education, housing, and livelihoods.
Body & Infographic Representation	**Some of the important anti-poverty programmes implemented by Government of India:** **Wage Employment and Livelihood Programmes:** • **MGNREGS (2005):** ✓ Provides 100 days of wage employment to rural households; in 2023–24, it generated 2.89 billion person-days of work. • **National Rural Livelihood Mission (NRLM / Aajeevika, 2011):** ✓ Focused on women-led Self Help Groups (SHGs); mobilized over 9.5 crore women into 87 lakh SHGs by 2024. • **PM-VDY (2023):** ✓ Launched to skill rural youth for self-employment and wage employment. **Food Security and Nutrition:** • **National Food Security Act (NFSA, 2013):** ✓ Covers **81.35 crore people** (67% population), providing free food grains under PMGKAY till 2028. • **POSHAN Abhiyan (2018):** ✓ Aims to reduce stunting, anemia, and malnutrition; convergence with ICDS and Mid-Day Meal Scheme (now PM-POSHAN). **Housing and Basic Services:** • **PM Awas Yojana – Gramin (2016):** ✓ Target to provide pakka houses with basic amenities; over 3.45 crore houses constructed till 2024. • **Jal Jeevan Mission (2019):** ✓ Ensures household tap water connections; achieved 14.6 crore rural households with tap water by August 2024. **Health and Social Security:** • **Ayushman Bharat – PMJAY (2018):**



	✓ World's largest health assurance scheme, providing ₹5 lakh cover to 55 crore beneficiaries; ✓ Over 6.5 crore hospital admissions recorded (MoHFW, 2024). • **PM-KISAN (2019):** ✓ Provides ₹6,000 per year to 11 crore farmers via DBT, strengthening rural incomes. • **PM Suraksha Bima Yojana & PM Jeevan Jyoti Bima Yojana (2015):** ✓ Provide low-cost insurance to vulnerable groups. **Urban Poverty Alleviation:** • **Deendayal Antyodaya Yojana – National Urban Livelihoods Mission (DAY-NULM, 2013):** Provides skill training, SHG support, and self-employment assistance to urban poor. • **PM SVANidhi (2020):** Provides collateral-free loans to street vendors; over 70 lakh beneficiaries covered (MoHUA, 2024). **Limitations of Anti-Poverty Programmes in India:** • **Scheme Fragmentation**: Overlap and duplication across welfare schemes reduce efficiency (Economic Survey 2024–25). ✓ Example: Skill training under PMKVY, DAY-NULM, NRLM), leading to duplication of efforts. • **Urban Poverty Gap**: No nationwide urban job guarantee; state pilot schemes remain small-scale. ✓ Example: Rajasthan's Indira Gandhi Urban Employment Guarantee Scheme remain limited in scale. • **Informal Employment**: PLFS 2022–23 shows >80% workers informal, limiting wage growth and social security. • **Uneven State Capacity**: Outcomes vary with governance; Kerala/Tamil Nadu outperform Bihar/Jharkhand. • **Targeting Errors**: Despite Aadhaar-enabled DBT, issues of ghost beneficiaries, exclusion of deserving households, and delays in fund transfer persist
Conclusion	India's anti-poverty programmes reflect a multi-dimensional approach, combining employment, nutrition, housing, social security, and health. While they have substantially reduced deprivation, challenges remain in targeting, leakages, and urban poverty. The *Economic Survey 2024–25* stresses continued focus on inclusive growth, skills, and urban safety nets for sustainable poverty alleviation.
Model Question	"Do India's anti-poverty programmes adequately address the challenges of urban poverty and informal sector workers? Substantiate with examples."
Value Addition	**The Society for Elimination of Rural Poverty (SERP)**: • SERP, Government of Telangana's supportive institution, facilitates social mobilization of rural poor women across 30 districts by nurturing Self-Help Groups (SHGs) and their federations. • It adopts a comprehensive, multi-dimensional poverty alleviation strategy centered on women empowerment and community-driven development. ✓ Building strong / sustainable institutions for the poor, ✓ Financial Access - Leveraging resources through commercial banks, ✓ Livelihood value chain - sustainable and diversified livelihoods, ✓ Human Development value chain - and ✓ Accessing social safety nets and entitlements. • At present there are 4560518 SHG members in 435364 SHGs organized into 18397 Village Organizations (VOs), 554 Mandal Samakhyas (MSs) and 30 Zilla Samakhyas (ZSs).

125. Highlight the important trends in incidence of poverty in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Highlight
Approach	• Introduce by defining poverty as the condition of lacking access to basic necessities like food, education, and healthcare, and mention Andhra Pradesh's steady poverty reduction. • Explain the trends in monetary and multidimensional poverty, showing decline from 11.77% (2015–16) to 4.2% (2023), highlighting rural–urban differences. • Discuss government welfare measures like Nava Rathnalu and direct benefit transfers. • Conclude by stressing sustained rural development and inclusive growth for poverty eradication.
Introduction	Andhra Pradesh has recorded a steady decline in poverty over the last decade, driven by welfare transfers, rural employment and targeted programs. The fall is visible in both monetary and multidimensional measures, though gaps persist across regions and social groups requiring continued policy focus.
Body & Infographic Representation	**Trends in incidence of poverty in Andhra Pradesh** • **Trends in Monetary Poverty:** ✓ The poverty rate in Andhra Pradesh declined from 11.77% in 2015–16 to 4.2% in 2023, as reported by NITI Aayog. This reflects a reduction of over 7 percentage points, showing consistent improvement across both rural and urban regions. • **Trends in Multidimensional Poverty:** ✓ The Multidimensional Poverty Index (MPI) considers health, education, and living standards. Andhra Pradesh's MPI score declined from 0.053 (2015–16) to 0.025 (2019–21), indicating reduced deprivation in multiple aspects of life. ✓ The headcount poverty ratio fell from 6.06% in 2021 to 4.2% in 2023, much below the national average of 14.96%. ✓ Rural poverty (7.71%) remains higher than urban poverty (2.20%), showing the need for further rural development focus. • **Declining overall poverty:** ✓ Andhra Pradesh's poverty headcount has fallen sharply in recent years. Official estimates and multidimensional measures show a drop from double-digit levels (about 11.77% in 2015–16) to around 6.06% (2019–21), with some recent reports citing further improvements to near 4.2%. ✓ This marks substantial progress in reducing both income and multidimensional deprivation. • **Rural and urban poverty trends:** ✓ Both rural and urban poverty have declined, but rural poverty remains higher. Rural MPI fell markedly (e.g., from ~14.7% to ~7.7%), while urban MPI also improved (from ~4.6% to ~2.2%). ✓ The rural–urban gap has narrowed over time as rural consumption growth and welfare flows strengthened village incomes. **Factors responsible for persistence of poverty:** • Agrarian fragility: Dependence on smallholder, rain-fed agriculture, seasonal unemployment and low farm productivity keep rural incomes volatile. • Structural unemployment & underemployment: Limited non-farm rural job creation constrains livelihood alternatives. • Regional disparity: Infrastructure, irrigation and market access remain weak in lagging districts. Human capital deficits: Gaps in nutrition, schooling years and health reduce employability and resilience.

	• Climate and shocks: Droughts, floods and crop failure push vulnerable households back into poverty. • Implementation gaps: Leakages, exclusion errors and weak last-mile delivery reduce impact of some welfare transfers.
Conclusion	Andhra Pradesh's poverty reduction story reflects effective welfare-driven growth and inclusive governance. However, persistent rural poverty and regional disparities call for strengthening employment generation, skill development, and asset creation to ensure sustained poverty alleviation and equitable social development across all sections.
Model Question	"Examine the role of welfare schemes in accelerating multidimensional poverty reduction in Andhra Pradesh."
Value Addition	**POVERTY LINE, HEADCOUNT RATIO (HCR) & MPI SCORES** • Poverty Line & Headcount Ratio (HCR): ✓ The poverty line refers to the minimum expenditure required to meet basic needs. ✓ The Headcount Ratio (HCR) measures the percentage of the population living below the poverty line. ✓ As per Planning Commission (2011-12), poverty in Andhra Pradesh was: ▪ Rural:10.96% ▪ Urban:5.81% ▪ Overall: 9.20% (compared to 21.92% nationally). **Multidimensional Poverty in Andhra Pradesh:** • Andhra Pradesh has outperformed many Indian states in poverty alleviation. According to the NITI Aayog Multidimensional Poverty Index (MPI) Report 2023, the state's MPI score decreased to 0.025 (2019-21) from 0.053 (2015-16), showing a 50% reduction in poverty levels. Details of Poverty in AP and All India.

Comparison of Andhra Pradesh's MPI with National & State Averages

Table 9.1 National vs. Andhra Pradesh Poverty Trends

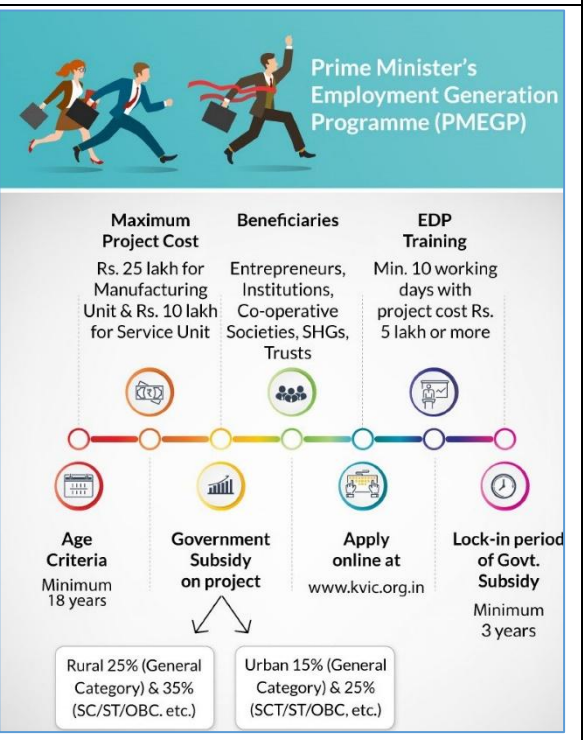
Type		Andhra Pradesh	All India
All	Headcount Ratio	6.06%	14.96%
	Intensity	41.12%	44.39%
	MPI	0.025	0.066
Rural	Headcount Ratio	7.71%	19.28%
	Intensity	41.41%	44.55%
	MPI	0.032	0.086
Urban	Headcount Ratio	2.20%	5.27%
	Intensity	38.77%	43.10%
	MPI	0.009	0.023

126. Explain the methods of measuring poverty in India. (APPSC, 2008)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Poverty Alleviation
Keyword	Explain
Approach	• Begin by briefly defining poverty measurement and its significance for welfare planning in India. • Explain the major methods—Tendulkar line, Rangarajan committee, World Bank poverty lines, and NITI Aayog's MPI—highlighting their basis and usage. • Link the evolution of poverty measurement with India's vision of inclusive growth and Viksit Bharat 2047.
Introduction	Poverty measurement in India is a crucial exercise because it not only guides developmental planning but also determines the scope of welfare entitlements. Over time, India has moved from simple consumption-based poverty lines to multidimensional approaches.
Body & Infographic Representation	**Methods of measuring poverty in India:** • **Consumption-Expenditure Based Poverty Lines** ✓ The official method of poverty estimation is based on household consumption expenditure surveys conducted by the NSSO. ✓ The Tendulkar Committee (2009) redefined poverty by shifting from calorie norms to a broader consumption basket and using uniform urban reference prices adjusted for state variations.

	✓ Poverty is measured as the headcount ratio, i.e., the proportion of people living below the poverty line. ✓ The last official estimate was for 2011-12, and the Household Consumption Expenditure Survey (HCES) 2022-23 is expected to provide a new basis for revised calculations. • **Rangarajan Committee's Approach** ✓ The Rangarajan Committee (2014) suggested a higher poverty line by including food as well as non-food essentials such as education, health, and transport in the consumption basket. ✓ It fixed the monthly per capita poverty line at ₹972 in rural and ₹1,407 in urban areas for 2011-12, which yielded a higher poverty ratio than the Tendulkar method. ✓ However, this method was never adopted officially, as confirmed in parliamentary records, and the Tendulkar line continues to remain operative. • **International Poverty Lines** ✓ For global comparison, India is assessed against the World Bank's International Poverty Line, which was earlier $2.15 (2017 PPP) but revised to $3.00 (2021 PPP) in 2025. ✓ The World Bank also uses higher thresholds of $4.20 and $8.30 to assess poverty in lower-middle and upper-middle-income countries. ✓ These lines are not used for national policy but are important for India's global poverty ranking and SDG monitoring. • **Multidimensional Poverty Index (MPI)** ✓ To capture poverty beyond income, NITI Aayog introduced the National MPI using the Alkire-Foster methodology. ✓ Based on NFHS-5 (2019-21), it measures deprivation in 12 indicators across health, education, and standard of living. ✓ The MPI provides a more comprehensive assessment and is especially useful for district-level targeting and alignment with the SDG framework.
Conclusion	India currently relies on the Tendulkar line, World Bank benchmarks, and NITI's MPI. As India advances towards Viksit Bharat 2047, strengthening poverty measurement through multidimensional, data-driven, and real-time methods is vital to ensure inclusive growth and achieve the vision of a poverty-free India by 2047.
Model Question	"Discuss the methods of measuring poverty in India. Critically evaluate their relevance in the context of inclusive development and India's vision of Viksit Bharat @2047."
Value Addition	• In Rural areas, extreme poverty fell from 18.4 percent in 2011-12 to 2.8 percent in 2022-23. • In Urban centres, extreme poverty reduced from 10.7 percent to 1.1 percent over the same period. • The gap between rural and urban poverty shrunk from 7.7 percentage points to 1.7 percentage points, with an annual decline rate of 16 percent between 2011-12 and 2022-23. • The five most populous states i.e. Uttar Pradesh, Maharashtra, Bihar, West Bengal, and Madhya Pradesh, represented 65 percent of India's extreme poor in 2011-12. By 2022-23, these states contributed to two-thirds of the overall decline in extreme poverty.

127. Give an account of the objectives of Prime Minister Employment Generation Programme (PMEGP) and the benefits received under this scheme (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Give an account

Approach	• Begin with PMEGP as a flagship credit-linked subsidy scheme under MSME launched in 2008 for self-employment generation. • Explain objectives (employment, artisans' support, and rural-urban livelihoods) and benefits (financial subsidy, bank credit, training, market linkages) in structured points with implementation mechanism. • Conclude with PMEGP's role in promoting entrepreneurship and its potential contribution to Atmanirbhar Bharat and Viksit Bharat @2047.
Introduction	The Prime Minister's Employment Generation Programme (PMEGP), launched in 2008 under the Ministry of MSME, is a credit-linked subsidy scheme aimed at generating self-employment through establishment of micro-enterprises in the non-farm sector.
Body & Infographic Representation	**Objectives of PMEGP** • **Employment Generation:** To create sustainable self-employment opportunities across rural and urban areas. • **Prevent Migration:** To provide local livelihoods and reduce distress migration to urban centers. • **Support Vulnerable Groups:** To promote entrepreneurship among SCs, STs, OBCs, minorities, women, and differently-abled persons. • **Promote Micro-Enterprises:** To facilitate the growth of manufacturing, service, and trading units in the non-farm sector. • **Preserve Traditional Skills:** To encourage artisans and craftsperson in continuing and expanding traditional occupations.  **Benefits Received under PMEGP:** • **Financial Benefits** ✓ **Subsidy Support:** Margin money subsidy ranging from 15% to 35% depending on category and location, reducing credit burden on beneficiaries. ✓ **Bank Finance:** Credit support through term loans and working capital, enabling access to formal financial institutions. ✓ **Collateral-Free Loans:** Credit Guarantee Fund support ensures easier access for first-generation entrepreneurs. • **Non-Financial Benefits** ✓ **Capacity Building:** Entrepreneurship and skill development training provided through KVIC and District Industries Centers. ✓ **Market Linkages:** Assistance in marketing products through exhibitions, e-marketing platforms, and government procurement schemes. ✓ **Institutional Support:** Continuous hand-holding, monitoring, and guidance for effective enterprise management. • **Implementation Mechanism** ✓ **Nodal Agency:** Khadi and Village Industries Commission (KVIC). ✓ **Implementing Partners:** State KVIBs and District Industries Centers.

	✓ **Target Groups:** Youth, artisans, and weaker sections with preference to women and beneficiaries in North-East and aspirational districts.
Conclusion	PMEGP embodies a "credit plus subsidy" model, enabling unemployed youth to become job creators rather than job seekers. While challenges of awareness, bank delays, and monitoring remain, strengthening digital processes and capacity building can make PMEGP a key driver for Atmanirbhar Bharat and Viksit Bharat @2047.
Model Question	"Schemes like PMEGP are crucial in addressing unemployment but face issues in outreach and monitoring." Discuss with reference to Telangana's experience.
Value Addition	• Worker Population Ratio (WPR): The PLFS data from 2017 to 2023 also suggests that Worker Population Ratio (WPR) has increased by 9 percentage points or almost 26 percent during this Period. • Employment Elasticity: Employment elasticity is a rational measure for checking the causal Relation between growth and employment generation in an economy. The report's estimates, based on a linear econometric model, show that for the period 2017-23, there was a 1.11 percent increase in jobs for a percent increase in value added.
128. Critically evaluate the nature of occupational structure in Andhra Pradesh. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Critically evaluate
Approach	• Introduce by defining occupational structure as the distribution of the workforce among agriculture, industry, and services, reflecting the stage of economic development. • Explain the present structure in Andhra Pradesh using data on LFPR, WPR, and sectoral employment share, highlighting dominance of agriculture and emerging services. • Critically analyse regional, gender, and skill disparities, and challenges like informality and underemployment. • Conclude by suggesting measures for balanced and inclusive employment diversification.
Introduction	The occupational structure of Andhra Pradesh reflects the distribution of its workforce among primary, secondary, and tertiary sectors. While the state is gradually diversifying from an agriculture-based economy towards industry and services, agriculture still remains the major employer, indicating a semi-transitional economic structure.
Body & Infographic Representation	**Nature of occupational structure in Andhra Pradesh** • **Present Nature of Occupational Structure:** ✓ According to recent estimates (2023–24), the Labour Force Participation Rate (LFPR) in Andhra Pradesh stands at 47.5%, with male LFPR at 59.5% and female LFPR at 35.8%. ✓ The Work Participation Rate (WPR) is 45.6%, with male WPR at 57% and female WPR at 34.5%. Rural areas record a higher LFPR (50.1%) compared to urban areas (41.3%), showing the continued dominance of agricultural employment in the countryside. • **Sectoral Composition of Employment:** ✓ Employment distribution indicates that 45.6% of the workforce is engaged in agriculture, 22.8% in manufacturing and industry, 12.3% in construction, and 31.6% in services. ✓ This highlights that despite growth in industries and services, the primary sector continues to absorb nearly half the workforce, often reflecting underemployment and disguised unemployment. • **Emerging Trends in Non-Agricultural Sectors:**

	✓ The industrial sector has shown moderate growth through initiatives like Industrial Corridors, Mega Food Parks, and promotion of MSMEs. Similarly, the services sector, driven by IT, logistics, health, and education, has expanded, particularly in Visakhapatnam, Vijayawada, and Tirupati. • **Regional and Gender Disparities:** ✓ Employment remains concentrated in the coastal belt, while Rayalaseema and tribal regions face limited non-farm opportunities. Despite progress, female LFPR (35.8%) remains lower due to social norms, lack of safety, and limited access to formal jobs. **Major Challenges:** • High Informality: About 85% of workers are in informal jobs lacking social protection. • Skill Deficiency: Weak technical training limits employability in new sectors. • Urban-Rural Divide: Industrial concentration in coastal cities widens regional disparities.
Conclusion	The occupational structure of Andhra Pradesh reflects a slow transition from agriculture to industry and services. To ensure balanced growth, the state must reduce informality, bridge skill gaps, and expand industrial and service opportunities in backward regions to achieve equitable employment diversification.
Model Question	"Examine the major factors influencing the changing pattern of employment and occupational diversification in Andhra Pradesh."
Value Addition	**Employment in Andhra Pradesh:** • The Labour Force Participation Rate (LFPR) in 2023-24 was 47.5%, with male LFPR at 59.5% and female LFPR at 35.8%. The Work Participation Rate (WPR) stood at 45.6%, with male WPR at 57% and female WPR at 34.5%. Rural areas had a LFPR of 50.1%, while urban areas recorded 41.3%. • Employment distribution showed that 45.6% of the workforce was engaged in agriculture, 22.8% in manufacturing and industry, 12.3% in construction, and 31.6% in services.
129. Discuss the possible consequences of rural unemployment on the society and suggest two effective remedial measures. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Discuss, Suggest
Approach	• Define rural unemployment as a socio-economic challenge with wide consequences. • Explain its major impacts on society (poverty, migration, agrarian distress, social issues) and suggest effective measures (MGNREGA strengthening, rural non-farm employment). • Link solutions with SDGs to highlight inclusive growth, poverty reduction, and sustainable rural transformation under Agenda 2030.
Introduction	Rural unemployment in India is not merely an economic issue; it has far-reaching social consequences, affecting poverty, migration, social stability and long-term development.
Body & Infographic Representation	**Consequences of Rural Unemployment on Society:** • **Rising Poverty and Migration** ✓ Unemployment in villages pushes households into chronic poverty, forcing seasonal or permanent migration to urban areas. ✓ This migration strains urban infrastructure and leads to family disintegration. • **Agrarian Distress and Food Insecurity** ✓ Lack of remunerative rural jobs compels farmers to sell assets and reduce investments in agriculture. ✓ This undermines agricultural productivity and national food security.

	• **Social Issues and Vulnerabilities** ✓ High unemployment is linked to indebtedness, crime, alcoholism, child labour, and school dropouts. ✓ It weakens rural communities' access to health and education services, widening inequalities. • **Youth Disillusionment and Human Capital Loss** ✓ Educated rural youth face skill mismatch and prolonged joblessness, reducing labour-force participation. ✓ This fosters frustration, social unrest and erosion of human capital. **Effective Remedial Measures** • **Strengthening MGNREGA** ✓ Ensure demand-driven person-days during lean agricultural seasons. ✓ Guarantee timely wage payments and expand works to productive assets like water conservation and rural roads. ✓ Studies highlight MGNREGA's role in reducing rural distress and stabilising consumption. • **Promoting Rural Non-Farm Employment** ✓ Expand skill training aligned with local agro-industries and crafts. ✓ Support rural MSMEs with credit, digital infrastructure and marketing linkages. ✓ Encourage value-chain development in food processing, dairy, textiles and renewable energy.
Conclusion	Tackling rural unemployment is crucial for achieving SDG 1 (No Poverty), SDG 2 (Zero Hunger), SDG 8 (Decent Work), and SDG 10 (Reduced Inequalities). Strengthening MGNREGA and fostering rural entrepreneurship, skills, and MSMEs can ensure inclusive growth, social stability, and sustainable rural transformation, aligning with India's Agenda 2030 commitments.
Model Question	"Rural unemployment is not only an economic problem but also a social challenge. Discuss with reference to poverty, migration, and social stability.
Value Addition	**Key Employment and Unemployment Indicators** • **Labour Force Participation Rate (LFPR):** % of population that is either employed or actively seeking/available for work. • **Worker Population Ratio (WPR):** % of population that is employed. • **Unemployment Rate (UR):** % of labour force that is unemployed. • **Current Weekly Status (CWS):** Activity status of a person based on the last 7 days before the survey

130. "Employment opportunities through Jawahar Knowledge Centres"- Explain how the Andhra Pradesh Government expects to meet its objective through this program. (APPSC, 2016)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Explain
Approach	• Introduce by explaining that the Jawahar Knowledge Centre (JKC) is a flagship initiative of the Andhra Pradesh Government launched to bridge the gap between education and employment by enhancing students' employability skills. • Explain how JKC provides training in communication, computer, and industry-oriented skills, promotes college–industry linkages, and facilitates placements and career counselling for rural and marginalized youth. • Conclude by highlighting that JKC helps create a skilled, confident, and employable youth force, contributing to inclusive growth and reduced unemployment in the state.
Introduction	The Jawahar Knowledge Centre (JKC) is a flagship initiative of the Government of Andhra Pradesh launched in 2005 to enhance employability among students of non-

	professional degree colleges. The program aims to bridge the gap between education and employment by imparting industry-relevant skills, improving communication, and promoting self-reliance among youth.
Body & Infographic Representation	**Government to meet its Objective and Vision of JKC:** • JKC was established with the vision of making students from all sections especially rural and marginalized groups globally employable. It aims to promote college industry linkages, provide skill-oriented training, and create a work-ready youth base for both domestic and global markets. • The mission of JKC revolves around three principles creating opportunities, developing skills, and unleashing potential ensuring inclusive growth and reducing unemployment. • **Skill Development and Training:** Each JKC provides around 250 hours of structured training focusing on communication, computer literacy, analytical ability, and leadership. Industry-oriented faculty conduct sessions on employable skills to prepare students for corporate and service sector jobs. • **Strengthening Industry Linkages:** Collaborations with industries, corporates, and IT firms help align training modules with real-world requirements, ensuring students gain relevant skills demanded by employers. • **Providing Placement Support:** The government facilitates campus placements, job fairs, and internships through JKCs to directly connect students with job opportunities in both public and private sectors. • **Promoting Inclusivity:** JKCs particularly target students from rural, poor, and marginalized backgrounds, giving them access to modern technologies and digital learning, thereby reducing inequality in employment opportunities. • **Encouraging Self-Reliance and Entrepreneurship:** The program trains students to be independent, confident, and innovative, motivating them to explore entrepreneurial ventures alongside employment. **Impact and Achievements:** • JKC has created thousands of employment opportunities, especially for students from non-professional courses. It has improved soft skills, confidence, and employability, significantly reducing the rural-urban skill gap. • Many students trained through JKCs have been placed in IT, banking, and service industries, demonstrating its practical success.
Conclusion	Through Jawahar Knowledge Centres, the Andhra Pradesh Government seeks to transform education into employment by combining skill development, industry collaboration, and inclusive training. The program effectively bridges the gap between classroom learning and job markets, empowering youth to become productive contributors to the state's economic growth and social development.
Model Question	"Examine how the Andhra Pradesh Government's skill development initiatives, including the AP State Skill Development Corporation (APSSDC), have contributed to enhancing youth employability and bridging the gap between education and industry requirements."
Value Addition	**Employment in Andhra Pradesh:** • The Labour Force Participation Rate (LFPR) in 2023-24 was 47.5%, with male LFPR at 59.5% and female LFPR at 35.8%. The Work Participation Rate (WPR) stood at 45.6%, with male WPR at 57% and female WPR at 34.5%. Rural areas had a LFPR of 50.1%, while urban areas recorded 41.3%. • Employment distribution showed that 45.6% of the workforce was engaged in agriculture, 22.8% in manufacturing and industry, 12.3% in construction, and 31.6% in services. **Unemployment situation in Andhra Pradesh:**

	• The unemployment rate in 2023-24 was 4.1% overall, with rural unemployment at 3.4% and urban unemployment at 5.9%. Youth unemployment (ages 15-29) was 17.5%, while the female unemployment rate was 6.9% compared to 4.3% for males. • In urban areas, the female unemployment rate was 12.1%. The informal sector accounted for 62.3% of rural employment and 45.6% of urban employment.
131. Make a comparative assessment of superiority of Mahatma Gandhi National Rural Employment Act 2006 over the previously followed government employment programs. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Make
Approach	• Introduce MGNREGA as a transformative, rights-based rural employment programme, contrasting it with earlier discretionary schemes. • Compare key aspects—legal entitlement, demand-driven design, decentralized planning, social inclusion, and financial transparency—highlighting MGNREGA's superiority with evidence. • Conclude that MGNREGA institutionalized rural employment, improved accountability, and promoted inclusive development, making it more effective than previous programmes.
Introduction	The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), enacted in 2005, revolutionized India's approach to rural employment by providing a legal entitlement to wage employment. This analysis compares MGNREGA with its predecessors—such as the National Rural Employment Programme (NREP), Rural Landless Employment Guarantee Programme (RLEGP), Jawahar Rozgar Yojana (JRY), and Sampoorna Grameen Rozgar Yojana (SGRY)—to highlight its superior features.
Body & Infographic Representation	**Superiority of MGNREGA:** • **Legal Entitlement to Employment** ✓ **MGNREGA**: Guarantees 100 days of unskilled manual labor per rural household annually. Employment must be provided within 15 days of application; failure results in an unemployment allowance. ✓ **Predecessor Schemes**: Operated on a discretionary basis, with no legal guarantee of employment. Employment was provided based on availability of funds and administrative priorities. • **Demand-Driven Design & Accountability** ✓ **MGNREGA**: Employment is provided on demand, ensuring that work is available when needed. The Act mandates time-bound delivery and includes provisions for social audits and grievance redressal mechanisms. ✓ **Previous Schemes**: Often lacked a demand-driven approach, leading to underutilization or misallocation of resources. Accountability mechanisms were limited, resulting in inefficiencies and corruption. • **Decentralized Planning & Asset Creation** ✓ **MGNREGA**: Emphasizes decentralized planning, with Gram Panchayats playing a central role in project identification and execution. Focuses on creating durable assets like water conservation structures, roads, and wells. ✓ **Earlier Schemes**: Centralized planning with limited local involvement. Emphasis was often on short-term employment rather than sustainable asset creation. • **Social Inclusion & Gender Equity** ✓ **MGNREGA**: Mandates that at least one-third of the beneficiaries be women. Provides equal wages for men and women and prioritizes employment for marginalized communities. ✓ **Pre-MGNREGA Schemes**: Gender and social inclusion were often not prioritized, leading to lower participation of women and marginalized groups.

	• **Financial Transparency & Worker Entitlements** ✓ **MGNREGA**: Ensures transparency through provisions like proactive disclosure, citizen information boards, and Management Information Systems. Provides entitlements such as worksite facilities, compensation for delayed payments, and medical care for work-related injuries. ✓ **Earlier Schemes**: Wage payments were often delayed and lacked transparency. Limited worker entitlements and benefits, leading to exploitation and dissatisfaction. **Shortcomings of earlier programs:** • **Poor targeting:** ✓ Schemes like the Jawahar Rojgar Yojana (JRY) often failed to reach the most impoverished and marginalized populations due to flawed targeting mechanisms and corruption. • **Lack of transparency:** ✓ Earlier programs were often plagued by mismanagement and leakages due to a lack of robust monitoring and public scrutiny. • **Inefficient fund utilization:** ✓ Programmes like the Employment Assurance Scheme (EAS) suffered from poor uptake and improper utilization of funds. • **In-kind wages:** ✓ The Sampoorna Grameen Rozgar Yojana (SGRY), which paid a part of the wages in foodgrains, created logistical and qualitative issues with payments.
Conclusion	MGNREGA represents a significant advancement over previous rural employment schemes by institutionalizing a legal right to employment, ensuring transparency, promoting social inclusion, and focusing on sustainable development. While challenges remain in implementation, its framework offers a more robust and equitable approach to rural employment in India.
Model Question	Assess the role of decentralized planning in improving the outcomes of rural employment schemes.
Value Addition	• Under MGNREGA, women's participation has consistently exceeded 50%, rising from 48% (FY 2013–14) to 58.15% (FY 2024–25), with 440.7 lakh women engaged. This highlights the scheme's significant impact on rural women's empowerment, economic inclusion, and gender-sensitive livelihood support.
132. Assess the impact of MGNREGS in reducing the intensity of unemployment in rural areas of our country. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Assess
Approach	• Introduce with the MGNREGS objective of providing 100 days of guaranteed rural employment to reduce the intensity of unemployment and enhance livelihood security. • Assess its actual impact through data such as employment generation, seasonal relief, income and wage effects, gender inclusion, while also addressing implementation gaps and regional disparities. • Conclude with the MGNREGS's success in reducing rural unemployment intensity, while stressing the need for improved fund flow and durable asset creation for lasting impact.
Introduction	The Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS), launched in 2006 under the Mahatma Gandhi National Rural Employment Guarantee Act 2005, aims to provide 100 days of guaranteed wage employment to rural households. As India's largest social security program, it has been instrumental in reducing the

	intensity of rural unemployment, defined by the duration, frequency, and severity of joblessness through wage employment, income security, and social inclusion.
Body & Infographic Representation	**Impact of MGNREGS in reducing the intensity of unemployment in rural areas** • **Employment Generation and Coverage:** ✓ MGNREGS continues to be a major direct employment provider in rural India. ✓ As per the Budget 2024–25, the allocation remains at ₹86,000 crore, unchanged from 2023–24, despite inflationary pressures. ✓ In FY 2023–24, the scheme generated over 280 crore person-days of employment, providing income stability to millions of rural households. ✓ However, the static allocation may limit its capacity to meet rising rural demand for work. • **Budgetary and Fund Flow Trends:** ✓ As per, 2025–26 Demand for Grants, the Department of Rural Development received ₹1.87 lakh crore, an 8% increase over the previous year. ✓ Yet, within this, MGNREGS's share remains stagnant at ₹86,000 crore, implying prioritization of other schemes like PMAY-G and NRLM. ✓ As of July 2025, ₹85,838 crore had been released under MGNREGS, indicating funding constraints and delays in wage disbursement, which affect rural employment stability. • **Impact on Rural Unemployment Intensity:** ✓ MGNREGS has reduced seasonal unemployment by providing jobs during lean agricultural months, preventing distress migration and smoothing consumption. ✓ The scheme's gender inclusion is notable, over 57% of participants are women, reflecting positive social impact. ✓ However, inflation-adjusted spending has declined in real terms, reducing wage adequacy and job quality. ✓ Delays in payments and lack of durable asset creation undermine the scheme's long-term ability to reduce unemployment intensity. • **Structural and Implementation Challenges:** ✓ **High demand but limited resources:** Rural job demand consistently exceeds budget availability, resulting in rationing of employment and unmet demand, as per NREGASoft (2024), only 85% of demanded workdays were provided in FY 2023–24. ✓ **Delayed fund flow:** The CAG 2023 Report highlighted that over 20% of wage payments were delayed beyond the mandated 15 days, undermining the scheme's goal of timely income support. ✓ **Regional disparities:** Implementation varies sharply across states, Kerala and Rajasthan exhibit high utilization and asset creation, while states like Bihar and Jharkhand lag due to poor awareness, weak administration, and fund flow issues. ✓ **Monitoring and transparency gaps:** Despite improvements through digital attendance systems and Aadhaar-based payments, these measures have also created technical barriers for marginalized workers lacking digital access, leading to exclusion. ✓ **Overall impact:** These structural and operational gaps reduce the sustainability and depth of MGNREGS's employment impact, limiting its long-term ability to mitigate rural unemployment intensity.
Conclusion	To assess, MGNREGS has significantly mitigated the intensity of rural unemployment by providing predictable wage employment, stabilizing rural incomes, and empowering women. However, its full potential is hindered by operational bottlenecks, fund delays,

	and uneven implementation. Strengthening digital monitoring, timely fund release, and integrating skill-based components can enhance its enduring impact on rural job security.
Model Question	How effective have initiatives like Deendayal Antyodaya Yojana–NRLM, PMEGP, and RSETIs been in generating sustainable rural employment?
Value Addition	**MGNREGS Funds allocation over the years (in Crores):**

Financial Year	Budget Estimate	Revised Estimate	Fund released
2020-21	61500.00	111500.00	1,11,170.86
2021-22	73000.00	98000.00	98,467.85
2022-23	73000.00	89400.00	90,810.99
2023-24	60000.00	86000.00	89,268.30
2024-25	86000.00	86000.00	85,838.76

133. What are important concepts of employment/unemployment used by National Sample Survey Organisation (NSSO)? (APPSC, 2011)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	What
Approach	• Introduce by defining employment and unemployment in the NSSO framework and their role in labour market analysis. • Explain key NSSO concepts (UPS, UPSS, CWS, CDS, LFPR, WPR) with examples/data, and analyze their significance in capturing India's diverse employment realities. • Conclude by stressing the need to align these measures with emerging policy priorities for inclusive and sustainable employment generation.
Introduction	Employment and unemployment are critical indicators of socio-economic development. In India, the National Sample Survey Office (NSSO, now NSO under MOSPI) provides the most comprehensive estimates through large-scale surveys, forming the basis for labour market analysis, poverty studies, and policy interventions. Over the decades, NSSO has evolved distinct concepts to capture labour force participation in India's heterogeneous economy.
Body & Infographic Representation	**Important concepts of employment/unemployment used by National Sample survey Organisation (NSSO):** • **Usual Principal Status (UPS):** ✓ Refers to the activity status of a person based on major time spent in the preceding 365 days. ✓ If employed or unemployed for a major part of the year, they are classified accordingly. ✓ Useful for estimating chronic unemployment and long-term labour participation. ✓ Example: NSSO 68th Round (2011-12) showed UPS unemployment at 2.2%, while the PLFS 2022-23 indicated further decline to around 2.1%. • **Usual Principal and Subsidiary Status (UPSS):** ✓ Includes both principal and subsidiary (secondary) activities performed during the year. ✓ Captures disguised and seasonal employment, crucial in rural/agricultural settings. ✓ **Economic Survey 2024–25** reports that female Labour Force Participation Rate (FLFPR) under the Usual Principal and Subsidiary Status (UPSS) mechanism rose significantly from 23.3% in 2017–18 to 41.7% in 2023–24, indicating increased economic activity through household and part-time work.

- **Current Weekly Status (CWS):**
  - ✓ Based on activity status during the last 7 days preceding the survey.
  - ✓ A person is considered employed if worked at least 1 hour on any day of the week.
  - ✓ CWS captures intermittent and underemployment, particularly in informal jobs.
  - ✓ As per **PLFS 2023,** CWS unemployment rate fell to 4.1%, down from 5.9% in 2018.

The unemployment rates as per the Periodic Labour Force Survey

	UPSS			CWS		
	Rural	Urban	Aggregate	Rural	Urban	Aggregate
2017-18	5.3%	7.8%	6.1%	8.5%	9.6%	8.9%
2018-19	5%	7.7%	5.8%	8.4%	9.5%	8.8%
2019-20	4%	7%	4.8%	7.9%	11%	8.8%
2020-21	3.3%	6.7%	4.2%	6.5%	10%	7.5%
2021-22	3.3%	6.3%	4.1%	6%	8.3%	6.6%

- **Current Daily Status (CDS):**
  - ✓ Most refined measure; records activity status for each day of the reference week.
  - ✓ Captures time intensity of work, underemployment, and disguised unemployment.
  - ✓ CDS unemployment rates are usually higher than UPS or CWS.
  - ✓ Example: Earlier NSSO rounds showed CDS unemployment around 6–8%, reflecting hidden underemployment.
- **Worker Population Ratio (WPR):**
  - ✓ Proportion of employed persons to the total population.
  - ✓ PLFS 2022-23 reported WPR (CWS) at 46.5%, showing gradual improvement post-pandemic recovery.
- **Labour Force Participation Rate (LFPR):**
  - ✓ Proportion of persons in the labour force (employed + unemployed) to the total population.
  - ✓ According to PLFS 2022-23, LFPR (CWS) rose to 57.9%, with rural female LFPR showing strong gains.

Conclusion

The NSSO's concepts like UPS, UPSS, CWS, CDS, LFPR, and WPR capture India's informal and seasonal labour market. PLFS shows gains in LFPR and WPR, but job quality, gender parity, and urban employment challenges persist. Sustainable growth needs alignment with skill development, PLI-driven manufacturing, and urban job schemes highlighted in Union Budget 2025–26.

Model Question

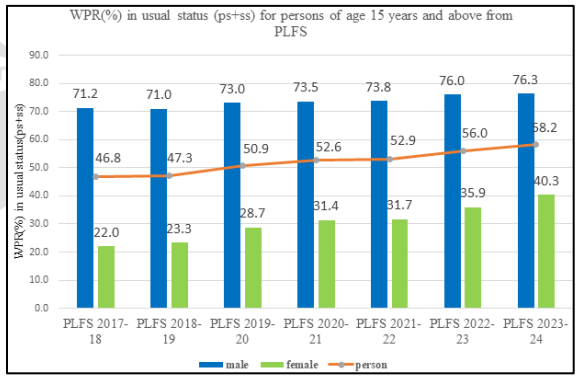
Assess the effectiveness of NSSO and PLFS methodologies in capturing women's participation in the workforce. What policy implications emerge from these findings?

Value Addition

Changes in Periodic Labour Force Survey (PLFS) from 2025:

- National Statistics Office (NSO), MOSPI revamped the sampling design of PLFS has been revamped from January 2025 to address the requirement of high frequency labour market indicators with enhanced coverage from PLFS.
- The revamped PLFS is envisaged to address the following objectives.
  - ✓ To estimate the key employment and unemployment indicators (viz. Labour Force Participation Rate, Worker Population Ratio, Unemployment Rate) on a monthly basis for rural and urban areas at all-India level in the Current Weekly Status (CWS).
  - ✓ To extend the coverage of the Quarterly results of PLFS to rural areas and thereby producing quarterly estimates at the country level and for major States in the Current Weekly Status (CWS).
  - ✓ To estimate important employment and unemployment indicators in both usual status (ps+ss) and CWS in both rural and urban areas annually.

134. Explain the methods of measuring unemployment in India. (APPSC, 2008)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Explain
Approach	• Introduce with the role of Labour force surveys (NSSO/PLFS) in capturing India's employment realities. • Explain multi-dimensional measures (LFPR, WPR, UPS, UPSS, CWS, CDS), highlight trends from recent PLFS, and link to issues of job quality, gender, and informality. • Conclude by suggesting alignment with skill development, PLI manufacturing push, and urban job creation schemes for sustainable employment growth.
Introduction	Unemployment measurement in India is crucial for informed policymaking, particularly in the context of growing Informalization and demographic pressures. The primary framework, developed by NSSO (now NSO under MoSPI), offers multiple reference-period-based methods, each serving different analytical and policy needs.
Body & Infographic Representation	**Methods of Measuring Unemployment in India:** • **Usual Principal Status (UPS):** ✓ **Definition:** Classifies a person as unemployed or employed based on major time spent during the last 365 days. ✓ **Utility:** Captures **long-term unemployment**, reflecting chronic joblessness. ✓ **Illustration:** If a person was seeking work or available to work for the majority of the year but did not find employment, they are chronic unemployed under UPS. ✓ Example: India's overall unemployment remained 3.2% during July 2023–June 2024, down from 6% in 2017–18. • **Usual Principal and Subsidiary Status (UPSS):** ✓ **Definition:** Extends UPS by acknowledging subsidiary (secondary) activities during the year, common in agriculture and informal sectors. ✓ **Utility:** Reflects seasonal/disguised employment, hence a more inclusive measurement of workforce engagement. Useful to gauge underemployment.  • **Current Weekly Status (CWS):** ✓ **Definition:** Determines a person's activity status during the 7 days preceding the survey. Employment requires at least one hour of work on any day. ✓ **Utility:** Captures temporary and casual unemployment, prevalent in informal and gig economies. Responsive to short-term job fluctuations. ✓ Example**:** LFPR (CWS): Rose to 56.4%, up from 54.6% the previous year. ✓ Example: WPR (CWS): Increased to 56.4%, reflecting more people engaged at least part-time in work. • **Current Daily Status (CDS):** ✓ **Definition:** Offers the most nuanced measure by tracking employment for each day of the reference week. ✓ **Utility:** Captures intensity of work and intricate underemployment patterns, especially in rural and day-labor contexts. ✓ **Application:** An individual may be counted as employed under CWS but may have low intensity (few days actually worked). • **Derived Measures: LFPR and Unemployment Rate:**

	✓ **Labour Force Participation Rate (LFPR):** The sum of the employed and unemployed persons divided by the total population. ✓ **Unemployment Rate:** The proportion of the labour force (employed + unemployed) that is unemployed. Both indicators are calculable under each status (UPS, UPSS, CWS, CDS). ✓ Example: CWS unemployment rate is frequently quoted in PLFS releases. ✓ **Worker Population Ratio (WPR):** Number of employed persons per total population; reflects overall employment intensity. ✓ Example**:** LFPR (UPS): Increased to 60.1% (UPSS), with female LFPR rising sharply from 37.0% to 41.7% over the year. **Relevance & Policy Implications:** • The Economic Survey 2024–25 leverages CWS unemployment data to comment on short-run labor market recovery. • The Union Budget 2025–26 emphasizes the need to reduce cyclical and structural unemployment by promoting PLI-linked manufacturing, urban job schemes, and skill development, guided by these nuanced unemployment metrics.
Conclusion	India employs a multi-layered framework like UPS, UPSS, CWS, CDS, LFPR, WPR to capture chronic, seasonal, and temporary unemployment, aligning measurement precision with policy needs. As the economy evolves, particularly amid gig and urban economies, such granularity ensures that policies are better targeted at reducing joblessness and promoting inclusive workforce participation.
Model Question	With examples from **recent PLFS data**, **assess** the gender disparities in India's employment scenario.
Value Addition	**Some of the findings of the Periodic Labour Force Survey (PLFS) Monthly Bulletin June 2025:** • Labour Force Participation Rate (LFPR) in Current Weekly Status (CWS) among persons of age 15 years and above was 54.2 % during June 2025 as compared to 54.8% during May, 2025. • LFPR in rural areas was 56.1% and LFPR in urban areas was 50.4% during June, 2025 for persons of the same age group. • LFPR in CWS for male of age 15 years and above in rural and urban areas were respectively 78.1% and 75.0% during June, 2025 which marked a marginal decline from the corresponding LFPR estimates of 78.3% and 75.1% respectively for rural and urban areas during May, 2025. • LFPR among female of age 15 years and above for rural areas was 35.2% during June, 2025. • Worker Population Ratio (WPR) in CWS in rural areas among persons of age 15 years and above was 53.3% during June, 2025.

135. Examine the structure of occupations pursued by Andhra Pradesh people and the proportion of SC-ST population in the total population of Andhra Pradesh. (APPSC, 2008)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Employment
Keyword	Examine
Approach	• Start with a brief intro on occupational structure in Andhra Pradesh (agriculture-dominant economy). • Analyse distribution across primary, secondary, and tertiary sectors with Census data and link to SC-ST share (noting their predominance in agriculture and unorganised labour). • Conclude with implications for inclusive growth and employment diversification.
Introduction	The occupational structure of Andhra Pradesh reflects the state's socio-economic composition, largely shaped by agriculture and allied activities. Over time, there has been

	a gradual diversification towards the industrial and service sectors. The Scheduled Castes (SCs) and Scheduled Tribes (STs) constitute a significant portion of the population, predominantly engaged in primary sector activities.
Body & Infographic Representation	**Structure of Occupations in Andhra Pradesh** • According to the Census 2011 and the Periodic Labour Force Survey (PLFS 2023), Andhra Pradesh's workforce distribution shows a predominant dependence on the primary sector, especially agriculture and allied activities: ✓ **Agriculture and allied sectors**: Around 55–60% of the state's population depends on farming, fisheries, and animal husbandry. ✓ **Secondary sector:** Industrial and manufacturing activities account for about 20–22% of total employment, particularly in areas like food processing, textiles, cement, and automobile industries around Visakhapatnam, Vijayawada, and Anantapur. ✓ **Tertiary sector:** Around 25–28% are engaged in services, including trade, transport, IT, and education, with rapid growth in urban centres such as Amaravati, Visakhapatnam, and Tirupati. • The state's unorganised sector dominates, with over 85% of the workforce lacking formal employment benefits, reflecting the need for skill diversification and social security reforms. **Proportion and Role of SC and ST Population** • As per the Census 2011, the Scheduled Castes constitute 16.4% and the Scheduled Tribes about 5.6% of the total population of Andhra Pradesh. ✓ SCs are largely concentrated in coastal and central districts like Guntur, Krishna, and East Godavari, primarily engaged as agricultural labourers and artisans. ✓ STs, mostly residing in Agency areas of Visakhapatnam, Vizianagaram, and Alluri Sitarama Raju districts, depend heavily on forest-based livelihoods, minor forest produce, and shifting cultivation. **Emerging Trends** • Recent trends indicate migration towards urban centres, growth in service-based employment, and increased participation of women in self-help groups under SERP and Mahatma Gandhi NREGA programmes, promoting inclusive livelihood diversification.
Conclusion	The occupational structure of Andhra Pradesh remains primarily agrarian, though diversification is evident with industrial and service growth. The SC and ST communities continue to face occupational marginalisation, necessitating focused interventions in education, skill training, and entrepreneurship. Balanced regional development and inclusive livelihood policies remain crucial for equitable growth.
Model Question	Analyse the pattern of employment distribution among various sectors in Andhra Pradesh and assess the socio-economic conditions of Scheduled Castes and Scheduled Tribes in relation to occupational diversity.
Value Addition	The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005, is a rights-based social security measure that guarantees 100 days of wage employment per rural household annually. It aims to enhance livelihood security through demand-driven, self-selecting employment while strengthening rural infrastructure and natural resource management. The programme promotes inclusive growth, empowering women, who constitute over 50% of the workforce, and marginalised communities.
136. What are the challenges faced by women in India? Throw some light on the recent programmes initiated by the government for women empowerment. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Women Empowerment

Keyword	What, Throw some light on
Approach	• Begin with the gender inequality context, like social, economic, and political dimensions. • Explain key challenges like wage gap, violence, health, and representation; cite data (NCRB, NFHS-5). • Highlight recent schemes (Mission Shakti, Beti Bachao Beti Padhao, PMMVY) and their empowerment outcomes.
Introduction	Women in India, constituting nearly half of the population, play a pivotal role in nation-building. Despite constitutional equality under Articles 14, 15, and 16, they continue to face multidimensional challenges rooted in socio-cultural and economic factors. The government has launched various targeted programmes to achieve gender parity and holistic empowerment.
Body & Infographic Representation	**Challenges faced by women in India:** **Social Challenges** ✓ **Gender Discrimination**: Deep-rooted patriarchy restricts women's mobility, decision-making, and access to education. ✓ **Violence and Safety Issues**: According to NCRB 2022, over 4.5 lakh crimes against women were reported, including domestic violence and sexual assault. ✓ **Health and Nutrition**: NFHS-5 (2019–21) reveals that 57% of women aged 15–49 are anaemic, reflecting nutritional inequity and poor healthcare access. ✓ **Child Marriage and Education Gaps**: Despite a female literacy rate of 70.3%, dropout rates among adolescent girls remain high, especially in rural areas, due to early marriages and inadequate sanitation facilities. • **Economic Challenges** ✓ **Low Workforce Participation**: The FLFPR for women aged 15 and above was 37.0% during July 2022-June 2023, and it rose further to 41.7% in the latest 2023-24 report. ✓ **Wage Disparity**: Women earn 20–30% less than men in comparable jobs (ILO Report, 2022). ✓ **Limited Asset Ownership:** Only 13% of agricultural landholdings are owned by women (Agricultural Census, 2016), restricting economic independence. ✓ **Unpaid Care Work**: Women spend nearly 4.5 hours/day on unpaid domestic chores versus 2 hours by men. • **Political and Institutional Barriers** ✓ Women's representation in the Lok Sabha is 13.6% (2024), and in State Assemblies is below 10%, despite the Women's Reservation Bill (2023) ensuring 33% future reservation. ✓ Institutional obstacles like workplace harassment, lack of childcare support, and inadequate representation in leadership positions persist. **Government Programmes for Women's Empowerment** • **Mission Shakti (2021):** Integrates safety (Sambal) and empowerment (Samarthya) components for women. • **Beti Bachao Beti Padhao:** Promotes education and survival of the girl child, improving the Child Sex Ratio from 918 (2011) to 943 (2021). • **Pradhan Mantri Matru Vandana Yojana (PMMVY):** Provides ₹5,000 cash benefit for safe motherhood. • **Mahila E-Haat and Stand-Up India:** Support women-led entrepreneurship and credit access. • **Nari Shakti Portal (2023):** Ensures convergence and digital monitoring of all women-centric schemes.

	• **SAMARTH (Skill India):** Focuses on skilling women in traditional and modern sectors.
Conclusion	Despite significant policy strides, women in India continue to face structural inequities across social and economic spheres. True empowerment requires bridging gender gaps through education, skilling, and safety assurance. Transforming women from beneficiaries to leaders remains central to India's vision of inclusive and sustainable growth.
Model Question	Enumerate the major socio-economic barriers confronting women in India and evaluate the effectiveness of recent governmental measures aimed at promoting gender equality and empowerment.
Value Addition	**Pradhan Mantri MUDRA Yojana (PMMY):** It provides collateral-free loans up to ₹20 lakh for non-farm enterprises; as of March 2025, over 52 crore loan accounts have been sanctioned, and around 68 % of loans have been granted to women
137. Explain the challenges faced by women entrepreneurs in India. Discuss the schemes and initiatives taken by the Indian Government with respect to facilitating women entrepreneurship in India. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Women Empowerment
Keyword	Explain and Discuss
Approach	• Introduce women's entrepreneurship's role in inclusive economic growth. • Discuss obstacles like financial access, social bias, skill gap, and lack of networks. • Explain supportive schemes like Stand Up India, Mudra Yojana, STEP, Startup India, and suggest a way forward for enabling the ecosystem.
Introduction	Women entrepreneurship plays a transformative role in inclusive economic growth and job creation in India. However, despite rapid policy advancement, women constitute only a small fraction of entrepreneurs in the country. The government has launched several targeted schemes to overcome structural, financial, and social challenges that hinder women's entrepreneurial participation.
Body & Infographic Representation	**Present Status of Women Entrepreneurship in India** • As per the 6th Economic Census (2016), women own only 13.76% of total enterprises, employing over 22 million people. • Most of these are micro and home-based units, reflecting limited scale and access to markets. • The Global Gender Gap Report (2025) ranks India 13th out of 146 countries in "Economic Participation and Opportunity," highlighting persistent gaps. **Major Challenges Faced by Women Entrepreneurs** • **Financial Constraints:** ✓ Limited access to formal credit due to a lack of collateral and gender bias in lending institutions. ✓ Only 27% of women-owned MSMEs have access to institutional finance (SIDBI Report, 2022). • **Socio-Cultural Barriers**: Prevailing patriarchal attitudes, family resistance, and social stigma discourage risk-taking among women. • **Skill and Knowledge Gap**: Limited managerial training and digital literacy hinder competitiveness, especially in rural areas. • **Market Access Issues**: Women entrepreneurs face challenges in scaling up and integrating with supply chains or e-commerce platforms. • **Balancing Family Responsibilities**: The Dual burden of domestic work and entrepreneurship restricts productivity and business expansion.

	Government Schemes and Initiatives with respect to facilitating women entrepreneurship in India • **Stand-Up India (2016):** Provides loans between ₹10 lakh–₹1 crore to women and SC/ST entrepreneurs for greenfield enterprises. • **Mahila Coir Yojana:** Encourages self-employment in the coir sector through subsidised equipment and training. • **Udyam Sakhi Portal (2018):** Digital platform for mentorship, funding, and networking support to women entrepreneurs. • **Pradhan Mantri Mudra Yojana (PMMY):** Offers collateral-free loans under Shishu, Kishor, and Tarun categories; 68% of PMMY beneficiaries are women. • **Startup India & STEP Scheme**: Promote innovation, skill training, and incubation support for women-led startups. • **TREAD Scheme**: Provides credit and training through NGOs to rural women entrepreneurs. **Emerging Trends** • The rise of digital platforms and e-commerce has enabled women entrepreneurs to access wider markets. • Self-Help Groups (SHGs) under DAY-NRLM and Mission Shakti are fostering collective entrepreneurship models across states like Andhra Pradesh and Telangana.
Conclusion	Women entrepreneurs in India are emerging as key drivers of innovation and employment generation. Addressing financial, social, and institutional constraints through inclusive policy support remains vital. A gender-sensitive entrepreneurial ecosystem will ensure sustainable and equitable economic growth in the years ahead.
Model Question	Critically discuss the impediments to the growth of women entrepreneurship in India and highlight the institutional and policy initiatives taken to enhance their entrepreneurial participation.
Value Addition	**New Term Loan Scheme for Women & SC/ST Entrepreneurs:** It was announced in the Union Budget 2025. Term loans up to ₹2 crore for first-time women & SC/ST entrepreneurs. It focuses on scale & manufacturing.
138. The focus of the government has shifted from women development to women led development'- Examine this statement in the context of Education, Skilling and Microfinance. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Women Empowerment
Keyword	Examine
Approach	• Define the shift: passive beneficiaries to active drivers of growth. • Examine through education (Beti Bachao, NIPUN Bharat), skilling (Skill India, DDU-GKY), and microfinance (SHG-Bank Linkage, DAY-NRLM). • Conclude on women as agents of socio-economic transformation, aligning with SDG-5.
Introduction	Women-led development signifies a transformative approach where women are seen as active agents of growth, not merely beneficiaries of welfare. This paradigm shift underlines their leadership in education, skill development, and financial inclusion. In India, recent policies emphasise empowering women to drive socio-economic transformation, aligning with SDG-5: Gender Equality.
Body & Infographic Representation	**Women-Led Development: The Changing Paradigm** • Earlier policies focused on women's development, such as providing welfare and protection. • The current approach emphasises women-led development, in which women drive change through education, entrepreneurship, and decision-making. Programmes such as Mission Shakti, Digital India, and Startup India integrate this vision.

	Education as an Enabler of Women-Led Growth • Education empowers women with knowledge, confidence, and leadership skills. • The Gross Enrolment Ratio (GER) for females in higher education has risen to 28.5%, surpassing the male GER in several states. • Schemes like Beti Bachao Beti Padhao and NIPUN Bharat Mission promote girls' education and foundational literacy. • Digital Saksharta Abhiyan enhances women's access to digital learning, enabling leadership in knowledge economies. • Example: Initiatives like Kasturba Gandhi Balika Vidyalayas (KGBV) ensure secondary education for girls in rural areas, empowering first-generation learners. **Skilling and Employment Initiatives** • Skill development has transitioned from gender-neutral to gender-responsive training. • Pradhan Mantri Kaushal Vikas Yojana (PMKVY) and Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY) have trained over 60 lakh women in diverse trades. • STEP (Support to Training and Employment Programme for Women) fosters employability in both traditional and modern sectors. • Mahila Samarthya Yojana under Mission Shakti integrates capacity building with market linkages. • Example: Women's cooperatives in Andhra Pradesh and Telangana's SERP programme show how skilling enables rural women to lead community enterprises. **Microfinance and Financial Inclusion** • Microfinance has become the foundation for women-led entrepreneurship. • The Self Help Group-Bank Linkage Programme (SHG-BLP) has mobilised over 9 million SHGs nationwide, empowering 100+ million rural women. • Andhra Pradesh's SERP and Telangana's Stree Nidhi Cooperative demonstrate women-led credit models reducing poverty and dependency. • MUDRA Yojana and Stand-Up India provide collateral-free loans, with 68% of beneficiaries being women (PMMY Report, 2023).
Conclusion	India's development narrative is increasingly shaped by women leading change rather than receiving it. Through education, skilling, and microfinance, women have evolved into economic and social leaders. Sustaining this momentum requires continuous investment in capacity, safety, and equal opportunity to realize the true spirit of women-led development.
Model Question	Discuss how the paradigm of women-led development is transforming India's approach towards inclusive growth, with specific reference to education, skill enhancement, and financial inclusion.
Value Addition	The NIPUN Bharat Mission (National Initiative for Proficiency in Reading with Understanding and Numeracy) was launched by the Ministry of Education in 2021 under the aegis of the National Education Policy (NEP) 2020. It aims to ensure that every child in India attains foundational literacy and numeracy (FLN) by Grade 3 by 2026–27. The mission focuses on strengthening early childhood education, teacher capacity-building, and outcome-based learning through tools like Learning Outcomes Frameworks and the Diksha digital platform. States and Union Territories implement it under the Samagra Shiksha scheme, with monitoring through the PARAKH assessment framework.
139. Examine the present state of microfinance in Andhra Pradesh in the backdrop of its earlier crisis. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Women Empowerment

Keyword	Examine
Approach	• Start with the 2010 AP microfinance crisis and its regulatory fallout. • Discuss recovery through SHG model, SERP, and banks' role; highlight current outreach and repayment trends. • Assess challenges like over-indebtedness, regulation, and digital finance inclusion post-crisis.
Introduction	Microfinance in Andhra Pradesh has played a pioneering role in promoting financial inclusion and women's empowerment. However, the sector witnessed a major crisis in 2010 due to over-lending, coercive recovery practices, and weak regulation. In the post-crisis period, a series of reforms and institutional innovations have reshaped the sector's credibility and sustainability.
Body & Infographic Representation	**Background: The 2010 Microfinance Crisis** • The 2010 crisis was triggered by over-indebtedness, multiple loans, and coercive recovery methods by private Microfinance Institutions (MFIs). • The situation worsened after the AP Microfinance Institutions (Regulation of Money Lending) Ordinance, 2010, which curbed MFI operations. • Loan defaults soared above 90%, and investor confidence collapsed. • The crisis exposed the absence of effective regulation, lack of borrower literacy, and weak social responsibility among MFIs. **Revival and Regulatory Reforms** • Post-crisis, the government and RBI implemented structural reforms: ✓ **RBI Guidelines (2011 & 2022):** Introduced interest rate caps, transparency norms, and borrower protection mechanisms. ✓ **NABARD's SHG–Bank Linkage Programme**: Strengthened after 2012 to channel credit through community-based organisations rather than profit-driven MFIs. ✓ **Andhra Pradesh State Rural Livelihood Mission (SERP):** Promoted women Self-Help Groups (SHGs) as the primary vehicle for microfinance delivery, focusing on thrift, credit discipline, and livelihood promotion. **Present State of Microfinance in Andhra Pradesh** • **Shift to SHG-based lending:** Over 95% of microfinance loans are now routed through SHGs under SERP. • **High Repayment Rate:** The SHG repayment performance exceeds 97%, restoring credit discipline. • **Integration with Digital Finance:** Initiatives like Stree Nidhi Cooperative Federation (2011) and YSR Cheyutha provide digital, low-interest loans to women. • **Inclusive Growth Impact:** Women-led enterprises and microenterprises have grown, especially in dairy, retail, and agro-processing sectors. **Continuing Challenges** • Persistent regional disparities and dependence on government subsidies. • Need for enhanced financial literacy and digital inclusion among rural women. • Balancing social goals with financial sustainability for long-term resilience.
Conclusion	The microfinance sector in Andhra Pradesh has evolved from crisis to stability through institutional reform and community-based credit models. The SHG-driven framework under SERP has become a national model for inclusive finance. Sustaining this success requires continuous monitoring, borrower education, and responsible lending to ensure equitable rural empowerment.
Model Question	Assess the evolution of the microfinance sector in Andhra Pradesh after the 2010 crisis and evaluate its present role in promoting rural livelihood and financial inclusion.

Value Addition	The Stree Nidhi Cooperative Federation Ltd., established in 2011 by the Government of Andhra Pradesh in collaboration with SERP (Society for Elimination of Rural Poverty) and MEPMA, aims to provide timely and affordable credit to women Self-Help Groups (SHGs). It functions as a state-owned microfinance institution, ensuring last-mile financial inclusion through community-based management. The scheme enables women to access instant loans for livelihood, enterprise, and emergency needs without heavy documentation or middlemen. By leveraging digital platforms and community banking models, Stree Nidhi has empowered over 1 crore women members, strengthening financial autonomy in rural areas. It complements national initiatives like NRLM and DAY-NULM, promoting women-led development and self-reliance in Andhra Pradesh.
140. Evaluate the programmes/schemes initiated by the Andhra Pradesh Government to achieve women empowerment. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Women Empowerment
Keyword	Evaluate
Approach	• Begin with the context of women's empowerment in Andhra Pradesh and link it to recent government priorities. • Present key schemes under clear subheadings, briefly explaining objectives and early outcomes. Critically evaluate strengths and challenges for each. Use relevant data or examples to show impact. • Conclude by emphasizing convergence, sustainability, and long-term empowerment rather than short-term benefits.
Introduction	The Andhra Pradesh government has initiated several targeted schemes to achieve women's empowerment, focusing primarily on economic independence, education, health, and safety. These initiatives align with broader visions like "One Family, One Entrepreneur" and the "Super Six" election promises, focusing on rural and urban women, particularly from marginalized communities such as SC, ST, backward classes, minorities, and economically weaker sections.
Body & Infographic Representation	**Key Programmes and Schemes:** • **Rapido-MEPMA Pilot Program (Under Self-Employment Programme - SEP):** ✓ This initiative partners with the Mission for Elimination of Poverty in Municipal Areas (MEPMA) to provide electric two- and three-wheelers to Self-Help Group (SHG) women for ride-hailing services via Rapido. ✓ Launched on International Women's Day (March 8, 2025), it offers subsidized loans (with Rs 13,000–16,000 subsidies), waived onboarding fees, and EMI assistance for the first year, enabling immediate earnings. ✓ **Evaluation:** ▪ **Strengths:** Highly practical for income generation, with quick scalability from a pilot to 4,800 beneficiaries by 2026. ▪ **Early outcomes show tangible financial impact:** 1,003 women benefited, generating Rs 35 lakh from 45,000 rides, with individuals earning Rs 500–10,000 monthly. ✓ **Challenges:** Limited to urban centers (e.g., Vijayawada, Visakhapatnam) initially, potentially excluding rural women. Dependency on bank loans and platform performance could pose repayment risks if rides dip. • **Stree Shakti Scheme:** ✓ A flagship welfare measure offering free travel for women on APSRTC buses. Launched on Independence Day (August 15, 2025), it includes safety enhancements like CCTV, GPS tracking, and women conductors with pocket cameras, saving women Rs 1,500–2,000 monthly.

	✓ **Evaluation:** ▪ **Strengths:** Directly tackles mobility barriers, boosting access to education, work, and markets—key to financial independence. ▪ Expected to enhance safety and confidence for girl students and commuters state-wide. ✓ **Challenges:** Potential strain on APSRTC infrastructure (e.g., increased demand) and indirect effects on auto-rickshaw drivers' livelihoods, though government support is promised. No post-launch data yet, limiting outcome assessment. • **Aadabidda Nidhi Scheme:** ✓ Administered by the Women and Child Development Department, this provides Rs 1,500 monthly via Direct Benefit Transfer (DBT) to eligible women aged 18–59 from marginalized groups, plus free transport for work/education. ✓ **Evaluation:** ▪ **Strengths:** Addresses immediate financial distress, promoting self-reliance and reducing inequality without overlapping other schemes. ▪ The DBT model ensures transparency, and bundled transport aid amplifies utility. ✓ **Challenges:** Still in pre-launch phase (official website and processes pending as of late 2025), with no reported outcomes. Excludes women from other schemes, potentially fragmenting support, and lacks details on funding sustainability. • **Drive for 1 Lakh Women Entrepreneurs (Via DWCRA and MEPMA)** ✓ This ambitious annual target integrates DWCRA (Development of Women and Children in Rural Areas) and MEPMA for business support, including Rs 35,000 crore in loans, 45% investment subsidies, and marketing tie-ups with 24 organizations. Complementary measures include expanded Thalliki Vandanam (Rs 15,000 per child for mothers), six-month paid maternity leave, Shakti App for safety (7-minute response), and remote work training via Ratan Tata Innovation Hubs. ✓ **Evaluation:** ▪ Strengths: Holistic approach covering entrepreneurship, family support, and safety—e.g., four Guinness Records via ONDC for product marketing. ▪ Historical DWCRA loans have boosted self-reliance and education; recent curbs on social issues (e.g., ganja menace) enhance enabling environments. ✓ **Challenges:** Ambitious scale (1 lakh entrepreneurs) risks uneven implementation across rural-urban divides. Relies on partnerships, which could falter without monitoring, and broader goals like population incentives may dilute focus.
Conclusion	The Andhra Pradesh government's schemes adopt a multi-dimensional approach to women's empowerment. The emphasis on direct benefit transfers (DBT) has ensured transparency and direct access to funds, significantly enhancing women's financial autonomy. Schemes are designed to be converged and address issues across a life-cycle continuum, from child education to old age financial security.
Model Question	"Empowering women is the key to transforming rural economies." Discuss with examples
Value Addition	• The "Super Six" is a set of six key welfare promises made by the Telugu Desam Party (TDP) in its 2024 election manifesto for Andhra Pradesh. The TDP-led NDA government claims to have fulfilled most of these promises since coming to power in June 2025. • **The six promises are:** ✓ Aadabidda Nidhi (Financial assistance for women): A monthly aid of ₹1,500 for every woman aged between 19 and 59 years.

	✓ Talliki Vandanam (Financial assistance for mothers): An annual financial assistance of ₹15,000 to the mother or guardian for every child of the family studying in Class 1 to Intermediate (Class 12), across government, private aided, and private unaided schools. ✓ Deepam Scheme (LPG cylinders): Three free LPG cylinders annually to every eligible household. ✓ Annadatha Sukhibhava (Financial assistance for farmers): An annual financial aid of ₹20,000 for small, marginal, and tenant farmers. ✓ Free bus travel for women: Free travel for women on Andhra Pradesh State Road Transport Corporation (APSRTC) ordinary buses. ✓ Job opportunities/Unemployment allowance for youth: Creation of 20 lakh jobs over five years, or a monthly unemployment allowance of ₹3,000 for eligible youth.
141. Critically examine the socio-economic issues regarding the pace of women empowerment in Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Women Empowerment
Keyword	Critically examine
Approach	• Introduce by defining women empowerment as enhancing women's ability to participate equally in social, economic, and political life, highlighting its importance for inclusive development. • Explain the socio-economic issues low female labour participation, wage disparity, limited education and skills, patriarchal norms, gender-based violence, and poor implementation of welfare schemes with examples from Andhra Pradesh. • Conclude by stressing the need for education, financial inclusion, and gender-sensitive governance to ensure real empowerment.
Introduction	Women empowerment is a crucial aspect of inclusive growth and social justice. Despite progress in literacy, self-help groups, and welfare programmes, women in Andhra Pradesh still face multiple socio-economic barriers that restrict their participation in education, employment, decision-making, and access to resources.
Body & Infographic Representation	**Socio-economic Issues retarding the pace of women empowerment in Andhra Pradesh:** • **Economic Barriers:** ✓ Low Workforce Participation: Female labour force participation in Andhra Pradesh remains around 33%, with many women engaged in informal and unpaid agricultural work. ✓ Wage Disparity: Persistent wage gaps between men and women, especially in rural and unorganised sectors, hinder financial independence. ✓ Limited Access to Credit: Although SHGs under DWCRA and SERP improved access, women entrepreneurs still face issues of collateral and awareness about institutional finance. • **Educational and Skill Gaps:**

	✓ Female literacy is lower than male literacy, especially in tribal and rural areas. ✓ Lack of skill-oriented training and digital literacy limits women's ability to adapt to emerging employment sectors. • **Social and Cultural Constraints:** ✓ Patriarchal mindset continues to influence gender roles, restricting mobility and autonomy. ✓ Early marriage and gender-based violence remain major deterrents to empowerment, especially in rural areas. **Recent women empowerment initiatives in Andhra Pradesh (2024–2025):** • **Economic Empowerment:** ✓ LEAP Programme: Helps women become entrepreneurs; goal to create 1 lakh women entrepreneurs. ✓ Skill Training: 1.5 lakh women to get sewing machines and tailoring training. ✓ Support via SHGs: Strengthening SERP & MEPMA groups for self-employment and MSME participation. • **Safety & Welfare:** ✓ Sakhi Suraksha: Health and wellness scheme for SHG women (age 35+). ✓ Sakhi Nivas: Secure hostels for working and single women. ✓ Shakti App: Emergency digital safety app for women. • **Household Support:** ✓ Deepam 2.0: Free LPG cylinders (3 per year) to reduce household drudgery and promote clean energy.
Conclusion	To ensure genuine women empowerment, Andhra Pradesh must focus on education, financial inclusion, and social awareness. Strengthening self-help groups, enforcing equal pay, and expanding digital and vocational training can accelerate empowerment, ensuring that women become equal partners in the state's development process.
Model Question	"Evaluate the impact of government initiatives on improving women's participation in the workforce of Andhra Pradesh."
Value Addition	**Women Empowerment Initiatives in Andhra Pradesh (2025):** • Entrepreneurship & Livelihoods: ✓ Plan to turn lakhs of women into entrepreneurs through SERP, MEPMA & MSME sectors. ✓ Roadmap for sustainable livelihoods in agriculture, manufacturing, services & business. ✓ Target: Support 10,000 women in MSMEs (2025–26). • Safety Measures: ✓ Launch of Sakthi Teams- special units to prevent harassment & assist women/children in public spaces. • Handloom & Skill Development: ✓ Handloom Rathams: One van per district (₹60 lakh each) to market weavers' products. ✓ Free yarn: For 36 sarees per woman weaver. 1.5 lakh women to get free sewing machines & tailoring training.
142. What are the measures taken by the Government of Andhra Pradesh to empower women? Elaborate. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Women Empowerment
Keyword	What, Elaborate
Approach	• Begin with a brief introduction highlighting Andhra Pradesh's holistic strategy for women's empowerment.

	• In the body, categorize initiatives into economic empowerment (cash transfers, SHGs), education and health support, and safety/legal protection measures with suitable examples. Explain how these interventions improve financial independence, mobility, and social dignity. • Conclude by emphasizing the state's integrated and sustained commitment toward inclusive women-led development.
Introduction	The Government of Andhra Pradesh has pursued a multi-pronged approach to women's empowerment like direct cash transfers and pensions for economic security, credit and livelihood support for entrepreneurship, programmes for education and health, and institutional/legislative measures for protection and social inclusion.
Body & Infographic Representation	**Economic Empowerment and Financial Assistance:** • **Aadabidda Nidhi:** ✓ This scheme provides monthly financial assistance of ₹1,500 to every eligible woman in the age group of 19 to 59 years. This regular income helps them manage daily expenses and reduces financial dependence on family members, thus promoting self-reliance. • **Deepam Scheme:** ✓ The government provides three free LPG cylinders annually to every eligible household, significantly reducing the financial burden on women who manage household fuel needs and promoting cleaner cooking energy sources. • **Support for Self-Help Groups (DWCRA):** ✓ The government aims to make one lakh women millionaires through DWCRA groups. Initiatives include providing business training, market linkages, and access to loans. For example, MoUs with companies like Flipkart help market DWCRA products, while training is offered in various sectors like tailoring, agriculture, and beauty services to help them become self-employed. Free sewing machines are also provided to those who complete tailoring training to kickstart their businesses. • **Employment Opportunities:** ✓ The government encourages women's participation in the workforce. This includes providing electric vehicles (e-bikes and e-autos) to women riders to facilitate transport services and implementing a large-scale 'work-from-home' policy, especially in the IT sector, to offer flexible employment options. **Education and Social Welfare:** • **Talliki Vandanam:** ✓ This scheme provides annual financial assistance of ₹15,000 to the mother or guardian for every child from Class 1 to Intermediate (Class 12) to support their education, thereby reducing school dropout rates, particularly for girls. • **Maternity and Child Health:** ✓ The government has directed health officials to promote natural childbirth over C-sections by training healthcare professionals in midwifery. Other ongoing initiatives include providing nutrition to pregnant women and new mothers and 'baby kits' for newborns. • **Gratuity for Anganwadi and ASHA Workers:** ✓ The government fulfilled a long-pending demand by implementing gratuity benefits for over 55,000 Anganwadi workers and 48,000 helpers, recognizing their crucial role in community health and welfare. **Safety and Legal Protection:** • **Free Bus Travel ("Stree Shakti"):**

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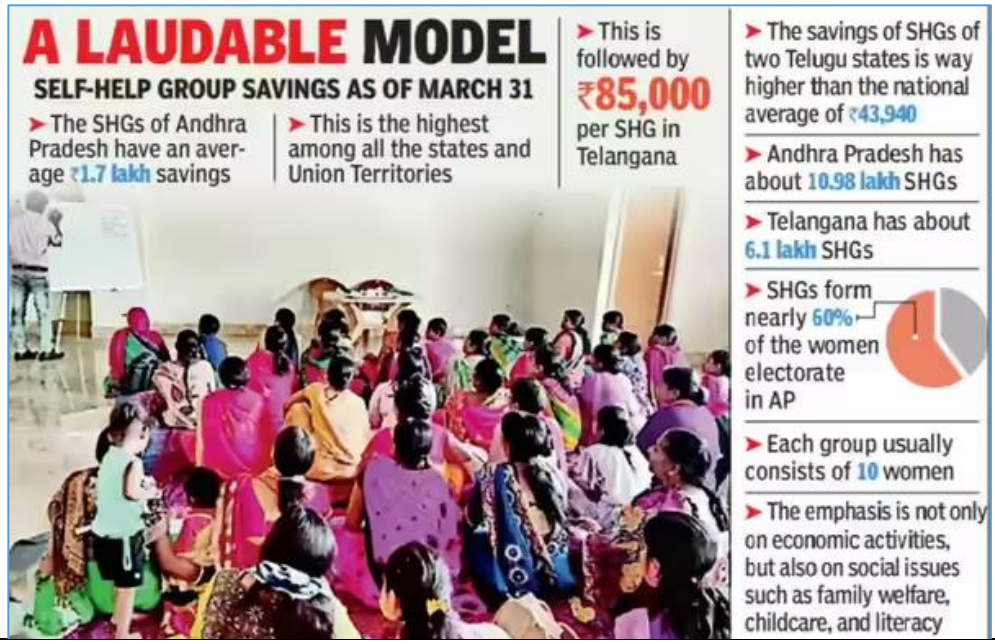
✓ The "Stree Shakti" scheme allows women, girls, and transgender persons free travel on ordinary APSRTC buses. This enhances their mobility, access to education, healthcare, and employment opportunities while saving them significant travel costs.
• Shakti App and Teams:
✓ To enhance safety, the government has launched the "Shakti" app with emergency features and formed 164 Shakti teams to prevent harassment. Strict action is taken against offenders, including those involved in online harassment.
• One Stop Centres (OSCs):
✓ These centers, also known as 'Sakhi Centres', provide integrated support services under one roof to women affected by violence, including police assistance, medical aid, legal counselling, and temporary shelter.


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<tr><td>Conclusion</td><td>Andhra Pradesh government's approach combines substantial financial support and skill development with crucial safety and educational reforms, demonstrating a holistic commitment to women's empowerment.</td></tr>
<tr><td>Model Question</td><td>Discuss the role of Self-Help Groups (SHGs) in promoting women's economic empowerment in Andhra Pradesh. Support with recent examples.</td></tr>
<tr><td>Value Addition</td><td>
One Stop Centre Scheme: One Stop Centres (OSC) are intended to support women affected by violence, in private and public spaces, within the family, community and at the workplace.
• The objectives of the Scheme are:
✓ To provide integrated support and assistance to women affected by violence, both in private and public spaces under one roof.
✓ To facilitate immediate, emergency and non - emergency access to a range of services including medical, legal, psychological and counselling support under one roof to fight against any forms of violence against women.
• Target group:
✓ The OSC will support all women affected by violence, irrespective of caste, class, religion, region, sexual orientation or marital status.
• Services offered in OSCs:
✓ The One Stop Centers shall be the main stay of the Ministry at District level for coordination and convergence with other initiatives under Nirbhaya Fund such
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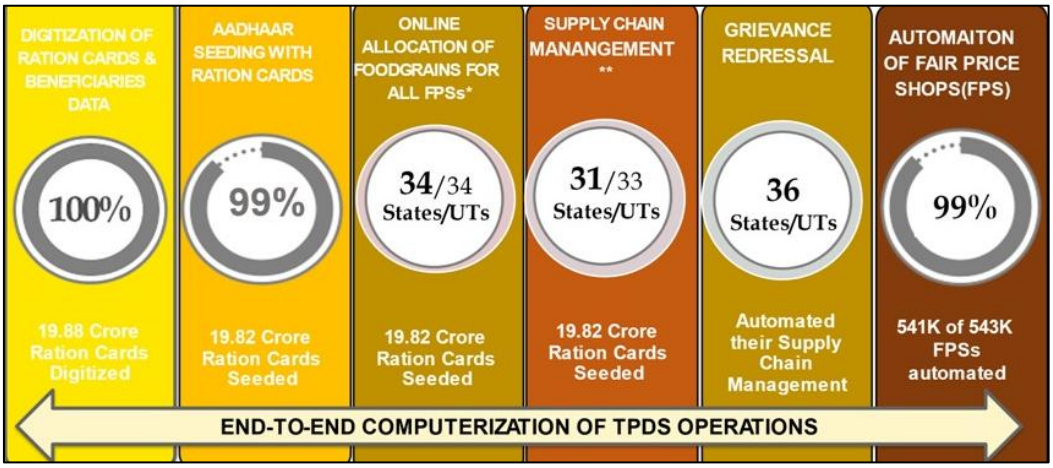
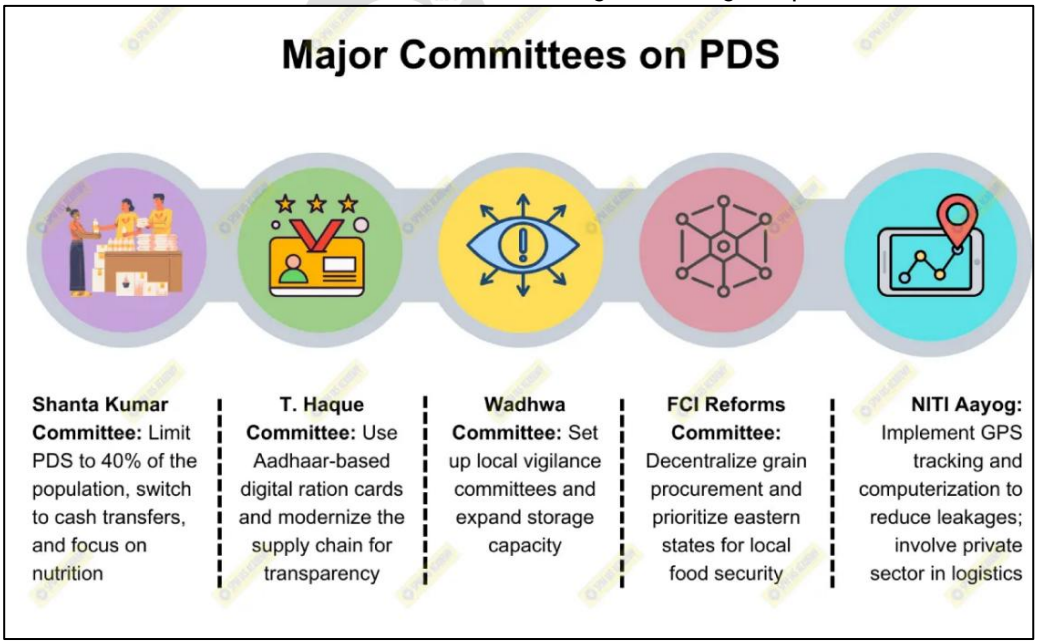
	as Women Helplines, Anti Human Trafficking Units (AHTUs), Women Help Desks (WHDs), and Special Fast Track Courts (FTSCs), District Legal Service Authority (DLSA) etc.
143. Examine the role of SHGs in Andhra Pradesh in meeting the credit requirements of rural people. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Women Empowerment
Keyword	Examine
Approach	• Begin with the importance of SHGs in rural credit access and highlight Andhra Pradesh as a pioneering model. • Explain how SHGs function through savings, internal lending, and bank linkage. Discuss their role in reducing dependence on moneylenders, supporting livelihoods, and empowering women. Include training and socio-economic impacts. • Conclude by emphasizing SHGs as key drivers of rural financial inclusion and empowerment.
Introduction	Self-Help Groups (SHGs) have played a transformative and highly significant role in meeting the credit requirements of rural people in Andhra Pradesh. The state is widely regarded as a pioneer and a model for the SHG movement, driven by strong state support through institutions like the Society for Elimination of Rural Poverty (SERP).
Body & Infographic Representation	**Evolution and Operational Model:** • SHGs typically consist of 10–20 members who meet regularly to save a small amount. The pooled savings create a corpus for internal lending (inter-loaning) to meet urgent consumption or productive needs. • After stabilising their thrift-and-credit behaviour, many SHGs gain access to external finance through bank linkages under the SHG-Bank Linkage Programme, or through microfinance institutions and government schemes. • In Andhra Pradesh the model gained traction through state rural development initiatives and NGO facilitation, which emphasised women's groups and capacity building. **Role in Meeting Credit Requirements:** • **Immediate consumption and emergency credit:** ✓ SHGs provide quick, collateral-free small loans from internal savings for health, education, and household emergencies. ✓ This reduces dependence on high-cost informal lenders and improves financial resilience at the household level. • **Financing of micro-enterprises and livelihoods:** ✓ SHG loans support livelihood activities—micro-enterprises, animal husbandry, small shops, tailoring, and seasonal agricultural inputs. ✓ By financing working capital and small capital items, SHGs enable incremental income generation and diversification of rural livelihoods. • **Access to formal credit through bank linkages:** ✓ SHGs serve as an entry point for formal banks to rural households. Group guarantee mechanisms, simplified documentation, and regular meeting discipline make SHGs a viable credit channel for banks. ✓ This linkage brings larger loans, lower interest rates, and access to savings accounts, insurance and government subsidies. • **Credit plus services (training, market linkages):** ✓ Beyond money, many SHGs in Andhra Pradesh have benefitted from capacity building—bookkeeping, enterprise training, and market access support—often facilitated by NGOs or state programmes.

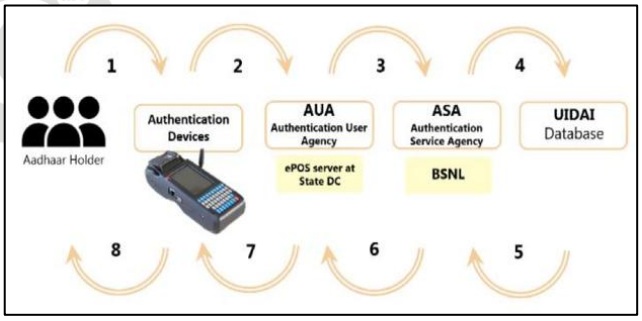
	✓ This "credit plus" approach raises the success rate of investments financed by SHG credit. • **Socio-economic Impact and Women's Empowerment**: ✓ Because most SHG members are women, credit flows through SHGs have multiplied women's control over resources, increased bargaining power within households, and encouraged collective decision-making. ✓ Community savings and credit activities have also helped build social capital, enabling women to take up leadership roles in local governance and community development. **Impact on rural livelihoods and empowerment:** • **Income Generation:** Studies have shown that access to credit through SHGs has led to increased income and employment opportunities for members. This allows them to invest in productive activities such as small businesses, agriculture, and livestock. • **Increased Assets and Standard of Living:** With increased financial stability, members can invest in household assets, education for their children, and better healthcare. The economic empowerment contributes to an overall improvement in the family's standard of living. • **Reducing Vulnerability:** By providing access to emergency funds, SHGs help rural families manage financial shocks without falling into high-interest debt, making them more resilient to economic downturns.
Conclusion	SHGs in Andhra Pradesh have moved beyond simple savings groups to become a sophisticated and highly effective financial and social institution. Their role in meeting the credit needs of the rural poor, particularly women, is a cornerstone of the state's poverty alleviation strategy, promoting financial inclusion, economic empowerment, and sustainable rural development.
Model Question	Assess the role of community-based organizations such as SHGs, Village Organizations (VOs), and Mandal Samakhyas in poverty alleviation under SERP in Andhra Pradesh.
Value Addition	• **The SHG-Bank Linkage Programme (SBLP)** is a microfinance initiative launched by NABARD in 1992 to provide financial services to the unbanked poor by linking Self-Help Groups (SHGs) with formal financial institutions like banks. • It helps organize informal saving groups into formal entities that can access savings accounts, credit, and other financial products, promoting financial inclusion and lowering transaction costs for both the SHGs and the banks. • The program often focuses on women's groups and involves NGOs in promoting and managing the groups.
144. Write notes on: (i) Measures taken by the Andhra Pradesh government to empower women. (ii) Infant Mortality and Death rates in Andhra Pradesh in the recent decade. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Women Empowerment
Keyword	Write note on
Approach	• Begin with a brief context on women's empowerment as a governance priority in Andhra Pradesh.

	• In the body, categorize government measures into financial support, mobility, health and safety initiatives, citing "Super Six" schemes. Present data trends on IMR and CDR to show health impact. Use examples like Anganwadi, ASHA benefits, and SNCUs. • Conclude with achievements and remaining gaps like regional disparities.
Introduction	The Government of Andhra Pradesh has implemented a multi-faceted strategy to empower women, focusing on financial autonomy, education, healthcare, and safety. A significant part of this approach includes the "Super Six" promises of the current TDP government.
Body & Infographic Representation	**Measures Taken by the Andhra Pradesh Government to Empower Women:** • **Aadabidda Nidhi:** Eligible women aged 19-59 receive a monthly financial aid of ₹1,500. This assistance helps cover daily expenses and reduces financial dependence. • **Deepam Scheme:** Households receive three free LPG cylinders annually, which alleviates the financial burden of cooking fuel for women managing households. • **Gratuity Benefits:** The government fulfilled a long-pending demand by providing gratuity benefits to Anganwadi and ASHA (Accredited Social Health Activist) workers upon retirement or death, providing financial security to these grassroots health workers. • **Health and Nutrition:** Anganwadi centers provide supplementary nutrition, health education, and check-ups to pregnant women, lactating mothers, and young children. There is also a focus on promoting institutional deliveries and training health professionals in maternal and newborn care. • **Free Bus Travel:** The "Stree Shakti" scheme offers free travel for women, girls, and transgender persons on all ordinary APSRTC buses within the state. This enhances their mobility and safety when commuting for work or education. • **"Shakti" App and Teams:** A dedicated app and 164 Shakti teams were established to prevent harassment and ensure a quick response to safety concerns. **Infant Mortality and Death Rates trends in Andhra Pradesh in the Recent Decade:** • Andhra Pradesh has witnessed a significant decline in both Infant Mortality Rate (IMR) and Crude Death Rate (CDR) over the past decade, reflecting improvements in the state's healthcare infrastructure and welfare programs. • **Infant Mortality Rate (IMR):** IMR, defined as infant deaths (less than one year) per 1,000 live births, is a key indicator of the overall health scenario. ✓ **Trend Analysis:** Andhra Pradesh has achieved a remarkable reduction in its IMR over the decade. ▪ In 2010, the IMR was 46 deaths per 1,000 live births. ▪ By 2019, this rate dropped significantly to 25 per 1,000 live births. ▪ The 2020-2022 data shows a further reduction to 21.0 deaths per 1,000 live births, a 51.4 percent improvement from the 2010-2012 period, ranking among the best reductions nationally. ▪ As of 2021 data, AP's IMR reached 24 deaths per 1,000 live births. ✓ **Key Interventions:** This decline is attributed to several health initiatives, including the establishment of Special Newborn Care Units (SNCUs), Newborn Stabilization Units (NBSUs), and Newborn Care Corners (NBCC) in health facilities. Programs like 'Janani Suraksha Yojana' promoting institutional deliveries and 'Mothers' Absolute Affection (MAA)' promoting breastfeeding have also been instrumental. • **Death Rate (Crude Death Rate - CDR):** The CDR indicates the number of deaths per 1,000 population in a given year.

	✓ **Trend Analysis:** The CDR in Andhra Pradesh has also steadily declined. ▪ In 2010, the CDR was 7.6 deaths per 1,000 population. ▪ By 2019, this rate had decreased to 6.4 per 1,000 population. ▪ The latest available data for 2020 shows a further drop to 6.3 deaths per 1,000 population. ✓ **Factors:** This consistent decline points to improved access to healthcare services, better disease management, and a general improvement in the standard of living and health awareness across the state.
Conclusion	Andhra Pradesh combines mission-mode safety/welfare measures (Mission Shakti, Shakti Sadan, One-Stop Centres, Women Help Desks) with large cash-transfer and livelihood schemes (YSR Cheyutha, Amma Vodi and SHG promotion) to enhance women's agency and security. Parallelly, IMR and death-rates have fallen over the past decade in AP — mirroring national progress — but neonatal mortality and inter-district disparities remain the key programmatic challenges.
Model Question	"Women safety and social protection measures are central to inclusive governance." Examine this statement with reference to Andhra Pradesh.
Value Addition	**Recent NFHS-5 (2019-21) data for Andhra Pradesh:** • **Housing and infrastructure:** ✓ Housing: 85% of households live in "pucca" houses. ✓ Electricity: 99% of households have access to electricity. ✓ Sanitation: 22% of rural households and 16% of all households lack improved sanitation facilities. ✓ Drinking water: 91% of households have access to basic drinking water. • **Health and nutrition:** ✓ Anemia: 63% of children (6-59 months) and 59% of women (15-49 years) were anemic in NFHS-5, an increase from NFHS-4. ✓ Health insurance: Around 70% of households had some form of health insurance or financing scheme. ✓ HIV/AIDS knowledge: 91.4% of women and 97% of men had heard of HIV/AIDS, but only 24.6% of women and 38.6% of men had "comprehensive" knowledge. • **Fertility and marriage:** ✓ Total Fertility Rate (TFR): The TFR for women aged 15-49 was 1.7 children per woman, with a rate of 1.8 in rural areas and 1.5 in urban areas. ✓ Median age at first marriage: The median age for women aged 20-49 was 18.4 years
145. Examine major issues concerning public distribution system in Andhra Pradesh. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Distribution System
Keyword	Examine
Approach	• Begin with a brief introduction on the importance of PDS for food security and its prominence in Andhra Pradesh. • In the body, classify issues under clear subheadings such as leakages, targeting errors, logistical gaps, and quality concerns, with relevant examples. • Conclude by highlighting ongoing reforms and emphasizing the need for stricter monitoring, updated beneficiary data, and stronger accountability to improve efficiency.
Introduction	The Public Distribution System (PDS) is a vital component of India's food security network, ensuring access to essential commodities such as rice, wheat, sugar, and kerosene at subsidized prices. Andhra Pradesh is considered one of the most reform-oriented states in PDS implementation, especially through digitalization and doorstep

	delivery. Yet, several structural, operational, and social issues continue to affect its efficiency and effectiveness.
Body & Infographic Representation	 **Leakages and Diversion of Food Grains:** • A primary concern is the siphoning off of subsidized food grains from the supply chain into the open market for profit. ✓ **Rogue Dealer Practices:** Fair Price Shop (FPS) owners sometimes swap the good quality stock received from the Food Corporation of India (FCI) with inferior grains. The superior FCI stock is then sold in the open market at a higher price. ✓ **"Ghost" Beneficiaries and Bogus Cards:** Instances of dealers creating a large number of bogus or "ghost" ration cards to divert food grains have been reported. ✓ **Lack of Dealer Compensation:** FPS dealers often express distress over minimum salaries or inadequate commissions. This financial pressure incentivizes them to resort to malpractices and illegal diversion of commodities. **Targeting and Identification Errors:** • Identifying the correct beneficiaries remains a significant challenge, leading to both the exclusion of the genuinely poor and the inclusion of the ineligible. ✓ **Exclusion Errors:** The most vulnerable populations, such as Adivasi families in remote areas or migrant workers, are often excluded from PDS benefits due to complex documentation requirements, lack of Aadhaar cards, or authentication failures. ✓ **Aadhaar-Linked Issues:** While Aadhaar integration has improved targeting, it has also led to the denial of rations for legitimate beneficiaries due to biometric mismatch failures, poor internet connectivity in remote areas, or technical glitches in the Point of Sale (PoS) machines. ✓ **Outdated Data:** The identification of eligible households often relies on outdated socio-economic data or census information, leading to inaccuracies in the beneficiary lists. **Logistical and Operational Challenges:** • Inefficiencies in the supply chain contribute to wastage and irregular supply. ✓ **Storage and Transportation Losses:** Inadequate storage facilities at FCI godowns and during transit lead to significant post-harvest losses due to spoilage, pest infestations, and improper handling. ✓ **Inactive Shops and Geographical Disparities:** A notable number of FPS shops remain inactive or closed in certain districts, making it difficult for beneficiaries to procure their rations. Rural and remote areas often face more severe challenges in timely delivery compared to urban centers due to poor last-mile connectivity.

	Quality and Accountability Concerns: • Beneficiaries often complain about the quality of the food grains distributed. ✓ **Substandard Grains:** The quality of rice or other commodities provided through the PDS is frequently substandard, affecting the nutritional value for consumers. ✓ **Lack of Transparency:** There is often insufficient transparency regarding stock availability, price lists, and distribution schedules at the FPS level. Although measures like CCTV cameras and QR codes for complaints are being introduced, inconsistent monitoring mechanisms allow for corrupt practices to persist.
Conclusion	The Public Distribution System in Andhra Pradesh has undoubtedly made significant strides through digital transparency, supply chain monitoring, and doorstep delivery. Despite technological reforms, the Public Distribution System in Andhra Pradesh continues to grapple with pervasive issues of corruption, logistical inefficiencies, and targeting errors, which undermine its core objective of ensuring food security for the poor.
Model Question	Discuss the effectiveness of the Public Distribution System (PDS) in ensuring food security in India. Highlight challenges and suggest reforms.
Value Addition	**Andhra Pradesh's Public Distribution System (PDS):** • **Capacity:** ✓ **Number of cardholders:** Over 14.6 million rice card holders, serving approximately 4.24 crore (42.4 million) beneficiaries. ✓ **Distribution volume:** The A.P. State Civil Supplies Corporation distributes large quantities of food grains, with recent figures showing 332,083 metric tons of rice and wheat distributed to different categories in a given period.  • **Accomplishments and initiatives:** ✓ **Smart ration cards:** Andhra Pradesh has launched smart ration cards, which are unique ID cards for each family with embedded safety features and a QR code for real-time data tracking. ✓ **Real-time data platform:** All data is uploaded in real-time and integrated onto a single platform. This provides a dashboard for officials to monitor distribution arrangements and improve service delivery through technology. ✓ **Integration with national schemes:** The system works in line with the National Food Security Act (NFSA), which mandates food security for a large portion of

	the population and includes provisions for pregnant women, lactating mothers, and children.
146. Discuss the nature of functioning of Aadhaar enabled e-public distribution system (AePDS) in Andhra Pradesh in terms of purchase, transportation, storage, allotment and delivery of food grains. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Distribution System
Keyword	Discuss
Approach	• Introduce by explaining AePDS as a digital, Aadhaar-based system ensuring transparency and efficiency in food grain distribution in Andhra Pradesh. • Discuss its functioning through key stages purchase from farmers at MSP, GPS-based transportation, digital storage management, online allotment to Fair Price Shops, and biometric delivery to beneficiaries. • Conclude by highlighting how AePDS curbs leakages, ensures accountability, and strengthens food security delivery in the state.
Introduction	The Aadhaar-enabled e-Public Distribution System (AePDS) in Andhra Pradesh is a technology-driven initiative to ensure efficiency, transparency, and accountability in food grain distribution. It integrates biometric authentication, GPS tracking, and real-time data monitoring to streamline every stage from procurement to delivery—under the Public Distribution System (PDS).
Body & Infographic Representation	• **Purchase of Food Grains:** ✓ The procurement of food grains under AePDS is carried out through the Andhra Pradesh State Civil Supplies Corporation (APSCSC) from farmers at Minimum Support Prices (MSP). The entire process is digitized through online procurement portals, ensuring direct payment to farmers' bank accounts, eliminating middlemen, and maintaining accurate records.  • **Transportation and Logistics:** ✓ Management After procurement, the transportation of grains is monitored through GPS-enabled vehicles. Each truck is tagged and tracked to ensure timely and tamper-proof movement from procurement centres to storage depots and Fair Price Shops (FPS). The use of e-way bills and digital tracking reduces pilferage and diversion of grains. • **Storage and Stock Management:** ✓ The AePDS integrates with warehouse management systems to maintain real-time inventory levels across godowns. Each lot is assigned a digital ID to track the quantity, quality, and location of stored food grains. Periodic digital audits ensure optimum utilization of space and minimal wastage. • **Allotment and Distribution to Fair Price Shops (FPS):** ✓ The system uses automated online allocation based on cardholder population and entitlement. FPS dealers receive online notifications, and allocations are approved through the AePDS portal. The use of biometric authentication at the dealer level prevents fake billing and ghost beneficiaries.

	• **Delivery to Beneficiaries:** ✓ At the beneficiary end, Aadhaar-based biometric authentication (ePoS) ensures "One Nation One Ration Card" implementation. Each transaction is recorded in real-time through electronic Point of Sale (ePoS) devices, ensuring that only genuine beneficiaries receive their entitled quantity of subsidized food grains.
Conclusion	The AePDS in Andhra Pradesh represents a modern, transparent, and inclusive model of food security delivery. By integrating Aadhaar authentication, GPS tracking, and real-time monitoring, the state has significantly curbed leakages, improved beneficiary satisfaction, and ensured efficient food grain management across the entire supply chain.
Model Question	Examine how the integration of digital technologies such as Aadhaar authentication and real-time monitoring has improved transparency and accountability in the Public Distribution System (PDS) of Andhra Pradesh.
Value Addition	**Aadhaar Enabled Public Distribution System (AePDS):** • AePDS is a system that links beneficiaries' Aadhaar cards to their ration cards to improve the efficiency and transparency of India's Public Distribution System (PDS). • By using biometric authentication through Aadhaar, AePDS helps prevent leakages and fraud by ensuring that subsidized food grains are distributed only to eligible beneficiaries **How it works:** • **Aadhaar-Ration Card Linking:** Beneficiaries' Aadhaar numbers are linked to their ration cards, making the identification process more secure. • **Biometric Authentication:** At the Fair Price Shop (FPS), beneficiaries are authenticated using their fingerprint or iris scan, which matches their Aadhaar details. • **Online Transaction Tracking:** Every transaction is recorded online, creating a transparent and traceable record of food grain distribution.
147. "Fair Price Shop Automation and portability within a District "– discuss the possible advantages of these changes in public distribution system. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Distribution System
Keyword	Discuss
Approach	• Introduce by explaining the Public Distribution System (PDS) as a food security mechanism ensuring subsidized food grains to eligible households under NFSA. • Discuss automation of Fair Price Shops (FPS) through ePoS devices, highlighting Aadhaar-based authentication, transparency, and real-time monitoring. • Explain district-level portability benefits like flexibility, accessibility, and inclusion for migrant beneficiaries. • Conclude by emphasizing improved efficiency, reduced leakages, and strengthened food security through digital reforms.
Introduction	The automation of Fair Price Shops (FPS) and introduction of intra-district portability are key reforms in India's Public Distribution System (PDS). These initiatives aim to enhance transparency, accountability, and beneficiary convenience through digitization, biometric verification, and real-time monitoring under the National Food Security Act (NFSA), 2013.
Body & Infographic Representation	**Automation of Fair Price Shops (FPS) and Portability within Districts:** • The automation of FPS involves installing electronic Point of Sale (ePoS) devices that enable Aadhaar-based biometric authentication of beneficiaries. • About 88% of FPS outlets in Andhra Pradesh and other states are automated, ensuring that only genuine beneficiaries receive food grains, thereby reducing leakages and corruption.

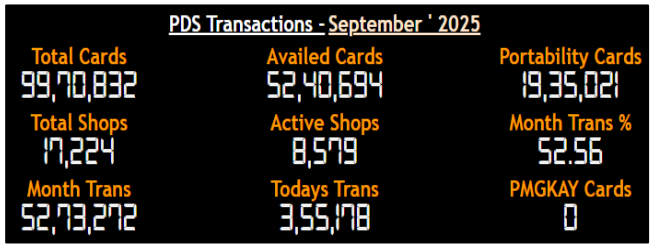
	• Real-time data tracking improves transparency, record-keeping, and accountability in distribution. • The portability system allows beneficiaries to lift food grains from any FPS within a district, providing flexibility to migrant workers and urban poor who frequently relocate for work. • It enhances accessibility, choice, and competition among dealers, improving service quality. **Advantages of Fair Price Shop Automation and Portability:** • **Transparency and Accountability:** Automation through ePoS devices ensures Aadhaar-based authentication, preventing duplication of ration cards and eliminating bogus beneficiaries, thereby reducing leakages and corruption. • **Efficient Monitoring:** Real-time digital tracking of transactions and stock movement enables better supervision of food grain distribution and prevents diversion. • **Beneficiary Convenience:** Portability allows beneficiaries to collect rations from any FPS within the district, especially benefiting migrant workers and urban poor who frequently change residence. • **Reduced Human Errors:** Computerized billing and biometric verification ensure accurate record-keeping and fair distribution of entitlements. • **Improved Service Delivery:** Increased competition among FPS dealers enhances service quality and efficiency. • **Empowerment and Inclusion:** These reforms strengthen the "One Nation One Ration Card" framework, ensuring every eligible citizen receives their entitlement anywhere, promoting social justice and food security.
Conclusion	Fair Price Shop automation and intra-district portability represent a major step towards a transparent, accountable, and citizen-centric PDS. By combining technology and social welfare, these reforms ensure efficient delivery of food grains, reduce corruption, and empower beneficiaries through greater choice and flexibility.
Model Question	"Examine how digital reforms such as Aadhaar authentication and real-time monitoring have improved transparency and efficiency in the Public Distribution System (PDS) of Andhra Pradesh."
Value Addition	**Jan Poshan Kendra Initiative:** • The Jan Poshan Kendra Initiative is a recent step by the Government of India to modernize Fair Price Shops (FPSs) under the Public Distribution System (PDS) and enhance both nutritional security and livelihood opportunities for ration dealers. • **Purpose:** ✓ To enable FPSs to sell additional nutrition-rich products like pulses, dairy items, and household essentials along with subsidized grains. ✓ To address the income challenges of ration dealers and improve access to nutritious food for beneficiaries under the Pradhan Mantri Garib Kalyan Anna Yojana (PMGKAY). ✓ The government plans to convert around 1 lakh FPSs into "Nutri-Hubs" over the next three years. • **Key Features:** ✓ 50% of FPS space will be used for nutrition-related products. ✓ FPSs will receive financial support from the Small Industries Development Bank of India (SIDBI) through paperless and collateral-free loans. ✓ Partnerships with AMUL and eB2B platforms like Udaan and Jumbotail will ensure efficient product supply and marketing.

148. Examine the view that Public Distribution System in India shall be made the responsibility of State Governments. (APPSC, 2012)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Distribution System
Keyword	Examine
Approach	• Introduce with the PDS under NFSA (2013) and the debate on shifting its responsibility from Centre to States within India's federal context. • Critically examine both perspectives, the case for state responsibility (local targeting, flexibility, innovation) and against it (fiscal burden, inter-state equity, portability issues). • Conclude that decentralization must balance with central funding and national standards to ensure equitable, efficient, and portable food security.
Introduction	The Public Distribution System (PDS), a key pillar of India's food security under the NFSA (2013), provides subsidised foodgrains to 75% of rural and 50% of urban populations. The debate over assigning PDS responsibility to State Governments stems from concerns of leakage, inefficiency, and the need for decentralised innovation with national uniformity.
Body & Infographic Representation	**Arguments in Favour of State Responsibility:** • **Localized Targeting and Efficiency:** ✓ State governments possess granular knowledge of local socio-economic conditions. This can improve identification of Priority Households and Antyodaya beneficiaries, addressing exclusion and inclusion errors that have persisted despite central oversight. ✓ NITI Aayog's Evaluation of NFSA highlighted that states with decentralised management, such as Chhattisgarh and Tamil Nadu, achieved leakages as low as 2–5%, compared to the national average of around 15%. • **Administrative Agility and Innovation:** ✓ States can tailor implementation based on regional dietary habits and procurement patterns. ✓ For instance, Telangana's direct paddy procurement and Odisha's fortified rice distribution reflect how state-level flexibility improves nutritional outcomes and procurement efficiency, aligning with NITI Aayog's call for "nutrition-sensitive PDS." • **Integration with State Welfare Programs:** ✓ Linking PDS with state-run schemes such as Mid-Day Meal (MDM), ICDS, and nutrition missions enables holistic welfare delivery. ✓ Andhra Pradesh and Karnataka, for instance, integrate PDS databases with direct benefit transfers for greater accountability. **Arguments Against Full Devolution:** • **Fiscal Burden and Equity Concerns:** ✓ The Centre currently bears nearly 96% of the Department of Food & Public Distribution's budget as food subsidy. ✓ If states assume full financial responsibility, poorer states would struggle to sustain NFSA entitlements, aggravating regional disparities in food security. • **National Portability and Migrant Access:** ✓ Centralised digital systems underpin One Nation One Ration Card (ONORC), which recorded over 93 crore portability transactions by 2024. ✓ Exclusive state control could fragment databases, undermining the rights of inter-state migrant workers, a group the Economic Survey 2022–23 emphasized as highly dependent on portability. • **Central Capacity in Crisis Response:**

	✓ The Centre's role was crucial during the Pradhan Mantri Garib Kalyan Anna Yojana (PMGKAY), under which over 1,118 LMT of food grains worth ₹3.91 lakh crore were distributed nationally. ✓ States alone might not have had the fiscal or logistical capacity to deliver such scale during crises like the COVID-19 pandemic. **Towards a Cooperative Federal Model** • **Shared Responsibility:** ✓ A balanced framework where the Centre ensures funding, national standards, and IT infrastructure, while States handle procurement, distribution, and grievance redressal, is more viable. • **Performance-Linked Transfers:** ✓ NITI Aayog recommended performance-based grants to incentivize states adopting transparency tools like ePoS, GPS tracking, and biometric authentication. • **Nutrition and Diversification:** ✓ States can lead diversification toward millets and fortified foods, supporting both farmers and consumers, aligning with the Millet Mission and emphasis on regional dietary preferences.
Conclusion	Making PDS solely a State responsibility may undermine equity, fiscal stability, and portability. A cooperative model, where the Centre provides funding and technology while States handle innovation and delivery, ensures balance. This approach upholds cooperative federalism under the NFSA, making India's food security both nationally uniform and locally responsive.
Model Question	Examine the major causes of leakages in India's Public Distribution System (PDS) and evaluate the effectiveness of recent reforms such as digitisation, Aadhaar seeding, and the One Nation One Ration Card (ONORC) in addressing these challenges.
Value Addition	**The One Nation One Ration Card (ONORC):** • ONORC Scheme was launched by the Department of Food & Supplies and Consumer Affairs, Ministry of Consumer Affairs, Food & Public Distribution in 2018. • It is a national Ration Card portability scheme to ensure food security for all including internal migrants within India. • It enables migrant workers and their family members to access PDS benefits from any Fair Price Shop anywhere in the country, thus ensuring the food security through the inter-state portability of ration cards under the National Food Security Act, 2013 (NFSA). • Ration card details and entitlements are available online on any ePoS device in the country. It includes both inter-State and intra-State (inter-district/intra-district) portability of ration cards. • The ONORC plan has successfully been implemented in all 36 States/UTs making food security portable throughout the country. The government has launched a mobile app, namely 'MERA RATION' for acquiring the maximum benefit of the ONORC plan.
149. Highlight the important features of Public Distribution System in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Distribution System
Keyword	Highlight
Approach	• Introduce with PDS objectives under the NFSA, and its role in ensuring food security and welfare of economically vulnerable populations. • Highlight the key features, including coverage, ration entitlements, technological integration, infrastructure, doorstep delivery, leakages, and operational challenges.

	• Assess the overall effectiveness of the PDS, highlighting successes and persisting challenges, and suggest reforms for improved reach, efficiency, and equity.
Introduction	The Public Distribution System in erstwhile Andhra Pradesh has been crucial for food security among vulnerable populations. Under the NFSA, AAY households receive 35 kg of food grains per family per month, while Priority Households (PHH) beneficiaries are entitled to 5 kg per person per month through PDS outlets, ensuring targeted support to needy families.
Body & Infographic Representation	**Public Distribution System (PDS) in Erstwhile Andhra Pradesh:** **Key Features of PDS in Andhra Pradesh:** • **Coverage and Beneficiaries:** ✓ The PDS in Andhra Pradesh covers a substantial portion of the population. As of the latest data, the state has approximately 4 crore beneficiaries under the NFSA. ✓ This extensive coverage underscores the state's commitment to providing food security to its residents. ✓ Example: As of July 2025, Telangana has 97.9 lakh active ration cards covering approximately 3.15 crore individuals. • **Doorstep Delivery of Rations:** ✓ To improve accessibility, Andhra Pradesh introduced doorstep ration delivery to help the elderly and differently-abled, though implementation faced challenges. ✓ For example, in March 2025, Telangana provided 6 kg of fine rice per person per month through PDS, benefiting over 3.10 crore people, nearly 85% of the state's population. • **Smart Ration Cards:** ✓ In a move towards modernization, the state government introduced smart ration cards. ✓ These cards are designed to improve transparency and efficiency in the distribution process. ✓ The implementation of smart cards is expected to streamline operations and reduce instances of fraud. • **Interstate Portability:** ✓ Recognizing the mobility of its citizens, Andhra Pradesh has implemented a system allowing the portability of ration cards across states. ✓ This initiative facilitates beneficiaries who migrate to other states for employment or other reasons to access their entitled rations without hindrance. **Challenges in PDS Implementation:** • **Leakages and Diversion:** ✓ Despite the extensive coverage, the PDS in Andhra Pradesh faces challenges related to leakages and diversion of food grains. ✓ Instances have been reported where beneficiaries sell their rationed rice to middlemen, undermining the system's objectives. ✓ Example: The Central government flagged approximately 90,000 inactive ration cards in Telangana. • **Infrastructure Constraints:** ✓ The effectiveness of the PDS is contingent on robust infrastructure.



	✓ In some regions, inadequate storage facilities and logistical challenges have hindered the timely and efficient distribution of rations. ✓ Example: A study on Telangana's warehousing system identified that 90% of large farmers reported the non-availability of warehouse facilities as a significant issue. • **Technological Integration:** ✓ While the introduction of smart ration cards is a step towards modernization, the integration of technology into the PDS has been met with challenges. ✓ Issues such as technical glitches and connectivity problems have affected the seamless operation of the system.
Conclusion	The Public Distribution System in erstwhile Andhra Pradesh has strengthened food security through initiatives like doorstep delivery, smart ration cards, and interstate portability, improving reach and efficiency. However, persistent challenges such as leakages, inadequate infrastructure, and technological issues limit its effectiveness, and addressing these is essential to fully realize the system's potential.
Model Question	Evaluate the role of the National Food Security Act (NFSA) in strengthening the PDS in India. How successful has it been in reducing hunger and malnutrition?
Value Addition	**Antyodaya Anna Yojana (AAY):** • AAY was a step in the direction of making TPDS aim at reducing hunger among the poorest segments of the BPL population. • In order to make TPDS more focused and targeted towards this category of population, the "Antyodaya Anna Yojana" (AAY) was launched in December, 2000 for one crore poorest of the poor families. • AAY involved identification of one crore poorest of the poor families from amongst the number of BPL families covered under TPDS within the States and providing them food grains at a highly subsidized rate of Rs.2/- per kg for wheat and Rs.3/- per kg for rice. • The scale of issue that was initially 25 kg per family per month was increased to 35 kg per family per month with effect from 1st April 2002.
150. Explain the basic features of Targeted Public Distribution System (TPDS) and its performance in the erstwhile state. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Public Distribution System
Keyword	Explain
Approach	• Define TPDS briefly and highlight its role in food security in erstwhile Andhra Pradesh. • Explain features (coverage, entitlements, institutions, welfare linkages) and then performance (reach, technology reforms, SMART-PDS, nutritional security, challenges) with data/examples. • Summarise achievements and suggest way forward (sustainability, diversification, audits).
Introduction	The Targeted Public Distribution System (TPDS) was launched in 1997 to provide subsidised food grains to the poor, replacing the universal PDS. Its main aim was to improve household food security and protect vulnerable sections of society from inflationary pressures. The erstwhile state of Andhra Pradesh, being predominantly agrarian, implemented TPDS as a crucial welfare measure.
Body & Infographic Representation	**Basic Features of TPDS** • **Targeted Beneficiaries** ✓ Households were divided into Below Poverty Line (BPL) and Above Poverty Line (APL) categories.

- ✓ Antyodaya Anna Yojana (AAY) was introduced in 2000 for the poorest households, providing 35 kg of food grains at highly subsidized rates.

- **Entitlements**
  - ✓ BPL families received 35 kg of rice per family at ₹3.50 per kg.
  - ✓ APL families received smaller allocations at higher rates.
- **Identification**
  - ✓ Beneficiaries were identified through ration cards issued by the Civil Supplies Department, with states having the responsibility of verification.
- **Administrative Setup**
  - ✓ Food Corporation of India (FCI) procured and supplied grains to the state, which distributed them through Fair Price Shops (FPS).
  - ✓ Vigilance committees at village and mandal levels were expected to oversee distribution.

Performance in Erstwhile Andhra Pradesh

- **Wide Coverage**
  - ✓ Andhra Pradesh was one of the leading states in terms of PDS coverage, issuing a large number of white ration cards (BPL).
- **Rice Subsidy Scheme**
  - ✓ The Rice at ₹2/kg scheme, launched in 1983 and continued in modified form, made the state a pioneer in affordable food grain distribution.
- **Accessibility**
  - ✓ The network of fair price shops was extensive, ensuring access even in rural and tribal areas.
- **Leakages and Diversion**
  - ✓ Despite wide reach, the system suffered from inclusion errors (non-poor availing benefits) and diversion of rice to black markets.
- **Political Popularity**
  - ✓ The cheap rice scheme became a major welfare and political measure, contributing to social support for successive governments.

Basic Features of TPDS in Telangana (2024-25):

- **Coverage and Cards**
  - ✓ As of June 2024, Telangana has 89.97 lakh Food Security Cards covering about 2.81 crore beneficiaries, including Antyodaya, Annapurna, and Priority households. Each Fair Price Shop (17,235 in total) serves on average 522 families or about 2,030 persons.
- **Entitlements**
  - ✓ The state provides 6 kg of fortified rice per person per month free of cost to all eligible beneficiaries. Antyodaya households receive 35 kg per family.
- **Welfare Linkages**
  - ✓ TPDS also supplies fortified rice (Sannabiyyam) to about 49 lakh students and beneficiaries under the Mid-day Meal Scheme, ICDS, hostels, and welfare institutions.
- **Institutional Mechanism**
  - ✓ The Telangana State Civil Supplies Corporation oversees PDS, ensures MSP to farmers through decentralized paddy procurement, and intervenes in markets to stabilize prices.
- **SMART-PDS Initiative in Telangana**
  - ✓ Introduced in 2023 with a 60:40 Centre–State cost sharing, this three-year plan aims to modernise distribution efficiency and enhance accessibility.

Conclusion	The TPDS in erstwhile Andhra Pradesh combined central support with state-level innovations like the ₹2/kg rice scheme, making it one of the most visible welfare programmes. While it ensured food security for millions, inefficiencies such as leakages, corruption, and poor targeting limited its effectiveness. Strengthening transparency and beneficiary identification remained the key challenges during that period.
Model Question	Technology has been a game changer in improving PDS delivery in Telangana. Discuss with examples such as Aadhaar seeding, e-PoS, GPS, and SMART-PDS.
Value Addition	Telangana's Smart PDS ensures intra-state portability, allowing citizens to access rations from any FPS. With 17,151 shops using ePoS devices and biometric safeguards, transparency is enhanced. Toll-free helplines and Consumer Information Centres support grievance redressal. However, 84 FPS still operate manually due to network issues; inter-state portability isn't available.
151. Write notes on: (i) Kisan Credit Card Scheme (ii) Providing Urban Facilities in Rural Areas (PURA). (APPSC 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Integrated Rural Development
Keyword	Write notes on
Approach	• Introduce by explaining that both Kisan Credit Card (KCC) and PURA are key initiatives aimed at empowering rural India—KCC through easy access to agricultural credit and PURA through infrastructure and livelihood development. • Explain KCC-its objectives, key features like interest subvention, digital cards, and its role in promoting financial inclusion and sustainable farming. • Explain PURA-its concept by Dr. A.P.J. Abdul Kalam, major components (physical, electronic, economic connectivity), and its impact on reducing rural-urban divide. • Conclude by highlighting that both schemes together promote inclusive, self-reliant, and equitable rural growth.
Introduction	India's development vision focuses on improving both agricultural credit access and rural infrastructure. The Kisan Credit Card (KCC) Scheme supports farmers' financial needs through easy credit, while the Provision of Urban Amenities in Rural Areas (PURA) initiative aims to bridge the rural-urban divide by improving infrastructure and services.
Body & Infographic Representation	**Kisan Credit Card (KCC) Scheme:** • **Objective and Background:** ✓ Scheme was launched in 1998, the KCC Scheme provides timely and adequate credit to farmers for cultivation and allied activities. It simplifies borrowing through a single credit window, enabling farmers to meet short-term, medium-term, and consumption needs. • **Key Features:** ✓ Implemented through commercial banks, RRBs, cooperatives, and small finance banks. Covers crop loans, post-harvest needs, farm maintenance, allied activities, and consumption requirements. ✓ Interest subvention of 2% and prompt repayment incentive of 3%, reducing effective interest to 4%. ✓ The facility is extended to fisheries and animal husbandry sectors. Provides digital Kisan Cards with ATM and Aadhaar-enabled transactions for convenience. • **Eligibility Farmers:**

KCC: REVOLVING CASH CREDIT FACILITY OFFERED TO FARMERS

Year	Number of operative accounts (crore)	Amount outstanding in operative accounts (₹ crore)	Amount outstanding in NPA accounts (₹ crore)
FY2021	3.07	4,56,736	68,547
FY2022	2.69	4,76,271	84,637
FY2023	2.83	5,18,485	90,832
FY2024	2.98	5,74,974	93,370
Q1 FY2025*	2.96	5,70,982	95,616
Q2 FY2025*	2.95	5,86,833	96,918
Q3 FY2025*	2.94	5,91,533	97,543

*KCC data of Scheduled Commercial Banks (excluding Regional Rural Banks); *Data are provisional* Source: RBI

	✓ Individual/joint borrowers who are owner-cultivators. ✓ Tenant farmers, oral lessees & sharecroppers SHGs or Joint Liability Groups (JLGs) of farmers, including tenant farmers, sharecroppers, etc • **Significance:** ✓ The KCC has improved financial inclusion, reduced dependence on informal credit sources, and supported agricultural productivity and rural income growth. ✓ By offering flexible repayment options, it enhances credit discipline and promotes sustainable farming practices. **Providing Urban Facilities in Rural Areas (PURA):** • **Concept and Objective:** ✓ It was Proposed by Dr. A.P.J. Abdul Kalam, PURA aims to integrate rural and urban India by providing urban-level infrastructure and livelihood opportunities in rural clusters. It promotes self-sufficient and connected villages through public-private partnerships. • **Major Components:** ✓ Physical Connectivity: Roads, water supply, sanitation, and housing. Electronic and ✓ Knowledge Connectivity: ICT infrastructure, e-learning centers, and digital literacy. ✓ Economic Connectivity: Skill development, local entrepreneurship, and microfinance support. ✓ Social Infrastructure: Healthcare centers, renewable energy, and waste management systems. • **Significance:** ✓ PURA reduces rural-urban migration, generates local employment, and encourages balanced regional development. It strengthens social equity, promotes sustainable energy, and ensures that rural citizens enjoy urban-level amenities.
Conclusion	Both Kisan Credit Card and PURA initiatives reflect India's inclusive development approach. While KCC empowers farmers through easy access to credit, PURA bridges infrastructural and opportunity gaps between rural and urban areas together strengthening the foundation for self-reliant and equitable rural growth.
Model Question	Examine how initiatives like the National Rural Livelihood Mission (NRLM) and Digital India contribute to strengthening rural infrastructure and empowering rural communities in India.
Value Addition	**Kisan Rin Portal (KRP):** • KRP developed collaboratively by MoA&FW, the Department of Financial Services (DFS), Department of Animal Husbandry & Dairying (DAH&D), Department of Fisheries (DoF), RBI, and NABARD, KRP is poised to revolutionize access to credit services under the Kisan Credit Card (KCC). • It will also assist farmers in availing subsidized agriculture credit through the Modified Interest Subvention Scheme (MISS). • The KRP portal serves as an integrated hub, offering a comprehensive view of farmer data, loan disbursement specifics, interest subvention claims, and scheme utilization progress. • By fostering seamless integration with banks, this pioneering portal enables proactive policy interventions, strategic guidance, and adaptive enhancements for more focused and efficient agriculture credit and optimum utilization of interest subvention.

7. Agricultural Development: Role of agriculture in economic development – Contribution of to GDP– Issues of finance, production, marketing – green revolution and changing focus to dryland farming, organic farming and sustainable agriculture – minimum support prices – agriculture policy – Swaminathan commission – Rainbow revolution

152. Examine the significance of agriculture finance, production, and marketing in the context of India's agricultural development. Discuss the challenges and opportunities associated with financing agricultural activities, improving production, and developing efficient marketing systems to support sustainable growth in the agricultural sector. (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Examine, Discuss
Approach	• Introduce by highlighting the interdependence of finance, production, and marketing in shaping agricultural growth. • Explain the significance of each finance for investment, production for output, and marketing for price realization with examples of key schemes. • Discuss challenges such as poor credit access, low productivity, and market inefficiencies. • Conclude by stressing integrated reforms for sustainable agricultural development.
Introduction	Agriculture remains the backbone of India's economy, contributing around 17.8% of GDP in 2023-24. The sectors of agricultural finance, production, and marketing are key pillars that determine the growth, sustainability and income of farmers. Their integrated strength is essential for inclusive rural development.
Body & Infographic Representation	**Significance of Agricultural Finance, Production and Marketing:** • **Agricultural Finance:** ✓ Institutional credit has surged short-term agriculture credit rose from ₹6.4 lakh crore in 2014-15 to Rs.15.07 lakh crore in 2023-24. Access to Kisan Credit Cards (KCC), investment credit and allied activity finance empowers farmers to invest, upgrade technology and reduce dependence on informal loans. • **Production:** ✓ India's foodgrain production for 2024-25 is estimated at a record 3539.6 lakh tonnes, a 6.5% increase over previous year. Higher production improves food security, supports rural income, and provides export potential (exports reached about Rs.4,40,000 crore in FY25). • **Marketing:** ✓ Efficient marketing ensures price realisation and reduces loss. The e-NAM platform, with 1.79 crore farmers registered and trade worth ~₹4.01 lakh crore, is a key reform. ✓ Farmer Producer Organisations (FPOs) and infrastructure financing through Agriculture Infrastructure Fund (Rs.52,738 crore sanctioned as of Dec 2024) improve post-harvest value addition and market linkages. **Challenges in Financing, Production, and Marketing:** • **Inadequate Credit Access:** Small and marginal farmers face difficulty obtaining institutional loans due to lack of collateral. • **Low Productivity:** Fragmented land holdings, poor irrigation, and limited mechanization restrict output. • **Market Inefficiencies:** Price fluctuations, poor storage, and weak infrastructure reduce farmers' income. • **Climate Vulnerability:** Increasing frequency of droughts and floods threatens production stability.

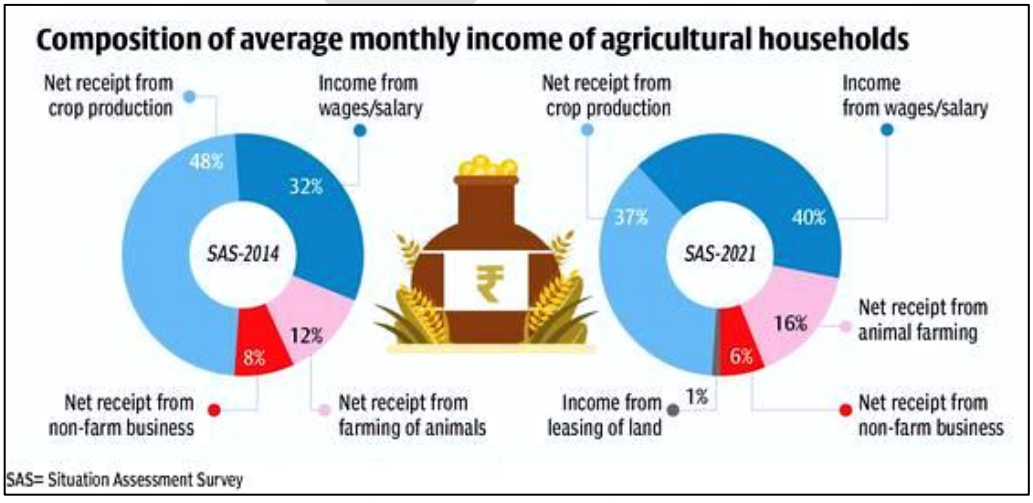
	• **Policy and Implementation Gaps:** Delayed procurement payments and weak extension services affect farmer confidence. **Opportunities:** • Digital credit platforms, better risk-mitigation products (crop insurance), and targeted investment can scale finance. • Technology adoption (precision farming, high-yield seeds) can enhance production. • Strengthening FPOs, agri-start-ups and logistics can create efficient value chains. • Reforming APMCs, improving infrastructure and linking farmers to direct markets can improve income and reduce waste.
Conclusion	Agricultural development depends on strengthening the finance–production–marketing linkages. Addressing structural challenges through digital inclusion, credit reforms, infrastructure development, and market transparency can enhance farmers' income and ensure sustainable growth of India's agricultural sector in alignment with the goal of doubling farmers' income.
Model Question	"Analyze how the integration of institutional credit, technological innovation, and market reforms can transform India's agricultural sector towards sustainability and income security for farmers."
Value Addition	**India's Agricultural Key Achievements and Government Initiatives:** • The Government of India has significantly increased budget allocations, rising from Rs.11,915.22 crore in 2008-09 to Rs.1,22,528.77 crore in 2024-25, demonstrating its commitment to the sector. • Food grain production has surged from 204.6 million tonnes (2004-05) to an estimated 332.3 million tonnes (2023-24), with enhanced productivity and Minimum Support Price (MSP) revisions ensuring better farmer incomes. • The MSP for paddy and wheat has grown from ₹850 and ₹1,080 per quintal in 2008-09 to Rs.2,300 and Rs.2,425 per quintal in 2023-24 respectively. Additionally, the total MSP paid to farmers for paddy and wheat has surged from Rs.4.40 lakh crore and Rs.2.27 lakh crore in 2004-13 to Rs.12.51 lakh crore and Rs.5.44 lakh crore in 2014-24 respectively. • Key farmer-centric initiatives include PM-KISAN (Rs.3.46 lakh crore disbursed), PMFBY (Rs.1.65 lakh crore in claims), and e-NAM, which has integrated 1,400+ mandis for better market access.
153. How far has India achieved the policy target of doubling the farmers' income by 2022? Examine. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	How, Examine
Approach	• Introduce by contextualizing the policy target of doubling farmers' income (DFI) by 2022, its objectives, and the Dalwai Committee's recommendations. • Assess progress using data (SAS surveys, Economic Survey, Budget), highlight achievements through schemes/initiatives, and critically examine gaps, challenges, and regional variations. • Conclude with a balanced judgment on how far the target has been achieved, while suggesting forward-looking reforms for sustainable income growth.
Introduction	The "doubling farmers' income (DFI) by 2022" target, framed after the Dalwai Committee (2016), sought to shift policy from output-maximization to income-enhancement via productivity, risk-management, markets, and diversification.
Body & Infographic Representation	**Where do farmer incomes stand?** • The latest nationally representative benchmark is the NSS Situation Assessment Survey (SAS) 2018–19: average monthly income of an agricultural household rose

from ₹6,426 (2012–13) to ₹10,218 (2018–19), about 59% nominal increase (much lower in real terms).

- No post-2019 SAS is yet available, so a definitive national verdict for 2022 is statistically inconclusive.

What has improved farmer incomes?

- **Direct transfers & risk cover:**
  - ✓ PM-KISAN has cumulatively transferred ₹3.68 lakh crore (as on 5th Mar 2025), cushioning net incomes.
  - ✓ PMFBY has insured 78.4 crore farmer applications since 2016, with ₹1.83 lakh crore paid in claims, and rising non-loanee participation, sharply strengthening risk management.
- **Irrigation & water-use efficiency:**
  - ✓ Under PMKSY-PDMC, ~97 lakh hectare brought under micro-irrigation since 2015–16, raising water-productivity and stabilizing yields.
- **Market access & aggregation:**
  - ✓ E-NAM now integrates 1,522 Mandis, with 1.79 crore farmers and trades worth ₹4.40 lakh crore.
  - ✓ 10,000 FPOs have been formed, both improving bargaining power and price realization.
- **Diversification & exports:**
  - ✓ Agriculture has diversified towards livestock and fisheries (rising share in Agri-GVA).
  - ✓ Agri exports were US$48.8 billion in 2023-24 despite export curbs, indicating deeper value chains.
- **Growth backdrop:**
  - ✓ The Economic Survey 2024-25 notes agriculture's growth rebounding to ~3.8% in FY25, though not transformative by itself for a doubling target.



What holds back full doubling? (Gaps and variations)

- **Data gap:**
  - ✓ Absence of an all-India SAS for 2021–22/2022–23 prevents confirmation of doubling at the national level.
- **Heterogeneity:**
  - ✓ ICAR documents 75,000 farmer "doubling" success stories through convergence, evidence of pockets of doubling, not a universal outcome.
- **Price & costs:**
  - ✓ Terms-of-trade volatility, input cost spikes (fertilizers, fodder), and weather risks compress margins despite MSP and procurement in select crops.

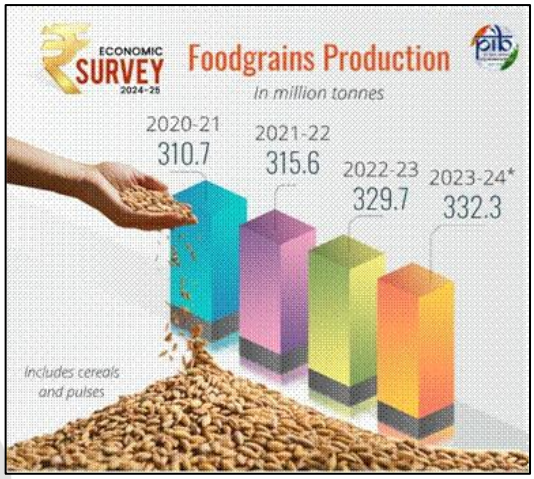
	• **Smallholder constraints:** ✓ Land fragmentation, tenancy informality, limited post-harvest infrastructure/value-addition continue to cap net incomes. ✓ Micro-irrigation scale-up and market linkages, while sizeable, need deeper saturation. **How far have we reached?** • India has not demonstrably doubled average farm household incomes by 2022 at the national level. • Nonetheless, significant progress occurred via cash transfers, insurance penetration, irrigation efficiency, market integration, FPO collectivization, diversification, and resilient exports, producing state/sector-specific doubling and broad-based risk-mitigation. • The next steps are timely SAS updates, price-realization reforms (grading, storage, processing), allied sector upscaling, land-leasing clarity, climate-smart irrigation, and MSME-scale Agri-processing to convert policy inputs into durable, economy-wide income gains.
Conclusion	The Doubling the farmers Income target is partially achieved through impactful enablers and visible micro-level successes, but not evidenced as a nationwide doubling by 2022; accelerating real income growth now hinges on deeper market reforms, high-value diversification, and completing last-mile irrigation and risk-management coverage.
Model Question	Discuss the role of government initiatives such as PM-KISAN, e-NAM, and PMFBY in enhancing farmers' income. How effective have these schemes been in addressing structural bottlenecks in agriculture?
Value Addition	Some of the major schemes/programmes initiated by DA&FW to enhance overall income of farmers and remunerative returns in the agriculture sector: • Pradhan Mantri Kisan Samman Nidhi (PM-KISAN) • Pradhan Mantri Kisan Maan Dhan Yojana (PM-KMY) • Pradhan Mantri Fasal Bima Yojana (PMFBY)/ Restructured Weather Based Crop Insurance Scheme (RWBCIS) • Modified Interest Subvention Scheme (MISS) • Agriculture Infrastructure Fund (AIF) • Formation and Promotion of 10,000 new Farmer Producers Organizations (FPOs) • National Bee Keeping and Honey Mission (NBHM) • Namo Drone Didi • National Mission on Natural Farming (NMNF) • Pradhan Mantri Annadata Aay SanraksHan Abhiyan (PM-AASHA)
154. "The land reforms in Telangana were aimed at redistributing the land from large farmers to agricultural labourers and landless poor." Critically evaluate. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Critically evaluate
Approach	• Begin with the context of feudal land concentration • Explain measures like ceilings and redistribution • Critically weigh achievements (land distribution, Pattas) versus failures (Benami holdings, weak enforcement). • Conclude by stating the significance of land reforms.
Introduction	Land reforms in Telangana, initiated under the Andhra Pradesh Land Reforms (Ceiling on Agricultural Holdings) Act, 1973, aimed to break feudal landholding patterns inherited from the Nizam's rule. The primary objective was to redistribute surplus land from big

	landlords to agricultural labourers and the landless poor. However, their outcomes remain mixed, with limited success in achieving equity.
Body & Infographic Representation	**Objectives of Land Reforms in Telangana:** • To eliminate large feudal estates and Jagirdari remnants. • To distribute ceiling-surplus land to the landless poor and agricultural workers. • To reduce exploitation of tenant cultivators and agricultural labourers. **Achievements of the land reforms:** • **Ceiling on landholdings**: The 1973 Act fixed limits (family unit: 18 acres of wet or 54 acres of dry land). • **Empowerment of Dalits and tribals**: Land distribution offered livelihood security; for instance, in Telangana, many assigned lands were given to SCs and STs in the 1970s. • **Reduction of absentee landlordism**: Feudal dominance of Deshmukhs and Jagirdars declined over time. **Limitations and Challenges of Land Reforms:** • **Benami transfers**: Large farmers evaded ceilings through proxy ownership and fictitious partitions. • **Poor quality of land:** Much of the redistributed land was barren, uncultivable, or lacked irrigation, reducing its utility. • **Tenancy issues:** Despite reforms, informal tenancy persisted, leaving agricultural labourers dependent on landlords. • **Implementation gap**: The Political influence of landlords weakened enforcement. **Critical evaluation of Land reforms in Telangana** • While reforms symbolically ended feudal dominance and gave legal recognition to redistribution, their substantive impact was diluted. • The reforms benefited some sections of the poor but failed to structurally transform agrarian relations. • The persistence of landlessness, small holdings, and agrarian distress indicates only partial achievement of the goals.
Conclusion	Land reforms in Telangana succeeded in breaking the Jagirdari hold and providing land to some marginal groups but fell short of redistributing land equitably among all agricultural labourers and landless poor. Strengthened tenancy rights, effective implementation, and support services remain essential for realizing the intended socio-economic transformation.
Model Question	"Critically examine whether the land reforms in Telangana succeeded in achieving their objective of redistributing land to agricultural labourers and landless poor. Substantiate with examples."
Value Addition	**Andhra Pradesh (Telangana Area) Tenancy and Agricultural Lands Act, 1950** • Passed in the aftermath of the Telangana Armed Struggle, this Act was a pioneering step toward agrarian reform. • It sought to dismantle feudal control by Jagirdars and empower tenants. • The legislation regulated land alienation, curtailed excessive subdivision, encouraged cooperative farming, and allowed government intervention in land management.

155. Discuss about some of the major initiatives highlighted in Vision 2020 for the development of agriculture sector in India (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Discuss

Approach	• Introduce by linking agriculture's role in India's economy and food security with the rationale behind framing Vision 2020. • Discuss the major initiatives (yield, diversification, rain fed focus, infrastructure, research) while also analyzing their achievements and limitations. • Conclude by emphasizing Vision 2020's forward-looking framework, its partial successes, and the need to strengthen its unfinished agenda for Viksit Bharat 2047.
Introduction	Agriculture has long been the backbone of India's economy, engaging nearly 58% of the population and contributing about 18% of GDP. Recognizing its centrality to food security and rural livelihoods, the Vision 2020 roadmap was formulated by ICAR and allied agencies to make Indian agriculture productive, diversified, and sustainable.
Body & Infographic Representation	**Major Initiatives under Vision 2020 for the development of Agriculture sector:** • **Yield Enhancement through Technology:** ✓ Development of high-yielding and hybrid varieties in rice, wheat, and pulses. ✓ Precision farming, biotechnology, and mechanization to narrow the yield gap of 20–60% between India and global averages. • **Integrated Nutrient and Water Management:** ✓ INM and IPM approaches to ensure balanced use of fertilizers and reduce ecological damage. ✓ Irrigation expansion through micro-irrigation; Vision 2020 envisaged doubling water-use efficiency in agriculture. • **Rain fed Agriculture Development:** ✓ Nearly 60% of net sown area in India is rain fed. ✓ Vision 2020 emphasized watershed development, soil-moisture conservation, drought-resistant crops, and pasture development to raise productivity in fragile ecosystems. • **Crop Diversification and Allied Activities:** ✓ Move beyond cereals towards horticulture, fisheries, and livestock, which today contribute over 30% of agricultural GVA. ✓ Promotion of high-value crops (fruits, vegetables, spices, medicinal plants) for income stability. • **Infrastructure and Post-Harvest Management** ✓ Strengthening rural roads, storage, cold chains, and market linkages to reduce post-harvest losses (currently estimated at 10–15% for perishables, Ministry of Food Processing). ✓ Encouraging agro-processing and value addition to integrate farmers with markets. • **Research and Institutional Strengthening** ✓ Empowering National Agricultural Research System (NARS), performance-based funding, and Krishi Vigyan Kendras (KVKs) for faster lab-to-land transfer. ✓ Early emphasis on ICT in agriculture (e-extension services, market intelligence). **Limitations or Challenges to realize Vision 2020:**



	• **Regional Yield Gaps Persist:** Average rice yield in Bihar (2.5 t/ha) is still half of Punjab's (5 t/ha) (Agriculture Statistics at a Glance 2023). • **Rain fed Agriculture Still Vulnerable:** Vision 2020 stressed watershed development, yet 60% of India's net sown area remains rain fed. • **Limited Success in Water-Use Efficiency**: Even today, agriculture consumes ~85% of India's freshwater resources, with average irrigation efficiency only 35–40%. • **Policy Distortions in Diversification:** 86% of MSP procurement expenditure (2022-23) was on rice and wheat, discouraging farmers from adopting high-value crops. **Contemporary Relevance:** • Current schemes like PM-Kisan, PM-Krishi Sinchayee Yojana, e-NAM, and National Mission on Natural Farming (2025) echo Vision 2020 priorities. • India today ranks 2nd in global food grain production (330+ million tonnes, 2023-24), reflecting partial success of the roadmap.
Conclusion	Vision 2020 was a forward-looking blueprint that balanced productivity with sustainability. While challenges like climate change, water stress, and fragmented holdings persist, its focus on technology, diversification, and farmer-centric growth continues to guide agricultural policy. Strengthening these directions is vital for achieving Doubling Farmers' Income goals and Viksit Bharat 2047.
Model Question	"In the light of Vision 2020 for agriculture, examine the unfinished agenda and suggest a roadmap for aligning India's farm policies with the goals of Doubling Farmers' Income and Viksit Bharat 2047."
Value Addition	**Some of the recent Policy Decisions and Budgetary Provisions:** • The Union Cabinet approved the Revised National Program for Dairy Development (NPDD) with an additional budget of ₹1,000 crore. • The Union Cabinet has also approved the Revised Rashtriya Gokul Mission (RGM) to boost the livestock sector, with an additional outlay of ₹1,000 crore. • The Union Budget 2025-26 has emphasized agriculture as the foremost engine of India's development. • On January 1, 2025, the Union Cabinet approved continuation of the Pradhan Mantri Fasal Bima Yojana and Restructured Weather Based Crop Insurance Scheme till 2025-26. • On January 1, 2025, the Union Cabinet approved the extension of One-time Special Package on Di-Ammonium Phosphate (DAP) for the period from 01.01.2025 till further orders.
156. Analyse the possible reasons for placing ceilings on agricultural holdings. Give two possible disadvantages to the economy due to such ceilings (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Analyse, Give
Approach	• Introduce with Land ceilings and their intended role in post-independence agrarian reforms. • Analyse the rationale behind imposing ceilings and critically evaluate their mixed economic outcomes with AP/Telangana examples. • Conclude by stressing the need for complementary reforms to balance social justice with agricultural efficiency.
Introduction	Land ceiling laws in India, including in erstwhile Andhra Pradesh and present-day Telangana, arose post-independence to redistribute land from large landlords to landless and marginal farmers. These reforms aimed to promote equity, tenure security, and farm productivity. Telangana's unique socio-economic context makes it an illustrative case to study their merits and shortcomings.

Body & Infographic Representation

Reasons for Imposing Ceilings:

- **Promoting Equity and Reducing Feudal Dominance:**
  - ✓ In Telangana, ceiling acts dismantled feudal landholding patterns of Doras and Deshmukhs.
  - ✓ The AP Land Reforms (Ceiling on Agricultural Holdings) Act, 1973 capped ownership and redistributed surplus land to SCs, STs, BCs, women, and landless laborers.
  - ✓ This reduced rural inequality and empowered weaker sections, advancing social justice.

Land Holdings With Farmers in Telangana

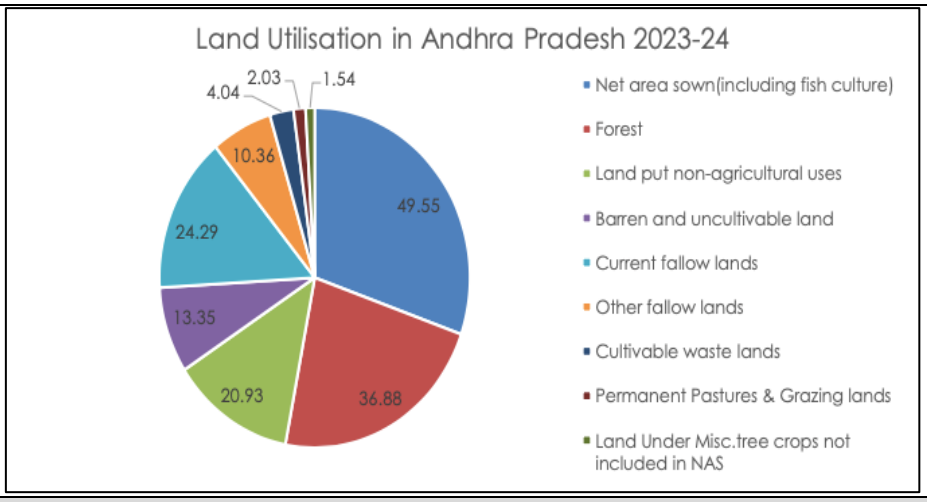
Category	No. of holdings	Area operated (acres)	Holdings (%)	Area operated (%)
Marginal farmers (up to 2.5 acre)	34,41,087	39,16,947.5	61.96	25.28
Small farmers (2.5 to 5 acres)	13,27,362	46,73,380	23.90	30.17
Semi-medium farmers (5 to 10 acres)	6,02,925	39,62,837.5	10.86	25.58
Medium farmers (10 to 25 acres)	1,66,833	23,16,900	3	14.96
Large farmers (above 25 acres)	15,775	6,21,997.5	0.28	4.01
Total	**55,53,982**	**1,54,92,060**	**100**	**100**

- **Ensuring Tenure Security and Encouraging Investment:**
  - ✓ Ceiling laws, when combined with tenancy reforms like the Telangana Tenancy and Agricultural Lands Act, 1950, conferred ownership rights (pattas) to actual tillers, ensuring security of tenure.
  - ✓ Secure land ownership motivated cultivators to invest in land improvements such as irrigation and soil conservation, thereby boosting agricultural productivity.
- **Promotion of Efficient Land Use:**
  - ✓ Ceiling laws like the AP Land Reforms Act (1973) curbed absentee landlordism and redistributed surplus land, improving utilization and equity.
  - ✓ Socio-Economic Outlook 2025 notes 91.4% of holdings in Telangana are marginal and small (<4.94 acres), operating 68.2% of land.
- **Alignment with "Land to the Tiller" Principle:**
  - ✓ Ceiling laws secured ownership for cultivating tenants and small farmers, enhancing rural incomes and justice.
  - ✓ Socio-Economic Outlook 2025 shows average holding in Telangana declined to 0.89 ha (2021–22), reflecting broad redistribution.
  - ✓ Yet, fragmentation demands support via Rythu Bandhu, Rythu Bima, and mechanisation.

Two possible disadvantages to the economy:

- **Fragmentation and falling average farm size: hampering productivity gains.**
  - ✓ The average operational holding in Telangana dropped to 0.89 ha in 2021–22, down from 1.00 ha in 2015–16, a 10.6% decrease, signalling continued fragmentation.
  - ✓ Marginal holdings increased from 64.6% to 68.7% of all operational holdings between 2015–16 and 2021–22, while these accounted for just 32.7% of area, further shrinking land parcels.
  - ✓ Semi-medium and medium categories saw declines of 11.6% and 20.5% respectively in number of holdings, evidencing a shrinkage of mid-sized farms.
- **Discouragement of investment and industrialization on agricultural land.**
  - ✓ Strict ceiling laws with rigid tenancy/transfer restrictions reduced incentives for land-improving investments.
  - ✓ Large landowners and investors, fearing dispossession, held back capital formation and industrialization.
  - ✓ This constrained rural employment diversification and economic dynamism.

Conclusion	Ceiling laws in Andhra Pradesh and Telangana aimed to promote equity, weaken feudal control, and democratize land ownership. While they advanced social justice, challenges like fragmentation, disguised ownership, and under-investment persisted. Thus, complementary reforms like land consolidation, secure records (Dharani), institutional credit, and farmer-producer organizations are essential for balancing equity with efficiency.
Model Question	Do you agree that land ceiling laws achieved social justice but failed to sustain economic efficiency? Substantiate your answer with examples
Value Addition	**Land holding pattern in Telangana (Socio Economic Outlook 2024):** • As per the recently released 11th Agriculture Census (2021-22), the total number of operational holdings in the State is 70.60 lakhs, covering an area of 63.12 lakh hectares. • Marginal and Small farmers hold about 91.4% of the landholdings (less than 4.94 acres), accounting for 68.2% (43 lakh hectares) of the area. • Semi-medium, Medium and Large farmers hold 7.1%, 1.4%, and 0.1% of the land holdings and account for 20.5%, 8.7%, and 2.6% of the area operated respectively. • As per the Agriculture Census of 2021-22, the average landholding size in the state is 0.89 hectares, down from 1.00 hectare in 2015-16.
157. Describe the changing structure of landholdings in Andhra Pradesh in the past two decades. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Describe
Approach	• Introduce by explaining that the structure of landholdings reflects ownership and operational patterns in agriculture, crucial for rural development. • Describe trends showing decrease in average landholding size and rise in the number of holdings, highlighting marginalisation and fragmentation. • Explain causes like inheritance, urbanisation, and population pressure, along with policy effects. • Conclude by stressing land consolidation, cooperative farming, and technology adoption for sustainable growth.
Introduction	Landholding structure reflects the pattern of ownership and operational control over agricultural land. In Andhra Pradesh, over the past two decades, there has been a visible shift toward smaller and fragmented holdings, driven by demographic pressures, inheritance patterns, and changing agrarian dynamics.
Body & Infographic Representation	**Trends in Landholding Size and Number:** • According to agricultural census data, the average landholding size in Andhra Pradesh has steadily declined. • It decreased from 0.94 hectares in 2015-16 to 0.86 hectares in 2021-22. The number of landholdings rose from 85.24 lakh to 96.90 lakh, indicating land fragmentation and population growth in rural areas. • This trend suggests that while more people own land, each holding is getting smaller, affecting economies of scale in agriculture. **Shift in Landholding Composition:** • The proportion of marginal and small farmers (owning less than 2 hectares) has increased significantly. • Large and medium holdings have declined due to division of land among family members and sale of land for non-agricultural purposes. • Districts with high population density, such as Guntur and Krishna, show more fragmented land patterns, while Rayalaseema districts retain slightly larger holdings due to dryland farming practices.

	Socio-Economic and Policy Factors: • Inheritance laws and family partition have contributed to continuous subdivision of land. • Urbanisation and industrialisation around cities like Vijayawada and Visakhapatnam led to conversion of agricultural lands for non-farming uses. • Government welfare and tenancy reforms have improved access to land for small and marginal farmers, but not significantly altered the overall size pattern. • Mechanisation and irrigation support under state schemes have tried to mitigate the impact of small land size on productivity. **Implications of Changing Structure:** • Smaller holdings limit farm profitability and adoption of modern technology. • Fragmentation increases production costs and reduces irrigation efficiency. • Cooperative and cluster-based farming models are emerging to overcome the disadvantages of small landholdings.
Conclusion	The structure of landholdings in Andhra Pradesh over the past two decades shows a clear trend of fragmentation and dominance of small holdings. Strengthening cooperative farming, promoting land consolidation, and enhancing productivity through technology and irrigation are crucial to sustain rural livelihoods and agricultural growth.
Model Question	"Explain the reasons behind the increasing fragmentation of agricultural landholdings in Andhra Pradesh and discuss its implications on agricultural productivity and rural livelihoods."
Value Addition	

158. Discuss the problems associated with the issue of land distribution in Andhra Pradesh State. (APPSC, 2012)

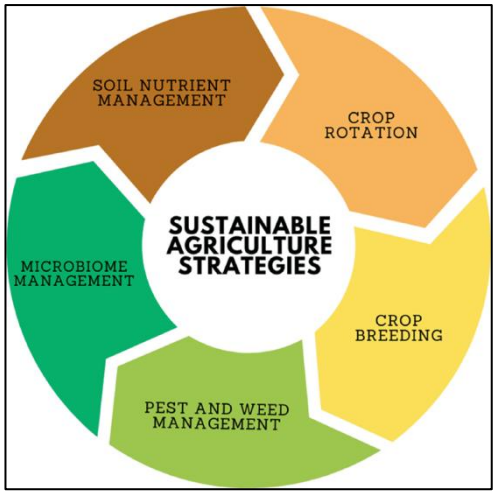
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Discuss
Approach	• Introduce by highlighting that land is a crucial asset in Andhra Pradesh's agrarian economy and that equitable land distribution ensures social justice and rural development. • Explain the major problems fragmentation of holdings, unequal ownership, landlessness among SCs/STs, weak ceiling law enforcement, outdated land records, and conversion of agricultural land. • Conclude by suggesting strict implementation of land reforms, updated records, and support for small farmers to achieve equitable growth.
Introduction	Land is a vital economic and social asset in Andhra Pradesh, influencing rural livelihoods and agricultural productivity. However, despite several land reforms and redistribution

	efforts, the state continues to face multiple challenges in achieving equitable land distribution, particularly for small and marginal farmers and landless poor.
Body & Infographic Representation	Historical Efforts and Government Programmes • Mention that since 1956, Andhra Pradesh has implemented several land distribution programmes such as Ceiling Surplus Land, Government Waste Land, and Bhoodan Land allocations. – Add that over 52 lakh acres have been distributed to 31 lakh beneficiaries — this gives data-based credibility. **Key Problems in Land Distribution:** • **Fragmentation of Landholdings:** ✓ With each generation, landholdings are divided among heirs, leading to smaller and economically unviable farms. The 2021–22 Agriculture Census shows that the average landholding size in Andhra Pradesh has declined to around 0.86 hectares, indicating progressive fragmentation. • **Unequal Ownership Pattern:** ✓ Large tracts of fertile lands are owned by a small number of families or absentee landlords, while small and marginal farmers own fragmented and less productive lands. This inequality has widened the rural income gap. • **Landlessness among Scheduled Castes and Tribes:** ✓ A significant share of SCs and STs in rural areas remain landless or dependent on leased lands. This leads to social vulnerability and persistent rural poverty. • **Poor Implementation of Ceiling Laws and Delays in Land Records Updating:** ✓ Ceiling laws are often bypassed through benami transactions. Outdated or inaccurate land records create disputes and obstruct redistribution programs such as assignment of surplus or government lands to the landless poor. • **Conversion of Agricultural Lands:** ✓ Urbanisation, industrial corridors, and real estate expansion have led to diversion of cultivable lands, especially in districts like Krishna, Guntur, and Anantapur, further reducing availability for equitable distribution.
Conclusion	To ensure inclusive rural growth, Andhra Pradesh must strengthen land record management, enforce ceiling laws strictly, promote land pooling and cooperative farming, and prioritise land allocation to marginal farmers and landless poor. Equitable land distribution remains essential for social justice and sustainable rural development.
Model Question	"Evaluate the effectiveness of land reform and redistribution programmes in reducing rural inequality in Andhra Pradesh."
Value Addition	**Cropping Intensity and Irrigation in Andhra Pradesh:** • In 2023-24, the cropping intensity, which measures the ratio of gross cropped area to net cropped area, remained stable at 1.21, indicating consistent agricultural efficiency. • During the same period, the gross area irrigated in the State was 32.71 lakh hectares, a decrease of 10.53% from the previous year's 36.56 lakh hectares. Similarly, the net area irrigated was 26.03 lakh hectares, down 8.86% from 28.56 lakh hectares in 2022-23.
159. Analyse the recent changes in the composition and structure of agricultural output in Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Role of Agriculture in Economic Development
Keyword	Analyse
Approach	• Introduce with the Andhra Pradesh's agricultural base and highlight the recent diversification trend from cereals to high-value sectors like horticulture, aquaculture, and livestock.

	• Analyze changes in crop composition, production structure, and value contribution and explain key drivers and policy influences. • Conclude by assessing the implications of this structural shift for income, sustainability, and inclusive growth.
Introduction	Agriculture remains central to Andhra Pradesh's economy, yet its composition and structure have undergone significant transformation in the past decade. Under the combined influence of technology, policy, and market incentives, the state has shifted from a cereal-dominated system to a diversified, high-value agricultural model driven by horticulture, aquaculture, and allied sectors.
Body & Infographic Representation	**Recent Changes in Composition and Structure:** • **Expansion of Horticulture** ✓ According to the AP Socio-Economic Survey 2023-24, the total area under horticulture reached 45.58 lakh acres, producing 366.53 lakh metric tonnes (MT) of fruits, vegetables, spices, and flowers. ✓ Within this, fruit crops occupied 19.90 lakh acres, yielding 200.64 lakh MT, supported by drip irrigation, nurseries, and cold-chain investments. ✓ The Gross Value Added (GVA) from horticulture was estimated at ₹56,262 crore in 2023-24, growing 2.84% over the previous year. ✓ Around 1.43 lakh acres of less-remunerative crops like upland paddy and tobacco were converted to horticultural use in 2023-24, indicating structural diversification. • **Aquaculture and Fisheries Growth:** ✓ Andhra Pradesh produced 51.58 lakh tonnes of fish and prawn in 2023–24, accounting for nearly 30% of India's fish production, consolidating its position as the country's top aquaculture state. ✓ The state exported about 3.27 lakh tonnes of frozen shrimp worth US$2.3 billion, making aquaculture one of its largest foreign-exchange earners. ✓ Growth in coastal districts such as Nellore, West Godavari, and Krishna has created high-value employment and enhanced farm incomes. • **Relative Stagnation in Foodgrains:** ✓ Foodgrain output, particularly of paddy and coarse cereals, has shown marginal growth or stagnation due to shifting acreage and climatic variability. ✓ The share of agriculture (including traditional crops) in the State's Gross Value Added (GVA) declined from 8.31% in 2014–15 to 3.73% in 2023–24 reflecting a move from volume to value-driven output. • **Drivers of Structural Transformation** ✓ **Market & Export Incentives:** High profitability in shrimp and fruit exports encouraged diversification. ✓ **Policy Support:** Programmes promoting horticulture missions, aquaculture infrastructure, and micro-irrigation expanded, with 2.05 lakh acres brought under drip/sprinkler irrigation in 2023–24, benefitting 75,035 farmers. ✓ **Technological Adoption:** Mechanisation, improved varieties, and post-harvest facilities enhanced productivity and reduced wastage. ✓ **Institutional Backing:** Formation of Farmer Producer Organisations (FPOs) and digital procurement platforms improved market linkages and price realisation. • **Implications:** ✓ **Positive:** Diversification has enhanced farm incomes, reduced dependence on cereals, and strengthened the export base. ✓ **Challenges:** Gains are uneven—coastal districts benefit more than dryland Rayalaseema; heavy reliance on export markets increases vulnerability to price and climate shocks.

	✓ **Structural:** The rise of high-value crops demands stronger cold chains, processing, traceability, and quality standards for sustained competitiveness.
Conclusion	Andhra Pradesh's agricultural landscape has transformed from subsistence cereals to a diversified, market-oriented system led by horticulture and aquaculture. While this transition boosts incomes and export potential, sustaining it requires inclusive policies, infrastructure for value chains, and climate resilience. A balanced approach combining innovation, equity, and sustainability will ensure that the sector remains dynamic and inclusive.
Model Question	Analyze the recent changes in the composition and structure of agricultural output in Telangana, highlighting the factors driving crop diversification and the implications for rural income and sustainability.
Value Addition	**Production of major crops in Telangana:** • Production of major crops in 2022-23, Telangana's total agricultural production stands at 414 lakh MTs, of which the major crops are Paddy, Cotton, and Maize. • The state cultivated 122.45 lakh acres of paddy, resulting in a production of 258 LMTs. • Cotton was grown on 50.03 lakh acres, yielding 30.59 lakh MTs, while maize was cultivated on 12.74 lakh acres, producing 28.65 lakh MTs.
160. Explain the concept of sustainable agriculture. What are its key objectives and common practices in India? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Sustainable Agriculture
Keyword	Explain, What
Approach	• Introduce by defining sustainable agriculture as a farming system that meets present food needs while protecting soil, water, and biodiversity for future generations. • Explain key objectives such as resource conservation, stable farm income, climate resilience, and improved soil health. • Discuss major practices in India like crop rotation, organic farming, mixed farming, micro-irrigation, natural farming, and integrated pest management with examples. • Conclude by stressing its role in ensuring long-term food security and ecological balance.
Introduction	Sustainable agriculture refers to a farming approach that meets present food needs while conserving soil, water, and biodiversity for future generations. It aims to improve farmer income, reduce environmental stress, and ensure long-term productivity by using locally suitable, resource-efficient, and eco-friendly methods.
Body & Infographic Representation	**Sustainable Agriculture:** • Sustainable agriculture focuses on maintaining soil health, reducing chemical dependence, conserving water, and protecting the environment. It adopts farming practices that use natural processes like nutrient recycling, biological pest control, and water harvesting to ensure stable farm output over time. **Key Objectives of Sustainable Agriculture:** • **Environmental Protection:** ✓ The main aim is to prevent soil degradation, reduce pollution, and protect biodiversity. Practices like organic manuring and agroforestry help conserve ecosystems. • **Economic Stability for Farmers:** ✓ It seeks to improve farm income by lowering input costs through practices such as crop rotation, integrated pest management, and efficient irrigation systems.

	• **Social Well-Being:** ✓ It promotes safe food, rural employment, and community participation through farmer-producer groups and local resource planning. • **Efficient Use of Resources:** ✓ Water conservation through micro-irrigation, soil fertility management, and climate-resilient crops help reduce wastage and enhance productivity. **Common Practices in India:** • **Organic Farming:** Use of compost, green manure, and biological pest control reduces chemical dependence. • **Crop Rotation and Mixed Cropping:** Farmers follow rotational cropping systems like cereals-pulses to maintain soil nutrients. • **Integrated Pest Management:** Use of resistant varieties, pheromone traps, and bio-pesticides reduces chemical pesticide usage. • **Agroforestry and Farm Forestry:** Planting trees along field boundaries improves soil fertility and provides additional income. • **Water-Saving Systems:** Micro-irrigation, rainwater harvesting, and watershed development programs support efficient water use.
Conclusion	Sustainable agriculture helps protect natural resources, ensures stable farmer income, and supports climate-resilient food production. With rising environmental challenges, adopting sustainable practices is essential for long-term agricultural growth and food security, making it a key component of India's rural development strategy.
Model Question	"Critically examine how sustainable agriculture can strengthen climate resilience in India. Highlight key government initiatives promoting climate-smart farming."
Value Addition	**Government initiatives to promote sustainable agriculture:** • Paramparagat Krishi Vikas Yojana (PKVY): Encourages organic farming through financial assistance and support for finding markets for organic produce. • Subhash Palekar Natural Farming: Supports natural farming techniques that reduce costs by using natural materials like cow dung and urine instead of chemical fertilizers. • PM-KUSUM: Promotes the adoption of solar pumps and other renewable energy sources in agriculture. • Clean Plant Programme: Focuses on producing virus-free planting material to ensure higher-quality crops and provides training for women farmers. • PM-PRANAM (PM Programme for Restoration, Awareness, Nourishment, and Amelioration of Mother Earth): Incentivizes states to promote alternative fertilizers and reduce chemical fertilizer use.
161. What is meant by sustainable agriculture? Discuss the sustainable agriculture practices and systems in India. Provide suggestions to improve agricultural incomes from sustainable agriculture. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Sustainable Agriculture
Keyword	What, Discuss, Provide
Approach	• Introduce by explaining sustainable agriculture as a farming system that meets present food needs while conserving soil, water, and biodiversity for future generations.

	• Discuss major practices like crop rotation, organic farming, water conservation, agroforestry, and soil health management, with Indian examples. • Explain systems such as PKVY, NMSA, FPOs, and traditional methods. • Conclude by suggesting ways to improve incomes through value addition, market access, diversification, and institutional support.
Introduction	Sustainable agriculture refers to a farming approach that meets present food needs while protecting soil, water, biodiversity, and community welfare for future generations. It aims to maintain environmental balance, ensure farmers' economic stability, and promote social wellbeing. It combines traditional wisdom with modern climate-resilient methods.
Body & Infographic Representation	**Meaning of Sustainable Agriculture:** • Sustainable agriculture means using farming techniques that conserve natural resources, reduce input costs, and ensure long-term productivity. It focuses on improving soil fertility, efficient water use, climate resilience, and stable farm incomes. It also encourages reducing chemical dependence and promoting eco-friendly practices. **Sustainable Agriculture Practices in India:** • **Crop Rotation and Intercropping:** ✓ Farmers practice crop rotation, mixed cropping, and intercropping to break pest cycles, maintain soil nutrition, and increase yield stability. For example, pulses grown after cereals improve soil nitrogen levels. • **Organic and Natural Farming:** ✓ The use of biofertilizers, compost, and botanical pesticides reduces chemical use. Many regions follow natural farming methods like cow-based inputs, improving soil biodiversity and reducing input costs. • **Water Conservation Practices:** ✓ Techniques like drip irrigation, mulching, farm ponds, contour bunding, and rainwater harvesting improve water use efficiency. These practices help drought-prone states manage irregular rainfall. • **Agroforestry and Integrated Farming Systems:** ✓ Combining trees with crops and livestock increases soil organic matter, reduces erosion, and provides additional income through timber, fodder, and fruits.  • **Soil Health Management:** ✓ Practices such as green manuring, cover cropping, composting, and soil testing help maintain soil fertility and reduce dependence on synthetic fertilizers. **Sustainable Agriculture Systems in India:** • **National Mission for Sustainable Agriculture:** This mission promotes soil health management, climate-resilient seeds, water conservation, and integrated nutrient management. • **Paramparagat Krishi Vikas Yojana (PKVY):** This system supports cluster-based organic farming, especially for small and marginal farmers. • **Farmer Producer Organizations (FPOs):** FPOs help farmers gain better market access, group credit, input purchase, and training support, improving incomes from sustainable produce.

	• **Traditional Indigenous Practices:** Systems like mixed farming, millet cultivation, and local seed varieties enhance biodiversity and resilience. **Suggestions to Improve Agricultural Incomes from Sustainable Agriculture:** • **Strengthen Market Access:** ✓ Link farmers directly with markets, promote fair prices, and encourage branding and certification of sustainable produce. • **Promote Value Addition:** ✓ Processing organic grains, spices, fruits, or herbal crops increases farmers' income compared to selling raw produce. • **Financial and Technical Support:** ✓ Provide affordable credit, crop insurance, and subsidies for drip irrigation, organic inputs, and renewable-energy equipment. • **Strengthen FPOs and Cooperatives:** ✓ Collective marketing and bulk procurement of inputs help reduce costs and raise profits. • **Crop Diversification:** ✓ Encourage farmers to shift from only traditional cereals to high-value crops like millets, medicinal plants, pulses, and horticulture crops.
Conclusion	Sustainable agriculture helps maintain soil fertility, reduce costs, and build climate resilience, while also ensuring long-term food security. By improving market linkages, providing financial support, and strengthening farmer collectives, India can increase rural incomes and promote a more resilient and eco-friendly farming system.
Model Question	"Examine the major challenges in scaling sustainable agriculture in India. How can policy reforms, technology, and community-based initiatives strengthen the shift towards sustainable farming?"
Value Addition	• **National Mission on Sustainable Agriculture (NMSA)** is an Indian government initiative under the National Action Plan on Climate Change (NAPCC) launched in 2014-15 to promote sustainable and climate-resilient agriculture. • Key objectives: ✓ Make agriculture more productive and sustainable: Promote integrated farming systems, develop rainfed areas, and enhance resource conservation. ✓ Improve soil health: Encourage soil test-based nutrient management and comprehensive soil health management. ✓ Optimize water use: Promote efficient water management technologies and practices to achieve "more crop per drop". ✓ Build farmer capacity: Develop the skills of farmers and stakeholders in sustainable practices. ✓ Enhance climate resilience: Help agriculture adapt to and mitigate the effects of climate change.
162. Explain the role of the Agricultural Produce Market Committee (APMC) Act in Agricultural Price Policy in regulating the agricultural market in India. What are the issues that have been observed by policy makers regarding the functioning of the APMC Act? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Agriculture Policy
Keyword	Explain, What
Approach	• Introduce by explaining that the APMC Act was enacted to regulate agricultural markets, ensure fair price discovery, and protect farmers from exploitation by middlemen. • Examine its role in agricultural price policy, focusing on transparency, organized markets, and farmer welfare.

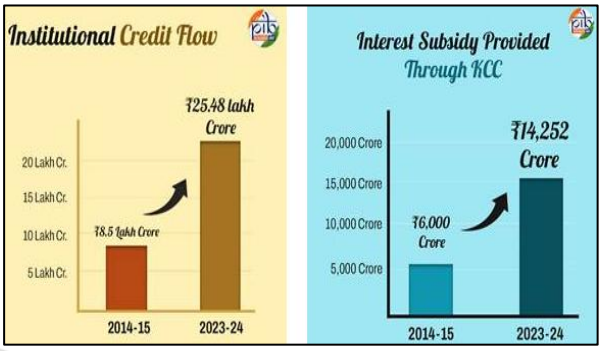
	• Discuss challenges such as trader cartels, poor infrastructure, and limited market access. • Conclude by suggesting reforms like e-NAM and Model APMC Act for efficient, transparent, and farmer-friendly markets.
Introduction	The Agricultural Produce Market Committee (APMC) Act was introduced to regulate agricultural trade and ensure fair prices for farmers. It aims to prevent exploitation by middlemen and establish organized markets where agricultural produce is traded transparently, thus supporting the goals of India's agricultural price policy.
Body & Infographic Representation	**Role of APMC in Regulating Agricultural Markets:** • The APMC Act plays a key role in strengthening agricultural price policy and promoting farmers' welfare: ✓ **Regulated Market System:** It establishes state-controlled mandis that regulate the buying and selling of agricultural produce, ensuring transparent price discovery through auctions. ✓ **Fair Remuneration:** Farmers receive fair and assured prices through open competition, reducing chances of exploitation. ✓ **Market Infrastructure:** APMCs provide facilities such as storage, grading, weighing, and quality testing, improving marketing efficiency. ✓ **Price Stability:** By preventing distress sales and maintaining a steady supply chain, APMCs support price stabilization policies. ✓ **Revenue Generation:** Market fees collected help fund rural infrastructure and mandi development. ✓ **Consumer Protection:** Quality control and grading systems protect consumers while enhancing trust in agricultural trade. • For example, around 7,000 regulated markets and 20,000 sub-market yards function under APMC Acts across states, connecting over 60% of farm produce traded in formal channels. **Challenges in the Functioning of APMC Act:** • **Monopoly of Middlemen:** Licensed traders often form cartels, depressing farmgate prices. • **Restricted Market Freedom:** Farmers are mandated to sell only in notified markets, limiting their choices. • **Price Distortions:** Commission agents and traders capture major margins, reducing farmer profits. • **Bureaucratic Inefficiency:** Over-regulation and corruption hinder smooth functioning. • **Infrastructure Gaps:** Inadequate storage and poor logistics lead to post-harvest losses. • **Regional Disparities:** Variation in state-level reforms causes uneven market access. • **Low Private Investment:** Rigid regulations discourage modern retail chains and processing units.
Conclusion	The APMC Act has contributed to organized agricultural marketing and price stabilization but needs urgent reforms for transparency, competition, and farmer empowerment. Initiatives like Model APMC Act (2003) and e-NAM can modernize markets and ensure fair income realization for farmers in a liberalized agricultural economy.
Model Question	"Discuss how market reforms such as the electronic National Agriculture Market (e-NAM) and the Model APMC Act, 2017, have sought to address the challenges in India's agricultural marketing system. To what extent have these reforms succeeded in ensuring better price realization for farmers?"

Value Addition	**About e-NAM (Electronic National Agriculture Market):** • The Electronic National Agriculture Market (e-NAM) is a pan-India online trading platform launched on April 14, 2016, to integrate existing APMC mandis across the country. • It is fully funded by the Government of India, and the Small Farmers Agribusiness Consortium (SFAC) under the Ministry of Agriculture and Farmers' Welfare is the nodal implementing agency. • **Objectives:** ✓ To create a unified national market for agricultural commodities. ✓ To ensure better price discovery through competitive and transparent online bidding. ✓ To reduce intermediaries and transaction costs in agricultural marketing. ✓ To empower farmers with real-time market information and facilitate direct e-payments.
163. Discuss the performance of agriculture sector during the 11th plan period and reasons for such performance. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Agriculture Policy
Keyword	Discuss
Approach	• Introduce by mentioning that the 11th Five-Year Plan (2007–2012) focused on achieving faster and more inclusive growth, with a 4% target for agricultural growth. • Explain the sector's performance—achieving around 3.3–3.6% average growth—highlighting key drivers like RKVY, NFSM, improved irrigation, and credit expansion despite drought challenges. • Conclude by emphasizing that policy focus, infrastructure development, and technology-based interventions strengthened agricultural resilience and set the stage for sustainable rural growth.
Introduction	The 11th Five-Year Plan (2007–2012) aimed at achieving "faster and more inclusive growth", with agriculture at its core. The sector recorded an average annual growth rate of around 3.3–3.6%, reflecting moderate progress driven by focused government initiatives despite climatic shocks and infrastructural challenges.
Body & Infographic Representation	**Performance of Agriculture Sector during the Eleventh Five year Plan:** • The 11th Plan targeted 4% growth in agriculture to ensure food security and rural prosperity. ✓ **Growth Rate:** The sector achieved an average annual growth rate of about 3.3%, higher than 2.4% in the 10th Plan, though below the target. ✓ **Recovery after Drought:** Despite a severe drought in 2009–10, the sector rebounded strongly with 7.9% growth in 2010–11, indicating resilience. ✓ **Sub-sector Contributions:** Growth was mainly driven by oilseeds, fibers, horticulture, and livestock. The livestock sub-sector grew by over 4% annually, cushioning crop losses. ✓ **Increased Foodgrain Output:** Foodgrain production crossed 250 million tonnes by the end of the plan, ensuring food availability and price stability. **Reasons for the Performance:** • **Policy Interventions:** Launch of Rashtriya Krishi Vikas Yojana (RKVY) empowered states to implement district-level agricultural plans based on local needs. • **National Food Security Mission (NFSM):** Boosted the productivity of rice, wheat, and pulses through quality seeds and better practices. • **Irrigation and Water Management:** Large investments were made in minor irrigation, watershed development, and rainwater harvesting to reduce monsoon dependency.

	• **Infrastructure Development:** Strengthened rural roads, storage, markets, and cold chains to enhance farmer-market access. • **Credit and Insurance Expansion:** Agricultural credit flow increased from ₹Rs.2.29 lakh crore (2007–08) to over Rs.4.75 lakh crore (2011–12), improving financial inclusion. • **Technological Support:** Promotion of soil health management, seed replacement, and micro-irrigation increased efficiency and productivity.
Conclusion	The 11th Plan marked a phase of agricultural revitalization, laying the groundwork for inclusive rural growth. Though the growth target of 4% was unmet, the sector's improved performance reflected the positive impact of policy focus, investment in infrastructure, and technology-driven interventions.
Model Question	"Examine the key policy initiatives and structural reforms undertaken during the 11th Five-Year Plan to accelerate agricultural growth and evaluate their impact on rural development in India."
Value Addition	**Rashtriya Krishi Vikas Yojana (RKVY):** • RKVY is the National Agriculture Development Programme, a central government scheme launched in 2007 to promote the holistic development of agriculture and allied sectors in India. • It provides financial incentives to states to increase public investment in agriculture and allows them to tailor schemes to their specific agro-climatic conditions. • **Objective:** To achieve a 4% annual growth in the agriculture sector through holistic development. • **Implementation:** It acts as an umbrella scheme, giving states flexibility to design and execute their own agriculture development plans based on local needs and priorities. • **Financial support:** It provides additional central assistance to states to increase their public investment in agriculture and allied sectors.
164. "Timely and adequate availability of institutional agricultural credit to a large extent determines the production and productivity of crops." Comment. (TGPSC, 2024)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Comment
Approach	• Introduce with the role of institutional credit in agriculture, highlighting its impact on crop production, productivity, and farmer welfare. • Discuss how timely and adequate credit influences input use, investment, crop diversification, commercialization, and risk reduction, supported by data and examples. • Conclude by providing a balanced comment, noting that credit is necessary but must be paired with extension, infrastructure, and policy measures for sustained productivity gains.
Introduction	Timely and adequate institutional agricultural credit is pivotal for crop production and productivity because it finances seasonal inputs, irrigation, mechanization, and risk-mitigation (insurance/working capital). In India institutional credit through Kisan Credit Cards (KCC), cooperative banks, commercial banks and NABARD channels has expanded markedly, shaping cropping choices and yield outcomes across regions.
Body & Infographic Representation	**Why institutional credit matters for production and productivity?** • **Financing critical inputs on time:** ✓ Short-term credit enables timely purchase of seeds, fertilizer, and fuel; delays force distress sales or reliance on costly informal loans, lowering yields.

- ✓ NABARD's Trends and Patterns in Agricultural Credit in India (2023) shows short-term credit per hectare rose from ₹10,117 in 2011-12 to ₹28,485 in 2019-20, while RBI (2022-23 Report on Agricultural Credit Flow) reports institutional credit rising from ₹4.6 lakh crore in 2011-12 to ₹18.6 lakh crore in 2021-22, largely via crop loans.

- **Enabling investments in productivity-enhancing capital:**
  - ✓ Medium- and long-term loans fund micro-irrigation, borewells, machinery, and storage, boosting yields and reducing losses.
  - ✓ Rising uptake of such term credit is linked with higher farm productivity.
  - ✓ NABARD data show credit per hectare increased from ₹15,431 in 2011–12 to ₹43,718 in 2019–20, reflecting growing support for both working and capital needs.
- **Stabilizing cash flows and reducing distress:**
  - ✓ Timely working capital through KCC lowers reliance on moneylenders, reduces interest costs via subvention, and prevents distress asset sales, safeguarding reinvestment capacity.



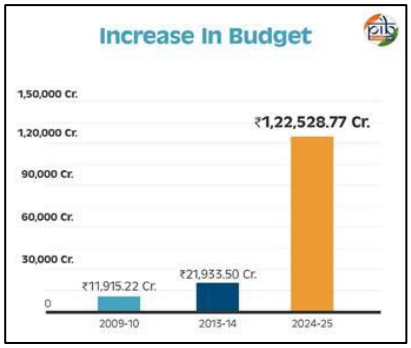
  - ✓ The scheme has scaled up significantly, with 7.9 crore operational accounts by March 2023, covering nearly 60% of farm households, and outstanding credit exceeding ₹8.85 lakh crore (Economic Survey 2023-24).
- **Encouraging crop diversification and commercialization:**
  - ✓ Institutional credit supports diversification into high-value crops like horticulture, dairy, and fisheries that need upfront investment, boosting productivity and incomes.
  - ✓ Example: The Socio-Economic Survey of Andhra Pradesh 2024 highlights that credit access enabled the state to become India's largest producer of fruits and aquaculture, with horticulture contributing 16% of GVA and aquaculture 35% of seafood exports.

Constraints:

- **Uneven access:**
  - ✓ **High share of smallholders in accounts**: Small and marginal farmers make up nearly 75% of institutional credit accounts, reflecting broad outreach.
  - ✓ **Low per-farmer loan value:** Their average loan stood at only ₹71,034 in 2019–20, compared to ₹102482 overall, restricting investment in yield-enhancing technologies.
- **Over-indebtedness risk:**
  - ✓ **Regional disparities in credit flow:** NABARD highlights wide gaps, with agricultural credit per hectare ranging from below ₹14,000 to above ₹180000 across districts.
  - ✓ **Impact on adoption:** Areas with scarce institutional credit show lower uptake of modern practices and technologies, reinforcing productivity gaps.
- **Timeliness vs. sufficiency:**
  - ✓ **Importance of timing:** Pre-sowing credit is vital; delays force reliance on informal lenders, reducing input use and yields. RBI (2022-23) notes 65–70% of institutional farm credit is short-term/crop loans for seasonal needs.

	✓ **Adequacy and design:** Loan size and purpose matter. NABARD (2023) reports short-term credit per hectare rose from ₹10,117 (2011-12) to ₹28,485 (2019-20), and term credit from ₹15,431 to ₹43,718, supporting both inputs and investment in irrigation/machinery. **Policy imperatives:** • To convert institutional credit into sustained productivity gains, policy must: ✓ **Prioritize timely disbursal (pre-sowing):** The Kisan Credit Card (KCC) scheme allows flexible, revolving crop loans to ensure funds are available at sowing time. ✓ **Scale term loans for micro-irrigation and allied activities:** Programs like PM Krishi Sinchayee Yojana (PMKSY) and Agriculture Infrastructure Fund (AIF, ₹1 lakh crore) promote irrigation, storage, and processing through institutional finance. ✓ **Expand credit-friendly digitization**: Digital India Land Records Modernization Programme (DILRMP) and e-KYC of KCC accounts are improving access for tenant farmers and smallholders. ✓ **Pair credit with extension and market support**: Initiatives such as PMFBY (crop insurance), e-NAM (market integration), and Mission for Integrated Development of Horticulture (MIDH) complement credit with risk mitigation, extension, and infrastructure.
Conclusion	Timely and adequate institutional credit is essential but not sufficient for higher farm productivity. While it finances inputs and investments that raise yields, sustainable gains require stronger extension, irrigation, market linkages, and inclusive credit design, especially for smallholders, along with safeguards against over-indebtedness, as emphasized by NABARD and recent policy measures.
Model Question	"Availability of institutional credit alone is not sufficient to ensure higher agricultural productivity." Discuss, citing relevant data and government initiatives.
Value Addition	**Institutional credit for agriculture sector:** • Since the inception of the scheme, a total of 1,285.37 lakh KCCs had been issued till 2012-13, which increased to 1,895.81 lakh by March 31, 2019 (PE). • In the last 10 years, Rs 1.44 lakh Crore of Interest Subsidy has been released on Kisan Credit Card loans. It has risen nearly 2.4 times, from ₹6,000 Crore in 2014-15 to ₹14,252 crore in 2023-24. • Institutional credit flow to agriculture has risen nearly three times since 2014-15, rising from ₹ 8.5 lakh Crore to ₹ 25.48 lakh Crore in 2023-24. Short-term agriculture credit has more than doubled, increasing from ₹ 6.4 lakh Crore in 2014-15 to ₹ 15.07 lakh Crore in 2023-24. • The proportion of Small and Marginal Farmers accessing agriculture loans grew from 57% in 2014-15 to 76% in 2023-24.
165. Discuss the types and sources of agricultural credit in India. Explain the initiatives taken by the Indian Government in order to improve access to agricultural credit. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Discuss, Explain
Approach	• Introduce by explaining the importance of agricultural credit in improving productivity, income, and sustainability of India's agrarian economy. • Discuss the types of agricultural credit—short-term, medium-term, and long-term—based on the period and purpose. • Explain the sources of credit, distinguishing between institutional (banks, cooperatives, NABARD) and non-institutional (moneylenders, traders). • Highlight government initiatives like KCC, PM-KISAN, AIF, and interest subvention to improve access.

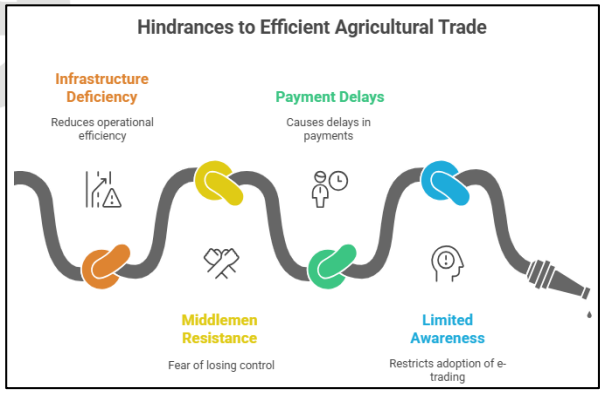
	• Conclude by stressing the need for inclusive, timely, and affordable agricultural finance for rural prosperity.
Introduction	Agricultural credit forms the backbone of India's rural economy, enabling farmers to purchase inputs, adopt modern technology, and increase productivity. With over half of India's workforce dependent on agriculture, timely and affordable credit is vital for sustaining production, ensuring rural income stability, and promoting inclusive growth.
Body & Infographic Representation	**TYPES AND SOURCES OF AGRICULTURAL CREDIT IN INDIA:** **Types of Agricultural Credit:** • **Short-term Credit:** ✓ Provided for up to one year to meet immediate cultivation expenses such as seeds, fertilizers, and wages. It helps farmers manage seasonal operations smoothly. • **Medium-term Credit:** ✓ Ranging between one to five years, it supports the purchase of livestock, small machinery, and minor irrigation equipment. • **Long-term Credit:** ✓ Extending beyond five years, it is used for capital investments like land development, construction of wells, and purchase of tractors or durable farm assets. **Sources of Agricultural Credit:** • **Institutional Sources:** Include commercial banks, regional rural banks (RRBs), cooperative societies, land development banks, and NABARD. These ensure formal and regulated credit at reasonable interest rates. • **Non-Institutional Sources:** Comprise moneylenders, traders, and relatives, often charging high interest and causing indebtedness. Despite formal expansion, nearly 30% of small and marginal farmers still depend on informal sources. **Government Initiatives to Improve Credit Access:** • **Kisan Credit Card (KCC):** Simplifies short-term credit access for crop cultivation and allied activities like animal husbandry and fisheries. • **Interest Subvention Scheme:** It offers 2–3% interest subvention on short-term crop loans, lowering borrowing costs. • **Agriculture Infrastructure Fund (AIF):** Provides medium and long-term credit support for post-harvest infrastructure and value chains. • **Pradhan Mantri Kisan Samman Nidhi (PM-KISAN):** Provides ₹6,000 annually to farmers, indirectly easing credit dependence. • **Priority Sector Lending (PSL):** Mandates commercial banks to allocate 18% of total loans to agriculture. • **Digital Credit and Financial Inclusion Drives:** Promote direct benefit transfers, online loan disbursements, and KCC saturation for all PM-KISAN beneficiaries. **Challenges:** • **High levels of farmer indebtedness:** ✓ Many farmers continue to be trapped in a cycle of debt due to factors like low crop yields, fluctuating market prices, and inadequate access to markets. • **Inefficient credit delivery mechanisms:** ✓ Bureaucratic hurdles, lack of awareness among farmers, and delays in loan disbursement continue to hinder access. • **Limited reach of formal credit institutions:** ✓ Many small and marginal farmers in remote areas still lack access to formal credit sources.

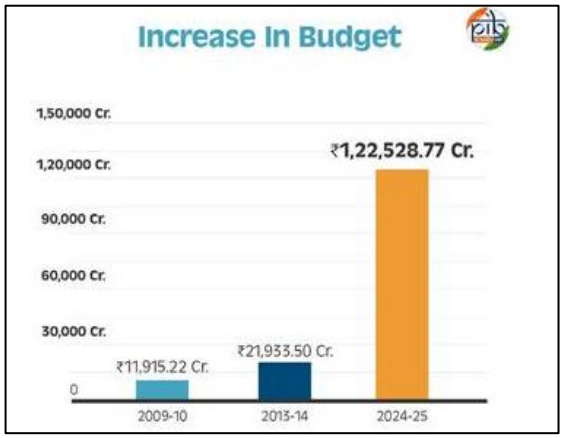
Conclusion	Agricultural credit is vital for achieving sustainable agricultural growth and doubling farmers' income. Continued reforms, strengthening of cooperative banks, financial literacy, and digital credit expansion are essential to ensure that every small and marginal farmer gains timely access to affordable institutional finance.
Model Question	"Evaluate the effectiveness of government schemes in improving access to institutional agricultural credit for small and marginal farmers in India. How can financial inclusion be strengthened to ensure equitable growth in the agricultural sector?"
Value Addition	**Enhanced Agricultural Budget Allocation:** • The budget estimates for the Department of Agriculture, Cooperation & Farmers Welfare was Rs.11,915.22 Crore in 2008-09. • The budget for Department of Agriculture and Farmers' Welfare increased to Rs.21,933.50 Crore in 2013-14 and further advanced to Rs.1,22,528.77 Crore in 2024-25, reflecting the government's commitment to agricultural development. 

166. Explain the regulation of agricultural markets in India. Discuss the scope of farmer-market linkages with a special mention of the e-National Agriculture Market in India. (APPSC, 2023)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Explain, Discuss
Approach	• Introduce by explaining that agricultural marketing in India is regulated mainly through APMC Acts to protect farmers and ensure fair prices. • Explain how reforms like the Model APMC Act (2003), APLM Act (2017), and Contract Farming Act (2018) modernized markets and reduced intermediaries. • Discuss e-NAM's role in integrating mandis, promoting transparency, and expanding farmer-market linkages. • Conclude by highlighting that digital platforms like e-NAM can make India's agricultural markets more efficient, unified, and farmer-centric.
Introduction	Agricultural marketing in India is regulated mainly through the Agricultural Produce Market Committee (APMC) Acts, which aim to protect farmers from exploitation by middlemen and ensure fair prices. However, reforms like e-NAM are being introduced to enhance transparency, competition, and farmer–market linkages.
Body & Infographic Representation	**Regulation of Agricultural Markets in India:** • Agricultural marketing is primarily governed by the APMC Acts enacted by State Governments. These Acts establish regulated markets (mandis) managed by APMCs to facilitate the sale of farm produce. • Its objective is to ensure fair trade, prevent exploitation, and standardize prices. • Each APMC regulates trade within its jurisdiction by issuing licenses, collecting market fees, and supervising auctions. • Over time, the system became fragmented and restrictive, limiting farmers' ability to sell outside mandis and leading to intermediary dominance. **Major Reforms in APMC Acts:** • **Model APMC Act, 2003:** ✓ Encouraged direct marketing, contract farming, and electronic trading to ensure better price discovery and efficiency. • **Model APLM Act, 2017:** ✓ Proposed single market license and allowed private markets, warehouses, and cold storages to operate as regulated markets.

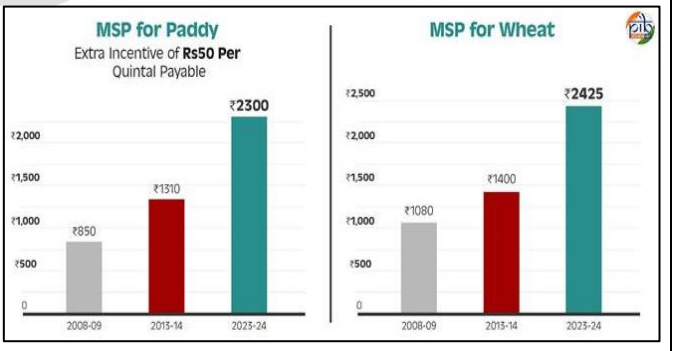
	• **Model Contract Farming Act, 2018:** ✓ Promoted partnerships between farmers and agribusiness firms, ensuring price assurance and risk-sharing. • **Grameen Agricultural Markets (GrAMs):** ✓ Aimed to modernize 22,000 rural hats into village-level markets outside APMC control, improving access for small farmers. **Emergence and Scope of e-National Agriculture Market (e-NAM):** • e-NAM was launched in 2016, e-NAM is a pan-India electronic trading portal connecting 1522 mandis across all states and 3 UTs. • It integrates APMCs through a Unified Market Platform, allowing online bidding and transparent price discovery. • Farmers can view real-time prices and sell produce to any buyer in the country, improving market access and competition. • e-NAM promotes efficiency and reduced transaction costs, enhancing farmers' income and linking them with processors, exporters, and retailers. **Challenges in Agricultural Market Regulation and Linkages:** • Inadequate digital infrastructure and low digital literacy among farmers. • Resistance from intermediaries and lack of reforms in some states. • Interoperability issues among state markets due to different licensing systems. • Limited grading, assaying, and storage facilities affecting quality-based trade.
Conclusion	The regulation of agricultural markets in India is evolving from restrictive APMC systems to a more open, technology-driven framework through e-NAM. Strengthening farmer–market linkages, promoting competition, and ensuring digital access can create an inclusive and efficient agricultural marketing ecosystem for farmers.
Model Question	"Evaluate the impact of agricultural marketing reforms in India on farmers' income and market efficiency. How has the e-NAM initiative contributed to transforming agricultural trade in recent years?"
Value Addition	**Present status of eNAM in India:** • As of late October 2025, there were 1522 mandis onboarded on the e-NAM platform in India, with a total of over 1.79 crore farmers registered. The platform aims to create a national market for agricultural produce by integrating Agricultural Produce Market Committees (APMCs) across states and union territories. • Total Mandis: 1522 mandis are onboarded on the e-NAM portal. • Total Farmers: Over 1.79 crore farmers are registered. • Total Traders: Over 2.67 lakh traders are registered on the platform. • Total FPOs: 4518 Farmer Producer Organizations (FPOs) are registered.
167. What is e-NAM? State the challenges in its implementation (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	What and State
Approach	• Define e-NAM as a pan-India electronic trading platform integrating APMC markets. • Explain its objectives, such as price discovery, transparency, and market efficiency, and challenges like digital divide, lack of infrastructure, and resistance from traders. • Suggest solutions such as better connectivity, awareness, and inter-state coordination for successful implementation.
Introduction	The National Agriculture Market (e-NAM), launched in 2016, is a pan-India electronic trading platform designed to integrate the existing Agricultural Produce Market Committees (APMCs) to create a unified national market for agricultural commodities. It aims to enhance price discovery, transparency, and competitiveness in agricultural

	marketing. However, its effective implementation has faced several structural and operational challenges.
Body & Infographic Representation	**Objectives and Features of e-NAM:** • e-NAM integrates 1,000+ regulated markets (mandis) across 18 states and 3 UTs into a single online platform. • It enables farmers to sell produce beyond local mandis, promoting inter-state trade and reducing intermediaries. • It uses online bidding and transparent price discovery mechanisms to ensure better remuneration for farmers. **Achievements so far:** • According to the Ministry of Agriculture (2023), e-NAM has onboarded 1.7 crore farmers and over 2 lakh traders. • It has facilitated trade worth ₹2 lakh crore since its inception, improving price transparency for crops like pulses, cereals, and oilseeds. • States such as Andhra Pradesh, Telangana, and Karnataka have reported higher participation due to better digital infrastructure and mandi reforms. **Challenges in Implementation of e-NAM**: • **Digital Divide**: Limited internet access and low digital literacy among small and marginal farmers restrict participation. • **APMC Fragmentation**: Variation in state-level APMC laws hampers uniform integration and interstate trade. • **Infrastructure Deficiency**: Inadequate assaying labs, grading facilities, and logistics reduce operational efficiency. • **Resistance from Middlemen**: Traditional commission agents resist reform due to fear of losing control over trade. • **Payment Delays:** Lack of seamless digital payment systems in some mandis causes delays in farmer payments. • **Limited Awareness:** Farmers' lack of understanding of e-trading procedures restricts adoption, especially in rural Andhra Pradesh districts like Anantapur and Prakasam. 
Conclusion	The e-NAM platform has laid a strong foundation for agricultural marketing reforms in India, but remains underutilised due to systemic challenges. Strengthening digital infrastructure, harmonising APMC laws, and enhancing farmer awareness are essential to realising its full potential. A truly unified national market can improve price realisation and market efficiency for India's farmers.
Model Question	Evaluate the role of the National Agriculture Market (e-NAM) in promoting agricultural marketing reforms in India. What measures are needed to make it more inclusive and efficient?
Value Addition	The mKisan Portal, launched in 2013 by the Ministry of Agriculture and Farmers' Welfare, is an integrated platform that delivers agricultural advisories and information services to farmers across India via SMS and mobile applications. It provides location-specific messages on weather forecasts, pest management, crop practices, and market prices in regional languages. The portal also integrates with schemes like the Soil Health Card and PM-KISAN to ensure timely information flow.

168. Highlight some of the major factors leading to low agricultural productivity in India. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Highlight
Approach	• Introduce with the significance of agricultural productivity for India's economy and food security. • Discuss structural, institutional, infrastructural, ecological, and policy-related factors. • Conclude with a balanced note on reforms and policy measures needed to overcome these challenges.
Introduction	Agriculture, employing nearly 45% of India's workforce and contributing around 18% to GDP, remains the backbone of the economy. However, low productivity continues to hinder its potential due to structural, institutional, and ecological challenges, making it crucial to examine the factors limiting sustainable agricultural growth.
Body & Infographic Representation	**Major Factors Behind Low Agricultural Productivity in India:** • **Fragmented Land Holdings and Subsistence Farming:** ✓ A large proportion of farmers operate on small and fragmented land holdings (average size: 1.08 ha, Agri Census 2020–21). ✓ This limits mechanization, adoption of modern inputs, and economies of scale. Agriculture continues to be subsistence-oriented, reducing productivity growth • **Dependence on Monsoon and Poor Irrigation Coverage:** ✓ As per Economic Survey 2024–25, nearly 48% of net sown area still depends on rainfall. ✓ Irrigation is uneven across regions—Punjab and Haryana are highly irrigated while eastern states remain vulnerable to monsoon fluctuations. ✓ This leads to instability in yields and cropping intensity. • **Inadequate Infrastructure and Post-Harvest Losses** ✓ Inadequate cold storage, warehousing, and transport infrastructure cause 15–20% post-harvest losses ✓ Lack of efficient market linkages and APMC bottlenecks prevent farmers from realizing better price signals, reducing incentives for productivity-enhancing investments.  • **Credit and Technology Gaps:** ✓ Despite schemes like PM-KISAN, Kisan Credit Card, and Agri-Infra Fund, small farmers still depend on informal moneylenders. ✓ Investment in agriculture R&D is less than 1% of Agri-GDP. ✓ Limited extension services hinder adoption of HYV seeds, precision farming, and digital tools. • **Soil Degradation and Unsustainable Practices** ✓ Overuse of chemical fertilizers, groundwater exploitation, and mono-cropping have degraded soil health. ✓ The Soil Health Card Scheme has improved awareness, but adoption of balanced nutrient management remains limited.

	• **Low Labour Productivity** ✓ Around 42% of India's workforce is employed in agriculture but contributes only ~16% to GDP. ✓ Surplus Labour, disguised unemployment, and limited skill upgradation reduce output per worker compared to global standards. • **Climate Change Vulnerability** ✓ The Indian Council of Agricultural Research (ICAR) projects up to 10% yield decline in wheat and rice by 2050 due to rising temperatures. ✓ Despite missions like **National Mission on Sustainable Agriculture (NMSA),** adoption of climate-resilient seeds and practices is slow. • **Policy and Structural Constraints:** ✓ Subsidies on fertilizer, water, and electricity encourage unscientific cropping patterns (Eg: paddy in water-scarce states). ✓ Insufficient investment in rural infrastructure and irrigation undercuts long-term productivity.
Conclusion	Low agricultural productivity in India is the outcome of structural, institutional, and ecological constraints. Addressing them requires land consolidation, expanded irrigation, rural infrastructure development, better credit access, investment in R&D, and climate-smart agriculture. With agriculture central to food security and rural livelihoods, boosting productivity is critical to India's inclusive growth and economic transformation.
Model Question	"Agricultural productivity in India lags behind global standards. Critically evaluate the role of technology, credit availability, and extension services in bridging this gap."
Value Addition	**Key Achievements and Government Initiatives to support Agriculture Sector:** • The Government of India has significantly increased budget allocations, rising from ₹11,915.22 crore in 2008-09 to ₹122528.77 crore in 2024-25, demonstrating its commitment to the sector. • Food grain production has surged from 204.6 million tonnes (2004-05) to an estimated 332.3 million tonnes (2023-24), with enhanced productivity and Minimum Support Price (MSP) revisions ensuring better farmer incomes. • Key farmer-centric initiatives include PM-KISAN (₹3.46 lakh crore disbursed), PMFBY (₹1.65 lakh crore in claims), and e-NAM, which has integrated 1,400+ Mandis for better market access. The Agricultural Infrastructure Fund (AIF) has sanctioned ₹52,738 crore for over 87,500 projects to improve post-harvest management.
169. "An Indian peasant is born in debt, lives in debt and dies in debt". In this context, explain the problems faced by the rural population in getting the loans from institutional and non-institutional sources in AP and how they get into debt trap and poverty. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Explain, How
Approach	• Highlight the chronic issue of rural indebtedness and dependence on credit. • Discuss problems in accessing institutional credit, dominance of non-institutional sources, and factors pushing farmers into debt traps in Andhra Pradesh. • Recommend inclusive financial reforms, credit literacy, and rural livelihood diversification to break the cycle of poverty.
Introduction	Rural indebtedness has been a chronic feature of Indian agriculture, reflecting the structural weakness of the agrarian economy. In Andhra Pradesh, despite the spread of institutional credit, a large section of small and marginal farmers still depend on non-institutional moneylenders. The resulting debt trap perpetuates rural poverty, distress, and agrarian vulnerability.

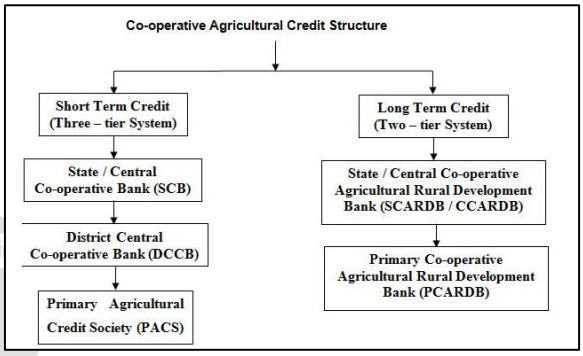
Body & Infographic Representation	**Dependence on Credit and Debt Cycle:** • Agriculture in Andhra Pradesh is highly capital-intensive, requiring credit for inputs like seeds, fertilisers, and irrigation. • However, poor access to institutional loans forces farmers to borrow from informal sources, creating a cycle of borrowing–repayment–reborrowing. **Problems in Accessing Institutional Loans:** • **Collateral Constraints**: Smallholders often lack clear land titles or security, making them ineligible for bank loans. • **Procedural Delays**: Lengthy paperwork and rigid documentation deter rural borrowers. • **Limited Banking Reach**: Rural branches are fewer in drought-prone districts like Anantapur, Kurnool, and Chittoor. • **Credit Bias:** Banks often prefer lending to commercial agriculture or agribusiness over small farmers. • **Exclusion of Tenant Farmers**: Nearly 20 lakh tenant farmers in AP are outside formal credit coverage due to a lack of land ownership. **Exploitation by Non-Institutional Sources**: • Moneylenders, traders, and landlords charge usurious interest rates, often deducting repayment directly from produce sales. • Social pressure and lack of legal protection deepen indebtedness, especially among Dalit and tribal farmers. **Debt Trap and Poverty Link**: • Crop Failures due to erratic monsoons aggravate repayment burdens. • Suicides in Rayalaseema and Telangana border regions reflect the severity of distress. • Indebtedness perpetuates asset depletion, migration, and intergenerational poverty, making economic recovery difficult. **Government Measures:** • Initiatives like Rythu Bharosa, Pavala Vaddi scheme (3% interest), Stree Nidhi Cooperative Federation (2011), and SHG-Bank Linkage Programme aim to improve institutional access and reduce dependency on informal credit.
Conclusion	Rural indebtedness in Andhra Pradesh symbolizes the structural imbalance between agricultural needs and credit availability. Strengthening inclusive rural banking, improving tenant farmer access, and promoting financial literacy are essential to break the vicious cycle of debt and poverty. True agrarian prosperity depends on credit justice and institutional support for small farmers.
Model Question	Critically examine the structural causes of rural indebtedness in Andhra Pradesh and suggest measures to ensure equitable access to rural credit and prevent debt-induced poverty.
Value Addition	The Stree Nidhi Cooperative Federation, established in 2011 by the Government of Andhra Pradesh in collaboration with the Society for Elimination of Rural Poverty (SERP), is a women-led financial institution that provides low-interest credit to Self-Help Groups (SHGs) for livelihood and emergency needs. It operates as a supplementary microfinance mechanism, ensuring quick, collateral-free loans through a technology-enabled platform. The scheme offers credit at an interest rate of 3% per annum under the "Pavala Vaddi" initiative, promoting financial inclusion and reducing dependence on informal moneylenders.
170. Minimum Support Prices are not covering cost of production for several crops. What are the alternative strategies to address the viability of farming? (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing

Keyword	What
Approach	• Introduce MSP, highlight its role in safeguarding farmer incomes, and note that MSPs often fall short of production costs for several crops. • Discuss challenges with MSP coverage, limited procurement, regional disparities, and outline alternative strategies like crop diversification, income support, insurance, credit, and market reforms. • Conclude by emphasizing that while MSP is important, combining policy measures, direct support, and institutional reforms is essential for farm viability and sustainable agricultural livelihoods.
Introduction	Minimum Support Prices (MSPs) have been a key policy instrument to safeguard farmers' incomes and ensure food security. However, for several crops, MSPs remain below the cost of production, exposing farmers to price risks. Alternative strategies are now crucial to improve farm viability, reduce distress, and promote sustainable agriculture.
Body & Infographic Representation	**Recent Developments in MSPs:** • **Increased MSPs for Kharif Crops (2024-25):** ✓ The government has raised MSPs for 14 Kharif crops to ensure remunerative prices for farmers. ✓ Notably, Niger seed saw the highest absolute increase of ₹983 per quintal, followed by sesame at ₹632 per quintal, and tur/arhar at ₹550 per quintal. • **Enhanced MSP Coverage:** ✓ The MSP basket now includes more crops to support additional farmers. ✓ For Kharif 2024-25, Niger seed MSP rose ₹983/qtl, sesame ₹632/qtl, tur/arhar ₹550/qtl, moong ₹400/qtl, urad ₹375/qtl, and maize ₹225/qtl. • **Legal Guarantee for MSP:** ✓ There have been discussions about providing a legal guarantee for MSP to ensure that farmers receive at least the announced MSP for their produce. **Current Challenges with MSPs:** • **MSP not covering production cost:** ✓ As per Economic Survey 2023–24, pulses, oilseeds, and some coarse cereals often see MSPs barely above A2+FL cost.  ✓ For instance, lentils (masur) had MSP 89% above cost, and tur/arhar 58% above, leaving farmers financially vulnerable. • **Limited procurement coverage:** ✓ While rice and wheat enjoy large-scale procurement, pulses, millets, and oilseeds see low procurement, causing price volatility. ✓ In 2023-24, pulses and oilseeds procurement fell to 0.69 million tonnes from 2.83 million tonnes in 2022-23. • **Regional disparity:** ✓ Telangana and other rain-fed regions often witness low MSP realization due to poor access to procurement centers and marketing infrastructure. ✓ A 2022 study highlighted that approximately 44% of tenant farmers in Telangana were unable to access MSP due to land ownership prerequisites.

	Alternative Strategies for Enhancing Farm Viability • **Crop diversification and high-value crops**: ✓ Encouraging farmers to shift from low-return cereals to horticulture, pulses, dairy, and aquaculture can improve income. ✓ Telangana's horticulture sector, contributing 16% to state GVA, shows higher profitability where credit and market linkages exist. • **Improved market access and MSP reform:** ✓ Expand e-NAM coverage to reduce dependency on local markets and ensure better price realization. ✓ Consider dynamic MSP linked to 50–60% above cost of production for crops prone to low returns. ✓ Ensure timely procurement and transport infrastructure in rain-fed and remote regions. • **Direct income support schemes**: ✓ Programs like PM-Kisan provide ₹6,000/year per farmer, cushioning income shortfalls and mitigating distress when MSPs are inadequate. ✓ Farmers in Telangana will receive ₹12,000 per acre annually under the Rythu Bharosa scheme, an increase from the earlier ₹10,000. • **Crop insurance and risk management**: ✓ Enhanced coverage under PMFBY and adoption of weather-indexed insurance reduce the risk of income loss due to price fluctuation or climatic events. • **Strengthening institutional credit and extension**: ✓ Access to short- and medium-term credit enables purchase of quality inputs and investment in irrigation/allied activities. ✓ Coupled with extension services, it boosts productivity. ✓ The KCC–RuPay scheme covers 7.9 crore accounts with ₹8.85 lakh crore outstanding, supporting high-value crop investment (Economic Survey 2023-24).
Conclusion	While MSPs remain a foundational tool for farmer support, their inadequacy for several crops necessitates complementary strategies. Crop diversification, enhanced market access, income support, insurance, and robust credit-extension frameworks collectively improve farm viability, ensuring sustainable agricultural livelihoods and reducing farmer distress, particularly in rain-fed and low-profit regions.
Model Question	Analyse the regional disparities in MSP realization and procurement in India. Suggest measures to ensure equitable access to MSP for farmers in rain fed and remote areas.
Value Addition	**Minimum Support Price (MSP) Enhancements:** • Government has increased the MSP for all mandated Kharif, Rabi and other commercial crops with a return of at least 50 per cent over all India weighted average cost of production from 2018-19. • The MSP for paddy (common) has risen from ₹850 per quintal in 2008-09 (with an additional incentive of ₹50 per quintal) to ₹1,310 per quintal in 2013-14, and further to ₹2,300 per quintal in 2023-24. • MSP for wheat has also seen consistent growth, rising from ₹1,080 per quintal in 2008-09 to ₹1,400 per quintal in 2013-14, and reaching ₹2,425 per quintal in 2023-24. • The MSP paid to farmers for paddy also saw a threefold increase, from ₹4.40 lakh crore in 2004-13 to a staggering ₹12.51 lakh crore in 2014-24. • The MSP paid to farmers for wheat procurement also saw a steep rise from ₹2.27 lakh crore in 2004-13 to ₹5.44 lakh crore in 2014-24, ensuring greater financial stability for wheat farmers across the country.

171. Institutional credit to agricultural sector has become iniquitous in the state. Describe the nature of the inequality. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Describe
Approach	• Introduce by defining institutional credit in agriculture and highlighting its importance for inclusive growth in Telangana's farm sector. • Describe the dimensions of inequality, across farm size (small/marginal vs. large), spatial (irrigated vs. rain-fed districts), crop patterns (paddy vs. pulses/millets), and institutional channels (commercial banks vs. cooperatives/RRBs). • Conclude by emphasizing that bridging these inequities requires targeted credit policies, digital inclusion, and synchronized public investment for balanced agricultural growth.
Introduction	Institutional credit is essential for input purchase, investments and risk management in agriculture. In Telangana, however, access to formal farm finance is markedly unequal across farmer classes, regions and institutions, a pattern that constrains productivity improvements and deepens rural inequality. This answer describes the salient forms, drivers and consequences of that iniquity with state-specific evidence.
Body & Infographic Representation	**Why Institutional credit to agricultural sector has become iniquitous in the state?** • **Inequality across Farm Size:** ✓ Large farmers corner the bulk of loans due to landownership and collateral. ✓ Small and marginal farmers, who form 86% of operational holdings in Telangana (average landholding size: 0.89 ha, 2021–22, Socio-Economic Outlook 2025), face barriers in accessing bank credit. ✓ Tenant farmers: Nearly 35–40% of cultivators are excluded as they lack Pattadar passbooks or land titles, making them dependent on private moneylenders charging 24- 36% interest, compared to institutional credit at ~7%. • **Spatial/Regional Inequality** ✓ Irrigation-rich districts (Warangal, Nalgonda, and Karimnagar) attract higher institutional lending because of paddy and cotton cultivation backed by MSP procurement. ✓ Rain-fed and tribal districts (Adilabad, Bhadradri-Kothagudem, and Nagarkurnool) are underserved. ✓ NABARD's State Focus Paper 2023–24 noted that credit flow in tribal-dominated areas remains below potential, worsening vulnerability to crop failures and distress migration. ✓ Example: Per capita agricultural credit flow in Nalgonda (₹88,000/ha) is nearly double that in Adilabad (₹46,000/ha). • **Crop-wise Inequality:** ✓ Credit is concentrated in paddy and cotton, which account for over 70% of crop loans in Telangana (Telangana State Planning Department, 2023). ✓ Millets, pulses, and oilseeds receive negligible institutional support despite government push for "Nutri-Cereals" under the National Food Security Mission. ✓ Example: In 2021–22, cotton alone accounted for 48% of total agricultural credit disbursed, while pulses got less than 4%. • **Institutional Channels of Inequality:** ✓ Commercial banks dominate (over 70% share in credit, NABARD 2023–24), but prefer larger loans and commercial crops. ✓ Cooperative banks and RRBs, historically pro-small farmer institutions have a declining share (cooperatives' share fell below 10% in Telangana by 2022), restricting access for weaker farmers.

	✓ Example: A NABARD survey (2021) found that 40% of smallholders in rain-fed districts relied more on SHGs and informal sources than banks. • **Gender and Social Inequality:** ✓ Women, who make up nearly 46% of the agricultural workforce in Telangana (Census 2011, PLFS 2022), face exclusion due to lack of land titles in their name. ✓ Dalit and Adivasi farmers, often engaged in subsistence farming, are more dependent on informal credit. **Way Forward:** • **Scaling KCC coverage:** As of 2023-24, Telangana has issued ~63 lakh Kisan Credit Cards, but tenant farmers remain largely excluded; universalizing KCC can reduce informal borrowing (Socio-Economic Outlook 2024). • **District-level credit targeting:** NABARD's State Focus Paper 2024-25 highlights inter-district disparities, with agricultural credit per hectare ranging from under ₹14,000 in Adilabad to over ₹1.5 lakh in Nalgonda. Planning must bridge such gaps. • **Risk mitigation with insurance-credit linkage:** PMFBY coverage in Telangana was only ~9% of gross cropped area in 2022-23; linking credit with insurance uptake will protect against climate risks. • **Credit-linked irrigation and allied sector push:** Budget 2024-25 of Telangana earmarked ₹29,605 crore for irrigation, but aligning term loans with micro-irrigation, dairy, and fisheries can broaden credit access. • **Digital solutions for inclusion:** Expanding e-KYC, loan apps, and linking Dharani land records with banking systems can ease access for small and marginal farmers.
Conclusion	Institutional credit in Telangana remains size-biased (favoring large farmers), regionally uneven (favoring irrigated districts), crop-selective (favoring paddy/cotton), and institutionally skewed (favoring commercial banks). This structural inequality perpetuates rural indebtedness and distress.
Model Question	Examine why small and marginal farmers, who constitute over 85% of operational holdings, still rely on informal credit despite the expansion of institutional finance.
Value Addition	**Rythu Nestham:** • The Rythu Nestham program is being organised in coordination with the Scientists of Prof. Jayashankar Telangana State Agricultural University (PJTSAU) on the ongoing agriculture and allied activities in the State for creating awareness to the farming community through Video Conference units installed in 110 Rythu Vedikas. • The project aims to enhance agriculture extension activities by linking Rythu Vedikas via Zoom and YouTube Live, enabling real-time interactions between scientists, officials, and farmers. • This allows for immediate solutions to field-level problems and timely feedback. • It also aims to build the capacities of Extension Functionaries (Agriculture Extension Officers) in using digital platforms to reach underserved areas.
172. Critically examine the decline of cooperative sector in agricultural credit in the State (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Critically examine
Approach	• Introduce by outlining the historical role of cooperatives in rural credit and the challenges that weakened their share in agricultural lending. • Critically analyze structural, financial, and technological bottlenecks with validation from NABARD, RBI, and state-level reports, while citing reform initiatives. • Conclude by stressing that only a combined package of recapitalization, professionalization, and digitization can restore cooperatives as credible rural credit providers.

Introduction	Cooperative credit institutions — Primary Agricultural Credit Societies (PACS), District Central Cooperative Banks (DCCBs) and the State Cooperative Bank, historically supplied short-term and medium-term rural credit. Over recent decades their relative share in agricultural credit has fallen nationally and the erstwhile Andhra Pradesh has experienced institutional stress even as the state pursues PACS modernization.
Body & Infographic Representation	**Decline of cooperative sector in agricultural credit in the state:** • **Declining Cooperative Share in Agricultural Credit (National vs State):** ✓ At the national level, commercial banks' share of agricultural lending rose to 76.8% in 2019–20, while cooperatives' share fell to about 16% by 2022–23, reflecting the commercialization of farm credit. ✓ In erstwhile Andhra Pradesh (2024–25), the three-tier structure comprised 1 State Cooperative Bank (18 branches), 13 DCCBs (442 branches), and 2,042 PACS. ✓ The State Cooperative Bank routed ₹5,933.92 crore in production credit and ₹1,345.51 crore in long-term agricultural credit through PACS/DCCBs. **Causes for decline:** • **Competition from commercial banks and RRBs:** ✓ Commercial banks and RRBs, driven by priority-sector norms, have rapidly expanded rural outreach. ✓ Cooperative share in ground-level agricultural credit fell from 62% in 1992–93 to 11.3% in 2019–20, shrinking the market base of PACS.  • **Financial fragility & governance failure:** ✓ Cooperative banks suffer from poor capitalisation, high NPAs, and politicised management, weakening their lending capacity and credibility. ✓ Their share in agricultural credit fell from 13.4% in 2016–17 to 9.5% in 2024, while SCBs' share rose from 75% to 79.4%, showing the shift away from PACS. • **Fragmented institutional structure and limited product mix:** ✓ PACS remain largely single-purpose, focused on short-term credit. ✓ Their narrow scope reduces competitiveness against banks and private players offering diversified financial services. • **Operational & technology gaps:** ✓ Slow computerization and weak digital adoption limit PACS' integration with KCC/DBT and modern financial products. ✓ Under Centrally Sponsored Project for Computerisation of PACS (CSPCP) from (2022–27) 63,000 PACS are being digitized with ₹2,516 crore; so far 40,727 PACS on boarded with ₹865.81 crore released. **Consequences:** • Declining cooperative outreach has concentrated credit flows through commercial channels, which may improve efficiency but can marginalise the smallest cultivators who historically relied on PACS for micro-credit and input credit at subsidised rates. • This has implications for financial inclusion, local rural employment (PACS as local institutions) and commodity marketing linkages in hinterlands. • State-level socio-economic reviews flag stresses in smallholder financing that mirror this institutional shift.

	Way Forward: • Reviving cooperatives in the erstwhile Andhra Pradesh context requires ✓ **Recapitalisation & Consolidation:** NABARD and NCDC infused ₹42,000 crore into cooperative banks in FY 2024–25. ✓ **Professionalization:** NABARD's CDF disbursed ₹326.9 crore till March 2024, including support for BDPICs and SOFTCOB training. ✓ **Digital Integration:** By FY 2024–25, almost all cooperative banks on boarded to CBS, enabling smoother KCC/DBT rollout. ✓ **Broadened services (value-chain finance, warehousing, and procurement):** Back in 2013, NABARD sanctioned ₹112 crore in Andhra Pradesh to convert 183 PACS into Multi-Purpose Service Centres (MSCs). ✓ Stronger linkages with NABARD/DFS incentives. • Only a combined financial, institutional and technological reform package will restore cooperatives as a credible rural credit provider for small and marginal farmers.
Conclusion	Decline of cooperatives in erstwhile Andhra Pradesh is reversible but requires a package: consolidation and recapitalization of weak DCCBs/PACS, strict governance reforms, full digital integration (KCC/DBT), product diversification (value-chain finance, warehousing receipts), and stronger NABARD-state coordination — only then can cooperatives regain their role for small and marginal farmers.
Model Question	Agricultural credit in India has become increasingly commercialized over the past two decades. Evaluate the implications of this shift on cooperative banks and small/marginal farmers.
Value Addition	**About Primary Agriculture Cooperative Credit Societies (PACS):** • Primary Agricultural Credit Societies are the grass root level arms of the short-term co-operative credit structure. • PACS deals directly with the rural (agricultural) borrowers, give those loans and collect repayments of loans given and also undertake distribution and marketing functions. **Significance of Primary Agriculture Credit Society:** • For the uninitiated, a PACS is the first building block of the century-old cooperative banking system of India. • PACS can play a colossal role, in bringing farmer communities closer to credit, inputs, market and value addition. • No commercial bank branch can ever come close to providing the kind of services a Primary Agriculture Credit Society (PACS) can. • PACS can also play a major role by integrating its warehouse with the physical and financial supply chain of agro-commodities in the upcoming Garmin Agriculture Markets (GrAMs) or large warehouses in the private sector.
173. Elucidate the problems of cooperatives in providing adequate agricultural credit to farmers in Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Issues of finance, production, marketing
Keyword	Elucidate
Approach	• Begin by introducing agricultural credit as a key input for farmers in Andhra Pradesh and mention the role of cooperative institutions like PACS, DCCBs, and APCOB. • Explain how these cooperatives provide short-term and long-term loans, supported by state schemes such as Zero Interest Crop Loans and YSR Rythu Bharosa. • Then elucidate key problems limited funds, poor recovery, uneven access, administrative inefficiency, and delayed disbursement.

	• Conclude by suggesting reforms for strengthening cooperatives to ensure adequate and timely agricultural credit.
Introduction	Agricultural credit plays a vital role in sustaining the rural economy of Andhra Pradesh, where a majority of the population depends on farming. Cooperative societies, through Primary Agricultural Credit Societies (PACS) and District Cooperative Central Banks (DCCBs), are key sources of institutional finance for small and marginal farmers.
Body & Infographic Representation	**Agricultural Credit to Farmers in Andhra Pradesh:** • Agricultural credit in Andhra Pradesh is provided mainly through a three-tier cooperative structure PACS at the village level, DCCBs at the district level, and the Andhra State Cooperative Bank (APCOB) at the apex. • These institutions offer short-term crop loans, medium-term agricultural loans, and long-term investment credit for irrigation and mechanization. • Recent state initiatives such as the "Zero Interest Crop Loan Scheme" and "YSR Rythu Bharosa" aim to ease farmers' debt burden and promote financial inclusion. • In 2024, the government credited nearly RS.12,000 crore into farmers' accounts for Kharif and Rabi seasons, indicating strong policy support for institutional lending. **Problems of Cooperatives in Providing Adequate Credit:** • **Limited Financial Capacity:** ✓ Many PACS face low capital base and poor recovery rates, reducing their lending ability. High overdue loans have made several cooperatives financially weak and dependent on government refinancing. • **Uneven Credit Distribution:** ✓ Tenant and small farmers often face difficulties in accessing cooperative loans as eligibility is linked to land ownership, leaving many dependent on informal moneylenders. • **Administrative and Governance Issues:** ✓ Lack of professional management, outdated technology, and political interference weaken operational efficiency. Computerisation and digital integration are still in progress. • **Delayed Disbursement and Inadequate Amounts:** ✓ Credit released is often below the crop requirement, leading to partial financing. Delays during sowing seasons reduce its effectiveness.
Conclusion	Although cooperatives remain the backbone of rural credit in Andhra Pradesh, issues like poor recovery, limited outreach, and governance lapses restrict their potential. Strengthening PACS through technology, financial autonomy, and inclusive policies is vital to ensure timely and adequate agricultural credit for all farmers.
Model Question	"Despite being a vital pillar of rural finance, cooperative institutions in Andhra Pradesh have struggled to meet the credit needs of small and marginal farmers. Discuss the structural and operational challenges faced by these cooperatives in ensuring inclusive agricultural credit delivery."
Value Addition	• State-level initiatives Annual Credit Plan 2025-26: The state has set an annual credit plan of Rs.6.6 lakh crore for the 2025-26 fiscal year to support its agro-based economy. • Direct financial assistance: Farmers in the state receive Rs.13,500 per year through a state government program aimed at covering crop season expenses.

174. Explain the impact of the Rainbow Revolution in India. Discuss the scope for Industrial transformation in Indian agriculture (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Rainbow Revolution
Keyword	Explain, Discuss

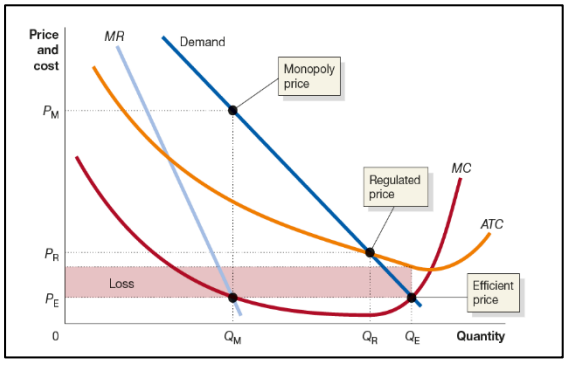
Approach	• Define Rainbow Revolution as the integrated development of all sectors of agriculture. • Explain its impacts, such as diversification, self-sufficiency, and value addition; then discuss the scope for agro-based industrial transformation, like food parks and processing units. • Stress on sustainable, technology-driven agri-industrial linkages for doubling farmers' income.
Introduction	The Rainbow Revolution signifies the integrated development of all agricultural sub-sectors like crops, dairy, fisheries, poultry, and horticulture, to achieve self-sufficiency and income diversification. It evolved after the Green Revolution to ensure balanced and sustainable growth in India's agrarian economy. Its success has opened avenues for agro-industrial transformation and rural economic modernisation.
Body & Infographic Representation	**Impact of the Rainbow Revolution in India:** • **Diversification of Agriculture**: Shift from cereal-centric growth to high-value crops, livestock, and horticulture. India became the second-largest producer of fruits and vegetables globally. • **Enhanced Food Security:** Combined efforts from the Green, White, Blue, and Yellow Revolutions enabled India to achieve record foodgrain output of 332.29 million tonnes (2023-24) as per the Ministry of Agriculture. • **Growth in Allied Sectors:** Dairy (White Revolution) and fisheries (Blue Revolution) significantly contributed to rural incomes; India is the world's largest milk producer with 230 million tonnes (2022-23). • **Employment Generation**: Nearly 45% of India's workforce depends on agriculture and allied sectors, indicating its sustained socio-economic impact. • **Regional Balance**: Initiatives like PM Krishi Sinchai Yojana and National Horticulture Mission expanded agricultural activities in semi-arid and drought-prone regions like Rayalaseema and Vidarbha. **Scope for Industrial Transformation in Agriculture**: • **Agro-Processing and Value Addition**: Establishment of Mega Food Parks, cold chain networks, and APMC market reforms to connect farmers with industries. • **Technological Integration**: Use of AI, drones, IoT, and precision farming to enhance productivity and reduce input costs. • **Bio-based Industries**: Development of biofuels, organic fertilisers, and farm waste recycling units for green industrialisation. • **Agri-Exports and FPOs**: Encouraging Farmer-Producer Organisations (FPOs) and agri-startups can link smallholders to global value chains. • **Government Initiatives**: Schemes like PM Formalisation of Micro Food Processing Enterprises (PM-FME) and Agri-Infra Fund (₹1 lakh crore) promote entrepreneurship and rural industries.
Conclusion	The Rainbow Revolution has diversified India's agricultural landscape and ensured food security. Industrial transformation through agro-based industries, digital technologies, and value-chain integration can uplift rural incomes and make agriculture more competitive. A synergy between farming and industry is vital for India's sustainable economic growth.

Model Question	Assess how the Rainbow Revolution has diversified Indian agriculture. How can agro-industrial integration enhance farmers' income and rural employment?
Value Addition	The Blue Revolution refers to the rapid development and modernisation of the fisheries and aquaculture sector in India to enhance fish production, productivity, and income of fishing communities. Launched as a Centrally Sponsored Scheme in 2016, it aims to achieve sustainable and integrated development of marine, inland, and coastal fisheries. The initiative has made India the third-largest fish producer in the world, contributing nearly 7.9% to global fish production and providing livelihoods to about 2.8 crore people. Through programs like the Pradhan Mantri Matsya Sampada Yojana (PMMSY, 2020), the revolution focuses on infrastructure, cold chains, and export promotion.
175. What do you mean by rainbow revolution? What are its objectives? Discuss. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Rainbow Revolution
Keyword	What, Discuss
Approach	• Define Rainbow Revolution and its emergence as a holistic approach after the Green Revolution. • List objectives such as food security, sustainable productivity, farmer welfare, and balanced sectoral growth across crops, dairy, and fisheries. • Emphasise its role in ensuring integrated, inclusive, and sustainable rural development.
Introduction	The Rainbow Revolution refers to the integrated and holistic development of all sectors of agriculture, i.e., foodgrains, horticulture, dairy, fisheries, poultry, and oilseeds, to ensure food, nutritional, and livelihood security. The term symbolises the combination of various colour-coded revolutions (Green, White, Blue, Yellow, etc.) representing sectoral growth. It is central to achieving sustainable and inclusive agricultural transformation in India.
Body & Infographic Representation	**Meaning and Concept of Rainbow Revolution:** • The Rainbow Revolution evolved after realising the limitations of the Green Revolution (1960s), which focused mainly on cereals and led to regional and ecological imbalances. • It emphasises multi-dimensional growth covering crops, livestock, fisheries, forestry, and agro-industries. • The approach aligns with the National Mission for Sustainable Agriculture (NMSA) and Doubling Farmers' Income (DFI) 2022 strategy proposed by the Government of India. **Objectives of the Rainbow Revolution:** • **Food and Nutritional Security**: Diversify agricultural production to include pulses, fruits, vegetables, milk, eggs, and fish, ensuring balanced diets. • **Inclusive Rural Growth:** Enhance incomes of small and marginal farmers through allied sector development and value addition. • **Sustainability and Resource Conservation**: Promote efficient use of water, soil, and energy resources via climate-resilient practices. • **Employment Generation:** Expand non-farm and agro-based employment opportunities in rural areas. • **Regional Equity**: Spread agricultural development to underperforming regions like Rayalaseema, Bundelkhand, and Vidarbha to correct Green Revolution disparities. **Implementation and Impact of Rainbow Revolution:** • India achieved record foodgrain production of 332.98 million tonnes (2023–24) and became the world's largest producer of milk and second-largest producer of fruits and vegetables. • Missions like the National Horticulture Mission, Blue Revolution Scheme, and National Livestock Mission exemplify this integrated approach.

	• According to the Economic Survey (2023–24), agriculture and allied sectors contributed 18% to India's GDP, indicating the growing diversification of rural income sources.
Conclusion	The Rainbow Revolution embodies India's transition from food security to nutritional and income security through diversification and technological innovation. Its objectives align with sustainable growth, inclusivity, and resilience of the rural economy. By fostering synergy among sub-sectors, it ensures a vibrant, self-reliant, and sustainable agricultural future for India.
Model Question	Discuss the significance of the Rainbow Revolution in achieving sustainable agricultural growth. How does it contribute to food and nutritional security in India?
Value Addition	The National Mission for Sustainable Agriculture (NMSA), launched in 2014-15 under the National Action Plan on Climate Change (NAPCC), aims to make Indian agriculture more productive, resilient, and climate-adaptive. It focuses on the efficient use of natural resources through practices like soil health management, water-use efficiency, and integrated farming systems. The mission includes components such as Rainfed Area Development (RAD), On-Farm Water Management (OFWM), and Climate Change Adaptation and Mitigation measures. NMSA promotes carbon-efficient technologies and climate-resilient cropping patterns to reduce vulnerability of small and marginal farmers. It plays a crucial role in achieving sustainable food security while addressing the twin challenges of climate change and resource degradation in Indian agriculture.
8. Agriculture Development in Andhra Pradesh: Contribution to SGDP-Regional disparities in irrigation and agricultural development -changing cropping pattern - focus on horticulture and fisheries and dairying – Government schemes to promote agriculture in Andhra Pradesh	
176. Discuss the role of agriculture in the economic development of Andhra Pradesh. How has agriculture contributed to the State Gross Domestic Product (SGDP) in recent years? Identify the key drivers influencing its performance. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Discuss, How, Identify
Approach	• State agriculture's contribution to AP's economy and employment structure. • Explain SGDP trends, role of allied sectors, and key performance drivers such as irrigation projects, digital agriculture, MSP, and Rythu Bharosa. • Suggest strategies for productivity enhancement, agri-diversification, and resilience against climate and market risks.
Introduction	Agriculture is the backbone of Andhra Pradesh's economy, employing nearly 60% of the population and forming a major part of the State's Gross Value Added (GVA). The state's diverse agro-climatic conditions and irrigation networks have made it a leader in food, dairy, and aquaculture production. Over the past decade, agriculture has been a key driver of inclusive and regional economic development.
Body & Infographic Representation	**Role of Agriculture in Economic Development:** • Agriculture contributes significantly to food security, employment generation, and rural income. • It acts as a base for agro-industries, supplying raw materials for food processing, textiles, and biofuel sectors. • The sector supports export-led growth, particularly through fisheries and horticulture. • According to the Andhra Pradesh Socio-Economic Survey (2023–24), agriculture and allied sectors contributed about 37% to the State Gross Value Added (SGVA), higher than the national average (~18%). **Contribution to SGDP in Recent Years:**

	• The share of agriculture to Andhra Pradesh's gross value added (GVA) is 37.27 per cent, almost double the national level of 19.7 per cent. • Sub-sectors such as horticulture, fisheries, and livestock have shown double-digit growth rates. • Andhra Pradesh ranked first in aquaculture production and second in horticulture output in India, contributing to both income diversification and export growth. **Key Drivers Influencing Agricultural Performance:** • **Irrigation Expansion**: Projects like Polavaram, Pattiseema Lift Scheme, and Handri-Neeva have improved water availability. • **Policy Support**: Initiatives such as YSR Rythu Bharosa, PM-KISAN, and input subsidies enhance farmer income security. • **Technological Adoption:** Mechanisation, micro-irrigation (over 10 lakh ha coverage), and digital farm advisory systems boost productivity. • **Allied Sector Growth:** Fisheries, dairy, and poultry sectors have become major growth engines, contributing over 60% of agricultural GVA. • **Institutional Support:** Rythu Bharosa Kendras (RBKs) and Farmer Producer Organisations (FPOs) have improved last-mile service delivery.
Conclusion	Agriculture remains a pillar of Andhra Pradesh's economic and social fabric, driving inclusive growth and rural employment. Sustaining this momentum requires climate-resilient practices, agro-industrial linkages, and technological innovation. With continued investment and policy support, Andhra Pradesh can emerge as a national model for agricultural transformation and rural prosperity.
Model Question	Analyze the contribution of agriculture and allied sectors to the economic transformation of Andhra Pradesh. What are the emerging challenges and opportunities influencing its growth trajectory?
Value Addition	Farmer Producer Organisations (FPOs) are collective institutions formed by small and marginal farmers to enhance their bargaining power, access to markets, and financial inclusion. Promoted under the Small Farmers' Agribusiness Consortium (SFAC) and the Central Sector Scheme on Formation and Promotion of 10,000 FPOs (2020), they aim to transform subsistence farming into market-oriented agribusinesses. FPOs help farmers reduce input costs through bulk procurement, improve value realization through collective marketing, and encourage agro-processing and value addition. Supported by NABARD, NCDC, and state governments, these organizations foster entrepreneurship and rural employment.
177. How has the growth in Andhra Pradesh's agriculture and allied sectors impacted the income levels of the farmers? (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	How
Approach	• Introduce by explaining how agriculture and allied sector growth supports rural livelihoods in Andhra Pradesh and acts as the main source of income for farmers. • Discuss the drivers of growth—higher GSDP share, dairy sector expansion, irrigation support, crop diversification, and government schemes with recent data. • Explain how these factors increased farmer incomes through better productivity, market access, and lower input risk. • Conclude by noting that sustained productivity, infrastructure, and policy support are essential to further improve farmer incomes.
Introduction	Agriculture and allied sectors play a key role in Andhra Pradesh's economy, contributing a higher share to GSDP compared to the national average. In recent years, strong growth

	in crops, dairy, fisheries, and horticulture, supported by focused policies, has helped improve farmers' income levels.
Body & Infographic Representation	**Growth in Agriculture and Allied Sectors:** • **Strong Sectoral Performance:** ✓ Andhra Pradesh has recorded high growth in agriculture and allied sectors, with some years showing over 11% annual growth. This expansion has strengthened farm incomes in both irrigated and rain-fed regions. • **Rise in Allied Sector Contribution:** ✓ The dairy sector showed a 22% CAGR, with its contribution rising from Rs.43,127 crore (2014–15) to Rs.91,633 crore (2018–19). Fisheries and horticulture also expanded due to coastal advantages and favourable climate, giving farmers new income sources. **How This Growth Improved Farmer Incomes** • **Higher Average Incomes:** ✓ Government assessments indicate that average farm incomes increased due to improved productivity, better crop planning, and growth in allied activities such as dairy and aquaculture. • **Better Water Use:** ✓ Efficiency Schemes like Per Drop More Crop (PMKSY–Micro Irrigation) helped farmers reduce input costs and improve yields, directly increasing their net income. • **Expansion of Market Access:** ✓ Platforms such as e-NAM and state-level Rythu Bazaars provided farmers with better price realization. This reduced dependence on middlemen and improved profitability. • **Crop Diversification:** ✓ Many farmers shifted from low-value crops to horticulture, floriculture, and aquaculture, which ensured more stable and higher returns. • **Improved Farmer Support Systems:** ✓ Farmer Producer Organizations (FPOs) and extension services allowed small farmers to access credit, technology, and training, which contributed to higher incomes. **Challenges and areas for improvement:** • **Climate change:** Extreme weather events like droughts and floods negatively affect crop yields and farmer incomes. • **Productivity enhancements:** While there has been growth, further improvements in crop productivity are still vital for boosting incomes. • **Investment needs:** Boosting private sector investment in agriculture through appropriate policy frameworks and increasing access to institutional credit are key to accelerating growth. • **Input efficiency:** Despite the increase in crop production, there is still a need for greater efficiency in the use of inputs like quality seeds, fertilizers, and water.
Conclusion	Overall, the strong growth of agriculture and allied sectors in Andhra Pradesh has led to improved incomes through diversification, increased productivity, and better market linkages. Continued focus on infrastructure, technology, and sustainable practices can further strengthen farmer earnings and ensure long-term rural prosperity.
Model Question	"Examine the role of allied sectors in enhancing farmers' income in Andhra Pradesh. How far have recent government initiatives contributed to strengthening these sectors?"
Value Addition	• As per the advanced estimates 2024-25, the agriculture significant growth with a GVA of ₹5.19 lakh crore, growing at 15.86%. In agriculture, sub-sectors such as

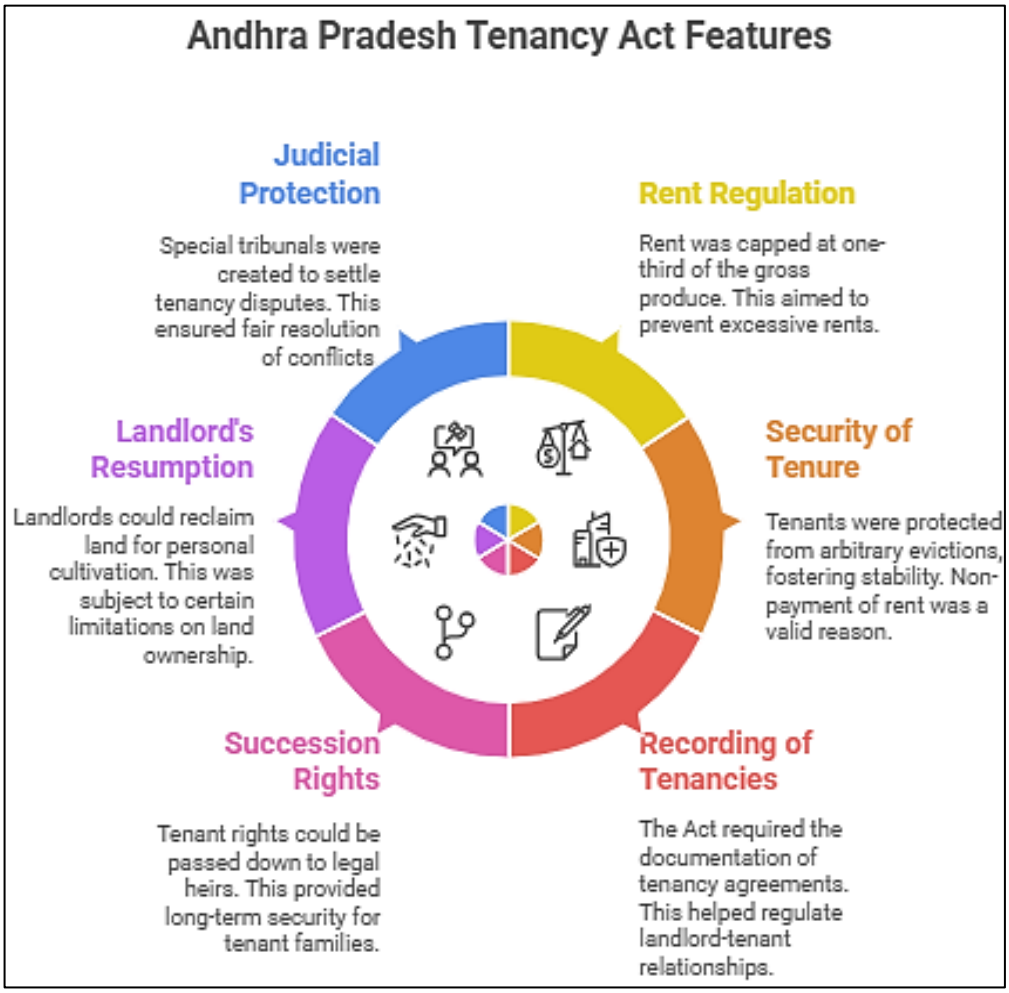
	horticulture, livestock, and fishing have shown substantial growth, with fishing and aquaculture achieving 16.0% growth rate. • The industry sector has seen growth in manufacturing(6.57%) and construction (10.47%). The services sector has also performed well, with communications growing at 15.28%, and banking & insurance growing at 14.61%.
178. Explain the Marginal Cost Pricing Rule for Public Utilities. What are the problems associated with this rule? (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Explain, What
Approach	• Begin by explaining that marginal cost pricing means public utilities should charge a price equal to the cost of producing one additional unit, promoting efficient resource use. • Describe how this works well in theory but creates financial losses for natural monopolies where average costs exceed marginal costs. • Discuss problems like subsidies, underinvestment, and practical difficulty in estimation. • Conclude that while economically efficient, the rule is difficult to apply without government support.
Introduction	Marginal Cost Pricing Rule refers to fixing the price of a good or service equal to the additional cost of producing one extra unit. In public utilities such as electricity, water supply, and transport, this rule aims to promote efficiency. However, applying it creates several practical and financial challenges.
Body & Infographic Representation	**Marginal Cost Pricing Rule:** • Marginal cost pricing states that the price charged to consumers should equal the marginal cost of production, meaning the cost of producing one additional unit of output. This rule helps in efficient resource allocation, because consumers pay a price that reflects the true cost of providing the service. • In sectors like electricity, urban transport, and water supply, this principle guides policymakers towards social efficiency, as it prevents overuse or underuse of essential services. • For example, when the marginal cost of supplying an extra unit of electricity decreases during off-peak hours, the price should ideally reflect that lower cost. **How it works** • Price equals cost: The rule sets the price of a service (e.g., electricity, water) at the marginal cost of producing one more unit. • Economic efficiency: This pricing strategy aims to achieve economic efficiency by providing consumers with accurate price signals about the true cost of their consumption.  • Consumer behaviour: When prices reflect the true cost, consumers are better able to make efficient choices about how much of the service to use. • Cost allocation: Costs are allocated to the users who create them, which theoretically prevents over or underproduction of the service. **Problems Associated with Marginal Cost Pricing Rule:** • **Financial Losses in Natural Monopolies:**

	✓ Public utilities often operate as natural monopolies where average cost is higher than marginal cost. If price = marginal cost, utilities fail to recover fixed costs, leading to persistent losses. • **Need for Heavy Government Subsidies:** ✓ To bridge the loss, governments must provide subsidies. This puts pressure on public finances and reduces funds for other welfare schemes. • **Reduced Incentive for Investment:** ✓ When revenue cannot cover operational and capital costs, utilities hesitate to invest in modernisation, maintenance, or expansion. This may lead to declining service quality. • **Administrative Difficulty in Measuring Marginal Cost:** ✓ Accurately calculating marginal cost is difficult in sectors like transportation or water supply where cost structures vary by season, region, and demand. • **Monopoly Structure Not Suitable for the Rule:** ✓ The rule assumes competitive market conditions, which rarely apply to public utilities, making its direct application inefficient.
Conclusion	While marginal cost pricing promotes economic efficiency, it is difficult to apply in public utilities due to high fixed costs, losses, and the need for subsidies. A balanced approach—combining marginal cost principles with regulated pricing—helps ensure both efficiency and financial viability.
Model Question	"Why do public utilities often deviate from marginal cost pricing? Analyse the alternative pricing methods adopted by governments to ensure both efficiency and financial sustainability."
Value Addition	**Gini Coefficient** • The Gini index, or Gini coefficient, is a measure of the distribution of income across a population developed by the Italian statistician Corrado Gini in 1912. • It is often used as a gauge of economic inequality, measuring income distribution and wealth distribution among a population. • The coefficient ranges from 0 (or 0%) to 1 (or 100%), with 0 representing perfect equality and 1 representing perfect inequality. • Values over 1 are theoretically possible due to negative income or wealth.
179. Discuss the evolution of tenancy reforms in Andhra Pradesh and also explain the main features of the Andhra Pradesh (Andhra Area) Tenancy Act, 1956, including the amendments to the Act. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Discuss, Explain
Approach	• Trace evolution from colonial systems to post-independence tenancy reforms. • Explain provisions of 1956 Act (security, fair rent, eviction rules). • Mention amendments making reforms more farmer-friendly.
Introduction	Tenancy reforms in Andhra Pradesh aimed to protect cultivators from exploitative rents and insecure tenure under zamindars and big landlords. These reforms evolved through distinct phases in the Telangana and Andhra regions due to their different land tenure systems. The Andhra Pradesh (Andhra Area) Tenancy Act, 1956, was a landmark measure to regulate tenancy in the coastal and Rayalaseema regions.
Body & Infographic Representation	**Evolution of Tenancy Reforms in Andhra Pradesh** • **Telangana Region:** The Telangana Tenancy and Agricultural Lands Act, 1950, provided permanent tenancy rights and ownership to protected tenants. • **Andhra Region:**

- ✓ Tenancy was widespread after the abolition of zamindari; cultivators faced high rents and insecurity.
- ✓ To address this, the Andhra Area Tenancy Act, 1956, was enacted.

- **National Context:** Guided by Article 39(b) & (c) of the Constitution (DPSPs), tenancy reforms became part of India's "land to the tiller" policy.

Main Features of Andhra Pradesh (Andhra Area) Tenancy Act, 1956



- **Rent Regulation:** Rent fixed at not more than 1/3rd of gross produce or market value.
- **Security of Tenure:** Tenants could not be evicted except on grounds like non-payment of rent.
- **Recording of Tenancies:** Mandated recording and regulation of tenant–landlord relations.
- **Succession Rights:** Tenant's rights are heritable by legal heirs.
- **Landlord's Right of Resumption:** Allowed for personal cultivation subject to ceiling limits.
- **Judicial Protection:** Special tribunals established to resolve tenancy disputes.

Amendments to the Act

- **1974 Amendment:** Strengthened tenant rights by prohibiting oral tenancies unless registered.
- **1980s Amendments:** Encouraged owner-cultivation; landlords often resumed land citing personal use.
- **Licensed Cultivator Act, 2011:** Allowed tenant farmers to get *Loan Eligibility Cards* without claiming ownership, addressing exclusion from credit and subsidies.

	• **Recent Measures:** Digital land records (Mee Bhoomi) still exclude oral tenants showing limitations.
Conclusion	Tenancy reforms in Andhra Pradesh, through the 1956 Act and subsequent amendments, aimed at regulating rent, securing tenure, and empowering cultivators. While they reduced exploitation to an extent, informal tenancy, weak enforcement, and landlord influence limited their full impact. Effective tenant recognition and institutional support remain crucial for agrarian equity.
Model Question	"Trace the evolution of tenancy reforms in Andhra Pradesh. Explain the key provisions of the Andhra Pradesh (Andhra Area) Tenancy Act, 1956, along with its amendments."
Value Addition	**AP Assigned Lands (Prohibition of Transfers) Act, 2007** • This amendment allowed the state to reclaim assigned lands for public purposes like infrastructure and tourism. • Critics argued that it diluted protections for Dalits and the poor by commodifying land assets.
180. Explain the reasons for constituting a land committee under the chairmanship of Sri Koneru Ranga Rao in the year 2004 and bring out its recommendations related to land reforms in Andhra Pradesh. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Explain, Bring out
Approach	• Start with reasons like farmer distress, suicides, and tribal land alienation. • Explain recommendations on surplus land distribution, tenant protection, and land record updating. • Conclude with its reform significance.
Introduction	The Government of Andhra Pradesh constituted the Land Committee in 2004 under Sri Koneru Ranga Rao, then Minister for Revenue, to address persisting inequities in land distribution despite earlier reforms. The committee was tasked with examining loopholes in implementation and suggesting measures for effective redistribution to the poor, particularly SCs, STs, BCs, and minorities.
Body & Infographic Representation	**Reasons for Constituting the Sri Koneru Ranga Rao Committee** • **Persistence of land inequality**: Even after the ceiling laws of 1973, a large proportion of landless poor remained; NSSO data showed that about 40% of rural households in AP were landless in the early 2000s. • **Benami holdings**: Landlords continued to retain excess land through fraudulent transfers. • **Alienation of tribal lands**: Podu cultivators and ST communities faced displacement due to encroachment by non-tribals. • **Ineffective assignment:** Large tracts of land assigned to the poor remained fallow due to a lack of irrigation and support. • **Political demand:** Widespread farmers' agitations and Dalit movements (e.g., Indiramma Pathakam demands) called for renewed land reforms. **Key Recommendations of the Koneru Ranga Rao Committee** • **Distribution of Surplus and Assigned Lands:** Immediate distribution of 5.2 lakh acres of ceiling-surplus and government land to landless poor. • **Protection of Assigned Lands**: Ban on transfer of assigned lands to prevent re-concentration of holdings. • **Restoration of Tribal Lands**: Implementation of Land Transfer Regulation (LTR) Act, 1 of 1970, strictly to restore alienated lands to STs. • **Updating Land Records:** Computerisation of land records and strengthening of revenue administration for transparency.

	• **Women's Rights:** Provision of joint pattas in the name of husband and wife to enhance women's land ownership. • **Supportive Measures**: Irrigation, credit, and input support to make distributed lands cultivable. • **Fast-track Mechanisms**: Special tribunals for speedy disposal of land dispute cases.
Conclusion	The Koneru Ranga Rao Committee was constituted in 2004 to overcome historical gaps in land reforms and ensure social justice. Its recommendations, particularly on protecting assigned lands, restoring tribal holdings, and strengthening women's rights, remain critical for realising equitable agrarian relations in Andhra Pradesh.
Model Question	"What circumstances led to the formation of the Koneru Ranga Rao Land Committee in 2004? Discuss its major recommendations and their relevance to land reforms in Andhra Pradesh."
Value Addition	**Andhra Tenancy Act, 1956** • Applicable to the Andhra region, this Act focused primarily on rent regulation. • It fixed rent based on crop type and irrigation, but did not provide security of tenure, making it easier for landlords to evict tenants.
181. How can one justify state acquiring land from its citizens? Critically appraise the changes in the policy of compensation (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	How, Critically appraise
Approach	• Introduce by justifying the state's power to acquire land under public purpose while highlighting its constitutional and developmental basis. • Critically appraise compensation policies from the 1894 Act to the 2013 Act and subsequent amendments, using data, reports, and examples. • Conclude by stressing the balance needed between development imperatives and safeguarding rights, livelihoods, and trust of affected communities.
Introduction	Land acquisition is justified when the state invokes eminent domain to secure land for projects of public purpose such as highways, irrigation, housing, Defence, and industrial corridors. However, its legitimacy depends on balancing individual rights with collective welfare, ensuring fairness, transparency, and adequate compensation with rehabilitation for affected communities.
Body & Infographic Representation	**Why Can the State Acquire Land?** • **Land acquisition is justified where** ✓ Individual holdings cannot deliver socially optimal outcomes because of fragmentation or hold-out problems. ✓ The public benefit (economic growth, connectivity, welfare) demonstrably outweighs private loss. • **Public Purpose Justification:** ✓ The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (RFCTLARR) Act, 2013 defines public purpose to include infrastructure, housing, and social projects. ✓ For example: under Bharatmala Pariyojana, the Ministry of Road Transport reports over 7,500 km of highway projects required acquisition of ~50,000 hectares (2022–23). • **Economic Rationale:** ✓ Land consolidation allows projects that fragmented private holdings cannot deliver, e.g., airports, ports, and industrial corridors. ✓ According to NITI Aayog (2021), infrastructure spending of 1% of GDP can raise overall GDP growth by 0.25–0.5 percentage points, justifying public interest in such acquisitions.

	Evolution of Compensation Policy: • **Colonial Framework (1894–2013):** ✓ Compensation under the Land Acquisition Act, 1894 was based on "market value" plus 30% solatium, but circle rates were often under-representative. ✓ NCR Planning Board study (2011) noted that in peri-urban areas, market values were 2–3 times higher than notified rates, leading to disputes and protests. • **The Right To Fair Compensation And Transparency In Land Acquisition, Rehabilitation And Resettlement Act, 2013:** ✓ Introduced higher multipliers: ▪ Up to 4× market value in rural areas, ▪ 2× in urban areas. ✓ Mandatory Social Impact Assessment (SIA) before large projects. ✓ Comprehensive R&R packages: housing, annuities, employment, and subsistence allowance. ✓ Average compensation increased 2–4 times after the Act's implementation. • **Implementation Outcomes:** ✓ Socio-Economic Outlook of Telangana (2024–25) notes land acquisition challenges for irrigation projects like Kaleshwaram Lift Irrigation, where higher compensation reduced litigation but raised fiscal stress. ✓ CAG Reports on land acquisition for industrial corridors found delays in SIA and rehabilitation reduced effectiveness. ✓ Example: In the Noida-Yamuna Industrial Development (YEIDA) project, the CAG (2022) found that 81% of allottees had not received possession; of 2,428 plots allotted (2013–21), only 453 lease deeds were executed, with negligible operationalization. **Critical Appraisal of Compensation Reforms** • **Strengths:** ✓ The 2013 law advanced fairness (R&R entitlement), transparency (SIA, public hearings) and higher, formula-based compensation that attempted to reduce under-valuation and arbitrariness. ✓ It recognised that displacement affects livelihoods beyond land loss, legitimising compensation for both owners and affected communities • **Weaknesses and implementation challenges:** ✓ **Valuation and timeliness:** Market valuation depends on circle rates and administrative assessments, while delays erode real value and fuel litigation. ✓ Example: In 114 of 158 test-checked cases, possession was taken after paying only 83% compensation, violating the requirement of full payment before possession. ✓ **Practical adequacy of compensation/R&R:** Monetary compensation rarely replaces land-based livelihoods, and R&R suffers gaps in beneficiary identification, land-for-land, and long-term support. ✓ Example**:** *CAG (2024)* found SIA omissions in 17% of acquisitions in Scheduled Areas, and 43% lacked Gram Sabha consent, undermining procedural integrity. ✓ **Policy instability and amendments:** From 2014–15, relaxing consent and SIA for industrial corridors and strategic projects sped up delivery but weakened safeguards, creating uncertainty and mistrust among landowners.
Conclusion	The state's right to acquire land is legitimate when public benefit outweighs private loss, provided just compensation and rehabilitation restore livelihoods. The 2013 Act marked a progressive step, but implementation gaps like valuation, delays, and incomplete R&R, demand reforms. Stable policies, timely payments, and livelihood-centric rehabilitation are crucial for balancing growth and justice.

Model Question	Land acquisition is often termed both a developmental necessity and a source of social unrest. Critically examine this paradox in the Indian context.
Value Addition	**Supreme Court on compensation for Land Acquisition:** • In batch of pleas filed by the Estate Officer of Haryana Urban Development Authority and others challenging the Punjab and Haryana High Court's 2016 decision, The Supreme Court has said it is not necessary that in all cases over and above compensation in terms of money for acquisition of land, rehabilitation of the property owners is a must, holding that the plea of deprivation of right to livelihood under Article 21 of the Constitution is unsustainable in these matters. • Rehabilitation should only be meant for those persons who have been rendered destitute because of loss of residence or livelihood as a consequence of land acquisition. • "In other words, for people whose lives and livelihood are intrinsically connected to the land"
182. Explain the socio-economic basis for land reform policy. Appraise the implementation of land reforms in the state of Andhra Pradesh. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Explain, Appraise
Approach	• Introduce land as a source of livelihood and inequality. • Explain the rationale of productivity and justice. • Appraise Andhra Pradesh reforms as partially successful in redistribution but weak in tenancy regulation. • Conclude by stating the socio-economic significance of the reform.
Introduction	Land reforms in India, including Andhra Pradesh, emerged as a crucial post-independence policy to restructure the agrarian economy. They were driven by the need to ensure social justice, improve agricultural productivity, and empower marginalised groups. Andhra Pradesh witnessed several landmark reforms through the Andhra Pradesh (Ceiling on Agricultural Holdings) Act, 1973, tenancy regulations, and land distribution schemes.
Body & Infographic Representation	**Socio-Economic Basis for Land Reform Policy** • **Social Justice**: Removal of zamindari, Jagirdari, and big landlordism to empower landless agricultural labourers and tenants. • **Equity in Land Distribution**: To reduce the concentration of land in a few hands and provide livelihood to the rural poor. • **Agricultural Productivity:** Ensuring that land was owned and cultivated by actual tillers to enhance efficiency. • **Poverty Alleviation**: Providing land as an asset base to Dalits, tribals, and backwards classes to reduce rural poverty. • **Reduction of Exploitation**: Protecting tenants from exorbitant rents and bonded labour systems. • **Women Empowerment:** Policies like joint Pattas aimed at enhancing the socio-economic position of women. **Implementation of Land Reforms in Andhra Pradesh** • **Abolition of Intermediaries**: Jagirdari and Inam systems were abolished after 1950, weakening feudal dominance. • **Ceiling on Holdings (1973 Act):** Land ceilings fixed at 18 acres wet/54 acres dry per family unit. • **Tenancy Reforms**: The Andhra Area Tenancy Act, 1956 and Telangana Tenancy & Agricultural Lands Act, 1950, regulated rent and provided security to tenants, but implementation was weak due to informal tenancy practices.

	• **Assignment of Lands**: By 2010, over 40 lakh acres of government and surplus land were distributed, mostly to SCs, STs, and BCs. • **Tribal Land Protection**: The LTR Act of 1970 sought to restore alienated tribal land, yet non-tribal encroachment persists in agency areas. • **Limitations:** Benami transfers, poor quality of distributed land, lack of irrigation, and the political influence of landlords diluted reforms.
Conclusion	The socio-economic basis of land reforms in Andhra Pradesh was rooted in equity, justice, and productivity. While reforms reduced feudal dominance and redistributed land to lakhs of poor families, weak implementation and structural loopholes limited their transformative impact. Strengthened tenancy rights, tribal land protection, and support services remain vital for realizing the true goals of land reforms.
Model Question	"Explain the socio-economic rationale for land reform policies in India. Evaluate the extent to which these objectives were realized in Andhra Pradesh."
Value Addition	**Andhra Pradesh (Andhra Area) Inams Abolition and Conversion to Ryotwari Act, 1956** • The act was enacted to abolish and convert certain Inam lands (lands granted as Inams) into ryotwari lands, effectively ending the Inam tenure system and integrating these lands within the ryotwari system of land revenue administration. • It covers all Inam lands in Andhra Area except those constituting estates under the Madras Estates Land Act, 1908. • All communal lands, porambokes, grazing/waste/forest lands, tanks, tank beds, irrigation works, streams, rivers, fisheries, and ferries in Inam lands stand transferred and vested in the Government free from encumbrances. • It also authorised Tehsildars to reclassify land and grant permanent occupancy rights, restoring evicted tenants and providing legal clarity.
183. Explain the need to enact the Andhra Pradesh Land Licensed Cultivators Act, 2011 and discuss the problems faced in meeting the objective of enacting the Act. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Explain, Discuss
Approach	• Introduce by explaining the purpose of the Act, recognizing informal tenants and extending institutional support through Loan Eligibility Cards (LECs). • Explain the rationale behind its enactment and critically assess implementation challenges with supporting data and AP/Telangana examples. • Conclude by stressing the need for complementary reforms like legalizing leases, credit linkages, and policy continuity to fulfil the Act's objectives.
Introduction	The Andhra Pradesh Land Licensed Cultivators Act, 2011 was enacted to recognize informal tenant cultivation by issuing Loan Eligibility Cards (LECs) to those farming with the owner's consent but without records. Its objective was to provide access to credit, subsidies, and insurance, while safeguarding landowners' proprietary rights.
Body & Infographic Representation	**Need to enact the Act- key reasons:** • **Large informal tenancy sector and exclusion from services:** ✓ Informal tenants in Andhra Pradesh were widespread yet unable to obtain bank loans, insurance or government subsidies because leases were mostly oral and unrecorded. ✓ The Act sought to bridge this gap by creating an official, non-proprietary credential (LEC). ✓ Example: Nearly 40% of cultivated land in undivided Andhra Pradesh was under tenants without written leases, leaving them excluded from institutional credit and dependent on moneylenders charging 24–36% interest.

	• **Improve agricultural efficiency and equity:** ✓ By enabling tenants to invest (through access to credit and insurance), the law intended to improve land utilization, incomes and agricultural productivity while protecting vulnerable cultivators from precarious tenancy. ✓ Example: In the very first year (2011–12), about 5.1 lakh LECs were issued covering 7.7 lakh acres, providing access to crop loans, subsidies, and crop insurance. **Problems faced in meeting objectives — implementation gaps** • **Low coverage and administrative bottlenecks:** ✓ Although the government issued roughly 0.51 million LECs in 2011–12 covering about 0.77 million acres, uptake was uneven across districts and many eligible tenants did not apply, lack of awareness explained a major share of non-application. ✓ Where applications were made, issuance rates varied widely. • **Landowner objections and legal/technical constraints:** ✓ Landowners' reluctance to register tenants (fear of loss of rights, perceived adverse-possession risks) and procedural requirements (signatures, plot identification) blocked many tenants from receiving LECs. ✓ In several districts landowner objection was the principal reason for rejection or non-issuance. • **Tenure insecurity and prevalence of oral leases:** ✓ Because most leases were short-term and oral, proving continuous cultivation or establishing eligibility was difficult, this undermined the Act's effectiveness in granting durable benefits or encouraging long-term investments. • **Failure to convert legal recognition into institutional credit:** ✓ Only a small fraction of LEC holders accessed bank loans; much borrowing continued to come from private moneylenders and input traders. ✓ Weak linkages between LEC issuance and banking procedures limited the intended financial inclusion outcome. • **Policy reversal and political uncertainty:** ✓ Telangana's decision to keep the Act in cold storage and consider repeal created uncertainty, discouraging systematic implementation. ✓ Without mandatory tenancy agreements or safeguards, issuing cards alone proved inadequate.
Conclusion	The AP Act addressed tenant exclusion by providing a low-cost institutional credential through Loan Eligibility Cards. Yet, effective outcomes require awareness drives, simplified procedures, safeguards assuring landowners' rights, direct bank linkages, and promotion of formal leasing through registered agreements, transforming legal recognition into genuine credit access and stronger tenure security.
Model Question	Examine the socio-economic implications of excluding tenant farmers from formal credit systems. How did the Licensed Cultivators Act attempt to address this gap?
Value Addition	**Sown Area in Telangana:** • The gross sown area for 2021-22 and 2022-23 indicates a notable improvement across the Vanakalam and Yasangi seasons. • In the Vanakalam season, there was an increase from 142 lakh acres in 2021-22 to 147 lakh acres in 2022-23, reflecting a 3.5% growth in sown area. • The Yasangi season saw a more significant rise, from 56 lakh acres in 2021-22 to 75 lakh acres in 2022-23. • Consequently, the total gross sown area surged from 198 lakh acres in 2021-22 to 222 lakh acres in 2022-23, underscoring an overall positive trend in sown area under agriculture.

184. How far does the present use of agricultural inputs and technical knowledge facilitate the achievement of evergreen revolution in Andhra Pradesh? (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	How
Approach	• Introduce by defining Evergreen Revolution as sustainable growth in agriculture without ecological damage. • Explain how Andhra Pradesh uses improved seeds, fertilizers, irrigation, and pest management to enhance productivity. • Highlight role of technical knowledge digital advisory, soil health cards, and drone use in farming. • Conclude by emphasizing balanced input use, technology adoption, and sustainability for achieving the Evergreen Revolution.
Introduction	The Evergreen Revolution aims at achieving sustainable growth in agriculture through the balanced use of modern inputs and eco-friendly technologies without harming the environment. Andhra Pradesh, with its technological interventions, improved irrigation methods, and digital agricultural practices, is moving towards realizing this goal while ensuring farmers' income growth.
Body & Infographic Representation	**Concept of Evergreen Revolution:** • Coined by Dr. M.S. Swaminathan, the Evergreen Revolution refers to productivity improvement in perpetuity without ecological harm. • It integrates scientific innovations, sustainable input use, and climate-resilient practices to achieve food and nutritional security. **Use of Agricultural Inputs in Andhra Pradesh:** • **Seed Technology:** Promotion of high-yielding and hybrid varieties of paddy, groundnut, and pulses has increased productivity in irrigated zones. • **Fertilizers and Soil Health:** The Soil Health Card Programme and integrated nutrient management help reduce chemical fertilizer dependence and encourage organic inputs. • **Water Management:** The use of micro-irrigation systems (drip and sprinkler) under Pradhan Mantri Krishi Sinchayee Yojana has improved water-use efficiency in drought-prone Rayalaseema. • **Pest and Disease Management:** Farmers are adopting Integrated Pest Management (IPM) and bio-control agents, reducing pesticide burden and protecting biodiversity. **Role of Technical Knowledge:** • **Digital Extension Services:** Platforms like Rythu Bharosa Kendras and Digital Krishi provide farmers with real-time information on crop health, weather, and markets. • **Capacity Building:** Training under AP AgTech Summit and Krishi Vigyan Kendras (KVKs) improves farmer awareness about precision farming and climate-smart agriculture. • **Use of ICT and Drones:** Drones are being used for pesticide spraying, soil mapping, and crop monitoring, especially in Guntur and Krishna districts. • **Research Support:** Agricultural universities and the Andhra Pradesh State Agricultural Mission promote innovations like zero-budget natural farming and organic agriculture, reducing cost and enhancing soil fertility. **Challenges in Realizing Evergreen Revolution:** • Unequal access to technology among small farmers. • Overuse of chemical fertilizers in coastal districts. • Inadequate market linkages and post-harvest infrastructure.

	• Climate variability affecting rainfed agriculture in Rayalaseema.
Conclusion	Andhra Pradesh's agricultural progress reflects a steady move toward the Evergreen Revolution through the balanced use of modern inputs, scientific knowledge, and digital support. Strengthening farmer capacity, promoting sustainable practices, and ensuring equitable access to technology will ensure long-term productivity with ecological stability.
Model Question	"Examine the role of sustainable agricultural technologies and precision farming in promoting inclusive and eco-friendly agricultural growth in Andhra Pradesh."
Value Addition	*Table 5.4 Area and Production under Food Grains and Paddy*

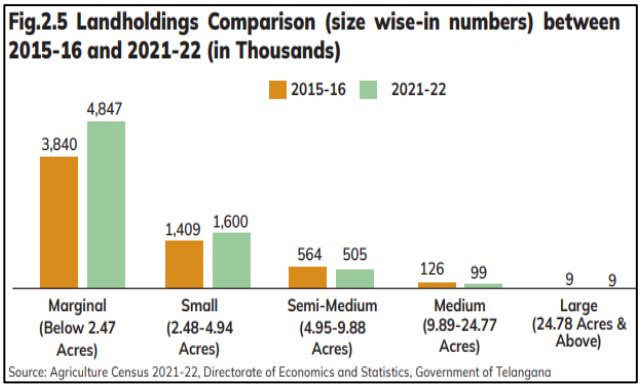
Year	Food Grains						Paddy					
	Area (Lakh hec)			Production (Lakh tonnes)			Area (Lakh hec)			Productition (Lakh tonnes)		
	Kharif	Rabi	Total	Kharif	Rabi	Total	Kharif	Rabi	Total	Kharif	Rabi	Total
2023-24	18.13	15.11	33.24	79.00	64.31	143.31	13.47	5.74	19.21	71.25	41.32	112.57
2024-25	20.36	17.15	37.51	88.10	73.76	161.86	14.04	6.93	20.97	78.79	48.36	127.15
% Change	12.30	13.50	12.85	11.52	14.69	12.94	4.23	20.73	9.16	10.58	17.04	12.95

185. Do you consider that land reforms in Andhra Pradesh have provided sufficient protection to tenants? (APPSC, 2011)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Do you consider
Approach	• Begin with the aims of the tenancy acts in Andhra. • Evaluate whether security of tenure and fair rent were ensured. • Conclude that legal safeguards existed, but enforcement was poor, leaving tenants vulnerable.
Introduction	Tenancy reforms were an integral part of land reform policy in Andhra Pradesh to safeguard cultivators from exploitation by landlords. The objective was to provide security of tenure, regulate rent, and confer ownership rights. However, despite several legislations, such as the Andhra Pradesh (Andhra Area) Tenancy Act, 1956, and the Telangana Tenancy and Agricultural Lands Act, 1950, the protection of tenants has remained only partially effective.
Body & Infographic Representation	**Provisions for Tenant Protection** • **Security of Tenure:** The Telangana Tenancy Act provided for permanent tenancy rights to protected tenants. • **Rent Regulation:** Legally fixed rents at not more than 1/3rd of gross produce in the Andhra area and 40% in Telangana. • **Ownership Rights:** The Telangana Act of 1973 gave ownership rights to protected tenants on payment of compensation. • **Recording of Tenancies:** Compulsory registration aimed to prevent arbitrary eviction. **Achievements** • In Telangana, around 6 lakh acres of land were transferred to protected tenants by the late 1970s, reducing landlord dominance. • Abolition of vetti (bonded labour) and curbing of feudal practices improved the socio-economic conditions of cultivators. • Some Dalit and backward class tenants gained ownership rights through assignment schemes. **Limitations and Challenges** • **Informal Tenancy**: Most tenancy arrangements remained oral, leaving tenants outside legal protection.

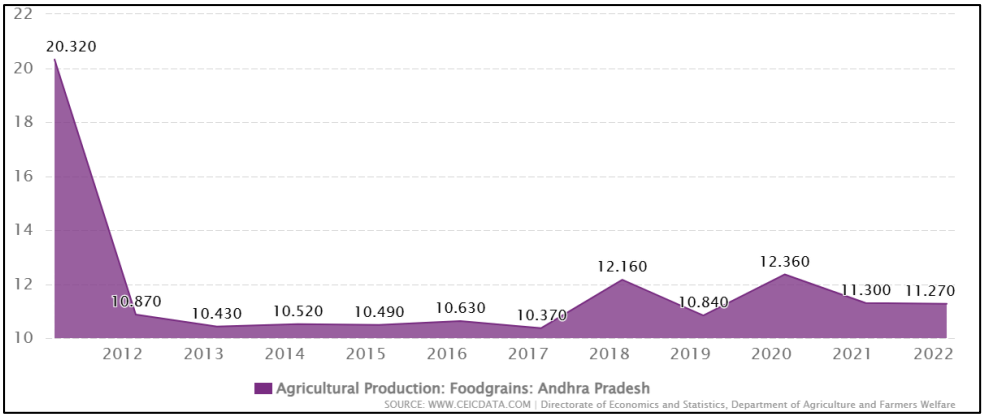
	• **Evictions and Harassment**: Landlords often evicted tenants before tenancy recording, weakening enforcement. • **Political Economy**: Strong landlord influences diluted strict implementation, particularly in coastal Andhra. • **Tribal Areas:** Despite the LTR Act, 1970, tribal tenants lost lands to non-tribals through manipulation. • **Weak Institutional Support**: Absence of legal aid and awareness limited tenants' ability to claim rights. While the legal framework in Andhra Pradesh sought to protect tenants, actual implementation was weak. In Telangana, tenancy reforms were relatively more effective due to stronger tenant movements; however, in the Andhra region, oral tenancy and landlord control diluted the gains. Thus, protection remained partial and uneven across regions.
Conclusion	Land reforms in Andhra Pradesh offered tenants some legal safeguards and ownership opportunities but failed to provide sufficient and universal protection due to loopholes in implementation. Strengthening tenancy recording, legal aid, and institutional support is essential to ensure comprehensive tenant protection.
Model Question	"Do you agree that the tenancy reforms in Andhra Pradesh provided sufficient protection to tenants? Critically analyze with reference to legislative provisions and ground realities."
Value Addition	**Andhra Pradesh Scheduled Areas Land Transfer Regulation Act, 1970 (Regulation I of 1970):** • The Act prohibits the transfer of tribal lands in Scheduled Areas to non-tribals in Andhra Pradesh, ensuring that the lands remain with Scheduled Tribes by restricting sale, gift, lease, mortgage, or any other transfer to non-tribals. • Any transaction violating these restrictions is declared null and void and the affected land is required to be restored to the original tribal owner. The restoration process is overseen by designated revenue authorities. • Transfers within the tribal community (Scheduled Tribes to Scheduled Tribes) are allowed, subject to regulatory oversight, but all transfers to non-tribals are strictly prohibited except where prior government permission is obtained by formal notification. • The Act empowers special tribunals and revenue authorities (such as the Agency Collector and other officers) to adjudicate disputes, enforce restoration, and regulate land transactions. • The Act overrides all conflicting state laws or customary practices. It ensures the primacy of tribal land rights in the Scheduled Areas and enforces government notification as the basis for authorized transfers.
186. Discuss the land tenancy system prevailing in Telangana region on the eve of Independence. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Discuss
Approach	• Introduce by contextualizing the feudal agrarian structure under the Nizam in Telangana on the eve of Independence. • Discuss tenancy forms, exploitation patterns, socio-political unrest (Telangana peasant struggle), and post-1948 legislative responses. • Conclude by linking pre-Independence tenancy legacies to contemporary challenges of tenant recognition and agrarian equity.

Introduction	On the eve of Independence, the Telangana region (Hyderabad State under the Nizam) exhibited a feudal agrarian order marked by Jagirdari dominance, insecure tenancies, and social exploitation. These conditions not only entrenched rural inequality but also sparked the historic Telangana peasant armed struggle (1946–51).
Body & Infographic Representation	**Land tenancy system prevailing in Telangana region on the eve of Independence:** • **Landholding structure and tenure forms:** ✓ **Jagirdari and Samsthan holdings**: Nearly 33% of villages and 42% of land area were under Jagirdars and Samsthanadars, giving them near-absolute authority over cultivators. ✓ **Inam lands:** Many religious and charitable institutions also held Inams, leased to tenants. ✓ **Private estates (zamindars):** Functioned similarly to Jagirdars, extracting high rents without improving productivity. ✓ The absence of land records or written Pattas left cultivators vulnerable. • **Nature of exploitation and insecurity:** ✓ **Types of tenancy:** Predominantly oral arrangements such as sharecropping (Pagri system) and seasonal leases, leaving tenants at the will of landlords. ✓ **Rents and dues:** Tenants often surrendered 50% or more of produce as rent, apart from illegal levies and forced labour (vetti). ✓ **Lack of security:** Eviction threats were common, with no legal protection before 1950. ✓ **Social dominance:** Landlords (Doras) combined economic and caste authority, further disempowering peasants. • **Agrarian unrest and the peasant movement:** ✓ Harsh exploitation gave rise to the Telangana armed struggle (1946–51), led by left organizations. ✓ Outcomes included redistribution of occupied lands, parallel village governments (gram rajyams), and assertion of tenant rights. ✓ The movement directly influenced post-1948 reforms such as the Jagir Abolition Regulation (1949). • **Legal and administrative response on integration:** ✓ Telangana Tenancy & Agricultural Lands Act, 1950: Provided for "protected tenants," limited rents to a fraction of produce, and ensured compensation for improvements. ✓ As per official records, by the mid-1950s, over 3.5 lakh tenants were declared protected under the Act in Telangana districts. ✓ These measures marked the state's first attempt to legally correct historical injustices. **Contemporary Relevance:** • **Fragmentation:** Average operational holding in Telangana declined to 0.89 ha (2021–22), reflecting fragmentation after land reforms.



	• **Tenant prevalence:** Nearly 36% of farmers are tenants (RSV survey), yet most remain excluded from schemes like Rythu Bandhu and Rythu Bima. • **Debt burden:** Tenant farmers carry average debts of ₹2.6–2.7 lakh, often at 24–60% annual interest from informal sources. • **Procurement exclusion:** Only 6% of tenants accessed procurement benefits as crop bookings and passbooks remain in landowners' names. • **Policy demand:** Farmer groups seek revival of the 2011 Licensed Cultivators Act and issuance of Loan Eligibility Cards for access to credit and insurance.
Conclusion	The land tenancy system in pre-Independence Telangana was exploitative, insecure, and concentrated in the hands of Jagirdars and Doras. While post-1950 reforms attempted to dismantle this structure and protect cultivators, issues like fragmentation and lack of tenant recognition remain. The historical trajectory shows that tenancy reform is an unfinished agenda in Telangana's agrarian economy.
Model Question	Critically analyze the role of the Telangana Peasant Struggle (1946–51) in reshaping tenancy relations and land ownership patterns
Value Addition	**Landholdings of different Social Groups:** • The Scheduled Castes (SC) population own 13.9% of landholdings, covering 9.7% of the total area. • The Scheduled Tribes (ST) population own 11.8% of agricultural landholdings, covering 11.9% of the total area. • 74.3% of the landholdings belong to the 'Others' category, covering 78.2% of the area operated. • Between the 2015-16 and 2021-22 periods, the distribution of holdings among different social groups exhibited notable changes. • The Scheduled Caste holdings as a percent of total land holdings increased from 11.8% to 13.9%. Scheduled Tribes' holdings decreased slightly from 12% to 11.8%. • The category labelled "Others" saw a decrease in the percent of total holdings from 76.2% in 2015-16 to 74.3% in 2021-22.
187. Do you consider that Andhra Pradesh economy in still dominated by agricultural sector? Justify your answer. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Justify
Approach	• Begin with a fact-based statement on Andhra Pradesh's historically agrarian base and recent structural changes. • Substantiate with data on sectoral GSDP shares, employment dependence and highlight diversification trends with examples. • Conclude by balancing by acknowledge agriculture's continuing social and livelihood importance while emphasizing the ongoing economic transition towards industry and services.
Introduction	The erstwhile Andhra Pradesh has historically been an agrarian economy, with agriculture forming the backbone of livelihoods, employment, and culture. However, the economic structure has been undergoing gradual transformation.
Body & Infographic Representation	• **Contribution to GSDP** ✓ Earlier, agriculture accounted for more than half of the state's Gross State Domestic Product (GSDP). Over time, its share has declined. ✓ By the late 2000s, agriculture and allied activities contributed less than 30% of GSDP, while industry and services together contributed the majority. This indicates a shift away from agriculture as the dominant sector in value terms.

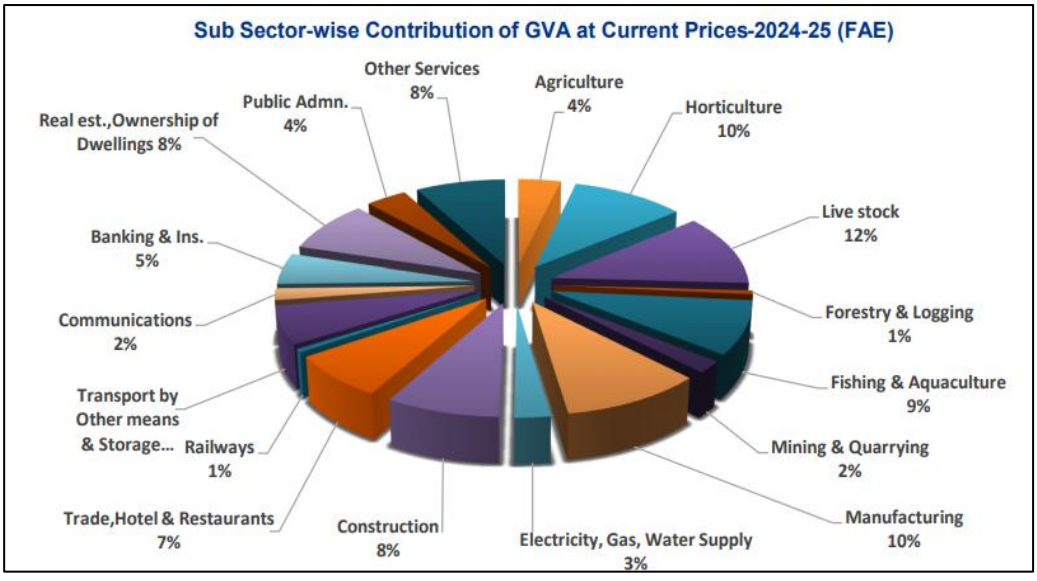
- **Employment Dependence**
  - ✓ Despite a falling share in output, agriculture continued to employ nearly 60% of the workforce in the erstwhile state.
  - ✓ The large rural population, dependence on paddy, horticulture, livestock and aquaculture reflects its social and political importance.



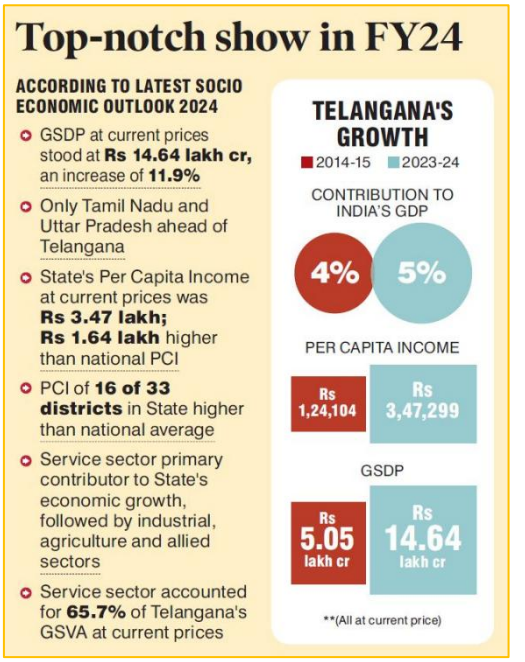
- **Structural Shifts**
  - ✓ Growth in irrigation-led horticulture, fisheries, and food processing coexisted with the rise of IT, biotechnology, pharmaceuticals, and industrial corridors around Hyderabad, Visakhapatnam, and other urban centers.
  - ✓ This dual trend shows diversification but not complete detachment from agriculture.

Andhra Pradesh's economic scenario in 2025:

- According to the Andhra Pradesh Socio-Economic Survey 2024-25, the Gross State Value Added (GSVA) distribution at current prices for the year 2023-24 is as follows:
  - ✓ Services Sector: ₹6.11 lakh crore (40% of GSVA), growing at 11.70%
  - ✓ Agriculture and Allied Sectors: ₹5.19 lakh crore (37%), growing at 15.86%
  - ✓ Industry Sector: ₹3.41 lakh crore (23%), growing at 6.71%



- **Agriculture: Sustaining Growth and Innovation**
  - ✓ Agriculture remains a cornerstone of Andhra Pradesh's economy, engaging a substantial portion of the population and contributing significantly to the GSVA. The sector's growth is driven by:

	▪ Diversification: Expansion into horticulture, livestock, and aquaculture, enhancing value-added production. ▪ Policy Support: Implementation of schemes like Rythu Bharosa, farm loan waivers, and comprehensive crop insurance to support farmers. ▪ Technological Integration: Initiatives such as the digitization of agriculture through platforms like APAIMS 2.0 for real-time advisories and management. **Telangana's economy scenario 2025:** • **Contribution to GSVA** ✓ According to the Advance Estimates for 2023-24, the Service sector contributes 65.7%, the Industrial sector 18.5%, and Agriculture & Allied sectors only 15.8% of Telangana's GSVA. ✓ This clearly shows that the state economy is no longer agriculture-dominated in terms of income generation or value addition. • **Agriculture's Enduring Significance** ✓ Despite rapid urbanization and industrial growth, agriculture remains crucial for livelihoods. ✓ The sector contributed ₹2,11,422 crore in 2023-24, reflecting resilience even amidst landholding fragmentation (average size reduced to 0.89 ha as per Agriculture Census 2021-22). ✓ Large-scale schemes such as Rythu Bharosa, farm loan waivers, and plans for comprehensive crop insurance underscore the continued policy focus on agriculture. ✓ At the same time, horticulture expansion (e.g., oil palm cultivation under NMEO-OP with a target of 3.5 lakh acres by 2028-29) reflects diversification within agriculture. 
Conclusion	Andhra Pradesh's economy (2011) is no longer dominated solely by agriculture in terms of value addition, as services and industry together form the majority. However, agriculture remains central due to its employment potential and rural dependence. Thus, Andhra Pradesh is in a transitional phase, from an agrarian-dominated economy to a diversified one, while retaining a strong agricultural base.
Model Question	"Aquaculture, horticulture, and food processing are emerging as growth drivers in Andhra Pradesh. Discuss their role in reshaping the state's economic profile."
Value Addition	Telangana agriculture is marked by small fragmented landholdings (avg. 0.89 ha), strong irrigation dependence through Kaleshwaram project, state-led support via *Rythu Bharosa* and farm loan waivers, crop diversification into horticulture and oil palm under NMEO-OP, growing aquaculture, and policy push for comprehensive crop insurance, making it resilient yet socially crucial despite shrinking GSVA share.

188. Why are Land Reforms implemented? What are the main laws about Land Reforms in Andhra Pradesh? (APPSC, 2008)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Why, What
Approach	• Start with purpose of equity and agrarian justice. • List key laws like Land Ceiling Act, Tenancy Act, Inam Abolition, and Bhoodan. • Conclude with their importance for redistribution.
Introduction	Land reforms have been central to India's agrarian transformation after Independence. They were designed to abolish feudal structures, redistribute land among the landless, and ensure social justice. Andhra Pradesh, with its dual legacy of Zamindari in Coastal Andhra and Jagirdari in Telangana, required comprehensive legal measures to restructure agrarian relations.
Body & Infographic Representation	**Why are Land Reforms Implemented?** • **Social Justice:** To dismantle exploitative intermediary systems like Jagirdars, Inamdars, and Zamindars, ensuring dignity for cultivators. • **Agricultural Productivity:** Owner-cultivated land was expected to be more efficiently used than absentee landlord estates. • **Poverty Alleviation:** Distribution of surplus and government land provided livelihood security to SCs, STs, and backward classes; by 2010, nearly 40 lakh acres had been assigned. • **Tenancy Protection:** To regulate rents and secure tenure for small tenants. • **Tribal Safeguards:** Preventing alienation of tribal land to non-tribals in Scheduled Areas through protective laws. **Main Laws about Land Reforms in Andhra Pradesh** • **Abolition of Intermediaries:** Andhra Pradesh (Abolition of Jagirs) Regulation, 1949, and Abolition of Inams Act, 1955 ended Jagirdari and Inamdari. • **Tenancy Reforms:** ✓ The Telangana Tenancy and Agricultural Lands Act, 1950, ensured rent regulation and ownership rights to protected tenants. ✓ The Andhra Area Tenancy Act, 1956, regulated rent at one-third of produce and provided security. • **Ceilings on Holdings:** Andhra Pradesh Land Reforms (Ceiling on Agricultural Holdings) Act, 1973 fixed limits (18 acres wet/54 acres dry) and redistributed 6 lakh acres of surplus land. • **Tribal Land Protection:** Andhra Pradesh Scheduled Areas Land Transfer Regulation (LTR), 1959 & amended 1970, prohibited the transfer of tribal land to non-tribals. • **Assignment of Lands:** Distribution of government wastelands to SCs, STs, and BCs; joint Pattas to women under later welfare policies.
Conclusion	Land reforms in Andhra Pradesh were implemented to ensure social justice, equitable distribution, and poverty reduction. Though laws abolished intermediaries and redistributed lakhs of acres, loopholes, Benami transfers, and weak enforcement limited their impact. Strengthened tenancy rights and tribal safeguards remain essential for realizing the true spirit of agrarian reforms.
Model Question	"Why were land reforms considered essential in post-independence India? Explain the major land reform legislations enacted in Andhra Pradesh."
Value Addition	**Andhra Pradesh Land Reforms (Ceiling on Agricultural Holdings) Act, 1973** • The Andhra Pradesh Land Reforms (Ceiling on Agricultural Holdings) Act, 1973 was enacted to fix ceilings on agricultural land holdings and redistribute surplus land. • The Act prescribes a maximum limit on the area of agricultural land that an individual or family unit may hold: 4.05 hectares (10 acres) for wet land and 10.12 hectares (25 acres) for dry land.

	• For holdings with both wet and dry lands, 1 hectare of wet land is considered equivalent to 2.5 hectares of dry land for ceiling calculation. • The Act extends to the entire State of Andhra Pradesh and is intended to give effect to Article 39(b) and (c) of the Directive Principles of State Policy—securing distribution of resources for the common good. • It consolidates and amends laws to fix land ceilings and acquire surplus land.

189. Explain the scope of Land Reforms in Andhra Pradesh and assess the success in the computerisation of Land Records. (APPSC, 2008)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	Explain, Assess
Approach	• Introduce wide scope of land reforms (abolition, tenancy regulation, ceilings, distribution), • Explain digitisation of records like Dharani and MeeBhoomi. • Assess improvements in transparency, yet gaps in accuracy.
Introduction	Land reforms in Andhra Pradesh have aimed at abolishing intermediaries, regulating tenancy, imposing land ceilings, and protecting tribal lands. In recent decades, the scope has expanded to include the modernization of land administration through the computerization of land records, ensuring transparency and reducing disputes.
Body & Infographic Representation	**Scope of Land Reforms in Andhra Pradesh** • **Abolition of Intermediaries:** Jagir Abolition Act, 1949, and Inams Abolition Act, 1955, ended feudal structures. • **Tenancy Regulation**: Telangana Tenancy and Agricultural Lands Act, 1950, and Andhra Tenancy Act, 1956, regulated rents and gave tenants limited security. • **Ceiling on Holdings:** AP Land Reforms (Ceiling on Agricultural Holdings) Act, 1973, redistributed about 6 lakh acres of surplus land. • **Tribal Land Protection:** Land Transfer Regulation Act, 1970, safeguarded Scheduled Tribe land from alienation. • **Assignment of Government Land**: Nearly 40 lakh acres distributed to SCs, STs, and BCs by 2010, enhancing social equity. • **Women's Empowerment**: Distribution of joint Pattas enhanced women's land rights. • **Modern Dimension**: Computerisation of land records under e-governance initiatives like "Mee Bhoomi".

	Achievements of Computerisation of Land Records: • **Transparency and Accessibility**: Digital records reduced manipulation by village revenue officials and provided public access through online portals. • **Reduction in Disputes**: According to CCLA (Chief Commissioner of Land Administration) reports, computerisation resolved thousands of title disputes and reduced the scope for Benami transfers. • **Integration with Services**: Land records linked to banking, crop loans, and welfare schemes such as Rythu Bharosa enhanced efficiency. • **Wider Coverage**: By 2020, almost 95% of land parcels in Andhra Pradesh were digitised and made available online. **Limitations of Computerisation of Land Records**: • **Data Accuracy Issues**: Errors in manual records carried into digital databases, leading to disputes. • **Exclusion of Tenants:** Computerisation mostly covered ownership, while oral tenants remained outside its scope. • **Connectivity Issues:** Rural areas faced challenges in accessing digital platforms. • **Need for Integration:** Lack of complete convergence between land records, registration, and survey departments caused overlaps.
Conclusion	The scope of land reforms in Andhra Pradesh has extended beyond redistribution to modern land governance. While computerisation of land records through Mee Bhoomi significantly improved transparency and service delivery, challenges of accuracy, inclusion of tenants, and institutional coordination remain to be addressed for full success.
Model Question	"Discuss the scope of land reforms in Andhra Pradesh. How successful has the state been in implementing computerisation of land records?"
Value Addition	**Andhra Pradesh Ceiling on Agricultural Holdings Act, 1961 (Act X of 1961):** • It was the first major law in Andhra Pradesh to regulate maximum land holdings, targeting economic equality and redistribution. • The Act set an upper ceiling limit on agricultural land holdings, with limits ranging from 27 to 324 acres per family, depending on the area, type of crops grown, and irrigation facilities. • The ceiling was linked to the land's productive capacity (net annual income), aiming to cap holdings that produced a net income exceeding Rs.3600 annually. • The law was later superseded by more stringent ceiling legislations (AP Land Reforms Act, 1973) as earlier limits were considered excessive.
190. What is Green Revolution? What is its impact on the agricultural economy of Andhra Pradesh? (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	What
Approach	• Define the Green Revolution as a technological-policy package that transformed Indian agriculture since the 1960s. • Explain its impact on Andhra Pradesh in terms of productivity gains, crop diversification, regional and social inequalities, environmental concerns, and supportive policies. • Summarise its dual legacy of food security and ecological imbalance, while noting the current shift towards sustainable farming in Andhra Pradesh.
Introduction	The Green Revolution was a package of agricultural innovations introduced in India during the 1960s to overcome food shortages. It involved the adoption of high-yielding

	varieties (HYVs) of seeds, irrigation expansion, mechanisation, fertilisers, pesticides, and institutional support such as Minimum Support Prices (MSP). This technological and policy-driven intervention not only ensured national food security but also had profound socio-economic and ecological impacts across Indian states, including Andhra Pradesh.
Body & Infographic Representation	**Impact of Green Revolution on Andhra Pradesh:** • **Agricultural Productivity and Food Security** ✓ The Green Revolution significantly increased rice production in Andhra Pradesh due to better irrigation facilities in coastal districts like East and West Godavari, Krishna, and Guntur. ✓ Adoption of HYV seeds and chemical inputs improved crop yields, enabling the state to emerge as a surplus producer of food grains. By the late 1980s, AP became a grain-surplus state, contributing significantly to the central pool through FCI. ✓ Studies by ICRISAT and government reports highlight increased farmer incomes and a shift from subsistence to market-oriented agriculture. • **Diversification of Cropping Pattern** ✓ Apart from rice, cotton in Guntur and Warangal, groundnut in Anantapur, and sugarcane in Nizamabad expanded rapidly. ✓ Horticulture witnessed growth: mangoes in Chittoor, chillies in Guntur, tobacco in Prakasam ✓ This diversification boosted agro-industries, rural employment, and export potential, strengthening the agricultural economy of the state. • **Regional and Social Inequalities** ✓ Coastal Andhra gained the most due to assured irrigation, while Rayalaseema and Telangana remained largely rainfed. For instance, in Anantapur (Rayalaseema), rainfall dependence led to frequent droughts and farmer distress, while East Godavari enjoyed multiple paddy crops. ✓ Larger farmers with access to credit and resources gained disproportionately, while small and marginal farmers often faced debt due to rising input costs. • **Environmental and Ecological Concerns** ✓ Fertilizer consumption in AP rose from 8 kg/ha in 1965 to over 130 kg/ha by 2000, leading to soil degradation. ✓ Groundwater exploitation in districts like Nalgonda and Mahbubnagar created water stress. ✓ Biodiversity erosion occurred as traditional millets and pulses were replaced by HYVs of rice and wheat. **Impact on Agricultural Economy of Telangana:** ✓ Telangana was not a major beneficiary of the Green Revolution compared to Coastal Andhra. ✓ Agriculture remained Rainfed in over 60% of the area; irrigation expansion through Nizam Sagar, Nagarjuna Sagar, and Sriram Sagar projects provided some support but was inadequate. ✓ Instead of rice dominance (like Coastal Andhra), Telangana saw expansion of cotton (Warangal, Karimnagar, Adilabad), sorghum/Jowar (Medak, Nizamabad), and groundnut (Mahbubnagar). ✓ Pesticide overuse in cotton (Warangal, Karimnagar) led to ecological and health hazards; Warangal became a centre of farmer suicides due to debt and crop failures in the 1990s–2000s. ✓ Traditional nutritious crops like millets declined, replaced by input-intensive cotton and paddy.

Conclusion	The Green Revolution transformed Andhra Pradesh from a food-deficit state to a grain-surplus and commercially vibrant agricultural economy. However, it also generated regional disparities, ecological stress, and social inequalities. The present policy emphasis on sustainable and climate-resilient practices reflects an attempt to correct these imbalances and secure the future of agriculture in Andhra Pradesh.
Model Question	"The success of the Green Revolution in Andhra Pradesh was policy-driven as much as technology-driven." Comment.
Value Addition	The Green Revolution had a limited and uneven impact in Telangana compared to Coastal Andhra. It boosted output in irrigated pockets and transformed cotton and paddy belts, but much of Telangana remained Rainfed, drought-prone, and vulnerable.Post-2014, Telangana is focusing on Mission Kakatiya (tank restoration), Kaleshwaram irrigation project, and promotion of millets to achieve sustainable and equitable agricultural growth.
191. What are the total outlays of Andhra Pradesh's X and XI 5 Year Plans? What proportion of the outlay is allocated to agriculture including irrigation? (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Agriculture Development in Andhra Pradesh- Contribution to SGDP
Keyword	What
Approach	• Begin with a brief note on the purpose of Five-Year Plans and Andhra Pradesh's agrarian nature. • Present total outlays for the Tenth and Eleventh Plans with specific data and proportions allocated to agriculture and irrigation. Compare trends, highlighting the stable ~40% allocation and focus on irrigation-led growth. • Conclude with implications for agricultural productivity and balanced rural development.
Introduction	Five-Year Plans serve as comprehensive blueprints for economic and social development in India, aimed at balanced regional growth and optimal resource utilization. Andhra Pradesh, being predominantly agrarian, has historically prioritized agriculture and irrigation sectors in its planning framework to ensure food security, rural employment, and sustainable livelihoods.
Body & Infographic Representation	**Total outlays (Tenth and Eleventh Plans):** • **Tenth Five-Year Plan (2002–2007)** ✓ The total outlay for Andhra Pradesh during the Tenth Plan was approximately ₹46,000 crore. This period focused on accelerating agricultural growth, improving irrigation infrastructure, and strengthening rural livelihoods. ✓ The emphasis was on completing ongoing irrigation projects under the Jalayagnam Programme, enhancing water-use efficiency, and promoting diversification in agriculture. • **Eleventh Five-Year Plan (2007–2012)** ✓ During the Eleventh Plan, Andhra Pradesh adopted the goal of achieving "Faster and More Inclusive Growth." ✓ The total plan outlay increased substantially to about ₹1,87,000 crore, reflecting higher public investment. **Allocation to Agriculture and Irrigation — absolute amounts and proportions:** • **Tenth Plan (2002–07):** ✓ Agriculture & Allied Sectors: ₹2,373.09 crore — 3.82% of the Tenth Plan outlay. ✓ Irrigation: ₹22,473.58 crore — 36.14% of the Tenth Plan outlay. ✓ Combined (Agriculture + Irrigation): ₹24,846.67 crore — 39.96% (≈40.0%) of the Tenth Plan outlay. • **Eleventh Plan (2007–12):**

	✓ Agriculture & Allied Sectors: ₹9,510.44 crore — 6.02% of the Eleventh Plan outlay. ✓ Irrigation: ₹54,384.81 crore — 34.44% of the Eleventh Plan outlay. ✓ Combined (Agriculture + Irrigation): ₹63,895.25 crore — 40.46% (≈40.5%) of the Eleventh Plan outlay. **Interpretation and brief analysis:** • **Stable overall priority (~40%):** ✓ Combining agriculture and irrigation shows that roughly two-fifths of total plan resources in both Plans were directed to the farm sector when irrigation is included (≈39.96% in X Plan and ≈40.46% in XI Plan). ✓ This indicates a sustained emphasis on the agriculture–water nexus rather than a dramatic shift away from agriculture as a whole. • **Shift within agriculture-related spending:** ✓ While the proportion attributable directly to "Agriculture & Allied" rose modestly from 3.82% to 6.02% (X → XI Plan), the bulk of investment remained in irrigation (over one-third of Plan outlays in both periods). ✓ This underlines Andhra Pradesh's strategy of prioritising irrigation infrastructure (canals, reservoirs, major projects and tank systems) as the primary lever for agricultural growth and water security. • **Policy implication:** ✓ Large irrigation outlays reflect the state's effort to expand and stabilise irrigation potential and hence agricultural productivity. ✓ However, it also implies that non-infrastructure agricultural investments extension, markets, inputs, diversification, agro-processing received a comparatively small share a point often raised in reviews of state plan priorities.
Conclusion	In absolute and relative terms, the Tenth and Eleventh Plans allocated about ₹24,847 crore (≈40.0%) and ₹63,895 crore (≈40.5%) respectively to agriculture plus irrigation—showing a consistent, strong emphasis on irrigation as the dominant component of agriculture-related investment in Andhra Pradesh's plan spending. The figures and percentages above are taken from the state plan sectoral tables as reported in a government-data analysis.
Model Question	Assess the major achievements and shortcomings of the Twelfth Five Year Plan of Andhra Pradesh in promoting inclusive growth. Discuss the role of agriculture and allied sectors in this context.
Value Addition	• In the 2025-26 Andhra Pradesh state budget, a total outlay of ₹48,341.14 crore was earmarked for the agriculture and allied sectors. • A substantial portion of this was specifically allocated to irrigation, with ₹12,903.41 crore for the maintenance of irrigation projects and ₹6,705 crore allocated for the Polavaram irrigation project in the 2025-26 budget. • In the 2023-24 fiscal year, the agriculture sector was estimated to contribute 37% to Andhra Pradesh's GSDP (Gross State Domestic Product), highlighting its central role in the state's economy.
192. "Imbalances in irrigation development in the Andhra Pradesh has led to serious regional inequality." Examine the statement. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Regional Disparities
Keyword	Examine
Approach	• Define irrigation imbalance in undivided Andhra Pradesh and link it to regional inequality. • Present evidence of disparities (Coastal vs Telangana), explain causes (policy bias, neglect of tanks, inter-basin allocation), and highlight consequences (agrarian distress, migration, statehood demand).

	• Emphasize how this imbalance justified Telangana's demand for justice and how post-2014 initiatives aim to correct it.
Introduction	Irrigation has historically been central to agricultural prosperity in Andhra Pradesh. However, its development under the erstwhile state was highly uneven, creating deep-seated regional disparities. This imbalance particularly affected Telangana and parts of Rayalaseema, while Coastal Andhra districts benefited disproportionately.
Body & Infographic Representation	• **Coastal Andhra & Rayalaseema** ✓ Benefited from major Krishna and Godavari delta projects. ✓ Dowleswaram Barrage (Godavari, 1852), Prakasam Barrage (Krishna, 1957), and Nagarjuna Sagar canals expanded irrigation in Krishna and Godavari delta districts. ✓ Irrigated area in delta districts often exceeded 50–60% of cultivable land. • **Telangana** ✓ Despite contributing 68% of Krishna basin and 79% of Godavari basin catchment area, it received less than 30% of assured irrigation. ✓ Districts like Mahabubnagar, Nalgonda, and Karimnagar had <20% of cultivated land under irrigation. ✓ Tail-end flows from projects like Nagarjuna Sagar and Srisailam were unreliable. • **Rayalaseema** ✓ Drought-prone districts such as Anantapur and Kurnool faced chronic water scarcity despite some minor irrigation projects (e.g., Tungabhadra canals). • **Causes of Imbalance** ✓ **Historical Policy Bias**: Successive governments prioritized coastal delta irrigation to maximize rice production. ✓ **Diversion of Krishna Waters**: Major projects (Nagarjuna Sagar, Srisailam) primarily served coastal canals; Telangana received only residual flows. ✓ **Neglect of Traditional Tanks**: Telangana had an extensive tank system, but many tanks silted and lost command areas due to lack of maintenance. ✓ **Political Economy**: Dominance of coastal elites in bureaucracy and politics skewed investment decisions, leaving Telangana and Rayalaseema underdeveloped. • **Consequences of Irrigation Imbalance** ✓ **Agrarian Distress**: Chronic droughts in South Telangana and Rayalaseema led to crop failures. ✓ **Farmer Suicides & Migration**: Water scarcity forced migration to urban centers; Telangana recorded higher agrarian distress. ✓ **Economic Disparity**: Per capita income gap widened — Coastal Andhra districts consistently outperformed Telangana in agricultural productivity. ✓ **Fuel for Socio-Political Movements**: Telangana's historical neglect in irrigation allocation became a core grievance, culminating in the demand for separate statehood. • **Post-2014 Corrective Measures** ✓ **Mission Kakatiya:** Restoration of over 46,000 tanks in Telangana to improve irrigation coverage. ✓ **Kaleshwaram Lift Irrigation Project:** Provides large-scale assured irrigation to drought-prone Telangana districts, helping correct historical imbalance.
Conclusion	The uneven irrigation development in erstwhile Andhra Pradesh entrenched regional disparities. Post-2014 corrective projects, supported by a Rs. 28,024 crore allocation (2024 – 2025), aim to ensure equitable and sustainable irrigation, enhance agricultural productivity, mitigate drought impacts, and provide balanced water access, fostering inclusive and regionally balanced agricultural development across the state.

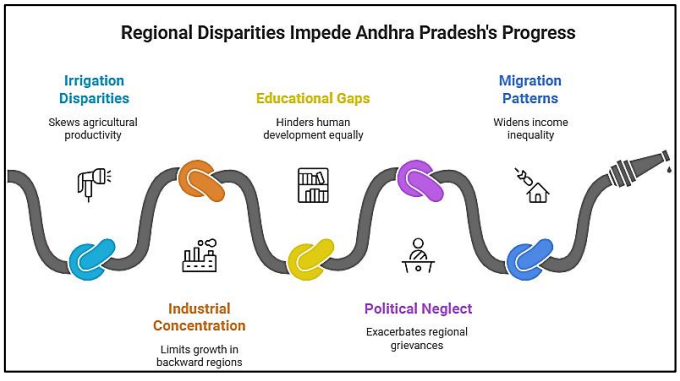
Model Question	"Evaluate the contribution of large-scale irrigation projects like Kaleshwaram to bridging historical irrigation inequalities in Telangana. What are the challenges of such mega projects?"
Value Addition	Giri Vikasam focuses on providing irrigation facilities to fallow and uncultivable agricultural lands of small and marginal ST farmers and converting them to cultivable and productive lands for sustainable agriculture development.

193. Explain the existing inter-regional differences in the levels of poverty in Andhra Pradesh economy. (APPSC, 2012)

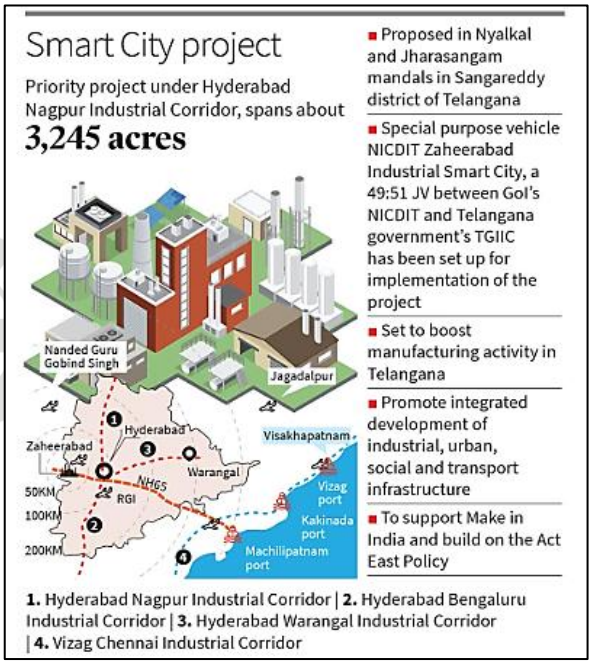
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Regional Disparities
Keyword	Explain
Approach	• Begin by defining poverty as the deprivation of basic necessities and note Andhra Pradesh's overall poverty decline in recent years. • Discuss inter-regional variations contrast backward districts like Kurnool, Anantapur, and Srikakulam with more developed ones like Guntur, Krishna, and Visakhapatnam. • Explain reasons such as unequal irrigation, industrialization, and education levels. • Conclude by stressing inclusive regional development and targeted anti-poverty measures.
Introduction	Poverty in Andhra Pradesh shows distinct inter-regional variations, reflecting differences in economic growth, employment opportunities, infrastructure, and natural resources. While some regions have achieved rapid progress through industrial and service sector expansion, others continue to face persistent poverty due to low agricultural productivity and poor connectivity.
Body & Infographic Representation	**Regional Trends of Poverty in Andhra Pradesh:** • Andhra Pradesh has seen an overall decline in poverty over the years, but disparities persist across districts and regions. ✓ Coastal Andhra generally has lower poverty rates due to fertile land, irrigation, and industrial corridors. ✓ Rayalaseema and north-coastal districts such as Srikakulam, Vizianagaram, and Anantapur face higher poverty levels due to semi-arid conditions and weak industrial development. **Causes for Inter-Regional Poverty Differences:** • **Agricultural Disparities:** ✓ Coastal districts benefit from Godavari and Krishna delta irrigation systems, ensuring higher yields and rural income. In contrast, Rayalaseema and tribal regions rely on rainfed agriculture, with frequent droughts leading to unstable livelihoods. • **Industrial and Service Sector Concentration:** ✓ Industrial growth is concentrated in urban centres like Visakhapatnam, Guntur, and Nellore, generating better employment. Backward districts lack industrial infrastructure, entrepreneurship, and access to markets, causing slower income growth. • **Infrastructure and Connectivity Gaps:** ✓ Poor transport, electricity, and digital connectivity in tribal and hilly regions limit access to education, markets, and welfare schemes. Coastal and central districts enjoy better physical and social infrastructure, contributing to faster poverty reduction. • **Social and Educational Factors:** ✓ Low literacy levels among marginalized groups such as Scheduled Tribes in north coastal Andhra and farmers in Rayalaseema restrict access to higher-paying jobs. Unequal human capital formation sustains regional poverty gaps.

Conclusion	Regional poverty disparities in Andhra Pradesh stem from uneven resource distribution, infrastructural gaps, and unequal access to opportunities. A balanced development approach focusing on irrigation, industrial decentralization, and human capital in lagging districts is essential for inclusive and sustainable poverty reduction across all regions.
Model Question	"Discuss the factors responsible for regional disparities in economic development and living standards among different districts of Andhra Pradesh."
Value Addition	**Extreme Poverty in India- World Bank Report (2024):** • Poverty Reduction: India lifted 171 million people out of extreme poverty between 2011-12 and 2022-23. • Extreme Poverty Rate: Declined from 27.1% (2011-12) to 5.3% (2022-23) under revised poverty line of $3/day (2021 PPP). • Earlier Benchmark: At $2.15/day, extreme poverty fell from 16.2% to 2.3% during the same period. Rural-Urban Gap: Rural poverty dropped from 18.4% to 2.8%; urban from 10.7% to 1.1%, narrowing the gap from 7.7 to 1.7 percentage points. • Key Factors: Free and subsidised food transfers, welfare schemes, and inclusive growth helped reduce poverty. Economic Outlook: India's real GDP remains 5% below pre-pandemic trend; expected to stabilise by FY28. • External Sector: CAD likely to average 1.2% of GDP (FY26–28); forex reserves stable around 16% of GDP. • Concentration: Five populous states account for 54% of the extremely poor.
194. Write a brief note on the regional disparities in irrigation facilities in Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Regional Disparities
Keyword	Write a brief note
Approach	• Introduce with the Andhra Pradesh's geographical and regional variations that shape irrigation distribution between Coastal Andhra, Rayalaseema, and North Coastal regions. • Analyze data-backed disparities in irrigation potential, sources, and infrastructure by validation from AP Socio-Economic Survey 2024-25 and examples like Polavaram and Handri-Neeva, highlighting their economic and social implications. • Conclude by assessing ongoing reforms and suggesting equitable, sustainable water management to bridge regional irrigation gaps.
Introduction	Andhra Pradesh exhibits pronounced regional disparities in irrigation, shaped by geography and infrastructure. While Coastal Andhra enjoys extensive canal irrigation from the Krishna and Godavari rivers, Rayalaseema and upland districts remain dependent on erratic rainfall, tanks, and groundwater. These imbalances affect cropping patterns, productivity, and rural livelihoods across the state
Body & Infographic Representation	**Regional Disparities in Irrigation Facilities in Andhra Pradesh:** **Current Irrigation Pattern:** • **Overall Irrigation Potential:** ✓ As per the AP Socio-Economic Survey 2024-25, the total irrigation potential created up to December 2024 stood at 106.15 lakh acres, comprising 66.81 lakh acres (Major), 5.62 lakh acres (Medium), 25.60 lakh acres (Minor), and 8.12 lakh acres (Lift). ✓ This distribution reveals that major canal projects dominate irrigation creation, benefiting the canal-fed Coastal Andhra more than the tank-dependent Rayalaseema region. • **Groundwater Dependence and Stress:** ✓ According to the Central Ground Water Board 2024, Andhra Pradesh's annual groundwater extraction is 7.88 billion m^3 against a recharge of 27.8 billion m^3, with irrigation consuming 86% of total extraction.

	✓ **Regional variation remains stark:** Sri Sathya Sai district records ~60.7% extraction, indicating localized overuse, while coastal districts show lower stress but face salinity intrusions. • **Micro-irrigation Expansion:** ✓ Andhra Pradesh ranks among India's leaders in water-use efficiency. ✓ In 2023-24, around 2.05 lakh acres were added under micro-irrigation, benefiting ~75,000 farmers, particularly in semi-arid mandals of Rayalaseema. • **Major Projects and Inter-Basin Transfers** ✓ The Polavaram and Handri-Neeva Sujala Sravanti (HNSS) projects are key equalizers. ✓ As of 2024, Handri-Neeva delivered Krishna River water to 299 of 517 tanks in Rayalaseema, improving irrigation coverage in chronically dry districts like Anantapur and Kurnool. ✓ Polavaram's completion is expected to further stabilize canal irrigation and expand ayacut in upland areas. **Consequences of Irrigation Disparities:** • **Agricultural and Income Inequality:** ✓ Canal-irrigated Coastal Andhra supports water-intensive paddy and horticulture with higher yields, while Rayalaseema relies on rainfed millets and groundnut, leading to lower productivity and incomes. • **Migration and Social Impact:** ✓ Persistent irrigation inequality contributes to seasonal migration from dry Rayalaseema to irrigated coastal belts. • **Sustainability Risks:** ✓ Over-extraction of groundwater and salinity intrusion threaten long-term water security despite an overall safe extraction ratio state-wide. **Policy Recommendations:** • **Accelerate Completion of Major Projects:** ✓ Fast-track Polavaram and Handri-Neeva with sustained O&M to ensure equitable canal distribution to deficit zones. • **Expand Micro-Irrigation and Tank Rejuvenation:** ✓ Incentivize drip/sprinkler systems and rejuvenate traditional tanks in semi-arid districts through NABARD and MGNREGS. • **Adopt Region-Specific Water Governance:** ✓ Institutionalize district-wise water accounting (WRIMS/APWRIMS) and promote conjunctive use of surface and groundwater to optimize scarce resources.
Conclusion	While Andhra Pradesh has created over 106 lakh acres of irrigation potential and expanded micro-irrigation significantly, regional disparities persist, with Coastal Andhra still enjoying the lion's share of assured irrigation. Bridging this gap requires coordinated investment, groundwater regulation, and sustainable inter-basin transfers, ensuring equitable growth and climate-resilient agriculture across all regions.
Model Question	Examine the progress and challenges in realizing the irrigation potential of Telangana, with special reference to major projects like Kaleshwaram, Mission Kakatiya, and Palamuru–Rangareddy, and assess their impact on regional equity and agricultural transformation.
Value Addition	**Telangana Irrigation potential:** • The government's objective is to create assured irrigation facilities for about 127.58 lakh acres in the state, duly ensuring optimum use of the state's water resources through efficient, equitable, and sustainable irrigation service delivery/

	• The total irrigation potential (IP) contemplated under all types of irrigation sources in the state is 127.58 lakh acres, distributed across major, medium, minor, and small lift (IDC) schemes. • Major projects account for the largest share, with 91.79 lakh acres, representing 71.95% of the total. • Medium projects cover 4.86 lakh acres (3.81%), while minor projects, including irrigation tanks and water bodies, account for 25.71 lakh acres (20.15%). • Small lifts (IDC schemes) comprise the remaining 5.22 lakh acres, comprising 4.09% of the total IP.
195. What are the causes for inter-regional and inter-district disparities in Andhra Pradesh? (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Regional Disparities
Keyword	What
Approach	• Define economic disparities and their historical roots in Andhra Pradesh. • List out the causes – irrigation facilities, industrial concentration, investment patterns, infrastructure, education, and policies. • Highlight long-term impact and need for balanced regional planning.
Introduction	Andhra Pradesh, in its united form, was marked by significant inter-regional and inter-district disparities in socio-economic development. These disparities stemmed from variations in geography, irrigation, industrial growth, and political attention. The persistence of such inequalities hindered balanced growth and fuelled regional demands for justice.
Body & Infographic Representation	**Causes for inter-regional and inter-district disparities in Andhra Pradesh:** • **Irrigation and Agricultural Disparities** ✓ Coastal Andhra benefited from the Krishna and Godavari canal systems, while Telangana and Rayalaseema depended on tanks and wells, which declined over time. ✓ As per the Economic Survey of A.P. 2012, net irrigated area in Coastal Andhra was nearly 50% higher than in Telangana and Rayalaseema, leading to higher crop yields and incomes. • **Industrial and Infrastructure Concentration** ✓ Industries were concentrated in Hyderabad, Visakhapatnam, and Vijayawada due to better connectivity and investments. ✓ Backward districts like Anantapur, Adilabad, and Srikakulam lagged due to a lack of industrial corridors. • **Education and Human Development** ✓ Coastal districts had better access to schools and colleges, whereas literacy in Mahabubnagar (63.35%) and Vizianagaram (58.89%) was much lower than in Hyderabad (83.25%). ✓ Health infrastructure too was uneven, with rural districts suffering from lack of hospitals and doctors. • **Political and Policy Neglect** 

	✓ Telangana leaders often highlighted diversion of river waters and budgetary allocations to Coastal Andhra projects. ✓ Rayalaseema remained drought-prone and received limited attention except during drought relief schemes. • **Migration and Employment** ✓ Lack of local opportunities forced large-scale migration from Rayalaseema and Telangana to Hyderabad, Bengaluru, and Gulf countries. ✓ This widened income gaps between migrant-sending and developed districts.
Conclusion	In sum, disparities across Andhra Pradesh arose from historical neglect, unequal irrigation, industrial imbalance, and policy bias. These inequalities not only created uneven growth but also intensified regional grievances. A balanced development strategy through equitable irrigation, industrial decentralisation, and human capital investment is essential to bridge such divides.
Model Question	Identify the major factors responsible for uneven regional and district-level development in Andhra Pradesh and analyse their socio-economic consequences.
Value Addition	• The Centre and Telangana government will jointly develop a Smart Integrated Industrial City on about 3,245 acres in Zaheerabad as a priority project under the Hyderabad Nagpur Industrial Corridor (HNIC). • Special purpose vehicle NICDIT Zaheerabad Industrial Smart City has been set up with 49% stake held by the Government of India's National Industrial Corridor Development and Implementation Trust and the State government's Telangana Industrial Infrastructure Corporation Limited (TGIIC) remaining 51% equity. • The Zaheerabad Industrial Area (ZIA), as the project will be known, is to develop state-of-the-art infrastructure facilities backed by professional management to attract and support investments in industrial and allied sectors. • It is expected to provide impetus to manufacturing activity in the State, promote integrated development of industrial, urban, social, and transport infrastructure and support Make in India and the Act East Policy, show documents accompanying a public notice for ZIA.



196. Examine the causes for regional disparities in Andhra Pradesh and measures initiated by the government to reduce the same. (APPSC, 2008)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Regional Disparities
Keyword	Examine
Approach	• Introduce regional disparities as a challenge in A.P.'s development. • Causes – irrigation, industries, political neglect, investments; Measures – Jalayagnam, backward region funds, special packages. • Conclude by stating balanced development and inclusive growth policies.

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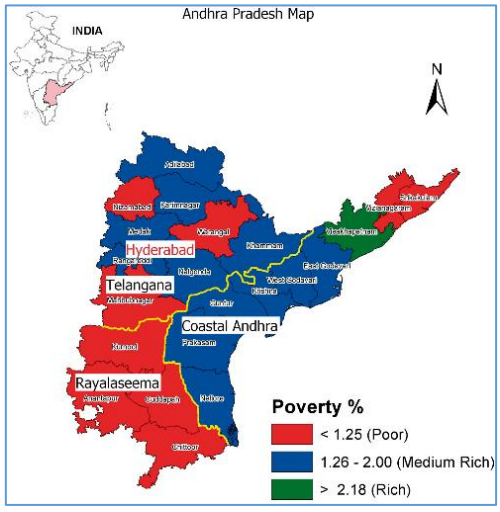
Introduction	Regional disparities in united Andhra Pradesh were a major developmental challenge rooted in geography, history, and state policies. While Coastal Andhra advanced due to canal irrigation and port-based industries, Telangana and Rayalaseema lagged behind in agriculture, industry, and human development. These imbalances often generated socio-political unrest and demands for equitable growth.
Body & Infographic Representation	**Causes for Regional Disparities in Andhra Pradesh** • **Irrigation Inequalities:** ✓ Coastal Andhra had access to the Krishna and Godavari delta canals, covering nearly 60% of the net irrigated area. ✓ Telangana's tank irrigation declined from 30% (1950s) to <10% (2010s), and Rayalaseema remained dependent on borewells with frequent droughts. • **Industrial Concentration:** ✓ Major industries, IT, and pharma clustered in Hyderabad, Visakhapatnam, and Vijayawada. ✓ Districts like Anantapur, Adilabad, and Srikakulam had a negligible industrial base. • **Human Development Gaps:** ✓ **Literacy:** Hyderabad (83.25%) vs. Mahabubnagar (63.35%) and Vizianagaram (58.89%) as per Census 2011. ✓ Healthcare and higher education are concentrated in urban hubs, leaving rural districts underserved. • **Political and Policy Neglect:** ✓ Telangana leaders cited diversion of river waters and budgetary allocations to Coastal Andhra projects. ✓ Rayalaseema's long-standing demand for drought relief and irrigation support remained inadequately addressed. **Measures by the Government to reduce regional disparities in Andhra Pradesh** • **Jalayagnam (2004):** Launched to build irrigation projects across all regions. • **Backward Regions Grant Fund (BRGF):** Financial support to underdeveloped districts. • **Industrial Packages & SEZs:** Encouragement of industries in backward areas (e.g., Kakinada SEZ, Anantapur solar corridor). • **Educational Initiatives:** Universities and professional colleges set up in Rayalaseema and Telangana to bridge education gaps. • **Mission Kakatiya (2014, Telangana):** Revival of traditional tanks to enhance irrigation.
Conclusion	Regional disparities in Andhra Pradesh were shaped by irrigation, industrial concentration, and policy bias. Though initiatives like Jalayagnam and BRGF addressed inequalities, the outcomes were uneven. A sustainable solution lies in region-specific planning, equitable resource distribution, and inclusive development policies.
Model Question	Discuss the reasons behind persistent regional imbalances in Andhra Pradesh and assess the effectiveness of government initiatives aimed at reducing them.
Value Addition	Jalayagnam is a mass irrigation and water supply programme for drinking purposes in various regions of Andhra Pradesh. • Benefits to the citizens ✓ Safe water for drinking and water for cultivation is to be provided to the citizens. ✓ Ponds to be modernized to improve water tables.
197. Explain the causes for backwardness of certain regions in the United A.P. and suggest measures for development. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Regional Disparities

Keyword	Explain, Suggest
Approach	• Define backwardness with reference to socio-economic indicators. • Causes – dry agro-climatic conditions, lack of irrigation, poor infrastructure, low literacy, migration; Suggest measures – irrigation projects, skill development, industrial corridors, decentralised governance. • Conclude by stating targeted regional planning for equitable development.
Introduction	Backwardness of certain regions in united Andhra Pradesh, particularly Rayalaseema, Telangana (except Hyderabad), and north coastal districts, was a result of geographical constraints and policy neglect. While Coastal Andhra advanced with fertile deltas and ports, other regions struggled with poor irrigation, industries, and infrastructure. This imbalance demanded targeted developmental measures.
Body & Infographic Representation	**Causes for backwardness of certain regions in the United A.P. :** • **Geographical and Climatic Constraints:** ✓ Rayalaseema faced chronic droughts, with rainfall <700 mm annually, making agriculture risky. ✓ Telangana had undulating terrain where tank irrigation declined from 30% (1950s) to <10% (2010s). • **Irrigation Deficit:** ✓ Coastal Andhra had Krishna–Godavari canals, while Telangana and Rayalaseema relied heavily on wells and borewells. ✓ As per the AP Statistical Abstract 2012, the irrigated area in Coastal Andhra was double that of Rayalaseema. • **Industrial and Infrastructure Gap:** ✓ Industries concentrated in Hyderabad, Visakhapatnam, and Vijayawada. ✓ Backward districts like Anantapur, Adilabad, and Srikakulam lacked industrial corridors and transport connectivity. • **Educational and Health Inequalities:** ✓ Literacy: Hyderabad (approx.83%) vs. Mahabubnagar (approx.63%), Vizianagaram (58.899%) – Census 2011. ✓ Healthcare access remained poor in rural districts, leading to low human development indices. • **Policy and Political Neglect:** ✓ Telangana leaders argued diversion of budgetary allocations and river waters to Coastal Andhra. ✓ Rayalaseema's chronic demands for drought relief packages were inadequately met. **Suggested Measures for the Development of Backward Regions in the United A.P. :** • **Irrigation Projects**: Completion of Polavaram, Handri–Neeva, and tank revival schemes like Mission Kakatiya. • **Industrial Corridors**: Promote SEZs and agro-processing units in Rayalaseema and Telangana districts. • **Education and Skills**: Expansion of universities, polytechnics, and skill training centres in backward regions. • **Infrastructure Investments:** Roads, railways, and rural electrification to reduce isolation. • **Targeted Welfare:** Special category funds, employment generation schemes, and women self-help groups (SHGs).
Conclusion	Backwardness in united A.P was driven by geographical disadvantages, irrigation scarcity, and policy neglect. Corrective measures like irrigation expansion, industrial decentralisation, and human capital investment are vital. A region-specific, inclusive development approach is the key to bridging these gaps.

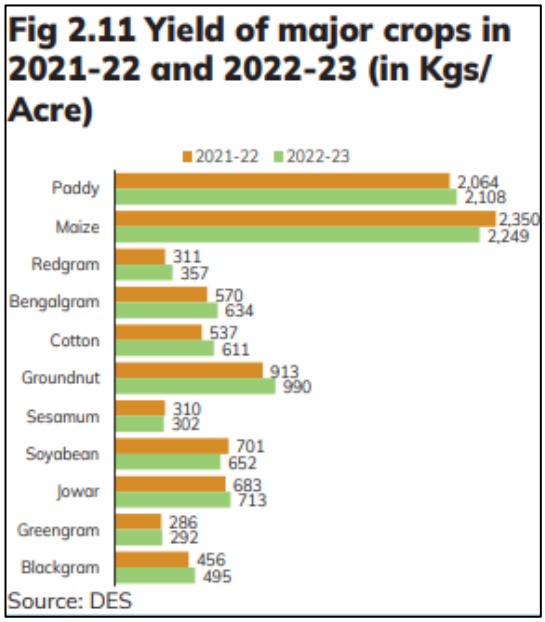
Model Question	Analyse the socio-economic and geographical reasons for the underdevelopment of specific regions in united Andhra Pradesh and propose suitable policy measures for balanced growth.
Value Addition	The Polavaram Irrigation Project is on the river Godavari near Ramayyapeta village of Polavaram Mandal, about 34 km upstream of the Kovvur-Rajahmundry road-cum-rail bridge and 42 km upstream of Sir Arthur Cotton Barrage, where the river emerges out of the last range of the Eastern Ghats and enters the plains in West Godavari District of Andhra Pradesh. This multi-purpose major irrigation project is intended for the development of a gross irrigation potential of 436825 ha. The project also envisages the generation of 960MW of hydro power, a drinking water supply to a population of 28.50 lakh in 611 villages and diversion of 80 TMC of water to the Krishna River basin.
198. Describe the salient features of Polavaram irrigation project and explain its benefits. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Irrigation
Keyword	Describe
Approach	• Begin with a brief introduction to the Polavaram Project—its location, national status, and purpose. • In the body, highlight its salient structural and functional features: dam design, canal network, hydroelectric plant, and interlinking of rivers. Then explain key benefits—irrigation, drinking water, flood control, and power generation. • Conclude by emphasizing its developmental significance, sustainability, and completion challenges.
Introduction	The Polavaram Irrigation Project (PIP), also known as the Indira Sagar Multipurpose Project, is one of India's largest multipurpose river valley projects under construction across the Godavari River in West Godavari District, Andhra Pradesh. Declared a national project under Section 90 of the Andhra Pradesh Reorganisation Act, 2014, it aims to provide irrigation, drinking water, and hydropower, thereby transforming the agrarian landscape of coastal Andhra Pradesh.
Body & Infographic Representation	**Salient Features of the Polavaram Project:** • **Multi-Purpose Design:** The project serves several objectives, including irrigation, hydroelectric power generation, drinking water supply, and flood control. • **Massive Dam Structure:** The project involves the construction of an Earth-cum-Rockfill (ECRF) dam spanning approximately 2.5 kilometers, along with a 907-meter-long concrete spillway designed to handle a probable maximum flood of around 50 lakh cusecs, among the highest discharge capacities in the world. • **Diaphragm Wall:** A critical and technically advanced feature is the 1.5-meter-thick concrete diaphragm wall built up to 120 meters below the river bed to ensure the dam's stability and control seepage, a first of its kind in India. • **Extensive Canal Network:** The project includes a 182 km Left Main Canal and a 179 km Right Main Canal to distribute water across the region. • **River Interlinking:** A crucial component is the inter-basin transfer of 80 TMC (thousand million cubic feet) of water annually from the Godavari River basin (considered a surplus basin) to the deficit Krishna River basin via the Right Main Canal. • **Hydroelectric Power Plant:** A 960 MW capacity hydroelectric power generation station (12 units of 80 MW each) is being constructed on the left side of the river. • **National Project Status:** Accorded "National Project" status by the Central Government under the Andhra Pradesh Reorganisation Act, 2014, ensuring 100% funding for the irrigation component by the central government and top priority in implementation. **Benefits of the Polavaram Project**

	• **Enhanced Irrigation:** The project is designed to bring immense agricultural benefits, providing irrigation water to a gross command area of approximately 4.36 lakh hectares (around 10.80 lakh acres) of land, including stabilization of existing irrigated lands in East Godavari, West Godavari, Krishna, Visakhapatnam, Vizianagaram, and Srikakulam districts. This also aids in providing water for the second crop in the Godavari delta. • **Drinking Water Supply:** It will provide safe and reliable drinking water to an estimated 28.5 lakh people in 611 villages and also supply 23.44 TMC of water for industrial and drinking needs of Visakhapatnam city. • **Water Security and Flood Control:** By creating a large reservoir with a gross storage capacity of 194 TMC, the project helps moderate floodwaters, reducing the risk of damage to life and property in downstream areas. • **Power Generation:** The 960 MW hydropower plant will contribute significantly to the state's renewable energy production, enhancing power security and availability. • **Interstate Cooperation and Regional Balance:** The Godavari-Krishna link facilitates the transfer of surplus water to the drought-prone Rayalaseema region by saving water in the Krishna basin, addressing long-standing regional water disparities. • **Economic and Allied Development:** The project is expected to boost local economies through the development of pisciculture (fisheries), navigation for transport of minerals and forest produce, and an increase in tourism and urbanisation in the surrounding areas
Conclusion	The Polavaram Project is a lifeline for Andhra Pradesh's agrarian economy, promising water security, agricultural transformation, and regional development. Once completed, it will not only ensure irrigation and drinking water supply but also contribute to national goals of food security and sustainable growth. However, timely completion, environmental safeguards, and effective rehabilitation are crucial to realizing its full potential.
Model Question	Explain the significance of the Handri-Neeva Sujala Sravanthi (HNSS) Project in drought-prone regions of Rayalaseema. How far has it achieved its intended objectives?
Value Addition	**Other Major irrigation projects in Andhra Pradesh:** • **Nagarjuna Sagar Dam:** A large multi-purpose irrigation and hydroelectric project on the Krishna River. • **Handri-Neeva Sujala Sravanthi:** A major lift irrigation project with one of Asia's longest canals, aimed at irrigating lands in the Rayalaseema region. • **GALERU NAGARI SUJALA SRAVANTHI:** Another significant project, with the Handri Neeva Sujala Sravanthi being part of this larger scheme. • **Vamsadhara River Project:** Includes the BRR Vamsadhara Project Phase II and the Sardar Gouthu Lachanna Thotapalli Barrage project. • **Dowleswaram Barrage:** A barrage on the Godavari River, constructed in 1850. • **Chitravathi River Project:** Includes the Chitravathi Balancing Reservoir. • **Muchumarri Lift Irrigation Scheme:** Lifts water from Srisailam backwaters to supply the KC Canal and the Handri Neeva project. • **Chintalapudi Lift Irrigation Project:** Provides irrigation and drinking water to the Krishna and Godavari Deltas. • **Yeleru Reservoir Project:** Involves linking the Godavari River to the Yeleru reservoir for drinking water to Visakhapatnam.

199. Analyse the differences between sources of irrigation between Coastal Andhra, Rayala Seema, and Telangana in the united Andhra Pradesh and their consequences. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Irrigation
Keyword	Analyse

Approach	• Briefly mention the agrarian economy of United A.P. and regional variations in irrigation. • Compare irrigation sources – canals (Coastal Andhra), tanks (Telangana), wells/borewells. • Link irrigation inequalities to regional imbalance and emphasize government interventions like Jalayagnam. • Conclude by stating the significance of these sources of irrigation.
Introduction	Irrigation has been a key determinant of agricultural growth in united Andhra Pradesh, where regional variations in rainfall and geography influenced water-use patterns. Coastal Andhra enjoyed canal-based irrigation, Telangana depended on tanks, and Rayalaseema relied mainly on wells and borewells. These differences shaped cropping patterns, productivity, and regional disparities in development.
Body & Infographic Representation	**Sources of irrigation across regions:** • **Coastal Andhra:** ✓ Major rivers like the Krishna and Godavari facilitated canal irrigation (e.g., Krishna Delta, Godavari Delta systems). ✓ Fertile alluvial soils supported water-intensive crops like paddy and sugarcane. ✓ As per the Census of Irrigation Statistics 2013–14, over 60% of the net irrigated area here came from canals. • **Telangana:** ✓ Traditional dependence on tanks and lakes due to undulating terrain. ✓ Mission Kakatiya (2014 onwards) sought revival of tanks, but before bifurcation, tank irrigation had declined drastically from 30% (1950s) to less than 10% (2010s). ✓ Groundwater through borewells became dominant, causing over-extraction. • **Rayalaseema:** ✓ Scarce rainfall and drought-prone conditions. ✓ Irrigation relied on wells and tube-wells; only limited canal irrigation via the Tungabhadra and Handri-Neeva projects. ✓ Groundwater stress was evident with over 70% of irrigation dependent on wells by 2011–12.  **Consequences of Irrigation Inequalities** • **Agricultural Productivity:** Coastal Andhra recorded higher yields (paddy yields > 3,500 kg/ha) compared to Telangana and Rayalaseema. • **Cropping Pattern**: Water-intensive crops thrived in Coastal Andhra, while Telangana and Rayalaseema had more millets, pulses, and groundnut. • **Groundwater depletion:** The heavy reliance on groundwater in Telangana led to a drastic fall in the water table. This intensified the agrarian crisis, as traditional dug wells dried up, and farmers had to drill deeper borewells, escalating their investment and power dependency. • **Regional Disparities:** Prosperity in Coastal Andhra contributed to intra-state imbalances, fuelling demands for special packages in Telangana and Rayalaseema. • **Socio-Economic Impact:** Migration from drought-prone Rayalaseema and parts of Telangana was higher; indebtedness rose due to borewells failures.

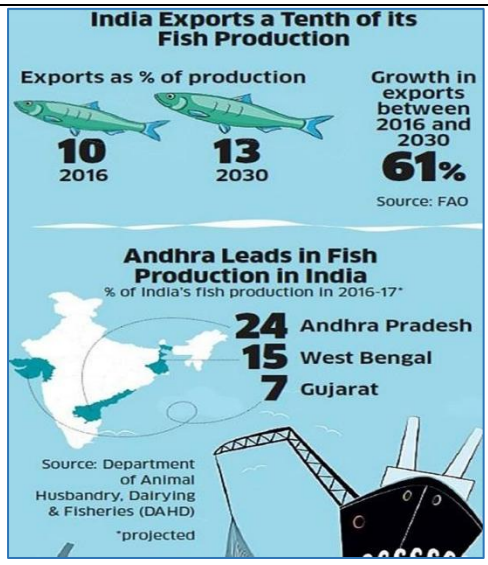
Conclusion	Thus, irrigation patterns in united Andhra Pradesh created regional inequalities in agricultural growth and economic prosperity. While Coastal Andhra advanced through canal networks, Telangana and Rayalaseema lagged due to dependence on tanks and wells. Addressing such disparities requires sustainable irrigation policies like Jalayagnam and Mission Kakatiya for equitable regional development.
Model Question	Compare the patterns of irrigation development in Coastal Andhra, Rayalaseema, and Telangana during united Andhra Pradesh and discuss their impact on regional agriculture.
Value Addition	**Mission Kakatiya:** • The massive programme for the Restoration of tanks is named "Chinna Neeti Vanarula Punaruddarana" and it is renamed as "Mission Kakatiya". • The Government planned to restore 9,306 Tanks every year (20% of total tanks) with an eventual target of restoring all 46,531 tanks in 5 years, in a phased manner • The present programme of "MISSION KAKATIYA" is to bring this gap area of 10 lakh acres in command, which requires no further allocation of water and also land acquisition.
200. Evaluate the trends in output and productivity of food and non-food crops in Andhra Pradesh (in the present 13 districts) since the year 2000 - 01. Also bring out the reasons for regional variations in productivity levels. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Cropping Pattern
Keyword	Evaluate, Bring out
Approach	• Introduce by highlighting agricultural output and productivity trends in Andhra Pradesh since 2000–01, distinguishing between food and non-food crops. • Evaluate the trends in output and productivity of food and non-food crops and analyze reasons for regional disparities across districts. • Conclude by providing a balanced judgment with policy directions to reduce disparities and sustain growth.
Introduction	Since 2000–01, Andhra Pradesh (residual 13 districts) has seen food-grain productivity, particularly rice, increase from around 2,596 kg/ha in 2003 to 3,730 kg/ha in 2023, while productivity in drought-prone areas remained far lower. At the same time, non-food sectors like horticulture have surged in output and value, though regional disparities persist.
Body & Infographic Representation	**Trends in Output and Productivity** • **Food Crops (Rice):** ✓ Rice yield has risen appreciably—from a low of 2,596 kg/ha in 2003 to 3,730 kg/ha in 2023, with an average of about 3,108.5 kg/ha since 2000. ✓ This equates to a steady upward trajectory in food-crop productivity over two decades. • **Non-Food / Commercial Crops (Horticulture, Aquaculture):** ✓ Horticulture has grown significantly: Andhra Pradesh produces 275.13 lakh metric tonnes from 15.98 lakh hectares, contributing 16.07 % to state GVA and ranking fifth nationally. ✓ Moreover, the state leads in shrimp aquaculture and accounts for roughly 30 % of India's fish production and 35 % of seafood exports. **Reasons for Regional Variations** • **Irrigation Coverage:** ✓ AP's irrigation coverage stands at 63.9 %, well above the national average (~48 %). ✓ Coastal command areas benefit more from canal and groundwater irrigation, yielding better productivity than the rain-fed, arid districts of Rayalaseema.

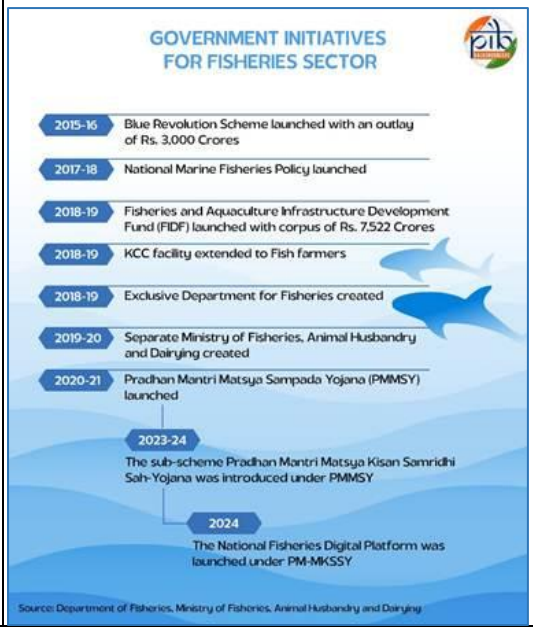
	• **Climatic & Rainfall Variability:** ✓ Erratic monsoons, marked by prolonged dry spells and intense but poorly distributed rainfall, impact yields. ✓ Districts like Anantapur, Kadapa, Nellore, and Chittoor face 245–279 dry days annually. • **Market Access and Crop Suitability:** ✓ Proximity to markets and export infrastructure supports high-value crops (chilli, horticulture, and shrimp). ✓ For example, Guntur-Prakasam is noted for GI-protected Guntur Sannam chilli, and coastal districts dominate shrimp farming. • **Technological and Institutional Support:**: ✓ Access to improved seed varieties, mechanization, and extension delivery through institutions like Dr. YSR Horticulture University (38 high-yielding varieties in two years) boosts productivity in better-connected districts  **Evaluation and Policy Implications** • The data and trends suggest that while AP has achieved commendable gains in food-grain (especially rice) productivity and made a dramatic shift to high-value non-food crops, the growth has been uneven across regions. • Coastal and irrigated areas outperformed drought-prone interiors. • To address disparities: ✓ Expand micro-irrigation and water-harvesting in dry districts. ✓ Introduce climate-resilient cropping calendars and resilient varieties in response to rainfall shifts. ✓ Strengthen farmer outreach using AI/digital advisory services for lagging regions.
Conclusion	Since 2000–01, Andhra Pradesh has witnessed substantial improvement in rice yield (from 2,596 kg/ha to 3,730 kg/ha by 2023), and explosive growth in horticulture and aquaculture. Yet productivity remains highly uneven, driven by irrigation disparities, climatic stress, and access to infrastructure and technology, calling for region-specific, climate-smart agricultural strategies.
Model Question	The Green Revolution created both growth and disparity in agricultural output across regions of India. Examine this legacy in the context of contemporary challenges of food security and sustainability.
Value Addition	**Sown Area in Telangana:** • The gross sown area for 2021-22 and 2022-23 indicates a notable improvement across the Vanakalam and Yasangi seasons. • In the Vanakalam season, there was an increase from 142 lakh acres in 2021-22 to 147 lakh acres in 2022-23, reflecting a 3.5% growth in sown area. • The Yasangi season saw a more significant rise, from 56 lakh acres in 2021-22 to 75 lakh acres in 2022-23.

	• Consequently, the total gross sown area surged from 198 lakh acres in 2021-22 to 222 lakh acres in 2022-23, underscoring an overall positive trend in sown area under agriculture.

201. What are the key drivers for the growth of the fisheries sector? What are the schemes undertaken by the fisheries department for the growth of this sector? (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Fisheries
Keyword	What
Approach	• Mention how Fisheries are "Blue Economy" driver with high employment potential. • Mention Drivers like marine wealth, exports, aquaculture, and demand for protein. Also mention Schemes such as PM Matsya Sampada Yojana, Blue Revolution, and Fisheries Infrastructure Fund. • Conclude that with right investments, fisheries can boost rural income and exports.
Introduction	The fisheries sector plays a crucial role in ensuring food security, employment, and export earnings in India. With its long coastline, inland water resources, and aquaculture potential, India is the 3rd largest fish producer in the world. Recognizing its importance, the Government has launched several initiatives to accelerate sustainable growth in the sector.
Body & Infographic Representation	**Key drivers of fisheries growth in India** • **Rich Natural Resources:** India has 7,500 km of coastline, 195,000 km of rivers, and 3 million hectares of reservoirs, providing immense scope for marine and inland fisheries. • **Aquaculture Expansion:** ✓ India is the 2nd largest aquaculture producer globally after China. ✓ According to the Department of Fisheries, Ministry of Fisheries, Animal Husbandry & Dairying, Freshwater aquaculture contributes over 55% of inland fish production. • **Rising Domestic and Export Demand**





✓ Seafood exports stood at Rs.30213 crore in 2013-14, which has increased to Rs.60523.89 crore during 2023-24, an increase of 100%.

✓ Changing dietary ptterns and rising protein demand boost domestic consumption.

• **Technological Advancements:** Adoption of recirculatory aquaculture systems (RAS), GPS-based fishing, and cold chain logistics enhances efficiency.

• **Policy Push and Blue Economy Vision:** Focus on fisheries as part of the Blue Economy strategy under Sagarmala and Pradhan Mantri Matsya Sampada Yojana (PMMSY).

	Major Schemes and Initiatives undertaken by the fisheries department for the growth of the fisheries sector: • **Pradhan Mantri Matsya Sampada Yojana (PMMSY):** ✓ It is a ₹20,050 crore scheme aiming to double exports to ₹1 lakh crore by 2025. ✓ It focuses on infrastructure, post-harvest management, and insurance. • **Blue Revolution Scheme (2015–20):** It enhanced productivity, modernization of fishing harbours, and expansion of aquaculture. • **Fisheries and Aquaculture Infrastructure Development Fund (FIDF):** A Corpus of ₹7,522 crore to build cold chains, hatcheries, and processing units. • **Neel Kranti Mission:** It promotes deep-sea fishing, mariculture, and integrated coastal management. • **Kisan Credit Card (KCC) for Fisher folk:** It provides institutional credit and working capital support.
Conclusion	The fisheries sector is emerging as a growth engine for rural livelihoods and exports, driven by natural resources, demand, and policy support. Schemes like PMMSY and FIDF are strengthening infrastructure and sustainability. With continued innovation and eco-friendly practices, India can become a global fisheries powerhouse.
Model Question	Identify the key drivers of growth in India's fisheries sector. Examine the major schemes and initiatives undertaken by the government for the development of the sector.
Value Addition	• Blue Economy 2.0 is an integrated initiative focused on climate-resilient development, restoration of coastal ecosystems like mangroves, and sustainable expansion of aquaculture and mariculture in India's coastal regions. • It aims to promote climate resilience and sustainable development in coastal areas, addressing threats from climate change, pollution, and overexploitation to protect ocean resources. • The initiative highlights India's focus on enhancing its maritime economy, crucial for its 7,500 km coastline and 2.2 million sq. km Exclusive Economic Zone (EEZ). • Blue Economy 2.0 aligns with national goals like "Vision 2025" and the "Deep Ocean Mission" launched in 2021 to boost maritime infrastructure.

202. "Explain the extent of marine fishery resources in Andhra Pradesh. Discuss the steps taken by the Andhra Pradesh Government in order to promote the welfare and development of fishermen in Andhra Pradesh. (APPSC, 2023)"

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Fisheries
Keyword	Explain, Discuss
Approach	• Begin with a contextual introduction highlighting Andhra Pradesh's maritime significance and dependence on marine fisheries. • In the body, present the extent of marine resources using data on coastline, production, employment, and infrastructure. Then, outline government welfare and development measures under clear headings. • Conclude by emphasizing sustainable management, value addition, and long-term welfare of coastal fishing communities.
Introduction	Andhra Pradesh (AP) is one of India's foremost maritime states where marine fisheries form a crucial component of coastal livelihoods, food security and export earnings. The state government has combined resource-management, infrastructure investments and

	targeted welfare schemes to sustain fishery-dependent communities while seeking to raise productivity and value-addition.
Body & Infographic Representation	**Extent of marine fishery resources in Andhra Pradesh:** • **Coastline and Continental Shelf:** Andhra Pradesh is endowed with a long coastline of approximately 974 kilometers and a continental shelf area spanning 33,227 square kilometers. • **Production and Contribution:** The state stands first in the country in total fish and prawn production and is a major contributor to national seafood exports. It contributes around 22% of India's total fish production and about 70% of its shrimp production. The fisheries sector contributes a significant 7.40% to the state's GSDP (Gross State Domestic Product) and provides employment to nearly 14.5 lakh people directly and indirectly. • **Infrastructure:** The state has 555 marine fishermen villages, several fish landing centers, two major fishing harbours (Visakhapatnam, Kakinada, Machilipatnam, and Nizampatnam are mentioned in some sources as major/minor), a large number of fishing crafts, and extensive post-harvest infrastructure including cold storages, processing plants, and ice plants. • **Key Resources:** The marine catch is diverse, including pelagic finfishes (like clupeids, Indian mackerel, and tunas), demersal finfishes (croakers, perches), crustaceans (penaeid prawns and crabs), and cephalopods. **Measures Initiated by the Andhra Pradesh Government for Fishermen Welfare and Development:** • **Welfare Measures:** ✓ **Financial Relief During Ban Periods:** The government provides livelihood compensation (Ban Relief) to seagoing marine fishers during the annual 61-day marine fishing ban (April 15th to June 14th) implemented for resource conservation. ✓ **Diesel Subsidy:** Registered marine motorized and mechanized fishing crafts receive a subsidy on diesel oil (e.g., Rs. 9 per liter in some periods) to reduce operational costs. ✓ **Insurance and Ex-gratia:** A life insurance scheme is often in place, providing ex-gratia payments in case of death or permanent disability during fishing operations. ✓ **Housing and Basic Amenities:** The National Scheme of Welfare of Fishermen, supported by the state, provides financial assistance for housing facilities, the construction of common community halls, and access to clean drinking water. ✓ **Skill Development and Capacity Building:** Training programs are organized for fishermen and aqua farmers on best management practices (BMPs), post-harvest technology, and the Code of Conduct for Responsible Fisheries. • **Development and Infrastructure Measures:** ✓ **Fishing Harbours and Landing Centers:** The government is establishing new fishing harbours (e.g., Juvvaladinne) and modernizing existing landing centers with infrastructure for hygienic handling of fish to reduce post-harvest losses. ✓ **Market Linkages:** The "Fish Andhra" initiative promotes domestic fish marketing through retail outlets, modern fish markets, and kiosks. The supply of cycles, two/three/four-wheelers with ice boxes is subsidized to aid in transport and marketing for SC/ST fishers. ✓ **Technological Support:** Fishermen are provided with access to satellite-based information on potential fishing zones (PFZ) and weather warnings via digital display boards at landing centers to enhance safety and efficiency.

	✓ **Promotion of Deep Sea Fishing:** To exploit untapped deep-sea resources like tuna, the government promotes deep-sea fishing activities and provides subsidized FRP (Fiber Reinforced Plastic) boats.
Conclusion	Andhra Pradesh's sizeable coastline and shelf support a rich marine fishery resource base. Recognising the sector's social and economic importance, the state combines infrastructure, direct welfare, and market interventions to protect fishermen's livelihoods. Continued emphasis on scientific resource management, post-harvest value addition and resilient social protection will be central to long-term welfare and development of AP's fishing communities.
Model Question	Examine the potential of inland and brackish-water aquaculture in Andhra Pradesh. What initiatives has the state taken to enhance fish production and export competitiveness?
Value Addition	**Pradhan Mantri Matsya Sampada Yojana (PMMSY):** • **Key features of PMMSY in Andhra Pradesh:** ✓ **Beneficiaries:** The scheme targets a wide range of stakeholders in the fisheries sector, including fishers, fish farmers, fish workers, vendors, cooperatives, entrepreneurs, and Self-Help Groups (SHGs). ✓ **Supported Activities:** PMMSY provides financial and technical assistance for various activities in Andhra Pradesh, such as: ▪ Development of fish hatcheries ▪ Construction of grow-out and rearing ponds ▪ Input costs for aquaculture and culture activities ▪ Implementation of Re-circulatory Aquaculture Systems (RAS) ▪ Cage culture in both reservoirs and the open sea ▪ Seaweed and bivalve culture ✓ **Scheme Duration:** The scheme is a central initiative with its implementation extended through the financial year 2025-26. ✓ **Objective:** The overarching aim is to modernize the fisheries industry, increase fish production and productivity, generate employment, and enhance the livelihood of people in the fisheries sector in the state.
203. What are externally aided projects? Discuss the principles, funding and objectives of Andhra Pradesh Irrigation and Agriculture Transformation Project (APILATP). provide a brief note on the scope of beneficiaries with respect to the APILATP. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	What, Discuss, Provide
Approach	• Begin by defining Externally Aided Projects (EAPs) and their purpose in development financing. • Introduce APILATP as a World Bank–supported project focused on irrigation modernization and agricultural transformation. Explain its key principles—integrated, inclusive, climate-resilient, and efficiency-driven. Briefly outline funding structure, objectives, and scope of direct and indirect beneficiaries. • Conclude by emphasizing sustainability, community participation, and long-term impact.
Introduction	The Andhra Pradesh Integrated Irrigation and Agriculture Transformation Project (APILATP) is a large-scale EAP aimed at improving the irrigation system and transforming agricultural practices in the state. The project focuses on rehabilitating and modernizing about 1,000 minor irrigation tanks to stabilize an ayacut of ~226,552 acres across 12 districts (except Guntur). It was approved in 2018 and is financed largely by the World Bank.
Body & Infographic Representation	**Externally Aided Projects (EAPs):** • Externally Aided Projects (EAPs) are development initiatives funded by external agencies such as the World Bank, Asian Development Bank (ADB), Japan International Cooperation Agency (JICA), and others.

- These projects are designed to address specific developmental goals, with the aid agencies providing financial resources, technical expertise, and monitoring support.
- The host government and the aid agency work in partnership, with the funding agency setting strict conditions and criteria for implementation to ensure accountability and effective use of funds.

Andhra Pradesh Irrigation and Agriculture Transformation Project (APILATP):

- **Principles:**
  - ✓ **Integrated Approach:** It combines both irrigation and agriculture aspects, moving beyond a simple infrastructure project to a holistic development program.
  - ✓ **Water Use Efficiency:** Initiatives like the Andhra Pradesh Micro Irrigation Project (APMIP), launched in 2003, illustrate the state's focus on enhancing water use efficiency through techniques like drip irrigation, a principle that APILATP likely continues.
  - ✓ **Climate-Resilient Agriculture:** The project aligns with broader government and partner initiatives like the Andhra Pradesh Community Managed Natural Farming (APCNF) to promote sustainable farming practices and improve resilience to climate change.
  - ✓ **Inclusive Growth:** The project aims to benefit poor and vulnerable households, including those in remote areas, by increasing agricultural productivity and income.
- **Funding:**
  - ✓ The project's estimated cost is about Rs. 1,844.25 crore, with a World Bank loan component of roughly Rs. 1,291.5 crore and the remainder provided as state counterpart or other sources.
  - ✓ Financing is a mix of loan (credit) and state/government contributions; funds are disbursed against eligible expenditures following donor SOE/audit procedures.
- **Objectives:**
  - ✓ **Enhancing Agricultural Incomes:** By improving irrigation infrastructure and introducing modern farming techniques, the project seeks to boost agricultural productivity and, in turn, the incomes of farmers.
  - ✓ **Ensuring Water Security:** The project aims to improve water resource management, ensuring a more reliable and efficient water supply for agricultural purposes.
  - ✓ **Promoting Sustainable Practices:** APILATP encourages the adoption of sustainable and climate-resilient agricultural methods, which is exemplified by initiatives like APCNF.
  - ✓ **Strengthening Market Access:** The project aims to link farmers to markets, helping them get better prices for their produce.
- **Beneficiaries of APILATP:**
  - ✓ **Direct beneficiaries:** small and marginal farm households cultivating land in the command areas of the 1,000 selected tanks (stabilized ayacut ~226,552 acres). These include tenant farmers, women farmers, SC/ST households and fishers who depend on tank ecosystems.
  - ✓ **Indirect beneficiaries:** input suppliers, aggregators, processors and local agribusinesses benefiting from improved production, post-harvest infrastructure and market linkages. Project activities (capacity building, demonstrations, value-chain support) are targeted to increase yields, cropping intensity, diversify livelihoods (horticulture, fisheries) and improve incomes and resilience to climate variability

Conclusion	APIIATP is a textbook example of an externally aided, integrated water-agriculture intervention that pairs infrastructure rehabilitation with agronomic, institutional and market actions to raise productivity and resilience of smallholders. Its success depends on community ownership, safeguard compliance and effective use of the donor-supported technical and monitoring systems.
Model Question	Discuss the role of Externally Aided Projects (EAPs) in supporting infrastructure and livelihood programs in Andhra Pradesh. Illustrate with examples such as the AP Rural Inclusive Growth Project and APILATP.
Value Addition	**Other important EAPs in Andhra Pradesh:** • Visakhapatnam Chennai Industrial Corridor Development Program: A major project aimed at developing the industrial corridor along the coast. • Green National Highways Corridor Project (GNHCP): Involves building green highways and includes projects like the Paderu-Araku Section of NH-516E. • Andhra Pradesh State Highway Construction Project: Focuses on the construction and improvement of state highways. • Andhra Pradesh Mandal Connectivity and Rural Connectivity Improvement Project: Aims to improve rural road networks. • Andhra Pradesh Irrigation and Livelihood Improvement Project: Aims to enhance irrigation and improve the livelihoods of farmers. • Andhra Pradesh Rural Water Supply Project: Aims to improve access to clean drinking water in rural areas.
204. Explain the scope and benefits of farm mechanization. Discuss the implementation of farm mechanization schemes in Andhra Pradesh with special reference to Community Hiring Centres (CHCs). (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Explain, Discuss
Approach	• Introduce by defining farm mechanization as the use of machines and modern tools to improve agricultural productivity and reduce labor dependency. • Explain the importance of Custom Hiring Centres (CHCs) in providing affordable access to farm machinery for small and marginal farmers. • Discuss the challenges such as lack of awareness, skilled operators, and maintenance facilities. • Highlight future prospects like AI, drones, precision farming, and digital training for sustainable mechanization.
Introduction	Farm mechanization refers to the use of agricultural machinery and equipment to perform farming operations efficiently and economically. It enhances productivity, reduces labor dependency, and ensures timely operations. In India, especially in states like Andhra Pradesh, farm mechanization has become crucial for modern and sustainable agriculture.
Body & Infographic Representation	**Scope and Benefits of Farm Mechanization:** • **Enhanced Productivity and Efficiency:** ✓ Farm mechanization enables timely sowing, harvesting, and irrigation, leading to increased crop yields. Mechanized operations reduce drudgery and enhance efficiency by minimizing post-harvest losses. ▪ For example, mechanized paddy harvesting in Andhra Pradesh reduces harvesting time by over 50%. • **Reduction in Labour Dependence:** ✓ With rural labour migration and high wages, machines help fill the labour gap. Mechanization also ensures timely operations during peak agricultural seasons, reducing dependency on seasonal labour.

	• **Cost and Time Efficiency:** ✓ Farm machinery optimizes input use, reduces wastage, and lowers production costs. Mechanized irrigation and spraying systems help save fuel, water, and fertilizers, improving overall profitability. • **Resource Conservation and Sustainability:** ✓ Technologies like zero-till seeders laser land levelers, and precision planters promote sustainable agriculture by conserving water and soil nutrients. Mechanization also facilitates better crop residue management, reducing stubble burning. **Implementation of Farm Mechanization in Andhra Pradesh:** • **Government Schemes and Policy Support:** ✓ Andhra Pradesh implements schemes such as the Sub-Mission on Agricultural Mechanization (SMAM) and the Chief Minister's Sashakt Kisan Yojana (CM SKY). These provide subsidies and financial assistance to farmers for purchasing machinery and establishing Community Hiring Centres (CHCs). • **Direct Subsidy and Digital Transparency:** ✓ Under the revamped model, farmers receive a 50% front-end subsidy directly at purchase. The Karshak Portal–FM App ensures online application, verification, and grievance handling, integrating data from multiple departments for transparency. • **Role of Community Hiring Centres (CHCs):** ✓ CHCs act as Farm Machinery Banks, offering affordable machinery rental services to small and marginal farmers who cannot buy equipment individually. They are operated by SHGs, FPOs, Cooperatives, and Rural Entrepreneurs. • **Institutional Support and Management:** ✓ The AP Agro Industries Development Corporation Ltd (AP AGROS) acts as the nodal agency, managing logistics and supplier coordination. Over 25,000 farmers benefited within 45 days of scheme relaunch, with Rs.61 crore disbursed as subsidy support. **Challenges:** • Limited awareness among farmers about the benefits and procedures of mechanization schemes. • Lack of skilled operators to handle modern machinery effectively. • Maintenance and repair issues due to inadequate service infrastructure in rural areas. • High initial cost and delayed subsidy disbursal affect small farmers' participation. **Future Prospects:** • Integration of AI, drones, and precision farming to optimize input use and efficiency. • Expansion of Community Hiring Centres (CHCs) to ensure inclusive access for marginal farmers. • Digital platforms and training programs to enhance farmer awareness and operational skills. • Public-private partnerships (PPPs) to improve access to technology, finance, and maintenance services.
Conclusion	Farm mechanization is a key enabler of agricultural transformation, particularly in states like Andhra Pradesh where smallholder farmers dominate. With schemes like SMAM and CHCs, the state is ensuring inclusive access to modern technology, improving productivity, sustainability, and rural livelihoods.
Model Question	"Examine the role of Custom Hiring Centres (CHCs) in promoting inclusive farm mechanization in India. How can emerging technologies such as drones and precision agriculture strengthen their effectiveness?"

Value Addition	• Sub-Mission on Agricultural Mechanization (SMAM) Aims to promote farm mechanization and raise farm power availability to 2.5 kW/ha. It encourages timely and precise field operations to enhance productivity. Implemented across all states and UTs. • Funding pattern: General States: 60:40 (Centre: State) NE & Himalayan States: 90:10 UTs: 100% Central funding.
205. Give an account of the different schemes implemented by the Andhra Pradesh government to promote agriculture in the state? (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Give an account
Approach	• Introduce by highlighting the importance of agriculture to Andhra Pradesh's economy and the need for state intervention to enhance productivity and farmer welfare. • Explain the major schemes under clear heads agricultural extension and capacity building, financial assistance and welfare schemes, and infrastructure and technology development with examples like Rythu Seva Kendralu, Annadata Sukhibhava, and RBKs. • Conclude by emphasizing that these schemes collectively aim at sustainable, inclusive, and resilient agricultural growth in Andhra Pradesh.
Introduction	Agriculture is the backbone of Andhra Pradesh's economy, supporting over 60% of its population. The state government has introduced several farmer-centric schemes to enhance productivity, ensure financial stability, promote mechanization, and strengthen agricultural infrastructure, thereby making agriculture more profitable and sustainable.
Body & Infographic Representation	**SCHEMES TO PROMOTE AGRICULTURE IN ANDHRA PRADESH:** **Agricultural Extension and Capacity Building:** • **Sub-Mission on Agricultural Extension:** ✓ Covers all 26 districts with a 60:40 Centre-State funding pattern. Promotes participatory planning, private sector involvement, and technology dissemination through Farmer Interest Groups (FIGs). • **Strategic Research and Extension Plan:** ✓ Prepared for each district using participatory methods to identify research gaps and improve local farming practices. • **Rythu Seva Kendralu:** ✓ RSKs centres (10,778) established near village secretariats combining agri-input shops and farmer knowledge centers to reduce input costs and spread awareness about modern practices. • **Polambadi (Field Schools):** ✓ Practical field-based training to promote Integrated Crop Management (ICM) and reduce pesticide dependence. **Financial Assistance and Farmer Welfare Schemes:** • **Annadata Sukhibhava Scheme (2024-25):** ✓ Provides Rs.20,000 per farmer family annually, including Rs.6,000 from PM-Kisan, to meet input costs for seeds, fertilizers, and pesticides. It covers both landholding and tenant farmers. • **Vaddi Leni Runalu (VLR) & Pavala Vaddi (PV):** ✓ It offers interest subsidies on crop loans up to ₹3 lakhs. Farmers repaying on time get 4% subsidy up to Rs.1 lakh (VLR) and 1% for Rs.1-3 lakh loans (PV). **Infrastructure and Technological Development:** • **Rythu Bharosa Kendras (RBKs):**

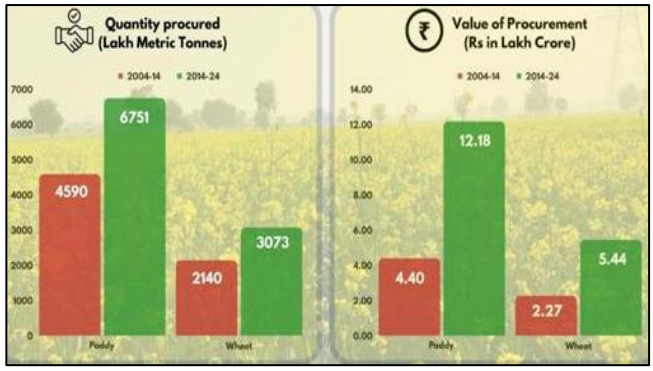
	✓ Serve as one-stop centers at the village level, offering certified inputs, soil and seed testing, technical advice, and e-crop booking. • **Farm Mechanization & Community Hiring Centres (CHCs):** ✓ Promote use of modern machinery like tractors, power tillers, and drones. Subsidies and CHCs ensure access for small and marginal farmers. • **Irrigation Projects under Jalayagnam**: ✓ Aim to expand irrigation coverage and reduce drought vulnerability.
Conclusion	The Andhra Pradesh government's comprehensive agricultural initiatives—ranging from financial aid to technological modernization—reflect a farmer-centric approach. By promoting sustainable practices, mechanization, and value-based extension, the state is working toward achieving inclusive rural growth and resilient agricultural development.
Model Question	"Examine the role of the Andhra Pradesh government's recent agricultural schemes in enhancing farmers' income and promoting sustainable farming practices."
Value Addition	**Input Distribution and Subsidy Support in Andhra Pradesh:** • To ensure timely availability of quality seeds and inputs, Andhra Pradesh provides large-scale subsidies: ✓ **Kharif 2024:** 5.94 lakh quintals of seeds distributed to 12.03 lakh farmers, worth ₹21,633 lakhs. ✓ **Rabi 2024-25**: 1.79 lakh quintals distributed to 1.53 lakh farmers with a subsidy of ₹4,649 lakhs. ✓ Special subsidy (80%) support was extended to farmers affected by heavy rains and deficit rainfall.
206. Describe some of the key initiatives taken and incentives provided by the government of Andhra Pradesh to promote agro and food processing industry. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Describe
Approach	• Introduce by highlighting Andhra Pradesh's strong agricultural base and its potential for agro and food-processing industries. • Explain the key initiatives such as the Food Processing Policy 4.0 (2024–29), infrastructure creation, incentives to processing units, and export promotion measures. • Conclude by emphasizing how these initiatives aim to enhance value addition, employment generation, and farmer income, making Andhra Pradesh a national food-processing hub.
Introduction	Andhra Pradesh, with its rich agricultural base and strategic location, is actively promoting the agro and food-processing industry. The state government has announced a forward-looking policy and a range of incentives to foster investment, enhance value-addition, reduce post-harvest losses and link farmers with processing units and export markets.
Body & Infographic Representation	**Key initiatives and incentives to promote agro and food processing industry in Andhra Pradesh:** • **Policy Framework: Food Processing Policy 4.0 (2024-29):** ✓ The Andhra Pradesh Food Processing Policy 4.0 (2024-29) aims to make the state a national hub for food processing by 2029. ✓ The policy focuses on secondary and tertiary processing, cluster-based development, cold-chain creation, and waste-to-value solutions. ✓ It targets an investment of ₹30,000 crore, generation of 3 lakh jobs, and attraction of USD 1 billion in FDI by 2029. • **Financial Incentives and Support to Units:**

	✓ The Eligible units receive capital subsidies, support for technology upgradation, and incentives for specific sectors like fruits, vegetables, seafood, dairy, and meat processing. ✓ Recently, the government released ₹42 crore as incentives to 222 food-processing units, showing its commitment to promote the sector. ✓ Incentives are available for both new and expanding units, and guidelines ensure a transparent claim and reimbursement process. • **Infrastructure Development and Cluster-Based Growth:** ✓ The state is developing mega food parks, spice parks, and agro-processing clusters in districts such as Chittoor, Guntur, and Anantapur. ✓ The focus is on cold-chains, warehousing, packaging units, and logistics hubs to minimize post-harvest losses and improve market access. ✓ Public-Private Partnerships are being encouraged to enhance infrastructure and attract private investment. • **Export Promotion:** ✓ Andhra Pradesh contributes around 15% of India's food exports, especially in seafood and processed fruits. ✓ The policy promotes export-oriented units, traceability systems, and quality certifications such as HACCP, FSSAI, and ISO to improve global competitiveness. • **Skill Development, Innovation, and Sustainability:** ✓ The state focuses on capacity building through the State Skill Development Corporation and food-processing polytechnics. ✓ A ₹250 crore innovation fund supports R&D in food technology and equipment manufacturing. ✓ Emphasis is placed on organic processing, waste management, and green energy use to ensure environmental sustainability.
Conclusion	Andhra Pradesh's agro-processing strategy combines policy vision (Food Processing Policy 4.0), financial incentives, infrastructure development, and export orientation. These initiatives aim to unlock the value of the state's agricultural produce, promote processing-led growth, generate employment for rural youth, and transform farms into competitive agribusiness hubs.
Model Question	"Examine how Andhra Pradesh's Food Processing Policy 2024–29 contributes to strengthening the agro-industrial value chain and promoting rural entrepreneurship in the state."
Value Addition	**Present status of Mega Food Parks in Andhra Pradesh:** • The Ministry of Food Processing Industries, Government of India, has sanctioned the establishment of a Mega Food Park at Mallavalli, Bapulapadu Mandal in Krishna District, with an estimated cost of ₹112.97 Crores and a projected investment of ₹400 Crores. • The Government of India has released its third instalment of the grant, totalling ₹43.55 Crores as of 30.03.2020. • All infrastructure works at the Central Processing Centre (CPC) are completed, with a trial run pending, and the facility is expected to become operational very shortly.
207. Describe the strategies being adopted by Andhra Pradesh to achieve the mission on agriculture extension program. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Describe

Approach	• Introduce by highlighting that Andhra Pradesh is modernizing its agriculture sector through a mission-oriented extension program aimed at improving productivity, income, and climate resilience. • Explain strategies such as technology integration through Rythu Bharosa Kendras, capacity building, community-managed natural farming (APCNF), custom hiring centres, and PPP-based extension models ensuring wider outreach. • Conclude by emphasizing the need for digital inclusion, financial support, and sustainable farming practices to achieve long-term agricultural growth.
Introduction	Agriculture remains the backbone of Andhra Pradesh's economy, employing a large share of its population. To enhance productivity, income, and climate resilience, the state has launched a comprehensive agriculture extension mission. It focuses on technology adoption, farmer capacity building, and inclusive service delivery through innovative institutional mechanisms.
Body & Infographic Representation	**Andhra Pradesh's Strategies for Agricultural Extension Program:** • **Technology Integration for Modern Extension:** ✓ Rythu Bharosa Kendras (RBKs): These village-level centers provide farmers with information on seeds, fertilizers, soil health, weather, and markets, ensuring last-mile connectivity. ✓ Digital Advisory Platforms: Mobile apps, SMS services, and video-based advisories deliver timely information on crop management and weather forecasting. ✓ Precision Farming: Use of drones for spraying, soil mapping, and AI-based analytics promotes data-driven decision-making and efficient input use. • **Capacity Building and Training of Farmers:** ✓ Farmer Field Schools (FFS): Adopted to promote participatory learning, allowing farmers to learn by doing and share experiences. ✓ Skill Development Programs: Specialized training on post-harvest handling, mechanization, and value addition improves efficiency. ✓ Training of Extension Personnel: Continuous upskilling of field officers ensures effective transfer of knowledge and new technologies. • **Community-Based and Natural Farming Approach:** ✓ Andhra Pradesh Community Managed Natural Farming (APCNF): Encourages chemical-free, climate-resilient practices through farmer training and peer learning. ✓ Group-Based Extension: Mobilization of Farmer Interest Groups (FIGs) and Self-Help Groups (SHGs) promotes collective decision-making and inclusive participation. • **Infrastructure and Institutional Support:** ✓ Custom Hiring Centres (CHCs): Provide access to modern farm machinery on rent to small and marginal farmers. ✓ Public-Private Partnerships: Collaboration with agritech firms, NGOs, and universities enhances outreach and innovation. ✓ Program Convergence: Integration of schemes like PM-KISAN, PMFBY, and Soil Health Card ensures efficiency and resource optimization. **Challenges and Way Forward:** • Despite progress, issues such as low digital literacy, limited credit access, and uneven technology diffusion persist. • Strengthening RBKs, promoting AI-based solutions, and ensuring financial inclusion are vital for sustainable growth.

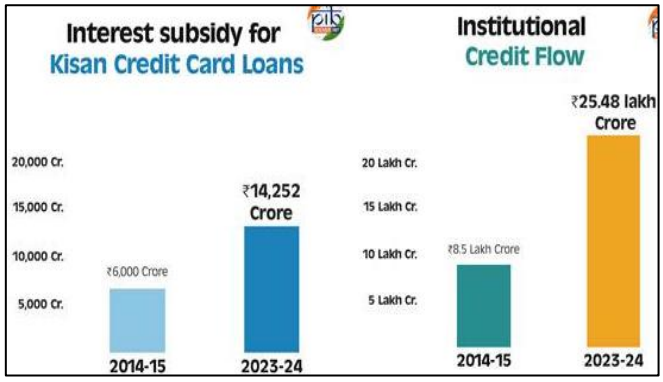
Conclusion	Andhra Pradesh's agricultural extension mission represents a progressive shift toward technology-driven, participatory, and sustainable farming. By combining community-based models, digital tools, and strong institutional support, the state is paving the way for a resilient and farmer-centric agricultural future.
Model Question	"Examine how Andhra Pradesh is leveraging technology and community-based approaches to strengthen its agricultural extension system and ensure inclusive farmer participation."
Value Addition	**Agricultural Credit in Andhra Pradesh:** • Annual Credit Plan for 2024-25: Rs. 2,64,000 crores (14.29% increase). Rs. 1,69,797 crores (64%) disbursed by December 2024. For kharif 2024: Rs. 1,03,649 crores (106%) disbursed in crop loans; Rs. 66,148 crores (118%) in agriculture term loans. **Fertilizer Consumption in Andhra Pradesh (2023-24):** • Total Consumption: 36.28 LMT (product), 17.22 LMT (NPK nutrients) • Kharif 2024: 15.80 LMT • Rabi 2024-25: 12.58 LMT (from 1.10.2024 to 31.12.2024)
208. Discuss the highlights of farmers' debt redemption scheme implemented in Andhra Pradesh and its benefits. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Discuss
Approach	• Introduce by explaining that the scheme aims to reduce farmers' debt burden and strengthen credit access. • Discuss key highlights like establishment of FEC, eligibility, 20% repayment, Aadhaar verification, and phased repayment structure. • Conclude by emphasizing its benefits such as farmer empowerment, economic stability, and sustainable rural development.
Introduction	The Farmers' Debt Redemption Scheme in Andhra Pradesh is a significant initiative to relieve farmers from mounting debt burdens. It aims to improve their financial stability, ensure access to institutional credit, and promote agricultural sustainability, while reducing distress among small and marginal farmers across the state.
Body & Infographic Representation	**Andhra Pradesh Farmers' Debt Redemption Scheme:** • **Objectives and Rationale:** ✓ The scheme was designed to alleviate farmers' debt stress, enhance creditworthiness, and prevent the recurrence of informal borrowing. ✓ It promotes inclusive agricultural growth by ensuring that both farmers and banks benefit through structured debt repayment instead of a complete loan waiver. • **Key Highlights of the Scheme:** ✓ Institutional Setup: A Farmers' Empowerment Corporation (FEC) was established to implement the scheme and manage repayments to banks. ✓ Coverage: About 41 lakh farmer households were identified, including both crop loan and agricultural gold loan borrowers. ✓ Debt Redemption Limit: The government planned to release ₹5,000 crore to repay 20% of outstanding crop loans, with a cap of ₹1.5 lakh per family. ✓ Phased Repayment: The remaining 80% of the loan will be repaid in four years with 10% interest, ensuring long-term sustainability. ✓ Aadhaar-linked Verification: Around 95% of bank accounts were Aadhaar-seeded, ensuring transparency and eliminating duplication through software-based validation. **Benefits of the Scheme:**

	• **Financial Relief:** Immediate partial redemption reduces farmers' loan burden and renews their access to fresh credit under the interest subvention scheme. • **Improved Farmer-Bank Relations:** It enhances farmers' creditworthiness and strengthens trust with financial institutions. • **Economic Revitalization:** By reducing indebtedness, it promotes rural economic activity, prevents distress migration, and supports long-term productivity. • **Institutional Accountability:** The FEC's structured repayment mechanism ensures both farmer welfare and fiscal discipline for the state.
Conclusion	The Farmers' Debt Redemption Scheme of Andhra Pradesh represents a balanced approach toward sustainable debt management. By combining financial relief, transparency, and institutional accountability, it provides long-term economic security to farmers while strengthening the overall rural credit ecosystem and promoting agricultural resilience.
Model Question	"Examine the role of institutional debt management mechanisms in reducing agricultural distress in Andhra Pradesh."
Value Addition	• Andhra Pradesh has consistently recorded a high number of farmer suicides in India, with 917 cases in 2022, making it the third-highest state in the country for such incidents, as per the National Crime Records Bureau (NCRB). • **Key Statistics and Trends** ✓ 2023 Data: Andhra Pradesh accounted for 8.6% of total farmer suicides in India in 2023. ✓ 2022 Data: The state recorded 917 farmer suicides, following Maharashtra (4,248) and Karnataka (2,392). ✓ 2021 Data: The number of farmer suicides was 1,065, a 19% increase from the previous year, with the state ranking third nationally. ✓ 2014-2022 Period: Between 2014 and 2022, 7,732 farmer suicides were recorded in Andhra Pradesh by the NCRB. • **Primary Causes** ✓ **Indebtedness:** A major driver is the burden of debt due to high cultivation costs and reliance on moneylenders. ✓ **Crop Failure:** Unpredictable weather, lack of sufficient irrigation water (e.g., in drought-prone Anantapur district), pest attacks, and natural calamities often lead to crop failure, compounding financial distress. ✓ **Non-Remunerative Prices:** Farmers often do not receive adequate market prices for their produce, leading to losses. • **Tenant Farmer Issues:** A significant percentage of suicides are by tenant farmers who often lack access to government schemes and institutional credit because they do not own the land they cultivate
209. Critically examine the procurement price policy of the Government of India and Andhra Pradesh.(APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Critically examine
Approach	• Introduce by explaining the procurement price policy, MSP mechanism, and its goals—farmer income support, price stabilization, and food security. • Critically analyze regional imbalances, monoculture risks, market exclusion, limited reach of MSP, and logistical inefficiencies, supported by data from NSSO, CACP, and state reports. • Conclude by emphasizing MSP-based procurement supports farmers and food security, addressing infrastructure gaps, regional imbalances is essential.

Introduction	The procurement price policy in India, implemented via MSPs and agencies like FCI and CCI, aims to protect farmers' incomes, stabilize prices, and ensure food security. In erstwhile Andhra Pradesh, it promoted rice-led growth under the Green Revolution but also caused regional disparities and structural imbalances in agricultural support.
Body & Infographic Representation	**Procurement Price Policy – National Perspective:** **Objectives:** • Ensure remunerative prices to farmers (income security) to protect farmers from distress sales during bumper harvests. • Maintaining food Security by building buffer stocks for the Public Distribution System (PDS). • Maintain price stability in food grains.  **Positive Outcomes:** • **Food security:** ✓ Procurement ensured the success of the National Food Security Act (2013), with buffer stocks of 58.2 MT food grains as of March 2024 (FCI). • **Production growth:** Incentivized wheat and rice production in Punjab, Haryana, and Andhra Pradesh. • **Farmer income:** MSP protected farmers against sharp price falls. **Critical Issues:** • **Regional skew:** ✓ Procurement is concentrated in a few states—Punjab, Haryana, Andhra Pradesh, Telangana, and Madhya Pradesh (85% of total; CACP 2023). ✓ West Bengal produces 13.2% of rice but accounts for only 3.6% of procurement; Uttar Pradesh, 12.4% production, 7.5% procurement. ✓ Punjab and Telangana, in contrast, contribute disproportionately higher to procurement. • **Crop bias:** Policy favored paddy and wheat, discouraging pulses, oilseeds, and coarse cereals despite increasing demand. ✓ Procurement overwhelmingly involves paddy and wheat, while most pulses, millets, and oilseeds remain outside the standard procurement regime. • **Fiscal stress:** Food subsidy bill reached ₹2.12 lakh crore in FY 2023–24 (Union Budget 2024–25). ✓ Food subsidy was around ₹2.12 lakh crore in FY 2023–24 ✓ Budget estimates pegs ₹2.05 lakh crore for FY 2024–25, a slight reduction (3.3%) from the previous year. • **Inequitable access:** Only 6% of farmers (NSO 2019) benefit directly from MSP-procurement. **Procurement Price Policy – Erstwhile Andhra Pradesh:** **Achievements:** • **Paddy dominance:** ✓ Erstwhile AP became one of the top three rice-procuring states; in 2010–11, it accounted for ~15% of total rice procurement in India. ✓ Combined AP accounted for around 75 lakh tonnes of paddy procurement, while total national procurement stood at about 83 lakh tonnes, more than 90% of all procurement.

	• **Institutional support:** Civil Supplies Corporation and PACS were actively engaged in paddy procurement. • **Cotton procurement:** The Cotton Corporation of India operated widely in Telangana districts, supporting cotton growers during price crashes. • **Farmer security:** Procurement insulated farmers from distress sales, especially in coastal Andhra's canal-irrigated belts. **Limitations:** • **Regional imbalance:** ✓ Coastal Andhra, with irrigation-led paddy procurement, benefited more, while Telangana (pre-2014) and Rayalaseema, dependent on rain-fed crops, received minimal support. ✓ ICRISAT noted that agricultural value per hectare was significantly higher in Coastal Andhra than in Telangana and Rayalaseema. • **Monoculture Risks:** ✓ Excessive focus on paddy procurement promoted input-intensive cultivation, leading to groundwater depletion, ecological stress, and increased vulnerability to market and environmental fluctuations. • **Market exclusion:** ✓ Small and marginal farmers faced barriers accessing procurement centers due to transport and grading norms. ✓ Despite APSWC storage facilities, audits revealed storage losses, low farmer awareness, and unmet objectives like negotiable warehouse receipts. • **Storage and logistics:** ✓ Inadequate warehousing led to leakages and distress sales despite MSP announcements. **Way Forward:** • **Diversified procurement:** Extend MSP procurement to pulses, oilseeds, and millets (align with UN-declared *International Year of Millets 2023*). • **Decentralized procurement:** Strengthen PACS and women SHGs as nodal agencies. • **Technology-driven reforms:** Online registration, e-NAM integration, and GPS-enabled monitoring. • **Region-specific policy:** Greater procurement support for dryland crops in Telangana and Rayalaseema. • **Sustainability focus:** Link procurement to crop diversification and water efficiency.
Conclusion	The procurement price policy has been a cornerstone of India's food security and Andhra Pradesh's agricultural growth. However, its narrow crop focus, regional imbalance, and fiscal burden have undermined inclusiveness. A reformed, diversified, and regionally balanced procurement framework is essential to make it more equitable and sustainable for the future.
Model Question	Assess the role of government agencies like FCI, CCI, and state procurement bodies in implementing MSP. How can infrastructural and logistical constraints be addressed to improve procurement outcomes?
Value Addition	**CROPS UNDER MSP:** • Government fixes minimum support prices (MSPs) for 22 mandated agricultural crops on the basis of the recommendations of the Commission for Agricultural Costs & Prices (CACP), after considering the views of State Governments and Central Ministries/ Departments concerned. • Government procures cereals and coarse cereals through Food Corporation of India (FCI) and other designated State Agencies to provide price support to the farmers.

	• The estimates for procurement of wheat and paddy are finalized by Government of India (GoI) in consultation with State Governments and Food Corporation of India, before the commencement of each marketing season based upon estimated production, marketable surplus and agricultural crop pattern. • Procurement of pulses, oilseeds and copra is done under Price Support Scheme under Umbrella Scheme of Pradhan Mantri Annadata AaySanrakshan Abhiyan **(PM-AASHA),** in consultation with the concerned State Government as and when market price of these produce fall below the MSP.
210. Discuss the composition of institutional and non-institutional credit in rural Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Discuss
Approach	• Introduce by distinguishing between institutional and non-institutional sources, and highlight their significance in supporting agricultural activities and rural livelihoods. • Discuss the composition, coverage, and role of commercial banks, RRBs, cooperative banks, moneylenders, traders, and informal sources, supported with recent Telangana data and government schemes. • Assess the overall effectiveness, challenges, and reforms needed to enhance institutional credit access while reducing dependence on non-institutional sources.
Introduction	The rural credit system in erstwhile Andhra Pradesh comprised institutional sources of commercial banks, cooperative banks, and RRBs, and non-institutional sources like moneylenders, traders, and relatives. After bifurcation in 2014, Telangana retained this framework and implemented reforms to strengthen institutional credit flow, improve accessibility, and reduce dependence on informal lending in rural areas.
Body & Infographic Representation	**Institutional Credit in Rural Telangana:** **Sources of Institutional Credit:** In Telangana, institutional credit is predominantly channeled through: • **Commercial Banks**: These banks have become the major source of institutional credit, with their share increasing over the years. ✓ In the 2022-23 fiscal year, commercial banks disbursed ₹16.76 lakh crore in crop loans. • **Regional Rural Banks (RRBs)**: The amalgamation of Telangana Grameena Bank and Andhra Pradesh Grameena Vikas Bank in 2025 resulted in the formation of a single RRB, Telangana Grameena Bank, to streamline credit delivery in rural areas. • **Cooperative Banks**: Despite reforms, cooperative banks continue to play a role, though their share has been declining. ✓ In the 2022-23 fiscal year, cooperative banks disbursed ₹2.36 lakh crore in crop loans, accounting for approximately 16.17% of the total institutional credit share in India. **Credit Flow and Utilization** • According to the Potential Linked Credit Plan (PLP) for Hyderabad District, the projected credit potential for agriculture in 2023-24 was ₹29,445.16 crore, indicating a significant institutional credit flow into the rural economy. **Government Schemes and Initiatives** • The Telangana government has implemented several schemes to promote institutional credit access, such as: ✓ **Crop Loan Waiver Scheme**: Launched to alleviate farmers' debt burden; in July 2024, ₹6,098 crore was credited to over 11 lakh farmers' accounts in the first phase.



- ✓ **Rythu Bandhu Scheme**: Provides ₹12,000 per acre annually directly to farmers, enhancing their creditworthiness. In 2024, the scheme was expanded, disbursing ₹9,000 crore to over 70 lakh farmers.
- ✓ **Sthree Nidhi Credit Cooperative Federation Ltd**: Provides timely, affordable credit to SHG members. As of March 2024, it extended ₹3,897.35 crore in loans, maintaining a gross NPA ratio of 3.3%.

Non-Institutional Credit in Rural Telangana:

- **Sources of Non-Institutional Credit:**
  Non-institutional credit in Telangana is sourced from:
  - ✓ **Moneylenders**: Despite regulatory measures, moneylenders continue to operate in rural areas, often charging exorbitant interest rates.
  - ✓ **Traders and Commission Agents**: They provide credit to farmers, especially during the pre-harvest period, but may exploit farmers due to the lack of alternative credit sources.
  - ✓ **Friends and Relatives**: Informal loans from social networks are common but may not be sufficient to meet all credit needs.
- The Telangana State Level Bankers' Committee (SLBC) has noted that the intricate bureaucracy and complex procedures involved in securing formal loans often deter farmers, leaving them dependent on informal credit source.

Challenges Associated with Non-Institutional Credit:

The reliance on non-institutional credit poses several challenges:

- **High-Interest Rates:** Non-institutional lenders often charge usurious interest rates, leading to increased debt burdens on farmers.
- **Over-Indebtedness:** Continuous borrowing from informal sources can result in a vicious cycle of debt.
- **Exploitation**: Lack of regulation exposes farmers to exploitation by moneylenders and traders.

Comparative Analysis: Institutional vs. Non-Institutional Credit

- A study analyzing the impact of institutional and non-institutional agricultural credit on farmers' income found that:
  - ✓ **Net Returns**: Institutional farmers had a net return of ₹62,050.96, compared to ₹54,879.66 for non-institutional farmers.
  - ✓ **Cost of Cultivation**: The cost of paddy cultivation was ₹78,212.78 for institutional farmers and ₹80,726.78 for non-institutional farmers.
  - ✓ **Return on Investment**: Institutional farmers had a return on investment per rupee of 1.81, while non-institutional farmers had a return of 1.69.
- These findings underscore the positive impact of institutional credit on farm income and productivity.

Conclusion	While Telangana has made significant strides in enhancing institutional credit flow to the rural sector through various schemes and reforms, challenges persist in completely eradicating the dependence on non-institutional credit. Continued efforts are needed to

	strengthen institutional credit delivery mechanisms, promote financial literacy, and regulate informal lending practices to ensure equitable access to credit for all farmers.
Model Question	Assess the advantages and limitations of institutional versus non-institutional credit in enhancing farmers' productivity and income in India.
Value Addition	**NABARD Report:** • Credit to the agriculture sector by commercial banks and regional rural banks is likely to cross Rs.31.5 lakh crore, a new record, in FY26 due to an increased formalisation of the rural credit structure. • In FY25, commercial banks, cooperatives and regional rural banks had disbursed over Rs 28.98 lakh crore out of which around 60% was towards short-term crop loans and rest was towards investment loans in agriculture and allied sectors. • In the last 10 years, the average annual growth in the flow of agricultural credit has been in double digit at 13%.
211. Explain the significance of micro-finance institutions in meeting rural credit needs in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Explain
Approach	• Define MFIs and link to rural credit in Andhra Pradesh. • Write significance (inclusion, SHGs, women, livelihoods), challenges (over-indebtedness, 2010 crisis, regulation), and impact (credit vacuum, lessons). • End with balanced regulation + sustainable microfinance for inclusive development.
Introduction	Microfinance institutions (MFIs) emerged as an important tool in addressing the rural credit needs of low-income households in erstwhile Andhra Pradesh. They played a key role in supplementing the formal banking sector by reaching out to marginalized sections, particularly women, through innovative financial delivery models such as Self-Help Groups (SHGs).
Body & Infographic Representation	• **Role in Financial Inclusion** ✓ MFIs provided small and collateral-free loans to rural households for agriculture, petty trade, and self-employment activities. ✓ They promoted the Self-Help Group Bank linkage Programme, which created a bridge between rural women and formal financial institutions. ✓ Women were the primary beneficiaries, leading to their financial independence and enhanced social status. ✓ Apart from credit, MFIs also extended micro-savings, micro-insurance, and pension products, thereby integrating rural families into formal financial systems. ✓ By enabling access to credit, MFIs helped improve household income, consumption levels, and investment in productive assets. • **Challenges and the 2010 Microfinance Crisis** ✓ The rapid expansion of MFIs in Andhra Pradesh led to multiple lending, over-indebtedness, and financial stress among rural borrowers. ✓ Aggressive recovery practices by some MFIs created social tensions and borrower distress. ✓ The state government responded with the Andhra Pradesh Micro Finance Institutions (Regulation of Money Lending) Act, 2011, which introduced interest rate caps, borrower consent requirements, and restrictions on loan disbursement. ✓ This regulation, while aiming to protect borrowers, resulted in a sharp decline in MFI operations and restricted access to credit for rural households.

	• **Impact on Rural Credit Landscape** ✓ The withdrawal of MFIs created a credit vacuum in many villages where formal banking institutions were either absent or inaccessible. ✓ Small farmers, artisans, and women entrepreneurs faced difficulties in sustaining their livelihood activities due to lack of credit. ✓ The experience highlighted the need for balanced regulation that safeguards borrower interests without undermining the sustainability of MFIs.
Conclusion	In erstwhile Andhra Pradesh, MFIs played a transformative role in expanding financial inclusion, empowering women, and supporting rural livelihoods. However, the 2010 crisis underlined the risks of unchecked growth and weak regulatory oversight. Going forward, a balanced policy framework is essential—one that ensures responsible lending practices while enabling MFIs to continue meeting the vital credit needs of rural populations.
Model Question	Evaluate the effectiveness of microfinance institutions in promoting women's empowerment in rural areas.
Value Addition	TG MARKFED, Telangana's apex cooperative body with 592 members, serves as the nodal agency for fertiliser supply, MSP procurement, and storage. In 2023-24, it sold 8.87 lakh MT fertilisers worth ₹562 crore, including urea, DAP, and complex fertilisers, supporting PACS, farmers, and state agencies.
212. Briefly explain the need for administering agricultural commodity prices and mention the administering machinery. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Schemes to promote Agriculture in Andhra Pradesh
Keyword	Explain
Approach	• Define agricultural price administration and state why it is needed in India's context of volatility and food security. • Explain the need (farmer protection, price stability, food security, curbing market failures) and then detail the machinery (CACP, ECA/APMC, FCI/NAFED, e-NAM). • Summarize its role as a balancing mechanism between farmer welfare, consumer interests, and national food security.
Introduction	Agricultural commodity prices in India are highly vulnerable to seasonal fluctuations, market imperfections, and global shocks. Left entirely to market forces, farmers often face distress sales during harvest gluts, while consumers face price surges during shortages. To balance the interests of producers and consumers, the Government of India administers agricultural prices through a structured institutional mechanism.
Body & Infographic Representation	**Need for Administering Agricultural Commodity Prices** • **Protection of Farmers** ✓ Administered prices such as the Minimum Support Price (MSP) prevent distress sales and provide a guaranteed remunerative return to cultivators. This sustains farmer confidence and incentivizes continued agricultural production. • **Price Stability** ✓ Market prices of agricultural goods are prone to volatility. Price administration moderates inflationary and deflationary trends, ensuring stability for both producers and consumers. • **Food Security** ✓ By supporting production of staple crops and maintaining buffer stocks, administered prices ensure stable supplies to the Public Distribution System (PDS) and national food security. • **Curbing Market Failures**

	✓ Price intervention reduces exploitation by intermediaries, prevents hoarding and speculation, and provides a fair price discovery mechanism in an otherwise fragmented agricultural market. **Administering Machinery** • **Commission for Agricultural Costs and Prices (CACP)** ✓ An expert advisory body under the Ministry of Agriculture, CACP recommends MSPs after analyzing cost of production, demand-supply dynamics, and inter-crop parity. • **Statutory Framework** ✓ The Essential Commodities Act, 1955 empowers the government to regulate stock limits, distribution, and supply to control undue price rise. State Agricultural Produce Market Committees (APMCs) regulate trade in Mandis. • **Procurement Agencies** ✓ The Food Corporation of India (FCI) procures cereals at MSP and maintains buffer stocks, while agencies like NAFED implement Price Support and Price Stabilization schemes for pulses, oilseeds, and perishables. **Market Regulation Initiatives** ✓ Reforms such as the electronic National Agriculture Market (e-NAM) enhance transparency, reduce middlemen exploitation, and improve the effectiveness of price administration.
Conclusion	Administering agricultural commodity prices is a critical policy tool that safeguards farmer incomes, protects consumer interests, and ensures national food security. It combines economic instruments (MSP), statutory powers (ECA/APMC), and operational mechanisms (FCI/NAFED), thus striking a balance between market efficiency and social justice.
Model Question	Examine the role of statutory frameworks like the Essential Commodities Act, 1955 and market institutions like APMCs in regulating agricultural commodity prices.
Value Addition	Telangana launched Saagu Baagu 2.0 to expand its agri-tech initiative, aiming to revolutionize farming with AI-based sustainable practices. In February 2024, technical discussions on AgriTech empanelment were held post-EOI. The government seeks collaborations and funding from startups, PSUs, and trusts to drive efficient agricultural transformation.
9. Industrial Development and Policy : Role of industrial sector in economic development – Evolution of industrial policy since independence - Industrial Policy, 1991 and its impact on Indian economy – Contribution of Public Sector to industrial development in India – impact of liberalization and privatization and globalization on industrial development - Disinvestment and privatization - – Problems of core industries -Micro, small and medium enterprises, their problems and policy – industrial sickness and support mechanism – Manufacturing policy – Make-in India – Start up programme – NIMZs- SEZs, industrial corridors	
213. Examine the role of the industrial sector in India's economic development. How does industrialisation contribute to income generation, employment, and modernisation of the economy? Support your answer with relevant examples and policy references. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Examine, How,Support
Approach	• Introduce by explaining that industrialisation is a key driver of economic growth and transformation in developing economies like India. • Examine how industrialisation contributes to income generation through GDP growth and exports, employment creation through manufacturing and MSMEs, and modernisation via technology, infrastructure, and policy reforms.

	• Conclude by highlighting that industrialisation ensures inclusive, sustainable, and self-reliant economic development.
Introduction	The industrial sector plays a vital role in India's economic transformation by diversifying income sources, generating large-scale employment, and modernising production systems. Industrialisation strengthens the country's economic base, promotes self-reliance, and bridges the gap between the primary and service sectors, ensuring inclusive and sustainable national growth.
Body & Infographic Representation	**Role of the Industrial Sector in India's Economic Development:** • The industrial sector plays a central role in shaping India's economic growth and development by providing a strong production base, increasing productivity, and reducing dependence on agriculture. • It acts as a bridge between the primary and service sectors, ensuring balanced and sustainable development. • **Contribution to GDP and Growth:** ✓ Industries contribute around 27.6% to India's GDP, making them a major driver of national income. A robust industrial base strengthens macroeconomic stability and accelerates overall growth. • **Employment and Livelihoods:** ✓ Industrialisation provides large-scale employment opportunities, absorbing surplus labour from agriculture. The MSME sector alone employs millions, ensuring inclusive growth and poverty reduction. • **Technological and Infrastructure Development:** ✓ Industrial growth promotes research, innovation, and modern infrastructure such as power, transport, and communication, which are essential for economic modernisation. • **Regional and Export Development:** ✓ Industrialisation helps in balanced regional development through industrial corridors and contributes to foreign exchange earnings via exports in sectors like automobiles and pharmaceuticals. **Industrialisation Contributes to Income Generation, Employment, and Modernisation of the Economy:** • **Income Generation:** ✓ The industrialisation increases national income by enhancing production and productivity. The industrial sector contributes nearly 31% to India's GDP, with manufacturing, mining, and construction forming its core. ✓ Export-oriented industries such as pharmaceuticals ("Pharmacy of the World"), automobiles, and electronics earn valuable foreign exchange, improving the balance of payments. ✓ The Production Linked Incentive (PLI) scheme further boosts manufacturing and income through domestic value addition. • **Employment Creation:** ✓ Industries generate large-scale direct and indirect employment, reducing pressure on agriculture. The MSME sector employs over 11 crore people, contributing 30% to GDP and 45% to exports. ✓ Initiatives like "Make in India" and Skill India Mission enhance employability by linking industrial growth with skill development, promoting formal jobs in sectors like textiles, automobiles, and electronics. • **Economic Modernisation:** ✓ Industrialisation fosters technological advancement and structural transformation. The adoption of Industry 4.0 technologies like automation, AI, and digital manufacturing—has improved productivity and competitiveness.

	✓ Infrastructure projects like PM GatiShakti National Master Plan and Industrial Corridors (Delhi-Mumbai, Chennai-Bengaluru) promote connectivity, logistics efficiency, and modern industrial ecosystems.
Conclusion	The industrial sector acts as the engine of India's economic growth by generating income, creating employment, and driving modernisation. Strengthening industrial policy implementation, innovation, and infrastructure will ensure inclusive growth, global competitiveness, and the realization of India's vision of a self-reliant economy.
Model Question	"Evaluate the impact of the 'Make in India' and Production-Linked Incentive (PLI) schemes on enhancing India's industrial competitiveness and employment generation. How do such initiatives contribute to achieving self-reliance and sustainable economic growth?"
Value Addition	**ANDHRA PRADESH STATE ECONOMY (2024-2025):** • The agriculture sector significant growth with a GVA of ₹5.19 lakh crore, growing at 15.86%. The industry sector's GVA is estimated at ₹3.41 lakh crore, growing at 6.71%, while the services sector remains a major contributor with a GVA of ₹6.11 lakh crore, growing at 11.70%. • The industry sector has seen growth in manufacturing(6.57%) and construction (10.47%). The services sector has also performed well, with communications growing at 15.28%, and banking & insurance growing at 14.61%.
214. Examine the role of the Start-up India programme in promoting entrepreneurial development in India. What are the major features of the programme, and how has it contributed to the industrial and economic growth of the country? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Examine, What, How
Approach	• Introduce by contextualizing the Start-up India Programme as a flagship initiative to foster entrepreneurship and innovation in India. • Discuss the major features, institutional mechanisms, government support, and outcomes (with data/evidence from budgets, surveys, and initiatives like FFS, SISFS, State Startup Ranking). • Conclude by evaluating its contribution to industrial and economic growth while highlighting the way forward for sustaining inclusivity, scalability, and global competitiveness.
Introduction	Launched in January 2016, Start-up India is a flagship DPIIT initiative aimed at building an enabling ecosystem for entrepreneurship through simplified compliance, finance access, innovation support, and market facilitation. Its objective is to accelerate job creation, spur innovation-led growth, and deepen linkages between startups and industry.
Body & Infographic Representation	**Major Features of the Programme:** • **DPIIT Recognition:** ✓ Startups (≤10 years old, turnover ≤₹100 crore) gain access to benefits like fast-track IPR, three-year tax exemptions under Section 80-IAC, regulatory relaxations, and procurement advantages. • **Fund-of-Funds for Startups (FFS):** ✓ With a ₹10,000 crore corpus managed by SIDBI, this scheme fuels early-stage financing. As of December 2024, DPIIT committed ₹6,886 crore to SIDBI and ₹11,687 crore by SIDBI to Alternative Investment Funds (AIFs), leading to ₹21,276 crore investment in 1,173 startups. • **Startup India Seed Fund Scheme (SISFS):** ✓ Operational since April 2021 with ₹945 crore, it supports prototyping and market entry.

- ✓ By December 2024, 213 incubators were on boarded, and ₹467.75 crore disbursed to 2,622 startups.

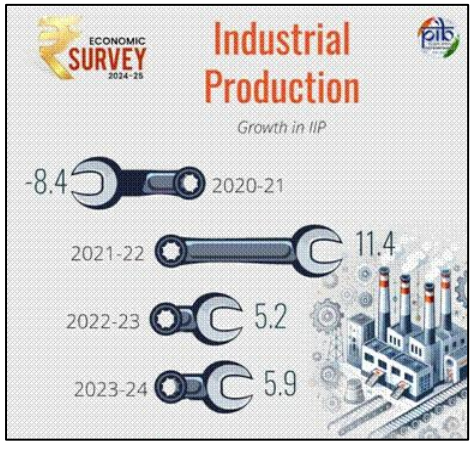
- **Credit Guarantee Scheme for Startups (CGSS):**
  - ✓ As of January 2025, 209 startups received loans worth ₹604.16 crore under credit guarantee, including ₹27.04 crore to women-led startups.
- **Ecosystem Development:**
  - ✓ Features include Startup Maha Kumbh, ASCEND workshops, Innovation Week, and the BHASKAR platform which integrates stakeholders across the ecosystem.
  - ✓ Emphasis on tier-II/III outreach bolsters regional inclusivity.

Contributions to Entrepreneurial Development & Industrial Growth:

- **Ecosystem Scale & Employment:**
  - ✓ As of January 15, 2025, DPIIT-recognized startups numbered 1.59 lakh, making India the 3rd largest startup hub globally, with over 100 unicorns.
  - ✓ These startups have created 16.6 lakh direct jobs by October 2024 across sectors like IT Services (2.04 lakh jobs), Healthcare & Lifesciences (1.47 lakh), and Professional Services (94,000).
- **Women Entrepreneurship**:
  - ✓ As of December 2024, 75,935 startups (out of ~1.57 lakh) have at least one woman director, showcasing gender inclusivity growth.
- **Industrial Linkages & Innovation:**
  - ✓ Startups in deep tech, biotech, Agri-tech and clean energy complement industrial modernization, R&D eco-systems, and supply chains, echoed in Economic Survey insights on innovation-led growth.
- **Financing Ecosystem Deepening**:
  - ✓ FFS, SISFS, and CGSS have catalyzed domestic capital, boosted investor confidence, and reduced reliance on external funds, enhancing private investment and industry synergies.

Limitations of the Startup India Programme:

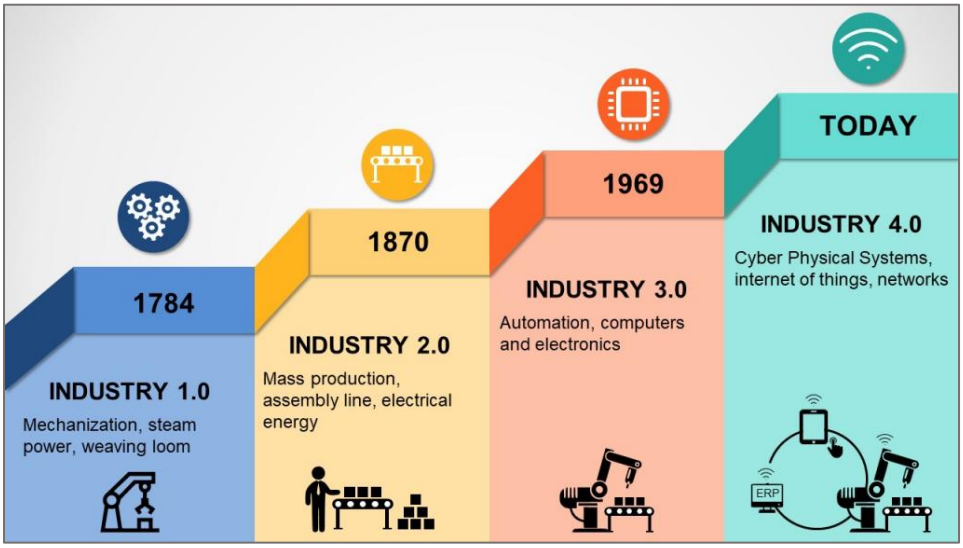
- **Skewed Geographic Reach:**
  - ✓ Access to funding and support remains disproportionately concentrated in urban startup hubs like Bengaluru, Delhi-NCR, and Mumbai—leaving Tier II/III cities under-served.
  - ✓ For instance, Telangana secured only ₹600 crore under FFS-AIF compared to ₹7,348 crore for Karnataka.
- **Opaque and Bureaucratic Processes:**
  - ✓ The application process is often slow and labyrinthine. Founders report long wait times, extensive documentation, and unclear eligibility criteria, especially around "innovation" definitions via the Inter-Ministerial Board (IMB).
- **Limited Access for Truly Disruptive Ideas:**
  - ✓ The scheme's risk-averse funding mechanism favors familiar business models (like SaaS/D2C), sidelining deep-tech, biotech, and frontier innovation ventures.
  - ✓ IMB's rigid innovation criterion filters out potential breakthroughs.

Conclusion	Start-up India has been a catalytic policy instrument—creating a large, geographically diffused startup base, generating employment, and linking innovation to industrial growth. Continued policy focus on scale-up finance, infrastructure, and regulatory simplicity is essential to translate startup dynamism into sustained, broad-based economic transformation.
Model Question	How does the Start-up India initiative complement other government programmes like Make in India, Digital India, and Atmanirbhar Bharat?
Value Addition	**Core Features of the Startup India Initiative:** • **Ease of Doing Business:** Simplified compliance, self-certification, and single-window clearances streamline processes for startups. • **Tax Benefits:** Eligible startups enjoy tax exemptions for three consecutive financial years. • **Funding Support:** The ₹10,000 crore Fund of Funds for Startups (FFS) supports early-stage funding. • **Sector-Specific Policies:** Focused policies for sectors like biotechnology, agriculture, and renewable energy foster targeted growth.
215. Discuss the role of the industrial sector in the economic development of India. Discuss the role of the Department of Industrial Policy & Promotion (DIPP). (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Discuss
Approach	• Introduce by highlighting the role of the industrial sector as a growth engine in India's economic development. • Discuss the sector's contributions like employment, exports, innovation while examining DIPP's (now DPIIT) role in policymaking, FDI facilitation, and cluster and startup promotion. • Conclude by assessing achievements and challenges, stressing future potential for self-reliant and globally integrated industrial growth.
Introduction	India's industrial sector comprising manufacturing, mining, construction, and utilities—has been vital for employment generation, export growth, capital formation, and economic diversification. The Department of Industrial Policy & Promotion (DIPP), now DPIIT, acts as the nodal agency formulating policies, facilitating FDI, and providing ecosystem support to strengthen this sector.
Body & Infographic Representation	**Role of the Industrial Sector in India's Economic Development** • **Contribution to GDP and Growth**: ✓ While manufacturing's share has remained around 14–15% of GDP in 2024-25, short of the envisaged 25% target, the sector registered consistent growth due to Production Linked Incentives (PLI), semiconductor policy, and green industries. ✓ The Economic Survey 2024-25 underlined that industrial capex was a major driver of the overall GDP growth of 6–6.5%.  • **Employment and Structural Transformation**: ✓ Industry absorbs surplus Labour from agriculture and contributes to urbanization and skill development.

	✓ As per Union Budget 2025-26, new industrial corridors and logistics policies are expected to generate millions of jobs, especially in EVs, electronics, and textiles. • **Exports and Global Value Chains**: ✓ Industrial exports, particularly electronics (₹2 lakh crore in FY25), pharmaceuticals, and engineering goods, boosted foreign exchange earnings. ✓ The PLI scheme's success in transforming India into a mobile and electronics export hub. • **Capital Formation and Investment**: ✓ Industry-led investments, supported by Budget 2025-26's push for infrastructure spending and incentives for clean energy manufacturing, created crowd-in effects, improving private sector participation. • **Technology and Innovation Linkages**: ✓ The Economic Survey emphasized Digital India-enabled industrial growth and DPIIT's role in promoting innovation clusters, advanced manufacturing hubs, and green technology adoption, strengthening India's competitive edge. **Role of the Department of Industrial Policy & Promotion (DIPP / DPIIT)** • **Policy Formulation**: ✓ DPIIT frames policies for industrial growth, startup promotion, and sectoral incentives. It administers PLI schemes across 14+ sectors and aligns with the Make in India vision. • **FDI Facilitation**: ✓ By liberalizing FDI norms and easing compliance through the National Single Window System (NSWS), DPIIT attracted record FDI inflows, as noted in Economic Survey 2024-25. • **Cluster & Infrastructure Development**: ✓ Through the Modified Industrial Infrastructure Upgradation Scheme (M-IIUS) and industrial corridor projects highlighted in Budget 2025-26, DPIIT has been crucial in building globally competitive clusters. • **Startup & Innovation Ecosystem**: ✓ Under **Startup India**, DPIIT supported over 1.2 lakh recognized startups, boosting innovation, job creation, and R&D. ✓ DPIIT's initiatives in promoting intellectual property rights (IPR) and innovation financing. • **Industrial Diplomacy & Monitoring**: ✓ DPIIT negotiates with global investors, evaluates outcomes of schemes like PLI, and works with ministries to ensure sectoral competitiveness.
Conclusion	The industrial sector, though yet to achieve the 25% GDP share target, remains pivotal in India's transformation by generating jobs, boosting exports, and driving innovation. DPIIT, through policy frameworks, FDI facilitation, and startup promotion, has nurtured growth. With continued Budget 2025-26 capex and reforms in the Economic Survey 2024-25, India's industry is set to integrate with global value chains and advance toward self-reliant, inclusive growth.
Model Question	"The industrial sector is the backbone of India's economic transformation." Examine with special reference to recent reforms and Budget 2025–26 initiatives.
Value Addition	**Index of Eight Core Industries (ICI):** • The ICI measures the combined and individual performance of production of eight core industries viz. Coal, Crude Oil, Natural Gas, Refinery Products, Fertilizers, Steel, Cement and Electricity. The Eight Core Industries comprise 40.27 percent of the weight of items included in the Index of Industrial Production (IIP). • The final growth rate of Index of Eight Core Industries for June 2025 was observed at 2.2 per cent. The cumulative growth rate of ICI during April to July, 2025-26 is 1.6 per cent (provisional) as compared to the corresponding period of last year.

216. Discuss the impact of 'New Age' reforms on the Indian Economy in the last eight years. Examine the scope of growth potential for India in this decade (2023 - 30). (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Discuss, Examine
Approach	• Introduce by defining new-age reforms and set their significance in shaping India's economy in the last eight years. • Assess their impact across sectors like digital economy, manufacturing, infrastructure, taxation, green growth—using data, initiatives, and challenges; then examine India's growth potential for 2023–30 with key drivers. • Conclude with a balanced outlook stressing reforms–execution synergy as critical for realizing India's long-term growth trajectory.
Introduction	Over the last eight years, India's reform strategy has shifted to "new-age" enablers like digital public infrastructure (DPI), supply-side tax and regulatory changes, logistics/infrastructure coordination, clean-energy push, and targeted industrial policy, aimed at productivity, formalization, and resilience.
Body & Infographic Representation	**What counts as 'New Age' reforms?** • **DPI & formalization:** ✓ JAM trinity, UPI, Account Aggregator, ONDC; faceless and API-first governance. ✓ ONDC crossed 154+ million cumulative orders by Dec 2024 and 7.6 lakh+ sellers (Jan 2025). ✓ UPI processed ~19.5 billion transactions in July 2025 (~₹25 lakh crore). • **Tax & compliance:** ✓ GST (rate rationalization underway), record GST buoyancy; ₹22.1 lakh crore in FY25 with 1.51 crore active registrations. ✓ Corporate tax cut to 22% (domestic) and 15% (new manufacturing). • **Logistics & infra:** ✓ PM GatiShakti (integrated planning) and National Logistics Policy (cost reduction, LPI rank target top-25 by 2030). ✓ FY26 Budget capex pegged at ₹11.21 lakh crore (3.1% of GDP) with 50-year interest-free loans to states. • **Industrial & trade policy:** ✓ PLI across 14+ sectors; liberalized FDI regime in many sectors; semiconductor, electronics, EV ecosystem support. • **Green transition:** ✓ National Green Hydrogen Mission with ₹19,744 crore outlay (5 MMT target by 2030). **Impact assessment of New Age reforms (2017–2025):** • **Growth and stability:** ✓ Economic Survey 2024-25 notes steady growth with ~6.4% real GDP in FY25; FY25 growth broadly 6.5% (RBI-consistent). ✓ IMF's April 2025 World Economic Outlook sees ~6.2% in 2025 amid global headwinds, indicating resilience but not complacency. • **Formalization & productivity:** ✓ DPI scaled up payments, ID, and data-sharing rails, raising efficiency and reducing leakages. ✓ The digital economy share is estimated at 11.7% of GDP in 2022-23 and projected ~13.4% in 2024-25, with scope to near ~20% by 2030. • **Manufacturing & supply chains:** ✓ PLI plus lower corporate tax and logistics reforms have lifted output and exports in select sectors (mobiles, auto components, renewables), while GatiShakti/NLP are reducing frictions. ✓ Dedicated freight corridors nearing full commissioning amplify network effects.

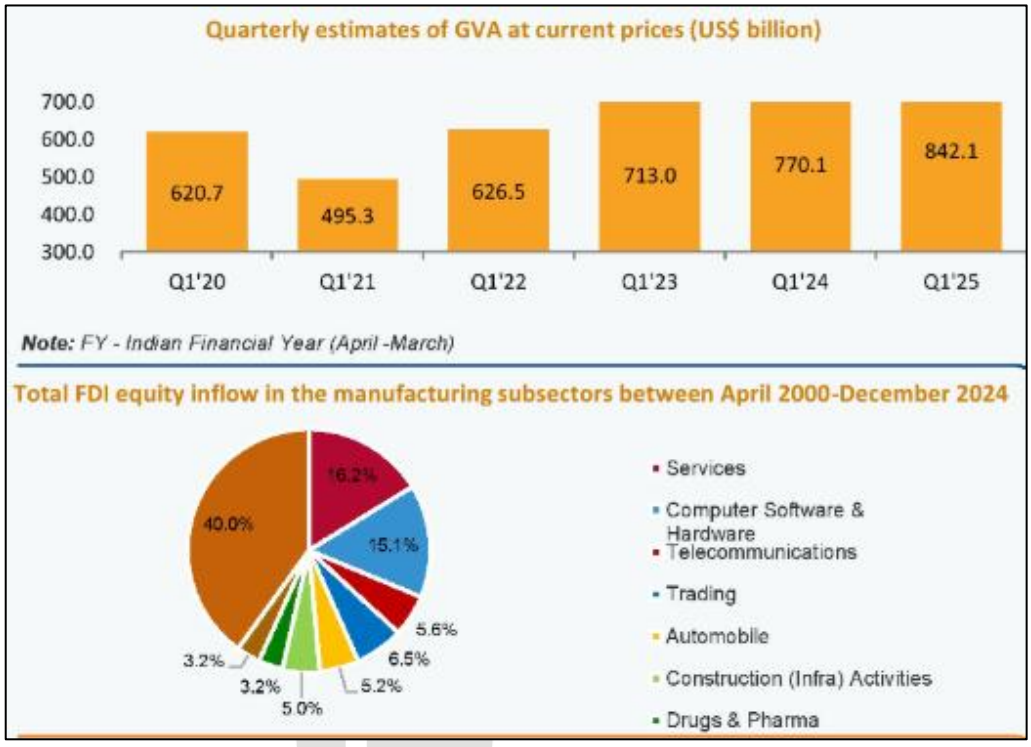
	• **Revenue capacity & compliance:** ✓ Rising, broad-based GST collections and widening tax base strengthen fiscal space for capex without derailing consolidation. **Growth potential for 2023–30: scope and drivers:** • **Macro runway:** ✓ Budget 2025–26 provides ₹11.21 lakh crore (≈3.1% of GDP) of capital expenditure; FY24–25 capex outturn already topped ₹10.5 trillion—crowding-in private investment. Fiscal deficit targeted at **4.4%** in FY26, indicating space for quality capex. • **Physical infrastructure & logistics:** ✓ **Rail freight productivity:** 96.4% of Eastern/Western DFC network operational by Mar 2025; average trains/day up from 247 (FY24) to 352 in FY25 (till Feb). This decongests trunk routes and lowers logistics costs. ✓ **National Logistics Policy & GatiShakti:** Time–cost maps integrate multimodal projects to cut logistics costs towards 8–10% of GDP by 2030. • **Manufacturing & tech ecosystems:** ✓ **PLI-led electronics upcycle:** Smartphone exports crossed ₹2 lakh crore in FY25; Q1 FY26 electronics exports +47% YoY to $12.4 bn, a sign of scale and deepening supply chains. ✓ **UPI-led digitization:** UPI hit 1,947 crore transactions worth ₹25.1 lakh crore in July 2025—boosting formalization and MSME productivity via low-friction payments. • **Green growth:** ✓ National Mission outlay ₹19,744 cr with a target of 5 MMT annual green H_2 by 2030, spurring electrolyser manufacturing, RE integration and hard-to-abate decarbonisation. **Challenges:** • Uneven PLI uptake across sectors, lag in Labour-code roll-out, MSME tech-absorption constraints, and external risks (energy prices, trade slowdown) can temper gains. • Logistics costs remain above peers and private capex recovery is still firming.
Conclusion	New-age reforms have improved India's economic plumbing—digital rails, formalization, logistics, and green push—supporting steady growth with better quality. Realizing the 2023–30 potential needs faster GST rationalization, MSME tech-diffusion, Labour/revenue reforms, and continued capex to durably raise the investment rate
Model Question	Assess the role of public capital expenditure and logistics reforms (PM GatiShakti, NLP, DFCs) in creating a growth multiplier effect for India during 2023–30.
Value Addition	
217. What is meant by 'Industrial Revolution 4.0? Assess the likely impact of the fourth industrial revolution on India's manufacturing sector. Provide a brief note on the 'Production-Linked Incentive' (PLI) scheme in India. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy

Keyword	What, Assess, Provide
Approach	• Introduce by defining Industrial Revolution 4.0 and its relevance to India's manufacturing landscape. • Assess its likely impact, opportunities and challenges on India's manufacturing sector, and briefly explain the objectives, achievements, and issues of the PLI scheme. • Conclude by emphasizing the need to integrate Industry 4.0 with policy support like PLI, skill development, and MSME empowerment for sustainable industrial growth.
Introduction	The Fourth Industrial Revolution (Industry 4.0) is defined by the fusion of digital, physical, and biological technologies such as IoT, AI, robotics, cloud computing, and 3D printing. For India, it represents a unique opportunity to leapfrog industrial development, modernize manufacturing, and boost global competitiveness.
Body & Infographic Representation	**What is Industrial Revolution 4.0?** • The World Economic Forum describes it as a paradigm shift where intelligent technologies drive interconnected and adaptive production. • Unlike earlier revolutions—mechanization, electricity, and automation, Industry 4.0 emphasizes smart manufacturing, where real-time data, AI, and cyber-physical systems optimize production.  **India's Manufacturing Sector potential:** • India's manufacturing has immense latent potential but has so far underperformed. • McKinsey had projected the sector growing six fold to $1 trillion by 2025 and generating 90 million jobs; yet manufacturing's share of GDP fell to around 14 % by March 2025, significantly below the 25 % target under Make in India. **Impact on India's Manufacturing Sector:** • **Productivity and Efficiency Gains:** ✓ Smart factories with predictive maintenance, digital twins, and AI-based quality control can reduce downtime and enhance output. ✓ Example: Schneider Electric's Hyderabad facility, recognized as a *WEF Lighthouse Factory*, demonstrates resource efficiency and sustainability. • **Boost to 'Make in India':** ✓ Despite targets of 25% GDP share, manufacturing stands at ~14% (Economic Survey 2024-25). ✓ Industry 4.0 adoption can revive competitiveness and align with Vision 2047 for India to become a global manufacturing hub.

	• **Supply-Chain Resilience:** ✓ AI-driven logistics and IoT integration reduce bottlenecks and enable localization of production, critical post-pandemic. • **Opportunities for MSMEs:** ✓ Adoption of low-cost robotics and cloud-based analytics can modernize small firms. ✓ However, lack of awareness and digital literacy among SMEs poses significant hurdles. • **Employment and Skills Challenge:** ✓ While new jobs in AI, robotics, and data analytics will emerge, displacement of low-skill jobs is a concern. ✓ Skill India and Digital India missions need recalibration to prepare the workforce. ✓ Low levels of awareness and preparedness among SMEs, especially in South India, where significant proportions of respondents either had no opinion or expected negative employment impacts from IoT/Industry 4.0, point to the need for outreach and capacity-building. **Production-Linked Incentive (PLI) Scheme:** **Objectives:** • Launched in 2020, the PLI scheme provides performance-linked incentives to promote domestic manufacturing, reduce imports, attract FDI, and boost exports across 14 key sectors. **Achievements:** • **As of March 2025:** ✓ Investments: ₹1.76 lakh crore attracted ✓ Production: ₹16.5 lakh crore achieved ✓ Jobs: 12 lakh created • Mobile phone production rose from 5.8 crore units (2014-15) to 33 crore (2023-24); exports touched 5 crore units. • Auto and solar PV PLI attracted major investments; drone sector turnover rose seven-fold. • Electronics manufacturing transforming mobile phone production from 5.8 crore units in 2014-15 to 33 crore in 2023-24 with exports of about 5 crore units and a 254 % surge in FDI. **Challenges of PLI:** • Implementation challenges persist—delayed approvals, regulatory complexity, uneven fund uptake (only ~4 % of allocated PLI funds disbursed in some cases), and sector-wise disparity in performance risk the scheme's efficacy.
Conclusion	Industry 4.0 offers India the chance to modernize manufacturing through innovation, efficiency, and sustainability. The PLI scheme is catalyzing this shift but must be streamlined and linked with MSME capacity-building, skill training, and technological adoption to truly harness India's industrial resurgence by 2047.
Model Question	Analyze the role of Artificial Intelligence, IoT, and robotics in reshaping India's manufacturing base. What policy interventions are required to bridge the technological and skill gaps?
Value Addition	**Achievements and Impact of PLI:** • **Automotive Industry:** With an outlay of over US$ 3 billion (₹25,938 crore), the automotive PLI scheme has driven significant investments and boosted production

	of high-tech automotive products. Over 115 companies applied, with 85 approved for incentives, expected to attract US$ 8 billion (₹67,690 crore) in investments, far exceeding the target. This success has strengthened India's position in the global automotive sector. • **Renewable Energy and Solar PV:** The PLI scheme for solar PV modules has accelerated India's renewable energy goals. The first phase, with an outlay of US$ 533.7 million (₹4,500 crore), chatestablished manufacturing capacity, while the second tranche aims to setup 65 GW of fully/ partially integrated solar PV manufacturing with an outlay of US$ 2.31 billion (₹19,500 crore). The initiative is expected to create jobs, reduce imports, and drive solar innovation.
218. State some of the notable initiatives taken by the government recently to boost the growth of manufacturing sector in India. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	State
Approach	• Introduce by linking manufacturing to India's economic growth, employment, and global competitiveness. • Discuss recent government initiatives (PLI, Make in India, Budget 2025–26 reforms, EV push, MSME support), backed with data and examples. • Conclude with the sector's transformative potential while stressing the need for sustained policy support and innovation-driven growth.
Introduction	India's manufacturing sector, contributing nearly 17% to GDP and employing over 60 million people, is central to realizing the $5 trillion economy vision. Recognizing its potential, the government has launched several initiatives in recent years to strengthen industrial capacity, foster self-reliance, and enhance global competitiveness.
Body & Infographic Representation	**Recent Government Initiatives to Boost the Manufacturing Sector in India:** **Policy and Strategic Frameworks:** • **National Manufacturing Mission & 'Make in India':** ✓ The Union Budget 2025–26 formally launched the National Manufacturing Mission, offering a comprehensive policy framework to support industries of all scales, SMEs to large players, aligned with the Make in India vision. • **Atmanirbhar Bharat and PLI Schemes:** ✓ Through the Production-Linked Incentive (PLI) programs, India has pledged approximately ₹1.97 lakh crore across 13 strategic sectors (automobiles, electronics, textiles, pharmaceuticals, etc.), thus encouraging domestic manufacturing expansion and reducing import dependence. **Fostering MSMEs and Entrepreneurship:** • **Expanded MSME Support:** ✓ Budget 2025–26 raised the investment and turnover thresholds for MSME classification by 2.5× and 2×, respectively, strengthening credit access, especially for first-time entrepreneurs. ✓ Special schemes target labor-intensive sectors like footwear, leather, food processing, and toys. **Energy and Clean Manufacturing:** • **Renewable Energy Manufacturing Push:** ✓ The government is promoting in-country manufacturing of solar panels, wind turbines, batteries, and electrolyzers to support India's clean energy goals, part of both economic and sustainable development strategies. • **Critical Minerals and Energy Security:**

- ✓ Budget 2025 includes customs duty exemptions on lithium-ion battery scraps and other critical mineral wastes, encouraging recycling and local component manufacturing.
- ✓ A dedicated National Critical Mineral Mission has been allocated ₹410 crore.



Infrastructure Development:

- **PM Gati Shakti & Industrial Corridors:**
  - ✓ Through the Gati Shakti Master Plan, India is deploying multi-modal infrastructure (roads, railways, ports) to bolster supply chains and reduce logistics costs for manufacturers.
  - ✓ Projects like the East Coast Economic Corridor (ECEC) and Visakhapatnam–Chennai Industrial Corridor (VCIC) under National Industrial Corridor Development Programme integrate infrastructure with industrial growth.

Macroeconomic Stability & Fiscal Support:

- **Robust Foundation for Growth:**
  - ✓ Economic Survey 2024–25 reports the industrial sector grew at 6.2% in FY25, supported by stable inflation, solid public investment, and a resilient domestic demand recovery.
- **Middle-Class Spending Power:**
  - ✓ The Budget emphasized boosting domestic demand through income tax reforms, leaving higher disposable income with households.
  - ✓ With Private Final Consumption Expenditure (PFCE) contributing nearly 60% to GDP (Economic Survey 2024–25), stimulating consumption is vital.
  - ✓ Schemes like PM Vishwakarma Yojana and PMAY-Urban further enhance purchasing power by supporting livelihoods and asset creation, indirectly benefiting manufacturing.

Encouraging Local Innovation & Self-Reliance:

- **EV Manufacturing and Global Supply Confidence:**
  - ✓ PM Modi emphasized self-reliance with the launch of Maruti Suzuki's first EV, highlighting India's push to localize EV components and strengthen exports.

	✓ Supportive measures include the PLI scheme (₹26,000 crore for EVs and hydrogen, ₹18,000 crore for ACC batteries) and policies like FAME-II and PM E-Drive, which boost local manufacturing and reduce import dependence.
Conclusion	India's manufacturing sector stands at a critical juncture, with initiatives like PLI, Make in India, and budgetary incentives driving competitiveness, innovation, and self-reliance. Sustained reforms, coupled with domestic demand and global integration, can transform India into a resilient manufacturing hub and a key driver of economic growth.
Model Question	"Stimulating domestic demand and self-reliance are key to India's manufacturing growth". Critically analyse with reference to Union Budget 2025–26 and Economic Survey 2024–25.
Value Addition	• According to Department for Promotion of Industry and Internal Trade (DPIIT), India received a total foreign direct investment (FDI) inflow of Rs. 4,03,251 crore (US$ 46.42 billion) in FY24. • **Between April 2000-December 2024:** ✓ The automobile sector received FDI inflows of Rs. 2,45,771 crore (US$ 37.51 billion). ✓ The chemical manufacturing sector (excluding fertilizers ✓) received FDI inflows worth Rs. 1,40,411 crore (US$ 22.94 billion). ✓ The drug and pharmaceutical manufacturing sector received FDI inflows worth Rs. 1,41,586 crore (US$ 23.32 billion). ✓ The Computer Software and Hardware Industries received FDI inflows worth Rs. 7,65,083 crore (US$ 108.40 billion).
219. Contrast the Industrial Policy of 1980 with that of 1991 with respect to small enterprises in India. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Contrast
Approach	• Introduce by briefly outlining the role of Industrial Policies in shaping small enterprises and their contribution to India's economy. • Contrast the 1980 and 1991 policies by highlighting objectives, provisions, and impacts with data/examples, focusing on protectionism vs. liberalization. • Conclude by emphasizing how the transition from a controlled regime to a liberalized framework transformed small enterprises into globally competitive units.
Introduction	Small enterprises have historically been regarded as the backbone of India's economy, contributing to employment, balanced regional development, and exports. Industrial policies of 1980 and 1991 represent two distinct phases, one marked by protective controls, the other by liberalization and globalization. Their contrasting impacts shaped the trajectory of India's small industries.
Body & Infographic Representation	**Contrast between Industrial Policy 1980 and 1991 with respect to small enterprises** **Industrial Policy 1980: Controlled growth with protection:** • The Industrial Policy Resolution, 1980 aimed at "growth with social justice," emphasizing modernization and removal of regional imbalances. • **Support Measures for Small Enterprises:** ✓ Price preference up to 15% for small units in government procurement. ✓ **Subsidies:** 15% subsidy on capital investment in backward regions. ✓ **Concessions:** Exemption from stamp duty, octroi, and electricity duty for tiny units. ✓ **Financial Support:** Expanded credit access through priority sector lending norms. • By 1985, small-scale industries (SSIs) contributed around 35% of India's manufacturing output and 40% of exports.

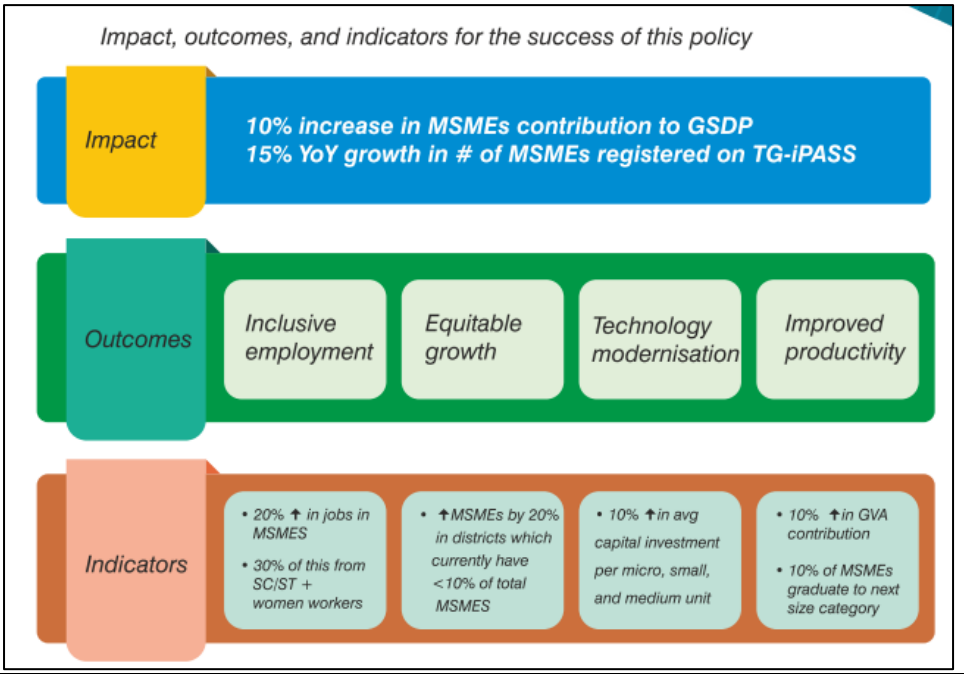
- **Limitations:**
  - ✓ **Limited Output and Value Addition despite Concessions:** While employment in factories rose from 14.4% in 1973–74 to 17.4% in 1987–88, their contribution to output and productive capital saw little improvement.
  - ✓ **Fragmented Growth and Poor Productivity:** The manufacturing sector (including small units) grew at about 7% annually since 1980, yet there was no clear evidence of a productivity surge.
  - ✓ **Persistent Regulatory Burdens:** The 1980 policy continued the licensing regime, with limited reforms such as "broad banding" of licenses and a 25% automatic capacity expansion allowance.

Industrial Policy 1991: Liberalization and Competitiveness

- The New Industrial Policy (NIP), 1991 marked a paradigm shift under the LPG reforms.
- It aimed to integrate India's economy with global markets and boost efficiency.
- **Key Measures for Small Enterprises:**
  - ✓ **Delicensing:** Over 80% of industries exempted from licensing, reducing red tape.
  - ✓ **FDI Liberalization:** Automatic approval of FDI up to 51% in select sectors, encouraging joint ventures and technology inflows.
  - ✓ **SSI Reservation List:** Continued reservation of certain products for SSIs, but gradually pruned to encourage competitiveness.
  - ✓ **Export Promotion:** Easier access to duty-free imports of machinery and raw materials.
- Number of SSI units rose from 11 million in 1991 to over 30 million by 2006.
- Exports from MSMEs jumped from ₹18,000 crore in 1991–92 to nearly ₹10 lakh crore in 2023–24.
- Employment generated by SSIs/MSMEs increased from 19 million in 1980s to 120 million by 2024.
- Post-1991, sectors like auto components (Example: Bharat Forge, Sundaram Fasteners) and textiles (Tiruppur clusters) thrived due to easier global integration.
- **Limitations:**
  - ✓ **Increased Competition from Large and Global Players:** A NITI Aayog report notes that just 0.3% of medium units accounted for 40% of MSME exports.
  - ✓ **Withdrawal of Protection and Market Space Constriction:** With the reservation list trimmed post-1991, small firms lost exclusive zones, which limited their ability to compete in labor-intensive sectors.
  - ✓ **Persistent Credit Access Gaps:** Despite de-regulation and supportive measures, formal MSME credit gaps remain substantial. A shortfall of ₹25–30 lakh crore in accessible bank credit, reflecting systemic financing constraints.

Comparative Analysis:

Aspect	1980 Policy	1991 Policy
Approach	Protectionist with subsidies and reservations	Liberalized with focus on efficiency & global linkages
Regulation	Licensing and inspector raj restricted small units	Delicensing and FDI reforms allowed expansion
Support Mechanism	Price preference, subsidies, tax concessions	Market-based support: technology inflow, export incentives
Outcome	Incremental growth, but stifled dynamism	Rapid rise in number, output, exports, and jobs

Conclusion	The 1980 Industrial Policy shielded small enterprises through protection and subsidies but kept them trapped in a license-quota regime. In contrast, the 1991 reforms unleashed their potential by integrating them with global markets, facilitating technology transfer, and fostering competitiveness. Today, with MSMEs contributing nearly 30% of GDP and 48% of exports, the legacy of the 1991 policy remains central to India's industrial transformation.
Model Question	Assess how the Industrial Policies of 1980 and 1991 shaped the trajectory of MSMEs in India. In light of current policy frameworks such as Aatmanirbhar Bharat and the PLI scheme, what lessons can be drawn from these earlier policies?
Value Addition	**Telangana MSME Policy 2024:** 

220. Describe the salient features of National Manufacturing Policy and also the critical role of manufacturing sector in employment generation. (APPSC, 2017)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Describe
Approach	• Introduce by linking the launch of National Manufacturing Policy (2011) with India's aim to raise manufacturing's GDP share and employment potential. • Describe the salient features (NIMZs, MSME support, regulatory reforms, skill development) and then analyze the role of manufacturing in employment generation with supporting data. • Conclude by stressing NMP's integrated vision, its partial successes, and the need for continued reforms, infrastructure, and PLI-driven employment growth.
Introduction	India's National Manufacturing Policy (NMP), introduced in 2011, envisioned transforming manufacturing into the growth engine by boosting its GDP share from ~16% to 25% and generating 100 million additional jobs by 2022, while fostering inclusive and technology-driven industrial development.
Body & Infographic Representation	**Salient Features of the National Manufacturing Policy:** • **Ambitious Growth and Employment Targets** ✓ The policy aimed to increase the share of manufacturing in India's GDP from around 16% to 25% by 2022 and to create 100 million additional jobs over the same period.

- ✓ While these specific targets were not fully achieved, they set an ambitious roadmap for the sector.

- **National Investment and Manufacturing Zones (NIMZs)**
  - ✓ A core element of the policy was the creation of NIMZs, conceived as integrated industrial townships with world-class infrastructure on at least 5,000 hectares.
  - ✓ Projected to offer state-of-the-art infrastructure, single-window clearances, liberal exit norms, tax incentives, and support for green manufacturing.
- **Support for MSMEs, Skill Development & Technology**
  - ✓ Recognized MSMEs' role in employment; intended to strengthen them via easier credit, tax benefits, and technology acquisition through funds like TADF (Technology Acquisition and Development Fund).
  - ✓ Emphasized building skills among rural migrants and the urban poor for inclusive industrial growth.

- **Regulatory Reforms & Infrastructure Enhancement**
  - ✓ Focused on simplifying business regulation, improving logistics, land acquisition processes, and enhancing physical and technological infrastructure to attract investment.
  - ✓ It emphasised improved logistics and industrial corridors (Eg: Delhi–Mumbai Industrial Corridor) and transparent land acquisition processes to attract investment.
  - ✓ Logistics efficiency, a key focus area, is now backed by the National Logistics Policy (2022), aiming to reduce costs from 13–14% of GDP to 8–9%.

Critical Role of Manufacturing in Employment Generation:

- **Absorbing surplus labor and enhancing value addition:**
  - ✓ Manufacturing offers a pathway out of agriculture. Over decades, its employment share rose from ~8.9% (1972–73) to ~12.8% (2011–12), and further to ~13.8% (2018–19)—per NSSO and PLFS surveys.
- **Impact through MSMEs:**
  - ✓ Small manufacturing enterprises drive job creation. From October 2023 to September 2024, small businesses, including manufacturing created 11 million jobs, highlighting the sector's grassroots contribution.
- **Recent Manufacturing Growth and Employment Gains:**
  - ✓ In FY 2023–24, manufacturing GVA grew by ~11.9%, and sectoral employment rose by **~6%**, indicating strong momentum in production and job creation.
- **Wage Improvements and Productivity:**
  - ✓ Between 2018–19 and 2023–24, factory job salaries increased by about 29% (₹2.8 lakh to ₹3.7 lakh annually), showcasing the rising quality of employment in manufacturing.

Challenges in Employment Generation:

- **Failure to meet job creation targets:**
  - ✓ The National Manufacturing Policy (NMP) aimed to create 100 million additional jobs by 2022.

	✓ However, this target was not met, and employment in the manufacturing sector has even declined in certain periods. • **Persistent skills gap:** ✓ Modern manufacturing, influenced by Industry 4.0 and automation, requires a skilled workforce proficient in new technologies like AI, robotics, and data analytics. ✓ However, a significant gap exists between the skills demanded by industries and those available in the labor force. Traditional vocational training often fails to align with industry needs, leaving graduates underprepared. • **Dominance of the informal sector:** ✓ Most employment growth in Indian manufacturing has occurred in the informal sector, where workers lack social security and job security. ✓ This trend hinders the creation of high-productivity, formal jobs and prevents workers from moving out of precarious employment.
Conclusion	The NMP envisioned transforming India's manufacturing through NIMZs, MSME support, and regulatory reforms, with a focus on large-scale job creation. While recent gains in GVA, employment, and wages are evident, full realization needs sustained investment in infrastructure, skills, and cluster-based growth under PLI and allied initiatives.
Model Question	"Unlike East Asian economies, India's manufacturing sector has not emerged as a mass employer. Analyse the reasons and assess how policies like the National Manufacturing Policy aim to bridge this gap."
Value Addition	**Current Landscape of MSMEs in India:** • The MSME sector continues to be a cornerstone of India's economic growth, contributing significantly to employment, manufacturing, and exports. • In recent years, the sector has displayed remarkable resilience, with its share in the country's Gross Value Added (GVA) increasing from 27.3% in 2020-21 to 29.6% in 2021-22 and 30.1% in 2022-23, highlighting its growing role in national economic output. • Exports from MSMEs have seen substantial growth, rising from ₹3.95 lakh crore in 2020-21 to ₹12.39 lakh crore in 2024-25. The number of exporting MSMEs has also surged, increasing from 52,849 in 2020-21 to 173350 in 2024-25. • Their contribution to India's total exports has steadily grown, reaching 43.59% in 2022-23, 45.73% in 2023-24, and 45.79% in 2024-25 (up to May 2024).
221. State the policy measures recently implemented by the Government of Andhra Pradesh to promote the growth of industries. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	State
Approach	• Begin with the state's industrial challenges and need for policy support. • Discuss recent measures—like the AP Industrial Development Policy 2023–27, incentives, infrastructure corridors, and MSME support. • Conclude with how these policies align with Ease of Doing Business and employment generation
Introduction	Industrial growth in Andhra Pradesh has been a key driver of economic diversification and employment generation. In the post-bifurcation era, the State Government has adopted comprehensive industrial policies to attract investments, improve infrastructure, and enhance competitiveness. Recent policy measures emphasise ease of doing business, innovation, and regional balance in industrial development.
Body & Infographic Representation	**Policy measures recently implemented by the Government of Andhra Pradesh to promote the growth of industries:** • **Andhra Pradesh Industrial Development Policy (2023–27)**

	✓ The policy envisions making Andhra Pradesh one of India's top three industrial states by 2027. ✓ It focuses on decentralised industrial growth through special investment regions in all districts. ✓ It offers capital subsidies, interest reimbursements, power tariff concessions, and GST reimbursements to new industries. ✓ It laid special emphasis on women entrepreneurs and MSMEs, providing up to 25% capital subsidy for women-led enterprises. • **Focus on Ease of Doing Business (EoDB)** ✓ The Andhra Pradesh Single Desk Portal (SDP) aimed to reduce industrial approval time to 21 working days, a significant reduction from the previous process, which was much longer. ✓ The AP Industries Portal (2022) ensures paperless approvals and grievance redressal for entrepreneurs. • **Infrastructure and Industrial Corridors** ✓ Development of Visakhapatnam–Chennai Industrial Corridor (VCIC) and Chennai–Bengaluru Industrial Corridor (CBIC) to promote cluster-based industries. ✓ YSR Jagananna Mega Industrial Hub (Kopparty) and Electronic Manufacturing Clusters (Tirupati, Anantapur) strengthen regional balance. ✓ The AP Maritime Board (2020) oversees port-led industrialisation through Krishnapatnam, Kakinada, and Gangavaram Ports. • **Promotion of Emerging Sectors** ✓ Focus on green energy, electronics, pharmaceuticals, food processing, and textiles. ✓ The AP Renewable Energy Export Policy (2020) encourages solar and wind parks for sustainable industrial growth. ✓ Mega Food Parks in Chittoor and Kakinada aim to integrate agro-based industries with rural livelihoods. • **Financial and Institutional Support** ✓ Andhra Pradesh State Financial Corporation (APSFC) provides low-interest loans to MSMEs. ✓ The AP Skills Development Corporation (APSSDC) conducts sector-specific skill training linked to industrial needs. ✓ Introduction of Investor Facilitation Cells ensures continuous support for domestic and foreign investors.
Conclusion	The Government of Andhra Pradesh has adopted innovative, investor-friendly policies to foster inclusive industrial growth. By combining infrastructure expansion, fiscal incentives, and digital reforms, the state has enhanced its industrial competitiveness. Sustaining this momentum through skilled workforce development and green industrialisation will ensure long-term economic resilience.
Model Question	Analyse the recent industrial promotion policies adopted by the Government of Andhra Pradesh to accelerate industrialisation and attract investments.
Value Addition	The Andhra Pradesh Single Desk Portal (SDP) is an online platform for investors and entrepreneurs to facilitate the process of setting up and operating businesses in the state. It is a key initiative by the Government of Andhra Pradesh to enhance the "Ease of Doing Business" by providing a transparent and time-bound system for obtaining various clearances and approvals.

222. Suggest appropriate measures to overcome the institutional problems of small-scale industries in Andhra Pradesh. (APPSC, 2012)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development and Policy
Keyword	Suggest
Approach	• Start with identifying institutional bottlenecks—credit access, marketing, technology, and regulatory delays. • Suggest targeted interventions like single-window clearances, cluster-based development, digital financing, and skill upgradation. • Conclude by emphasising the role of cooperative institutions and state–industry partnerships in sustainable SME growth.
Introduction	Small-Scale Industries (SSIs) play a vital role in employment generation, balanced regional development, and export promotion in Andhra Pradesh. However, they face multiple institutional bottlenecks such as limited credit access, inadequate infrastructure, and complex regulatory procedures. Addressing these challenges through targeted institutional measures is essential for revitalising the MSME sector and promoting inclusive growth.
Body & Infographic Representation	**Measures to overcome the institutional problems of small-scale industries in Andhra Pradesh:** • **Strengthening Credit and Financial Support Mechanisms:** Many SSIs suffer from inadequate and delayed credit due to collateral constraints. ✓ **Measures:** ▪ Expand the outreach of Andhra Pradesh State Financial Corporation (APSFC) and cooperative banks to provide low-interest loans and credit guarantees. ▪ Implementation of the Credit Guarantee Fund Scheme for Micro and Small Enterprises (CGTMSE) should be strengthened at the district level. ▪ Promote digital financing platforms and fintech-based credit assessment to ensure timely working capital. • **Institutional Coordination and Simplified Clearances:** SSIs face delays due to multiple approvals and weak inter-departmental coordination. ✓ **Measures:** ▪ Strengthen the Single Desk Portal for end-to-end online approvals. ▪ Establish District MSME Facilitation Cells to assist entrepreneurs in licensing, registration, and compliance. ▪ Regular review committees under the Department of Industries and Commerce to ensure policy implementation. • **Technology Upgradation and Skill Development:** Outdated technology and low productivity hinder SSI competitiveness. ✓ **Measures**: ▪ Expand Cluster Development Programme (CDP) for common facility centers in sectors like textiles, food processing, and handicrafts. ▪ Collaborate with AP State Skill Development Corporation (APSSDC) to offer skill-based training for artisans and workers. ▪ Encourage public–private partnerships (PPPs) for R&D and incubation centers. • **Market Access and Infrastructure Development**: Poor marketing linkages limit growth potential. ✓ **Measures:** ▪ Establish AP Export Promotion Council to assist SSIs in global markets. ▪ Develop industrial estates with common logistics, warehousing, and power facilities under APIIC.

	▪ Support digital marketing platforms and e-commerce linkages for rural enterprises. • **Policy and Institutional Reforms** ✓ Integrate state-level MSME policy (2020–25) with fiscal incentives like interest subvention and tax exemptions. ✓ Encourage women-led SSIs through exclusive credit lines and entrepreneurship cells. ✓ Strengthen grievance redressal mechanisms through MSME Helplines and District Industry Centres (DICs).
Conclusion	Overcoming institutional bottlenecks requires a holistic approach combining finance, technology, and governance reforms. By empowering SSIs through accessible credit, simplified regulations, and market integration, Andhra Pradesh can unlock its growth potential. A resilient and competitive MSME ecosystem will contribute significantly to employment, exports, and equitable development.
Model Question	Propose institutional reforms necessary for strengthening and sustaining small-scale industries in Andhra Pradesh.
Value Addition	The Credit Guarantee Fund Scheme for Micro and Small Enterprises (CGTMSE) is a scheme launched by the Government of India and the Small Industries Development Bank of India (SIDBI) in 2000. Its purpose is to provide collateral-free credit to micro and small enterprises (MSEs), addressing the difficulty they face in securing loans from banks without tangible security. The scheme provides a guarantee cover to the lending financial institutions, which mitigates their risk in case the MSE defaults.
223. What is meant by 'strategic Disinvestment? Explain the different methods of Disinvestment adopted since the re christening of Department of Disinvestment (DOD) as Department of Investment and Public Asset Management (DIPAM). Briefly discuss the achievements and outcomes of these disinvestment. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Disinvestment and Privatization
Keyword	What, Explain, Briefly discuss
Approach	• Introduce by defining strategic disinvestment as the sale of a substantial government shareholding in a Central Public Sector Enterprise (CPSE) of up to or more than 50%, along with transfer of management control. • Explain methods of disinvestment adopted by DIPAM like IPO, FPO, ETF, OFS, buyback, and strategic sale with examples such as Air India and IREDA. • Discuss achievements and outcomes including revenue generation, efficiency gains, capital market deepening, and fiscal consolidation while mentioning recent data and DIPAM's 2023 highlights. • Conclude by emphasizing that strategic disinvestment aims to enhance efficiency, reduce fiscal burden, and promote private participation in national growth.
Introduction	Strategic disinvestment refers to the sale of a substantial government stake (up to or more than 50%) in a Central Public Sector Enterprise (CPSE), along with transfer of management control to a private or public entity. This approach aims to improve efficiency, reduce fiscal burden, and promote private participation.
Body & Infographic Representation	**Strategic Disinvestment:** • Strategic disinvestment involves both ownership transfer and management control, distinguishing it from minority stake sales. The aim is to bring in private efficiency, professional management, and reduce the government's financial responsibility in non-core sectors. • Example: The sale of Air India to Tata Group in 2021 marked a landmark step in this direction, improving fiscal discipline and operational efficiency.

	Different methods of Disinvestment in India (DIPAM): • **Initial Public Offering (IPO) and Follow-on Public Offer (FPO):** ✓ IPO allows unlisted CPSEs to raise capital by issuing shares to the public for the first time, ensuring wider ownership and transparency. ✓ FPO enables already listed CPSEs to issue additional shares for capital expansion or government disinvestment. ✓ Example: The IREDA IPO in 2023 realized ₹858 crore and broadened public participation in renewable energy financing. • **Offer for Sale (OFS):** ✓ Introduced by SEBI in 2012, OFS allows the government to sell its stake in listed CPSEs through the stock exchange platform, ensuring quick and transparent sales. ✓ Example: OFS in Coal India, HAL, and SJVN Limited during FY 2023–24 raised ₹10,860.91 crore. • **Exchange Traded Fund (ETF):** ✓ ETFs combine shares of multiple CPSEs into a single tradable fund, helping small investors invest in public sector companies. ✓ Examples: CPSE ETF and Bharat-22 ETF include firms like ONGC, NTPC, and IOC, promoting retail participation. • **Buyback of Shares:** ✓ Profitable CPSEs repurchase shares from the government using their surplus cash reserves. This ensures fund generation without diluting public ownership. ✓ Example: NTPC and Coal India have undertaken major buybacks since 2017. • **Strategic Disinvestment (Strategic Sale):** ✓ Involves selling a substantial government share (up to or over 50%) along with transfer of management control to a private entity. Aims to improve efficiency and reduce fiscal burden. ✓ Examples: Air India's sale to Tata Group in 2021, and ongoing disinvestment of IDBI Bank, NMDC Steel, and Shipping Corporation of India. **Achievements and Outcomes of Disinvestment:** • **Revenue Generation and Fiscal Support:** ✓ Disinvestment proceeds serve as a non-tax revenue source used for deficit reduction and infrastructure funding. • **Enhanced Efficiency and Market Competitiveness:** ✓ Privatized firms like Hindustan Zinc witnessed a 100-fold rise in profits, showing efficiency gains through private management. • **Strengthened Capital Markets:** ✓ Listing of CPSEs increased market liquidity and public ownership, boosting investor confidence. • **Value Creation in CPSEs:** ✓ Under the 2021 PSE Policy, NSE CPSE Index grew by 160% (till Nov 2023), showing market confidence in public sector value creation.
Conclusion	Strategic disinvestment under DIPAM reflects India's effort to shift from state ownership to market-led growth. By promoting private participation and improving resource efficiency, it supports fiscal prudence and economic dynamism. However, transparent valuation, social safeguards, and policy consistency are essential for long-term success.
Model Question	Discuss the significance of the Department of Investment and Public Asset Management (DIPAM) in promoting fiscal consolidation and improving the efficiency of Central Public Sector Enterprises (CPSEs) through disinvestment policy. Evaluate the recent trends and challenges in implementing strategic disinvestment in India.

Value Addition	**Key steps in the disinvestment process:** • **In-principle approval:** The administrative ministry of the concerned PSE gives its initial approval for disinvestment. • **CCEA approval:** The Cabinet Committee on Economic Affairs (CCEA) gives its approval for the disinvestment of a minority stake. • **High-Level Committee (HLC):** An HLC is formed to guide and oversee the entire disinvestment process. • **Appointment of advisors:** DIPAM, with the recommendation of an Inter-Ministerial Group (IMG), appoints advisors such as merchant bankers (who will act as Book Running Lead Managers) and legal advisors. • **Valuation and pricing:** The HLC recommends a price band or floor price to the Alternative Mechanism. The Alternative Mechanism then finalizes the price band, the method of disinvestment, and any discounts for retail investors and employees. • **Disinvestment method:** The sale is executed through various SEBI-approved methods, most commonly through an IPO, OFS, or strategic sale. • **Execution:** DIPAM, along with the administrative ministry and the PSE, undertakes the sale, which can involve roadshows to promote the offering to potential investors.
224. What are the critical issues that must be addressed before implementing disinvestment policy? (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Disinvestment and Privatization
Keyword	What
Approach	• Introduce by defining disinvestment as the process of selling the government's ownership stake in public sector enterprises to raise resources and promote efficiency. • Explain the key issues that must be addressed asset valuation, transparency, employee protection, preventing monopolies, fiscal prudence, and political will with suitable examples. • Conclude by stressing that addressing these concerns ensures disinvestment becomes a strategic reform for inclusive and sustainable growth.
Introduction	Disinvestment refers to the government's process of selling its stake in public sector enterprises (PSEs) to mobilize resources, improve efficiency, and reduce the fiscal burden. However, before implementing such a policy, several critical economic, social, and administrative issues must be carefully addressed to ensure fair and effective outcomes.
Body & Infographic Representation	**Issues that Must Be Addressed Before Implementing Disinvestment Policy:** • **Proper Valuation of Assets:** ✓ One of the most important issues is accurate valuation of public sector assets. Many PSEs possess valuable land, infrastructure, and brand value. Undervaluation can lead to loss of public wealth. ✓ For example as seen in earlier cases like BALCO and Hindustan Zinc, where the valuation process faced criticism. • **Transparency and Accountability:** ✓ The disinvestment process must ensure complete transparency and accountability. The procedures should be free from political influence and favoritism, with open bidding and parliamentary oversight. This helps to maintain public confidence and avoids controversies over asset transfer to select private players. • **Safeguarding Employee Interests:**

	✓ Disinvestment often raises concerns about job security and worker welfare. Employees may face retrenchment or reduction in benefits. Thus, rehabilitation packages, voluntary retirement schemes (VRS), and skill development programs must be implemented to protect the interests of employees. • **Preventing Creation of Private Monopolies:** ✓ When PSEs in strategic or monopolistic sectors are privatized, there is a risk of private monopolies emerging. To prevent this, a strong regulatory framework and competition laws must be enforced to protect consumer interests and market fairness. • **Fiscal Prudence and Long-term Goals:** ✓ Disinvestment should not be viewed merely as a short-term measure to raise funds or reduce the fiscal deficit. It must be aligned with long-term economic efficiency, modernization, and public welfare objectives. • **Political and Bureaucratic Will:** ✓ The process of disinvestment often faces political resistance and bureaucratic delay. Building consensus through transparent communication and effective policy planning is crucial for smooth execution. • **Social and Regional Balance:** ✓ The government must ensure that disinvestment does not widen regional inequalities or neglect social objectives. Proceeds should be reinvested in infrastructure, education, and social welfare programs to achieve balanced growth.
Conclusion	Before implementing disinvestment, the government must ensure fair valuation, transparency, worker protection, and market competition. Addressing these critical issues helps transform disinvestment from a revenue-generating exercise into a strategic reform that strengthens the public sector, promotes efficiency, and supports sustainable economic development.
Model Question	"Critically analyse the challenges faced by the government in ensuring transparency, fairness, and public accountability during the process of disinvestment in India."
Value Addition	**Economic advantages of Disinvestment:** • It helps the government generate revenue to bridge the fiscal deficit and invest in welfare schemes. • It promotes long-term growth by reducing public debt and fostering efficient resource use. By encouraging private ownership, • it enhances productivity and profitability like the Hindustan Zinc example showing major profit growth post-privatization. • It also frees public resources for social and infrastructure development.
225. In the light of the problems faced by public-private partnerships in India, give recommendations on the future plan of action. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Give
Approach	• Introduce by defining PPPs as collaborations between government and private entities for infrastructure and service delivery. • Explain the problems faced — like regulatory delays, weak risk allocation, and funding constraints. • Conclude by suggesting future actions such as clear policies, fair risk sharing, institutional capacity building, and stronger transparency for sustainable PPP growth.

Introduction	Public-Private Partnership (PPP) is a collaborative model where the government and private sector work together to develop infrastructure and deliver public services. However, PPPs in India face issues such as poor risk sharing, financing constraints, and weak dispute resolution, requiring well-planned reforms for effective implementation.
Body & Infographic Representation	**Problems Faced by Public-Private Partnerships (PPPs) in India:** • **Regulatory and Procedural Delays:** ✓ PPP projects often suffer from delays in land acquisition, environmental clearances, and procedural approvals. For example, several highway projects under the National Highways Authority of India (NHAI) were delayed due to slow clearance processes, leading to cost overruns. • **Improper Risk Allocation:** ✓ Many PPP contracts fail because risks are not shared appropriately. The private sector is often burdened with revenue and operational risks beyond its capacity, while the government retains limited accountability, resulting in disputes and stalled projects. • **Financing Constraints:** ✓ Private players face difficulties in accessing long-term finance from banks due to high interest rates and uncertain returns. Projects like metro rail and port development have witnessed financial stress because of limited funding and overestimated revenue project. • **Inefficient Dispute Resolution Mechanism:** ✓ Many disputes between the government and private partners remain unresolved for years, affecting investor confidence. Absence of an independent adjudication mechanism adds to the problem. **Recommendations on the Future Plan of Action:** • **Strengthen Policy and Regulatory Framework:** ✓ There is a need to establish a central PPP regulatory authority to ensure policy consistency, transparent approvals, and uniform contract guidelines across sectors. Simplified procedures and time-bound clearances will enhance private sector confidence. • **Improve Risk Allocation and Financial Viability:** ✓ Risk should be shared equitably between public and private partners. The government must expand Viability Gap Funding (VGF) to make socially beneficial but less profitable projects viable. Encouraging infrastructure bonds and blended finance can mobilize additional capital. • **Build Institutional and Human Capacity:** ✓ Dedicated PPP cells at the central and state levels should be strengthened with trained professionals capable of project design, negotiation, and monitoring. Regular capacity-building programs for officials, financiers, and developers can improve project outcomes. • **Enhance Transparency and Accountability:** ✓ All PPP projects should be managed through digital tracking systems for contracts, payments, and project performance. Regular audits and citizen oversight can reduce corruption and improve trust among stakeholders.
Conclusion	For PPPs to succeed in India, reforms must focus on policy clarity, institutional capacity, transparent governance, and fair risk sharing. By building trust between the public and private sectors, PPPs can become a vital instrument for inclusive and sustainable infrastructure development in the future.
Model Question	"Evaluate the effectiveness of Public-Private Partnerships (PPPs) in bridging India's infrastructure gap. What measures can enhance their efficiency and accountability in implementation?"

Value Addition	**Public Private Partnership (PPP) Models in India:** • **Build-Operate-Transfer (BOT):** Private player builds, operates, and transfers the asset after recovery through user charges. • **BOT (Annuity):** Government pays fixed annual returns to the private firm, reducing revenue risk. • **Hybrid Annuity Model (HAM):** Combines EPC and BOT. Government funds 40% of cost; private firm recovers 60% via annuities. • **Engineering, Procurement, and Construction (EPC):** Fully government-funded; private firm only designs and builds. • **Build-Own-Operate (BOO):** Private sector owns and operates indefinitely without transfer. • **Lease-Develop-Operate (LDO):** Private partner leases, upgrades, and operates an existing facility. • **Design-Build-Finance-Operate (DBFO):** Private sector handles all aspects, earning through user charges.
226. "The aim of economic reforms in India is to improve the competitiveness and efficiency of domestic industry and pave the way for achieving high rate of economic growth." Discuss. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Discuss
Approach	• Begin by clearly stating the aim of economic reforms in terms of efficiency, competitiveness, and growth. • Outline the objectives of reforms. • Mention major policy measures taken. • Provide evidence of impact using statistics, reports, or examples. • Discuss challenges and limitations. • End by summarising the overall impact and suggest what is needed for sustained inclusive growth.
Introduction	Economic reforms in India, initiated in 1991, aim to enhance the competitiveness and efficiency of domestic industries. These reforms were designed to liberalise the economy, reduce bureaucratic controls, attract investment, and integrate Indian firms into global markets. The ultimate objective is to achieve a high and sustainable rate of economic growth.
Body & Infographic Representation	**Objectives of Economic Reforms:** • **Improving Efficiency:** Reforms seek to enhance both productive and allocative efficiency by reducing regulatory burdens on industries. • **Enhancing Competitiveness:** Exposure to domestic and global competition encourages firms to adopt modern technology, improve quality, and lower costs. • **Promoting Investment:** Liberalisation and ease-of-doing-business measures aim to attract domestic and foreign investment, boosting capital formation. • **Facilitating Growth:** Structural reforms provide the foundation for high GDP growth by creating an efficient, competitive, and modern industrial base. **Key Measures Undertaken:** • **Industrial Policy Reforms**: Abolition of industrial licensing for most sectors and promotion of competition. • **Trade Liberalisation:** Reduction of tariffs, simplification of import-export procedures, and integration into global markets. • **Financial and FDI Reforms**: Liberalisation of foreign direct investment and capital flows to attract technology and managerial expertise.

	• **Tax Reforms:** Introduction of GST to rationalise indirect taxes and reduce compliance costs. • **Digital Infrastructure**: Initiatives such as UPI and digital governance to reduce transaction costs and improve market efficiency. **Impact of Economic Reforms:** • **Growth Acceleration:** Post-reform GDP growth rates have been higher compared to the pre-reform period. • **Increased Investment:** FDI inflows and private sector investments have risen significantly. • **Enhanced Competitiveness:** Indian industries have modernised and improved global competitiveness in sectors such as IT, pharmaceuticals, and manufacturing. • **Business Environment Improvement:** Ease-of-doing-business rankings indicate a more investor-friendly environment. **Challenges and Limitations:** • **Uneven Sectoral Benefits:** Gains are concentrated in certain sectors, leaving traditional and informal industries lagging. • **Regional Disparities:** Economic growth has not been uniformly distributed across states and regions. • **Complementary Requirements:** Efficiency and competitiveness require parallel investments in infrastructure, human capital, and institutional quality.
Conclusion	Economic reforms in India have been instrumental in improving domestic industry competitiveness and efficiency, laying the groundwork for high economic growth. While the reforms have shown positive results, sustained and inclusive growth requires continuous policy support, investment in infrastructure, and skill development.
Model Question	Critically analyse the role of digital infrastructure initiatives like Digital India and UPI in improving the efficiency of domestic industries.
Value Addition	India's manufacturing sector is undergoing a transformative shift, driven by visionary policies aimed at redefining its global standing. At the heart of this transformation is the Production Linked Incentive (PLI) Scheme, a cornerstone of the government's strategy to establish India as a global manufacturing powerhouse while promoting innovation, efficiency, and competitiveness across key industries.
227. Discuss the nature and importance of Public-Private Partnership (PPP) in health care and basic education in India. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Discuss
Approach	• Define PPP and its relevance in improving healthcare and education in India. • Explain nature and importance of PPPs in healthcare (access, infrastructure, efficiency) and education (quality, infrastructure, skill development) with examples. • Summarize benefits, stress transparency, and link to inclusive growth.
Introduction	Public-Private Partnerships (PPPs) have emerged as a strategic approach to address the challenges in India's healthcare and education sectors. By leveraging the strengths of both public and private entities, PPPs aim to enhance service delivery, infrastructure, and accessibility. This collaborative model is particularly crucial in a developing country like India, where resource constraints often impede the achievement of universal health coverage and quality education.
Body & Infographic Representation	**Public-Private Partnerships in Healthcare:** • **Nature of PPPs in Healthcare** ✓ In the healthcare sector, PPPs involve collaborations where private organizations partner with the government to manage, fund, or enhance healthcare services and infrastructure.

	✓ These partnerships can take various forms, including management contracts, service delivery agreements, and infrastructure development projects. The primary objective is to combine public oversight with private sector efficiency to improve healthcare outcomes. **Importance of PPPs in Healthcare:** • **Enhanced Service Delivery** ✓ PPPs have led to the establishment of specialized services at reduced costs. For instance, JP Hospital in Bhopal offers MRI scans at approximately 30% lower rates than government-run facilities, benefiting patients without insurance coverage. • **Improved Infrastructure** ✓ Collaborations have facilitated the modernization of healthcare facilities, incorporating advanced technologies and management practices, thereby improving service delivery. • **Increased Access to Care** ✓ In regions with limited public healthcare infrastructure, PPPs have been instrumental in filling service gaps, particularly in rural and underserved areas. **Public-Private Partnerships in Education:** • **Nature of PPPs in Education** ✓ In the education sector, PPPs encompass collaborations where private organizations partner with the government to manage, fund, or enhance educational institutions. These partnerships aim to improve the quality and accessibility of education by integrating private sector expertise and resources. **Importance of PPPs in Education:** • **Quality Enhancement** ✓ Private sector involvement brings expertise in curriculum development, teacher training, and pedagogical innovations, leading to improved educational outcomes. • **Infrastructure Development** ✓ PPPs have contributed to the establishment of model schools and educational centers, providing state-of-the-art facilities and resources to students. • **Skill Development and Employability** ✓ Collaborations focusing on vocational training and skill development have equipped students with competencies aligned with industry requirements, enhancing employability.
Conclusion	For PPPs to be successful, it is essential to ensure transparency, accountability, and alignment of objectives between public and private partners. With appropriate governance and regulatory frameworks, PPPs can play a pivotal role in achieving the Sustainable Development Goals related to health and education in India.
Model Question	Assess the potential of Public-Private Partnerships in achieving Sustainable Development Goals (SDGs) related to health and education in India.
Value Addition	PPP helps local governments deliver services faster, with better quality, and in line with community needs. It is suitable when private partners can speed up projects, improve service standards beyond government capacity, or when people support private participation. Thus, PPP strengthens efficiency and responsiveness in local service delivery.
228. Explain the salient features and benefits of the PPP model of health services provided under Dr NTR Vaidya Seva programme. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Impact of liberalization, Privatization & Globalization

Keyword	Explain
Approach	• Briefly define Public-Private Partnership (PPP) and its role in healthcare delivery. • Explain salient features like empanelment of private hospitals, cashless treatment, IT-based monitoring, and the role of Aarogyasri Trust; highlight benefits to BPL families. • Assess outcomes, challenges like cost control and service quality, and suggest strengthening public oversight.
Introduction	The Dr. NTR Vaidya Seva Programme is a flagship health insurance initiative of the Government of Andhra Pradesh aimed at providing financial protection to Below Poverty Line (BPL) families. Implemented under a Public-Private Partnership (PPP) model, it integrates government oversight with private sector efficiency in healthcare delivery. It represents one of India's largest state-run health assurance schemes, covering tertiary and secondary medical care.
Body & Infographic Representation	**Salient Features of the PPP Model of health services provided under Dr NTR Vaidya Seva Programme** • **Collaborative Framework**: The programme operates through a tripartite model involving the Government of Andhra Pradesh, private empanelled hospitals, and the Dr. NTR Vaidya Seva Trust. • **Comprehensive Coverage**: It provides cashless treatment for over 1,000 listed procedures, including critical surgeries like cardiac, renal, and cancer treatments. • **Empanelment of Hospitals**: Both government and accredited private hospitals are empanelled based on quality standards, ensuring accessibility even in remote districts. • **IT-Enabled Monitoring**: The scheme uses a real-time online platform for patient registration, verification, and claims settlement, enhancing transparency and reducing leakages. • **Financial Coverage**: The scheme provides up to ₹5 lakh per family per year, covering hospitalisation, diagnostics, and follow-up care. **Benefits of the PPP Model of health services provided under the Dr NTR Vaidya Seva programme** • **Increased Accessibility**: Around 432 network hospitals (as per 2015 data) provide services across AP, drastically improving access to tertiary healthcare for rural and poor populations. • **Improved Service Quality:** Private participation has led to better infrastructure, quicker response times, and adherence to treatment protocols. • **Capacity Building:** Strengthened public institutions through shared technology and training from private sector partners. • **Social Equity:** Nearly 85% of beneficiaries belong to BPL and marginalised communities, promoting inclusivity in healthcare.
Conclusion	The PPP model under the Dr. NTR Vaidya Seva Programme has transformed healthcare accessibility and affordability in Andhra Pradesh. Despite challenges like hospital empanelment delays and fraud detection, it remains a pioneering model for universal health coverage. Strengthening monitoring and expanding preventive healthcare can further enhance its long-term sustainability.
Model Question	Evaluate the role of Public-Private Partnerships (PPP) in enhancing healthcare accessibility and affordability in Andhra Pradesh with reference to the Dr NTR Vaidya Seva initiative.
Value Addition	The Aarogyasri Health Care Trust was established by the Government of Andhra Pradesh to implement and monitor state-sponsored health insurance schemes like Dr NTR Vaidya Seva. It acts as the nodal agency under the Public–Private Partnership (PPP)

	framework, ensuring quality tertiary and secondary healthcare for Below Poverty Line (BPL) families. The Trust empanels both government and private hospitals, oversees claim settlements, and maintains transparency through an IT-enabled online system. It plays a vital role in integrating multiple health schemes, including Ayushman Bharat–PMJAY, for seamless coverage.
229. Critically Appraise privatisation of education in the State of Andhra Pradesh. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Impact of liberalisation, Privatisation & Globalisation
Keyword	Critically Appraise
Approach	• Define privatisation of education and its growing trend in AP. • Discuss merits like improved infrastructure and innovation; critically examine issues of equity, quality, and affordability. • Suggest measures to balance private participation with social justice and regulatory oversight.
Introduction	Privatisation of education in Andhra Pradesh has gained momentum since the 1990s, paralleling economic liberalisation. The state has witnessed a rapid growth of private institutions at all levels, from pre-primary to higher education, aiming to fill the gaps left by the public system. However, this trend raises concerns over equity, quality, and regulation in educational delivery.
Body & Infographic Representation	**Growth of Private Educational Institutions in Andhra Pradesh** • Andhra Pradesh has one of the highest proportions of private schools in India. • The proliferation of corporate junior colleges (like Narayana, Sri Chaitanya) and private universities has redefined the education landscape, especially in urban and semi-urban areas. • In higher education, private colleges constitute over 82.5% of total institutions. **Positive Aspects of the Privatisation of Education** • **Increased Access and Infrastructure**: Private investment has expanded the reach of education, especially in technical and professional courses. • **Innovation and Competitiveness**: Institutions have introduced modern curricula, digital classrooms, and performance-driven management. • **Reduced Government Burden:** Privatisation helps the government focus on regulatory and quality assurance roles rather than direct provision. **Critical Concerns and Drawbacks of the Privatisation of Education** • **Commercialisation of Education**: Rising tuition and donation-based admissions make education unaffordable for marginalised groups. • **Quality Disparities**: Many private schools and colleges prioritise profit over pedagogy, resulting in poor learning outcomes. • **Equity and Social Justice**: The ASER 2022 report highlights widening learning gaps between rural government school children and private school peers. • **Regulatory Challenges:** Weak enforcement of Right to Education (RTE) norms, fee regulation, and teacher qualifications undermine accountability. **Government Response and Policy Measures** • Schemes like Jagananna Vidya Kanuka and Amma Vodi aim to strengthen government schools and improve enrollment. • Establishment of AP Higher Education Regulatory and Monitoring Commission (APHERMC) to control fee structures and ensure quality standards.
Conclusion	Privatisation has undeniably expanded educational opportunities in Andhra Pradesh, but has also deepened social and economic disparities. A balanced approach, encouraging private participation while ensuring affordability, equity, and accountability, is essential.

	Strengthening public education remains crucial to achieving inclusive, high-quality learning outcomes for all.
Model Question	Discuss the impact of increasing private participation in the education sector of Andhra Pradesh on quality, equity, and affordability. Suggest suitable policy interventions.
Value Addition	The NIPUN Bharat Mission (2021), National Initiative for Proficiency in Reading with Understanding and Numeracy, is a flagship programme under the National Education Policy (NEP) 2020, implemented by the Ministry of Education. Its primary objective is to ensure that every child in Grades 1-3 attains foundational literacy and numeracy skills by 2026–27. In Andhra Pradesh, it is being executed through the Samagra Shiksha Abhiyan, with a focus on activity-based learning, teacher training, and multilingual education. The mission also uses digital tools and continuous assessment methods to monitor student progress.
230. Explain the specific problems encountered by the Indian economy with the increasing share of the private sector in the context of globalisation. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Explain
Approach	• Define globalisation and the increasing dominance of private enterprises since the 1991 reforms. • Explain issues like inequality, jobless growth, profit concentration, environmental neglect, and weak regulation with examples. • Conclude by emphasising a balanced state-market partnership for equitable and sustainable growth.
Introduction	Since the economic liberalisation of 1991, India has witnessed a significant rise in the share of the private sector, especially in industries, services, and infrastructure. Globalisation integrated India into the world economy, attracting investments and technology. However, this growing dominance of private capital has also brought structural, social, and regulatory challenges to the Indian economy.
Body & Infographic Representation	**Problems encountered by the Indian economy with the increasing share of the private sector:** • **Widening Income and Regional Inequalities** ✓ Private sector-led growth has been unevenly distributed, benefiting urban and industrialized states like Maharashtra, Karnataka, and Gujarat, while backward states lag behind. ✓ The top 10% of Indians hold 57% of national income (World Inequality Report). ✓ Rural–urban and inter-state disparities have deepened, leading to uneven human development and migration pressures. • **Jobless Growth and Informalisation of Labour** ✓ The private sector's focus on automation and capital-intensive industries led to jobless growth. ✓ The services sector contributes 57% of GDP but employs only 28% of the workforce (NITI Aayog, 2023). ✓ Informal employment remains high at over 80%, with limited job security and social protection. ✓ For example, the IT and financial sectors boosted GDP growth but created few formal jobs relative to labour availability. • **Corporate Concentration and Crony Capitalism** ✓ Globalisation facilitated corporate consolidation, reducing market competition. ✓ A few conglomerates (Reliance, Adani, Tata) dominate strategic sectors like telecom, energy, and infrastructure.

	✓ The Oxfam Inequality Report (2024) highlighted that corporate profits surged while real wages stagnated, reflecting inequitable growth. ✓ Crony capitalism has led to banking NPAs and corruption, as seen in the Vijay Mallya and IL&FS crises. • **Environmental and Social Concerns** ✓ Private projects often compromise sustainability and community welfare. ✓ Rapid industrialisation led to deforestation, pollution, and displacement (over 50 million people since Independence, per World Bank estimates). ✓ Weak environmental regulation and corporate lobbying undermine ecological balance. • **Weak Regulation and Public Accountability** ✓ Regulatory bodies like SEBI, TRAI, and CCI often struggle to ensure fair competition and consumer protection. ✓ The coal block allocation and telecom spectrum scams exemplify the risks of weak oversight in a globalised private economy.
Conclusion	While the private sector has accelerated growth and global integration, it has also intensified inequalities, employment instability, and environmental degradation. The challenge for India lies in balancing private enterprise with social responsibility and regulatory effectiveness. A robust framework promoting inclusive capitalism and sustainable growth is essential for equitable development in a globalised era.
Model Question	Discuss the challenges faced by the Indian economy due to growing private sector dominance in the era of liberalisation and globalisation.
Value Addition	• Gross Fixed Capital Formation (GFCF) measures the growth in fixed capital in an economy. • Fixed capital includes things like buildings and machinery that require investment to be created. • GFCF is important because fixed capital helps workers produce more goods and services, leading to economic growth and better living standards. • Developed economies like the U.S. have more fixed capital per person compared to developing economies like India. • Private GFCF gives an idea of how much the private sector is investing in the economy. • It also includes government investment in fixed capital.
231. Critically evaluate the effects of private participation in the tourism sector of Andhra Pradesh. (APPSC, 2012)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Critically evaluate
Approach	• Start by introducing tourism as a major growth engine in Andhra Pradesh and explain the government's push for private participation under the Tourism Policy 2024-29. • Evaluate the positive impacts investment in infrastructure, job creation, diversification through PPP projects, and improved branding. • Then discuss challenges like uneven regional benefits, weak revenue generation, and environmental issues. • Conclude by stressing the need for balanced, sustainable, and community-based tourism development.
Introduction	Tourism plays a vital role in Andhra Pradesh's economy, contributing to employment and regional development. In recent years, the state government has encouraged private sector participation through Public-Private Partnerships (PPP) to attract investment, improve infrastructure, and enhance the overall tourism experience under the Tourism Policy 2024–29.

Body & Infographic Representation	**Positive Effects of Private Participation:** • **Infrastructure Development and Investment Promotion:** ✓ Private participation has brought modern infrastructure such as luxury resorts, MICE (Meetings, Incentives, Conferences, and Exhibitions) centers, and adventure tourism facilities. ✓ Under PPP mode, 62 tourism properties are under Operation & Maintenance (O&M) and 14 land lease projects are in progress, improving tourist facilities and state revenue. • **Employment Generation and Skill Development:** ✓ Private investment has created jobs in hospitality, transport, and local crafts. Tourism projects like Bhavani Island and eco-tourism centers have increased community employment and income, especially by involving local youth and self-help groups. • **Diversification and Promotion of Thematic Tourism:** ✓ The private sector has promoted thematic circuits such as beach tourism (Suryalanka, Kakinada), heritage tourism (Gandikota Fort), and eco-tourism (Papikondalu, Maredumilli). This diversification enhances tourist experiences and encourages longer stays, boosting state revenue. • **Improved Branding and Marketing:** ✓ Private collaboration has strengthened branding and online visibility. Partnerships with digital platforms and tour operators have improved bookings and increased domestic and international tourist arrivals. **Challenges and Limitations of Private Participation:** • **Uneven Regional Benefits:** ✓ Investment is concentrated around coastal and urban centers, while tribal and rural areas receive limited attention, widening regional disparities. • **Revenue Concerns and Accountability:** ✓ Many leased properties of APTDC are not generating adequate returns. Some PPP projects face delays in implementation and issues in revenue sharing due to lack of monitoring. • **Environmental and Cultural Concerns:** ✓ Commercial tourism has caused pressure on fragile ecosystems like beaches and wildlife sanctuaries. In some areas, excessive privatization risks undermining local culture and traditional livelihoods. • **Dependence on Private Players:** ✓ Over-reliance on private capital can reduce government control over pricing, quality, and sustainability measures, affecting affordability and inclusivity in tourism.
Conclusion	Private participation has significantly improved the tourism landscape of Andhra Pradesh through investment, employment, and diversification. However, challenges like unequal benefits, weak regulation, and ecological stress remain. A balanced approach combining sustainable tourism policies, effective PPP governance, and community participation is essential for long-term inclusive growth of the sector.
Model Question	"Public–Private Partnerships (PPPs) have emerged as a key strategy for promoting sustainable tourism in Andhra Pradesh. Examine the opportunities and challenges associated with PPP-led tourism development in the state."
Value Addition	**Central Government sponsored Tourism Development Schemes:** • **Swadesh Darshan Scheme 2.0:** ✓ The scheme includes development of Borra Caves located in Araku, ASR District with project cost of Rs 29.87 crore. It aims to enhance visitor amenities and infrastructure inside the cave and in the surrounding precinct area.

	• **PRASHAD Scheme:** ✓ The scheme includes development of pilgrimage amenities at Sri Varaha Lakshmi Narasimha Swami Vari Devasthanam, Vishakhapatnam with a project cost of Rs 54.04 crore. It also covers development of pilgrim amenities in the temple complex of Annavaram Temple, Kakinada District with a project cost of Rs 25.32 crore. • **SASCI Scheme:** ✓ The scheme covers development of visitor amenities and infrastructure in Gandikota Fort and Gorge areas in YSR Kadapa District at an estimated cost of Rs 77.91 crore. ✓ It also covers Transformation of Havelock Bridge as a tourist attraction and upgradation of Pushkarghat in Rajahmundry (also known as Akhanda Godavari) at an estimated cost of Rs 94.44 crore.
232. What is the scope for public-private partnership in post-economic reform period in India? Elaborate. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	What, Elaborate
Approach	• Begin with a statement on 1991 economic reforms and the emergence of PPPs as a tool to bridge India's infrastructure deficit. • Discuss (a) the legal and institutional framework enabling PPPs, (b) sectoral impact in infrastructure, energy, healthcare, and education, and (c) challenges faced and recent reforms addressing them. • Conclude by emphasizing that PPPs are central to India's growth trajectory, contingent on effective risk management and regulatory support.
Introduction	The economic liberalization initiated in India in 1991 marked a significant shift towards market-oriented policies, emphasizing the need for private sector participation in infrastructure development. Public-Private Partnerships (PPPs) emerged as a strategic model to bridge the infrastructure deficit and foster economic growth.
Body & Infographic Representation	**Legal and Institutional Framework:** • India has established a comprehensive legal and institutional framework to facilitate PPPs. The National Public Private Partnership Policy, introduced in 2011, provides guidelines for the formulation, appraisal, and approval of PPP projects. • Additionally, the Model Concession Agreements (MCAs) and Viability Gap Funding (VGF) schemes are pivotal in ensuring the financial viability of projects. State-specific legislation, such as the Build-Operate-Transfer (BOT) laws, further supports private sector participation in infrastructure development. **Sectoral Impact:** • **Infrastructure** ✓ The development of highways, airports, and ports has been accelerated through PPPs. Notably, the privatization of airports like those in Ahmedabad and Lucknow has enhanced operational efficiency and service quality. • **Energy** ✓ The power sector has seen increased private investment, especially after the enactment of the Electricity Act, 2003, which reformed tariff determination and encouraged private participation. • **Healthcare and Education** ✓ Several states have implemented PPP models to improve healthcare delivery and educational infrastructure, addressing regional disparities in service provision

	Challenges and Reforms: • Despite their success, PPPs face challenges such as complex regulatory processes, land acquisition issues, and risk-sharing concerns. Recent reforms, including the introduction of GST 2.0 and the Insolvency and Bankruptcy Code (IBC), aim to streamline processes and enhance the ease of doing business. • However, addressing structural factors limiting growth remains crucial for the sustained success of PPPs.
Conclusion	The post-economic reform era in India has witnessed the evolution of PPPs as a vital mechanism for infrastructure development. With continuous legal reforms and sectoral adaptations, PPPs are poised to play a central role in India's growth trajectory, provided that challenges are effectively addressed.
Model Question	"Analyze the sectoral impact of PPPs in India with reference to transportation, energy, healthcare, and education. Suggest measures to enhance their effectiveness."
Value Addition	Public-Private Partnership (PPP) plays a central role in India's Asset Monetisation Programme by recycling brownfield assets like roads, railways, and pipelines. PPP unlocks public asset value, mobilises private capital, and leverages private-sector efficiencies, thereby promoting investment-led growth and creating sustainable infrastructure development as emphasized in Union Budget 2021
233. Explain the role of private sector after economic reforms. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Explain
Approach	• Briefly state how 1991 reforms shifted India from state-led to market-oriented economy, expanding private sector's role. • Explain private sector as driver of growth, employment and innovation. Its role in infrastructure via PPPs and accountability through legal-regulatory frameworks. • Conclude by stressing private dynamism coupled with state regulation as the essence of India's post-reform growth story.
Introduction	The economic reforms of 1991 marked a paradigm shift in India's development model, moving from a state-led economy towards liberalisation, privatisation and globalisation. These reforms expanded the role of the private sector in driving growth, investment and innovation
Body & Infographic Representation	**Role of private sector after economic reforms:** • **Driver of Investment and Growth** ✓ The private sector emerged as the primary contributor to gross capital formation after reforms. Deregulation and reduced licensing encouraged private industries to expand in manufacturing, services and technology sectors. ✓ The share of the private corporate sector in GDP has steadily increased, as highlighted by the Ministry of Finance reports. • **Employment Generation and Innovation** ✓ Liberalization facilitated entrepreneurship and foreign investment, which stimulated competition and efficiency. ✓ Private companies introduced modern management practices, technology adoption and consumer-centric innovation. ✓ This created employment opportunities both in formal sectors like IT and telecom, and in informal sectors through supply chains. • **Role in Infrastructure Development** ✓ With limited fiscal space, the government increasingly relied on private participation through Public-Private Partnerships (PPPs). Key sectors such as roads, ports, airports, power and telecom saw major private investment.

	✓ The National Infrastructure Pipeline (GoI, 2019) emphasizes private capital as essential for bridging the infrastructure gap. • **Legal and Regulatory Framework** ✓ The role of the private sector is shaped by laws such as the Companies Act, 2013 which established corporate governance norms and Corporate Social Responsibility (CSR) obligations. FDI policies and tax reforms further created a conducive environment while ensuring accountability.
Conclusion	Post-1991, the private sector has become the engine of India's growth, innovation and global integration. However, state regulation remains vital to address market failures, ensure inclusivity and maintain fair competition. Thus, the post-reform development model reflects a balanced partnership between private dynamism and public governance.
Model Question	"Public-Private Partnerships (PPPs) are seen as a vital instrument to bridge India's infrastructure gap. Evaluate their success and limitations in the post-reform period."
Value Addition	• The Production Linked Incentive (PLI) Scheme, launched in 2020, has become a game-changer for domestic manufacturing. Covering 14 sectors from electronics to textiles, and backed by a ₹1.97 lakh crore outlay, it has attracted over ₹1.76 lakh crore in investments, enhanced exports, and created jobs- making India a stronger player in global value chains. • The Digital India Programme has accelerated connectivity and digital inclusion, expanding internet penetration from 25 crore in 2014 to nearly 97 crore in 2024. With 5G rollout and Bharat 6G vision, India is now the world's third-most digitalized economy, driving growth through technology-led transformation.
234. Explain the pattern of revenue collection after economic reforms in India. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Impact of liberalization, Privatization & Globalization
Keyword	Explain
Approach	• Give a brief contextual background linking economic reforms of 1991 with changes in India's revenue collection system. • Present the evolution under clear subheadings (Direct taxes, Indirect taxes/GST, Non-tax revenue, Fiscal rules & Centre–State dynamics) with facts, data, and legal references. • Summarise the transformation and highlight its significance for fiscal stability, formalisation, and development.
Introduction	The economic reforms of 1991 marked a decisive shift in India's fiscal architecture. Liberalisation, privatisation and globalisation were accompanied by tax reforms aimed at widening the base, lowering rates and improving compliance. Since then, India's revenue collection pattern has undergone significant changes, reflected in the growing share of direct taxes, the rationalisation of indirect taxes, and institutional mechanisms for fiscal discipline.
Body & Infographic Representation	**Pattern of revenue collection after economic reforms in India:** • **Shift from Indirect to Direct Taxes:** ✓ Pre-reform India relied heavily on indirect taxes like customs duties and excise taxes. Post-reform, there was a deliberate shift towards enhancing direct tax revenues. This transition was marked by: ▪ **Reduction in Corporate Tax Rates:** Corporate tax rates were reduced from 50% in 1990-91 to 30% by 2005-06, aiming to encourage investment and compliance. ▪ **Increase in Income Tax Receipts:** Income tax receipts saw a substantial rise, from ₹1,250 crore in 1990-91 to ₹4,13,716 crore in 2020-21, reflecting improved compliance and economic growth.

	• **Fiscal Responsibility and Budget Management (FRBM) Act:** ✓ Enacted in 2003, the FRBM Act aimed to institutionalize fiscal discipline by setting targets for fiscal deficits and public debt. This legislation contributed to: ▪ **Reduction in Fiscal Deficits:** The central government's fiscal deficit decreased from 8.3% of GDP in 1990-91 to 5.9% in 1991-92, reflecting improved fiscal management. ▪ **Enhanced Transparency:** The Act mandated greater transparency in fiscal operations, fostering accountability in revenue and expenditure management. • **Implementation of Goods and Services Tax (GST):** ✓ A landmark reform was the introduction of GST in 2017 through the 101st Constitutional Amendment, which replaced a complex tax structure with a single, unified tax system. This reform aimed to: ▪ **Simplify Taxation:** By consolidating various taxes into one, the GST simplified the tax structure and improved compliance. ▪ **Enhance Revenue Collection:** GST implementation led to increased revenue collection, with states like Arunachal Pradesh recording a 700% rise in GST collections from 2017 to 2023-24. ▪ **GST Collections and Outcomes:** The GST regime has significantly boosted collections with digital monitoring, e-invoicing, and analytics. In FY25, gross GST reached a record ₹22.08 lakh crore, with monthly averages crossing ₹1.8 lakh crore reflecting better compliance and tax buoyancy. • **Non-Tax Revenue and Capital Receipts:** ✓ Beyond taxation, non-tax revenue from RBI dividends, spectrum fees and royalties, as well as disinvestment proceeds, emerged as important stabilizers in the post-reform fiscal framework.
Conclusion	The post-1991 reforms transformed India's revenue system from a complex, high-rate and narrow-base structure into a simplified, broad-based and buoyant system. With direct taxes gaining prominence, GST unifying indirect taxation and fiscal rules ensuring discipline, the revenue collection pattern today reflects a modernising and formalising economy aligned with India's developmental needs.
Model Question	"The post-reform revenue system in India has been shaped as much by taxation reforms as by Centre–State fiscal arrangements. Critically evaluate this statement with reference to GST and Finance Commissions."
Value Addition	Capital expenditure (CAPEX) plays a crucial role in contributing to national investment and enhancing the stock of physical assets within the economy. It leads to the creation of long-term assets, which not only generate revenue for many years but also improve the overall operational efficiency of economic activities. CAPEX is fundamental to expanding production capacity, thereby serving as a catalyst for accelerated economic growth. This growth, in turn, supports job creation and enhances labour productivity. In 2024-25, CAPEX was ₹10.52 trillion, surpassing revised estimates.

10. Industrial Policy of the AP Government – Incentives to industries – Industrial corridors in and SEZs in Andhra Pradesh - Bottlenecks for industrial development – Power projects

235. Critically examine the industrial policy of the Andhra Pradesh government. What are the major initiatives, support measures and bottlenecks to industrial development in the state? (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Industrial Policy
Keyword	Critically examine, What
Approach	• Contextualise AP's industrial policy within post-bifurcation economic rebuilding. • Highlight initiatives (single-desk policy, sectoral incentives, clusters), support measures (infrastructure, skill development), and identify bottlenecks (land, power, logistics).

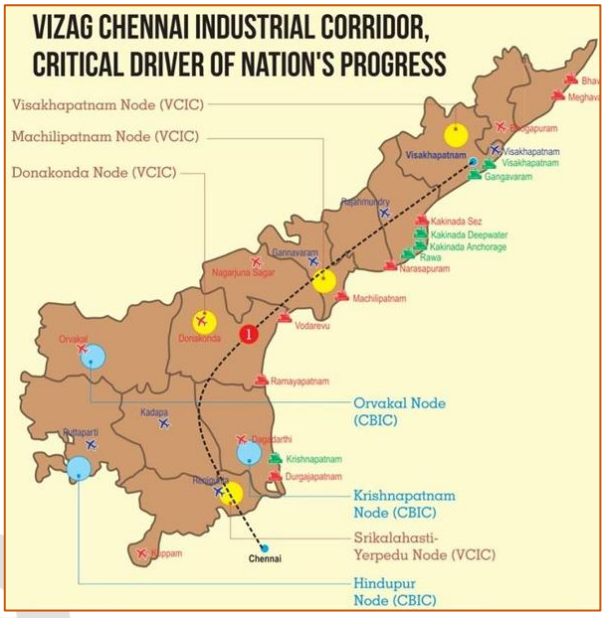
	• Suggest reforms for inclusive, sustainable, and balanced industrial growth.
Introduction	Andhra Pradesh's industrial policy has evolved since 2015 to attract investment, generate jobs and develop sectoral clusters, with renewed emphasis after bifurcation. Recent policy versions seek to combine fiscal incentives with infrastructure-led facilitation. The state aims to position itself as a manufacturing and export hub while addressing regional imbalances.
Body & Infographic Representation	**AP Industrial Policy evolution & objectives** • The 2015–20 Industrial Development Policy set ambitious targets (including large investment attraction and employment generation) and identified sectoral/district synergies to drive manufacturing-led growth. • Subsequent updates (2020–23) continued fiscal support to MSMEs, large and mega units, while the latest Industrial Development Policy 2024–29 (AP Ind. Policy 4.0) introduces new instruments such as capital subsidies, employment/top-up subsidies and decarbonisation incentives, to make the state more competitive. **Major initiatives for industrial development in AP** • **Plug-and-Play / Private Industrial Parks**: Industrial Policy (2024–29) promotes private 'plug-and-play' industrial parks with operational guidelines and incentives to reduce time-to-market for investors. • **Sectoral focus & clusters:** Focus sectors (electronics, food processing, EVs, pharma, textiles) with district mapping and special parks aim to create supply-chain linkages. • **Ease of doing business & land policy**: Single-window clearance, online approvals, and reclamation/allotment of industrial land through APIIC accelerate project implementation. **Support measures for industrial development in AP** • Fiscal incentives include capital subsidy, SGST/power reimbursements, stamp duty waivers, employment subsidies and top-up PLI-like support for priority sectors. • Targeted MSME schemes, technology support and export promotion form part of the compendium of state and central supports for industry. **Bottlenecks & implementation gaps in the state's Industrial development** • Persistent constraints are: land-bank utilisation delays, inadequate logistics (road/rail links and last-mile connectivity), intermittent power and water supply issues, skill-workforce mismatch, and regulatory/administrative delays at local levels. • Environmental clearances and delays in converting policy incentives into on-ground take-up also hinder outcomes. • Empirically, policy revisions show incentives rising to attract investments, a sign of competition but also of underlying structural gaps that cash incentives alone cannot fix.
Conclusion	AP's evolving industrial policy demonstrates a proactive, incentive-driven strategy to attract investment and modernise infrastructure. While plug-and-play parks, sectoral clusters and fiscal support strengthen the supply side, enduring bottlenecks such as land delivery, logistics, utilities and skills must be resolved for durable industrialisation. A sustained focus on implementation, backwards-linkage development and green infrastructure will determine long-term success.
Model Question	Assess the effectiveness of Andhra Pradesh's industrial policy framework in promoting inclusive and sustainable industrial growth. Highlight key enablers and persistent challenges.
Value Addition	The Andhra Pradesh Innovation and Startup Policy (2014–20) was launched to transform the state into a leading innovation-driven entrepreneurial hub in India. It aimed

	to create an enabling ecosystem by establishing incubation centres, innovation hubs, and venture capital support across all districts. The policy targeted the creation of 100 incubators and 5,000 startups, generating over one lakh direct jobs by 2020. It provided incentives such as reimbursement of patent costs, tax exemptions, and skill development support for young entrepreneurs. By fostering collaboration between industry, academia, and government, the policy positioned Andhra Pradesh as an emerging knowledge and technology hub in South India.
236. Discuss the Industrial Policy statement 2015-20 of Andhra Pradesh. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Industrial Policy
Keyword	Discuss
Approach	• Mention aims of the 2015–20 policy, post-bifurcation industrial revival and investment promotion. • Discuss objectives, focus sectors, incentives, ease of doing business, and institutional mechanisms. • Evaluate achievements and lessons for the upcoming policy framework (2020–25).
Introduction	Following the bifurcation of Andhra Pradesh in 2014, the state faced significant challenges in rebuilding its industrial base. The Industrial Policy Statement 2015–20 was formulated to attract investments, generate employment, and promote balanced regional development. It aimed to transform Andhra Pradesh into a "sunrise state" by creating a business-friendly ecosystem through innovation, infrastructure, and inclusive growth.
Body & Infographic Representation	**Objectives and Vision of the Industrial Policy Statement 2015-20** • The Industrial Policy 2015–20 was guided by the vision of making Andhra Pradesh one of India's top three investment destinations by 2022. Its primary goals included: ✓ Creation of 10 lakh jobs through industrialisation. ✓ Ensuring double-digit GSDP growth through manufacturing and services. ✓ Promotion of inclusive and sustainable industrial growth, with a focus on backward regions like Rayalaseema and North Coastal AP. **Salient Features of the Policy** • **Ease of Doing Business:** A Single Desk Portal (SDP) was launched to provide all approvals within 21 days, making AP rank No. 1 in EoDB. • **Investment Incentives**: Fiscal incentives included SGST reimbursements, capital and power subsidies, stamp duty exemptions, and interest subsidies for MSMEs. • **Infrastructure Development:** Establishment of industrial corridors (Visakhapatnam–Chennai, Bengaluru–Chennai), APIIC Mega Industrial Parks, and logistics hubs. • **Focus Sectors**: Electronics, food processing, automobiles, textiles, pharmaceuticals, and petrochemicals. • **Skill Development**: Creation of AP State Skill Development Corporation (APSSDC) to align workforce skills with industry needs. **Achievements and Outcomes** • The state attracted investment proposals and created employment opportunities. • Major investors included Kia Motors (Anantapur), Amara Raja Batteries, Aurobindo Pharma, and Apache Footwear. • However, infrastructure bottlenecks, delayed land allotments, and limited MSME credit access constrained the full realisation of targets. **Critical Appraisal** • While the policy achieved substantial investment inflows and recognition in EoDB, challenges remained in ensuring equitable growth, regional balance, and sustainable employment generation.

	• The heavy reliance on large industries limited the growth of small and rural enterprises.
Conclusion	The Industrial Policy 2015–20 laid a strong foundation for Andhra Pradesh's post-bifurcation industrial revival. Its emphasis on ease of doing business and sectoral promotion was commendable, yet execution gaps persisted. Future policies must prioritise MSME empowerment, sustainable infrastructure, and balanced regional growth for inclusive industrialisation.
Model Question	Analyse the objectives, thrust areas, and implementation mechanisms of the Andhra Pradesh Industrial Policy (2015–20) and evaluate its outcomes in the post-bifurcation context.
Value Addition	The Andhra Pradesh State Skill Development Corporation (APSSDC) is the nodal agency established in 2014 as a public-private partnership (PPP) to spearhead skill development initiatives and entrepreneurship in the state. Operating under the Department of Skills Development & Training, its primary mission is to create a high-quality, skilled workforce aligned with specific industry requirements to enhance the employability of local youth. APSSDC implements various state and central government schemes, such as the Pradhan Mantri Kaushal Vikas Yojana (PMKVY), through a vast network of skill hubs, skill spokes, and colleges across the state. The corporation also facilitates global employment opportunities and works to bridge the skill gap through strategic collaborations with international companies and educational partners.
237. Discuss salient features of Andhra Pradesh Industrial Investment Promotion Policy - 2015-20. (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Industrial Policy
Keyword	Discuss
Approach	• Define the scope and intent of the Investment Promotion Policy. • Outline salient features like MSME support, fiscal incentives, infrastructure development, and thrust sectors. • Assess its role in attracting investment and recommend steps to overcome policy and implementation gaps.
Introduction	After the bifurcation of Andhra Pradesh in 2014, the government introduced the Industrial Investment Promotion Policy (IIPP) 2015–20 to rebuild the state's economic base and attract investments. The policy aimed to position Andhra Pradesh as a globally competitive investment destination with inclusive, innovation-driven, and infrastructure-supported growth. It aligned with the "Sunrise Andhra Pradesh Vision 2029" to achieve double-digit GSDP growth through industrialisation.
Body & Infographic Representation	**Objectives and Strategic Focus of Andhra Pradesh Industrial Investment Promotion Policy - 2015-20** • The IIPP 2015–20 sought to: ✓ Facilitate rapid industrialisation and employment generation. ✓ Promote balanced regional development with a focus on backward districts like Rayalaseema and North Coastal Andhra. ✓ Encourage investment across MSME, large, and mega industries through transparent incentives and single-window facilitation. **Salient Features of the Policy** • **Ease of Doing Business (EoDB):** Launch of the Single Desk Portal (SDP) for 21-day online approvals, helping Andhra Pradesh rank 1st in EoDB in India. • **Fiscal Incentives:** ✓ 100% reimbursement of stamp duty for 5 years. ✓ The policy offered a 15% investment subsidy on fixed capital investment. ✓ Interest subsidy of ₹0.75 per unit (75 paise) for five years.

	• **Infrastructure Development**: ✓ Establishment of Industrial Corridors (VCIC and CBIC) and APIIC Mega Industrial Parks. ✓ Creation of plug-and-play industrial zones with ready utilities. ✓ **Skill and Technology Development**: Formation of AP State Skill Development Corporation (APSSDC) and Technology Development Centres for industry-oriented training. ✓ **Focus Sectors:** Food processing, textiles, automobiles, electronics, pharmaceuticals, and renewable energy. ✓ **Investment Facilitation:** A Dedicated investment promotion agency, such as APEDB (Andhra Pradesh Economic Development Board), to attract global investors. • **Outcomes and Empirical Evidence** ✓ The state received significant investment proposals during the period. ✓ **Major projects:** Kia Motors (Anantapur), Hetero Drugs, Aurobindo Pharma, and Apache Footwear. ✓ Many direct and indirect jobs were generated. ✓ However, land acquisition delays, infrastructure gaps, and uneven regional investment remained bottlenecks.
Conclusion	The IIPP 2015–20 played a pivotal role in restoring investor confidence in post-bifurcation Andhra Pradesh through policy stability and facilitation measures. Its strong incentives and EoDB reforms catalysed large-scale investments. Yet, addressing regional disparities, MSME financing, and logistics infrastructure remains vital for sustaining long-term industrial growth.
Model Question	Enumerate the key provisions of the Andhra Pradesh Industrial Investment Promotion Policy (2015–20) and assess its role in attracting investments and promoting MSMEs in the state.
Value Addition	The APIIC Industrial Parks Scheme is implemented by the Andhra Pradesh Industrial Infrastructure Corporation (APIIC) to promote planned industrial development across the state. It focuses on developing plug-and-play industrial parks, Special Economic Zones (SEZs), and MSME clusters with state-of-the-art infrastructure and utilities. The scheme ensures land allotment, road connectivity, power, water, and waste management facilities to attract both domestic and foreign investors. APIIC has established industrial nodes under the Visakhapatnam–Chennai and Chennai–Bengaluru Industrial Corridors, enhancing regional competitiveness.
238. Explain the development programme of Visakhapatnam Chennai Industrial Corridor Development program (VCICDP). Write a short note on the socio-economic impact of the VCICDP. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Corridors
Keyword	Explain, Write a short note
Approach	• Begin with a contextual introduction linking VCICDP to the ADB-supported East Coast Economic Corridor and national initiatives like Make in India. • In the body, explain key components—infrastructure, connectivity, power, and policy reforms—using examples. Highlight socio-economic impacts such as industrial output and employment. • Conclude by emphasizing sustainable growth, inclusivity, and the importance of timely institutional and infrastructural implementation.
Introduction	The Visakhapatnam-Chennai Industrial Corridor Development Program (VCICDP) is a major infrastructure and policy reform initiative supported by the Asian Development Bank (ADB) to boost manufacturing and create jobs along the 800 km coastline of Andhra Pradesh. It is a key part of the broader East Coast Economic Corridor and aligns with the Government of India's "Make in India" and "Act East" policies.

Body & Infographic Representation	**Key components and development areas include:** • **Infrastructure Development in Industrial Clusters:** ✓ The program focuses on developing high-quality internal infrastructure in identified industrial nodes, including Visakhapatnam (Rambilli and Nakkapalli) and Srikalahasti-Chittoor (Naidupeta and Chittoor-South). ✓ This involves internal roads, reliable water supply (including water treatment and common effluent treatment plants), sewerage/drainage systems, and hazardous waste management. • **Enhanced Connectivity:** ✓ A crucial aspect is improving transport logistics through investments in road networks. This includes widening state highways and improving last-mile connectivity between industrial nodes, ports, and urban areas to ensure efficient movement of goods. • **Power Infrastructure:** ✓ The program involves strengthening the power transmission and distribution systems to meet the high demand from industrial units along the corridor. • **Policy and Institutional Reforms:** ✓ The PBL component supports the Government of Andhra Pradesh in improving the "ease of doing business" through initiatives like developing an e-portal and a single-desk system for business licenses, and implementing policies to attract investment. **Socio-Economic Impact of the VCICDP:** • The VCICDP is designed to be a catalyst for significant socio-economic transformation in Andhra Pradesh. The expected impact is a substantial increase in the manufacturing sector's contribution to the state's GDP, trade, and employment. • **Positive Impacts:** ✓ **Economic Growth:** The program aims to boost industrial output dramatically. Projections indicate that the corridor's industrial output could rise from an estimated $16 billion to about $64 billion over ten years under a "business-induced" scenario. ✓ **Employment Generation:** A primary goal is the creation of a significant number of high-quality jobs. The program is expected to generate an additional 1.03 million direct jobs in selected industries within ten years, with potential for up to 9.5 million jobs in 30 years. ✓ **Improved Investment Climate:** By streamlining regulations and developing world-class infrastructure, the program enhances the state's attractiveness for domestic and foreign investment, especially in key sectors like pharmaceuticals, auto components, and textiles. • **Challenges and Mitigation:**



	✓ **Land Acquisition and Resettlement:** The development of new industrial clusters and roads necessitates land acquisition, which has resulted in involuntary resettlement and economic displacement for some families, including vulnerable tribal communities. The program includes frameworks and compensation measures to mitigate these adverse social impacts and provide additional assistance to affected vulnerable households. ✓ **Environmental Concerns:** The project incorporates measures to manage environmental impacts, such as developing hazardous waste management systems and implementing environmental monitoring plans, to ensure sustainable development.
Conclusion	VCICDP is a strategically important programme to convert Andhra Pradesh's coastline into a high-value industrial and logistics corridor. If institutional reforms, social safeguards, and timely infrastructure delivery are sustained, the corridor can generate large employment, broaden industrialization, and raise export earnings provided local communities share in the gains through livelihood support, skill training and inclusive land-use planning.
Model Question	Evaluate the role of the Visakhapatnam–Chennai Industrial Corridor (VCIC) in enhancing logistics connectivity and attracting foreign investment. What are its environmental and social implications?
Value Addition	**Other major projects and nodes:** • National Industrial Corridor Development Programme (NICDP): Andhra Pradesh is also developing industrial nodes under the NICDP, including Orvakal and Kopparthy. • Investment and job potential: The Krishnapatnam node is projected to attract ₹10,500 crore with employment for 100,000 people, while Orvakal and Kopparthy are expected to attract ₹12,000 crore and ₹8,800 crore, respectively, with job creation for about 45,000 and 54,000 people. **Other corridors:** • Bengaluru-Mumbai Industrial Corridor (BMIC): This corridor also includes a node in Andhra Pradesh. • Chennai-Bengaluru Industrial Corridor (CBIC): This corridor also includes a node in Andhra Pradesh. • East Coast Economic Corridor (ECEC): The VCIC is considered the first phase of the ECEC.
239. Discuss the objectives, complementary components and the importance of node-centric development of Phase-I of the East Coast Economic Corridor. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Corridors
Keyword	Discuss
Approach	• Begin with an introduction linking VCIC to India's Act East Policy and Make in India vision. • In the body, outline objectives such as industrial competitiveness, investment promotion, regional balance, and job creation. Highlight complementary components—infra investment, policy reforms, and urbanization—followed by node-centric development benefits. • Conclude by emphasizing VCIC's role in sustainable, inclusive, export-led growth
Introduction	The first phase of the East Coast Economic Corridor (ECEC) focuses on the Visakhapatnam-Chennai Industrial Corridor (VCIC), an 800 km stretch along the Andhra Pradesh coast. This phase is foundational for the larger ECEC, which aims to drive port-based industrial development along India's eastern coastline and connect domestic industries with global value chains. The VCIC is aligned with India's "Act East Policy" and "Make in India" initiatives, focusing on strategic, node-centric development.

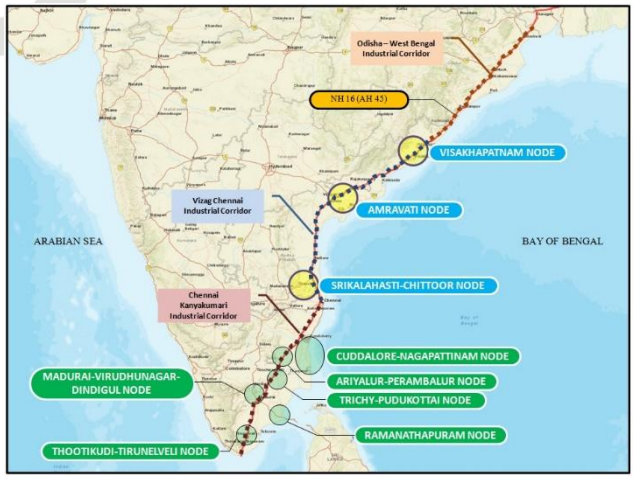
Body & Infographic Representation

Objectives of the ECoEC (Phase-I: VCIC)

- **Industrial Competitiveness and Regional Integration:**
  - ✓ To develop world-class infrastructure connecting ports, industrial nodes, and logistics hubs, facilitating global trade and regional value chain integration, especially with ASEAN and East Asia.
- **Promote Manufacturing and Investment:**
  - ✓ To attract both domestic and foreign direct investment (FDI) in key manufacturing sectors such as electronics, textiles, food processing, petrochemicals, and automobiles.
- **Balanced Regional Development:**
  - ✓ To reduce intra-state disparities by developing industrial nodes in less-developed regions of Andhra Pradesh, ensuring equitable growth beyond urban centers.
- **Job Creation and Skill Development:**
  - ✓ To create high-quality employment opportunities, particularly in non-agricultural sectors, supported by targeted skill development programs.

Complementary Components:

- **Infrastructure Investment:**
  - ✓ Alongside core transport and power infrastructure, the program focuses on building advanced internal infrastructure within industrial nodes.
  - ✓ This includes water treatment plants, common effluent treatment facilities, and internal roads, as seen in clusters like Visakhapatnam and Srikalahasti-Chittoor.
- **Policy and Regulatory Reforms:**
  - ✓ The VCIC is complemented by institutional changes at various government levels to create an enabling regulatory environment.
  - ✓ For example, ADB-supported policy reforms helped Andhra Pradesh improve its "ease of doing business" ranking.
- **Urbanization:**
  - ✓ To support industrial growth, the corridor incorporates planned urbanization by ensuring adequate physical and social infrastructure in urban centers.
  - ✓ Model developments, such as the one planned for the Srikalahasti-Chittoor node, help meet the quality-of-life needs for workers.



Importance of Node-Centric Development:

- **Efficiency and Focus:**
  - ✓ By concentrating on specific nodes, resources are utilized efficiently, creating industrial clusters with backward and forward linkages.
  - ✓ Example: The Visakhapatnam–Kakinada belt serves as a major petrochemical hub with integrated logistics.
- **Regional Equity:**
  - ✓ Ensures development spreads to coastal and interior districts, reducing urban concentration in Visakhapatnam.

	• **Catalyst for Export Growth:** ✓ Nodes located near ports enable cost-effective export-import operations, promoting Andhra Pradesh as a gateway to Southeast Asia.
Conclusion	The Phase-I of the East Coast Economic Corridor (VCIC) represents a transformative development model emphasizing node-centric, inclusive, and sustainable industrialization. By synchronizing infrastructure, policy reforms, and human capital, Andhra Pradesh is positioning itself as a manufacturing powerhouse and global trade hub. In the long term, the success of VCIC will serve as a template for subsequent phases of ECoEC, integrating India more deeply with the Indo-Pacific economic architecture.
Model Question	Analyze the concept of node-centric development in industrial corridor planning. How does this approach ensure sustainable urban-industrial growth in Andhra Pradesh?
Value Addition	**The East Coast Economic Corridor (ECEC):** • **Geographical scope:** Covers the 2,500 km eastern coastline of India, from Kanyakumari in Tamil Nadu to Kolkata in West Bengal. • **Development partner:** Developed with assistance from the Asian Development Bank (ADB), which is investing $500 million in infrastructure development. • **Economic focus:** Designed to boost economic development and industrial growth along India's eastern coast. • **Key sub-corridor:** Includes the Visakhapatnam–Chennai Industrial Corridor, which is an 800 km corridor linked to ASEAN and East Asian economies. • **Industrial nodes:** Specific industrial nodes are being developed, such as Visakhapatnam, Kakinada, Kankipadu-Gannavaram, and Yerpedu-Srikalahasti in Andhra Pradesh.
240. With respect to the Micro, Small and Medium Enterprises (MSMEs) in Andhra Pradesh, discuss the following: (i) Importance of MSMEs in Andhra Pradesh economy (ii) Scope and implementation of Dr. YSR Navodayam and ReSTART programmes in Andhra Pradesh. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	Discuss
Approach	• Begin with an introduction highlighting the importance of MSMEs in Andhra Pradesh's industrial and economic landscape. • In the body, explain their contributions to employment, exports, and regional balance using data. Then, discuss the objectives, scope, and implementation of Dr. YSR Navodayam and ReSTART schemes. • Conclude by emphasizing MSMEs' role in self-reliant, inclusive, and sustainable industrial growth.
Introduction	Micro, Small and Medium Enterprises (MSMEs) form the backbone of Andhra Pradesh's industrial ecosystem. They play a crucial role in employment generation, balanced regional development, and inclusive economic growth. With over 2 lakh MSME units and contributing nearly 35% to the state's Gross Value Added (GVA), this sector remains vital to the post-bifurcation industrial recovery of Andhra Pradesh.
Body & Infographic Representation	**Importance of MSMEs in the Andhra Pradesh Economy:** • **Employment Generation:** ✓ MSMEs are the second-largest employer after agriculture, providing jobs to millions of people, especially in rural and semi-urban areas. ✓ According to the Andhra Pradesh Industrial and Investment Promotion Policy (2020–25), AP had over 1.6 million registered MSMEs, employing over 100 lakh people in sectors like textiles, food processing, electronics, and pharmaceuticals.

- **Contribution to GSDP and Exports:**
  - ✓ The sector is a significant contributor to the state's Gross State Domestic Product (GSDP), accounting for an estimated 23.5% of AP's GDP. It also boosts trade, contributing approximately 28.3% of the state's exports, helping to earn foreign exchange.
- **Promoting Balanced Regional Development:**
  - ✓ Post bifurcation, MSMEs have helped reduce regional disparities by promoting local entrepreneurship in backward districts such as Srikakulam and Kurnool. The Cluster Development Programme (CDP) of the Ministry of MSME has encouraged localized industrial growth, creating self-sustaining ecosystems.
- **Encouraging Women and SC/ST Entrepreneurship:**

New classification of MSME

Type	INVESTMENT		TURNOVER	
	Current	Revised	Current	Revised
MicroEnterprise	Rs 1cr	Rs 2.5cr	Rs 5cr	Rs 10cr
Small Enterprise	Rs 10cr	Rs 25cr	Rs 50cr	Rs 100cr
Medium Enterprise	Rs 50cr	Rs 125cr	Rs 250cr	Rs 500cr

Source: Budget 2025-2026, Speech of Nirmala Sitharama, Union Minister of Finance February 1, 2025.

  - ✓ Through programs like YSR Jagananna Badugu Vikasam (2020), the state promotes inclusive entrepreneurship among women and marginalized communities. Many self-help group members under SERP and MEPMA have transitioned into micro-enterprises.

Scope and Implementation of Dr. YSR Navodayam and ReSTART Programmes:

Dr. YSR Navodayam Programme:

- This scheme was launched in 2019 with the primary objective of providing financial relief to stressed MSMEs by facilitating the one-time restructuring (OTR) of their bank loans.
  - ✓ **Scope:** The scheme was applicable to existing MSME loans classified as 'standard' as of March 31, 2020, with a maximum limit of ₹25 crores. It aimed to prevent these units from becoming Non-Performing Assets (NPAs) and ensure their continued operation. The government supported and monitored the implementation of the Reserve Bank of India's (RBI) OTR guidelines.
  - ✓ **Implementation:** The government instructed all banks to reschedule eligible loans. To help with the process, it committed to reimbursing 50% of the auditor's fee (up to ₹2 lakh) for the preparation of a Techno-Economic Viability (TEV) report, a document often required for loan restructuring. District-level committees were also formed under the supervision of district collectors to verify losses and facilitate loan processes.

ReSTART Programme:

- Launched in May 2020, the ReSTART package was a special initiative designed to revive the MSME sector from the adverse effects of the COVID-19 lockdown.
  - ✓ Scope: The program aimed to provide immediate liquidity and working capital support to units that had shut down temporarily due to the pandemic. It covered various incentives, including the waiver of fixed demand charges for power for three months (April to June 2020) and a preferential market access policy.

	✓ **Implementation:** The government released ₹905 crores in pending industrial incentives to MSME units within two months to ease immediate financial strain. A fund of ₹200 crores was created to provide working capital loans at low-interest rates. Furthermore, a policy of mandatory government procurement was implemented, ensuring that 25% of all state government purchases of 364 specified items were made from micro and small enterprises, with specific quotas for women and SC/ST entrepreneurs. The application process generated a unique "Parisrama Aadhar" ID to help in monitoring and providing integrated support.
Conclusion	MSMEs remain the growth engines of Andhra Pradesh's economy, fostering self-reliance and local employment. Initiatives like Dr. YSR Navodayam and ReSTART exemplify the state's commitment to nurturing resilience and sustainability in this vital sector. Strengthening institutional support and market linkages will be key to achieving "Aatma Nirbhar Andhra Pradesh."
Model Question	Critically examine the role of MSMEs in promoting inclusive and regionally balanced industrialization in Andhra Pradesh. Suggest policy interventions for post-pandemic recovery.
Value Addition	**The Andhra Pradesh MSME & Entrepreneur Development Policy 4.0 (2024-29)** • Officially launched on October 26, 2024, the policy aims to position the state as a "Champion State" for MSMEs, with the overarching vision of achieving "One Entrepreneur, One Family" by 2030. • **Key Objectives and Targets:** ✓ Investment: Attract an additional INR 50,000 crores in manufacturing from MSMEs. ✓ Employment: Generate more than 5 lakh direct and indirect jobs. ✓ Formalization: Formalize 22 lakh MSMEs (manufacturing and services). ✓ Exports: Double exports from the MSME sector to USD 12 billion by 2029 and integrate 500+ MSME "Champions" into global value chains. ✓ Infrastructure: Develop 175+ MSME parks with plug-and-play facilities, many in a public-private partnership (PPP) mode. ✓ Innovation: Establish "Ratan Tata Innovation Hubs" in a hub-and-spoke model to foster innovation, entrepreneurship, and mentorship for startups.
241. Explain the 'PUSH' strategy of the Government of Andhra Pradesh with respect to Export Promotion Policy (2022 - 27). Discuss the challenges of export sector and the support extended by the AP Government towards export promotion in Andhra Pradesh. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	Explain, Discuss
Approach	• Begin with the objective of Andhra Pradesh's Export Promotion Policy (2022–27) and the role of the 'PUSH' strategy in doubling exports. • Discuss key components—proactive infrastructure, targeted incentives, market facilitation, and institutional support. Then highlight challenges like logistics gaps, quality standards, and credit constraints. • Conclude with evaluation—linking effective implementation and diversification to resilient export-led growth.
Introduction	The 'PUSH' strategy is a core component of the Government of Andhra Pradesh's Export Promotion Policy (2022-27), aiming to proactively facilitate and drive export growth from the state. This strategy is designed to move beyond a passive role to actively support exporters in overcoming structural and operational constraints. The goal is to increase the state's exports from ₹1.75 lakh crore to ₹3.5 lakh crore during the policy period.

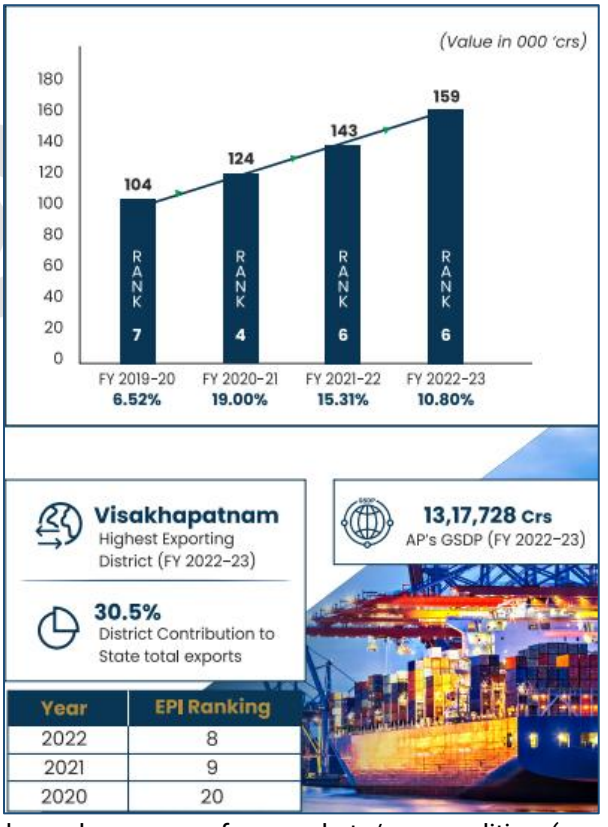
Body & Infographic Representation

Key elements of the 'PUSH' strategy include:

- **Proactive Infrastructure Development:**
  - ✓ The government is actively building world-class infrastructure to support exports.
  - ✓ This includes the development of three new greenfield ports and eight fishing harbors to increase cargo handling capacity and reduce logistics costs from the current 13% to international standards of around 8%.
- **Targeted Incentives and Subsidies:**
  - ✓ The policy provides specific financial incentives to encourage export-oriented units.
  - ✓ Examples include reimbursement of 50% of the cost for obtaining essential international quality certifications (e.g., CE, GMP) (up to ₹2 lakh per annum) and a 30% subsidy on ground rent for participation in international trade fairs.
- **Market Promotion and Facilitation:**
  - ✓ A corpus fund of ₹10 crore has been created for the promotion of exporters and marketing of export produce.
  - ✓ The government also works with various Export Promotion Councils (EPCs) to facilitate participation in trade fairs and exhibitions, improving market visibility for AP products.

Challenges of the Export Sector

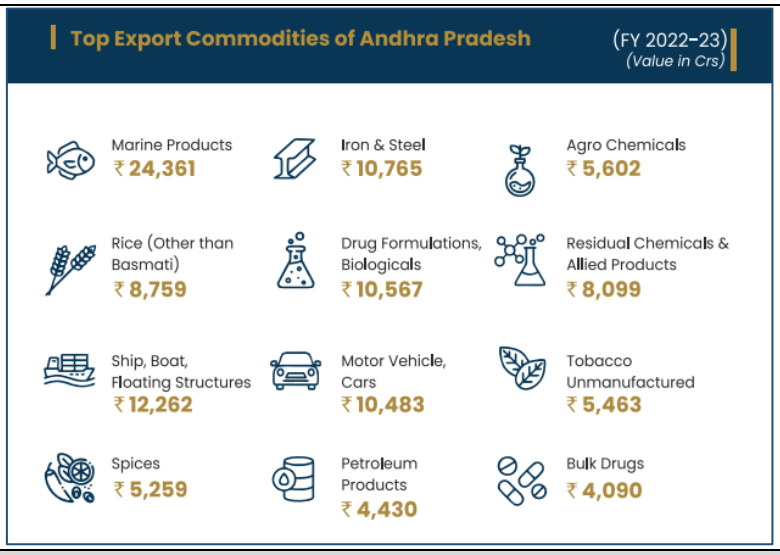
- **Infrastructure & logistics gaps:** inadequate cold chains, port hinterland connectivity, and last-mile roads raise costs and cause spoilage especially in perishables.
- **Quality and standards compliance:** many MSMEs lack capacity to meet international sanitary, phytosanitary and technical standards.
- **Fragmented value chains and small scale:** predominance of small units leads to low value addition and weak bargaining power.
- **Finance and credit constraints:** export working capital and pre-shipment credit gaps affect competitiveness.



- **Global risks & concentration:** dependence on a few markets/commodities (e.g., marine/shrimp) exposes the State to price and demand shocks.

Support Extended by the AP Government Towards Export Promotion

- **Infrastructure Augmentation:** Apart from new ports, the government plans to augment warehousing capacity from 13 lakh MT to 56 lakh MT and cold storage capacity from 15.6 lakh MT to 40 lakh MT to improve supply chain efficiency.
- **Financial Incentives:** The government offers various incentives, including interest subvention on term loans, reimbursement of stamp duty, and a special package for women, SC, and ST entrepreneurs to encourage participation.

	• **Institutional Support:** The Andhra Pradesh Trade Promotion Corporation (APTPC) serves as a nodal agency to guide exporters. The "Districts as Export Hubs" initiative identifies potential products in each district (e.g., chillies in Guntur, marine products in Visakhapatnam) and provides tailored support to develop their export potential. • **Regulatory Ease:** The state focuses on creating business-friendly processes to save time and money, and provides a grievance redressal cell at the Directorate of Industries to sort out issues faced by Export-oriented Units (EoUs). • **Quality and Skill Enhancement:** The government provides financial assistance for quality certification and organizes training and awareness sessions to educate exporters about international requirements and available central government schemes like the Export Promotion Capital Goods (EPCG) scheme.
Conclusion	AP's PUSH strategy is pragmatic — it links promotion with institutional reform, infrastructure upgrades, and digital/hub development to tackle concrete export bottlenecks. Successful delivery will depend on implementation speed, finance for MSMEs, and diversifying product-market baskets so that growth is resilient and inclusive.
Model Question	Explain the major features of the Andhra Pradesh Export Promotion Policy (2022–27). How does it align with the state's vision of "Decarbonized Industrial Growth"?
Value Addition	

242. What are the challenges faced by the industrial sector of Andhra Pradesh? Throw light on the strategies created to face these challenges. (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	What, Throw light on
Approach	• Begin with an introduction highlighting Andhra Pradesh's industrial potential and post-bifurcation challenges. • Present key issues under clear subheadings—economic disruptions, infrastructure gaps, and MSME constraints—with data and examples. Follow with government strategies such as industrial policies, corridors, MSME and skill initiatives. • Conclude by emphasizing balanced, sustainable, and innovation-driven industrial growth for Andhra Pradesh.
Introduction	Andhra Pradesh, endowed with a long coastline, abundant minerals, and a skilled workforce, has strong potential for industrial growth. However, post-bifurcation challenges, infrastructure constraints, and policy bottlenecks have hindered its pace. The state has adopted several strategies and reforms to overcome these challenges and realize its vision of "Decentralized Industrial Growth."

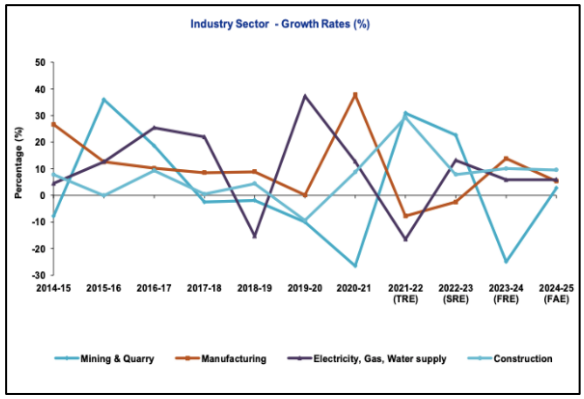
Body & Infographic Representation	**Challenges Faced by the Industrial Sector** • **Post-Bifurcation Economic Disruptions** ✓ The bifurcation of Andhra Pradesh in 2014 resulted in the loss of Hyderabad—the state's major industrial and IT hub. This led to a sharp decline in revenue, industrial base, and investor confidence. ✓ Example: The contribution of industries to GSDP fell from around 24% (2013-14) to 17% (2018-19). • **Inadequate Infrastructure** ✓ Limited port connectivity in interior regions, insufficient power transmission infrastructure, and delays in industrial corridor projects constrain expansion. ✓ Example: The Visakhapatnam–Chennai Industrial Corridor (VCIC) faced delays in completing trunk infrastructure and utilities. • **Issues of Land and Clearances** ✓ Acquiring large tracts of land for industrial parks often meets with legal and social hurdles. Lengthy environmental and procedural clearances discourage investors. ✓ Example: Delays in land acquisition affected the Nellore industrial node under the VCIC project. • **Financial and Credit Constraints** ✓ Micro, Small, and Medium Enterprises (MSMEs)—which form the backbone of AP's industrial base—face difficulties in accessing credit and technology. ✓ Data: Nearly 90% of MSMEs depend on informal finance, limiting modernization and competitiveness. • **Skill and Technology Gaps** ✓ Skill mismatch between industrial needs and available workforce persists, particularly in emerging sectors like electronics, renewable energy, and biotechnology. **Strategies and Government Initiatives:** • **Industrial Policy Framework** ✓ The AP Industrial Development Policy (2020–23) emphasizes ease of doing business, sector-specific incentives, and decentralized growth. ✓ Result: Andhra Pradesh ranked #1 in the national Ease of Doing Business rankings (DPIIT, 2020). • **Development of Industrial Corridors** ✓ Projects like VCIC, Chennai–Bengaluru Industrial Corridor (CBIC), and Hyderabad–Bengaluru Industrial Corridor (HBIC) are being implemented to strengthen connectivity and attract investment. • **Support to MSMEs** ✓ Schemes such as YSR Jagananna Badugu Vikasam promote SC/ST entrepreneurs, while MSME ReSTART Programme (2020) offered financial relief during COVID-19 through loan restructuring and interest subsidies. • **Infrastructure and Cluster Development** ✓ The Andhra Pradesh Industrial Infrastructure Corporation (APIIC) is developing new industrial parks, multi-product SEZs, and plug-and-play facilities. ✓ Example: Development of Kopparthy Mega Industrial Hub (Kadapa) and *Orvakal Airport-based Industrial Cluster (Kurnool). • **Skill Development** ✓ The Andhra Pradesh State Skill Development Corporation (APSSDC) aligns training with industry demand. ✓ Example: Collaboration with Siemens and Amaravati Skills Centre for manufacturing-related training.

Conclusion	While Andhra Pradesh's industrial sector faces structural and transitional challenges, the state's proactive policies, corridor-based infrastructure, and MSME-friendly reforms indicate a forward-looking approach. Strengthening logistics, ensuring faster project execution, and promoting innovation will be crucial to achieving balanced industrial growth and transforming Andhra Pradesh into a manufacturing and logistics hub of South India.
Model Question	Critically evaluate the impact of Special Economic Zones (SEZs) in Andhra Pradesh. What are the challenges in their effective functioning, and what corrective measures are being taken?
Value Addition	**Andhra Pradesh Industrial Development Policy (4.0) 2024-29:** • The IDP 4.0 is part of a larger framework of six interconnected policies (all branded "4.0") aimed at transforming Andhra Pradesh into a competitive industrial and manufacturing hub. • **Key Objectives & Targets (2024-2029):** ✓ Investment: Attract ₹30 lakh crore in manufacturing investments. ✓ Employment: Create 5 lakh new jobs. ✓ FDI: Target USD 10 billion (approx. ₹83,000 crore) in Foreign Direct Investment. ✓ Exports: Double state exports to ₹33,200 crore. ✓ Infrastructure: Establish 175+ industrial parks, with one in every assembly constituency.
243. Even though the industrial growth was concentrated in Telangana region, according to the popular perception, it did not help the people of the region under united Andhra Pradesh. Appraise the statement. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	Appraise
Approach	• Define the context briefly – "Though Telangana housed major industries under united Andhra Pradesh, benefits were perceived as unevenly distributed." • Present balanced arguments under subheadings – Industrial concentration in Hyderabad, unequal public investment, skill mismatch, fiscal grievances, and limited spill overs; add a counterpoint for balance. • End with an evaluative statement - "Industrial growth without equitable distribution created perceptions of neglect, shaping the demand for separate statehood."
Introduction	Industrial development in united Andhra Pradesh was heavily concentrated in the Telangana region, particularly around Hyderabad. However, popular perception held that this growth did not translate into tangible benefits for the people of Telangana. This perception stemmed from historical, economic, and administrative factors that shaped the region's socio-economic trajectory.
Body & Infographic Representation	**Industrial Growth Concentration in Telangana** • **Hyderabad-centric development:** ✓ From the 1990s, Hyderabad emerged as the hub for IT, pharmaceuticals, biotechnology, and services. Most private investments and corporate headquarters were concentrated here. • **District disparities:** ✓ While Hyderabad and adjoining districts witnessed rapid growth, many Telangana districts remained largely agrarian and under-industrialised, creating an intra-regional imbalance. **Reasons Growth Did Not Benefit the People Equally** • **Unequal distribution of public investment:**

	✓ Higher education, medical institutions and infrastructure were disproportionately established around Hyderabad leaving rural Telangana with fewer opportunities. • **Skill and labour mismatch:** ✓ Employment generated in IT and high-tech industries required advanced skills. Many jobs were filled by migrants or urban elites, excluding rural Telangana youth. • **Perceived fiscal and administrative neglect:** ✓ Reports and movement analyses pointed to grievances that Telangana's revenues were diverted for projects in coastal Andhra and Rayalaseema, while local needs such as irrigation and power received inadequate attention. • **Limited spill over effects:** ✓ Though Hyderabad's growth increased state revenues, the benefits were not equitably distributed at the district level, reinforcing the sense of alienation. **Counterpoints** • It can be argued that Hyderabad's industrialisation brought indirect benefits in the form of increased state revenues, expansion of services, and some employment generation. • However, these gains were spatially confined and did not substantially alter rural socio-economic conditions in Telangana.
Conclusion	The concentration of industrial growth in Telangana under united Andhra Pradesh, while impressive in absolute terms, did not translate into inclusive development for the wider population of the region. The mismatch between economic growth and social welfare created a strong perception of neglect, which ultimately contributed to the demand for separate statehood.
Model Question	"Industrial concentration without distributive justice fuels regional movements. Substantiate with reference to Telangana."
Value Addition	The TS-iPASS Act, 2014 enables fast-track industrial approvals in Telangana. It covers all relevant departments, sets clear time limits (1–30 days), mandates pre-scrutiny of applications, limits additional information requests to once within three days, and empowers entrepreneurs to track delays, penalizing officials for non-compliance.
244. Evaluate the performance of Industrial Sector in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	Evaluate
Approach	• Introduce by highlighting the role of the industrial sector in Andhra Pradesh's economy and its contribution to GVA. • Evaluate subsector-wise performance of manufacturing, construction, electricity, and mining—using recent data and trends. • Conclude by summarizing the sector's overall growth, diversification, and positive impact on state development and employment.
Introduction	The industrial sector plays a crucial role in Andhra Pradesh's economic development by contributing significantly to employment, infrastructure, and Gross Value Added (GVA). Over the last decade (2014-25), the state's industry has shown fluctuating but positive performance, with strong recovery after the pandemic and diversification within subsectors like construction and manufacturing.
Body & Infographic Representation	**Overall Growth Trend:** • The industrial sector's GVA is projected at Rs.2.22 lakh crore in 2024-25, showing 6.58% growth over the previous year. This indicates consistent recovery after the disruptions of 2020-21. The sector's contribution to the state economy remains around one-fourth of the total GVA, highlighting its structural importance.

Performance of Industrial Sector in Andhra Pradesh:

- **Manufacturing Sector:**
  - ✓ Manufacturing remains the backbone of Andhra Pradesh's industry. Its GVA increased from ₹48,828 crore in 2014-15 to Rs.1,06,281 crore in 2024-25, with steady growth in recent years (5.3% in 2024–25). This reflects the success of policies promoting MSMEs, industrial parks, and sectors like food processing, textiles, and automobiles.



- **Construction Sector:**
  - ✓ Construction has shown robust and consistent growth Rs.39,963 crore (2014–15) to Rs.75,801 crore (2024–25) with a 9.55% growth rate in 2024-25. Public infrastructure projects under Amaravati, Polavaram, housing, and rural connectivity programs have significantly boosted this sector.
- **Electricity, Gas, and Water Supply:**
  - ✓ This sector has grown steadily from Rs.10,251 crore (2014–15) to Rs.24,513 crore (2024-25), reflecting 5.87% growth, supported by renewable energy investments and power reforms.
- **Mining and Quarrying:**
  - ✓ The mining sector shows uneven performance, growing marginally by 2.7% in 2024-25 due to resource exhaustion and regulatory constraints. However, mineral-based industries like limestone and bauxite continue to support regional growth.

Table 2. 4 Estimates of Industry Sector at Constant (2011-12) Prices from 2014-15 to 2024-25(FAE)

Year	Mining & Quarry		Manufacturing		Electricity, Gas, Water supply		Construction	
	GVA (Rs. Cr.)	Gr Rate (%)	GVA (Rs. Cr.)	Gr Rate (%)	GVA (Rs. Cr.)	Gr Rate (%)	GVA (Rs. Cr.)	Gr Rate (%)
2014-15	12,798	-7.8	48,828	26.58	10,251	4.44	39,963	7.79
2015-16	17,393	35.9	54,969	12.58	11,546	12.63	39,947	-0.04
2016-17	20,632	18.62	60,545	10.14	14,481	25.42	43,657	9.29
2017-18	20,116	-2.5	65,701	8.52	17,653	21.91	43,858	0.46
2018-19	19,739	-1.88	71,515	8.85	14,954	-15.29	45,796	4.42
2019-20	17,756	-10.05	71,590	0.1	20,528	37.27	41,503	-9.37
2020-21	13,051	-26.5	98,595	37.72	23,147	12.76	45,137	8.76
2021-22 (TRE)	17,081	30.88	90,936	-7.77	19,329	-16.5	58,330	29.23
2022-23 (SRE)	20,943	22.61	88,651	-2.51	21,876	13.18	62,888	7.81
2023-24 (FRE)	15,722	-24.93	100,913	13.83	23,154	5.84	69,193	10.03
2024-25 (FAE)	16,147	2.7	106,281	5.32	24,513	5.87	75,801	9.55

Conclusion	The industrial sector of Andhra Pradesh has demonstrated consistent improvement and diversification, led by strong gains in manufacturing, construction, and energy. The steady rise in GVA and sectoral balance reflects the success of state initiatives aimed at creating a robust, inclusive, and investment-friendly industrial base.
Model Question	"Discuss the factors responsible for the recent growth of the industrial sector in Andhra Pradesh and explain how state initiatives have contributed to its diversification."
Value Addition	**Andhra Pradesh Economic Growth (Q1 2025-26):**

	• AP recorded 10.5% GSDP growth in Q1 2025-26, higher than the national average of 8.8%. Industrial output grew by 11.9%, led by mining and quarrying (43.5%) and manufacturing (10%). • Services sector rose by 10.7%, while agriculture grew by 9.6%, outperforming the national average (3.2%). • Vision 2047 targets sustained 15% annual growth; FY 2025–26 GSDP target – ₹18.65 lakh crore.
245. Discuss the measures taken by the Government of Andhra Pradesh to promote small scale industries. Have they yielded expected results? (TGPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	Discuss, Have
Approach	• Introduce by highlighting the importance of small-scale industries (SSIs) in Andhra Pradesh's economy as a major source of employment and regional development. • Explain various measures taken by the government such as Industrial Policy 2024–29, MSME incentives, skill and financial support schemes, infrastructure, and export promotion. • Conclude by evaluating that these measures improved MSME growth and employment but challenges like delayed credit and limited technology adoption remain.
Introduction	Small-scale industries (SSIs) form the backbone of Andhra Pradesh's industrial ecosystem by generating employment, promoting balanced regional growth, and supporting rural livelihoods. Recognizing their importance, the Government of Andhra Pradesh has implemented several policy measures and institutional reforms to strengthen the MSME sector, enhance competitiveness, and attract investments through a mix of incentives, infrastructure, and ease of doing business reforms.
Body & Infographic Representation	**Measures taken by the Government of Andhra Pradesh to promote small scale industries:** • **Policy Framework and Incentives:** ✓ AP Industrial Development Policy (4.0), 2024–29 aims at inclusive and sustainable industrialization through fiscal incentives, interest subsidies, power tariff concessions, and GST reimbursements. ✓ AP MSME and Entrepreneurship Development Policy (4.0), 2024–29 provides capital investment subsidies (25%), reimbursement of stamp duty, and support for women and SC/ST entrepreneurs under One Family, One Entrepreneur initiative. • **Institutional and Infrastructural Support:** ✓ District Industries Centres (DICs) facilitate registration, clearances, and credit linkages for small enterprises. MSME Parks and Industrial Clusters established in every district to promote common facilities, marketing linkages, and technology adoption. ✓ Single Desk Portal (APSDP) ensures speedy clearances, making Andhra Pradesh a leader in the Ease of Doing Business (EoDB) rankings. • **Skill and Financial Assistance:** ✓ Schemes like Vaddi Leni Runalu (Interest-free loans) and Pavala Vaddi reduce credit burden for timely loan repayment. ✓ YSR Cheyutha and Navodayam Scheme provide working capital and revival assistance to struggling MSMEs. • **Export and Cluster Development:**

	✓ District as Export Hubs (DEH) promotes MSME-led exports in coir, seafood, and engineering goods. 65 new MSME clusters developed; 8 completed with ₹92.14 crore investment. **Have They Yielded Expected Results?** • The initiatives have significantly improved industrial growth over 2.6 lakh MSMEs established, generating 27 lakh jobs and investments of ₹7,743 crore (2024–25). Andhra Pradesh ranks among the top states in Ease of Doing Business. • However, challenges like delayed subsidy disbursal, credit bottlenecks, and limited technology adoption persist, especially among micro-enterprises.
Conclusion	While Andhra Pradesh's policy push and reforms have strengthened the MSME ecosystem, full realization of potential requires consistent handholding, faster credit flow, and greater innovation linkages. If complemented by digital skilling, logistics infrastructure, and market access support, the state's small-scale industries can emerge as major drivers of sustainable and inclusive industrial growth.
Model Question	Examine the initiatives undertaken by the Government of Andhra Pradesh to strengthen the Micro, Small, and Medium Enterprises (MSME) sector and discuss their impact on regional industrial development and employment generation.
Value Addition	**Micro, Small & Medium Enterprises in AP:** • The Micro, Small & Medium Enterprises (MSMEs) sector has emerged as a highly vibrant and dynamic part of the Indian economy over the last five decades. MSMEs contribute approximately 8% of the country's GDP, 45% of the manufacturing output, and 40% of exports. • They provide the largest share of employment after agriculture, making the development of the MSME sector crucial for the socio-economic progress of the country.
246. Examine the growth and structure of industries in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Industrial Development
Keyword	Examine
Approach	• Introduce by explaining the role of industries in Andhra Pradesh's economy and their contribution to Gross State Value Added (GSVA). • Examine growth by presenting decade-wise trends in industrial GVA and highlighting key performing sectors like manufacturing, construction, and energy. • Analyse structure by discussing sectoral and regional composition of industries and their diversification. • Conclude with policy-driven growth prospects and need for inclusive industrialization.
Introduction	The industrial sector of Andhra Pradesh plays a crucial role in sustaining economic growth and employment. It contributes nearly one-fourth of the Gross State Domestic Product (GSDP). Over the past decade, the state has shown diversified industrial expansion, with strong performance in manufacturing, construction, and energy sectors.
Body & Infographic Representation	**GROWTH PATTERN OF INDUSTRIES IN ANDHRA PRADESH:** • **Overall Industrial Growth:** ✓ The Gross Value Added (GVA) of the industrial sector increased from ₹1.12 lakh crore in 2014–15 to ₹2.22 lakh crore in 2024–25 (FAE), recording an average growth rate of around 6-7%. ✓ Despite the pandemic-induced slowdown, the sector has recovered steadily due to infrastructure investments and industrial reforms. **Sub-sectoral Growth Trends of Industrie:** • **Manufacturing Sector:**

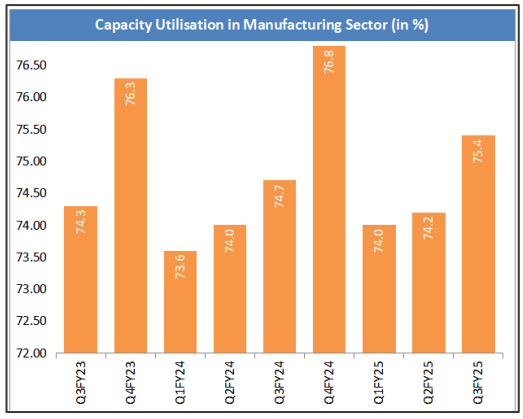
	✓ Manufacturing remains the backbone of the industrial economy. Its GVA rose from ₹48,828 crore to ₹1,06,281 croreduring 2014–25, registering a 5.32% growth rate in 2024–25. Growth has been driven by MSME promotion, industrial parks, food processing, and automobile units in Visakhapatnam, Anantapur, and Chittoor. • **Construction Sector:** ✓ Construction emerged as the fastest-growing segment, increasing from ₹39,963 crore to ₹75,801 crore with 9.55% growth in 2024–25. It is supported by housing, irrigation, and road infrastructure under state-led programs and the development of Amaravati and major industrial corridors. • **Electricity, Gas, and Water Supply:** ✓ This subsector has shown consistent improvement, growing from ₹10,251 crore to ₹24,513 crore, due to renewable energy projects, power reforms, and expansion of transmission capacity. • **Mining and Quarrying:** ✓ Mining showed fluctuating growth, rising from ₹12,798 crore to ₹16,147 crore, with a modest 2.7% growth in 2024–25. ✓ Challenges include resource depletion and environmental restrictions, though mineral-based industries in Kadapa and Kurnool support regional economies. **Structural Features of the Industrial Sector:** • **Sectoral Composition:** ✓ The structure is dominated by manufacturing (around 45%) and construction (around 35%), followed by energy and mining. This composition reflects a shift from raw material-based industries to value-added manufacturing and infrastructure development. • **Regional Distribution:** ✓ Industrial activity is concentrated in coastal and southern districts such as Visakhapatnam, Nellore, Anantapur, and East Godavari, due to port access, industrial corridors, and special economic zones. • **MSME and Emerging Industries:** ✓ Over 1.8 million MSME units operate across the state, contributing significantly to employment and rural industrialization. Emerging sectors include pharmaceuticals, electronics, and renewable energy, aided by government schemes and investor-friendly policies. **Challenges in Industrial Growth:** • Despite progress, challenges persist such as uneven regional growth, logistics and power costs, limited private investment, and moderate employment generation. • Dependence on construction-led growth and environmental pressures also demand balanced industrial planning.
Conclusion	Andhra Pradesh's industries exhibit steady growth with structural diversity, anchored in manufacturing, construction, and energy. To ensure inclusive and sustainable industrialization, the state must strengthen infrastructure, MSME competitiveness, green technologies, and skill development, fostering balanced growth across all districts.
Model Question	"Discuss the major factors influencing industrial development in Andhra Pradesh and evaluate the government's efforts to promote balanced regional growth."
Value Addition	**New policies for Industrial growth in Andhra Pradesh:** To ensure rapid industrialization, the Government of Andhra Pradesh has recently introduced several progressive policy initiatives, including: • Industrial Development Policy (4.0) 2024-29

	• MSME & Entrepreneur Development Policy (4.0) 2024-29 • Food Processing Policy (4.0) 2024-29 • Policy for Establishment of Private Industrial Parks with 'Plug and Play' Industrial Infrastructure (4.0) 2024-29 • Electronics Manufacturing Policy (4.0) 2024-29 • New Andhra Pradesh Sustainable Electric Mobility Policy (4.0) 2024-29
247. Explain the significance of SSI in the development of Andhra Pradesh and mention the incentives extended by the government to this sector. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Industrial Development
Keyword	Explain, Mention
Approach	• Begin by defining SSI/MSMEs and briefly linking them to AP's industrial structure and employment profile. • Explain their role in balanced regional development, rural industrialisation, exports, and women entrepreneurship. • Conclude with AP government incentives—finance, subsidies, tax exemptions, cluster development and assess their effectiveness.
Introduction	Small-Scale Industries (SSI) have historically formed the backbone of Andhra Pradesh's industrial ecosystem by generating employment and supporting decentralized production. Their contribution spans rural industrialisation, balanced regional development, and reducing pressure on agriculture. The government has consistently promoted SSIs through targeted incentives to enhance competitiveness and sustainability.
Body & Infographic Representation	**Significance of SSI in the Development of Andhra Pradesh** • **Employment Generation** ✓ SSI units are labour-intensive and crucial in a state where non-farm employment opportunities are expanding. • **Balanced Regional Development** ✓ SSIs help disperse industries to backward regions. ✓ For example, Uddanam cashew clusters, Mangalagiri handlooms, and Chittoor dairy-processing units have reduced regional disparities and supported local entrepreneurship. • **Contribution to State Economy** ✓ SSIs are major contributors to manufacturing output. ✓ According to an official source from the APIIC (Andhra Pradesh Industrial Infrastructure Corporation) as of February 2024, MSMEs in Andhra Pradesh are a significant sector with around 9.3 lakh registered units, and they contribute to 28.3 per cent of the State's exports. • **Promotion of Rural Industrialisation** ✓ Industries like coir (Nellore), fisheries processing (West Godavari), and handicrafts (Kondapalli toys) illustrate how SSIs promote value addition at the village level, strengthening rural livelihoods and women-led enterprises. • **Strengthening Supply Chains:** SSIs support large industries in Visakhapatnam, Sri City, and Krishnapatnam by acting as ancillary units for the automobile, pharma, and steel sectors, thereby strengthening industrial linkages. **Incentives Extended by the Government of Andhra Pradesh** • **Fiscal Incentives:** Under the AP MSME Policy 2020–23, the government provides: ✓ 35% capital subsidy (up to ₹50 lakh) for Women, BC, SC, ST, and minority entrepreneurs, ✓ 100% stamp duty reimbursement on purchase or lease of land/sheds/buildings for industrial use,

	✓ Power cost reimbursement of ₹1.00/unit for five years for Micro and Small Enterprises ✓ 50% SGST reimbursement for five years. • **Credit Support** ✓ The PMEGP, CGTMSE, and AP's Credit Guarantee Scheme help SSIs access collateral-free loans. • **Infrastructure Support:** MSME parks, plug-and-play facilities, and common effluent treatment plants (CETPs) are being set up at places such as Kopparthy, Mangalagiri, and Sricity for reducing operational costs. • **Skill and Technology Upgradation:** ✓ Through APSSDC and MSME Tool Rooms, training is provided in CNC, automation, and quality certification. ✓ Schemes like ZED (Zero Defect Zero Effect) promote technological adoption. • **Cluster Development Incentives:** AP supports handloom, coir, cashew, and seafood clusters under MSE-CDP, improving competitiveness through shared facilities and marketing support.
Conclusion	SSIs remain central to Andhra Pradesh's industrial transformation by generating employment, supporting rural growth, and contributing significantly to state's output. Government incentives have played a vital role in improving productivity and addressing financial and infrastructural gaps. Strengthening clusters, digitalisation, and market linkages will further enhance the sector's resilience and long-term growth.
Model Question	Assess the role of Small-Scale Industries (SSI) in shaping the industrial landscape of Andhra Pradesh. Describe the major government support mechanisms introduced to strengthen this sector.
Value Addition	The Prime Minister's Employment Generation Programme (PMEGP) is a credit-linked subsidy scheme launched by the Indian government to create employment opportunities by establishing new micro-enterprises in both rural and urban areas. Administered by the Ministry of Micro, Small and Medium Enterprises (MSME) and implemented by the Khadi and Village Industries Commission (KVIC), the scheme merged the previous Prime Minister's Rojgar Yojana (PMRY) and Rural Employment Generation Programme (REGP) in 2008.
11. Infrastructure in India: Transport infrastructure : Ports, Roads, Airports, Railways – Major projects of transport infrastructure in India - Communication infrastructure - Information Technology –e-governance - Digital India – Energy and Power – Urban infrastructure – smart cities – urban environment - solid waste management - Weather forecast and disaster management – Issues of finance, ownership, operation and maintenance of all kinds of infrastructure – Public-private partnership and related issues – Pricing of public utilities and government policy – environmental impacts of infrastructure projects	
248. Discuss the current state of transport infrastructure in India and its contribution to economic development. Highlight key challenges and suggest policy measures for improving its efficiency and reach. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Transport Infrastructure
Keyword	Discuss, Highlight, Suggest
Approach	• Start with an overview of India's transport network, like roads, railways, ports, aviation, and its economic significance. • Discuss contributions to logistics efficiency, connectivity, trade, and regional integration with data. • Highlight challenges (congestion, funding gaps, multimodal issues) and propose measures like Gati Shakti, logistics policy reforms, PPP, and digitalisation.

Introduction	Transport infrastructure in India has expanded rapidly in recent years, emerging as a key enabler of economic development and regional connectivity. Investments in roads, railways, ports, and aviation have strengthened mobility, logistics efficiency, and market integration. However, structural gaps and operational inefficiencies still hinder optimal economic gains.
Body & Infographic Representation	**Current State of Transport Infrastructure in India** • India has recorded significant improvements across multiple transport sectors. • The National Highways network expanded to over 1.46 lakh km in 2024, supported by NHDP and Bharatmala Pariyojana. • Railways operate the world's fourth-largest network, with dedicated freight corridors reducing transit times by 40–50%. • Aviation infrastructure has grown to 148 operational airports, driven by UDAN, which has improved regional air connectivity. **Contribution to Economic Development** • Transport infrastructure enhances market access, reduces logistics costs, and attracts private investment. • India's logistics costs, currently 7.97% of GDP, are declining as multimodal logistics parks and freight corridors are developed. • Efficient transport systems boost agriculture supply chains, manufacturing competitiveness, and export performance. • For example, the Mumbai–Delhi Expressway is expected to reduce travel time by 50%, stimulating industrial corridors such as DMIC. • Improved rural roads under PMGSY have increased school enrolment, market access, and non-farm employment, empirically strengthening inclusive development. **Key Challenges** • Major challenges include high logistics costs due to modal imbalance (60% reliance on roads), congestion in urban transport, funding constraints, land acquisition delays, and outdated vehicle fleets. • Railways face capacity saturation on key routes, while ports struggle with hinterland connectivity gaps. • Environmental concerns, road safety issues, and fragmented institutional coordination further affect efficiency and reach. **Policy Measures for Improvement** • Measures include accelerating Gati Shakti National Master Plan for integrated planning, promoting multimodal transport, expanding DFCs and coastal shipping, strengthening public transport in cities, and incentivising green mobility. • Enhancing private sector participation through PPPs, digitising logistics through ULIP, and prioritising road safety systems are essential. • Streamlining clearances, adopting value engineering, and modernising vehicle and freight fleets will further improve efficiency.
Conclusion	Transport infrastructure remains central to India's economic development and global competitiveness. Addressing structural gaps through integrated multimodal planning and technological modernization is crucial. With sustained reforms, India can achieve lower logistics costs, inclusive connectivity, and accelerated economic growth.
Model Question	Critically evaluate the present condition of India's transport infrastructure and its linkage with national economic growth. Identify persistent constraints and propose policy reforms to enhance its efficiency and accessibility.
Value Addition	Bharatmala Pariyojana is a flagship road development programme aimed at optimising the efficiency of freight and passenger movement across India through a corridor-based

	approach. It targets the construction of 34,800 km of national highways, including economic corridors, border roads, coastal roads, and expressways. The project enhances last-mile connectivity to ports, logistics hubs, and economic zones, thereby reducing logistics costs and travel time.
249. Discuss how infrastructure bottlenecks hinder the growth of the Indian Manufacturing sector. What steps can be taken to address them? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Transport Infrastructure
Keyword	Discuss, What
Approach	• Mention Manufacturing needs like reliable power, transport, logistics, and digital infra. • Mention Bottlenecks like power shortages, port congestion, skill gaps, high logistics cost. • Conclude by mentioning steps such as PM Gati Shakti, NIP, Make in India, ease of doing business reforms.
Introduction	The manufacturing sector is crucial for India's ambition to become a $5 trillion economy and achieve employment-led growth. However, inadequate infrastructure has constrained competitiveness and scale. Addressing these bottlenecks is essential for realizing the goals of 'Make in India' and 'Atmanirbhar Bharat'.
Body & Infographic Representation	**How infrastructure bottlenecks hinder growth:** • **Power and Energy Deficit:** Frequent outages, high industrial tariffs, and reliance on coal reduce competitiveness. • **Transport and Logistics Inefficiency:** ✓ Poor road, rail, and port connectivity raises logistics costs. ✓ Example: India's logistics cost is 13–14% of GDP, compared to 8–9% in advanced economies (World Bank report, 2023). ✓ Congested ports like Jawaharlal Nehru Port increase export delays. • **Urban and Industrial Infrastructure Gaps:** Lack of planned industrial clusters, poor waste management, and inadequate water supply discourage investment. • **Digital Infrastructure Deficiency:** Uneven internet penetration and limited 5G readiness affect Industry 4.0 adoption. • **Skill and Social Infrastructure**: Lack of skilling facilities and poor urban housing/transport restrict labour mobility. **Steps to address the bottlenecks hindering the growth of the Indian Manufacturing sector:** • **Massive Infrastructure Push** ✓ Implementation of PM Gati Shakti, the National Master Plan to integrate transport and logistics networks. ✓ It reduces logistics cost to 8% of GDP by 2030.



	• **Energy Reforms:** Expansion of renewables (450 GW target by 2030) to ensure cheaper and reliable power for industries. • **Industrial Corridors and Clusters:** Construction of Delhi-Mumbai Industrial Corridor (DMIC), Chennai-Bengaluru Corridor to provide plug-and-play infrastructure. • **Digital and Smart Infrastructure:** Investment in 5G, AI, and IoT-enabled manufacturing hubs. • **Skill Development and Labour Mobility:** Expansion of Skill India Mission and affordable worker housing near industrial hubs.
Conclusion	Infrastructure bottlenecks have been a major drag on India's manufacturing competitiveness, raising costs and reducing efficiency. Recent initiatives like PM Gati Shakti and Industrial Corridors offer long-term solutions. A coordinated push in physical, digital, and social infrastructure is vital to make India a global manufacturing hub.
Model Question	Infrastructure gaps are one of the major impediments to the growth of the Indian manufacturing sector.' Discuss this statement and suggest policy measures to overcome these bottlenecks.
Value Addition	**Government Policies Supporting Manufacturing in India:** • **PLI Scheme:** Incentivises production, exports, and job creation in sectors like electronics, pharmaceuticals, and automobiles. • **Ease of Doing Business Reforms:** Simplification of compliance requirements and tax regimes. • **Make in India Initiative:** Promotes domestic manufacturing and attracts foreign investment.
250. Describe the importance of public transport and communications for equitable growth. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Transport Infrastructure
Keyword	Describe
Approach	• Link transport & communication to equitable and inclusive growth. • Use subheadings + schemes, data, examples to show their role. • Emphasize them as enablers of equality and sustainable development.
Introduction	Equitable growth implies inclusive access to opportunities, resources, and services across all sections of society. Public transport and communication infrastructure play a pivotal role in bridging regional disparities, reducing socio-economic inequalities, and ensuring balanced development. As highlighted in the National Urban Transport Policy (2006), the focus should be on "moving people, not vehicles", which underscores their centrality to equity in growth.
Body & Infographic Representation	**Role of Public Transport:** • **Enhancing inclusion and mobility** ✓ Affordable and reliable public transport ensures that low-income groups, women, and students have access to education, healthcare, and employment. ✓ The PM-eBus Sewa (2023) scheme, which supports 10,000 e-buses, is a step toward clean and affordable urban transport. • **Rural connectivity and social empowerment** ✓ The Pradhan Mantri Gram Sadak Yojana (PMGSY) has created around 7.84 lakh km of rural roads (as of Aug 2025), linking remote villages with schools, health centers, and markets. ✓ This has significantly improved rural livelihoods, farm gate prices, and women's participation in the workforce. • **Regional balance and integration**

	✓ Schemes like UDAN have operationalized 619 routes and 88 airports, integrating smaller towns into the national economy. ✓ Similarly, Bharatmala Pariyojana has completed over 18,900 km of highways (2024), reducing logistics costs and connecting backward regions to growth centers. **Role of Communications:** • **Digital inclusion as an equalizer:** ✓ With 68.6 internet subscribers per 100 people (2023-24), digital networks enable tele-education, tele-medicine, e-governance, and e-commerce. ✓ This reduces the need for physical travel while ensuring access to opportunities even in remote areas. • **Productivity and efficiency gains:** ✓ The PM Gati Shakti platform integrates road, rail, ports, and digital networks, ensuring multimodal connectivity, reducing travel time, and promoting seamless mobility for people and goods.
Conclusion	Public transport and communications act as twin pillars of equitable growth, compressing both physical and informational distances. By enabling affordable access, bridging regional gaps, and empowering vulnerable groups, they transform growth into a more inclusive and sustainable process.
Model Question	Critically analyse the impact of schemes like PMGSY, Bharatmala and UDAN on bridging regional disparities in India.
Value Addition	Hyderabad Metro Rail spans 69 km in Phase I with Phase II adding 73 km, including airport connectivity. The 340 km Regional Ring Road will link key towns and highways, decongest traffic, improve connectivity to hinterlands, and foster balanced urban and economic growth.
251. Discuss the significance of solar energy in India's renewable energy strategy. Highlight the major initiatives, achievements and challenges in the promotion of solar power. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Digital India-Energy, Power, Urban Infrastructure and & Smart Cities
Keyword	Discuss, Highlight
Approach	• Begin by explaining India's renewable energy goals and why solar is central due to geographic advantage and climate commitments. • Outline major schemes such as NSM, PM-KUSUM, solar parks, rooftop solar, and key achievements like installed capacity milestones. • Conclude with challenges (grid, storage, financing) and suggest policy improvements.
Introduction	Solar energy has emerged as the cornerstone of India's renewable energy strategy due to its vast potential and declining technology costs. It plays a critical role in meeting India's climate commitments under the Paris Agreement and achieving long-term energy security. The government's proactive policies have accelerated capacity addition and positioned India as a global leader in solar deployment.
Body & Infographic Representation	**Significance of Solar Energy in India's Renewable Energy Strategy** • Solar power is central to India's target of 500 GW renewable energy capacity by 2030, of which nearly 300 GW is expected from solar. • With India receiving about 5,000 trillion kWh of solar radiation annually, solar energy ensures long-term sustainability, reduces dependence on imported fossil fuels, and lowers carbon emissions. • It also supports decentralised energy access in rural and remote areas through rooftop and off-grid systems. **Major Initiatives for Promotion of Solar Energy**

	• **National Solar Mission (2010):** Target revised to 100 GW solar capacity by 2022, driving large-scale adoption. • **PM-KUSUM Scheme**: Aims to install 2.75 million solar pumps and solarise 1.5 million grid-connected pumps, enabling farmers' energy security. • **Solar Parks Scheme**: Over 50 solar parks approved with a potential of 40 GW capacity, enabling plug-and-play infrastructure. • **PLI Scheme for Solar Manufacturing (2021):** Allocated ₹24,000 crore to promote integrated domestic manufacturing of high-efficiency PV modules. • **Green Energy Corridor**: Strengthening interstate transmission for evacuating large-scale solar power. • **Rooftop Solar Programme**: Target of 40 GW, supported by DISCOM incentives and household subsidies (notably under PM-Surya Ghar Muft Bijli Yojana). **Achievements in the Solar Sector** • India's total installed solar capacity was over 110 GW by mid-2025. • The world's largest renewable energy park, the 30 GW hybrid solar-wind park in Gujarat (Kutch), symbolises India's leadership. • Solar power tariffs have fallen to ₹2–2.2/unit, among the lowest globally. **Key Challenges** • Major constraints include high dependence on imported solar modules (over 60%), land acquisition issues, grid integration constraints, financial stress of DISCOMs, intermittency of solar generation, and limited rooftop solar adoption due to procedural hurdles. • Environmental concerns related to PV waste and recycling remain emerging challenges.
Conclusion	Solar energy remains pivotal to India's clean energy transition and long-term energy resilience. Sustained policy support, domestic manufacturing, and grid modernisation are crucial for scaling solar adoption. With strategic reforms, India can achieve its 2030 renewable energy ambitions and strengthen global climate leadership.
Model Question	Analyse the importance of solar energy in advancing India's renewable energy transition. Discuss major programmes, progress indicators, and obstacles encountered in scaling up solar power deployment.
Value Addition	The International Solar Alliance (ISA), launched in 2015 by India and France, is a global coalition of solar-resource-rich countries committed to promoting affordable and sustainable solar energy. It aims to mobilise $1 trillion in solar investments by 2030 and facilitate technology transfer, capacity building, and innovative financing. ISA spearheads programs like Solar Home Systems, Solar Mini-Grids, and Solar Pumping, benefiting developing nations across Africa, Asia, and Latin America. It strengthens global climate action and energy transition efforts. ISA positions India as a leader in clean-energy diplomacy and South–South cooperation.
252. Critically evaluate the role of the Smart Cities Mission in transforming urban infrastructure in India. Mention its objectives, implementation progress, key achievements and the major challenges faced. (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Digital India-Energy, Power, Urban Infrastructure and & Smart Cities
Keyword	Critically evaluate, Mention
Approach	• Start with the purpose of SCM: urban transformation through technology, governance reform, and improved service delivery. • Review objectives, implementation model (SPVs), progress in projects, and notable urban innovations. • Finish with key challenges like delays, financing, capacity gaps and evaluate its effectiveness.

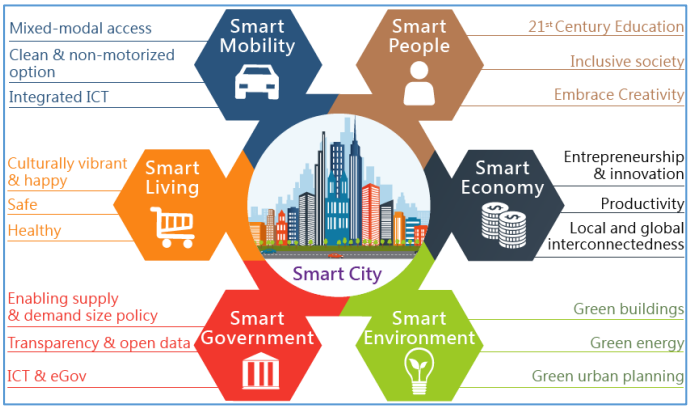
Introduction	The Smart Cities Mission (SCM), launched in 2015, represents a major urban renewal initiative aimed at improving quality of life through technology-driven, sustainable infrastructure. It seeks to address long-standing urban challenges through integrated planning, digital governance, and citizen-centric development. Although significant progress has been made, uneven implementation and structural constraints limit its transformative potential.
Body & Infographic Representation	**Objectives of the Smart Cities Mission** • The mission aims to promote sustainable and inclusive urban development through area-based development (ABD) and pan-city solutions. • Key objectives include enhancing mobility, water supply, sanitation, energy efficiency, digital governance, and urban resilience. • It promotes ICT-enabled service delivery, urban innovation, and participatory planning through citizen consultations. **Implementation Progress** • A total of 100 cities were selected in four rounds. • As of 2024, the mission reported over 8,000 projects, with approx. 6,150 projects completed and investments exceeding ₹1.15 lakh crore. • Cities like Surat, Indore, Pune, and Visakhapatnam have achieved high completion rates, particularly in ABD zones. • Integrated Command and Control Centres (ICCCs) have become functional in all 100 cities, supporting real-time traffic management, disaster response, and municipal service monitoring. **Key Achievements** • SCM has improved urban infrastructure through smart mobility (EV charging, intelligent traffic systems), smart water management (24×7 water supply in Belagavi), and solid waste management innovations (Indore and Mysuru models). ICCCs proved instrumental during COVID-19, enabling contact tracing and emergency coordination. • The mission catalysed private investments and strengthened urban governance capacity through SPVs, digital payments, and property tax reforms. • SCM also supported green infrastructure, solar rooftops, LED streetlights and public space revitalisation (e.g., Kochi and Bhubaneswar placemaking initiatives). **Major Challenges** • ABD-led development has been criticised for being limited to small pockets, often excluding peripheral and poorer areas. • Delays arise from land availability issues, contractor capacity, and administrative fragmentation. • Some SPVs face weak coordination with municipal bodies. • Funding constraints, uneven project readiness, and limited citizen awareness restrict scalability. • Concerns over data privacy, surveillance in ICCCs, and maintenance of smart assets are emerging challenges.
Conclusion	The Smart Cities Mission has accelerated innovations in urban infrastructure, governance, and service delivery. However, its transformative impact depends on scaling successful models beyond ABD areas and ensuring inclusivity and sustainability. Strengthened institutions, long-term financing, and citizen-centric planning will be crucial for future urban transformation in India.
Model Question	Examine the effectiveness of the Smart Cities Mission in modernising urban infrastructure in India. Highlight its goals, implementation strategy, major accomplishments, and systemic bottlenecks affecting outcomes.

Value Addition	The AMRUT (Atal Mission for Rejuvenation and Urban Transformation) is a flagship urban development programme launched in 2015 to improve basic infrastructure in 500 cities, especially water supply, sewerage, and stormwater drainage. It focuses on providing universal water supply and 100% sewerage coverage, along with enhancing green spaces and non-motorised transport. Under AMRUT 2.0 (2021–26), the mission targets 100% household tap connections and water security through recycling, rainwater harvesting, and rejuvenation of water bodies. The scheme has already enabled over 1.8 crore tap connections and a significant sewage treatment capacity.
253. Explain the impact of Digital Public Infrastructure on the socio-economic development in India. Discuss the steps taken by the Indian Government to accelerate digital infrastructure and to reduce digital divide in India. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Digital India-Energy, Power, Urban Infrastructure and & Smart Cities
Keyword	Explain and Discuss
Approach	• Introduce DPI with examples (Aadhaar, UPI, DigiLocker) and their transformative effects on inclusion, governance, and innovation. • Highlight socioeconomic impacts like financial inclusion, DBT efficiency, MSME enablement, and public service access. • Discuss government efforts like BharatNet, PM-WANI, India Stack expansion, and initiatives for digital literacy and affordability.
Introduction	Digital Public Infrastructure (DPI) has emerged as a foundational pillar of India's socio-economic transformation by enabling secure, inclusive, and interoperable digital services. Platforms such as Aadhaar, UPI, CoWIN, and DigiLocker have reshaped governance, markets, and citizen empowerment. The government's sustained investment in digital infrastructure is narrowing the digital divide and accelerating inclusive development.
Body & Infographic Representation	**Impact of DPI on Socio-Economic Development** • DPI has driven financial inclusion, digital payments, and accessible public services. • The Aadhaar-based DBT system has saved over ₹3.48 lakh crore by eliminating leakages and ensuring targeted welfare delivery. UPI, processing over 13 billion transactions monthly (2024), has democratized payments and integrated small vendors into the formal economy. • Platforms such as DigiLocker and e-Sanjeevani expanded access to digital documents and healthcare, especially in rural areas. • DPI has also strengthened MSMEs through GSTN, enabling formalisation and credit access via the Account Aggregator Framework, which facilitates consent-based data sharing for small borrowers. • Education platforms like DIKSHA and SWAYAM supported e-learning, reducing geographic barriers. • Overall, DPI enhances governance efficiency, transparency, and citizen empowerment. **Government Steps to Accelerate Digital Infrastructure** • The government has expanded optical fibre connectivity through BharatNet, covering over 2.1 lakh gram panchayats. • The India Stack has been strengthened with layers like UPI, e-KYC, and ONDC to promote open networks. • Investments under the Digital India Programme support cloud computing (MeitY's MeghRaj), cybersecurity, digital skilling, and AI-based governance. • 5G rollout (2022–24) has accelerated digital services in health, logistics, and agriculture.

	Measures to Reduce Digital Divide • To reduce disparities, the government promotes PM-WANI for public Wi-Fi, Digital Literacy Mission for rural communities, and the Aspirational District Programme for digital service access. • Subsidised smartphones for women and farmers in states like Rajasthan and UP complement central initiatives. • The CSC network delivers G2C services to remote areas. • Accessibility measures under the Accessible India Campaign ensure inclusion of persons with disabilities in the digital ecosystem.
Conclusion	Digital Public Infrastructure has become a catalyst for India's socio-economic development by expanding access, equity, and efficiency across sectors. Continued investment in connectivity, digital literacy, and open networks is essential for bridging the divide. A resilient, inclusive DPI ecosystem will drive India's transition into a digitally empowered society and economy.
Model Question	Discuss the contribution of Digital Public Infrastructure to India's socio-economic transformation. Outline the key government initiatives aimed at expanding digital connectivity and bridging the digital divide.
Value Addition	The PM-WANI (Prime Minister Wi-Fi Access Network Interface) scheme, launched in 2020, aims to expand affordable and accessible broadband connectivity across India through a decentralised public Wi-Fi ecosystem. It allows small entrepreneurs to set up Public Data Offices (PDOs) without license fees, enabling low-cost internet hotspots in rural and urban areas. By leveraging interoperable Wi-Fi networks, PM-WANI helps bridge the digital divide and supports digital payments, e-commerce, telemedicine, and online education. The scheme complements BharatNet by extending last-mile connectivity through community-level Wi-Fi.
254. What are the features of a 'Smart City'? Explain the role of smart cities in economic development. Discuss the challenges faced in financing the smart cities under the Smart City Mission, and the solutions to overcome these challenges. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Digital India – Energy, Power, Urban Infrastructure & Smart cities
Keyword	What, Explain, Discuss
Approach	• Begin with a clear conceptual introduction defining Smart Cities and their purpose. Present the features under concise subheadings highlighting infrastructure, technology, sustainability, and social services. • Explain the economic role with focused points on investment, innovation, productivity, and jobs. Discuss financing challenges and provide practical solutions like PPPs, municipal bonds, and convergence. • Conclude with a forward-looking, governance-oriented summary.
Introduction	A Smart City uses digital technologies, data, and integrated planning to improve the quality of life, sustainability, and economic opportunity for its residents. Launched in India in 2015, the Smart Cities idea emphasises citizen-centric services, efficient urban infrastructure, and resilience.
Body & Infographic Representation	**Features of a 'Smart City'** • **Efficient Core Infrastructure:** Assured water and electricity supply (often via smart grids), robust sanitation including smart waste management, and efficient urban mobility and public transport systems are fundamental. • **Technology Integration:** This includes a robust IT network, e-governance and citizen participation systems, and the establishment of Integrated Command and Control Centres (ICCCs) that serve as operational nerve centers to monitor real-time city operations like traffic and public safety.

- **Sustainable Environment:** Features include green spaces, clean energy solutions, smart buildings designed for energy efficiency, and systems that monitor air and water quality to minimize the ecological footprint.
- **Health and Education:** Development of e-health centers, health ATMs, smart classrooms, and digital libraries to improve accessibility and quality of social services.

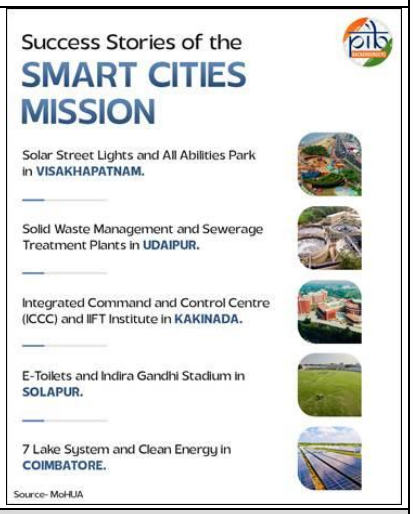
Role of Smart Cities in Economic Development



- **Attracting Investment:** The development of a competitive and sustainable urban environment attracts both domestic and foreign investment, boosting the local economy.
- **Increased Productivity and Efficiency:** Streamlined governance, efficient logistics, and data-driven decision-making reduce operational costs and enhance overall productivity for businesses and city services alike.
- **Fostering Innovation:** Smart cities become testbeds for new technologies (AI, IoT, data analytics), encouraging startups and tech companies to innovate and create a thriving tech ecosystem.
- **Job Creation:** The massive investment in infrastructure and technology, along with the growth of new industries and services, generates significant employment opportunities.

Challenges and Solutions in Financing under the Smart City Mission

- **Challenges:**
  - ✓ **High Initial Investment:** The implementation of sophisticated smart technology and infrastructure requires substantial upfront capital investment that strains city budgets.
  - ✓ **Limited Revenue Models:** Urban Local Bodies (ULBs) often lack the financial independence or capacity to generate sufficient internal revenue through user charges, property taxes, or other value capture mechanisms to make projects financially viable for private investors.
  - ✓ **Capacity Building:** Many government agencies and municipal bodies lack the technical knowledge and project management expertise required to develop and manage complex smart city projects.
- **Solutions:**
  - ✓ **Innovative Financing Mechanisms:** Cities must leverage alternative funding sources, including the issuance of Municipal Bonds, borrowings from financial institutions (both domestic and multilateral), and using grants from other government schemes.
  - ✓ **Robust PPP Frameworks:** Developing clear and equitable risk-sharing models in PPP projects is essential to attract private sector investment. In India, over 199 projects are being implemented through PPP mode to bridge the funding gap.
  - ✓ **Revenue Stream Enhancement:** ULBs must improve their creditworthiness and ensure dedicated revenue streams for the Special Purpose Vehicles (SPVs) created for project implementation. This involves increasing user fees, beneficiary charges, and exploring land monetization strategies.

	✓ **Convergence of Schemes:** Integrating the SCM with other national missions like AMRUT, Swachh Bharat Mission, and Housing for All allows for the convergence of funds and resources, maximizing impact.
Conclusion	Smart Cities can be engines of economic growth if backed by sound planning and sustainable financing. Addressing fiscal constraints, building institutional capacity and leveraging blended finance and PPPs are essential to translate smart-city ambitions into resilient, inclusive urban economies.
Model Question	"Discuss the financial, governance, and operational constraints faced in implementing the Smart Cities Mission. Suggest a robust multi-stakeholder model for sustainable financing of urban infrastructure."
Value Addition	**Key achievements and status of The Smart Cities Mission:** • **Projects completed:** Out of a total of 8,067 multi-sectoral projects, 7,555 (94%) have been completed as of May 9, 2025. • **Investment:** A total of ₹1,51,361 crore has been invested in completed projects. • **Ongoing projects:** An additional 512 projects worth ₹13,043 crore are still in the advanced stages of implementation. • **Overall value:** The total value of all projects is ₹1.64 lakh crore. • **Timeline:** The mission was officially shut down on March 31, 2025, after an extension. 

255. Discuss the initiatives taken by the Government of India to build smart cities, and highlight the challenges in doing so. (APPSC, 2020)

Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Digital India – Energy, Power, Urban Infrastructure & Smart cities
Keyword	Discuss, Highlight
Approach	• Begin with a brief contextual introduction on the Smart Cities Mission and its objectives. • In the body, classify content under clear subheadings—major initiatives, mechanisms, and challenges. Explain Area-Based Development, pan-city solutions, ICCCs, and skill programmes with examples. Critically discuss financial, governance, technological, and land-related constraints. • Conclude with forward-looking suggestions emphasising capacity-building, citizen participation, equity, and sustainability.
Introduction	The Smart Cities Mission (launched 25 June 2015) aims to promote sustainable and inclusive urban development by enabling cities to provide core infrastructure, a clean environment and better quality of life through application of smart solutions. The Mission envisages area-based development and pan-city initiatives implemented by Special Purpose Vehicles (SPVs) in partnership with states and local bodies.
Body & Infographic Representation	**Major initiatives and how they work:** • **Smart Cities Mission (SCM):** The core strategy of SCM is to select 100 cities through a competitive "challenge" process. The mission employs an Area-Based Development (ABD) approach, which includes: ✓ Retrofitting: Upgrading existing areas to improve infrastructure and services. ✓ Redevelopment: Replacing the existing built-up environment with a new layout. ✓ Greenfield development: Developing previously vacant land with innovative planning.

	• **Pan-City initiative:** Beyond pockets of development, pan-city solutions aim to scale digital platforms across whole cities — e.g., city dashboards, integrated command-and-control centres, asset management, open data portals and e-governance services. ✓ The DataSmart strategy and a dedicated data portal support standardisation, data maturity assessment and replication. • **Integrated Command and Control Centres (ICCCs):** A key component of the SCM has been establishing ICCCs, which function as the "nerve centers" for city operations. They integrate data streams from various sensors, cameras, and IoT devices to enable real-time monitoring and data-driven governance. • **India Smart Cities Fellowship and Internship Programs:** These programs aim to provide young professionals with hands-on experience in urban development and planning, helping to build a skilled workforce for future city management. **Challenges in Building Smart Cities:** • **Financial Constraints:** The high capital expenditure required for smart infrastructure is a major hurdle. Cities often struggle with securing adequate and timely funding due to limited municipal revenue sources and dependency on central and state government grants. • **Governance and Institutional Barriers:** The Special Purpose Vehicles (SPVs) created to implement SCM projects often face challenges related to coordination with existing municipal bodies and other government departments, leading to bureaucratic delays and fragmented implementation. • **Technological and Skill Gaps:** There is a significant gap in technical expertise and project management skills among ULB officials to design, execute, and maintain complex smart solutions. • **Cybersecurity and Data Privacy:** As cities become more connected, they become vulnerable to cyber threats. Establishing robust cybersecurity frameworks and ensuring the ethical use and privacy of citizen data is a critical concern. • **Land Acquisition:** The process of acquiring land for large-scale urban development and greenfield projects is often slow and fraught with legal and social challenges.
Conclusion	The Smart Cities Mission introduced important paradigms — data-driven governance, area-based transformation and pan-city digital platforms — but realising sustainable, inclusive urban futures requires strengthening ULB capacity, improving citizen participation, ensuring equitable coverage, and securing long-term operating finances. Continued monitoring, transparent evaluation and local ownership are essential for transformational impact.
Model Question	"Evaluate the progress of major Government of India initiatives—AMRUT, Smart Cities Mission, PMAY (Urban), and SWM Rules 2016—in transforming urban governance. What systemic challenges hinder their effective implementation?"
Value Addition	**National Industrial Corridor Development Corporation (NICDC)** • **Role:** Develops world-class greenfield industrial smart cities to boost manufacturing and attract investment. • **Methodology:** Uses advanced infrastructure and digital innovation, and is developing cities within industrial corridors like the Delhi–Mumbai and Chennai–Bengaluru corridors. • **Digital initiatives:** Implements digital platforms and initiatives like the Urban Logistics and Information Portal (ULIP) to support industrial and logistics transformation.

256. What are the flaws in the existing Public-Private Partnership (PPP) model of infrastructure development? What are the key points to focus on while restructuring the PPP model? (APPSC, 2025)

Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Public-Private Partnership in Infrastructure
Keyword	What
Approach	• Mention flaws: risk allocation imbalance, delays, lack of transparency, and financing issues. • Suggest restructuring: hybrid annuity model, risk sharing, improved dispute resolution, and regulatory reforms. • Conclude: PPP must ensure efficiency + public accountability.
Introduction	Public-Private Partnership (PPP) has been a key mechanism for infrastructure development in India since the early 2000s, addressing fiscal constraints and leveraging private sector efficiency. However, the experience shows mixed results, with many projects facing delays, disputes, and cost overruns. A critical appraisal highlights the flaws in the current PPP model and the reforms needed for its restructuring.
Body & Infographic Representation	**Flaws in the Existing PPP Model** • **Imbalanced Risk Allocation** ✓ Risks such as demand, regulatory, and land acquisition are often transferred disproportionately to private players. ✓ Example: Several National Highway BOT projects failed as traffic projections were unrealistic, leading to stalled works. • **Land Acquisition and Clearance Delays** ✓ Project execution suffers due to bureaucratic hurdles and environmental approvals. ✓ As of 2025, nearly 580 National Highway (NH) projects, with a total value close to ₹3.9 lakh crore, are delayed. Another 200 projects worth ₹1.6 lakh crore have been bid out but are yet to get off the ground. • **Weak Contractual Design** ✓ Concession agreements often lack clarity on contingencies, leading to frequent renegotiations. ✓ Example: Power distribution PPPs faced disputes over tariff adjustments, causing operational inefficiency. • **Financing Bottlenecks:** Banks hesitate to fund PPPs due to rising NPAs in infrastructure. • **Accountability and Transparency Issues:** Lack of independent regulators, opaque bidding, and weak monitoring undermine efficiency. **Key Points for Restructuring the PPP Model** • **Balanced Risk Sharing:** Allocate risks based on capacity — demand risk with the government, execution risk with a private partner. • **Strengthening Institutional Framework**: Improve Model Concession Agreements (MCAs) and establish strong regulators. • **Financial Support**: Expand Viability Gap Funding (VGF) to attract investment in social sectors like rural sanitation and health. • **Innovative Models:** Promote Hybrid Annuity Model (HAM) and Toll-Operate-Transfer (TOT), which reduce upfront risk for private firms. • **Capacity Building and Dispute Resolution**: Enhance project appraisal, transparent monitoring, and fast-track arbitration.
Conclusion	The PPP model, though crucial for India's infrastructure, suffers from flaws of risk asymmetry, financing stress, and weak contracts. Restructuring with transparent frameworks, balanced risk distribution, and innovative financing is essential. A robust PPP system will accelerate infrastructure growth and support India's $5 trillion economy goal.

Model Question	Analyse the structural deficiencies in India's PPP model of infrastructure development. Suggest reforms in risk sharing, financing, and regulatory mechanisms for its effective restructuring.
Value Addition	• Viability Gap Funding (VGF) is a financial grant provided by the government to make economically essential infrastructure projects commercially viable. • It bridges the gap between a project's costs and its potential revenues, enabling private sector participation in Public-Private Partnerships (PPPs). • Viability Gap Funding is intended for projects that benefit the public at large, such as transport, renewable energy, healthcare, and education, but are not financially attractive enough to secure private investment on their own. • By offering upfront or deferred grants, the scheme ensures critical infrastructure reaches completion, fostering socio-economic development.
12. Infrastructure Development in Andhra Pradesh – Transport, Energy and ICT infrastructure – Bottlenecks – Government policy – Ongoing projects	
257. Critically explain the development of Transport, Energy and ICT infrastructure in Andhra Pradesh. How do these sectors contribute to the state's economic growth and connectivity? (APPSC, 2025)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Infrastructure
Keyword	Critically explain, How
Approach	• Begin with a contextual introduction linking AP's post-bifurcation infrastructure focus to economic competitiveness. • Structure the body into transport, energy, and ICT sections with development status and critical analysis for each. Explain their combined role in economic growth and connectivity using examples. • Conclude by highlighting remaining challenges and the need for inclusive, sustainable infrastructure-driven development.
Introduction	Andhra Pradesh's infrastructure push since bifurcation has centred on strengthening physical and digital links to catalyse industry, trade and rural development. Transport, energy and ICT together form the backbone of the state's connectivity and competitiveness; each sector shows important progress but also persistent weaknesses that limit inclusive growth.
Body & Infographic Representation	**Development of Transport, Energy, and ICT Infrastructure in Andhra Pradesh:** • **Transport Infrastructure Development:** ✓ **Roadways:** The state has a dense road network, with a National Highway density higher than the national average. Key national highways, including NH16 (part of the Golden Quadrilateral), form the backbone of its road network. ▪ Critical Analysis: The state government has aimed for 4-lane district connectivity and port hinterland connectivity. However, challenges persist in land acquisition, project implementation delays, and inadequate maintenance practices. ✓ **Railways:** The state is a crucial part of the national railway network, with the major junction at Vijayawada and a dedicated South Coast Railway zone. ✓ **Ports & Waterways:** With the second-longest coastline in India, AP is leveraging a port-led development strategy. The Visakhapatnam Port is a major cargo handling facility, and several non-major ports are being developed through private participation. ✓ **Aviation:** The state has international airports at Visakhapatnam, Vijayawada, and Tirupati, with plans for new greenfield airports to enhance regional air linkage. • **Energy Infrastructure Development:**

	✓ **Generation and Transmission:** The state has an installed capacity of nearly 24,854 MW, with a strong focus on both conventional (thermal and hydro) and renewable sources. Recent initiatives include the construction of new substations and the development of the Green Energy Corridor to evacuate renewable power. ✓ **Critical Analysis:** A major challenge has been the "flip-flop" in renewable energy policies between different state governments, which led to Power Purchase Agreement (PPA) review controversies, payment delays to developers, and grid integration issues. Despite these policy fluctuations, the state is pursuing massive solar, wind, and pumped hydro storage projects to meet rising demand. • **ICT Infrastructure Development:** ✓ **Network and Connectivity:** The state has a high tele-density and implemented an initiative to provide high-speed broadband access (up to 100 Mbps) to every village. The state-owned APSFL provides telephone, internet, and television services to residents. ✓ **Critical Analysis:** While the focus has been on attracting IT investments and creating hubs in cities like Visakhapatnam, the benefits remain concentrated in few urban areas, highlighting an uneven distribution of facilities in remote regions. **Contribution to Economic Growth and Connectivity:** • **Economic Growth:** ✓ Robust infrastructure is the foundation for sustainable economic progress. Transport systems facilitate the seamless movement of raw materials and finished goods to markets and ports, reducing costs and boosting trade (e.g., Visakhapatnam port supports significant cargo handling). ✓ The energy sector ensures uninterrupted power supply to industries, essential for manufacturing and commercial activities. ICT infrastructure fosters an environment for the services sector, attracting IT companies and enabling e-governance, which streamlines business operations and attracts investments. • **Connectivity:** ✓ Physical connectivity via roads and railways expands market size and employment opportunities by enabling the mobility of people and labor across different regions. ✓ Digital connectivity bridges geographical distances, facilitating information sharing, e-commerce, and access to services like tele-medicine and distance learning, thus promoting inclusive growth.
Conclusion	Combined, transport, energy and ICT infrastructure create a virtuous cycle like reliable clean power enables factories and data centres; and ICT accelerates transactions and governance. However, challenges remain — financing, timely project execution, ensuring last-mile connectivity, environmental safeguards and equitably sharing gains with rural areas. Addressing these will determine whether Andhra Pradesh converts infrastructure investments into sustained, inclusive economic growth.
Model Question	"Assess the development of energy and ICT infrastructure in Andhra Pradesh with reference to renewable energy expansion, DISCOM reforms, and digital connectivity. How do these sectors shape the state's industrial competitiveness?"
Value Addition	**Economic growth initiatives in Andhra Pradesh:** • **Industrial growth:** The state is focusing on developing 25 industrial clusters for high-potential sectors such as food processing, life sciences, semiconductors, defense, and aerospace.

	• **Industrial corridors:** Andhra Pradesh is home to industrial nodes under three major corridors, including Krishnapatnam, Orvakal, and Kopparthy, with significant investment and job creation potential. • **Investment:** The state has signed over 400 MoUs with major corporations to implement projects worth an estimated ₹20 lakh crore, aiming to generate 2 million jobs. • **Sectoral focus:** Key sectors include a strong fishing industry, which contributes 7.4% to the state's Gross State Domestic Product (GSDP), and a "Green Hydrogen Valley" vision to generate renewable energy and produce green hydrogen. • **Reliance Food Park:** Reliance Consumer Products is investing ₹768 crore in the state's first food park, with more planned across India.
258. Describe the long-term agenda of the Andhra Pradesh government with respect to development of infrastructure in the state. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Infrastructure
Keyword	Describe
Approach	• Begin with a contextual introduction highlighting Andhra Pradesh's vision and the role of infrastructure in long-term development. • Organize the body into clear thematic sections—physical, irrigation, industrial, urban-social, digital, and energy infrastructure—using bullet points and examples. Emphasize government initiatives, corridor-based growth, and regional balance. • Conclude by linking infrastructure expansion with inclusive, future-ready, and sustainable development.
Introduction	Andhra Pradesh (AP), with its strategic coastline, agrarian base, and emerging industrial corridors, envisions infrastructure development as the backbone of inclusive and sustainable growth. The state's long-term agenda focuses on creating world-class physical, digital, social, and industrial infrastructure to support economic diversification, balanced regional development, and enhanced quality of life.
Body & Infographic Representation	**Strengthening Core Physical Infrastructure:** • **Ports, Harbours, and Maritime Infrastructure:** AP aims to leverage its 974 km coastline through a Port-Led Development Model. ✓ Expansion and modernization of Visakhapatnam, Kakinada, Krishnapatnam, and Gangavaram ports. ✓ Development of new ports such as Bhavanapadu and Ramayapatnam, along with fishing harbours and jetties to promote the Blue Economy. ✓ Multi-modal connectivity from ports to industrial corridors to enhance export competitiveness. • **Roads and Highways:** ✓ Upgradation of state highways, construction of greenfield expressways, and strengthening rural roads under PMGSY and state programs. ✓ Focus on improved logistics connectivity to SEZs, industrial nodes, and markets. • **Rail and Air Connectivity:** ✓ Support for major rail projects including Vijayawada–Kadapa, Kadapa–Bengaluru lines. ✓ Upgradation of Visakhapatnam, Vijayawada, and Tirupati airports and development of greenfield airports to improve regional air access. **Modernizing Water and Irrigation Infrastructure:** • **Large-Scale Irrigation Projects:** ✓ Completion of Polavaram National Project, which is central to ensuring drought-proofing and irrigation stabilization across the Godavari basin.

	✓ Rehabilitation of tank systems like APILATP, HNSS, GNSS, and modernization of canal systems. • **Drinking Water and Water Security:** ✓ Universal access to drinking water through Jal Jeevan Mission, strengthening rural water supply systems, and creation of sustainable groundwater recharge structures. **Promotion of Industrial and Logistics Infrastructure:** • **Industrial Corridors and Nodes:** ✓ Development of nodes under the Visakhapatnam–Chennai Industrial Corridor (VCIC) and Chennai–Bengaluru Industrial Corridor (CBIC). ✓ Establishment of MSME parks, Mega Industrial Parks, Food Processing Zones, and Textile Parks for employment generation. • **Logistics and Warehousing Ecosystem:** ✓ Establishment of logistics parks, cold chains, dry ports, and freight terminals to reduce logistics costs and support exports. **Urban and Social Infrastructure Planning:** • **Smart and Sustainable Cities:** ✓ Strengthening urban mobility, solid waste management, integrated water supply, and sewerage systems in major cities. ✓ Promotion of affordable housing, transit-oriented development, and green urban spaces. • **Education and Health Infrastructure:** ✓ Upgrading medical colleges, district hospitals, and digital health systems. ✓ Expanding higher education institutions, skill universities, and model schools to meet future workforce needs. **Digital and Energy Infrastructure:** • **Digital Connectivity:** ✓ Statewide fiber grid, promotion of e-governance, digital inclusion, and expansion of IT/ITES hubs in Visakhapatnam, Vijayawada, and Tirupati. • **Renewable Energy and Power Infrastructure:** ✓ Long-term plan to achieve leadership in solar, wind, and pumped storage projects. ✓ Strengthening transmission and distribution networks for reliable and affordable power.
Conclusion	The long-term infrastructure agenda of Andhra Pradesh reflects a vision of balanced regional development, sectoral diversification, and improved living standards. By integrating port-led growth, irrigation expansion, industrial corridors, renewable energy, and digital modernization, the state aims to build a future-ready, resilient, and competitive economy.
Model Question	"Discuss the long-term infrastructure roadmap of Andhra Pradesh with reference to water management, ports-led development, connectivity expansion, and urbanization strategies. How realistic are these goals in the post-bifurcation fiscal context?"
Value Addition	• **Visakha Economic Region:** ✓ The government envisions the "Visakha Economic Region" (comprising eight districts from Srikakulam to Konaseema) as the state's main growth engine, with a target economic output of $120 billion by 2032. ✓ Key projects include strengthening cargo-handling capacity at existing and new ports and developing beach road connectivity.

259. State the important features of the Infrastructure Mission of Andhra Pradesh and discuss its role in Vision 2029. (APPSC, 2017)

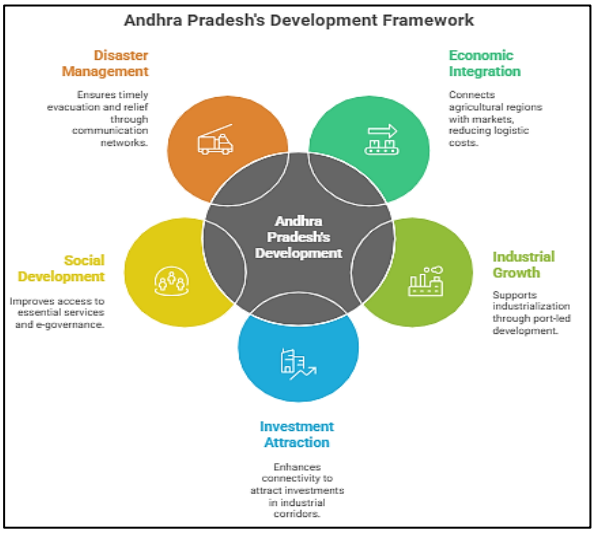
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Infrastructure
Keyword	State, Discuss
Approach	• Begin with a contextual introduction linking the Infrastructure Mission to Vision 2029. • Under structured headings, explain key features—transport, digital networks, energy, water, and urban development—with brief examples. Next, analyze its role in Vision 2029 through economic transformation, regional equity, and sustainability. • Conclude by connecting infrastructure as the backbone enabling inclusive, long-term growth and outlining conditions for effective implementation.
Introduction	The Infrastructure Mission of Andhra Pradesh aims to build world-class infrastructure across industrial and social sectors to facilitate the state's ambitious growth agenda laid out in its Vision 2029 document. Key features of the mission include creating robust connectivity through multi-modal transport and digital grids, enhancing energy and water resources, and promoting sustainable development. The mission's overarching role is to act as a primary catalyst for the economic and social transformation envisioned for Andhra Pradesh by 2029.
Body & Infographic Representation	**Important features of the Infrastructure Mission:** • **Multi-modal transport networks:** The mission includes plans to enhance road, rail, air, and port connectivity. This includes strengthening internal and external access to make Andhra Pradesh a logistics hub for India and Southeast Asia. ✓ Ports: Development of new ports and expansion of existing ones to boost cargo handling capacity and leverage the state's 974 km coastline. ✓ Airports: Construction of new international and domestic airports to improve air traffic and promote economic growth. ✓ Roads and railways: Expansion of road networks, including state highways, and linking them to ports and other major hubs to create an integrated transport system. • **Digital infrastructure:** The mission places a strong emphasis on technology and aims to transform Andhra Pradesh into a knowledge-based society. ✓ Andhra Pradesh FibreNet: Provides high-speed internet connectivity to households and businesses. ✓ IT infrastructure: Development of large IT hubs, co-working spaces, and IT campuses, particularly in cities like Visakhapatnam. • **Energy development:** Aims to ensure sustainable and affordable energy for all sectors. ✓ Power grids: Ensures 24/7 power for industry and households and promotes renewable energy. ✓ Renewable energy: Targets a significant share of renewable energy in the total energy capacity. • **Water management:** Focuses on conservation and sustainable management of water resources to address water scarcity and ensure water security. ✓ Water grids: Aims to provide safe drinking water to all households. ✓ Projects: Prioritizes large-scale projects like the Polavaram Project. • **Urban development:** Supports the creation of smart cities and improved urban infrastructure, including housing, sanitation, and transportation. **Role in Vision 2029:** • **Enabler of economic transformation:** ✓ Infrastructure is the engine that Vision 2029 relies on to achieve higher GDP growth, job creation and an improved Human Development Index. By lowering

	transaction and logistics costs and offering ready land and utilities, the Mission attracts investment in manufacturing (including electronics, semiconductors, green industries) and services — moving the state up the value chain. • **Bridging regional and social gaps:** ✓ Better roads, power and urban services reduce regional disparities by enabling agglomeration benefits in new growth corridors while improving access to health, education and markets for rural and semi-urban populations — a central Vision 2029 objective. • **Sustainability and resilience:** ✓ By embedding renewable energy targets, water management and planned urbanisation, the Mission aligns Vision 2029 with Sustainable Development Goals and climate resilience—critical for long-term, inclusive prosperity.
Conclusion	The Infrastructure Mission is the practical delivery arm of Vision 2029: it supplies the physical backbone (connectivity, power, urban services, industrial land and institutions) required for rapid, inclusive and sustainable economic transformation. Success will depend on disciplined project preparation, blended financing, and close coordination between state agencies and private partners.
Model Question	"Critically analyse the role of the Infrastructure Mission in enhancing AP's investment climate, industrial base, and global competitiveness. To what extent can it help the state achieve the Vision 2029 objective of becoming a 'sunrise state'?"
Value Addition	• **"Swarna Andhra 2047"** is the strategic vision of the Government of Andhra Pradesh to transform the state into a developed, wealthy, and happy society by 2047, aligning with the national 'Viksit Bharat' goal. The plan aims for Andhra Pradesh to become a $2.4 trillion economy with a per capita income of ₹55 lakh (approx. $42,000) by that year. • **The core objective is to achieve a sustained annual economic growth rate of over 15%. The vision is guided by ten key principles or "Padhi Sutralu":** ✓ Zero Poverty ✓ Employment and Human Resource Development (skilling) ✓ Water Security ✓ Farmer-Agritech (modern agriculture technology, natural farming) ✓ Global Best Logistics ✓ Cost Optimization in Energy and Fuel (green energy hub) ✓ Product Perfection (branding of local products) ✓ Swachh Andhra (cleanliness and public health) ✓ Deep Tech in All Walks of Life (innovation and technology integration)
260. State the importance of the service sector in the development of Andhra Pradesh. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Infrastructure
Keyword	State
Approach	• Introduce with the rising share of the service sector in GSDP and its role in structural transformation. • Discuss contributions to employment, IT/ITES, tourism, logistics, education, health, and port-led services with supporting data. • Conclude with its potential for inclusive growth and need for policy support to enhance competitiveness.
Introduction	The service sector has emerged as the principal driver of Andhra Pradesh's economic growth, shaping its structural transformation in the post-reorganisation phase. It contributes significantly to GSDP, employment generation, and export potential. Its rapid diversification across IT, logistics, tourism, and social services has strengthened the state's development trajectory.

Body & Infographic Representation	**Importance of the service sector in the development of Andhra Pradesh** • **Growth and Contribution of the Service Sector** ✓ The service sector accounts for nearly 40% of Andhra Pradesh's GSDP (2023–24 estimates), reflecting its dominant role in the state economy. ✓ Sub-sectors such as trade, transport, financial services, real estate, public administration, and IT/ITES have shown consistent expansion. ✓ The state's strategic location, with a 974 km coastline, six ports, and strong logistics systems, supports high-value services in shipping, warehousing, and port-based trade. ✓ The growth of IT hubs in Visakhapatnam, Tirupati, and Vijayawada has strengthened digital services, BPOs, and start-up ecosystems. ✓ The AP State Skill Development Corporation (APSSDC) has supported human capital development in technical and service-oriented skills. • **Role in Employment and Human Development** ✓ The service sector is a major source of non-farm employment, absorbing youth into IT, hospitality, transportation, healthcare, banking, retail, and education sectors. ✓ Tourism, especially religious tourism at Tirumala, Srisailam, and Amaravati Buddhist sites, generates thousands of jobs and contributes substantially to state revenues. ✓ Services such as education, health, and governance enhance human development indicators, strengthening social infrastructure. • **Impact on Industrial and Agricultural Growth** ✓ Efficient services support industrial expansion through logistics, communication, financial services, and IT-enabled governance. ✓ The AP Single Desk Policy and digital service delivery platforms have improved ease of doing business, attracting domestic and foreign investments. ✓ In agriculture, services like cold storage, warehousing, agri-marketing, crop advisory apps, and rural logistics improve value chains and reduce post-harvest losses. ✓ Catalyst for Inclusive and Regional Development ✓ Services like banking inclusion, digital governance, transportation, and health services extend growth benefits to rural and coastal regions. ✓ Expansion of port-led services in Kakinada, Krishnapatnam, and Visakhapatnam has promoted regional development, exports, and MSME growth.
Conclusion	The service sector plays a pivotal role in accelerating Andhra Pradesh's economic, social, and regional development. Its expanding contribution to GSDP, employment, and value-added services strengthens long-term growth prospects. Sustained policy support, skill development, and digitalisation will further enhance the sector's developmental impact.
Model Question	Analyse the contribution of the services sector to economic growth and structural transformation in Andhra Pradesh. Highlight the key service-driven engines of development in the State.
Value Addition	The Startup India Scheme, launched in 2016, aims to promote innovation and entrepreneurship by creating a supportive ecosystem for startups in India. It provides benefits such as tax exemptions for three years, self-certification for compliance, easier exit norms, and fast-tracking of patents through an 80% rebate. The scheme also facilitates funding through the ₹10,000 crore Fund of Funds managed by SIDBI and a dedicated Seed Fund Scheme. Startup India hubs, incubators, and innovation challenges across sectors have strengthened mentorship and market linkages.

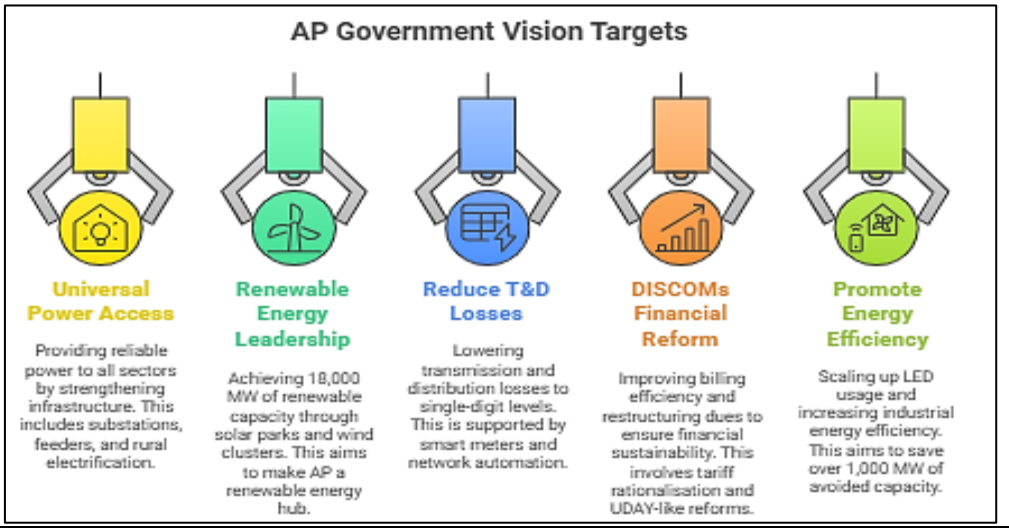
261. Explain the policy framework for the development of Civil Aviation in Andhra Pradesh. Discuss the development of Greenfield Airport projects in Andhra Pradesh. (APPSC, 2023)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Transport
Keyword	Explain, Discuss
Approach	• Begin by outlining AP's strategic need to strengthen civil aviation for connectivity, investment, and logistics. • Explain state aviation policy (PPP model, incentives, land acquisition, cargo hubs) and detail Greenfield airports like Bhogapuram, Kurnool, Orvakal, and Dagadarthi. • End by linking aviation expansion with economic growth, tourism, and regional development.
Introduction	Civil aviation is a strategic pillar for Andhra Pradesh's connectivity, investment attraction, tourism and export-led growth. The State has adopted a proactive policy framework to develop airports, incentivise operators, and improve regional air connectivity. Greenfield airports form the core of this expansion to decongest existing hubs and spur regional development.
Body & Infographic Representation	**Policy Framework for the development of Civil Aviation in Andhra Pradesh** • **Objectives & institutional setup** ✓ Andhra Pradesh's Civil Aviation Policy aims to create world-class aviation infrastructure, enhance intra-state and national connectivity, and promote private investment through PPP models and incentives for operators. ✓ The State established the Andhra Pradesh Airports Development Corporation Ltd. (APADCL) as the nodal SPV to plan, develop and implement Greenfield airport projects and related aviation infrastructure. • **Policy instruments and incentives** ✓ Key policy tools include land-readiness support, viability gap funding on a case-by-case basis, single-window clearances, concessional land allotment, tax/fee concessions and facilitation for MRO, cargo and aviation training hubs to improve project bankability and attract operators. ✓ The policy also aligns with the Centre's schemes (UDAN) to ensure regional connectivity. **Development of Greenfield Airports in Andhra Pradesh** • APADCL has promoted several Greenfield sites: Bhogapuram (Alluri Sitarama Raju International Airport) near Visakhapatnam (national-level greenfield with phased construction), Kurnool/Orvakal (Uyyalawada N. R. Airport), and proposed sites such as Dagadarthi (Nellore) and Kuppam. • The Ministry of Civil Aviation granted 'in-principle' approval for Bhogapuram and other AP sites in 2023, recognising project costs and PPP potential. • Bhogapuram's first phase construction began in 2023 with phased commissioning planned to scale capacity and support surrounding economic zones. • **Achievements and empirical evidence** ✓ Kurnool airport's commissioning expanded intrastate connectivity, and Bhogapuram's progress has catalysed corridor planning (IT/industrial parks, road upgrades), demonstrating measurable infrastructure spillovers. • **Challenges in the Development of Greenfield Airports** ✓ Persistent issues are land acquisition and rehabilitation, financing large-scale greenfield works, synchronising surface connectivity, environmental/clearance delays, demand forecasting and ensuring long-term operational viability under variable traffic.
Conclusion	Andhra Pradesh's civil aviation policy and APADCL-led approach have created a focused pathway for Greenfield airports to drive regional growth and connectivity. Timely

	resolution of land, finance and connectivity constraints, stronger PPP deals and phased commissioning are essential to realise envisioned economic gains. Continued alignment with national schemes and cluster development around airports will maximise developmental dividends.
Model Question	Evaluate the aviation development strategy of Andhra Pradesh with reference to State aviation policies. Examine the progress of new Greenfield airports and their role in improving regional connectivity.
Value Addition	The UDAN (Ude Desh ka Aam Naagrik) scheme, launched in 2016 under the Regional Connectivity Scheme (RCS), aims to make air travel affordable and connect underserved and unserved airports across India. It follows a viability gap funding model, enabling airlines to operate on regional routes at subsidised fares. Under UDAN, more than 450 routes and 70+ airports, heliports, and water aerodromes have been operationalised, improving last-mile connectivity. The scheme has significantly boosted tourism, medical travel, and regional trade in states like Andhra Pradesh, Odisha, and the Northeast
262. Bring out the importance of transport and communication in the development of Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Transport
Keyword	Bring out
Approach	• Start with AP's geographical advantage and the critical role of transport–communication networks in integrating markets. • Explain contributions to agriculture marketing, industry, ports, SEZs, rural connectivity, digital networks, and service delivery. • Conclude by highlighting their multiplier effect on growth and the need for modern, multimodal infrastructure.
Introduction	Transport and communication form the backbone of Andhra Pradesh's economic and social development by integrating markets and enabling administrative efficiency. As a coastal, agrarian, and industrialising State, AP relies heavily on multi-modal connectivity. Their expansion enhances competitiveness, regional balance, and human development outcomes.
Body & Infographic Representation	**The importance of transport and communication in the development of Andhra Pradesh:** • **Economic Integration and Market Expansion** ✓ Transport networks connect major agricultural regions like Guntur, Krishna, East & West Godavari with consumption and export centres, reducing logistic costs. ✓ Improved road density under PMGSY and State Highways Development Project (SHDP) has enabled faster movement of perishable goods such as chilli, tobacco and aqua products, strengthening rural–urban linkages. • **Industrial Growth and Port-Led Development** ✓ The State's long coastline with six operational ports (Visakhapatnam, Kakinada, Krishnapatnam, Gangavaram, etc.) contributes significantly to industrialisation. ✓ For instance, Krishnapatnam Port handles over 65 MT of cargo annually, boosting sectors like thermal power, edible oil, pharma, and automobiles. ✓ The upcoming Bhavanapadu and Ramayapatnam ports further support AP's port-led economic corridor strategy under the Sagarmala Programme. • **Enhancing Connectivity for Investments** ✓ A strong road network of about 1.76 lakh km and better penetration of NH-16 (Golden Quadrilateral) attract investments in industrial corridors such as Visakhapatnam–Chennai Industrial Corridor (VCIC) and Chittoor–Anantapur node, which rely on seamless transport and telecom linkages.

	✓ This has facilitated the growth of IT, food processing, textiles, and logistics clusters. • **Social Development and Administrative Efficiency** ✓ Transport and communication enlarge access to health, education, and welfare services across the State. ✓ Telecommunication penetration, with over 93% mobile users, supports e-governance initiatives such as MeeSeva, digital payments, NREGS monitoring, and telemedicine, improving administrative accountability and citizen-service delivery. • **Disaster Management and Coastal Resilience** ✓ Efficient communication networks like APSDMA's early warning systems, satellite phones, and emergency response lines have reduced cyclone-related fatalities significantly. ✓ Transport networks ensure timely evacuation and relief to vulnerable coastal districts. 
Conclusion	Transport and communication are pivotal for AP's economic vibrancy, regional integration, and human development. Their improvement boosts agriculture, industry, services, and governance. Strengthening multi-modal connectivity remains essential for the sustainable and inclusive growth of Andhra Pradesh.
Model Question	Discuss how transport and communication networks act as catalysts of economic integration and social development in Andhra Pradesh. Illustrate with suitable examples.
Value Addition	The Pradhan Mantri Gram Sadak Yojana (PMGSY), launched in 2000, aims to provide all-weather road connectivity to unconnected rural habitations to promote inclusive development. It focuses on enhancing rural mobility, market access, and social services through high-quality road construction standards. PMGSY has connected more than 1.8 lakh habitations and constructed over 7 lakh km of rural roads, significantly improving rural livelihoods and agricultural supply chains. PMGSY–II and III further emphasise upgrading existing roads and integrating them with economic corridors.
263. Examine the importance and development of transport and communication in the state of Andhra Pradesh. (APPSC, 2008)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Transport
Keyword	Examine
Approach	• Open with the role of transport–communication as growth-enabling infrastructure for a coastal, trade-oriented state. • Describe developments in roads, railways, ports, airports, waterways, telecom, optical fiber, and rural connectivity schemes. • Close with the need to bridge regional disparities and strengthen logistics–digital networks.
Introduction	Transport and communication constitute the lifeline of Andhra Pradesh's economic and administrative structure. They integrate markets, promote industrialisation, and reduce regional disparities. Their continuous development has enhanced connectivity, access to services, and overall socio-economic growth of the State.

Body & Infographic Representation	**Importance of Agricultural and Rural Development** • AP's agrarian economy, especially in Krishna, Godavari, and Guntur regions, depends heavily on efficient transport for moving paddy, chilli, tobacco, and aqua products. • Improved road density reduces post-harvest losses by 10–15%. • PMGSY, R&B expansions, and rural bus services have strengthened rural–urban integration. **Industrialisation and Port-Led Growth** • AP's strategic coastline has shaped its transport-led industrial expansion. • Major ports like Visakhapatnam, Kakinada, and Krishnapatnam collectively handle over 120 million tonnes of cargo, facilitating exports of minerals, petroleum, food products, and bulk commodities. • Gangavaram Port, operational from 2009, became India's deepest all-weather port, boosting the steel and power sectors. • Development of industrial corridors and SEZs near ports illustrates how transport accelerates manufacturing growth. **Road and Rail Network Development** • The State has a road network of around 1.76 lakh km, with NH-16 forming part of the Golden Quadrilateral, enabling faster movement of goods and people. • Railways link industrial belts like Visakhapatnam–Vijayawada–Guntur–Nellore and the Rayalaseema mining zones. • Doubling and electrification projects have reduced freight turnaround, strengthening logistics efficiency. **Expansion of Air Connectivity** • Airports at Visakhapatnam, Vijayawada, Tirupati, and Rajahmundry improved passenger mobility and cargo handling. • Visakhapatnam emerged as a major aviation hub with increasing international connectivity, supporting tourism, IT, and pharmaceuticals. **Development of Communication Networks** • AP witnessed rapid telecom penetration with mobile density crossing 85% by the late 2000s. • Communication initiatives like APOnline, e-Seva, and satellite communication improved governance, disaster response, and service delivery. • Better internet and broadcast networks supported education, agricultural advisories, and market information systems.
Conclusion	Transport and communication have been central to AP's economic diversification and social development. Their steady expansion strengthened agriculture, industry, services, and administration. Continued investment in integrated transport and digital infrastructure remains essential for inclusive growth.
Model Question	Critically assess the evolution of transport and communication infrastructure in Andhra Pradesh and its impact on industrial growth, rural accessibility, and trade.
Value Addition	The National Urban Transport Policy (NUTP), introduced in 2006, aims to promote sustainable, safe, and equitable urban mobility by prioritizing people over vehicles. It encourages cities to adopt integrated public transport systems such as metro rail, BRTS, city buses, and non-motorized transport like cycling and walking. The policy emphasizes cleaner technologies, intelligent transport systems (ITS), and transit-oriented development (TOD) to reduce congestion and pollution. It also guides states and urban local bodies to prepare Comprehensive Mobility Plans (CMPs) for long-term planning.
264. What are the challenges faced by energy sector in Andhra Pradesh? Briefly give the vision targets for energy sector set by the AP Government. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India and Andhra Pradesh: Energy and ICT

Keyword	What, Give
Approach	• Introduce AP's energy landscape (renewables potential, demand growth) and need for sustainable sector reforms. • Discuss challenges such as DISCOM losses, coal shortages, renewable intermittency, transmission constraints, and financial stress; then mention government vision targets (24×7 power, renewable expansion, grid modernization). • Conclude with need for policy stability, investment, and clean energy transition to achieve energy security.
Introduction	The energy sector of Andhra Pradesh plays a crucial role in sustaining agriculture, industry, and domestic consumption. Despite notable progress, the State continues to face structural, financial, and operational challenges. To address these gaps, the Government has laid out clear vision targets focusing on supply security, renewable expansion, and affordability.
Body & Infographic Representation	**Challenges faced by the energy sector in Andhra Pradesh:** • **Financial Stress and DISCOM Losses** ✓ A major challenge is the deteriorating financial health of DISCOMs, with accumulated losses crossing ₹ 6.92 lakh crore in FY24. ✓ High power purchase costs, subsidised agricultural supply, and revenue gaps due to low tariff recovery weaken the financial sustainability of the energy sector. • **Rising Demand–Supply Gap** ✓ Peak demand in AP was 3,255 MW in March 2024, driven by industrial expansion, irrigation projects, and urbanisation. ✓ Seasonal demand variations, especially during Rabi and Kharif seasons, strain grid stability and increase dependency on short-term, costly power purchases. • **Dependence on Conventional Thermal Power** ✓ AP's energy mix is still dominated by thermal sources, which account for approximately. 47% of installed capacity by 2023. ✓ Ageing thermal plants, high coal logistics costs, and environmental compliance requirements hinder efficiency and add to operational costs. • **Integration Challenges in Renewable Energy** ✓ Though AP has nearly 8,000 MW of renewable capacity, issues like grid instability, curtailment disputes, variability in wind and solar output, and payment delays to renewable generators hamper the smooth integration of clean energy. ✓ **Transmission and Distribution Losses** ✓ T&D losses in AP remain 25.78%, due to outdated infrastructure, rural feeder overload, and technical leakages. ✓ This reduces efficiency and increases the cost of supply. **Vision Targets Set by the AP Government** • **Universal Access and Quality Power:** Providing 24×7 reliable power to all sectors by strengthening substations, feeders, and rural electrification under Deen Dayal Upadhyaya Gram Jyoti Yojana (DDUGJY) and AP's own infrastructure modernisation plan. • **Renewable Energy Leadership:** Achieving 18,000 MW of renewable capacity, including solar parks in Kadapa, Anantapur, Kurnool, and wind clusters across Rayalaseema, to make AP a renewable energy hub of South India. • **Reduction of T&D Losses:** Lowering T&D losses to single-digit levels, supported by smart meters, high-voltage distribution systems (HVDS), and network automation through the AP State Energy Efficiency Development Corporation.

	• **Financial Reform of DISCOMs:** Improving billing efficiency to 98%, enhancing tariff rationalisation, and restructuring outstanding dues through UDAY-like reforms to ensure long-term financial sustainability. • **Promotion of Energy Efficiency:** Scaling up LED usage, expanding BEE-certified appliances, and increasing industrial energy efficiency to save 1,000+ MW of avoided capacity. 
Conclusion	The energy sector in Andhra Pradesh faces interconnected financial, operational, and infrastructural challenges. The Government's vision targets aim to create a reliable, green, and financially viable power ecosystem. Achieving these goals is vital for sustained industrial growth and inclusive development in the State.
Model Question	Identify the major bottlenecks confronting the power sector in Andhra Pradesh. Outline the State Government's long-term goals and strategic priorities for energy security and sustainability.
Value Addition	The Deen Dayal Upadhyaya Gram Jyoti Yojana (DDUGJY), launched in 2014, focuses on strengthening rural power infrastructure to ensure reliable and quality electricity supply. The scheme emphasizes feeder separation for agriculture and households, reducing transmission losses and improving load management. It also supports the creation of substations, metering, and upgrading of distribution networks to enhance system efficiency. DDUGJY has played a key role in rural electrification, contributing significantly to the achievement of 100% village electrification in India.
265. Explain briefly the four pillars for developing a strong IT in Andhra Pradesh. (APPSC, 2020)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Energy and ICT
Keyword	Explain
Approach	• Begin with a contextual introduction linking Andhra Pradesh's digital vision to its IT policy. • Structure the body around the four pillars—Human Capital, Infrastructure, Incentives, and Good Governance—explaining each with sub-points and recent examples. Emphasize skill development, digital infrastructure, investor-friendly policies, and transparent governance. • Conclude by highlighting how these pillars collectively strengthen AP's IT ecosystem and support Vision 2029.
Introduction	Andhra Pradesh (AP) has emerged as one of India's fastest-growing digital economies, driven by proactive governance, strategic investments, and a vision to become a leading technology hub. The state's IT policy framework is built on four foundational pillars that aim to strengthen digital infrastructure, promote innovation, attract global investments,

	and develop a skilled workforce. These pillars collectively support AP's goal of creating a robust IT ecosystem aligned with Vision 2029.
Body & Infographic Representation	**The Four Pillars of Andhra Pradesh's IT Development Strategy:** • The four core pillars identified in the policy document are Human Capital, Infrastructure, Incentives, and a system of Good Governance. • **Human Capital:** This pillar focuses on developing a large, skilled, and "industry-ready" talent pool to meet the demands of the IT and electronics sectors. The government recognized the need to bridge the gap between academia and industry requirements. ✓ **Skill Enhancement:** The policy envisioned providing abundant job opportunities by promoting industry-aligned training programs. This includes focusing on future skills such as Artificial Intelligence (AI), cybersecurity, cloud computing, and data analytics. ✓ **Industry-Academia Collaboration:** The strategy involved collaboration with the industry to provide relevant training and ensure that graduates were employable. The state aimed to leverage its strong foundation in Science, Technology, Engineering, and Mathematics (STEM) education to build this talent pool. ▪ Example: Initiatives included the "Future Skills Credit Scheme" to support lifelong learning and partnerships with institutions like NASSCOM to establish incubators and training programs. • **Infrastructure:** Recognizing infrastructure as a critical enabler of IT growth, this pillar focused on establishing robust physical and digital infrastructure to attract businesses and support a modern workforce. ✓ **Physical Infrastructure:** This involved the development of IT parks, co-working spaces, and dedicated IT campuses in various cities like Visakhapatnam, Vijayawada, and Tirupati. The goal was to provide world-class office spaces and connectivity. ✓ **Digital Infrastructure:** The policy emphasized investment in high-speed internet, secure IT environments, and cloud-based services. ▪ Example: The development of four Electronics Manufacturing Clusters (EMCs) in the state (Kopparthy, two in Tirupati, and Sri City) serves as a prime example of this focus on physical infrastructure. • **Incentives:** To attract both domestic and international investments, the policy offered an unparalleled range of financial and non-financial incentives to IT firms, GCCs, and infrastructure developers. ✓ **Financial Support:** This included capital subsidies, rental assistance, power incentives (e.g., industrial tariff for power, a discount of INR 1/unit for five years), and job creation subsidies. ✓ **Ease of Doing Business:** The government aimed to create a business-friendly environment by streamlining approvals through a single-desk portal and allowing self-certifications under various acts to reduce bureaucratic bottlenecks. ▪ Example: Special incentives were provided for companies creating a large number of jobs or developing over a million square feet of office space, including land at a subsidized cost. • **Good Governance:** Above all, the policy emphasized a system of Good Governance to ensure transparency, accountability, and efficient implementation of the stated objectives. ✓ **Transparent Administration:** The government aimed to use e-Governance as a tool to provide integrated, transparent, and accountable services to citizens and investors alike.

	✓ **Effective Implementation Bodies:** The policy established governance structures such as the State Investment Promotion Board (SIPB) and the Consultative Committee for IT & Electronics Investments (CCITEI) to fast-track approvals and provide continuous feedback between the government and industry stakeholders. ▪ Example: The development of a transparent online portal for incentive claims and tracking was a practical application of this pillar, ensuring clarity and efficiency in government interactions with the industry.
Conclusion	Through strong digital infrastructure, skill development, innovation promotion, and industry-friendly policies, Andhra Pradesh has built a comprehensive framework to develop a robust IT sector. These four pillars continue to attract global investments, generate employment, and position the state as a competitive digital hub in India's evolving knowledge economy.
Model Question	Explain the role of AP State Skill Development Corporation (APSSDC) in promoting IT skill development and employability among youth.
Value Addition	**Key features of Andhra Pradesh Fiber Grid Project:** • Network infrastructure: A high-speed optical fiber network spanning over (23,800) km across all districts, connecting government substations and public facilities. • Services for citizens: Affordable end-to-end broadband, Wi-Fi, internet, cable TV, and phone connectivity to households. • Digital inclusion: ✓ Enabled digital classrooms in thousands of government schools. ✓ Supported telemedicine services in public health centers. ✓ Facilitated state-wide surveillance via thousands of closed-circuit cameras and command centers. • Cost-effectiveness: Leveraged existing electricity lines to reduce the cost of laying fiber optic cables. • Centralized control: A state-wide control and command center was established in Visakhapatnam as a Network Operations Center (NOC)
266. "An efficient power sector is essential for growth and poverty reduction." In light of the above statement, discuss the impact of reorganization of the State on its power sector and the steps initiated by the A.P. State Government to address the issues of the power sector. (APPSC, 2017)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Energy and ICT
Keyword	Discuss
Approach	• Begin with a developmental introduction linking power sector efficiency to socio-economic growth. • Explain reorganisation impacts under clear subheadings—asset division, energy deficit, and financial/operational challenges. Then present Andhra Pradesh's corrective measures such as institutional reforms, DBT for subsidies, grid strengthening, and loss-reduction strategies. • Conclude by connecting these reforms to long-term sustainability and inclusive development outcomes.
Introduction	An efficient power sector is fundamentally essential for socio-economic development. It drives industrial growth by ensuring reliable energy for production, fosters agricultural productivity through consistent power for irrigation, and improves quality of life by enabling essential services like lighting, healthcare, and education. Access to reliable and affordable electricity is a key indicator of development and is critical for lifting communities out of poverty.
Body & Infographic Representation	**Impact of State Reorganisation on AP's power sector:** • **Division of Assets and Liabilities:** ✓ The primary challenge stemmed from the geographical distribution of power generation assets.

	✓ The majority of the thermal power plants were located in the successor state of Andhra Pradesh, while the capital city of Hyderabad and the major industrial load centers remained with Telangana. ✓ This created a complex division of physical assets, power purchase agreements (PPAs), and personnel, leading to considerable operational uncertainty. • **Energy Deficit:** ✓ Post-reorganization, the residuary state of Andhra Pradesh faced a significant power deficit of approximately 22 million units per day. ✓ This deficit was caused by the mismatch between generation capacity within its new borders and its power demand. ✓ The state had a higher share of generation assets but a lower share of immediate consumption compared to Telangana's concentrated industrial load. • **Financial and Operational Issues:** ✓ The division led to the apportionment of substantial debts between the two states' transmission and distribution companies (TRANSCO and DISCOMs). ✓ Operational challenges arose from disputes over the sharing of power from existing projects and the management of shared resources like the Krishna River basin projects, which impacted hydroelectric generation. **Steps initiated by Andhra Pradesh Government to address issues:** • **Institutional reform & professionalisation:** AP has worked on strengthening utilities (APGENCO, APTRANSCO, and DISCOMs) through managerial reforms, induction of professionals, and revised governance to improve operational efficiency and financial discipline. Recent recruitment of professionals from national power PSUs is an example of this approach. • **Farmer subsidy reform — DBT of electricity subsidies:** To reduce leakages and improve targeting, AP implemented Direct Benefit Transfer (DBT) for agricultural electricity subsidies (started Sept 2020), a central-backed power-sector reform measure that improves fiscal transparency and reduces cross-subsidy burdens. • **Grid strengthening and green transition:** To accommodate changing generation patterns and new renewables, AP is investing in transmission (including a planned green energy corridor) and smart grid upgrades to integrate large renewable capacity being developed in Rayalaseema and other regions. Strengthened transmission reduces curtailment and supports large industrial consumers. • **Programmes for loss reduction & tariff rationalisation:** AP continues to pursue AT&C loss reduction, feeder segregation, and more realistic tariff-setting through the State ERC framework — measures aimed at improving DISCOM financial health and service quality. Regulatory filings by DISCOMs reflect these efforts.
Conclusion	Reorganisation posed short-to-medium term operational and financial challenges for AP's power sector, but policy actions — institutional strengthening, subsidy rationalisation (DBT), grid investments and a green-energy push — have been directed to restore efficiency and enable electricity to drive growth and poverty reduction. Continued focus on financial sustainability of DISCOMs and timely grid expansion will determine how effectively power supports inclusive development in Andhra Pradesh.
Model Question	Explain the role of AP Transco and Discoms in strengthening the state's energy infrastructure.
Value Addition	**Key PforR programs in Andhra Pradesh include:** • Supporting Andhra's Learning Transformation (SALT) Program: This initiative, active from September 2021 to September 2026, focuses on improving the quality of education in government-managed schools across the state. Key areas include foundational learning, teacher professional development, and strengthening institutional capacity for service delivery.

	• Amaravati Integrated Urban Development Program: This program, approved for a loan of US$800 million (financed in Japanese Yen), aims to establish Amaravati as a well-managed, climate-resilient economic hub. It is intended to create jobs and improve urban infrastructure and services. • India State Support Program for Road Safety: Andhra Pradesh is one of the states participating in this national program, which uses the PforR framework to strengthen capacity for results-based management and improve road safety outcomes.
267. "Smart village - Smart ward towards Smart Andhra Pradesh"-Explain (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Energy and ICT
Keyword	Explain
Approach	• Begin with a contextual introduction explaining the launch and purpose of the Smart Village–Smart Ward program. • Present the objectives clearly, followed by structured subheadings on key features and implementation. Highlight impacts using examples and focus areas like governance, service delivery, and quality of life. • Conclude by linking the initiative to broader sustainable development and its continued relevance.
Introduction	The "Smart Village - Smart Ward towards Smart Andhra Pradesh" program was a flagship initiative launched by the Government of Andhra Pradesh in January 2015 to achieve inclusive, sustainable, and rapid development across the state. The program aimed to transform rural and urban areas by involving citizens, Non-Resident Indians (NRIs), corporate houses, and other partners in the development process.
Body & Infographic Representation	**Core Objectives:** • The primary goal was to achieve "Swarnandhra Pradesh" or "Sunrise Andhra Pradesh" by 2029. The program sought to: ✓ Ensure 100% achievement of 20 non-negotiable indicators for basic amenities, outcomes, and services within a specific timeframe. ✓ Empower local communities to make "smart" decisions using technology and skilled manpower. ✓ Bridge the gap in infrastructure and services through community participation and resource mobilization (including CSR funds, local contributions, and government schemes). **Key Features:** • Partnerships: The initiative encouraged public figures, industrialists, celebrities, and government officers to adopt a village or ward and guide the development process. • Focus Areas: Key development areas included education, health, drinking water, sanitation (Swachh Andhra), roads, telecommunication, skill development, and waste management. • Implementation: The program was implemented in a phased manner, involving workshops, service level improvement plans (SLIPs), financial analysis, and community consultations to identify needs and allocate resources effectively. • Smart Andhra Pradesh Foundation (SAPF): An independent nodal agency was established to facilitate, network, and advocate the program at state, district, and sub-district levels. **Impact of the Program:** • **Strengthening Decentralized Governance** ✓ By empowering gram sabhas, ward committees, and local volunteers, decision-making became more inclusive. • **Improved Service Delivery**

	✓ Integration of digital platforms for pensions, ration distribution, and grievance redressal resulted in faster and transparent service delivery. • **Enhanced Quality of Life** ✓ Better sanitation, water supply, and education infrastructure contributed to improved living standards in rural and urban wards. ▪ Case Example: Vanjangi village in Visakhapatnam transformed with tourism-based livelihood opportunities.
Conclusion	The "Smart Village - Smart Ward" program served as a model for community-driven development and has been cited as a state-level initiative at national conferences on Smart Village Panchayats. While the program was a major focus of the previous state government, the general principles of smart and sustainable rural development continue to be relevant in ongoing national and state initiatives.
Model Question	"Smart village initiatives bridge rural–urban gaps." Discuss the major components and achievements of Smart Village–Smart Ward Programme in Andhra Pradesh.
Value Addition	**Smart City Mission: At a Glance** • The Smart Cities Mission was launched on 25 June 2015 by Prime Minister Shri Narendra Modi. It aims to enhance the quality of life in 100 selected cities by providing efficient services, robust infrastructure, and a sustainable environment. • Through smart solutions, the mission seeks to promote economic growth, inclusivity, and sustainability by focusing on the social, economic, physical, and institutional pillars of urban development. • By addressing residents' diverse needs— from housing and transport to education, healthcare, and recreation—the mission aspires to create dynamic urban spaces that evolve to meet the aspirations of their citizens, serving as replicable models for other cities.
268. Explain how information and communication technologies have enhanced modes of governance in the State of Andhra Pradesh during. (TGPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Energy and ICT
Keyword	Explain
Approach	• Begin with a contextual introduction linking ICT to governance transformation in Andhra Pradesh. • Organise the body under clear thematic subheadings—single-window services, integrated platforms, digital health, justice, and municipal innovations—each backed by concrete examples. Highlight outcome**s** like transparency and efficiency. • Conclude with balanced evaluation**,** noting achievements and challenges to show analytical depth.
Introduction	Andhra Pradesh has used information and communication technologies (ICT) to move governance from paper-heavy, siloed systems toward integrated, citizen-centric, and transparent service delivery. Key interventions—platform integration, single-window services, digital health and justice systems, and data-driven municipal initiatives—have improved speed, accountability and outreach.
Body & Infographic Representation	**ICT and Enhanced Modes of Governance in Andhra Pradesh:** • **Single-window citizen services: convenience and transparency** ✓ Platforms such as MeeSeva and the state's API-driven service layer provide a one-stop portal for G2C and G2B services (birth/death certificates, land records, licences), reducing travel, queueing and intermediaries while maintaining digital audit trails. This has shortened transaction times, expanded reach into rural areas via common service centres and cut opportunities for petty corruption. • **Integrated digital governance: ePragati and back-office reform**

	✓ The ePragati initiative created an enterprise architecture linking secretariat departments, local bodies and line agencies so data and workflows travel securely across systems. Integration of databases and APIs has enabled faster decision-making, automated approvals in some cases, and performance monitoring of departmental KPIs — shifting administration from manual permissions to rule-based digital processes. • **Digital healthcare: access and operational efficiency** ✓ Adoption of digital health platforms such as the NextGen eHospital and related dashboards has digitised patient registration, outpatient workflows, bed management and e-bloodbank/ORS integrations. These systems improve patient experience (shorter wait times, centralized records), enable telemedicine linkages, and provide real-time data for public health planning—critical during health surges and routine primary care delivery. • **Technology in justice and public safety: interoperability & fornsicse** ✓ Modernisation of criminal justice through the Interoperable Criminal Justice System (ICJS) 2.0 demonstrates ICT's role in accountability: police, prisons, prosecution, forensics and courts are being digitised and linked to create paperless case flows, e-summons/e-witness facilities and real-time evidence tracking. This reduces delay, improves transparency in investigations, and strengthens coordination across agencies. • **Smart municipal interventions and data-driven public health** ✓ AP's municipal bodies are piloting IoT and AI solutions—e.g., an AI-powered mosquito surveillance programme and sensor/drone-assisted vector control—which use real-time environmental and entomological data to target interventions, reduce indiscriminate spraying, and lower disease risk. Such ICT-enabled decision support improves cost-effectiveness and accountability in service delivery.
Conclusion	ICT in Andhra Pradesh has improved accessibility, efficiency and transparency of governance—bringing services closer to citizens and enabling evidence-based policy. Challenges remain (digital divide, data privacy, interoperability governance and capacity building). Addressing these will be essential to consolidate gains and ensure inclusive, secure digital governance going forward.
Model Question	Critically examine the role of Real-Time Governance Society (RTGS) in enhancing disaster management and administrative responsiveness in Andhra Pradesh.
Value Addition	**How RTGS enhances disaster management** • Predictive and proactive approach: ✓ RTGS shifts disaster management from being a reactive, post-crisis activity to a proactive, data-driven process. ✓ Technology is used as a "shield" against natural disasters to minimize their impact through preparedness. • Real-time data integration: ✓ The AWARE platform integrates data from various sources like satellites, drones, IoT sensors, mobile feeds, and CCTV to provide a comprehensive, real-time view of a situation. ✓ This integration facilitates better monitoring and faster decision-making. • Enhanced communication and alerts: ✓ Real-time alerts and advisories are sent directly to citizens through multiple channels like SMS, WhatsApp, and social media. ✓ This allows for timely public awareness and guidance, helping to prevent casualties and mitigate damage.

	• Improved coordination and response: ✓ Officials, including ministers and local representatives, can monitor field operations in real-time through systems like RTGS. ✓ This facilitates faster, more efficient coordination among different departments and on-the-ground efforts for relief and rescue.
269. Write about the growth of IT industry in Andhra Pradesh. (APPSC, 2011)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Energy and ICT
Keyword	Write
Approach	• Begin with a contextual introduction linking AP's IT growth to post-bifurcation challenges. • In the body, organize content under clear subheadings: challenges, key drivers, policy initiatives, investments, skill development, and innovation ecosystem. Use data, examples, and government schemes to strengthen analysis. • Conclude by highlighting AP's emerging IT potential, strategic policies, and future prospects in the AI-driven era.
Introduction	The growth of the IT industry in Andhra Pradesh has been a journey marked by the challenges of state bifurcation and proactive government efforts to create new technology hubs and attract global investment. The state is now poised to emerge as a significant player in India's technology sector, with a strong focus on emerging technologies and a skilled workforce.
Body & Infographic Representation	**Post-Bifurcation Challenges and New Beginnings** • Following the state's bifurcation in 2014, Andhra Pradesh lost Hyderabad, a major established IT hub and significant revenue generator, to the newly formed state of Telangana. This necessitated building an IT ecosystem from the ground up. The government responded by identifying and developing new IT and electronics hubs in tier-II cities like Visakhapatnam, Vijayawada, and Tirupati. **Key Growth Drivers and Initiatives** • **Emerging Hubs:** Visakhapatnam, often referred to as Vizag, is the largest IT hub in the state, housing over 250 technology and business process management (BPM) organizations. These tier-II cities offer significant advantages, including a 25-30% cost saving in talent and a 50% reduction in real estate costs compared to tier-I metros. • **Government Policies (IT & GCC Policy 4.0, 2024-2029):** The state has introduced forward-looking policies to attract Fortune 500 companies and foster a robust digital economy. These policies offer various incentives, including capital and rental subsidies, power incentives, and support for hybrid work models. • **Skill Development:** Leveraging a strong academic base with institutions like IIT, IIM, and IIIT, the government focuses on creating an industry-ready talent pool through skill development centers and a "Future Skills Credit Scheme" for training in emerging technologies like AI, data analytics, and cybersecurity. • **Major Investments:** The state has attracted investments from major national and multinational companies such as Wipro, Tech Mahindra, Cyient, HCL, and IBM. The new government has also secured significant new foreign direct investments, including a large LG Electronics plant, and is focusing on attracting data centers and semiconductor fabrication units. • **Focus on Innovation and Startups:** The establishment of the Ratan Tata Innovation Hub (RTIH) in Amaravati, along with a network of spoke centers, aims to nurture youth-led innovation and entrepreneurship, providing incubation support and a platform for startups to thrive. **Current Status and Future Outlook**

	• Currently, Andhra Pradesh's IT sector generates an annual turnover of approximately ₹2,500-₹3,000 crore, with about 40,000 employees. The government has set an ambitious target to create five lakh jobs in IT and electronics over the coming years. • The state is actively positioning itself as a leader in the AI era, using public data to encourage local talent to develop AI solutions. With a renewed focus on "Speed of Doing Business" and a clear vision for an AI-first strategy, Andhra Pradesh aims to become a global leader in IT and a competitive destination for technology investments in the coming decade.
Conclusion	The growth of the IT industry in Andhra Pradesh is driven by a strong policy ecosystem, world-class infrastructure, skilled manpower, and government initiatives in digital transformation. With expanding IT corridors, fintech innovations, and increasing global investments, Andhra Pradesh is steadily emerging as a major IT powerhouse in India, contributing significantly to employment and economic growth.
Model Question	Assess the challenges faced by Tier-II and Tier-III cities of Andhra Pradesh in developing IT infrastructure.
Value Addition	**Government initiatives to attract global IT investments and build an innovation-driven economy in Andhra Pradesh:** • IT & Global Capability Centers (GCC) Policy 4.0 (2024-2029): This policy is a cornerstone of the state's strategy to become a global hub for IT and GCCs. It provides a framework for infrastructure development, financial incentives, and workforce development to attract major global firms. • Fintech Valley Vizag: This initiative is being revitalized to establish Visakhapatnam as a global hub for FinTech, cybersecurity, and analytics. It includes the development of large-scale IT parks and aims to foster a strong ecosystem for startups and venture capital. • Drone City and Space City: The state is developing these specialized hubs to attract investment and build a skilled workforce in high-tech sectors. Drone City, located in Kurnool, will include the world's largest common drone testing facility and focus on manufacturing, testing, and R&D for unmanned systems.
270. Explain the e-Pragati initiative of Andhra Pradesh and its benefits (APPSC, 2016)	
Syllabus	Paper IV: Economy and Development of India And Andhra Pradesh: Government Policy
Keyword	Explain
Approach	• Begin with a contextual introduction linking e-Pragati to “Sunrise AP 2022” and its whole-of-government vision. • Present the body with clear subheadings explaining architecture, components, and functioning. Use bullet points for hubs, infrastructure, and benefits. Integrate examples like AP Fibre Grid and CM Core Dashboard. • Conclude by highlighting interoperability, cost-efficiency, and long-term governance impact.
Introduction	The e-Pragati initiative was a pioneering comprehensive e-governance framework launched by the Government of Andhra Pradesh to integrate all government services under a single, unified platform and realize the vision of "Sunrise AP 2022". It was the first state-level enterprise architecture implementation in India, moving away from siloed departmental software to a "whole-of-government" approach.
Body & Infographic Representation	**How e-Pragati Worked** • e-Pragati was designed as an enterprise-wide architecture based on a single digital platform that connected 33 departments and over 300 government agencies to deliver approximately 745 e-services. Key components of its infrastructure included: ✓ **AP Fibre Grid:** Provided broadband connectivity to all Gram Panchayats, ensuring last-mile digital connectivity. ✓ **AP State Data Centre:** A centralized repository to host all data and applications securely.

	✓ **e-Highway:** A Service-Oriented Architecture (SOA) based middleware that allowed seamless digital connection and interoperability between different departments and applications. ✓ **People Hub & Land Hub:** Centralized databases housing socio-economic data of residents and details of all land parcels, respectively, ensuring a "single source of truth" and avoiding data duplication. ✓ **Omni-channel access:** Services were accessible via multiple channels, including online portals, mobile applications (mSeva), and unified contact centers (Dial.AP). **Benefits of the e-Pragati Initiative** • **Enhanced Transparency and Accountability:** By digitizing processes and creating a central monitoring system (like the CM Core Dashboard, which drew data from e-Pragati), the initiative significantly reduced corruption and allowed for social audits of government schemes and performance indicators. • **Increased Efficiency and Speed of Service Delivery:** The integrated platform eliminated manual processes, reduced red tape, and accelerated the delivery of services from days to minutes or seconds, leading to higher citizen satisfaction. • **Citizen-Centric Approach:** The project was designed around citizen needs and life events, providing a single, intuitive interface for accessing a variety of services, such as education, healthcare, agriculture (e-AgriMarket), and social benefits management. • **Data-Driven Governance:** By consolidating data into hubs and using analytics, the government could make informed, evidence-based decisions, monitor the progress of projects in real-time, and proactively offer services to eligible citizens (e.g., sending alerts for welfare schemes). • **Ease of Doing Business:** The initiative provided a single-window system for businesses to obtain clearances and permits online, improving the state's investment climate. • **Cost Optimization:** The "build once, use many times" principle of the enterprise architecture saved costs by avoiding the duplication of software development and infrastructure across different departments.
Conclusion	e-Pragati is a strategic shift from isolated e-projects to a unified, standards-based digital government. Its focus on shared infrastructure, interoperability and service orchestration offers faster delivery, lower costs and stronger governance — hallmarks of a scalable digital state platform. Continued emphasis on user experience, data security and capacity building will determine its long-term success.
Model Question	Explain how the Nadu-Nedu dashboard and digital monitoring helped improve infrastructure in schools and hospitals.
Value Addition	• The "Nadu-Nedu" (meaning "Then and Now") program is a flagship initiative of the Government of Andhra Pradesh, India, launched on November 14, 2019, to transform the infrastructure and quality of government schools. The scheme aims to create a better educational experience for students, increase enrollment, and decrease dropout rates by upgrading facilities to be on par with private schools. **Implementation and Impact** • The program was initially planned to cover all 44,512 government schools in the state over a period of three years, with a total budget of around ₹12,000 crores. • It has been implemented in phases. For example, Phase 1 covered 15,715 schools and Phase 2 covered 22,311 schools. • The initiative also includes the introduction of English medium instruction and the CBSE syllabus to enhance educational standards. • Private firms and NGOs have partnered with the government to aid in funding and development effort

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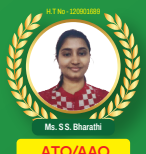

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About CivicCentre IAS

Premier Institution: Dedicated to Civil Services and State Services preparation, blending academic excellence with innovative pedagogy.

Expert Ecosystem: Powered by experienced faculty, research-driven content, and an integrated learning approach for holistic preparation.

Reverse Engineering Technique: A core analytical framework that

- Decodes previous year questions,
- Identifies conceptual gaps, and
- Reconstructs understanding from the examiner's perspective.

Learning Impact: Helps aspirants think critically, anticipate question patterns, and master subjects with precision and depth.

Vision & Mission: To nurture future administrators and change-makers through a learning model that unites scholarship, strategy, and service.

Core Philosophy: Empower aspirants to learn not just for the exam, but for governance and nation-building.

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